



EUROBANK ERGASIAS S.A.

ANNUAL FINANCIAL REPORT

FOR THE YEAR ENDED

31 DECEMBER 2017

**According to
Article 4 of the Law 3556/2007**

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**I. Statements of the members of the Board of Directors
(according to the article 4, par. 2 of the Law 3556/2007)**

EUROBANK ERGASIAS S.A.

**Statements of Members of the Board of Directors
(according to the article 4 par. 2 of the Law 3556/2007)**

We declare that to the best of our knowledge:

- the annual financial statements for the year ended 31 December 2017, which have been prepared in accordance with the applicable accounting standards, present fairly the assets, liabilities, equity and annual results of the Bank and the companies included in the consolidation, and
- the annual report of the Board of Directors presents fairly the development, the performance and the position of the Bank and of the companies included in the consolidation, including the description of the main risks and uncertainties they face.

Athens, 28 March 2018

Nikolaos V. Karamouzis
I.D. No AB – 336562

CHAIRMAN
OF THE BOARD OF
DIRECTORS

Fokion C. Karavias
I.D. No AI - 677962

CHIEF EXECUTIVE
OFFICER

Stavros E. Ioannou
I.D. No AH - 105785

DEPUTY
CHIEF EXECUTIVE OFFICER

II. Report of the Directors and Corporate Governance Statement

REPORT OF THE DIRECTORS

The directors present their report together with the audited accounts for the year ended 31 December 2017.

Profit or Loss

The net profit attributable to Eurobank (or “the Bank”) shareholders for 2017 amounted to €104m (2016: €235¹m) as set out in the consolidated income statement on page 2.

Financial Results Review²

In 2017, the return of the Greek economy to positive growth rates and the better economic climate following the completion of the second review of the current economic adjustment program, have improved the domestic conditions for the Greek banks. In this environment, the Group remained profitable by expanding its core pre-provision income, enhanced its capital and liquidity position and reduced the Non Performing Exposures (NPEs) stock, exceeding the annual target.

As at 31 December 2017 total assets, following the deleveraging, amounted to €60.0bn (Dec. 2016: €66.4bn). At the end of December 2017 gross customer loans reached €47.2bn (Dec. 2016: €49.2³bn), of which €40.9bn in Greece and €6.3bn in International Operations. Business (wholesale and small business) loans stood at €25.3bn (Dec. 2016: €25.9³bn) and accounted for 54% of total Group loans, while loans to households reached €21.9bn (Dec. 2016: €23.3³bn), with mortgage portfolio constituting 35% and consumer loans 11% of the total portfolio. During the year, deposits from Greek operations increased by €1.2bn to €24.6bn, mainly driven by the improvement in depositors’ sentiment after the successful completion of the second and third review of the program. In addition, deposit balances from International Operations increased by €0.6bn to €9.3bn. Group deposits reached €33.8bn (Dec. 2016: €32.1³bn) and as a result, the (net) loan-to-deposit (L/D) ratio improved to 110% for the Group (Dec. 2016: 118³%). As at 31 December 2017, the Bank’s dependency on Eurosystem financing facilities significantly decreased to €10.0bn, of which €7.9bn funding from Emergency Liquidity Assistance (ELA) mechanism (Dec. 2016: €13.9bn, of which €11.9bn funding from ELA), mainly through the deposits inflows as mentioned above, the increased market repos on covered bonds and Greek treasury bills, the selective asset deleveraging and a €500m covered bond issue to international and domestic investors. Accordingly, in October 2017, the Bank eliminated its participation in the second stream of the Hellenic Republic’s liquidity support plan (bonds guaranteed by the Greek Government) from a face value of €2.5bn on 31 December 2016. As at 28 February 2018, the Eurosystem funding further declined to €7.1bn, of which €5.7bn funding from ELA.

In the context of the European Stability Mechanism (ESM)/ European Financial Stability Facility (EFSF) decision for the implementation of the short-term Greek debt relief measures and the relevant Board of Directors (BoD) decision on 20 January 2017, the Bank has entered into an agreement with the EFSF, the Hellenic Republic, the Hellenic Financial Stability Fund (HFSF) and the Bank of Greece (BoG) on 16 March 2017 for the exchange of the EFSF floating rate notes, which had been used for the recapitalization of the Greek banking system, at their book value, with either cash or fixed rate ones with a longer maturity, which would be sold back, after a short holding period, to EFSF. During the year, the Bank exchanged its entire position in floating rate EFSF notes of face value of €6.6bn with fixed rate EFSF notes of equivalent face value. Up to 31 December 2017 and in January 2018, the exchanged EFSF notes of face value of €6.3bn and €0.3bn respectively, were sold back to the EFSF with no effect in the Bank’s income statement (note 26 of the consolidated financial statements).

Within an improving but still challenging business environment, Pre-Provision Income (PPI) decreased slightly by 1.7% to €987m, due to lower other income (2016: €1,004³m, including the €53m gain arising from the VISA Europe shares sale transaction and the €55m gain on the acquisition of the Alpha Bank’s Branch in Bulgaria). Net interest income (NII) remained stable at €1,464m (2016: €1,463³m), carrying the positive effect from the lower funding cost due to the reduction in the cost of deposits, the lower dependency from the ELA mechanism, the decreased utilization of Pillar II bonds (Law 3723/2008) as collateral for secured funding, the negative impact from loan deleveraging and lower lending spreads. Net interest margin (NIM) improved to 2.41% (2016: 2.22³%) with fourth quarter reaching 2.55%. Fees and

¹ Restated with €5m profit due to the adjustments in the effective interest rate methodology for specific types of financial instruments, which has been recognised as a change in accounting policy (note 52 of the consolidated financial statements).

² Definitions of the selected financial ratios and the source of the financial data are provided in the Appendix.

³ Comparative figures have been adjusted to exclude Romanian disposal group and Grivalia subgroup operations (until June 2017), which have been presented as discontinued.

REPORT OF THE DIRECTORS

commissions increased by 14.5% to €268m (2016: €234³m) with improved capital markets fees and lower Greek Government guarantees related expenses. Trading and other activities recorded €150m gain (2016: €210³m gain), including a) the €53m gain on derivatives, of which €38m gain from credit risk valuation adjustment on derivatives with the Hellenic Republic as a result of the improvement in the credit spreads of the Hellenic Republic credit default swaps, b) the €29m gains arising from the sale of available-for-sale (AFS) shares and mutual funds, c) €45m gains on the sale of bonds positions, and d) the €10m gains on sale of investment property. Cost containment efforts and initiatives continued and operating expenses were decreased by 0.9% to €894m for the year compared to €903³m in 2016, with the cost to income (C/I) ratio for the Group reaching 47.5% (2016: 47.4³%), while the International Operations C/I ratio stood at 41.2⁴% (2016: 39.4³%).

At the end of 2017, the Group's NPEs were reduced by €2.5bn to €20.1bn (Dec 2016: €22.6³bn), mainly through a negative NPE formation for all quarters in 2017 totalling €0.7bn for the year compared to €0.9bn positive in 2016, the sale of non-performing unsecured consumer loans of €0.6bn (as described on NPE management section) and write offs. Accordingly the Bank's NPEs were down to €18.1bn (Dec 2016: €20.5bn), outperforming the respective initial Single Supervisory Mechanism (SSM) target of €18.8bn. The Group's NPE ratio decreased to 42.6% from 46³% in 2016. The loan provisions (charge) reached €750m or 2.0% of average net loans (2016: €741³m or 1.9³%), driving the coverage ratio for NPEs to 50.4% (Dec. 2016: 50.6³%).

The Group recognised in 2017 other impairments losses and provisions amounting to €50m (2016: €55³m), of which €34m (2016: €34³m) related to the investment property portfolio and repossessed assets and €16m (2016: €21³m) to impairment losses on other assets and provisions on litigations and other operational risk events. In addition, restructuring costs of €13m (2016: €66m) have been recorded, of which €8m (2016: €49m) related to an additional provision for the Voluntary Exit Scheme (VES), which was designed for the Group's employees in Greece in the context of the implementation of the restructuring plan. Furthermore, for its discontinued operations, the Group recorded a loss of €61m after tax, of which €71m loss relates to its Romanian disposal group after measuring it at the lower of its carrying amount and fair value less costs to sell based on the terms of the sale agreement in the fourth quarter 2017 and €10m profit to Grivalia subgroup which is almost entirely attributable to non controlling interests (discontinued operations, including Ukraine and insurance subsidiaries in 2016: €32m profit of which €19m is attributable to non controlling interests).

Overall, in 2017, the Group remained profitable, well supported by the steadily profitable International Operations, the improved core pre-provision income and effective NPEs management. Net profit from continued operations, before restructuring costs amounted to €186m (2016: €240^{1,3}m) for the Group of which €130m (2016: €122³m) was related to International business. The net profit attributable to shareholders amounted to €104m (2016: €235¹m).

Going forward, the Group, within an economic environment of positive growth rates, is on track to achieve its objectives for 2018 and particularly the reduction of NPEs along the lines of the plan agreed with the SSM, and the sustainable profitability based mainly on the following initiatives and actions:

- a) Gradual restoration of normalised funding structure with accelerated return of deposits lost in previous years and further re-access to the money markets as a result of the reinstatement of depositors' and investors' confidence,
- b) Funding cost reduction, following the above, through the continuing decrease of expensive ELA dependency and the further decline in deposit rates, which may absorb part of the interest expense from the Tier II bonds issued in January 2018,
- c) Fee and commission income recovery as a result of the expected increase of the economic activity,
- d) Accelerating new lending of healthy and internationally competitive enterprises.
- e) Potential to implement further cost initiatives, such as the ongoing Greek and International operations' branch network rationalization, the implementation of a new VES in 2018 for employees of specific eligible units in Greece, the optimization of front, middle and back office

⁴ International Operations: Operating expenses: €179m, (2016: €173m), Operating income: €436m (2016: €440m).

REPORT OF THE DIRECTORS

- operations, the review of outsourcing and in-sourcing opportunities for certain functions and the scalable information technology (IT) platform/digital transformation,
- f) Cost of risk decline mainly as a result of the improvement of asset quality, and
 - g) Active management of NPEs, through i) the Bank's internal infrastructure, ii) the realisation of strategic partnerships to manage/service parts of loan portfolio, iii) the important legislative changes that have taken place, iv) the execution of sales' transactions for selective portfolios of NPEs and v) the further improvement of macroeconomic environment.

Capital adequacy

The Group is focused on the organic strengthening of its capital position by the further expansion of pre-provision income, the active management of NPEs supported by the fully operational internal bad bank as well as by proceeding to additional initiatives associated with the restructuring, transformation or optimization of operations, in Greece and abroad, that generate or release further capital and/or reduce Risk Weighted Assets (RWA). Accordingly, at the end of December 2017, the Group's Common Equity Tier 1 (CET1) capital amounted to €6.9bn and accounted for 17.9% of RWA (Dec. 2016: 17.6%), while the Total Capital Adequacy Ratio stood at 18% (Dec. 2016: 17.9%). Respectively, the Group's CET1 as at the same date, based on the full implementation of the Basel III rules in 2024 (fully loaded CET1) pro-forma with the completion of the disposal of the Romanian subsidiaries classified as held for sale would be 15.3%, while the Total Capital Adequacy Ratio, pro-forma with the completion of the above disposal and the full redemption of the preference shares/issue of subordinated notes constituting Tier 2 capital instruments, would be 17.9%.

Pursuant to the Regulation (EU) No 575/2013 CRR, the deferred tax assets (DTAs) that rely on future profitability and exceed certain limits shall be deducted in the calculation of the CET1 capital. This deduction should be applied gradually by 2024. The enactment of the article 27A of Law 4172/2013, as in force, provided for the Greek credit institutions that the eligible DTAs (deferred tax assets that have been recognised due to a) losses from the Private Sector Involvement (PSI) and the Greek State Debt Buyback Program and b) accumulated provisions and other losses in general due to credit risk as revised by article 43 of Law 4465/2017), can be converted into directly enforceable claims (tax credits) against the Greek State, provided that the Bank's after tax accounting result for the period is a loss. This legislative provision enabled the Greek credit institutions, including the Bank, not to deduct the eligible DTAs from CET1 capital but recognise them as a 100% weighted asset, with a positive effect on the capital position. As at 31 December 2017, the Bank's DTAs eligible for conversion to tax credits amounted to €3,952m.

In addition, in May 2017, according to article 82 of Law 4472/2017, which further amended article 27A of Law 4172/2013, an annual fee of 1.5% is imposed on the excess amount of DTAs guaranteed by the Greek State, stemming from the difference between the current tax rate (i.e. 29%) and the tax rate applicable on 30 June 2015 (i.e. 26%). For the year ended 31 December 2017, an amount of €14m has been recognized in "Other income/ (expenses)" of which an amount of €7m refers to the respective fee for the year 2016 (note 16 to the consolidated financial statements).

A potential change in the regulatory treatment of eligible DTAs as tax credits may have an adverse effect in the Group's capital position.

Impact of first time adoption of IFRS 9

The impact of transitioning to IFRS 9, before tax, is estimated to be €1.090m at 1 January 2018, of which an amount of €949m is attributed to the Greek lending portfolio. As no deferred tax asset is expected to be recognized by the Bank on IFRS 9 impact, the decrease in shareholder's equity is estimated to be €1,084m.

The estimated impact from the initial application of IFRS 9 on the fully loaded CET1 ratio, pro-forma with the disposal of the Romanian subsidiaries classified as held for sale, is 290 basis points. The Group has elected to apply the phase in approach as per EU legislation (Regulation EU 2017/2395) for mitigating the impact of IFRS 9 transition on the regulatory capital. The transition period is for five years, with the proportion of the impact to be included being 5% in 2018 and 15%, 30%, 50% and 75% in the subsequent four years. The full impact is expected as of 1 January 2023. As a consequence, by applying the regulatory transitional arrangements, CET 1 ratio is expected to be reduced approximately by 20 basis points on the first year of IFRS 9 adoption.

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All the assumptions, accounting policies and calculation techniques used by the Group for the estimation of the IFRS 9 impact will continue to be subject to reviews and refinements and therefore the estimated impact may change until the Group finalizes its financial statements for the year ending 31 December 2018 (note 2.1.2 of the consolidated financial statements).

European Banking Authority 2018 Stress Test

On 31 January 2018, the European Banking Authority (EBA) launched its 2018 EU-wide stress test and released the macroeconomic scenarios. The EBA will coordinate the EU-wide stress test exercise in cooperation with the European Central Bank (ECB) and national authorities. The results of the stress test will provide stakeholders and the public with information about the resilience of banks, notably their ability to absorb shocks and meet capital requirements under adverse macroeconomic conditions.

The EU-wide stress test is conducted according to the EBA's methodology, which was published in November 2017, templates and scenarios. The exercise is carried out on the basis of year-end 2017 figures as restated with the impact of the IFRS 9 adoption and assesses the resilience of EU banks under a common macroeconomic baseline scenario and a common macroeconomic adverse scenario, covering the period 2018-2020. The baseline scenario is in line with the December 2017 forecast published by the ECB, while the adverse scenario, which has been developed by the European Systemic Risk Board (ESRB) and the ECB in close cooperation with the EBA and the competent authorities, is designed to ensure an adequate level of severity across all EU countries. No pass-fail threshold has been included as the results of the exercise are designed to serve as an input to the Supervisory Review and Evaluation Process (SREP).

Eurobank, along with the other three Greek systemic banks directly supervised by the ECB, undergoes the same stress test under the EBA scenarios and methodology. The timetable for the Greek systemic banks has been accelerated in order to complete the test before the end of the third European Stability Mechanism stability support program for Greece. The stress test process for the Greek systemic banks is currently in progress and the results are expected to be published in May 2018.

Restructuring Plan

On 29 April 2014, the European Commission (EC) approved the Bank's restructuring plan, as it was submitted through the Greek Ministry of Finance on 16 April 2014. In addition, on 26 November 2015, the EC approved the Bank's revised restructuring plan in the context of the recapitalization process in 2015. Further information on the principal commitments to be implemented by the end of 2018, their status as at 31 December 2017 and potential effect on Group operations is presented in note 6 of the consolidated financial statements for the year ended 31 December 2017.

Disposal of Grivalia subgroup

In June 2017, Grivalia subgroup (Grivalia Properties R.E.I.C. and its subsidiaries) was classified as a disposal group held for sale, as the sale of the Bank's entire holding of 20% in the share capital of Grivalia Properties R.E.I.C. was considered highly probable.

On 4 July 2017, the Bank announced the successful sale of its shareholding in Grivalia Properties R.E.I.C., via an institutional private placement by way of an accelerated bookbuild offering to institutional investors at a price of €8.80 per share, for a total cash consideration of €178m. The transaction, which was in line with the Bank's restructuring plan, was capital accretive for the Group, as it increased its fully loaded CET1 ratio by 30 bps, mainly due to deconsolidation of RWA of approximately €875m (note 17 of the consolidated financial statements).

Romanian subsidiaries classified as held for sale

On 15 September 2017, the Bank announced that it has entered into negotiations with Banca Transilvania with regards to the potential sale of Bancpost S.A., ERB Retail Services IFN S.A. and ERB Leasing IFN S.A. in Romania (Romanian disposal group). The sale was considered highly probable, therefore, as of 30 September 2017 Romanian disposal group was classified as held for sale. The Romanian disposal group is part of the Group's operations in Romania, which are presented in the International segment.

On 24 November 2017, the Bank announced that it has reached an agreement with Banca Transilvania with regards to the above sale, which is expected to be finalized shortly after all required legal procedures are completed (note 17 of the consolidated financial statements).

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Monitoring Trustee

The Memorandum of Economic and Financial Policies (MEFP) of the Second Adjustment Program for Greece between the Hellenic Republic, the EC, the International Monetary Fund (IMF) and the ECB provides for the appointment of a monitoring trustee in all banks under State Aid.

Grant Thornton S.A. was appointed as the Bank's Monitoring Trustee (MT) on 22 February 2013, with the mandate of the MT been subsequently amended and extended on 29 May 2014. The MT monitors the compliance with the commitments on corporate governance and commercial operational practices, and the implementation of the restructuring plan and reports to the EC.

International Activities

Eurobank has established a substantial presence in 4 countries outside Greece. In Cyprus, it offers Wholesale Banking, Private Banking and Asset Management services, in Bulgaria and Serbia offers Retail, Corporate, Asset Management and Investment Banking services through a network of 280 retail and corporate units. The Luxembourg Bank offers Private Banking Services, while it also operates the Branch in London.

In November 2017 the Bank has reached an agreement with Banca Transilvania to sell the shares held by Eurobank in Bancpost S.A., ERB Retail Services IFN S.A. and ERB Leasing IFN S.A. Bancpost and Banca Transilvania will continue to carry out their activity independently until all required legal procedures are completed.

Risk management

The Group acknowledges that taking risks is an integral part of its operations in order to achieve its business objectives. Therefore, the Group's management sets adequate mechanisms to identify those risks at an early stage and assesses their potential impact on the achievement of these objectives.

Due to the fact that economic, industry, regulatory and operating conditions will continue to change, risk management mechanisms are set (and adjusted) in a manner that enables the Group to identify and deal with the risks associated with those changes. The Bank's structure, internal procedures and existing control mechanisms ensure both the independence principle and the exercise of sufficient supervision.

The Group's Management considers effective risk management as a top priority, as well as a major competitive advantage, for the organization. As such, the Group has allocated significant resources for upgrading its policies, methods and infrastructure, in order to ensure compliance with the requirements of the ECB, the guidelines of the EBA and of the Basel Committee for Banking Supervision and with the best international banking practices. The Group implements a well-structured credit approval process, independent credit reviews and effective risk management policies for credit, market, liquidity and operational risk, both in Greece and in each country of its international operations. The risk management policies implemented by the Bank and its subsidiaries are reviewed annually.

The Board Risk Committee (BRC) is a committee of the Board of Directors (BoD) with the primary task to assist the BoD in ensuring that the Group has a well-defined risk and capital strategy in line with its business plan and an adequate risk appetite.

The Group risk and capital strategy, which has been formally documented, outlines the Group's overall direction regarding risk and capital management issues, including the risk management mission and objectives, risk definitions, risk management principles, risk appetite framework, risk governance framework, strategic objectives and key management initiatives. In addition, the Risk and Capital Strategy is aiming to establish an operational link between the Group's business strategy and its risk appetite.

The maximum amount of risk which the Group is willing to assume in the pursuit of its strategic objectives is articulated via a set of quantitative and qualitative statements for specific risk types, including specific tolerance levels as described in the Group's Risk Appetite Framework. The objectives are to support the Group's business growth, balance a strong capital position with higher returns on equity through greater leverage, and to ensure the Group's adherence to regulatory requirements.

REPORT OF THE DIRECTORS

The BRC assesses the Group's risk profile, monitors compliance with the approved risk appetite and risk tolerance levels, and ensures that the Group has developed an appropriate risk management framework with appropriate methodologies, modelling tools, data sources and sufficient and competent staff to identify, assess, monitor and mitigate risks.

Management Risk Committee (MRC) is a management committee established by the Chief Executive Officer (CEO) in 2016. It operates as a consulting committee to the BRC. The main responsibility of the MRC is to oversee the risk management framework of the Group. As part of its responsibility, the MRC facilitates reporting to the BRC on the range of risk-related topics under its purview. The MRC ensures that material risks are identified and promptly escalated to the BRC and that the necessary policies and procedures are in place to prudently manage risks and to comply with regulatory requirements. Additionally, the MRC determines appropriate management actions which are discussed and presented to the Executive Board ("EXBO") for information and submitted to BRC for approval.

The Group's Risk Management General Division, which is headed by the Group Chief Risk Officer (GCRO), operates independently from the business units and is responsible for the monitoring, measurement and management of credit, market, operational and liquidity risks of the Group. It comprises the Credit Sector, the Group Credit Control Sector (GCCS), the Capital Adequacy Control (Credit Risk) & Regulatory Framework Sector, the International Credit Sector, the Group Market & Counterparty Risk Sector (GMCRS), the Group Operational Risk Sector and the SSM Office (dual reporting also to the Group Chief Financial Officer).

Further information on the Group's financial risk management objectives and policies, including the policy for hedging each major type of transaction for which hedge accounting is used, and the exposure to market risk, credit risk and liquidity risk are set out in the notes 2, 7 and 23 to the consolidated financial statements.

Non Performing Exposures (NPEs) management

A strategic priority for Eurobank remains the active and effective management of NPEs with the aim to substantially reduce the NPEs stock in accordance with its operational targets agreed with the supervisory authorities, leveraging on its internal infrastructure, the important legislative changes and the external partnerships that have taken or are expected to take place.

Troubled Assets Group (TAG) General Division

Following the Bank of Greece Executive Committee's Act No.42/30.5.2014 as amended by Act No.47/9.2.2015 and Act No.102/30.8.2016 that details the supervisory directives for the administration of exposures in arrears and non-performing loans, the Bank has proceeded with a number of initiatives to adopt the regulatory requirements and empower the management of troubled assets. In particular, the Bank transformed its troubled assets operating model into a vertical organizational structure through the establishment of the Troubled Assets Committee (TAC) and Troubled Assets Group General Division (TAG). TAG structure is completely segregated from the Bank's business units both in terms of account management, as well as credit approval process, which ensures transparency, flexibility, better prioritization and management accountability and shifts the management from bad debt minimization to bad debt value management, in line with the Group's risk appetite. Further information is presented in note 7.2 to the consolidated financial statements for the year ended 31 December 2017.

The target of the operating model is to reinstate customers' solvency, reduce overall handling costs for delinquent accounts and improve the portfolio profitability by maintaining low portfolio delinquency rates and facilitating negotiations with delinquent customers. In order to ensure the efficient management of the troubled assets portfolio, more than 2,500 full-time equivalent employees are involved in NPLs management operations across the Bank, of whom ca 1,200 are dedicated professionals within the various TAG operating units. TAG, by employing best-in-class strategies, tools, technical resources and human capital, aims to significantly contribute to the Group's profitability, in a socially responsible manner. To this end, the main actions undertaken by TAG in 2017 were the following:

- a) Similarly with 2016, TAG has overall exceeded in 2017 the key regulatory targets for NPEs reduction.
- b) Continued and strengthened the strategic focus towards long-term viable restructuring solutions, offered through a wide array of products, segmentation criteria and decision trees.

REPORT OF THE DIRECTORS

- c) A set of dynamic decision-support systems were developed in the context of managing the troubled portfolios that aim to improve decision making, facilitate the offering of optimum solutions and limit uncertainty.
- d) Reorganization and reinforcement of the key functions of the General Division in order to accommodate the new legislative developments towards the reduction of NPEs and to ensure the efficient management of the troubled assets portfolio.
- e) Staff was further developed through additional training programs and e-learning courses.
- f) Evolved and further developed a comprehensive program for the purpose of supporting and monitoring, in a structured manner, all business and Information Technology (IT) actions and initiatives serving the reduction of NPEs, which is a top priority for the Bank.
- g) Participated in key interbank initiatives to establish a solid governance framework and a collaborative partnership among all banks.
- h) The Bank in November 2017 completed the sale of a non-performing unsecured consumer loan portfolio. The servicing of the portfolio has been assigned to Financial Planning Services S.A. (FPS).
- i) Review and redesign of current corporate and small medium enterprises (SME) operational model by improving the performance of key business areas and by implementing strategic key initiatives that allows NPE targets achievement.

Eurobank FPS Loans and Credits Claim Management S.A., Greece

In the first quarter of 2017, the company's purpose as defined in its articles of association was amended and its name was changed from Eurobank Financial Planning Services S.A. to Eurobank FPS Loans and Credits Claim Management S.A. Following the above, the company obtained a license from the BoG that allows it to operate as an independent servicer of loans granted by credit or financial institutions pursuant to the Law 4354/2015. In August 2017, Eurobank FPS Loans and Credits Claim Management S.A. merged with Eurobank Remedial Services S.A.

Sale of non-performing unsecured consumer loans

In November 2017 the Bank, in line with its NPE reduction plan, completed the sale of a non-performing unsecured consumer loan portfolio of total principal amount of €1.5bn to Intrum Hellas DAC (Intrum), a company controlled by Intrum Group for a cash consideration of €35m. The on balance sheet exposure amounted to €608m and carried an impairment allowance of €584m. Accordingly, the Group recorded a gain of €8.5m, net of selling costs of €2m, in 'Other income/(expenses)' and its NPE ratio was reduced by ca 70bps. In addition, the servicing of the portfolio has been assigned to Financial Planning Services S.A. (FPS).

Operational targets for NPEs

In line with the national strategy for the reduction of NPEs, the BoG in cooperation with the supervisory arm of the ECB, has designed an operational targets framework for NPEs management, supported by several key performance indicators. Pursuant to the said framework, the Greek banks submitted at the end of September 2016 a set of NPEs operational targets together with a detailed NPEs management strategy with a 3-year time horizon, which were formed on the basis of key macroeconomic assumptions. In September 2017, the Greek banks submitted an updated set of NPEs operational targets, together with an updated NPEs management strategy, for the years 2017-2019.

In accordance with the latest relevant BoG report issued in December 2017, Greek banks have set a revised target of a 37% reduction of NPEs for the period from June 2017 up to December 2019, corresponding to a decrease by €37.2bn of the total NPEs stock (excluding off-balance sheet items), i.e. from €101.8bn in June 2017 to €64.6bn in end 2019. The NPEs of the sector as a percentage of total loan exposure will gradually decelerate and reach 35.2% in the 2019. As at 31 December 2017, the Bank has reduced its NPEs stock by €2.4bn to €18.1bn, outperforming the respective initial SSM target of €18.8bn.

In the above context, the Bank has developed strategic objectives and targets, together with a set of corresponding actions across client segments, and a timetable for implementation. The actions have been cascaded to a segment level for retail portfolio and to a borrower level for corporate portfolio together with corresponding targets and monitoring indicators. The Bank has developed a detailed NPE forecasting model, the results of which have been used to calibrate both the targets and the monitoring indicators. The strategy and the objectives are based on a set of assumptions regarding the macro-economic outlook and the legal and tax framework in Greece. The key risks for potential deviation from the targets are primarily related with the delays in the macroeconomic recovery.

REPORT OF THE DIRECTORS

The Bank has fully embedded the NPEs strategy into its management processes and operational plan. The supervisory authority reviews the course to meeting the operational targets on a quarterly basis and might request additional corrective measures if deemed necessary.

Legal framework

In the first months of 2017, significant legislative changes towards the reduction of NPEs include the amendment of Law 4172/2013 for lifting tax-related impediments, the voting of Law 4469/2017 for the out-of-court workout mechanism for businesses, as well as a law (Law 4472/2017) on e-auctions and on the regulation of the Bank Executives' legal responsibilities for NPEs workouts.

Macroeconomic Outlook and Risks

Greece, following the conclusion of the second review of the Third Economic Adjustment Program (TEAP) in June 2017 and the consequent release of the €8.5bn loan tranche, reached a staff level agreement with the European institutions on the policy package of the third review on 4 December 2017. On 22 January 2018, the Eurogroup welcomed the implementation of almost all of the agreed prior actions for the third review of the TEAP. The positive report by the Euro Working Group on 2 March 2018 on the full implementation of the outstanding prior actions, paved the way for disbursement of the first sub-tranche of €5.7bn in the second half of March 2018 for debt servicing needs, further arrears clearance and support the build-up of a state cash buffer. The second sub-tranche of €1.0bn will be used for arrears clearance and will be disbursed in the second quarter of 2018, subject to positive reporting by the European institutions on the clearance of net arrears using also own resources and a confirmation from the European institutions that the unimpeded flow of e-auctions has continued. According to the ESM the total amount disbursed to Greece so far, not-including the aforementioned sub-tranche, amounts to €40.2bn out of a total ESM loan of €86.5bn. From these a cash-buffer of ca €27.5bn will remain at the TEAP in August 2018 mainly as a result of lower bank recapitalization needs and the better than previously expected 2016 primary surplus realization. Currently, the relation between Greece and the European Institutions in the post program period, as well as the parameters of the sovereign debt relief proposal and the establishment of a framework that secures the continuation of reforms in the Greek economy, are under discussion. The Greek government aims to continue its market access program in the post program period. Conditional on the continuation of the TEAP funding until the end of the program in August 2018, the Greek government aims to create a cash buffer of above €10.2bn that would facilitate the country's market access after the end of the program.

On 19 January 2018, Standard & Poor's upgraded the Greek sovereign rating from B- to B with a positive credit outlook on the basis of the improved fiscal and growth outlook as well as the labour market recovery and amid a period of relative political certainty. Fitch on 16 February 2018 upgraded the Greek sovereign rating from B- to B with a positive credit outlook on the basis of improved fiscal conditions on expectations of a prompt conclusion of the TEAP as well as on the expectation of an agreement on further debt relief measures by the end of the program. Furthermore, Moody's on 21 February 2018 upgraded the Greek sovereign rating from Caa3 to B3 based on similar arguments. The sovereign's rating is still significantly below the investment grade rating but the recent upgrades and the progress on program implementation led to the improvement of the yield of the Greek 10-YR bonds by ca 33% between the end of November 2017 and 21 February 2018.

According to the 22 January 2018 Eurogroup's decisions the further quantification of the medium term debt relief measures and their implementation, if necessary, is expected to take place after the successful conclusion of the current program. The clarification of the medium term debt relief measures constitutes a necessary precondition for the participation of the IMF on the current program. In addition, the ECB requires a quantification of the medium term debt relief measures and a sustainable public debt for the participation of Greece in the Public Sector Purchase Program (PSPP) program. It is reminded that, the conclusion of the first review of the TEAP led to the implementation of the short-term debt relief measures from 20 January 2017 onwards.

On the fiscal front, according to the 2018 Budget, the 2016 primary surplus was at 3.8% of GDP against a TEAP target of 0.5% of GDP. In addition, the fiscal target in primary balance terms under the 2018 Budget for 2017 and 2018 is at 2.44% and 3.82% respectively. The TEAP primary balance targets for 2017 and 2018 are at 1.75% and 3.50%, respectively. The achievement of sustainable primary surpluses, at the level of 3.5% of GDP up to the end of 2022 with a gradual decrease afterwards, constitutes a necessary condition for the

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implementation of the medium and long term measures enhancing the sustainability of public debt, as decided on the Eurogroup of 24 May 2016.

The current account, according to the IMF is expected at -0.2%, and -0.1% of GDP for 2017 and 2018 respectively from -0.6% of GDP in 2016. It continued on an improving pattern compared to its 2008 respective performance (deficit of 15.1% of GDP) due to tourism revenues, the decline of imports and the positive effect of the PSI (2012) debt relief measures on the income account. According to BoG and Hellenic Statistical Authority (ELSTAT) data, the current account decreased at -0.8% of GDP in 2017 (2016: -1.1%).

Based on ELSTAT data, the unemployment rate in December 2017 was at 20.8% (December 2016: 23.5%) and had decreased by approximately 7.1 ppts since the peak of July 2013 (27.9%), pointing towards a slow path of decline, conditional on no unforeseen negative developments in the upcoming period.

The ongoing deleveraging in the Greek economy can be considered as a major drag for recovery. According to the latest available data from the BoG, i.e. in January 2018, the private sector domestic credit balance stood at €182.8bn from €184.3bn in January 2017, a decrease of -0.8%. On the other side of the ledger, private sector domestic deposits amounted to €124.8bn in January 2018 from €118.9bn in January 2017, registering an increase of 4.9%. The recovery of deposits is closely related with the timely and successful conclusion of the fourth, which is the final, review of the TEAP and the return of the country to a sustainable growth path.

Risks continue to surround the near-term domestic economic outlook. The unemployment rate remains very high and follows a slowly decreasing path. At the same time, the country was in a deflationary territory for 37 out of the last 50 consecutive months from late-2011 onwards. According to the most recent data, the general price level (the harmonized index of consumer prices “HICP”) recorded an increase of ca 0.2% in January 2018 from 1.5% in January 2017. According to the ELSTAT data, the Greek economy has been in recession from 2008 to 2016 (with the exception of 2014 where positive growth of 0.4% of GDP was realised). Real GDP in Greece decreased by a total of 26.4% between 2007 and 2016. In 2017 real GDP growth rate turned positive at 1.4% for the first time since 2014 but lower compared to official sector forecasts. According to the EC 2018 Winter forecast for 2018, real GDP growth is expected at 2.5%, conditional on the prompt TEAP implementation, the timely successful conclusion of the fourth and final review of the program, ownership of reforms and a benign external environment.

Regarding the economic developments in the region, the national accounts releases of the last quarter of 2017 confirmed that the economies of the South-eastern Europe have had the best year in the period between 2008 and 2017. The regional growth prospects are expected to be positive in 2018. Private consumption is expected to make a key contribution to GDP growth, although smaller than last year, as the real disposable incomes’ growth is expected to decelerate reflecting the higher inflation and the moderation of wage growth against the backdrop of further labour market tightening, accommodative credit conditions and improved economic sentiment. A favourable external environment will allow those small open economies to maintain their net exports contribution under control in 2018 despite the uptick on the imports side. Nevertheless, the performance of investments both this year and in the medium-term will be significant for the economies. Therefore, private sector will need to invest more to increase production capacity given that utilization rates are already at comparably high levels. Furthermore, the region’s EU funds absorption is expected to accelerate providing a boost to public investments. On the other hand, the economies operate at or close to full employment. Thus, companies are increasingly confronted with labour force scarcity which constrains their output production and weighs negatively on the future growth prospects.

At a country level, Bulgaria is expected to register another year of strong-above potential-growth in 2018. The economy is expected to benefit from an improving labour market, an accelerating credit activity, a more expansionary fiscal policy, a vibrant export oriented manufacturing sector and an emerging tourism destination. The economy is operating at or close to full employment. In particular, the relevant percentage of companies reportedly confronted with labour scarcity in the EU survey has increased to 40% in fourth quarter of 2017 up from only 13% in fourth quarter of 2013.

In Cyprus, GDP growth is expected to decelerate to 3.6% in 2018 from 4% in 2017 driven primarily by private consumption. The consumption rebound is driven by the strong sentiment improvement reflecting the

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lasting progress within the program, the flourishing tourism sector, the improved labour market conditions, the further property market stabilization, the impact from fiscal relaxation and the further normalization of banking sector conditions. There is a number of important pending structural reforms in the areas of privatizations, public and health sectors, while addressing the challenges of a still high NPEs stock (NPEs ratio at 44.1% in October 2017) in order to avoid backtracking on the economy.

In Serbia, after a temporary slowdown mainly attributable to adverse weather conditions, real GDP growth is expected to accelerate further to 3.0% in 2018 up from 1.8% in 2017. Economic activity is anticipated to become increasingly supported by private consumption and investments. The rising of imports, as a result of strengthening domestic demand, will likely neutralize net exports' input to the expansion of the economic activity.

Regarding the outlook for the next 12 months, the main risks and uncertainties for the Group stem from the current macroeconomic environment in Greece. In particular, risks include (a) the possible delays in the implementation of the reforms' agenda in order to meet the next targets and milestones of the TEAP, (b) the possible delays in the agreement of the post-programme relation between Greece and the Institutions, (c) the impact on the level of economic activity and on the attraction of direct investments from the fiscal and social security-related measures agreed under the reviews of the TEAP, d) the ability to attract new investments in the country, (e) the timing of a full lift of restrictions in the free movement of capital and the respective impact on the level of economic activity, (f) the possible slow pace of deposits inflows and/ or possible delays in the effective management of NPEs as a result of the challenging macroeconomic conditions in Greece and (g) the geopolitical conditions in the broader region and the external shocks from a slowdown in the global economy. Materialization of those risks would have potentially adverse effects on the liquidity and solvency of the Greek banking sector. Continuation of a subdued economic activity could affect the prospects of the Greek banking system leading to the deterioration of asset quality, prolongation of increased dependence on Eurosystem funding, particularly on the expensive ELA mechanism, and further pressures on the revenue side from increased funding cost and lower interest and commission income.

On the other hand, the successful completion of the fourth and final review of the TEAP and an agreement on the post-program relation of Greece with the Institutions will help reinstating depositors' confidence and thus accelerate the return of deposits and it will facilitate the faster relaxation of capital controls and it will positively influence the financing of the economy. The decisive implementation of the reforms agreed in the context of the TEAP, the implementation of further debt relief measures in accordance with 24 May 2016 Eurogroup decisions, the mobilization of EU funding to support domestic investment and job creation, the attraction of foreign and domestic capital and the adoption of an extrovert economic development model will facilitate the restoration of confidence in the prospects of the Greek economy and the further stabilization of the domestic economic environment, which are necessary conditions for the return of the country to a strong and sustainable growth path.

Share Capital

As at 31 December 2017 the Bank's share capital amounted to €1,605,924,629.50, divided into 2,531,498,765 shares in total, of which: a) 2,185,998,765 shares were ordinary voting shares of a nominal value of €0.30 each, which represented 40.84% of the total share capital of the Bank and b) 345,500,000 were registered non-voting preference shares with nominal value €2.75 each, issued under Law 3723/2008 and held by the Greek State, which represented 59.16% of the total share capital of the Bank.

Pursuant to the resolution of the Extraordinary General Meeting of the Shareholders (ordinary and preference) dated on 3 November 2017, the Bank, on 17 January 2018, completed the full redemption of its preferences shares partially with cash and partially with the issuance of Tier 2 capital instrument of total amount €950,000,000 according to the EU Regulation 575/2013. As per the terms of Redemption and Subscription Agreement between the Bank and the Greek State, the Tier 2 instruments have a maturity of ten years (until 17 January 2028) and pay fixed nominal interest rate of 6.41%.

At the same date the share capital was reduced by €950,125,000, through the cancellation of all the aforementioned 345,500,000 preference shares and since then the Greek State does not hold any preference shares of Eurobank, issued under Law 3723/2008.

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Following the above reduction, the share capital of the Bank amounts up to date to €655,799,629.50, divided into 2,185,998,765 ordinary voting shares of a nominal value of €0.30 each, which represents the total share capital of the Bank.

All ordinary shares are registered, listed on the Athens Exchange and incorporate all the rights and obligations set by the Greek legislation (note 40 to the consolidated financial statements).

Finally, as at 31 December 2017, the percentage of the ordinary shares of the Bank held by the HFSF amounted (and amounts up to date) to 2.38%. According to the Law 3864/2010 as in force, HFSF has restricted voting rights⁵.

Greek Economy Liquidity Support Program (Law 3723/2008)

The Bank, following the maturity of the remaining bonds guaranteed by the Greek Government and the full redemption of its preferences shares, does no longer participate in the Greek Economy Liquidity Support Program under Law 3723/2008, as amended and supplemented (note 4 to the consolidated financial statements).

Dividends

Based on the 2017 results in combination with the article 44a of Company Law 2190/1920, the distribution of dividends is not permitted. Under article 10 par.3 of Law 3864/2010 for the “establishment of a Hellenic Financial Stability Fund” (HFSF), for as long the HFSF participates in the share capital of the Bank, the amount of dividends that may be distributed to ordinary shareholders of the Bank cannot exceed 35% of the profits as provided in article 3 par. 1 of Law 148/1967. The dividend ban arising from the Restructuring Plan, which prescribes that neither the Bank nor any member of the Group may pay any dividend until the earlier of 31 December 2017 or the date of the full repayment of the Bank’s non-voting preference shares held by the Greek State, other than where there is a legal obligation to do so, and unless the EC agrees to an exemption, has ceased to apply effective 1 January 2018.

Major Shareholders

Based on the notification received from:

- a) the HFSF on 2 December 2015, the percentage of the ordinary shares with voting rights held by the HFSF out of the total number of ordinary shares with voting rights issued by Eurobank amounted to 2.38%, which corresponds to 52,080,673 ordinary shares with voting rights out of total 2,185,998,765 ordinary shares with voting rights issued by Eurobank. The provisions of article 7a par. 2, 3 and 6 of Law 3864/2010 are applicable on the above mentioned ordinary shares of HFSF (restricted voting rights). In the context of the above Law, HFSF exercises its voting rights in the Bank’s General Meetings only for decisions concerning the amendment of the Bank’s Articles of Association, including the increase or decrease of the Bank’s capital or the granting of a corresponding authorization to the Bank’s Board, decisions concerning the mergers, divisions, conversions, revivals, extension of duration or dissolution of the Bank, the transfer of assets (including the sale of subsidiaries), or any other issue requiring approval by an increased majority as provided for in Company Law 2190/1920.
- b) the company “Fairfax Financial Holdings Limited” (Fairfax) on 4 December 2015, the percentage of Eurobank’s voting rights held indirectly by Fairfax, on 2 December 2015, through its controlled subsidiaries, amounted to 17.29%, out of the total number of Eurobank’s voting rights, excluding those held by the HFSF, corresponding to 369,028,211 voting rights of Eurobank’s ordinary shares.
- c) the company “The Capital Group Companies, Inc” (Capital), on 4 December 2015, the percentage of Eurobank’s voting rights held indirectly by Capital on 2 December 2015, amounted to 8.5457% out of the total number of Eurobank’s voting rights, excluding those held by the HFSF. The above percentage relates to 182,358,578 voting rights of “Capital Research and Management Company” (CRMC)⁶, a company controlled by Capital.

⁵ Information regarding HFSF’s rights as owner of Bank’s ordinary shares, according to Law 3864/2010 and the Relationship Framework Agreement (RFA), is included in Corporate Governance Code and Statement

⁶ CRMC manages equity assets for various investment companies.

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Board of Directors

The Bank's Board at its meeting on 26 October 2016, appointed Mr. George E. Myhal as new independent non-executive member of the Board, in replacement of the resigned on the same day independent non-executive member Mr. Jon Steven B.G. Haick, for an equal term to the remaining term of the resigned member, while on 12 January 2017, the BoD appointed Mr. Richard P. Boucher as new independent non-executive member of the BoD, in replacement of the resigned on 3 November 2016 independent non-executive member Mr. Spyridon Lorentziadis, for an equal term to the remaining term of the resigned member. The appointment of the two new Board members was announced at the General Meeting of the Shareholders of the Bank which took place on 16 June 2017.

In addition, the Bank announced on 7 April 2017 that Mr. Wade Sebastian Burton, non-executive member of the Bank, submitted his resignation from the BoD effective as of 5 April 2017, while the BoD during its meeting on 28 April 2017 decided the non-replacement of the resigned member. Moreover, the Bank announced on 14 July 2017 that Ms. Androniki Boumi has been appointed as new representative of the Greek State to the Bank's Board according to the provisions of Law 3723/2008, in replacement of Ms. Christina Andreou who informed the Bank on her resignation on 26 May 2017, while with the BoD decision on 20 July 2017, Ms. Androniki Boumi has been integrated to the Bank's BoD.

Furthermore, on 12 October 2017, the Bank announced the appointment of Mr. Christoforos Koufalias as the new representative of the HFSF to Bank's BoD in replacement of Mr. Kenneth Howard Prince-Wright, according to the provisions of Law 3864/2010 and the Relationship Framework Agreement (RFA) signed between Eurobank and HFSF. The appointment of both BoD members was announced at the Extraordinary General Meeting of the Shareholders of the Bank, which took place on 3 November 2017.

The Bank announced on 14 December 2017 the appointment of Ms. Aikaterini Beritsi as the new representative of the HFSF to Bank's BoD in replacement of Mr. Christoforos Koufalias, according to the provisions of Law 3864/2010 and the RFA signed between the Bank and HFSF. The appointment of the new member of the BoD will be announced to the next General Meeting of the Shareholders of the Bank.

Finally, the Bank's Board at its meeting on 9 March 2018, having determined that the Bank is no longer subject to the provisions of the Greek Economy Liquidity Support Program under Law 3723/2008 and therefore the Greek State's right to participate, through its representative, in the Bank's BoD has ceased to exist, decided that Ms. Androniki Boumi shall remain in the Banks' BoD and after her cessation as representative of the Greek State, as non-executive member. The appointment of Ms. A. Boumi under her new capacity in the Bank's BoD will be announced at the next General Meeting of the Shareholders of the Bank.

The term of office of all the BoD members expires on 27 June 2018, and in any case until the date the Bank's Annual General Meeting for the year 2018 will take place.

The Bank's Board is set out in note 53 to the consolidated financial statements. Personal details of the Directors are available on the website of Eurobank (www.eurobank.gr).

Authority to issue new shares

- A. The authority that the BoD has regarding the issuance of new shares (without further prior decision of the Shareholders' General Meeting), is to issue new ordinary shares as a result of the exercise of the right to convert the convertible bonds (note 42 to the consolidated financial statements) as follows:

The BoD is authorised to issue ordinary shares to those convertible bonds holders who exercise their rights within the rules set by the convertible bond loan issued by the Bank. As authorised by the General Meeting of 30 June 2009, the BoD issued in 2009 €400m of callable bonds convertible to ordinary shares of the Bank after 5 years from their issue, upon a written declaration of the bondholder to the Bank, in accordance with the specifications of the resolution of the above General Meeting, €350m of which were allocated. As of today, following the Bank's voluntary liability management exercise-LME, announced on 29 October 2015, callable bonds of principal amount €19.5m are held by third parties.

- B. The members of the BoD are not authorized to issue new shares.

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Sundry information required under Law 3556/2007 (article 4, par.7)

By derogation of the ordinary shares held by HFSF which carry special rights and restrictions under the legislation in force and the new RFA signed by the Bank on 4 December 2015 with HFSF (note 50 to the consolidated financial statements), according to the Bank's Articles of Association:

- a) there are no restrictions on the transfer of the Bank's shares
- b) there are no shares with special controlling or voting rights
- c) there are no restrictions on voting rights
- d) the rules related to the appointment and replacement of directors as well as to the amendment of the Articles of Association are in accordance with the provisions of company law.

The Bank is not aware of any shareholders' agreements resulting in restrictions in the transfer of its shares or in the exercise of the shares' voting rights.

There are no significant agreements that enter into force, are amended or expire if there is change in the control of the Bank following a public offer.

There are no agreements between the Bank and the Directors or the staff for compensation in the event of departure as a result of a public offer.

The Auditors

During 2017 the Audit Committee reviewed the independence and effectiveness of the external auditors, including their relationship with the Group, and monitored on a quarterly basis the Group's use of the auditors for non-audit services and the balance of audit and non-audit fees paid to the auditors, according to the Bank's External Auditor's Independence Policy.

The BoD at its meeting on 16 January 2015 approved PricewaterhouseCoopers Certified Auditors (PwC) being the finally successful audit firm of the tendering process for conducting the statutory audit of the Bank's financial statements for the period 2016-2019, subject to obtaining every year, the BoD's proposal addressed to the Bank's Shareholders' General Meeting and the decision of the General Meeting for the appointment of PwC as statutory auditor of the period 2016-2019, as well as receiving any other necessary approvals each time in force.

On 4 December 2015 the Bank entered into a new RFA with HFSF, which requires, as of the financial year of 2016, to rotate its statutory audit firm, namely PricewaterhouseCoopers Certified Auditors (PwC), as it is the Group's Statutory Auditors for more than five (5) consecutive years which is the relevant threshold set out in the new RFA.

In order to ensure the efficiency of the tendering process and avoid conflicts of interest situation due to conflicted services provided in the past, the Bank requested and HFSF granted its consent on 21 November 2016 to retain PwC as the statutory auditor for the financial year 2017, subject to the 2017 General Meeting approval, following relevant BoD's proposal. Following the BoD's proposal, the Bank's Shareholders' General Meeting on 16 June 2017 approved PwC for conducting the statutory audit of the Bank's financial statements (standalone and consolidated) for the financial year 2017.

According to the provisions of Law 4449/2017, the BoD at its meeting on 24 February 2017 approved KPMG Certified Auditors A.E. (KPMG) being the successful audit firm of the tendering process for conducting the statutory audit of the Bank's financial statements (standalone and consolidated) for the period 2018 – 2022, subject to obtaining every year both the BoD's proposal addressed to the Bank's Shareholders' General Meeting and the decision of the General Meeting for the appointment of KPMG as statutory auditor for the period 2018-2022, as well as receiving any other necessary approvals each time in force.

Non financial information required under Law 4403/2016

Eurobank's strategy not only aims at optimising its financial performance but also emphasizes on the contribution to the economy in a holistic manner. Giving back to the community is a key component of the Group's identity which includes both support for the economy through development as well as strengthening other aspects of social life, such as Education, Culture, Sports, the Environment, but also Social Welfare for vulnerable groups of the community. Based on the principles of transparency, credibility,

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honesty and corporate governance the Group builds solid relationships of trust and cooperation with its stakeholders. In this context, the Group takes actions and initiatives to promote entrepreneurship, rewards excellence, promote innovative products and services, minimise the Group's environmental footprint and ensure better prospects for its employees.

Employee Engagement

The Group's employees are the greatest asset for its success and sustainable development. The recruitment process is considered to be the starting point of a long-lasting and mutually beneficial partnership between the employee and the Group. As at 31 December 2017, the Group employed 15,536 employees of which 6,118 abroad. Gender and age distribution reflects the equal opportunities approach that the Group implements. In particular, 69% of the employees of the Group are less than 45 years old, while the gender distribution is quite balanced with women reaching the 64% of the total employees.

In order to ensure equal and fair treatment of all employees, the Group implements a number of policies in Greece and abroad in the areas of Remuneration, Recruitment, People Talent Development, Performance Management, Training, Communication, Relatives and Health & Safety. The Group respects human rights, equal opportunities and diversity vis a vis its clients, suppliers and employees. The Group's objective is to recruit and retain its employees regardless of race, religion, age, gender, sexual orientation or disability. The Group strives to ensure that its workforce reflects the communities in which it operates and the international nature of the organization. The Group recognizes that diversity is a key part of a responsible business strategy in support of its International Operations.

The Bank is revising its compensation framework taking into consideration market trends and conditions with the aim to create an attractive compensation framework that will attract, engage and retain its employees and on the other hand the regulatory and legal restrictions. As a result, the basic principles of the compensation framework, which ensure a proper balance between the individual employees' objectives and the Bank's business strategy as well as the long-term value creation for the shareholders, are the following:

- a) Safeguard that the compensation is sufficient to retain and attract executives with appropriate skill and experience
- b) Monitor that internal equity between Business Units is applied
- c) Avoid excessive risk behaviour
- d) Link compensation with long-term performance

Aiming at providing employees with accurate and timely business updates, professional advancement and training, the Group implements a modern training and career development framework. The training agenda mainly focuses on development of Leadership and Managerial skills, technical job related skills and certifications and applicable banking experience at all levels. In addition, the Group places special emphasis on "Counter Fraud" programs, Bank of Greece Certification programs and as well as positivity and collaboration skills enhancing programs. The Group's Training Key Performance Indicators for 2017 were as follows:

- a) Training days per employee: 3.7
- b) Percentage of employees who participated in training: 90.8%
- c) E-learning training in Greece 48.1% and abroad 36.1%

The Group's Performance Management process in Greece and Cyprus is driven by its newly launched employee development system "Axiopio" and its two main pillars that streamline employee's performance with the Group's strategy and its culture. Moreover, the Group's strategic priority is to offer career development opportunities to its employees, thus the majority of the job vacancies within the Group are covered from within.

Employees are systematically kept informed on a series of issues of interest and/or corporate issues through a variety of means including print, interpersonal and online ways, such as the internal newsletter "Metaxy mas", intranet, Managements' announcements as well as corporate videos. Furthermore, several town hall meetings with the participation of Senior Management members take place, strengthening the corporate culture.

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An extended internal communication concerning our Group's Values took place aiming at establishing a common culture among employees and at reflecting our Group's identity. All employees had the opportunity to watch the event via live streaming. Posters, printed material and videos were also distributed in all buildings.

In order to enhance family bonds, Eurobank rewards its employees and their children, for excellent academic performance, thus encouraging them to continue pursuing educational advancement goals. Moreover, employees and their families are actively involved in volunteer initiatives.

Additionally, our new employee recognition programme was launched. The new programme called "Sto Epikentro" is based on Eurobank's Values and Vision as well as the following pillars:

- a) Cooperation
- b) Innovation
- c) Customer centricity
- d) Years of service

The Group respects employees' constitutional right to membership in Labour Unions. Six such Unions are currently active within the Bank, representing 88.6% of the staff, i.e. almost 7.133 employees. The most multitudinous of these Unions is recognized as the official representative in labour negotiations with the Bank's Management. The employees are covered by (industry-wide and enterprise-level) collective labour agreements, while for the Bank labour relations are regulated by the current laws and the Bank's Statute of Internal Service.

Finally, the Bank takes particular care of health and safety measures, implementing preventive health programs, by maintaining a blood bank for employees' blood donations and by operating a psychological support line in cooperation with an Employee Assistant Program (EAP) specialist center. Last but not least, the Bank implements a certified Health & Safety Management System in order to promote a workplace of high safety and well-being standards.

Corporate Social Responsibility

Since its formation, the Group has embarked on social responsibility activities, which address the concerns of society and the local communities. The Bank actively contributes to the economic growth of the country and recognizes the importance of entrepreneurship as a major lever for the expansion of the Greek economy. In particular, the Bank designs and implements actions that contribute to boosting entrepreneurship, focusing on supporting Greek businesses to be outward-looking, as well as the innovation and encouragement of new entrepreneurial initiatives. In this framework, the Bank implements the "Go International" Business Missions Program. In 2017, the 7th Business Mission Program "Go in Crete" took place, giving the chance to more than 100 Greek exporters to come into contact with over 50 leading international buyers from 22 countries, and organizing more than 2,430 scheduled meetings. At the same time, the Bank, in collaboration with the three leading export agents of Greece (PanHellenic Exporters Association, Greek International Business Association, Exporters' Association of Crete) and SEV-Hellenic Federation of Enterprises, has developed Exportgate.gr, a pioneering internet portal for international trade and business networking. In 2017, Exportgate was included, as a founding member, in "Trade Club Alliance", the world's first digital network of international trade and business interconnection, supported by 7 international banking groups in 22 countries.

In the area of innovative youth entrepreneurship, the Bank, in collaboration with Corallia, an organization which offer management services to Greek innovation clusters, implements the "egg-enter•grow•go" program, which provides, both to teams of young entrepreneurs and to individuals, an integrated framework for business incubation, acceleration and co-operation. In 2017, the 5th cycle of the program was launched, where for the first time citizens living in other member-states of the EU were offered the opportunity to submit a business plan, while the age limit for participation in the program was extended to 49 years of age.

To encourage innovation, the Bank, in collaboration with business operators, Found.ation M.P. and The Cube, organizes the regional competition "Beyond Hackathon", aiming at developing innovative financial technology oriented products and services. In this context, in 2017, the second contest was completed, in which 35 teams made presentations aiming to win 3 money prizes.

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The Bank has undertaken a series of initiatives in order to support society in the critical field of Education. Since 2003, has implemented a program entitled, “The Great Moment for Education”, by which the top high school graduates from all over the country are awarded every year. By 2017, the fifteenth year of this institution, the Bank has awarded more than 16,800 top pupils throughout the country. Moreover, in collaboration with “Apostoli”, an organization run by the Holy Archbishopric of Athens, the Bank supports the program “Apostoli stands by the students”, offering every month about 44,000 “parcels of love” to 2,000 families with children at school (about 7,000 members), while €1.4m has been granted in total by the Bank in the form of donations, and €0.4m has been gathered by means of donations made by the Bank’s employees and clients. Also, the Bank supports a significant number of non-governmental organizations and institutions supporting mainly children and vulnerable population groups. At the same time the Bank is actively promoting cultural and athletic events in the country.

Eurobank promotes dialogue with stakeholders including all interested parties, that is those natural and legal persons which, directly or indirectly, are involved, influence, or are affected by, its activity and operation. In this context, the Bank follows the procedure of tracking and illustrating the more important issues of corporate responsibility. Through Materiality Analysis, which is based both on the strategic approach of issues of sustainability and on the feedback received by the interested parties, the following issues (in order of priority) have emerged as being significant for the Bank:

- a) Supporting young entrepreneurship, applied research and innovation
- b) Rewarding Excellence
- c) Supporting the Greek economy
- d) Improvement of products and services
- e) Addressing the impact of the economic crisis
- f) Responsible information and customer service
- g) Market presence
- h) Training and development of human resources
- i) Deployment of human resources

The Bank follows internationally acknowledged standards and principles when preparing Sustainability Reports, such as the United Nations Global Compact, which the Bank signed in 2008, the Global Reporting Initiative (GRI), as well as the framework of the International Organization for Standardization ISO 26000. The Bank is aiming to become a pioneer institution in the banking sector, while supporting its customers, on the basis of the principles of corporate responsibility.

Protection of environment

The sustainable business growth is an essential part of the corporate culture of the Group. As a financial group, it is aware of the direct and indirect environmental impacts of its operations and therefore the Group seeks and sets specific objectives and targets for the optimal use of natural resources, the minimization of waste production, the protection of the environment, the mitigation and adaptation to climate change and the protection of biodiversity and ecosystems. Moreover, the Group encourages its customers, suppliers, employees, shareholders and the society at large, towards the adoption of sustainability best practices in accordance with International Organizations’ Guidelines and Initiatives.

The Group is committed to minimize its environmental footprint and to promote green economy. In this context, the Group implements a sustainability policy, an environmental policy and an energy management policy, towards the protection of the environment in all aspects of its operations. Furthermore, the Group within the framework of the implementation of the environmental policy, has established a Green Procurement Policy, aiming to evaluate and select suppliers based on environmental criteria.

In the context of these policies, the Group implements certified management systems, in accordance with International Standards, such as a Quality Management System (ISO 90001), an Environmental Management System (ISO 14001, EMAS) and an Energy Management System (ISO 50001). The implementation of these management systems is supported by relevant e-learning training programs. Additionally, for the integration of the Environmental and Social (E&S) issues into its business model, the Group has developed an Environmental and Social Management System (ESMS) in accordance, among others, with the requirements and expectations of Group’s institutional investors, shareholders and other stakeholders. The responsibility of the sustainable development and environmental issues is assigned to the Group Environmental and Sustainability Committee, chaired by a Deputy Chief Executive Officer.

REPORT OF THE DIRECTORS

The Group is actively involved in a series of International, European and National Initiatives for environmental protection, sustainable development and responsible entrepreneurship such as the United Nations Environment Program Finance Initiative (UNEP FI), the EU Eco-Management and Audit Scheme (EMAS), the Energy Efficiency Financial Institutions Group (EEFIG), the Sustainable Development Committee of the Hellenic Bank Association, the Hellenic Network for Corporate Social Responsibility (CSR Hellas) and the Sustainable Greece 2020 Initiative.

In 2017, Eurobank was included in the sustainability stock index Financial Times Stock Exchange 4Good (FTSE4GOOD) Emerging Index, demonstrating the strong social and environmental responsibility of the Bank. The international stock index assesses the performance of the listed companies regarding their Environmental, Social and Governance (ESG) performance. Moreover, the Group is a Sustainability Ambassador of the Greek Sustainability Code, demonstrating its commitment to the principles of sustainable development, responsible entrepreneurship and social responsibility.

The Group is also actively involved in the development of green products and services such as the WWF VISA, the “Green” Home Loan, and the Renewable Energy Investment Loan as well as in issuing e-Statements to reduce its environmental footprint.

The environmental performance, with respect to the improvement of the operational environmental footprint, is monitored through specific environmental indicators in order to identify any deviations and corrective actions, and is included in the Annual Corporate Responsibility Report and in the Environmental Report (EMAS), which are available at the website (www.eurobank.gr).

Actions against corruption and bribery incidents

The Group is committed to pursuing the fundamental values of integrity, transparency and accountability. It is also committed to safeguarding its reputation and client base. The Group has adopted a zero tolerance approach against all types of fraud, including bribery.

Recognizing that any involvement in cases of bribery not only constitutes a crime, but also reflects adversely on its reputation and client base, the Group takes the following measures aimed at limiting its exposure to bribery:

- a) Setting out a clear approach to deal with the risk of bribery.
- b) Establishing a robust system of internal controls that does not tolerate bribery.

In accordance with the relevant legislation, the Group prohibits bribery in any form either direct or indirect (through a third party). The Bank requires all staff at all times to act honestly and with integrity and abstain from either receiving or offering bribes.

In this context, the Group has adopted the following policies and procedures to govern the treatment of bribery and corruption cases encountered:

- a) Policy for Reporting Unethical Conduct
- b) Anti-Bribery Working Instruction
- c) Client Entertainment and Gifts Policy
- d) Management of Sponsorships and Donations
- e) Code of Professional Conduct

The Group Compliance Sector is responsible for issuing policies and procedures to combat bribery and corruption cases. Each unit of the Bank is responsible for complying with the existing policies. The Market & Internal Conduct Division carries out checks and monitors any violations that may occur. The Forensic Audit Division investigates all cases of suspected internal fraud /misconducts that surface.

REPORT OF THE DIRECTORS

Related party transactions

As at 31 December 2017, the Group's outstanding balances of the transactions and the relative net income / expense for 2017 with (a) the key management personnel (KMP) and the entities controlled or jointly controlled by KMP are: compensation €7.3m, receivables €6.8m, liabilities €6.6m, guarantees received €0.04m, net income €0.04m and (b) the associates and joint ventures are: receivables €57.8m, liabilities €61.9m, guarantees issued €4.6m, net expense € 26.8m.

At the same date, the Bank's outstanding balances of the transactions and the relative net income / expense for 2017 with (a) the KMP and the entities controlled or jointly controlled by KMP are: compensation €6.2m, receivables €6.7m, liabilities €2.9m, guarantees received €0.04m, net income €0.04m, (b) the associates and joint ventures are: receivables €13.8m, liabilities €48.1m, guarantees issued €4.6m, net expense €18.5m and (c) the subsidiaries are: receivables €2,742m (of which €1,200m related to interbank lending to international banking subsidiaries), liabilities €3,891m (of which €3,388m related to interbank borrowing from international banking subsidiaries), guarantees issued €661m, net income €24.8m.

All transactions with related parties are entered into the normal course of business and are conducted on an arm's length basis. Further information is provided in the note 50 to the consolidated financial statements and note 45 to the financial statements of the Bank.

Corporate Governance Statement

Eurobank's Corporate Governance Code and Practices are on the website (www.eurobank.gr). The Corporate Governance Statement attached herewith, is an integral part of the Directors' Report.

Nikolaos Karamouzis
Chairman

Fokion Karavias
Chief Executive Officer

28 March 2018

REPORT OF THE DIRECTORS

APPENDIX

Definition of selected financial ratios / measures

- a) **Loans to Deposits ratio:** Loans and advances to customers (net of impairment allowance) divided by Due to customers at the end of the reported period,
- b) **Pre-Provision Income (PPI):** Profit from operations before impairments, provisions and restructuring costs as disclosed in the financial statements for the reported period,
- c) **Core Pre-provision Income (Core PPI):** The total of net interest income, net banking fee and commission income and income from non banking services minus the operating expenses of the reported period,
- d) **Net Interest Margin:** The net interest income of the reported period, annualised and divided by average balance of total assets (the arithmetic average of total assets, excluding assets classified as held for sale, at the end of the reported period and at the end of the previous year),
- e) **Fees and commissions:** The total of net banking fee and commission income and Income from non banking services of the reported period,
- f) **Income from trading and other activities:** The total of dividend income, net trading income, gains less losses from investment securities and net other operating income of the reported period,
- g) **Cost to Income ratio:** Total operating expenses divided by total operating income,
- h) **Non-performing exposures (NPEs):** Non Performing Exposures (in compliance with EBA Guidelines) are the Bank's material exposures which are more than 90 days past-due or for which the debtor is assessed as unlikely to pay its credit obligations in full without realization of collateral, regardless of the existence of any past due amount or the number of days past due,
- i) **NPEs ratio:** Non Performing Exposures (NPEs) divided by Gross Loans and Advances to Customers at the end of the relevant period,
- j) **NPEs formation:** Net increase/decrease of NPEs in the reported period excluding the impact of write offs, sales and other movements,
- k) **NPEs Coverage ratio:** Impairment allowance for loans and advances to customers divided by NPEs at the end of the reported period,
- l) **Provisions (charge) to average Net Loans ratio (Cost of Risk):** Impairment losses on loans and advances charged in the reported period, annualised and divided by the average balance of net loans and advances to customers (the arithmetic average of net loans and advances to customers at the end of the reported period and at the end of the previous year),
- m) **Total Capital Adequacy ratio:** Total capital as defined by Regulation (EU) No 575/2013 based on the transitional rules for the reported period, divided by total Risk Weighted Assets (RWA). The RWA are the Group's assets and off-balance-sheet exposures, weighted according to risk factors based on Regulation (EU) No 575/2013, taking into account credit, market and operational risk,
- n) **Common Equity Tier 1 (CET1):** Common Equity Tier I capital as defined by Regulation (EU) No 575/2013 based on the transitional rules for the reported period, divided by total Risk Weighted Assets (RWA),
- o) **Fully loaded Common Equity Tier I (CET1):** Common Equity Tier I capital as defined by Regulation No 575/2013 without the application of the relevant transitional rules, divided by total RWA.

Source of financial Information

The Directors' Report includes financial data and measures as derived from the Bank's consolidated financial statements for the year ended 31 December 2017 and the consolidated financial statements for the year ended 31 December 2016, which have been prepared in accordance with International Financial Reporting Standards (IFRS).

In addition, it includes information as derived from internal information systems, consistent with the Group's accounting policies, such as the selected financial information for the Group's two main reportable segments a) Greek Operations, which incorporate the business activities originated from the Bank and the Greek subsidiaries and b) International Operations, which incorporate the business activities originated from the banks and the local subsidiaries operating in Bulgaria, Serbia, Cyprus and Luxembourg (as described at the relevant section on page 5).

CORPORATE GOVERNANCE STATEMENT 2017

1. Corporate Governance Code and Practices

In compliance with the Greek legislation as well as with the Bank's contractual obligations to the Hellenic Financial Stability Fund (HFSF) and based on the international best practices on corporate governance, Eurobank Ergasias S.A. ("the Bank" or "Eurobank"), has adopted and implements a Corporate Governance Code ("Code"), which describes its basic corporate governance principles. The Code and relevant corporate governance practices are available on the Bank's website (www.eurobank.gr).

2. Board of Directors¹

2.1 General

The Bank is headed by a Board of Directors (Board) which is collectively responsible for the long-term success of the Bank. The Board exercises its responsibilities effectively and in accordance with the Greek legislation, international best practices and the Bank's contractual obligations to the HFSF under the Relationship Framework Agreement (RFA) signed between the Bank and the HFSF.

The Board's role is to provide entrepreneurial leadership to the Bank and its subsidiaries (collectively the "Group") within a framework of prudent and effective controls which enables risk to be assessed and managed. The Board sets the Group's strategic aims, ensures that the necessary financial and human resources are in place for the Group to meet its objectives and reviews management performance. The Board sets the Group's values and standards and ensures that its obligations to its shareholders and others are understood and met. All Directors must act in what they consider to be the best interests of the Group, consistent with their statutory duties.

2.2 Composition of the Board

The members of the Board are elected by the Bank's General Meeting which also determines the exact number of the directors, within the limits of the Law and of the Bank's Articles of Association, their term of office and designates the independent non-executive directors. The current Board, as of the date of approval of the here-in Statement, consists of thirteen (13) Directors of whom, three (3) executives, three (3) non-executives, six (6) independent non-executives and one (1) representative of the HFSF, who has been appointed (as non-executive Director) in accordance with relevant legal requirements. The Board's term of office, following the resolution of the Bank's Annual General Meeting held on June 26, 2015, expires on June 27, 2018, and in any case until the date the Bank's Annual General Meeting for the year 2018 will take place.

The appointments of Mr. George E. Myhal on 26 October 2016 and of Mr. Richard P. Boucher on 12 January 2017 as new independent non-executive members of the BoD, in replacement of resigned members in 2016, were announced to the General Meeting of the Shareholders of the Bank which took place on 16 June 2017.

In addition, the Bank announced on 7 April 2017 that Mr. Wade Sebastian Burton, non-executive member of the Bank's Board, submitted his resignation, effective as of 5 April 2017, while the Board at its meeting on 28 April 2017 decided to retain a size of 13 members, according to the HFSF corporate governance review criteria developed as per the relevant provisions of Law 3864/2010.

Moreover, the Bank announced on 14 July 2017 that Ms. Androniki Boumi has been appointed as new representative of the Greek State to the Bank's Board according to the provisions of Law 3723/2008, in replacement of Ms. Christina Andreou who informed the Bank on her resignation on 26 May 2017, while with the BoD decision of 20 July 2017, Ms. Androniki Boumi was integrated to the Bank's BoD. Furthermore, on 12 October 2017, the Bank announced the appointment of Mr. Christoforos Koufalias as the new representative of the HFSF to Eurobank's BoD in replacement of Mr. Kenneth Howard Prince-Wright, according to the provisions of Law 3864/2010 and the RFA. The appointment of both BoD members was announced to the Extraordinary General Meeting of the Shareholders of the Bank, which took place on 3 November 2017.

Additionally, the Bank announced on 14 December 2017 the appointment of Ms. Aikaterini Beritsi as the new representative of the HFSF to Eurobank's BoD in replacement of Mr. Christoforos Koufalias according to the provisions of L.3864/2010 and the RFA. The appointment of the new member of the BoD will be announced to the next General Meeting of the Shareholders of the Bank.

Finally, further to the full redemption on 17.01.2018 of the preference shares issued by the Bank and subscribed to by the Greek State (Pillar I) and the full repayment on 30.10.2017 of the Pillar II bonds issued by the Bank under the Greek State guarantee, Eurobank's BoD acknowledged on 09.03.2018 that the Bank ceased to be subject to the provisions of the

¹ Information regarding the Board's composition is included in note 53 of the consolidated accounts and short biographical details of its members may be found at the bank's website (www.eurobank.gr).

Greek Economy Liquidity Support Program under Law 3723/2008 and that the Greek State's right to participate, through its representative, to the Bank's BoD has ceased to exist as of 17.01.2018. Moreover, the BoD decided that Ms. Androniki Boumi is appointed to the Bank's BoD as non-executive Director, her tenure being equal to the tenure of the other BoD members. The appointment of Ms. Androniki Boumi in the BoD under her new capacity will be announced at the next General Meeting of the Shareholders of the Bank.

The Board currently consists of the following members:

		First appointment	End of Term
Nikolaos V. Karamouzis	Chairperson, Non-Executive	Feb. 2015	2018
Fokion C. Karavias	Chief Executive Officer	Jun. 2014	2018
Stavros E. Ioannou	Deputy Chief Executive Officer	Apr. 2015	2018
Theodoros A. Kalantonis	Deputy Chief Executive Officer	Apr. 2015	2018
Androniki Boumi	Non-Executive Director	Jul. 2017	2018
George K. Chryssikos	Non-Executive Director	Jun. 2014	2018
Richard P. Boucher	Non-Executive Independent Director	Jan. 2017	2018
Stephen L. Johnson	Non-Executive Independent Director	May 2015	2018
Bradley Paul L. Martin	Non-Executive Independent Director	Jun. 2014	2018
Jawaid A. Mirza	Non-Executive Independent Director	Jun. 2016	2018
George E. Myhal	Non-Executive Independent Director	Oct. 2016	2018
Lucrezia Reichlin	Non-Executive Independent Director	Jun. 2016	2018
Aikaterini Beritsi	Non-Executive Director, HFSF Representative	Dec. 2017	2018

There are no restrictions in the re-election and cessation of Directors in the Bank's Articles of Association. The Board, may decide with a resolution of its remaining members, provided that they are at least three (3), to elect new members in order to replace those whose membership has lapsed (due to resignation, death or in any other way). In any such case of members whose membership has lapsed, the Board is entitled to continue the management and representation of the Bank, without being obliged to replace the lapsed members, provided that the number of the remaining members exceeds half of the number of the members prior to the event that led to the lapse of their membership and, in any case, is not less than three (3).

According to the Bank's Articles of Association, the Board may consist of three (3) to twenty (20) members, while, under the RFA, this range has been specifically set to be between seven (7) and fifteen (15) members (including the representative of the HFSF). In addition, according to the RFA, (a) the number of the Board's members must always be odd, (b) the majority of the directors must be non-executive members with at least half of the non-executive members (rounded to the nearest integer) and in any case not less than three (3) (excluding the representative of the HFSF), being independent non-executive members in accordance with the provisions of Law 3016/2002 on corporate governance and the European Commission Recommendation 2005/162/EC and (c) the Board should include at least two (2) executive members. For any differentiations from RFA's provisions the HFSF's prior consent should be received. Furthermore, according to the HFSF corporate governance review criteria developed as per the relevant provisions of Law 3864/2010, the target size of the Board should be up to thirteen (13) members.

2.3 Provisions of Law 3864/2010, as in force, regarding the composition of the Board

Law 3864/2010, as in force, has introduced certain minimum requirements with respect to the size, the structure and the members of the Board and the Board Committees of the credit institutions whose corporate governance framework may be assessed by the HFSF according to the relevant provisions of Law 3864/2010. In particular, Board members must (i) have a minimum of ten years of experience as senior executives in banking, auditing, risk management or management of risk-bearing assets, with three years of experience, with respect to the non-executive members, as board members of a credit institution, a financial sector enterprise or an international financial institution, (ii) not serve or have been entrusted during the last four years with prominent public functions, such as heads of state or of government, senior politicians, senior government, judicial or military officials or prominent positions as senior executives of state owned corporations or political party officials, and (iii) have declared any economic connections with the credit institution prior to their appointment. In addition, the Board must comprise at least: (i) three experts as independent non-executive directors, with sufficient knowledge and international experience of at least 15 years with financial institutions of which at least three years as members of an international banking group which is not active in the Greek market unrelated to any Greek credit

institution during the past decade, which shall chair all board committees, and (ii) one member with at least five years of international experience and specialisation in risk or NPL management, who shall be responsible for NPL management at board level and shall chair any special board committee for NPL management, which regarding the Bank, HFSF, after consultation with European Central Bank (ECB) and Single Supervisory Mechanism (SSM), acknowledged that such committee is the Board Risk Committee. Furthermore, and based on the provisions of article 10, par. 6 of Law 3864/2010, the HFSF with the assistance of an independent consultant has developed additional criteria as to the eligibility of individual Board members.

2.4 HFSF's rights according to Law 3864/2010 and the RFA

According to the Law 3864/2010 the HFSF for the realization of its objectives and the exercise of its rights a) determines the framework of the RFA or of the amended RFA, as the case may be, with all credit institutions that are or have been beneficiaries of financial assistance provided by the European Financial Stability Fund (EFSF) or the European Stability Mechanism (ESM) and b) the credit institutions should sign the mentioned RFA. In this context, a new RFA was signed between the Bank and the HFSF on 4.12.2015 with immediate effect, replacing the previous one dated 26.8.2014.

The RFA regulates, among others, (a) the corporate governance of the Bank, (b) the Restructuring Plan and its monitoring, (c) the monitoring of the implementation of the Bank's Non-Performing Loans (NPL) management framework and of the Bank's performance on NPL resolution. Furthermore it deals with (d) the Material Obligations and the switch to full voting rights, (e) the monitoring of Bank's actual risk profile against the approved Risk and Capital Strategy, (f) the HFSF's prior written consent for the Bank's Group Risk and Capital Strategy and for the Bank's Group Strategy, Policy and Governance regarding the management of its arrears and non-performing loans and any amendment, extension, revision or deviation thereof, and (g) the duties, rights and obligations of HFSF's Representative in the Board.

According to the RFA provisions, HFSF appoints its Representative by a simple written notice addressed to the Chairperson of the Board. The Board shall immediately approve his/her appointment and take all necessary actions according the Bank's Articles of Association and Company Law 2190/1920 for the completion of this appointment, including the required notification to the General Meeting. In case such appointment exceeds the number of the elected Board members by the General Meeting or goes beyond the maximum number of members of which, according to the Bank's Articles of Association, may be elected in its Board, the Bank should immediately convene an Extraordinary General Meeting for the election of the new member in the Board and proceed if necessary, with a relevant amendment to its Articles of Association for the increase of the number of the Board's members in the Board.

Furthermore, according to RFA provisions, HFSF is entitled to appoint one Observer in the Bank's Board, who has no voting rights in the Board. HFSF appoints its Observer or his/her replacement by a simple written request addressed to the Chairperson of the Board. His/her appointment is completed immediately from the receipt by the Bank of the said written request with no further procedures to be required. The Observer is HFSF's portfolio manager acting as the contact person with the Bank and explicitly charged with the monitoring of the Bank.

Regarding the Board operations, the HFSF's Representative has the right to: a) request the convocation of the Board, b) add items on its agenda, c) request the postponement of a Board meeting for three (3) business days so as to receive directions from the HFSF's Executive Board, d) veto any resolution of the Board (i) related to dividend distributions and the remuneration policy and the additional compensation (bonus) of Board members, of General Managers or of those to whom the duties of a General Manager have been assigned as well as of their deputies, (ii) that may jeopardise depositors' interests or seriously impact the liquidity or the solvability or in general the prudent and concise operation of the Bank (such as business strategy, asset/liability management etc), (iii) concerning corporate actions resulting in the amendment of the Bank's Articles of Association, including the increase or reduction of the capital or the corresponding authorization to the Board, the mergers, divisions, conversions, revivals, extension of term or dissolution of the Bank, the transfer of assets, including the sale of subsidiaries, or for any other issue requiring increased majority as provided for in Company Law 2190/1920 which may materially impact HFSF's participation in the Bank's share capital, e) approve the Bank's Chief Financial Officer.

HFSF is entitled to review the Bank's annual Board and the Board Committees' self-assessment for the purpose of identifying weaknesses and improving working methods and effectiveness as well to perform its own evaluation of the corporate governance arrangements of the Board and its Committees, with the assistance of independent consultants of international reputation and established experience and expertise, in accordance with the article 10 of Law 3864/2010. This review will be in line with prudent international practices by applying criteria that go beyond supervisory fit and proper requirements.

2.5 Division of responsibilities

There is a clear division of responsibilities at the head of the Bank between the proper operation of the Board and the day-to-day management and control of the Bank's business. The roles of Chairperson and CEO are not exercised by the same person.

The Executive Directors have responsibility for the day-to-day management and control of the Group and the implementation of its strategy. The non-Executive Directors are responsible for the overall promotion and safeguarding of the Bank's interests, constructively challenge and help develop proposals on strategy and approve, revise and oversee the

implementation of the remuneration policy both at Bank and Group level. The Independent non-Executive Directors have the duty, if they consider it necessary; to submit each one of them or jointly to the General Meeting their own reports other than those of the Board on a specific subject.

2.6 Operation of the Board

The Chairperson of the Board chairs the Board and ensures its effectiveness on all aspects of its role. He is non-executive and does not serve as Chairperson of either the Board Risk or the Audit Committees. The CEO is accountable for and manages strategy development and implementation in line with the vision of the Bank. He is responsible for leading the organisation to the achievement of its objectives.

The Board meets regularly every quarter and on an ad hoc basis, whenever the law or the Bank's needs necessitate it, given at least two (2) business days' notice as per Company Law 2190/20 provisions, otherwise a decision is taken only when all members of the Board are present or represented and nobody objects to the convocation of the meeting and to the taking of decisions. In addition, according to the RFA provisions the Board informs the HFSF's Representative and the Observer on the activities and the decisions of the Board and to that end it shall notify to them the agenda together with the relevant supporting material at least three (3) business days prior to the Board meeting, otherwise, unless an emergency case unforeseeable by the Bank exists, the HFSF Representative is entitled to request a postponement of the Board meeting which shall be resumed the earliest after three (3) business days, provided that the aforementioned documents are provided to him/her on time. In case where an item on the agenda requires, as per RFA provisions, the prior HFSF consent, the Bank should not submit it for approval to the Board before HFSF consent is granted, unless otherwise agreed between the Bank and HFSF. For urgent matters, the Board may approve matters subject to subsequent HFSF consent.

The Board is considered to be in quorum and meets validly when at least half plus one of its members are present or represented. The number of the present members is not allowed to be less than three (3). For defining the quorum any resulting fraction is omitted. Decisions of the Board are taken by absolute majority of the Directors that are present or represented. In case of parity of votes, the vote of the Chairperson of the Board does not prevail. During 2017 the Board held eighteen (18) meetings (2016: 26) and the average ratio of the Directors attendance was 95% (2016: 95%). Submissions to the Board are normally circulated together with the agenda. Decisions are taken following discussions which exhaust the agenda items to the satisfaction of all Directors present. Board meetings minutes are kept by the Secretary of the Board, are approved at subsequent Board meetings and signed by all Directors present. The RFA provides for, on an individual basis, compulsory attendance of Board members of at least 85%. Each member may miss up to 15% of individual meetings if a valid excuse is provided. Finally, the drawing up and signing of minutes by all the members of the Board of Directors or their representatives is equal to a decision of the Board of Directors, even if no meeting has preceded.

2.7 Directorships of Board members

The number of directorships which may be held by the Board members at the same time comply with the provisions of Law 4261/2014 (art. 83), according to which the Directors shall not hold more than one (1) of the following combinations of directorships at the same time: a) one (1) executive directorship with two (2) non-executive directorships; and b) four (4) non-executive directorships. This restriction is not applied on directorships within the Group. Bank of Greece (BoG) as the competent authority may authorize Board members to hold one (1) additional non-executive directorship. According to the 2017 review of the Board members directorships, all members are compliant with the provisions of Law 4261/2014.

2.8 Conflict of interest

The Group, based on the "Conflict of Interest Policy and Rules for Personal Transactions" has adopted a series of Policies, measures and procedures that must be followed in order to prevent and manage conflict of interest situations, as encountered in the provision of investment or ancillary services to its clients and in the general business activities of the Group.

To avoid situations of conflicting duties, each company within the Group, segregates the executive and supervisory responsibilities of the members of the Board of Directors, including the division of the responsibilities of the Chairperson of the Board of Directors with the executive responsibilities of the Managing Director. More specifically, by adopting appropriate procedures, effective segregation of duties is ensured, so as to avoid cases of incompatible roles, conflict of interests between the members of the Board of Directors, Management and Executives, but also between the aforementioned and those of the Bank and its transacting parties, as well as the unlawful use of inside information or assets.

The Board members:

- must comply with the high standards and principles of professional ethics in the performance of their duties, apply the principles of the "Conflict of Interest Policy and Rules for Personal Transactions" and refrain from any activity or conduct that is inconsistent with it.
- are prohibited from pursuing personal interests that run counter to the interests of the Bank (or the Group) and must timely disclose to the other members of the Board of Directors of any personal/own interests that may arise from the

Bank's transactions which fall within their line of responsibility, as well as of any other conflict of their own personal interests with those of the Bank or its related companies, which may arise in the course of their duties.

- must ensure the privacy and the confidentiality of non-publicly available information and refrain from behaviors that would constitute market abuse and conflict of interest.

2.9 Remuneration

The Group's remuneration policy promotes sound and effective risk management and is consistent with the objectives of the Bank's business and risk strategy, corporate culture and values, long term interests of the Bank and the measures used to avoid conflicts of interest and should not encourage excessive risk-taking on behalf of the Bank. The 2017 Board and key management remuneration disclosure is included in note 50 of the consolidated accounts. In addition, in order to ensure adequate transparency to the market of the remuneration structures and the associated risks, the Bank discloses in its website www.eurobank.gr, detailed information on the remuneration policies, practices and, for confidentiality reasons, aggregated amounts for those members of staff whose professional activities have a material impact on the risk profile of the Bank, and publishes accordingly all information as per current legislation.

2.10 Main issues the Board dealt with during 2017

In discharging its responsibilities for 2017 the main issues the Board dealt with related to:

a) Governance:

- election of new Board members and approval of Board Committees' composition,
- preparation and convocation of the Bank's Shareholders General Meetings,
- annual evaluation of the Board and the Board Committees,
- approval of the revised Board of Directors Nomination, Board and Board Committees Evaluation and Board of Directors Diversity Policies,
- approval of Senior Management selection and Appointment policy,
- review Senior Executives succession plan,
- approval of the revised Terms of Reference of the Audit Committee as well as of the Nomination Committee,
- regular update on Board Committees' matters,
- various remuneration issues.

b) Corporate and other actions:

approved the following:

- Exchange of bonds issued by the European Financial Stability Fund,
- sale of the Bank's subsidiaries in Romania,
- sale of the Bank's entire remaining share in Grivalia Properties R.E.I.C. S.A.,
- sale of the "King George Hotel" real estate property,
- sale of NPE portfolios,
- selection of the audit firm for conducting the statutory audit of the Bank's financial statements for the period 2018-2022, in the context of a tendering process carried out.

c) Capital adequacy:

- end of participation of the Bank in the Greek Economy Liquidity Support Programme under L.3723/2008,
- update of the Bank's Global Covered Bond issuance program,
- amendment of the program for the issuance of EMTN Programme.

d) Business monitoring:

- approval of the 2016 annual financial statements and the 2017 interim financial statements,
- approval of the annual budget 2017 and the 3-Years Business Plan for the period 2017-2019,
- review and discussion of the Annual Budget 2018 and the 3-Years Business Plan for the period 2018-2020 subsequent approval in January 2018,
- review of the implementation progress of the Restructuring Plan,
- approval of the Bank's Non-Performing Exposures (NPE) Targets for the period 2017-2019 and the NPE management Strategy (SSM targets),
- update on the progress of IFRS 9 thematic review,
- update on significant subsidiaries activities and strategic priorities,
- review of business developments and liquidity.

e) Risk Management and Internal Control:

- briefing on the assessment on Internal Audit Group and Group Compliance annual regulatory reports,
- presentation of the 2017 Internal Capital & Liquidity Adequacy Assessment Process (ICAAP & ILAAP 2017),
- approval of Eurobank's Capital and Liquidity Adequacy Statements and Risk Appetite Statements,
- update on the Group Chief Risk Officer's Annual Report for the year 2016,
- update on TAG report and Group Chief Risk Officer's opinion thereof,
- approval of the 2016 consolidated Pillar 3 Report (capital and risk management disclosures),

- regular briefing on Risk and Audit Committees matters,
- update on the 2016 Annual Activity Report of the Audit Committee,
- approval of new or revised policies as per the legal or regulatory framework and internal processes,
- update on the Group Recovery Plan.

2.11 Evaluation of the Board's structure, size, composition and performance

The Nomination Committee in discharging its responsibility for the annual assessment of the structure, size, composition and performance of the Board, assisted by an independent external expert on corporate governance, proceeded with the Board's evaluation for 2017.

In accordance with the Bank's Board and Board Committees Evaluation Policy, 2017 Board evaluation covered the following areas:

- Board's performance in setting and monitoring strategy (including the business plan),
- Board's performance in overseeing, engaging with, evaluating, incentivizing and retaining key management personnel,
- Board's performance in overseeing risk management and internal control,
- adequacy of the Board's profile and composition,
- adequacy of Board dynamics and functioning,
- role and performance of the Board Chairperson,
- adequacy of Board secretarial support,
- effectiveness of Board Committees.

Overall the evaluation concluded that the Board has functioned effectively in 2017 and improved in all aspects of Board operations over the last year. The areas that showed significant improvements are the Board profile and composition, relationship with management and oversight of strategic human resources issues and remuneration whereas the latter still remains in the areas for further improvement. The Board has approved an action plan as proposed by the Nomination Committee to further strengthen assessed areas.

2.12 Directors' Induction and Continuous Professional Development Process

The new Board members appointed during 2017 have received a full and formal Induction Program whose main objectives were to (a) communicate the Bank's vision and culture, (b) communicate practical procedural duties, (c) reduce the time taken for them to become productive in their duties, d) assimilate them as welcomed members of the Board, e) become familiar with the Bank's organizational structure and f) give them an understanding of Bank's business and strategy and the markets in which it operates, a link with the Bank's people and an understanding of its main relationships. Also, the new Board members, upon their appointment received a Manual of Obligations towards Supervisory Authorities and the Bank, aiming to inform them on their main obligations under the local regulations and the Board's procedures, while meetings and presentations were arranged with the Bank's Key Executives, in order for the new Directors to acquire a real overview of the Bank.

Furthermore, given that the Bank acknowledges the need to provide resources for developing and refreshing the knowledge and skills of the Directors, during 2017 and in the framework of its Continuous Professional Development program, all the Board members a) participated in training sessions which covered various areas such as the IFRS 9, the future shape of banking in Europe, ECB's new supervision model, b) received regular updates, including reports and presentations, from senior management regarding the operations and strategic targets of business units, c) were updated on a regular basis on risk, audit, compliance, financial, human resources, legal and regulatory issues, and d) received regular and ad-hoc research and economic bulletins prepared by Eurobank's Economic Research & Forecasting Division.

3. Board Committees

The Board is assisted in carrying out its duties by Board Committees. The Board delegates some of its responsibilities to such Board Committees and approves their mandate and composition, save for the composition of the Audit Committee whose members are appointed by the General Meeting. The Board receives regular and ad hoc reports from the Audit Committee, Board Risk Committee, Nomination Committee, Remuneration Committee and Strategic Planning Committee, and assesses their performance as per the provisions of the Bank's Board and Board Committees Evaluation Policy. According to the RFA, the HFSF appoints its Representative as well its Observer (who has no voting rights in the Board's Committees) or replaces them with a written request addressed to the Chairperson of the Board and their appointment is completed immediately from the receipt by the Bank of the HFSF's written request and no further procedures are required. HFSF provided its consent to the Bank's request to exclude the Strategic Planning Committee from the RFA provisions regarding the appointment of its representative and observer to all Board Committees. Pursuant to the RFA, the HFSF Representative has the right to participate in, request the convocation of, and include items on the agendas of, the Audit Committee, Board Risk Committee, Remuneration Committee and Nomination Committee. In addition, HFSF is entitled to the assistance by an independent consultant of international reputation and established experience and expertise, to perform its own evaluation of the Board Committees, in accordance with the article 10 of L. 3864/2010 as in force.

According to the RFA provisions, the members of the Audit, Board Risk, Remuneration and Nomination Committees should be at least three (3) and should not exceed 40% (rounded to the nearest integer) of the total number of Board members, excluding the representative of the HFSF. The Committees' Chairpersons should be independent non-executive

members and shall meet the requirements provided for in Law 3864/2010. The Committees' members should be non-executives with the majority of them, excluding the representative of the HFSF, independent non-executives, except for the Audit and Board Risk Committees where 75% and 1/3, respectively, of their members (excluding the representative of the HFSF and rounded to the nearest integer) should be independent non-executives. For any deviations from the RFA provisions, the prior consent of HFSF should be received.

3.1 Audit Committee²

The primary function of the Audit Committee (AC) is to assist the Board in discharging its oversight responsibilities primarily relating to:

- the review of the adequacy of the Internal Control and Risk Management systems and the compliance with rules and regulations monitoring process,
- the review of the financial reporting process and satisfaction as to the integrity of the Bank's Financial Statements,
- the External Auditors' selection, performance and independence,
- the effectiveness and performance of the Internal Audit and of the Compliance function.

The Shareholders' General Meeting appoints the Audit Committee members upon the Board's proposal to the General Meeting, following the recommendation of the Nomination Committee to the Board. The tenure of the Committee members coincides with the tenure of the Board of Directors, with the option to renew their appointment, but in any case the service in the Committee should not be more than twelve (12) years in total. The Chairperson of the Committee is appointed by the members of the Committee or by the Shareholders' General Meeting, while the Committee's members may also appoint a Vice Chairperson. The appointment of the Chairperson and the Vice-Chairperson shall go through the Nomination Committee's proposal process. The current Audit Committee consists of five (5) non-executive Directors, four (4) of whom are independent. One (1) of the Audit Committee members is the HFSF Representative. The HFSF appointed an Observer in the Audit Committee, in line with the requirements of the RFA.

The Chairman of the Audit Committee, Mr. Mirza (an independent non-executive Director) and the member Mr. Boucher (an independent non-executive Director), are the appointed financial/audit/risk expert members. The Audit Committee as a whole possesses the necessary skills and experience to carry out its duties.

The Audit Committee meets at least eight (8) times per year or more frequently, as circumstances require, reports to the Board on a quarterly basis on its activities, submits the minutes of its meetings to the Board and submits annually an Activity Report of the Audit Committee to the Board. The Audit Committee's meeting is in quorum and meets validly when half of its members plus one are present or represented, provided that at least three (3), including the Chairperson or the Vice Chairperson, are present. Each member of the Committee may validly represent only one of the other Committee members. Representation in the Committee may not be entrusted to persons other than the members thereof. The Audit Committee resolutions are validly taken by an absolute majority of the members who are present and represented.. In case of a tie of votes, the Chairperson and in case of his/her absence the Vice Chairperson has the casting vote. The Board is informed whenever a decision of the Audit Committee is not reached unanimously. During 2017 the Audit Committee held seventeen (17) meetings (2016: 20) and the average ratio of attendance was 93% (2016: 94%).

The Audit Committee appoints its Secretary, who reports to the Group Company Secretariat and cooperates with the Chairperson of the Committee and the Group Chief Audit Executive as well as the Head of Group Compliance. The Secretary is responsible to minute the proceedings and resolutions of Audit Committees' meetings, including actions and follow up assignments.

The Audit Committee's Terms of Reference (ToR) are reviewed every two (2) years and revised if necessary, unless significant changes necessitate earlier revision (last review performed in July 2017). The ToR are approved by the Board. The Committee's performance is evaluated annually according to the provisions of the Board and Board Committees Evaluation Policy of the Bank. According to the Committee's 2017 self-assessment it was determined that the Committee continues to function effectively in discharging its responsibilities.

For 2017 the Audit Committee has, amongst others:

- reviewed and discussed reports with information relating to the System of Internal Controls, including quarterly reports from Internal Audit Group, Compliance, Operational Risk Sector, Clients Relations Office, etc.,
- ensured that an annual evaluation of the System of Internal Controls has been performed, by the Internal Audit Group for the year 2016. Results are documented in the latter's report of the System of Internal Controls. The Audit Committee has prepared its own assessment report on Internal Audit Group's evaluation. Both reports were submitted to the Board in April and in June 2017 respectively, and subsequently to the BoG in line with the BoG Act 2577/2006 requirements,
- reviewed the Group Compliance Sector report over Anti-Money Laundering and other compliance policies of the Bank for the year 2016, and prepared its own assessment report thereon. Both reports were submitted to the Board and the BoG in March and in June 2017, in line with the BoG Governors Act 2577/2006 and Decision 281/2009 requirements,

² Information regarding the Committee's main duties and responsibilities as well as composition are included in the Bank's Code. Additionally, information regarding current composition and short biographical details of its members may be found at the Bank's website (www.eurobank.gr).

- discussed with Management, Internal Audit, Countries Audit Committee Chairpersons and with External Auditors issues relating to the quarterly results, the mid-year and the year-end financial statements,
- reviewed and cleared the financial statements and other financial reports and trading updates prior to their release,
- discussed with Management the implementation of corrective actions to recommendations made by Internal and External Auditors, Monitoring Trustee as well as Regulatory Authorities,
- assessed the effectiveness of the External Auditors, their objectivity and independence, discussed results with Management and Internal Audit and communicated final results to the Board and to the External Auditors,
- assessed the performance of the Head of Internal Audit and the Head of Group Compliance Sector,
- approved the remuneration of External Auditors and approved in line with the External Auditor's Independence Policy non-audit services provided in 2017,
- approved the annual Plans of Internal Audit Group and of Group Compliance and monitored their progress,
- approved changes to the memberships of the Audit Committees of the subsidiaries and reviewed their Activity Reports,
- received updates on the progress of the Restructuring Plan,
- monitored the progress of IFRS 9 thematic review,
- in accordance with the provisions of Law 2533/1997, the Audit Committee reviewed reports on substantial stock transactions performed by the Bank's Directors and General Managers which meet the criteria set in Law 2533/1997 and notified the Board,
- approved the appointment of the Bank's statutory auditor for the five (5) years period of 2018-2022, which was concluded in February 2017,
- reviewed and proposed to the Board for approval the Bank's Internal Governance Control Manual.

3.2 Board Risk Committee³

The Board Risk Committee's (BRC) purpose is to assist the Board in the following risk-related issues:

- to ensure that the Group has a well-defined risk strategy and risk appetite in line with its business/restructuring plan, and that the risk appetite is articulated in a set of qualitative and quantitative statements and risk tolerance levels for all relevant risks,
- to ensure that the Group has developed an appropriate risk management framework which is embedded in the decision making process (e.g. new products and services introduction, risk adjusted pricing, risk adjusted performance measures and capital allocation) throughout the Bank and its subsidiaries,
- to define the Group risk management principles and ensure that the Bank has the appropriate methodologies, modeling tools, data sources and sufficient and competent staff to identify, assess, monitor and mitigate risks,
- to review and assess the Bank's and Group's risk profile and effectiveness of its risk management policies and advise the Board accordingly (this review is supported by the Management Risk Committee (MRC) regular reporting, including aspects of operational risk i.e. conduct and cyber risks and reputational risk),
- to ensure that appropriate stress tests are performed, at least on an annual basis, in relation to all major Group risks,
- to assess, at least on an annual basis, compliance with the approved risk appetite and risk tolerance levels, the appropriateness of risk limits, the adequacy of provisions and, in general, the capital adequacy in relation to the risks undertaken by the Group, through, amongst others, the annual report prepared by the Group Risk Management General Division and relevant extract of the report prepared by the Internal Audit Division,
- to keep the Board and Audit Committee updated on relevant risk matters and recommend to the Board the future risk strategy.

The BRC members, including the Chairperson and the Vice Chairperson, are appointed by the Board in accordance with the legal and regulatory framework where applicable. Their tenure coincides with the tenure of the Board, with the option to renew their appointment, but in any case the service in the BRC should not be more than twelve (12) years in total. The current BRC consists of five (5) non-executive Directors, including the HFSF's representative, three (3) of whom are also independent Directors.

The Chairperson of the BRC is independent non-executive with a solid experience in commercial banking and risk and Non-Performing Loans management, and is familiar with European as well as international regulatory framework.

The BRC meets at least on a monthly basis and reports to the Board, on a quarterly basis. Quorum requires the majority of members (half plus one) to be present or represented, provided that no less than three (3) Committee members are present. Each member of the Committee may validly represent only one of the other Committee members. Representation in the Committee may not be entrusted to persons other than the members thereof. The Chairperson or the Vice Chairperson must be one of the participating members. In determining the number of members for the quorum, fractions, if any, will not be counted. The BRC resolutions require a majority vote of the members who are present or represented. In case of a tie, the Chairperson and in case of his/her absence the Vice Chairperson has the casting vote. The Board is informed whenever a decision of the BRC is not reached unanimously. The Chairperson of the BRC may invite to the meetings other executives of the Group or outside advisors or experts, as deemed appropriate. During 2017 the BRC held sixteen (16) meetings (2016: 13) with 91% attendance (2016: 90.0%).

³ Information regarding the Committee's main duties and responsibilities are included in the Bank's Code. Additionally, information regarding current composition and short biographical details of its members may be found at the Bank's website (www.eurobank.gr).

The BRC appoints its Secretary, who reports to the Group Company Secretariat and cooperates with the Chairperson of the Committee and the Group Chief Risk Officer ("GCRO"). The Secretary is responsible to minute the proceedings and resolutions of BRC meetings, including actions and follow up assignments.

BRC Terms of Reference (ToR) are reviewed at least every three (3) years (last review performed in December 2016) and revised if necessary, unless significant changes in the role, responsibilities, organization and/or regulatory requirements necessitate earlier revision. The ToR are approved by the Board. The Committee's performance is evaluated annually according to the provisions of the Board and Board Committees Evaluation Policy of the Bank. According to the Committee's self-assessment it was determined that it continues to function effectively in discharging its responsibilities.

For 2017 the BRC has, amongst others:

- monitored qualitative and quantitative aspects of credit, market, liquidity and operational risks,
- updated the Board on the adequacy of the risk management policy and risk appetite framework,
- recognized material risks, including the aforementioned risks,
- monitored the progress of regulatory projects such as TRIM thematic review (Market, Credit Risk), IFRS 9 thematic review and NPE SSM targets review,
- approved, among others, the following regulatory and other reports:
 - IFRS 9 thematic review: final policies and methodologies submitted to the SSM,
 - TRIM submissions to the SSM (Mortgage Lending Behavioural PD Model and Mortgage Lending PD model-risk pools) and the SSM Model Stocktake (IRB Models),
 - ICAAP/ILAAP 2017 Stress test macroeconomic scenarios,
 - Internal Capital & Liquidity Adequacy Assessment processes (ICAAP & ILAAP 2017): Capital and Liquidity Adequacy Statements (CAS and LAS),
 - Data Governance Framework and Group ICAAP Framework,
 - Group Recovery Plan,
 - Interest Rate Risk in the Banking Book (IRRBB) Policy,
 - Stress Testing preliminary impact review,
 - GCRO's Risk report for 2016,
 - Pillar 3 Disclosures Policy.

3.3 Remuneration Committee⁴

The Board has delegated to the Remuneration Committee (RemCo) the responsibilities (a) to provide specialized and independent advice for matters relating to remuneration policy and its implementation at Bank and Group level and for the incentives created while managing risks, capital and liquidity, (b) to safeguard the proper exercise of its duties and responsibilities, the efficient alignment of the personnel's remuneration with the risks the Bank undertakes and manages and the required alignment between the Bank and the Group, and (c) to approve or propose for approval all exposures of key management personnel. The Non-Executive Directors have the responsibility to approve and periodically review Bank's remuneration policy and oversee its implementation both at Bank and Group level.

The implementation of the remuneration policy is in line with the provisions of Laws 3864/2010, 4261/2014 and Bank of Greece Governor's Act 2650/2012.

The RemCo members are appointed by the Board. The tenure of the RemCo members coincides with the tenure of the Board, with the option to renew their appointment, but in any case the service in RemCo should not be more than twelve (12) years in total. The current RemCo consists of four (4) Directors: one (1) non-executive, who is also the Representative of the HFSF, and three (3) independent non-executives including its Chairperson.

RemCo meets at least twice a year and minutes are kept. RemCo is in quorum and meets validly when half of its members plus one (1) are present or represented (fractions, if any, are not counted), provided that no less than three (3) members, including the Chairperson or the Vice Chairperson are present. Each member of RemCo may validly represent only one of the other RemCo members. Representation in RemCo may not be entrusted to persons other than the members thereof. RemCo's resolutions are validly taken by an absolute majority of the members who are present or represented. In case of a tie, the Chairperson and in case of his/her absence the Vice Chairperson of RemCo shall have the casting vote. During 2017 RemCo held eight (8) meetings (2016: 11) and the ratio of attendance was 88% (2016: 90%).

RemCo appoints its Secretary, who reports to the Group Company Secretariat and cooperates with the Chairperson of RemCo and the Group Human Resources General Manager. The Secretary is responsible to minute the proceedings and resolutions of RemCo's meetings, including actions and follow up assignments.

RemCo's Terms of Reference (ToR) are reviewed at least once every two (2) years (last review performed in September 2016) and revised if necessary, unless significant changes in the role, responsibilities, organization and/or regulatory requirements necessitate earlier revision. The ToR are approved by the Board. RemCo's performance is evaluated

⁴ Information regarding the Committee's main duties and responsibilities are included in the Bank's Code. Additionally, information regarding current composition and short biographical details of its members may be found at the Bank's website (www.eurobank.gr).

annually according to the provisions of the Board and Board Committees Evaluation Policy of the Bank. According to RemCo's self-assessment, it was determined that RemCo continues to function effectively in discharging its responsibilities.

For 2017, RemCo has amongst others:

- proposed to the Non-Executive Directors of the Board for approval the revised Remuneration Policy of the Bank and the Group,
- proposed to the Non-Executive Directors of the Board for approval the 2017 total Remuneration Framework of the Bank and approved the 2017 Bank's Benefits and Business Related Components Policy,
- proposed to the Board for approval the Board and Board Committees' Fees 2017 for Directors of the Bank and Board and Board Committees' Fees 2017 for Directors of the Group's Subsidiaries,
- proposed to the Non-Executive Directors of the Bank for approval CEO's and Senior Executives' Financial and Non-Financial objectives for 2017,
- proposed to the Board for approval the Board and Board Committees' attendance policy
- approved the Remuneration Framework of Group Subsidiaries Abroad,
- approved the Remuneration Disclosures,
- reviewed the Internal Audit findings regarding the implementation of the Remuneration Policy,
- reviewed the remuneration policy implementation at Group level.

3.4 Nomination Committee⁵

The Board has delegated to the Nomination Committee (NomCo) the responsibilities (a) to lead the process for Board and Board Committees appointments, (b) to identify, nominate and recommend candidates for appointment to the Board and (c) to consider matters related to the Board's adequacy, efficiency and effectiveness, and to the appointment of all executives of the Bank at the level of General Manager and above, as well as Heads of General Divisions (senior executives). NomCo, in carrying out its duties, is accountable to the Board.

NomCo members are appointed by the Board. The tenure of NomCo members coincides with the tenure of the Board, with the option to renew their appointment, but in any case the service in NomCo should not be more that twelve (12) years in total. The current NomCo consists of six (6) Directors, four (4) of whom are independent non-executive and the other two (2) are non-executive, out of whom one (1) is the representative of the HFSF.

NomCo meets at least twice a year and minutes are kept. NomCo is in quorum and meets validly when half of its members plus one (1) are present or represented (fractions, if any, are not counted), provided that no less than three (3) members, including the Chairperson or the Vice Chairperson are present. Each member of NomCo may validly represent only one of the other NomCo members. Representation NomCo may not be entrusted to persons other than the members thereof. NomCo's resolutions are validly taken by an absolute majority of the members who are present or represented. In case of a tie, the Chairperson and in case of his/her absence the Vice Chairperson of NomCo shall have the casting vote. During 2017 NomCo held ten (10) meetings (2016: 11) and the average ratio of attendance was 95% (2016: 88%).

NomCo appoints its Secretary, who reports to the Group Company Secretariat and cooperates with the Chairperson of NomCo and the Group Human Resources General Manager. The Secretary is responsible to minute the proceedings and resolutions of NomCo's meetings, including actions and follow up assignments.

NomCo's Terms of Reference (ToR) are reviewed at least once every two (2) years (last review performed in March 2017) and revised if necessary, unless significant changes in the role, responsibilities, organization and/or regulatory requirements necessitate earlier revision. The ToR are approved by the Board while NomCo's performance is evaluated annually according to the provisions of the Board and Board Committees Evaluation Policy of the Bank. According to NomCo's self-assessment, it was determined that NomCo continues to function effectively in discharging its responsibilities.

For 2017, NomCo has amongst others:

- proposed to the Board for approval the appointment of new Board members,
- proposed to the Board for approval the Senior Management Selection and Appointment Policy,
- reviewed and proposed to the Board for approval the revised Board Nomination Policy and revised Board and Board Committees Evaluation Policy,
- reviewed and updated the Board on Senior Executives succession plan,
- reviewed and proposed to the Board the approval of the revised Board of Directors Diversity Policy,
- reviewed the independence of the Non-Executive directors,
- reviewed the attendance of Directors to the Board and its Committees.

Board of Directors Diversity Policy

⁵ Information regarding the Committee's main duties and responsibilities are included in the Bank's Code. Additionally, information regarding current composition and short biographical details of its members may be found at the Bank's website (www.eurobank.gr).

The Board of Directors Diversity Policy ("Policy") sets out the approach to diversity on the Board and it is in accordance with international best practices and the EU and Greek banking law provisions⁶.

As declared in the Policy, the Board's diversity is one of the factors which, according to the Board Nomination Policy, the Committee shall consider when examining composition and structure of the Board. A diverse Board includes and makes good use of variety in the skills, educational and professional background, geographical provenance (nationality), gender, age and other qualities of Directors.

NomCo will discuss and agree all measurable objectives for achieving diversity on the Board during the review process of the Board profile matrix according to the Board Nomination Policy and for proposing the (re)appointment/succession planning of individual Board members according to the Board and Board Committees Evaluation Policy, taking into consideration the balance of all diversity aspects mentioned in the Policy. At any given time the Board may seek to improve one or more aspects of its diversity and measure progress accordingly.

According to the revised Policy, NomCo's priority is to ensure that the Board continues to have strong leadership and the right mix of skills to deliver the business strategy. Within this context and in regard to the less represented gender in the Board, NomCo's aim is that the percentage of the female gender representation in Eurobank's Board shall be at least 20% of the Board size in the next 3 years, also considering industry trends and best practices. As of March 2018, the representation of the female gender stood at 23%, meeting the Policy's requirement.

Assessment of the knowledge, skills and experience (KSE) of the Board collectively as well as the KSE and contribution of individual Board members

In accordance with the respective legal framework and the Board and Board Committees Evaluation Policy, the Board Chair conducted an assessment of the contribution of the Non-Executive Board Members for 2017 and presented the results to NomCo.

Taking into consideration the relevant requirements, specific focus areas were applied as follows:

- contribution to overall Board profile skillset,
- Board participation and quality of contributions to Board deliberations,
- punctuality and attendance,
- team spirit and demeanour,
- independent thinking and constructive challenge.

The overall assessment demonstrated quite positive results across all focus areas and has confirmed that the assessed Non-Executive Board Members adequately meet expectations for effectively accomplishing their role as Directors of the Bank.

Furthermore, the Bank's 2017 Target Board profile matrix has revealed that the desired KSEs are overall met for all the Board members. The Target Board profile matrix is the instrument to identify the specific characteristics the Board needs on the basis of its strategic objectives and risk management priorities, purposed to track the current profile of the Board against the desirable KSEs, through the assessment of the existing KSEs of all Board members (Executives and Non-Executives Directors).

Board Nomination Policy

The Board Nomination Policy sets out the guidelines and formal process for the identification, selection and nomination of candidates for the Board of the Bank. The Policy ensures that such appointments are made: (a) in accordance with legal and regulatory requirements; (b) with due regard to the expectations of the Bank's major shareholders, (c) in line with the Bank's contractual obligations with the HFSF and (d) on the basis of individual merit and ability, following a best practice process.

The Board supported by NomCo shall nominate candidates who meet the following nomination criteria:

- Reputation along with honesty, integrity and trust
 - a) Reputation: Sufficiently good repute, high social esteem and adherence to the European Banking Authority's (EBA) reputation criteria
 - b) Honesty, integrity and trust: Demonstration of the highest standards of ethics, honesty, integrity, fairness, and personal discipline, through personal history, professional track record or other public commitments
- Knowledge, skills, experience (KSE) and other general suitability requirements
 - a) Understanding of the Bank: Sufficient KSE for the development of a proper understanding of the business, culture, supervisory and regulatory context, product and geographic markets of operations, and stakeholders of the Bank and its subsidiaries

⁶ The Board of Directors Diversity Policy may be found at the bank's website (https://www.eurobank.gr/Uploads/pdf/Diversity_Policy.pdf).

- b) Seniority: Several years of experience in a generally recognised position of leadership in the candidate's field of endeavour
 - c) Independent mind-set and ability to challenge: Ability of forming and expressing an independent judgement on all matters that reach the Board and candour to challenge proposals and views on these matters by management and other candidates
 - d) Collegiality, team skills and leadership: Ability to contribute constructively and productively to Board discussions and decision making along with ability of leading such discussions as chair or vice-chair of specific committees or the Board as a whole
 - e) Additional criteria for the nomination of Executive Directors: Proven, through current and previous executive positions, knowledge, skills, experience and character to lead the Bank and its subsidiaries in the achievement of strategic objectives, along with willingness to enter into full time employment with the Bank.
- Conflicts of interest and independence of mind
NomCo examines the personal, professional, financial, political and any other possible interests and affiliations of candidates, ensuring that the candidates do not have actual, potential or perceived conflicts of interest which cannot be prevented, adequately mitigated or managed under the written policies of the Bank, that would impair their ability to represent the interests of all shareholders of the Bank, fulfil their responsibilities as Directors and make sound, objective and independent decisions (act with independence of mind).

In particular, NomCo shall ensure that candidates are not linked to borrowers of the Bank with an exposure above EUR 1 million or any exposures in arrears. NomCo shall also examine relevant direct and indirect monetary interests and non-monetary interests, including those arising from affiliations with and membership of other organisations.

- Time commitment
NomCo ensures that all nominees are able to commit the time necessary to effectively discharge their responsibilities as Directors, including regularly attending and participating in meetings of the Board and its Committees.
- Collective suitability, i.e. fit the Target Board Profile Matrix which is updated in accordance with the goals of the Bank.

The Board Nomination Policy is approved by the Board and reviewed at least once every two (2) years by NomCo and revised if necessary, unless material changes, regulatory or other, necessitate earlier revision.

3.5 Strategic Planning Committee⁷

The Strategic Planning Committee (SPC) is established by the Board and its purpose is to:

- a) assist the Board's Executive Officers in planning, developing and implementing the Group's Strategy and
- b) recommend to the Board certain initiatives in relation to the Group's Strategy.

The key tasks and responsibilities of the SPC are:

- to ensure that the Group develops a well-defined planned medium term strategy in line with the Board's guidance and its approved business and restructuring plan,
- to review, within the framework of which the Executive Board draws up the annual budget, the business plan and the restructuring plan, the key objectives and goals contained therein and review major business initiatives, before their submission for approval to the Board.
- to review, analyze and deliberate issues concerning the Group's strategic choices (e.g. strategic partnerships, share capital increase, issuing convertibles and/or launching debt issuance programs, mergers, acquisitions or disposals, the formation of joint ventures, creation or dissolution of special purpose vehicles, dividend distribution and all other major investments or disinvestments by the Group etc.), ensuring these being in line with the approved Group's strategy. The SPC shall formulate relevant proposals to the Board, if:
 - a) the issue under discussion exceeds € 40 million, while for lower amounts approval will be provided by the Executive Board;
 - b) a decision of the Board is obligatory by Law or by the Bank's contractual commitments;
 - c) it is deemed necessary by the SPC, taking into account the complexity and nature of the strategic choices under discussion.
- to maintain and take all necessary actions on regulatory and internal capital required to cover all types of risks (incl. strategic and reputational risks, as well as other non-quantifiable risks) and to ensure that capital requirements are met at all times,
- to review and evaluate all major Group's initiatives aiming at transforming the business and operating model,
- to monitor on a regular basis the strategic and the key performance indicators of the Group, including the segmental view,
- to review and, as needed, make proposals to the Board on all other issues of strategic importance to the Group.

⁷ Information regarding the Committee's main duties and responsibilities are included in the Bank's Code. Additionally, information regarding current composition and short biographical details of its members may be found at the Bank's website (www.eurobank.gr).

The SPC members are appointed by the Board, on the recommendation of its Chairperson, following the proposal by the Nomination Committee. The Committee's members are appointed for a term of three (3) years that can be renewed up to three (3) times.

The Committee is chaired by the Chairperson of the Board and in case of absence or impediment of the Chairperson by the CEO and is composed of at least five (5) members who may be, besides the Chairperson and the CEO, either Executive Members of the Board or Senior Executive Officers. Each member of the Committee may validly represent only one of the other Committee members. Representation in the Committee may not be entrusted to persons other than the members thereof. The Committee may delegate specific responsibilities and authorities within the purview of its responsibilities and authorities to one (1) or more individual Committee members.

The SPC meets biweekly or ad hoc when necessary, keeps minutes of its meetings and reports to the Board on a quarterly basis and as required. During 2017 the SPC held forty one (41) meetings (2016: 42) and the ratio of attendance was 91% (2016: 88%). The Committee has a quorum and duly convenes if half of its members plus one (including the Chairperson or the CEO) are present. Decisions shall be validly taken by simple majority vote of members present. In case of a tie of votes, the Chairperson or in his/her absence the CEO has the casting vote. The Board shall be informed whenever a decision of the Committee is not reached unanimously. The opinion of the minority should be recorded in the meeting's minutes.

The SPC appoints its Secretary, who reports to the Group Company Secretariat and cooperates with the Chairperson of the Committee. The Secretary is responsible to minute the proceedings and resolutions of all SPC meetings, including the action plans and follow up assignments.

The Committee may invite to its meetings any Board member, officer of the Bank or of a Group subsidiary, or such other person deemed appropriate to assist it in performing its responsibilities.

The Committee reviews and assesses the adequacy of its Terms of Reference and requests the approval of the Board for proposed amendments. The Terms of Reference will be reviewed at least once every three (3) years and revised if necessary, unless significant changes in the role, responsibilities, organization and/or regulatory requirements necessitate earlier revision (last review performed in December 2015). The Committee's performance is evaluated at least annually and results are submitted to the Nomination Committee, so that the latter makes proposals to the Board.

4. Management Committees

The CEO establishes committees to assist him as required. The most important Committees established by the CEO are the Executive Board, the Management Risk Committee, the Group Asset and Liability Committee, the Central Credit Committees (I & II) and the Troubled Assets Committee.

Executive Board⁸

The Executive Board (ExBo) manages the implementation of Group's strategy, as developed by the SPC, in line with the Board's guidance. The functioning of ExBo is subject to the provisions of the RFA. The ExBo is established by the CEO and its members are appointed by the CEO. The ExBo meets on a weekly basis or ad hoc when necessary. Other executives of the Group, depending on the subject to be discussed, may be invited to attend.

The ExBo is in quorum and meets validly when half of its members plus one are present or represented. In determining the number of members for the quorum, fractions, if any, shall not be counted. The ExBo resolutions require a majority vote. The secretary prepares the minutes and circulates them to all ExBo members. The ExBo Terms of Reference (ToR) are approved by the CEO, and revised as appropriate.

The ExBo's key tasks and responsibilities are to:

- manage the implementation of Group's strategy as developed by the SPC and approved by the Board,
- draw up the annual budget, the business plan and the restructuring plan. The SPC reviews the key objectives and the goals contained therein, as well as the major business initiatives submitted to the Board for approval,
- to approve issues concerning the Group's strategic choices (e.g. partnerships, share capital increase, issuing convertibles and/or launching debt issuance programs, mergers, acquisitions or disposals, the formation of joint ventures, creation or dissolution of special purpose vehicles, dividend distribution and all other investments or disinvestments by the Group etc.), ensuring these being in line with the approved Group's strategy, if the issue under discussion is lower than €40 million or equal. In case though where:
 - a) the issue under discussion exceeds € 40 million;
 - b) a decision of the Board is obligatory by Law or by the Bank's contractual commitments;
 - c) it is deemed necessary by the SPC, taking into account the complexity and nature of the strategic choices under discussion;

⁸ Information regarding current composition and short biographical details of its members may be found at the Bank's website (www.eurobank.gr).

the issues concerning the Group's strategic choices are approved by the Board following a relevant proposal by the SPC (as per its Terms of Reference),

- monitor the performance of each business unit and subsidiary against budget and ensure corrective measures are in place wherever required,
- decide on all major Group's initiatives aiming at transforming the business and operating model, enhancing the operating efficiency and cost rationalization, improving organizational and business structure,
- ensure that adequate systems of internal control are properly maintained,
- review and approve Bank's Policies and the Internal Governance Control Manual and propose to the Board and Board Committees for approval, as required,
- review the performance of any Committee and /or individuals to whom it has delegated part of its responsibilities, as approved,
- to approve performing exposures higher than 10% of the Bank's regulatory capital and non-performing exposures higher than 5% of the Bank's regulatory capital,
- to approve write-offs (on a pool basis) higher than €10 million and lower than €50 million,
- to hire and retain external consulting firms in its sole judgment, and approve their compensation and terms of engagement in accordance with Bank's policies and procedures,
- to hire and retain investment banking advisors, in its sole judgment, and approve their compensation and terms of engagement, in accordance with Bank's policies and procedures.

Management Risk Committee⁹

The Management Risk Committee (MRC) oversees the risk management framework of Eurobank Ergasias S.A. The MRC ensures that material risks are identified and promptly escalated to the BRC and that the necessary policies and procedures are in place to prudently manage risk and to comply with regulatory requirements. The MRC members should have the ability to identify, assess and manage the Group's risks.

As part of its mandate, the MRC:

- reviews the Bank's and its subsidiaries' risk profile vis-à-vis its declared risk appetite and examines any proposed modifications to the risk appetite,
- reviews and approves the methodology, the parameters and the results of the Bank's stress testing programme,
- determines appropriate management actions which are discussed and presented to the ExBo for information and submitted to the BRC for approval, and maintains at all times a pro-active approach to Risk Management, understands and evaluates risks, addresses escalated issues, provides oversight to the Group's risk management framework – including the implementation of risk policies – and informs the BRC of the Group's risk profile
- assists the BRC in defining risk management principles and methodologies thereby ensuring that the Group's Risk Management Framework contains processes for identifying, measuring, monitoring, mitigating and reporting the current risk profile against its risk appetite, limits, and performance targets.

The MRC does not conflict with the GCRO or the Risk Management General Division's responsibilities for Risk governance as prescribed under the HFSF Relationship Framework Agreement or the Bank of Greece's Governor Act no. 2577/2006. The GCRO serves as the Chairperson of the MRC and has the responsibility to escalate material risks and issues to the BRC and will update ExBo on material risks and issues on a periodical basis.

The MRC is in quorum and meets validly when half of its members, including the Chairperson or the Vice-Chairperson, plus one are present or represented, by proxy to another member (fractions are excluded from the computation). MRC members' attendance to MRC meetings, whether with physical presence or with tele/video conference as the need may be, should be at a minimum level of 85% of meetings held. Selected attendees can be invited to the MRC meetings, when the topics for discussion fall under their remit or they have the requisite expertise to constructively participate. The finalized minutes are distributed to the BRC, SPC and EXBO members, as prepared by the committee's secretary and approved by its Chairperson. Abstracts of resolutions reached and actions to be taken are provided to Management, SPC and/or EXBO members, as necessary.

Changes to the ToR of the MRC are reviewed by the MRC on an annual basis and approved by the CEO. The MRC ToR are also submitted to the BRC for information purposes.

Group Asset and Liability Committee (G-ALCO)¹⁰

G-ALCO's primary mandate is to formulate, implement and monitor as may be appropriate the Group's a) liquidity and funding strategies and policies, b) interest rate guidelines, c) Group's capital investments, as well as FX exposure and hedging strategy and d) Group's business initiatives and/or investments that meaningfully affect the Bank's market and liquidity risk profile, and to approve or recommend changes to these policies that conform to the Bank's risk appetite and levels of exposure as determined by the BRC & Management while complying with the framework established by regulatory and/or supervising bodies.

⁹ Information regarding the Committee's current composition may be found at the Bank's website (www.eurobank.gr).

¹⁰ Information regarding the Committees' current composition may be found at the Bank's website (www.eurobank.gr).

G-ALCO convenes once a month and/or whenever required. Other executives or managers of the Group, depending on the subject to be discussed, may be invited to attend.

Required quorum for G-ALCO meetings to be effective is six members. In order to have a quorum the presence of its Chairperson and a minimum of three (3) SPC members is required. Decisions on issues are taken by majority and communicated to the relevant / affected business areas, while meetings are minuted by the Committee's Secretary and distributed to the G-ALCO members, the CEO, the Board's Chairman, the Monitoring Trustee (MT) and the Single Supervisory Mechanism (SSM).

Central Credit Committees¹¹

Central Credit Committee I

The main objective of the Central Credit Committee I (CCCI) is to ensure objective credit underwriting for all Greek corporate portfolio of performing customers as defined in the Credit Policy Manual -Performing Exposures, so that risk undertaking can be effected in a balanced way between satisfactory return on equity and credit quality.

The CCCI convenes at least once a week and all meetings are minuted. Decisions are taken unanimously. If unanimity is not achieved, the request is escalated by the Chairperson to the next approval level.

The main duty and responsibility of CCCI is to assess and approve all credit requests of the Greek wholesale performing portfolio for total exposure above €50mio and unsecured exposure above €35mio. For total exposure exceeding €75mio and unsecured exposure exceeding €50mio, additional signature from GCRO is required, while for total exposure exceeding €150mio and unsecured exposure exceeding €100mio, additional signature from CEO is required. Furthermore, for exposures higher than 10% of the bank's regulatory capital the additional approval of ExBo is required.

Central Credit Committee II

The main objective of Central Credit Committee II (CCCII) is the same as for CCCI for lower levels of exposure.

The CCCII convenes at least once a week and all meetings are minuted. Decisions are taken unanimously. If unanimity is not achieved, the request is escalated by the Chairperson to the next approval level.

The main duty and responsibility of CCCII is to assess and approve all credit requests of the Greek wholesale performing portfolio for total exposure up to €50mio and unsecured exposure up to €35mio.

Troubled Assets Committee¹¹

The Troubled Assets Committee (TAC) is established according to the provisions of the BoG Executive Committee Act No. 42/30.5.2014, as in force. TAC's main responsibility is to provide strategic guidance and monitor troubled assets management, ensuring independence from business and compliance with the requirements of BoG Act 42. The Deputy CEO of the Bank and Executive member of the Board of Directors is specifically entrusted with the close monitoring of the troubled assets management strategy. Its members are senior managers with sufficient knowledge and experience in the Management of Troubled Assets and Risk Management. The number of the Committee's members, who cannot be less than two, as well as its composition are defined by the CEO of the Bank. Decisions are taken by majority and minutes are kept and circulated as appropriate. In case of a tie of votes, the Chairperson has a casting vote.

The Committee meets at least once per month, while informs the Board and relevant committees on the results of its activities, at least quarterly. The Committee closely interacts with Group Risk Management General Division for the common understanding and development of the appropriate risk assessment methodology for each forbearance type and delinquency status by portfolio. Committee's propositions and reports to Board of Directors are also submitted to Group Chief Risk Officer, who expresses his opinion to the Board by submitting the relevant report to Board Risk Committee.

Main responsibilities of the Committee are, among others, the following:

- processes centrally all the internal reports regarding troubled assets management under the provisions of BoG Acts 42/30.05.2014, 47/09.02.2015 and 102/30.08.2016
- approves the available forbearance, resolution and closure solutions by loan sub-portfolio, and monitors their performance through suitable KPIs
- defines criteria to assess the sustainability of credit and collateral workout solutions (design and use of "decision trees")
- determines the parameters and the range of responsibilities of the bodies and officers involved in the assessment of viability and sustainability of the proposed modifications and the subsequent monitoring of their implementation
- designs, monitors and assesses pilot modification programs (in cooperation with other business units)
- evaluates proposals for the sale of the Bank's distressed assets portfolio, as well as for the potential provision of services of managing troubled assets of third parties
- supervises and provides guidance and know-how to the respective troubled assets units of the Bank's subsidiaries abroad.

5. Key Control Functions

As part of its overall system of internal controls the Bank has established a number of dedicated control functions whose main responsibility is to act as independent control mechanisms thus reinforcing the control structure of the Bank. The most important functions and their key responsibilities are described below.

5.1 Internal Audit

Internal Audit Group (“IAG”) comprises the “Internal Audit Sector”, the “Forensic Audit Division”, the “International Audit Division” and the “Business Monitoring and Organisational Support Division”. All IAG’s officers are full time employees exclusively dedicated to the Internal Audit function. IAG is a group function responsible for the Bank and all of its subsidiaries.

In order to safeguard its independence, IAG reports directly to the Audit Committee, is independent of the Bank units with operational responsibilities and for administrative purposes reports to the CEO. The Board has delegated the responsibility for monitoring the activity of the IAG to the Audit Committee of the Bank. IAG is headed by the Group Chief Audit Executive (CAE) who is appointed by the Audit Committee. The latter also assesses the CAE’s performance.

IAG follows a risk-based methodology which examines the existence and adequacy of controls that address specific control objectives. Its main duties and responsibilities indicatively include:

- provide reasonable assurance, in the form of an independent opinion, as to the adequacy and effectiveness of the internal control framework of the Bank and its subsidiaries. In order to form an opinion, IAG carries out audits based on an audit plan submitted and approved by the Audit Committee. The required frequency of audits depends on the level of risk in each business unit,
- assist and advise Management on the prevention and detection of fraud and defalcation, unethical practices (code of conduct, insider dealing) and undertake such special projects as required,
- assist Management in enhancing the system of internal control by making recommendations to address weaknesses and improve existing policies and procedures,
- follow-up to ascertain that appropriate action is taken on reported audit findings within agreed deadlines.

5.2 Risk Management

The Bank’s Risk Management General Division, which is headed by the Group Chief Risk Officer (GCRO), is independent from the business units and has full responsibility for monitoring credit, market, liquidity and operational risks for the Bank and its subsidiaries in Greece and abroad.

It comprises the Group Credit Sector, International Credit Sector, Group Credit Control Sector, Capital Adequacy Control & Regulatory Framework Sector, Group Market & Counterparty Risk Sector, Group Operational Risk Sector & SSM office¹¹.

The GCRO is responsible to oversee and co-ordinate the development and implementation of adequate risk measurement and management policies regarding credit, market, liquidity, and operational risk and to serve as a pivotal point for the risk management functions. Centralization ensures that business targets and related growth are combined with a risk-conscious perspective, thus ensuring that the approved risk appetite is adhered to.

The GCRO reviews the credit policies prepared by the responsible Risk Units before their submission for final approval to the BRC or to the BoD and oversees their implementation thereafter and promptly reports any deviation from the credit policy or potential conflict with the approved risk strategy and risk appetite to the Board Risk Committee.

The GCRO is responsible to provide to the Board Risk Committee, on a monthly basis, adequate reporting in order to enable the Committee to properly oversee and advise the BoD on the Bank’s risk exposures / profile and future risk strategy. Additionally, he oversees compliance with approved risk appetite limits and any deviations from the risk appetite are communicated in a timely manner to the Board Risk Committee.

Eurobank has clear risk management objectives and a well-established strategy to deliver them, through core risk management processes. At a strategic level, the risk management objectives are to:

- Identify Eurobank’s material risks;
- Ensure that business plans are consistent with Eurobank’s risk appetite;
- Optimize risk/return decisions by taking them as closely as possible to the business, while establishing strong and independent review;
- Ensure that business growth plans are properly supported by effective risk infrastructure;
- Manage risk profile to ensure that specific financial deliverables remain possible under a range of adverse business conditions;

¹¹ SSM office has a dual reporting line to both the GCRO & Group Chief Financial Officer

- Assist senior executives improve the control and co-ordination of risk taking across the business;
- Embed risk management into the Bank's culture and existing processes and raise awareness of risk management throughout the Bank;
- Provide the framework, procedures and guidance to enable all employees to manage risk in their own areas and improve the control and co-ordination of risk taking across the Business Units;

5.3 Compliance

Group Compliance is established with the approval of the Board and Audit Committee as a permanent and independent function. It reports functionally to the Chairperson of the Board and to the Audit Committee, and for administrative purposes to the CEO.

Group Compliance supervises the overall compliance function in the Group. Within this framework, it supervises, monitors, coordinates and evaluates the activity of Compliance Units and the respective Compliance Officers of the Group's Subsidiaries, both in Greece and abroad.

Group Compliance supports the Audit Committee of the Board of Directors in the management of compliance risk and contributes in the development of a corporate culture that, among others, promotes compliance with the Regulatory Framework and adherence to the standards of professional conduct. In this respect, Group Compliance supervises monitors, coordinates and assesses the level of compliance of Eurobank and all the Group subsidiaries in Greece and abroad, with the applicable laws and regulations, as well as the adopted internal policies

More specifically, within its scope of responsibilities, Group Compliance is mandated to:

- advise the Board of Directors and Senior Management on the Bank's compliance with applicable laws, rules and standards and to keep them informed of developments in the area,
- assist Management and staff in identifying, monitoring and efficiently managing compliance risk,
- provide guidance to staff on the appropriate implementation of applicable laws, rules and standards, through the issuance of policies and procedures and the design of training programs,
- review new products and service lines and advise Management on potential compliance risks,
- monitor timely submission of reports to competent Authorities and report any delays and fines to the Audit Committee,
- monitor and test whether staff effectively applies the internal processes and procedures aimed at achieving regulatory compliance. Report on potential breaches and required improvements and follow up on implementation,
- review staff accounts in order to monitor staff adherence to internal policies, procedures and the code of conduct and for indications of fraudulent activity,
- fulfil any statutory responsibilities and liaise with regulators and external bodies.

The scope of activities of Group Compliance covers the following key regulatory themes:

- Financial Crime including laws and regulations on Anti Money Laundering (AML) and Combat Financing of Terrorism (CFT), as well as reporting for Tax evasion (including FATCA/CRS reporting). The scope includes the provision of timely and accurate responses to requests arising from regulatory and judicial authorities as well as the co-operation with them to facilitate their work. The Board appoints the Head of Group Compliance as Money Laundering Reporting Officer and his/her Deputy,
- Client and Personal Data protection laws and regulations (including dormant accounts legislation, BoG's Code of Conduct for loans, the Payment Services Directive and the Deposit Guarantee scheme),
- Market Integrity including laws and regulations on Market Manipulation and Insider Trading,
- Business and internal conduct rules including Conflict of interest regulations, internal codes of conduct and anti-bribery and anti-corruption legislation,
- Any other topic for which there is a law / regulation explicitly assigning a responsibility to the Compliance function.

6. Principles of Internal Controls

The Group has established a System of Internal Controls that is based on international good practices and COSO terminology and is designed to provide reasonable assurance regarding the achievement of objectives in the following categories:

- efficient and effective operations,
- reliability and completeness of financial and management information,
- compliance with applicable laws and regulations.

The key principles underlying the Group's system of internal controls are described below:

- **Control Environment:** The control environment is the foundation for all components of Internal Control System, providing discipline and structure and influencing the control consciousness of employees. Integrity and high ethical values stem from management's philosophy and operating style and appropriate recruitment and training policies ensure the competence of the Group's people. The Group's organisation structure is suitable for its size and complexity with clearly defined responsibilities and reporting lines and clearly specified delegation of authority.

- **Risk Management:** the Group acknowledges that taking risks is an integral part of its business. It therefore sets mechanisms to identify those risks and assess their potential impact on the achievement of the Group's objectives. Because economic, industry, regulatory and operating conditions will continue to change, risk management mechanisms in place shall be set (and evolve) in a manner that enables to identify and deal with the specific and new risks associated with changes.
- **Control Activities:** Internal control activities are documented in the policies and detailed procedures that are designed to ensure that operations are carried out safely and all transactions are recorded accurately in compliance with Management's directives and regulations. They occur throughout the organisation and business processes, at all levels and in all functions. One of the prime organisational measures to ensure control effectiveness in the Group is segregation of duties. Functions that shall be separated include those of approval (limits, limit excesses, specific transactions), dealing, administration (administrative input, settlement, confirmation checks, transaction approval check, documentation check, file keeping, custody) and controlling (reconciliation, limit monitoring, excess approval check, risk management, compliance checks, physical counts).
- **Information and Communication:** Information must be identified, captured and communicated in a form and timeframe that enables people to carry out their responsibilities. The Group has set effective communication channels to ensure that information is communicated down, across and up within the organisation. Mechanisms are also in place to obtain appropriate external information as well as to communicate effectively with outside parties including regulators, shareholders and customers.
- **Monitoring:** the Group has established mechanisms for the ongoing monitoring of activities as part of the normal course of operations. These include regular management and supervisory activities and other actions personnel take in performing their duties that assess the performance of internal control systems. There are also independent evaluations of the internal control system by the Internal Audit function, the scope and frequency of which depend primarily on an assessment of risks and the effectiveness of ongoing monitoring procedures. Internal control deficiencies are reported upstream, with serious matters reported to top management, the Audit Committee and the Board. Every three years the efficiency of the internal control system on a solo and consolidated basis is independently evaluated by a third auditing firm, other than the statutory auditor, as provided for in BoG Governor's Act 2577/2006. The evaluation report is submitted for assessment to the Bank's Audit Committee and acknowledgment of the Board and is further submitted to the BoG.

7. Shareholders' General Meeting

The Shareholders' General Meeting ("General Meeting") is the supreme body of the Bank, convened by the Board and entitled to resolve upon any matter concerning the Bank and is the only competent body to resolve on issues described in article 34 of Company Law 2190/1920 (such as amendments to the Articles of Association). All shareholders have the right to participate and vote at the General Meeting either in person or by their legal representatives according to the proposed legal procedure each time in force.

The General Meeting is in quorum and meets validly when the shareholders, present or represented, represent at least 20% (1/5) of the paid-in share capital that corresponds to the shares with voting rights ("share capital"). Resolutions are reached by absolute majority. Exceptionally, with regard to certain significant decisions such as most decisions related to share capital, mergers etc.(para 3, art. 29, Company Law 2190/1920), the General Meeting is in quorum and meets validly when the shareholders, present or represented, represent at least 66.67% (2/3) of the paid-in share capital. Resolutions on the aforementioned issues are reached by two-thirds (2/3) majority. If such quorum is not reached, the General Meeting is convened again in a repeat Meeting where lower quorum is required for all categories of resolutions.

The HFSF's Representative has the right to request the convocation of the Shareholder's General Meeting. Such right was not exercised during 2017.

Following the completion of the Bank's share capital increase during the second half of 2015, fully covered by institutional and other investors, the percentage of the ordinary shares with voting rights held by the HFSF decreased from 35.41% to 2.38%. As a result, in the context of Law 3864/2010 as in force, the HFSF exercises its voting rights in the General Meetings only for decisions concerning the amendment of the Bank's Articles of Association, including the increase or reduction of the capital or the corresponding authorization to the Board, the mergers, divisions, conversions, revivals, extension of term or dissolution of the Bank, the transfer of assets (including the sale of subsidiaries), or any other issue requiring increased majority as provided for in Company Law 2190/1920.

The Annual General Meeting is held every year before the 10th of September. An Extraordinary General Meeting may be convened by the Board when it is considered necessary or when required by law.

The minutes of the General Meeting are signed by the Chairperson and the Secretary of the General Meeting.

All persons appearing as shareholders of ordinary shares of the Bank in the registry of the Dematerialized Securities System (DSS) managed by Hellenic Central Securities Depository S.A. on the Record Date, namely at the start of the fifth day before the General Meeting and in case of a repetitive General Meeting at the start of the fourth day prior to such Meeting, have the right to participate and vote in the General Meeting. For each General Meeting, the Board arranges for the detailed invitation, including date, place, record date, issues on the agenda and related papers to be available to

shareholders at least 20 days before the meeting, including the proposed resolution or commenting by the Board on each issue. The detailed invitation also defines the procedure to be followed for voting by proxy, the minority shareholders rights and any available documentation relating to the General Meeting.

Standard minority rights, as described in Company Law 2190/1920, apply.

8. Other information required by Directive 2004/25/EU

- **Holders of securities with special control rights**

The HFSF's participation interest in the Bank's share capital, through the ordinary shares it possesses, confers to HFSF the rights according to the legislation in force and the RFA that has been signed between the Bank and the HFSF, that are referred to in note 50 of the consolidated financial statements.

- **Treasury Shares**

The Shareholders' General Meeting can authorize the Board, under article 16 of Company Law 2190/1920, to implement a program of acquisition of treasury shares. However, according to paragraph 1 of Article 16C of Law 3864/2010, during the period of the participation of the HFSF in the share capital of the Bank it is not permitted to the Bank to purchase treasury shares without the approval of the HFSF (note 40 of the consolidated accounts).

For other information required by Directive 2004/25/EU regarding the: a) Major shareholdings, b) Authority to issue new shares, and c) Restrictions of voting rights, please refer to the relevant sections of the Directors' Report.

III. Independent Auditor's Report



[Translation from the original text in Greek]

Independent auditor's report

To the Shareholders of "Eurobank Ergasias S.A."

Report on the audit of the financial statements and consolidated financial statements

Our opinion

We have audited the accompanying financial statements of the Bank 'Eurobank Ergasias S.A.' (the 'Bank'), included in the chapter V of Annual Financial Report and consolidated financial statements of Eurobank Ergasias S.A. (the 'Group'), included in the chapter IV of Annual Financial Report, which comprise the balance sheet as of 31 December 2017, the income statement and statements of comprehensive income, changes in equity and cash flow statement for the year then ended, and notes to the financial statements, including a summary of significant accounting policies as well as the consolidated balance sheet as of 31 December 2017, the consolidated income statement, consolidated statements of comprehensive income, changes in equity and consolidated cash flow statement for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the financial statements and consolidated financial statements present fairly, in all material respects, the financial position of the Bank and consolidated financial position of the Group as at 31 December 2017, the financial performance of the Bank and the consolidated financial performance of the Group and the cash flow of the bank and consolidated cash flows of the Group for the year then ended in accordance with International Financial Reporting Standards, as adopted by the European Union and comply with the statutory requirements of Codified Law 2190/1920.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs), as they have been transposed into Greek Law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements and consolidated financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

During our audit we remained independent of the Bank and the Group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) that has been transposed into Greek Law, and the ethical requirements of Law 4449/2017 and of Regulation (EU) No 537/2014, that are relevant to the audit of the financial statements and consolidated financial statements in Greece. We have fulfilled our other ethical responsibilities in accordance with Law 4449/2017, Regulation (EU) No 537/2014 and the requirements of the IESBA Code.

We declare that the non-audit services that we have provided to the Bank and its subsidiaries are in accordance with the aforementioned provisions of the applicable law and regulation and that we have

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not provided non-audit services that are prohibited under Article 5(1) of Regulation (EU) No 537/2014.

The non-audit services that we have provided to the Bank and its subsidiaries, during the year ended as at 31 December 2017, are disclosed in the note 46 of the financial statements and note 51 of the consolidated financial statements.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the Bank and consolidated financial statements of the current period. These matters were addressed in the context of our audit of the financial statements of the Bank and consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
Impairment allowance for loans and advances to customers (Financial statements and Consolidated Financial Statements) We focused on this area because of the complex and subjective nature of the impairment calculation. Impairment allowance represents management's best estimate of the losses incurred within the loan portfolios. Significant judgement is required around both timing of recognition of impairment and estimation of the amount of allowance required in relation to loss events, which have occurred up to the balance sheet date. The calculation of impairment allowances for individually significant loans is performed on an individual basis. All other loans that are not individually significant or loans that are individually significant but were not found to be impaired, following the individual assessment, are included within a group of loans with similar characteristics and collectively assessed by using impairment models for each portfolio. Retail Impairment allowance relating to loans and advances to customers in the retail portfolio is mainly determined on a collective basis. The key assumptions and judgements that underlie the calculation include the probability of	We obtained an understanding of the management processes and tested key controls over impairment data and calculations, including: - the internal controls in retail and wholesale underwriting; - internal controls in credit risk management; - the classification of borrowers based on credit risk characteristics; - the identification of impairment event; and - the existence and valuation of collaterals. We noted no significant exceptions in the design, implementation or operating effectiveness of these controls. Therefore, we relied on them for the purposes of our audit. In addition we performed the following substantive procedures described below. Retail For collective impairment, we assessed the appropriateness of the methodology and models used to calculate the impairment allowance. This included testing whether the portfolios were appropriate segmented based on specific credit characteristics and challenging that historical information was relative of current circumstances. We performed testing over the completeness and accuracy of data from underlying systems and information used in the impairment models by agreeing details to the source systems and re-performing the calculation of the impairment allowance. We evaluated and challenged the appropriateness of

default, the loss given default and the emergence period between the impairment event occurring and impairment being recognised.

These assumptions are estimated based on historical experience and other data available at the reporting date.

Management applies overlays where they believe the calculated assumptions based on historical experience are not appropriate, either due to additional information becoming available or models not capturing the risks in the loan portfolio.

Wholesale

Impairment allowance related to loans and advances to customers in the wholesale portfolio are primarily determined on an individual basis. The key assumptions and judgements made by the management for the individual assessment mainly include:

- when there is indication of impairment;
- estimation of the expected future cash flows related to that loan; and
- valuation and recoverability assessment of the collateral.

For those loans that have not been found to be impaired, a collective impairment is calculated to cover unidentified loss (i.e. losses which have been incurred but not yet reported), considering the key assumptions and judgements (i.e. probability of default and loss given default) for loans with similar credit risk characteristics.

For further information on accounting estimates and judgments for impairment losses on loans and advances, on management of credit risk and on notes for impairment allowance for loans and advances to customers, refer to notes 3.1, 7.2.1 and 22 to the financial statements and notes 3.1, 7.2.1 and 25 to the consolidated financial statements.

management's judgements in respect of key assumptions and performed sample testing of model inputs.

We also assessed whether customer forbearances plans had been reflected in the impairment model and considered completeness and appropriateness of management's overlays related to specific circumstances and other factors that might not be fully reflected in the impairment model.

Furthermore, with respect to the retail mortgage portfolio in Swiss Francs, we evaluated recent developments and court decisions in relation to various lawsuits filed against the Bank (note 43 of financial statements and note 47 of consolidated financial statements).

Based on the procedures performed and evidence obtained, we found that the methodologies applied are appropriate and key assumptions and data used within the models are reasonable.

Wholesale

We assessed the criteria for determining whether a loss event had occurred and therefore whether there was a requirement to calculate the present value of expected cash flow for an individual impairment allowance. We performed testing over the completeness and accuracy of data from underlying systems and information used in the impairment models by agreeing details to the source systems.

For a sample of individually impaired loans, we evaluated the latest developments and specific circumstances of each borrower and assessed whether key assumptions and impairment allowance are reasonable by taking into account the expected future cash flows and the value of collaterals held.

We tested a sample of performing loans to evaluate whether adequate processes were in place by management for the timely identification of impairment events. For loans that were not individually impaired, we confirmed that those were included in a separate group of loans with similar credit risk characteristic and were collectively assessed for impairment.

Based on the evidence obtained, we found that the

Recoverability of deferred tax asset (Financial Statements and Consolidated Financial Statements)

We focused on this area due to the size of deferred tax asset (€ 4.8 billion as at 31 December 2017 for financial statements and consolidated financial statements) and the fact that the recoverability assessment performed by the management is complex and judgemental in order to justify a tax planning exercise, which is largely based on the Bank's and Group's latest business plan, that may be impacted by the risks and uncertainties stemming from the macroeconomic environment in Greece.

The Bank and the Group recognize deferred tax assets to the extent that it is probable that sufficient taxable profit will be available against which unused tax losses and deductible temporary differences can be utilized. These differences relate mainly to: (a) losses resulted from Bank's and Group's participation in PSI+ and the Greek's state debt buyback program, which is subject to amortization starting from year 2012 and for 30 years onwards for tax purposes, and (b) losses arising from loan impairment that can be utilized in future periods with no specified time limit according to current tax legislation.

The recoverability of recognised deferred tax assets is dependent on the Bank's and Group's ability to generate future taxable profits sufficient to utilise deductible temporary differences and tax losses (before the latter expire).

Management's assessment on the existence of future taxable profits requires the use of significant judgement and estimates as below:

- the assumptions that underpin the business plan of the Bank and Group in relation to future performance

methodologies and data used within the models were appropriate and key assumptions applied were reasonable.

We assessed management's assumptions used to determine the probability that deferred tax assets recognized in the balance sheet as at 31 December 2017 are recoverable through future taxable profit.

We assessed the reasonableness of the key assumptions used by the management for the business plan as follows:

- comparing to our own independently developed expectations derived from our industry knowledge and our understanding obtained during our audit and;
- performed a sensitivity analysis to determine the effect of changes in the assumptions and how estimation uncertainty may affect Bank's and Group's projected profitability.

For the purpose of our recoverability assessment, we tested the adjustments applied by management to calculate taxable profits from accounting profits, with the support of our tax specialists, and checked their consistency with prior years. Furthermore our procedures also included assessing management's interpretations of current tax legislation with respect to the accounting write offs and the gradual amortisation of the crystallised tax loss arising from non performing loans' disposals and debt forgiveness arrangements.

In addition, we assessed the historical accuracy of management's assumptions by comparing them to actual results reported.

We evaluated the adequacy of the financial statements and consolidated financial statements disclosures, including disclosures of key assumptions and judgements.

Based on our procedures, we found that the management's judgements and assumptions around the deferred tax assets were reasonable.

-
- expectations relevant to determine the expected future taxable profits;
- the projections required to cover the time horizon up to the legal expiration of the period within which the deferred tax asset can be recovered; and
 - the adjustments required to derive the estimated tax profits from accounting profits (estimated in the business plan) to infer the amount of deferred tax asset that will be recoverable in future periods.

For further information on accounting estimates and judgments for income taxes and on note for Deferred Income taxes, refer to notes 3.4 and 16 to financial statements and notes 3.5 and 16 to consolidated financial statements.

Disclosure for the estimated impact of IFRS 9 (Financial statements and Consolidated Financial Statements)

IFRS 9 'Financial Instruments' is effective from 1 January 2018, replacing the existing financial instruments standard IAS 39. We focused on this area because of the impact that the new standard is expected to have on business model, processes, data, controls, flows and information systems across several dimensions and because of the significant judgement required by management for the calculation of expected credit losses. Expected credit losses models are more complex compared to existing models ('incurred') and require significant judgment regarding certain key credit risk inputs, data and assumptions.

The disclosures included in the 2017 financial statements and consolidated financial statements reflected the estimated impact from the adoption of IFRS 9 based on the accounting policies, assumptions and judgments of the Bank and Group as determined to date.

For further information on the estimated

We understood the management process and key controls for the calculation of expected credit losses and focused on:

- assessing the appropriateness of accounting policies and methodologies in respect of classification and measurement and impairment of financial instruments;
- assessing of business model and appropriate classification of financial assets at amortised cost;
- assessing model development and validation documentation for retail and corporate credit risk models with the support of our internal credit modelling experts;
- reviewing post model adjustments recorded by management;
- transferring of data between source accounting systems and the impairment calculation engine;
- assessing for reasonableness of key inputs and assumptions used by the management prior to use in the model; and
- understood the expected credit loss calculation process and re-performed certain calculations to confirm the results were appropriate.

Based on the evidence obtained, we found that the methodologies and assumptions used in preparing the IFRS 9 transition disclosure to be reasonable.

transition to IFRS 9 and impact assessment, refer to note 2.1.2 to the financial statements and consolidated financial statements.

Use of IT Systems (Financial statements and Consolidated Financial Statements)

The Bank and Group's financial reporting processes are highly reliant on information produced by the Bank and Group's Information Technology (IT) systems, and / or automated processes and controls (i.e. calculations, reconciliations) implemented in these systems.

The nature, complexity and the increased use of these information systems combined with the large volume of transactions being processed on a daily basis increase the risk over the effective inter-connectivity of the IT systems and data and the risk around the degree of reliability of the financial reporting information. The banking environment is also subject to a number of internal and external threats relating to cyber security.

The audit approach relies on the effectiveness of controls over IT systems, which is critical to the financial reporting, and the overall information security resilience of the Bank and Group.

We assessed the information security resilience of the Bank and Group by evaluating the design of key IT processes and controls over financial reporting. More specifically, we assessed the administration of access, changes and daily IT operations for key layers of underlying infrastructure (i.e. application, operating system, database) for the systems in scope of the audit, and tested the operating effectiveness of the aforementioned processes and controls.

In addition, in order to place reliance on the system generated information (i.e. data and reports), and any automated controls (i.e. calculations, reconciliations) implemented in these systems, we have also relied on business process controls, and performed additional substantive procedures as part of our audit.

Other Information

The members of the Board of Directors are responsible for the Other Information. The Other Information, which is included in the Annual Financial Report in accordance with Law 3556/2007, is the Statements of the members of the Board of Directors (according to the article 4, par. 2 of the Law 3556/2007), the Report of the Directors and Corporate Governance Statement, and the Information of Eurobank Ergasias S.A. group for the period 1.1-31.12.2017 pursuant to article 6 of l. 4374/2016 (but does not include the financial statements, consolidated financial statements and our auditor's report thereon), which we obtained prior to the date of this auditor's report.

Our opinion on the financial statements and consolidated financial statements does not cover the Other Information and except to the extent otherwise, explicitly stated in this section of our Report, we do not express an audit opinion or other form of assurance thereon.

In connection with our audit of the financial statements and consolidated financial statements, our responsibility is to read the Other Information identified above and, in doing so, consider whether the



Other Information is materially inconsistent with the financial statements and consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

We considered whether the Report of the Directors includes the disclosures required by Codified Law 2190/1920 and the Corporate Governance Statement required by article 43bb of Codified Law 2190/1920 has been prepared.

Based on the work undertaken in the course of our audit, in our opinion:

- The information given in the the Report of the Directors for the year ended at 31 December 2017 is consistent with the financial statements and consolidated financial statements,
- The Report of the Directors has been prepared in accordance with the legal requirements of articles 43a and 107A of the Codified Law 2190/1920,
- The Corporate Governance Statement provides the information referred to items c and d of paragraph 1 of article 43bb of the Codified Law 2190/1920.

In addition, in light of the knowledge and understanding of the Bank and Group and their environment obtained in the course of the audit, we are required to report if we have identified material misstatements in the Report of the Directors and Other Information that we obtained prior to the date of this auditor's report. We have nothing to report in this respect.

Responsibilities of Board of Directors and those charged with governance for the financial statements and consolidated financial statements

The Board of Directors is responsible for the preparation and fair presentation of the financial statements and consolidated financial statements in accordance with International Financial Reporting Standards, as adopted by the European Union and comply with the requirements of Codified Law 2190/1920, and for such internal control as the Board of Directors determines is necessary to enable the preparation of financial statements and consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements and consolidated financial statements, the Board of Directors is responsible for assessing the Bank's and Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless Board of Directors either intends to liquidate the Bank and Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's and Group's financial reporting process.

Auditor's responsibilities for the audit of the financial statements and consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements and consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to



influence the economic decisions of users taken on the basis of these financial statements and consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements and consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's and Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Board of Directors.
- Conclude on the appropriateness of Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's and Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements and consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank and Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements and consolidated financial statements, including the disclosures, and whether the financial statements and consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Bank and Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements and consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report.



Report on other legal and regulatory requirements

1. Additional Report to the Audit Committee

Our opinion on the accompanying financial statements and consolidated financial statements is consistent with our Additional Report to the Audit Committee of the Bank.

2. Appointment

We were first appointed as auditors of the Bank by the decision of the annual general meeting of shareholders on 01 April 1998. Our appointment has been renewed annually by the decision of the annual general meeting of shareholders for a total uninterrupted period of appointment of 20 years.



PricewaterhouseCoopers S.A.
Certified Auditors
268 Kifissias Avenue
152 32 Halandri
Soel Reg. No 113

Athens, 29 March 2018

The Certified Auditor

Konstantinos Michalatos
Soel Reg. No 17701

IV. Consolidated Financial Statements for the year ended 31 December 2017



EUROBANK ERGASIAS S.A.

CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED

31 DECEMBER 2017

8 Othonos Street, Athens 105 57, Greece
www.eurobank.gr, Tel.: (+30) 210 333 7000
General Commercial Registry No: 000223001000

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Consolidated Balance Sheet

		31 December	
		2017	2016
	Note	€ million	Restated ⁽¹⁾ € million
ASSETS			
Cash and balances with central banks	19	1,524	1,477
Due from credit institutions	21	2,123	2,759
Financial instruments at fair value through profit or loss	22	49	71
Derivative financial instruments	23	1,878	1,980
Loans and advances to customers	24	37,108	39,058
Investment securities	26	7,605	12,518
Investments in associates and joint ventures	28	156	101
Property, plant and equipment	30	390	638
Investment property	31	277	905
Intangible assets	32	152	145
Deferred tax assets	16	4,859	4,929
Other assets	33	1,724	1,851
Assets of disposal groups classified as held for sale	17	2,184	-
Total assets		60,029	66,432
LIABILITIES			
Due to central banks	34	9,994	13,906
Due to credit institutions	35	3,997	7,780
Derivative financial instruments	23	1,853	2,441
Due to customers	36	33,843	34,031
Debt securities in issue	37	549	102
Other liabilities	38	684	778
Liabilities of disposal groups classified as held for sale	17	1,959	-
Total liabilities		52,879	59,038
EQUITY			
Ordinary share capital	40	655	655
Share premium	40	8,055	8,055
Reserves and retained earnings		(2,556)	(2,949)
Preference shares	41	950	950
Total equity attributable to shareholders of the Bank		7,104	6,711
Preferred securities	42	43	43
Non controlling interests	17	3	640
Total equity		7,150	7,394
Total equity and liabilities		60,029	66,432

⁽¹⁾ The comparative information has been restated due to change in accounting policy (note 52).

Notes on pages 6 to 130 form an integral part of these consolidated financial statements

Consolidated Income Statement

	Note	Year ended 31 December	
		2017	2016
		€ million	Restated ⁽¹⁾ € million
Interest income		2,164	2,274
Interest expense		(700)	(811)
Net interest income	8	1,464	1,463
Banking fee and commission income		372	349
Banking fee and commission expense		(114)	(126)
Net banking fee and commission income	9	258	223
Income from non banking services	10	10	11
Net trading income	11	67	18
Gains less losses from investment securities	11	73	120
Other income/(expenses)	16,24,27	10	72
Operating income		1,882	1,907
Operating expenses	12	(895)	(903)
Profit from operations before impairments, provisions and restructuring costs		987	1,004
Impairment losses on loans and advances	25	(750)	(741)
Other impairment losses and provisions	14	(50)	(55)
Restructuring costs	14	(13)	(66)
Share of results of associates and joint ventures		7	(5)
Profit before tax		181	137
Income tax	15	(5)	54
Tax adjustments	15	-	31
Net profit from continuing operations		176	222
Net profit/ (loss) from discontinued operations	17	(61)	32
Net profit		115	254
Net profit attributable to non controlling interests	17	11	19
Net profit attributable to shareholders		104	235
		€	€
Earnings per share			
-Basic and diluted earnings per share	18	0.05	0.11
Earnings per share from continuing operations			
-Basic and diluted earnings per share	18	0.08	0.10

⁽¹⁾ The comparative information has been adjusted with: a) the restatement due to change in accounting policy (note 52) and b) the presentation of operations of Romanian disposal group and Grivalia subgroup (until June 2017) as discontinued (note 17).

Notes on pages 6 to 130 form an integral part of these consolidated financial statements

Consolidated Statement of Comprehensive Income

	Year ended 31 December			
	2017		2016	
			Restated ⁽¹⁾	
	€ million		€ million	
Net profit		115		254
Other comprehensive income:				
Items that are or may be reclassified subsequently to profit or loss:				
Cash flow hedges				
- changes in fair value, net of tax	27		11	
- transfer to net profit, net of tax	(8)	19	(1)	10
Available for sale securities				
- changes in fair value, net of tax (note 5)	244		76	
- transfer to net profit, net of tax (note 26)	(31)	213	(112)	(36)
Foreign currency translation				
- changes in fair value, net of tax	2		(19)	
- transfer to net profit, net of tax	4	6	69	50
Associates and joint ventures				
- changes in the share of other comprehensive income, net of tax	52	52	2	2
		290		26
Items that will not be reclassified to profit or loss:				
- Actuarial losses on post employment benefit obligations, net of tax	(2)	(2)	(4)	(4)
Other comprehensive income		288		22
Total comprehensive income attributable to:				
Shareholders				
- from continuing operations	470		257	
- from discontinued operations	(78)	392	(0)	257
Non controlling interests				
- from continuing operations	0		(0)	
- from discontinued operations	11	11	19	19
		403		276

⁽¹⁾ The comparative information has been adjusted with: a) the restatement due to change in accounting policy (note 52) and b) the presentation of operations of Romanian disposal group and Grivalia subgroup (until June 2017) as discontinued (note 17).

Notes on pages 6 to 130 form an integral part of these consolidated financial statements

Consolidated Statement of Changes in Equity

	Total equity attributable to shareholders of the Bank							Total € million
	Ordinary share capital € million	Share premium € million	Special reserves € million	Retained earnings € million	Preference shares € million	Preferred securities € million	Non controlling interests € million	
Balance at 1 January 2016	656	8,055	7,786	(11,027)	950	43	669	7,132
Restatement due to change in accounting policy (note 52)	-	-	-	34	-	-	-	34
Balance at 1 January 2016, as restated	656	8,055	7,786	(10,993)	950	43	669	7,166
Net profit (restated, note 52)	-	-	-	235	-	-	19	254
Other comprehensive income	-	-	22	-	-	-	(0)	22
Total comprehensive income for the year ended 31 December 2016	-	-	22	235	-	-	19	276
Acquisition/changes in participating interests in subsidiary undertakings	-	-	-	1	-	-	(25)	(24)
(Purchase)/sale of treasury shares (note 40)	(1)	0	-	(0)	-	-	-	(1)
Dividends distributed by subsidiaries attributable to non controlling interests	-	-	-	-	-	-	(24)	(24)
Share-based payment:								
- Value of employee services	-	-	0	-	-	-	1	1
Transfers between reserves	-	-	(93)	93	-	-	-	-
	(1)	0	(93)	94	-	-	(48)	(48)
Balance at 31 December 2016	655	8,055	7,715	(10,664)	950	43	640	7,394
Balance at 1 January 2017	655	8,055	7,715	(10,664)	950	43	640	7,394
Net profit	-	-	-	104	-	-	11	115
Other comprehensive income	-	-	288	-	-	-	0	288
Total comprehensive income for the year ended 31 December 2017	-	-	288	104	-	-	11	403
Acquisition/changes in participating interests in subsidiary undertakings (note 17)	-	-	-	-	-	-	(634)	(634)
(Purchase)/sale of treasury shares (note 40)	(0)	(0)	-	1	-	-	-	1
Dividends distributed by subsidiaries attributable to non controlling interests	-	-	-	-	-	-	(15)	(15)
Share-based payment:								
- Value of employee services	-	-	0	-	-	-	1	1
Transfers between reserves	-	-	2	(2)	-	-	-	-
	(0)	(0)	2	(1)	-	-	(648)	(647)
Balance at 31 December 2017	655	8,055	8,005	(10,561)	950	43	3	7,150
	Note 40	Note 40	Note 43		Note 41	Note 42		

Notes on pages 6 to 130 form an integral part of these consolidated financial statements

Consolidated Cash Flow Statement

		Year ended 31 December	
		2017	2016
			Restated ⁽¹⁾
Note	€ million	€ million	
Cash flows from continuing operating activities			
Profit before income tax from continuing operations		181	137
Adjustments for :			
Impairment losses on loans and advances	25	750	741
Other impairment losses, provisions and restructuring costs	14	63	115
Depreciation and amortisation	12	60	62
Other (income)/losses on investment securities	20	(135)	(182)
Other adjustments	20	(13)	(43)
		906	830
Changes in operating assets and liabilities			
Net (increase)/decrease in cash and balances with central banks		(10)	76
Net (increase)/decrease in financial instruments at fair value through profit or loss		(29)	16
Net (increase)/decrease in due from credit institutions		499	217
Net (increase)/decrease in loans and advances to customers		(356)	285
Net (increase)/decrease in derivative financial instruments		(160)	(38)
Net (increase)/decrease in other assets		14	281
Net increase/(decrease) in due to central banks and credit institutions		(7,867)	(8,047)
Net increase/(decrease) in due to customers		1,743	1,854
Net increase/(decrease) in other liabilities		(10)	(35)
		(6,176)	(5,391)
Income tax paid		(31)	(34)
Net cash from/(used in) continuing operating activities		(5,301)	(4,595)
Cash flows from continuing investing activities			
Acquisition of fixed and intangible assets		(97)	(55)
Proceeds from sale of fixed and intangible assets		93	37
(Purchases)/sales and redemptions of investment securities		4,950	4,023
Acquisition of subsidiaries, net of cash acquired	27	(0)	37
Acquisition of holdings in associates and joint ventures and participations in capital increases	28	(8)	(9)
Disposal of subsidiaries, net of cash disposed	17	125	289
Disposal/liquidation of holdings in associates and joint ventures		-	2
Dividends from investment securities, associates and joint ventures		11	2
Net cash from/(used in) continuing investing activities		5,074	4,326
Cash flows from continuing financing activities			
(Repayments)/proceeds from debt securities in issue	20	445	(153)
Expenses paid for share capital increase		-	(6)
(Purchase)/sale of treasury shares		1	(1)
Net cash from/(used in) continuing financing activities		446	(160)
Effect of exchange rate changes on cash and cash equivalents		7	(3)
Net increase/(decrease) in cash and cash equivalents from continuing operations		226	(432)
Net cash flows from discontinued operating activities		332	(275)
Net cash flows from discontinued investing activities		(92)	242
Net cash flows from discontinued financing activities		(15)	(37)
Effect of exchange rate changes on cash and cash equivalents		(5)	(6)
Net increase/(decrease) in cash and cash equivalents from discontinued operations		220	(76)
Cash and cash equivalents at beginning of year	20	1,697	2,205
Cash and cash equivalents at end of year	20	2,143	1,697

⁽¹⁾ The comparative information has been adjusted with: a) the restatement due to change in accounting policy (note 52) and b) the presentation of operations of Romanian disposal group and Grivalia subgroup (until June 2017) as discontinued (note 17).

Notes on pages 6 to 130 form an integral part of these consolidated financial statements

Notes to the Consolidated Financial Statements

1. General information

Eurobank Ergasias S.A. (the Bank) and its subsidiaries (the Group) are active in retail, corporate and private banking, asset management, treasury, capital markets and other services. The Bank is incorporated in Greece and its shares are listed on the Athens Stock Exchange. The Group operates mainly in Greece and in Central and Southeastern Europe.

These consolidated financial statements, which include the Appendix, were approved by the Board of Directors on 28 March 2018. The Independent Auditor's Report of the Financial Statements is included in the section III of the Annual Financial Report for the year ended 31 December 2017.

2. Basis of preparation and principal accounting policies

The principal accounting policies applied in the preparation of the consolidated financial statements are set out below:

2.1 Basis of preparation

The consolidated financial statements of the Group have been prepared in accordance with International Financial Reporting Standards (IFRS) issued by the IASB, as endorsed by the European Union (EU), and in particular with those IFRSs and IFRS Interpretation Committee's (IC) interpretations, issued and effective or issued and early adopted as at the time of preparing these statements.

The consolidated financial statements are prepared under the historical cost convention as modified by the revaluation of available-for-sale financial assets and of financial assets and financial liabilities (including derivative instruments) at fair-value-through-profit-or-loss.

The preparation of financial statements in conformity with IFRS requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities at the date of the financial statements, as well as the reported amounts of revenues and expenses during the reporting period. Although these estimates are based on management's best knowledge of current events and actions, actual results ultimately may differ from those estimates.

The Group's presentation currency is the Euro (€) being the functional currency of the parent company. Except as indicated, financial information presented in Euro has been rounded to the nearest million.

Going concern considerations

The annual financial statements have been prepared on a going concern basis, as the Board of the Directors considered as appropriate, taking into consideration the following:

Macroeconomic environment

Greece's real GDP grew by 1.4% in 2017, according to the Hellenic Statistical Authority's (ELSTAT) first estimate from -0.02% in 2016, while the real GDP growth consensus forecast for 2018 is at 2.1% (compared to an official target of 2.5%). The unemployment rate in December 2017 was 20.8%, based on ELSTAT data (31 December 2016: 23.5%). On the fiscal front, Greece's primary surplus for 2017 is expected at 2.44% of GDP, according to the 2018 Budget data, outperforming the respective Third Economic Adjustment Program (TEAP) primary balance target of 1.75%. According to Bank of Greece and ELSTAT data the current account deficit decreased at -0.8% of GDP in 2017 (2016: -1.1 %).

Greece, following the conclusion of the TEAP second review in June 2017 and the consequent release of the € 8.5 bn loan tranche, reached a staff level agreement with the European institutions on the policy package of the third review on 4 December 2017 and implemented all prior actions by early 2018, which paved the way for the disbursement of the first sub-tranche of € 5.7 bn in the second half of March 2018. The second sub-tranche of € 1 bn will be disbursed in the second quarter of 2018 subject to positive reporting by the European institutions on the clearance of net arrears and the unimpeded flow of e-auctions. On the back of the aforementioned positive developments, Greece returned to the financial markets through the issue of a € 3 bn five-year bond at a yield of 4.625% on 24 July 2017 (for the first time since July 2014) and a € 3 bn seven-year bond at a yield of 3.5% on 8 February 2018. The proceeds of the bond issues are used for further liability/debt management and for the build-up of a state cash buffer that would facilitate the country's market access after the end of the program in August 2018.

The completion of the fourth and final review of the TEAP, which will be carried out by June 2018 according to the implementation plan, an expected significant rise in investments (2018 Budget estimate at 11.4% compared to 9.6% increase in 2017), and a

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forecasted strong tourism season support expectations for a further improvement in domestic economic activity in 2018. The decisive implementation of the reforms agreed in the context of the TEAP, the implementation of further debt relief measures in accordance with 24 May 2016 Eurogroup decisions, the mobilization of European Union (EU) funding to support domestic investment and job creation, the attraction of foreign and domestic capital and the adoption of an extrovert economic development model will facilitate the restoration of confidence in the prospects of the Greek economy and the further stabilization of the domestic economic environment, which are necessary conditions for the return of the country to a strong and sustainable growth path.

The main risks and uncertainties are associated with (a) the possible delays in the implementation of the reforms' agenda in order to meet the next targets and milestones of the TEAP, (b) the possible delays in the agreement of the post-program relation between Greece and the Institutions, (c) the impact on the level of economic activity and on the attraction of direct investments from the fiscal and social security-related measures agreed under the reviews of the TEAP, (d) the ability to attract new investments in the country, (e) the timing of a full lift of restrictions in the free movement of capital and the respective impact on the level of economic activity, (f) the possible slow pace of deposits inflows and/ or possible delays in the effective management of non-performing exposures (NPEs) as a result of the challenging macroeconomic conditions in Greece and (g) the geopolitical conditions in the broader region and the external shocks from a slowdown in the global economy.

Liquidity risk

In accordance with the agreement with the European partners the authorities are committed to preserving sufficient liquidity in the banking system, as long as Greece meets its obligations under the European Stability Mechanism (ESM) program. The gradual stabilisation of the macroeconomic environment, following the completion of the second and the third review of the TEAP, has enhanced Greece's credibility towards the international markets, improved the domestic economic sentiment and facilitated the return of deposits as well as the further relaxation of capital controls. The successful completion of the fourth review of the TEAP and an agreement on the post-program relation of Greece with its official creditors will help further reinstating depositors' confidence and thus accelerate the return of deposits, and it will positively influence the financing of the economy.

In 2017, the Group's deposits inflows of € 1.8 bn (of which € 1.2 bn in Greece), along with the increased market repos on covered bonds and Greek Treasury bills, a € 500 million covered bond issue to international and domestic investors and the assets deleveraging resulted in the significant decrease of the Bank's dependency from the Eurosystem to € 10 bn at the end of December 2017, of which € 7.9 bn funding from ELA, (31 December 2016: € 13.9 bn, of which € 11.9 bn from ELA) and the elimination of the Bank's participation in the second stream of the Hellenic Republic liquidity support program at the end of October 2017 (31 December 2016: bonds guaranteed by the Greek Government of € 2.5 bn). On 28 February 2018, the Eurosystem funding further declined to € 7.1 bn, of which € 5.7 bn from ELA (notes 4 and 34).

Solvency risk

The Group monitors closely the developments in the Greek macroeconomic environment taking into account its direct and indirect exposure to sovereign risk (note 5). A key priority is the active management of NPEs, with the aim to substantially reduce their stock in accordance with the Bank's operational targets and taking advantage of the Group's internal infrastructure, the important legislative changes and the external partnerships that have taken or are expected to take place. As at 31 December 2017, the Bank has reduced its NPEs stock by € 2.4 bn to € 18.1 bn, outperforming the respective initial SSM target of € 18.8 bn (note 7.2).

In parallel, the Group recorded a net profit attributable to shareholders of € 104 million for 2017 (€ 186 million, net profit from continuing operations before restructuring costs) on the back of higher net interest and commission income from both Greek and international activities. In the context of its strategic plan, the Bank has undertaken significant initiatives towards the fulfillment of the remaining commitments of the restructuring plan (note 6) and it proceeded with the redemption of the preference shares by issuing Tier 2 bonds at early 2018, which count in its total capital adequacy ratio (note 41). The Group's Common Equity Tier 1 (CET1) ratio stood at 17.9% at 31 December 2017, while the respective pro-forma ratio with the redemption of preference shares/issue of Tier 2 bonds and the completion of the sale transaction in Romania would be 15.8% (note 6). The impact of the adoption of IFRS 9 on Group's CET1 as at the end of 2018, according to the transitional arrangements for the 5-year phase in period, is estimated to be approximately 20 bps.

Eurobank, along with the other three Greek systemic banks directly supervised by the European Central Bank (ECB), undergoes the 2018 EU-wide stress test launched by the European Banking Authority (EBA) on 31 January 2018. The results for the Greek systemic banks are expected to be published in May 2018 (note 6).

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Within an environment of positive growth, the Group is well on track to achieve the 2018 NPE reduction targets, maintain profitability, continue the creation of organic capital and strengthen its position in the Greek market and abroad.

Going concern assessment

The Board of Directors, taking into consideration the above factors relating to the adequacy of the Group's capital position, the outperformance of NPEs reduction targets and its anticipated continued access to Eurosystem funding over the foreseeable future, has been satisfied that the financial statements of the Group can be prepared on a going concern basis.

2.1.1 New and amended standards and interpretations

The policies set out below have been consistently applied to the years 2017 and 2016, except as described below as well as in note 2.2.5. Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

Amendments to standards adopted by the Group

The following amendments to standards, as issued by the International Accounting Standards Board (IASB) and endorsed by the European Union (EU), apply from 1 January 2017:

IAS 7, Amendment-Disclosure Initiative

The amendment requires disclosure of information enabling users of financial statements to evaluate changes in liabilities arising from financing activities, including both changes from cash flows and non-cash changes. The disclosure requirements also apply to changes in financial assets, such as assets that hedge liabilities arising from financing activities, if cash flows from those financial assets were or future cash flows will be, included in cash flows from financing activities. The Group has implemented the disclosure requirement in note 20.

IAS 12, Amendment-Recognition of Deferred Tax Assets for Unrealized Losses

The amendment clarifies that (a) unrealized losses on debt instruments measured at fair value in the financial statements and at cost for tax purposes may give rise to a deductible temporary difference irrespective of whether the entity expects to recover the carrying amount of the debt instrument by sale or use, (b) estimates for future taxable profits exclude tax deductions resulting from the reversal of deductible temporary differences, (c) the estimate of probable future taxable profits may include the recovery of an asset for more than its carrying amount, if there is sufficient evidence that it is probable that this will be realized by the entity, and (d) a deferred tax asset is assessed in combination with all of the other deferred tax assets where the tax law does not restrict the sources of taxable profits against which the entity may make deductions on the reversal of that deductible temporary difference. Where restrictions apply, deferred tax assets are assessed in combination only with other deferred tax assets of the same type.

The adoption of the amendment had no impact on the Group's consolidated financial statements.

Annual Improvements to IFRSs 2014-2016 Cycle

IFRS 12 'Disclosure of Interests in Other Entities': It is clarified that the disclosure requirements in IFRS 12 apply to an entity's interest in a subsidiary, a joint venture or an associate classified as held for sale except for the requirement for summarized financial information.

The adoption of the amendment had no impact on the Group's consolidated financial statements.

New standards, amendments to standards and interpretations not yet adopted by the Group

A number of new standards, amendments to existing standards and interpretations are effective after 2017, as they have not yet been endorsed by the European Union or have not been early applied by the Group. Those that may be relevant to the Group are set out below (except for IFRS 9, which is presented in section 2.1.2):

IAS 19, Amendment –Plan Amendment, Curtailment or Settlement (effective 1 January 2019, not yet endorsed by EU)

The amendment clarifies that when a change to a defined benefit plan i.e. an amendment, curtailment or settlement takes place and a remeasurement of the net defined benefit liability or asset is required, the updated actuarial assumptions from the remeasurement should be used to determine current service cost and net interest for the remainder of the reporting period after the change to the plan. Additionally, the amendment includes clarifications about the effect of a plan amendment, curtailment or settlement on the requirements regarding the asset ceiling.

The adoption of the amendment is not expected to impact the Group's consolidated financial statements.

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IAS 28, Amendment – Long Term Interests in Associates and Joint Ventures (effective 1 January 2019, not yet endorsed by EU)

The amendment clarifies that IFRS 9 'Financial Instruments' including its impairment requirements, applies to long term interests in associates or joint ventures that form part of the entity's net investment in the associate or joint venture but are not accounted for using equity accounting.

According to the amendment, any adjustments to the carrying amount of long term interests resulting from the application of IAS 28 should not be considered when applying the IFRS 9 requirements which apply to long term interests before applying the loss allocation and impairment requirements of IAS 28.

The adoption of the amendment is not expected to impact the Group's consolidated financial statements.

IAS 40, Amendment-Transfers of Investment Property (effective 1 January 2018)

The amendment clarifies that a transfer of property, including property under construction or development, into or out of investment property should be made only when there has been a change in use of the property. Such a change in use occurs when the property meets, or ceases to meet, the definition of investment property and should be supported by evidence.

The adoption of the amendment is not expected to impact the Group's consolidated financial statements.

IFRS 2, Amendment-Classification and Measurement of Share-based Payment Transactions (effective 1 January 2018)

The amendment addresses (a) the measurement of cash-settled share-based payments, (b) the accounting for modifications of a share-based payment from cash-settled to equity-settled and c) the classification of share-based payments settled net of tax withholdings.

Specifically, the amendment clarifies that a cash-settled share-based payment is measured using the same approach as for equity-settled share-based payments. It also clarifies that the liability of cash-settled share-based payment modified to equity-settled one is derecognized and the equity-settled share-based payment is recognized at the modification date fair value of the equity instrument granted and any difference is recognized in profit or loss immediately.

Furthermore, a share-based payment net by withholding tax on the employee's behalf (a net settlement feature) is classified as equity settled in its entirety, provided it would have been classified as equity-settled had it not included the net settlement feature.

The adoption of the amendment is not expected to impact the Group's consolidated financial statements.

IFRS 4, Amendment-Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts (effective 1 January 2018)

The amendment addresses the accounting consequences of the different effective dates of IFRS 9 'Financial Instruments' and the forthcoming new insurance contracts Standard. It introduces two options for entities that issue insurance contracts: a temporary exemption from applying IFRS 9 and an overlay approach.

The optional temporary exemption from IFRS 9 is available to entities whose activities are predominantly connected with insurance, allowing them to continue to apply IAS 39 'Financial Instruments: Recognition and Measurement' while they defer the application of IFRS 9 until 1 January 2021 at the latest.

The overlay approach is an option for entities that adopt IFRS 9 and issue insurance contracts, to adjust profit or loss for eligible financial assets, effectively resulting in IAS 39 accounting for those designated financial assets. This approach can be used provided that the entity applies IFRS 9 in conjunction with IFRS 4 and classifies financial assets as fair value through profit or loss in accordance with IFRS 9, when those assets were previously classified at amortized cost or as available-for-sale in accordance with IAS 39.

The amendment is not relevant to the Group's activities, other than through its associate Eurolife ERB Insurance Group Holdings S.A., which has elected the optional temporary exemption from IFRS 9 (see section 2.1.2).

IFRS 15, Revenue from Contracts with Customers and IFRS 15 Amendments (effective 1 January 2018)

IFRS 15 establishes a single, comprehensive revenue recognition model for determining when and how much revenue to recognize and replaces existing revenue recognition guidance, including IAS 18 'Revenue', IAS 11 'Construction Contracts' and IFRIC 13 'Customer Loyalty Programs'.

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IFRS 15 applies to all contracts with customers, except those in the scope of other standards such as:

- Financial instruments and other contractual rights or obligations within the scope of IFRS 9 'Financial Instruments', IFRS 10 'Consolidated Financial Statements', IFRS 11 'Joint Arrangements', IAS 27 'Separate Financial Statements' and IAS 28 'Investments in Associates and Joint Ventures';
- Lease contracts within the scope of IAS 17 'Leases' (or IFRS 16 'Leases'); and
- Insurance contracts within the scope of IFRS 4 'Insurance Contracts'.

Therefore, interest and fee income integral to financial instruments will continue to fall outside the scope of IFRS 15.

IFRS 15 specifies that revenue should be recognized at an amount that reflects the consideration to which the entity expects to be entitled in exchange for transferring goods or services. It introduces the concept of recognizing revenue for performance obligations as they are satisfied and the control of a good or service (i.e. the ability to direct the use of and obtain the benefits from them), is obtained by the customer. For services provided over time, such as management fee income earned for asset management services provided and variable performance fee income based on the return of the underlying asset at a particular date, consideration is recognized as the service is provided to the customer provided that it is probable that a significant reversal of consideration will not occur.

Extensive disclosures will be required in relation to revenue recognized and expected from existing contracts.

IFRS 15 was amended in April 2016 to provide several clarifications, including that in relation to the identification of the performance obligations within a contract.

The Group, is currently in the process of finalizing the impact assessment of IFRS 15, however the adoption of the standard is not expected to have a significant impact on the Group's consolidated financial statements as net interest income, which is a primary revenue stream of the Group, is not impacted by the adoption of IFRS 15 and the existing Group accounting treatment for revenue from contracts with customers is generally in line with IFRS 15.

IFRS 16, Leases (effective 1 January 2019)

IFRS 16, which supersedes IAS 17 'Leases' and related interpretations, introduces a single, on-balance sheet lease accounting model for lessees, under which the classification of leases for a lessee, as either operating leases or finance leases, is eliminated and all leases are treated similarly to finance leases under IAS 17. The new standard provides for the recognition of a 'right-of-use-asset' and a 'lease liability' upon lease commencement in case that there is a contract, or part of a contract, that conveys to the lessee the right to use an asset for a period of time in exchange for a consideration.

The right-of-use-asset is, initially, measured at cost, consisting of the amount of the lease liability, plus any lease payments made to the lessor at or before the commencement date less any lease incentives received, the initial estimate of restoration costs and any initial direct costs incurred by the lessee and, subsequently, at cost less accumulated depreciation and impairment. The lease liability is initially recognized at an amount equal to the present value of the lease payments during the lease term that are not yet paid.

Accordingly, the typical straight line operating lease expense of operating leases under IAS 17 is replaced by the depreciation charge of the 'right-of-use-asset' and the interest expense on the 'lease liability'. The recognition of assets and liabilities by lessees, as described above, is not required for certain short term leases and leases of low value assets. Additionally, the accounting treatment for lessors is not substantially affected by the requirements of IFRS 16.

The Group is currently assessing the impact of IFRS 16 on its consolidated financial statements, which is impracticable to quantify as at the date of the publication of these consolidated financial statements. Operating lease commitments currently in place are set out in note 46.

IFRS 17, Insurance Contracts (effective 1 January 2021, not yet endorsed by EU)

IFRS 17, which supersedes IFRS 4 'Insurance Contracts' provides a comprehensive and consistent accounting model for insurance contracts. It applies to insurance contracts issued, all reinsurance contracts and to investment contracts with discretionary participating features that an entity issues provided it also issues insurance contracts. Financial guarantee contracts are allowed to be within the scope of IFRS 17 if the entity has previously asserted that it regarded them as insurance contracts.

According to IFRS 17 general model, groups of insurance contracts which are managed together and are subject to similar risks, are measured based on building blocks of discounted, probability-weighted future cash flows, a risk adjustment and a contractual

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service margin ('CSM') representing the unearned profit of the contracts. Under the model, estimates are remeasured in each reporting period. A simplified measurement approach may be used if it is expected that doing so a reasonable approximation of the general model is produced or if the contracts are of short duration.

Revenue is allocated to periods in proportion to the value of expected coverage and other services that the insurer provides during the period, claims are presented when incurred and any investment components i.e amounts repaid to policyholders even if the insured event does not occur, are not included in revenue and claims. Insurance services results are presented separately from the insurance finance income or expense.

IFRS 17 is not relevant to the Group's activities, other than through its associate Eurolife ERB Insurance Group Holdings S.A.

Annual Improvements to IFRSs 2014-2016 Cycle (effective 1 January 2018)

IAS 28 'Investments in Associates and Joint Ventures': It is clarified that venture capital organizations, mutual funds, unit trusts and similar entities are allowed to elect measuring their investments in associates or joint ventures at fair value through profit or loss.

The adoption of the amendment is not expected to impact the Group's consolidated financial statements.

Annual Improvements to IFRSs 2015-2017 Cycle (effective 1 January 2019, not yet endorsed by EU)

The amendments introduce key changes to four IFRSs following the publication of the results of the IASB's 2015-17 cycle of the annual improvements project. The topics addressed by these amendments are set out below:

- IFRS 3 'Business Combinations' and IFRS 11 'Joint Arrangements': It is clarified how an entity accounts for increasing its interest in a joint operation that meets the definition of a business.
 - If a party obtains control of a business that is a joint operation, then the transaction constitutes a business combination achieved in stages and the acquiring party remeasures the entire previously held interest in the assets and liabilities of the joint operation at fair value.
 - If a party obtains joint control, then the previously held interest is not remeasured.
- IAS 12 'Income Taxes': It is clarified that all income tax consequences of dividends, including payments on financial instruments classified as equity, should be recognized in profit or loss, other comprehensive income or equity, depending on where the originating transaction or event that generated distributable profits giving rise to the dividend, was recognized.
- IAS 23 'Borrowing costs': It is clarified that any borrowing originally made to develop a qualifying asset should be treated as part of general borrowings when substantially all of the activities necessary to prepare that asset for its intended use or sale are complete.

The adoption of the amendments is not expected to impact the Group's consolidated financial statements.

IFRIC 22, Foreign Currency Transactions and Advance Consideration (effective 1 January 2018, not yet endorsed by EU)

IFRIC 22 provides requirements about which exchange rate to use in reporting foreign currency transactions that involve an advance payment or receipt. The interpretation clarifies that in this case, the date of the transaction for the purpose of determining the exchange rate to use on initial recognition of the related asset, expense or income is the date of the advance consideration, i.e. when the entity initially recognized the non-monetary asset (prepayment asset) or non-monetary liability (deferred income liability) arising from the advance consideration. If there are multiple payments or receipts in advance, the entity must determine a date of transaction for each payment or receipt.

The adoption of the interpretation is not expected to impact the Group's consolidated financial statements.

IFRIC 23, Uncertainty over Income Tax Treatments (effective 1 January 2019, not yet endorsed by EU)

The interpretation clarifies the application of the recognition and measurement requirements in IAS 12 'Income Taxes' when there is uncertainty over income tax treatments. In such a circumstance, recognition and measurement of current or deferred tax asset or liability according to IAS 12 is based on taxable profit (tax loss), tax bases, unused tax losses and tax credits and tax rates determined applying IFRIC 23.

According to the interpretation, each uncertain tax treatment is considered separately or together as a group, depending on which approach better predicts the resolution of the uncertainty and the entity should assume that a tax authority with the right to examine tax treatments will examine them and will have full knowledge of all relevant information.

If an entity concludes it is probable that the taxation authority will accept an uncertain tax treatment, it should determine its accounting for income taxes consistently with that tax treatment. If it concludes that it is not probable that the treatment will be accepted, the effect of the uncertainty in its income tax accounting should be reflected in the period in which that determination is

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made, using the method that best predicts the resolution of the uncertainty (ie the most likely amount or the expected value method).

Judgments and estimates made for the recognition and measurement of the effect of uncertain tax treatments should be reassessed whenever circumstances change or new information that affects those judgments arise (eg actions by the tax authority, evidence that it has taken a particular position in connection with a similar item or the expiry of its right to examine a particular tax treatment).

The adoption of the interpretation is not expected to impact the Group's consolidated financial statements.

2.1.2 Transition to IFRS 9 'Financial Instruments' and impact assessment

In July 2014, the IASB published the final version of IFRS 9 '*Financial Instruments*' (effective 1 January 2018), which replaces IAS 39 '*Financial Instruments: Recognition and Measurement*'. IFRS 9 includes revised requirements on the classification and measurement of financial assets and liabilities, impairment of financial assets and hedge accounting.

Classification and measurement

IFRS 9 establishes a new classification and measurement approach for all types of financial assets that reflects the entity's business model for managing the assets and their contractual cash flow characteristics. IFRS 9 requires financial assets to be classified into one of the following measurement categories: amortized cost, fair value through other comprehensive income (FVOCI) or fair value through profit or loss (FVTPL). The standard eliminates the existing IAS 39 categories of held-to-maturity, loans and receivables and available for sale.

Financial assets will be measured at amortized cost if they are held within a business model whose objective is to hold financial assets in order to collect contractual cash flows, and their contractual cash flows represent solely payments of principal and interest (SPPI). Financial assets will be measured at FVOCI if they are held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and their contractual cash flows represent solely payments of principal and interest. All other financial assets will be classified at FVTPL.

An entity may at initial recognition, designate a financial asset at FVTPL if doing so eliminates or significantly reduces an accounting mismatch. Furthermore, on initial recognition of an equity instrument that is not held for trading, an entity may irrevocably elect to present subsequent changes in fair value through OCI. This election is made on an investment-by-investment basis.

Under IFRS 9, embedded derivatives in contracts where the host is a financial asset in the scope of the standard, are no longer bifurcated. Instead, the hybrid financial instrument is assessed for classification as a whole.

IFRS 9 retains most of the existing requirements for financial liabilities. However, for financial liabilities designated at FVTPL, gains or losses attributable to changes in own credit risk shall be presented in OCI and shall not be subsequently transferred to profit or loss, unless such a presentation would create or enlarge an accounting mismatch. Under IAS 39, all fair value changes of liabilities designated at FVTPL are recognized in profit or loss, unless this would create or enlarge an accounting mismatch.

Business model assessment

The business model reflects how the Group manages the assets in order to generate cash flows. That is, whether the Group's objective is solely to collect contractual cash flows from the asset, to realize cash flows from the sale of assets, or both to collect contractual cash flows and cash flows from the sale of assets. Financial assets that are held for trading or managed on a fair value basis will be measured at FVTPL.

The Group's approach is to perform the business model assessment consistently with its operating model and the information provided to key management personnel. In making the above assessment, the Group will consider a number of factors including:

- the stated policies and objectives for each portfolio;
- how the performance of each portfolio is evaluated and reported;
- the risks associated with the performance of the business model and how those risks are managed;
- how managers are compensated;
- past experience on how the cash flows from those portfolios were collected and how the Group's stated objective for managing the financial assets is achieved; and

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- the frequency, volume and timing of sales in prior periods, the reasons for such sales and expectations about future sales activity. Irrespective of their frequency and value, sales due to an increase in the financial assets' credit risk and sales made due to liquidity needs in case of an unexpected stress case scenario, are consistent with a hold-to-collect business model.

SPPI assessment

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group will consider whether the contractual terms of the instrument are consistent with a basic lending arrangement i.e. interest includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin. This will include an assessment of whether a financial asset contains a contractual term that could change the amount or timing of contractual cash flows in a way that it would not be consistent with the above condition. Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset will be measured at FVTPL.

Assessment of changes to the classification and measurement on transition

For the purpose of the transition to IFRS 9, the Group is carrying out a business model assessment across various portfolios and a detailed review of the contractual terms (SPPI review) for its debt instruments portfolios to determine any potential changes to the classification and measurement. The assessment is being performed based on the facts and circumstances that exist at the date of initial application i.e. 1 January 2018. Furthermore, it is performed on a sample basis for the retail and part of the wholesale portfolio where contracts are of standardized form, whereas for the remaining wholesale portfolio is being performed on an individual basis. The business model assessment and the SPPI review are not expected to result in any significant changes compared to how financial assets are measured under IAS 39, except where noted below. In particular:

- loans and advances to banks and customers that are measured at amortized cost under IAS 39, are also expected to be measured at amortized cost under IFRS 9;
- the majority of debt securities classified as available-for-sale under IAS 39, are expected to be measured at FVOCI ;
- held-to-maturity investment securities and assets in the debt securities lending portfolio that are measured at amortized cost under IAS 39, are expected to be measured at amortized cost or FVOCI depending on the business model within which they are held;
- limited cases of debt instruments that are expected to fail the SPPI test which are measured at FVTPL;
- trading and derivative assets that are measured at FVTPL under IAS 39 are also expected to be measured at FVTPL under IFRS 9;
- equity securities classified as available-for-sale under IAS 39 are expected to be measured at FVTPL under IFRS 9; and
- financial liabilities that are designated at FVTPL under IAS 39 (structured notes, structured deposits) are expected to be measured at amortized cost, while any embedded derivatives will be separated from the host contracts where appropriate.

Impairment of financial assets

IFRS 9 introduces an expected credit loss (ECL) model that replaces the incurred loss model in IAS 39. The new requirements eliminate the threshold in IAS 39 that required a credit event to have occurred before credit losses were recognized and will apply to a broader population of financial instruments compared to IAS 39. The measurement of ECL will require the use of complex models and significant judgment about future economic conditions and credit behavior.

The new impairment model, which introduces a "three stage approach" that will reflect changes in credit quality since initial recognition, will apply to financial assets that are not measured at FVTPL, including loans, lease receivables, debt securities, financial guarantee contracts and loan commitments issued. Accordingly, no impairment loss will be recognized on equity investments.

Upon initial recognition of instruments in scope of the new impairment principles, the Group will record a loss allowance equal to 12-month ECL, being the ECL that result from default events that are possible within the next twelve months. Subsequently, for those financial instruments that have experienced a significant increase in credit risk since initial recognition, a loss allowance equal to lifetime ECL will be recognized, arising from default events that are possible over the expected life of the instrument. Financial assets for which 12-month ECL are recognized will be considered to be in 'stage1'; financial assets which are considered to have experienced a significant increase in credit risk will be allocated in 'stage2', while financial assets that are considered to be credit impaired will be in 'stage3'. The loss allowance for purchased or originated credit impaired (POCI) financial assets will always be measured at an amount equal to lifetime ECL, as explained below.

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Allocation of Exposures to Stages

The Group will distinguish financial assets between those which are measured based on 12-month ECLs (stage 1) and those that carry lifetime ECLs (stage 2 and 3), depending on whether there has been a significant increase in credit risk as evidenced by the change in the risk of default occurring on these financial assets since initial recognition.

To determine the risk of default, the Group applies a default definition for accounting purposes, which is consistent with the EBA definitions. In particular, the Group will determine that financial instruments are in stage 3 by applying as consistent measures of default across all of its portfolios:

- the objective criterion of 90 days past due and;
- the existence of unlikeliness to pay (UTP) criteria.

Accordingly, upon transition, the Group considers all non-performing exposures in accordance with EBA definitions as credit-impaired and classifies those exposures at stage 3 for financial reporting purposes.

Purchased or originated credit impaired (POCI) financial assets, which include assets purchased at a deep discount and substantially modified assets arising from derecognition of the original asset and are considered originated credit impaired, are not subject to stage allocation and are always measured on the basis of lifetime ECL. The Group will recognize interest income of financial assets at stage 3 as well as POCI by applying the effective interest rate (EIR) or the credit-adjusted EIR respectively on their net carrying amount.

Financial assets that experience a significant increase in credit risk since initial recognition will be in stage 2. In assessing whether a financial asset has experienced a significant increase in credit risk since initial recognition, the Group intends to use a combination of quantitative, qualitative and backstop criteria including:

- relative changes on the residual lifetime probability of default;
- absolute thresholds on the residual lifetime probability of default;
- relative changes on credit risk ratings;
- watch list status;
- forbearance; and
- 30 days past due as backstop indicator.

Management may apply temporary individual or collective overlays on exposures sharing the same credit risk characteristics to take into account specific situations which otherwise would not be fully reflected in the impairment models.

Hence, upon transition, the Group considers all performing forborne loans as stage 2, along with any performing exposures that have been assessed to have experienced a significant increase in credit risk since initial recognition.

The Group will classify all remaining financial assets which are not classified at stage 2, 3 or POCI in stage 1, measured based on 12-month ECL. The Group will recognize interest income of financial assets at stage 2 and at stage 1, by applying the EIR on their gross carrying amount.

When the criteria for stage 2 classification are no longer met and the financial asset is not credit impaired, it will be reclassified to stage 1. In addition, subsequent transfers from stage 3 to stage 2 will take place when the financial asset ceases to be credit impaired based on the assessment as described above.

Measurement of expected credit losses

As described above, if the credit risk of a financial instrument that is not classified as POCI has not increased significantly at the reporting date compared to its origination date, the loss allowance will be measured at an amount equal to 12 – month ECLs. The 12 – month ECLs represent a portion of lifetime losses, that result from default events that are possible within the next 12 months after the reporting date and is equal to the expected cash shortfalls over the life of the instrument or group of instruments, due to loss events probable within the next 12 months.

In cases where a significant increase in credit risk on a financial instrument has been identified at the reporting date since initial recognition date, the measurement of ECLs will be conducted on a lifetime basis. Lifetime ECLs represent the expected credit losses that result from all possible default events over the expected life of the financial instrument.

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The measurement of ECLs will be a probability-weighted average estimate of credit losses that will reflect the time value of money. A credit loss is the difference between the cash flows that are due to the Group in accordance with the contractual terms of the instrument and the cash flows that the Group expects to receive (i.e. cash shortfalls) discounted at the original effective interest rate (EIR) of the same instrument, or the credit-adjusted EIR in case of purchased or originated credit impaired assets (POCI). In measuring ECL, information about past events, current conditions and reasonable and supportable forecasts of future conditions should be considered.

For the purposes of measuring ECL, the Group will estimate expected cash shortfalls, which reflect the cash flows expected from all possible sources including collateral and other credit enhancements that are part of the contractual terms and are not recognized separately. In the case of a collateralized financial instrument, the estimated expected cashflows related to the collateral reflects the amount and timing of cash flows that are expected from foreclosure on the collateral less the discounted costs of obtaining and selling the collateral, irrespective of whether foreclosure is probable.

ECLs will be calculated over the maximum contractual period over which the Group is exposed to credit risk. The maximum contractual period is defined based on the substantive terms of the instrument, including the Group's ability to demand repayment or cancellation and the customer's ability to require extension. However, for revolving credit facilities (i.e. those that include both a loan and an undrawn commitment component) the period of exposure is determined in accordance with the Group's expected credit risk management actions to mitigate credit risk, including terminating or limiting credit exposure. In doing so, the Group will consider its normal credit risk mitigation process, its past practice, future intentions and expected credit risk mitigation actions, the period over which the Group was exposed to credit risk on similar instruments, and the length of time for defaults to occur on similar instruments following a significant increase in credit risk.

ECLs on individually large credit impaired loans, above pre-defined materiality thresholds set in accordance with the Group's risk management policy are measured individually. For the remaining retail exposures and some exposures to small and medium-sized enterprises, ECLs will be measured on a collective basis. This incorporates borrower specific information, collective historical experience of losses and forward-looking macroeconomic information.

ECL Key inputs

The ECL calculations are based on the term structures of the probability of default (PD), the loss given default (LGD), the exposure at default (EAD) and other input parameters such as the credit conversion factor (CCF) and the prepayment rate. Generally, the Group intends to derive these parameters from internally developed statistical models and observed point-in-time and historical data, leveraging the existing infrastructure development for the regulatory framework and risk management practices.

The PD represents the likelihood of a borrower defaulting on its financial obligations either on the next twelve months or over the remaining lifetime. In accordance with IFRS 9, the Group will use point-in-time unbiased PDs that will incorporate forward looking information and macroeconomic scenarios.

EAD represents the exposure that the Group expects to be owed at the event of default. The EAD of a financial asset will be the gross carrying amount at default. In estimating the EAD, the Group will use historical observations and forward looking forecasts to reflect payments of principal and interest and any potential drawdowns on lending commitments.

LGD represents the Group's expectation of the extent of loss on a defaulted exposure and is the difference between the contractual cash flows due and those that the Group expects to receive including any amounts from collateral liquidation. LGD varies by type of counterparty, type and seniority of claim, availability of collateral or other credit support, and is usually expressed as a percentage of EAD.

The PD, LGD and EAD used for accounting purposes may differ from those used for regulatory purposes. PD under IFRS 9 is a point-in-time estimate whereas for regulatory purposes PD is a 'through-the-cycle' estimate. In addition, LGD and EAD for regulatory purposes are based on loss severity experienced during economic downturn conditions, while under IFRS 9, LGD and EAD reflect an unbiased and probability-weighted amount.

The CCF factor is used to convert the amount of a credit line and other off-balance sheet amounts to an EAD amount. It is a modelled assumption which represents a proportion of any undrawn exposure that is expected to be drawn prior to a default event occurring. The prepayment rate is an estimate of early prepayments on loan exposure in excess of the contractual repayment

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according to the repayment schedule and is expressed as a percentage applied to the EAD at each period, reducing the latter amount accordingly.

Forward looking information

In assessing whether credit risk has increased significantly since initial recognition and measuring ECL the Group will incorporate forward looking information. The Group will evaluate a range of forward looking economic scenarios in order to achieve an unbiased and probability weighted estimate of ECL. In particular, the Group intends to use as a minimum three macroeconomic scenarios (i.e. base, adverse and optimistic) and consider the relative probabilities of each scenario. The base scenario will represent the most likely scenario and will be aligned with the information used by the Group for strategic planning and budgeting purposes.

Hedge accounting

IFRS 9 includes a new general hedge accounting model which aligns hedge accounting more closely with risk management. Under the new model, more hedging strategies may qualify for hedge accounting, new hedge effectiveness requirements apply and discontinuation of hedge accounting will be allowed only under specific circumstances. The IASB currently has a separate project for the accounting of macro hedging activities. Until the above project is completed, entities have an accounting policy choice to continue applying the hedge accounting requirements in IAS 39.

The Group intends to elect to continue applying IAS 39. However, the Group will provide the expanded disclosures required by the related amendments to IFRS 7 '*Financial Instruments: Disclosures*'.

IFRS 9 Implementation Program

A Group-wide IFRS 9 Program, led jointly by Group Risk and Group Finance, was initiated in 2015 to ensure a robust and high quality implementation in compliance with the requirements of the Standard and respective regulatory guidance.

Overall governance is provided through a central Program Management Office (PMO) that coordinates the implementation of the Program among the various stakeholders and is responsible for the day-to-day management tasks, as well as two Management Committees, namely the Steering Committee and the Technical Committee.

The Steering Committee, which is jointly led by the Group Chief Risk Officer (CRO) and Chief Financial Officer (CFO) and comprises senior staff from all the main functions of the Group, is mandated to oversee the implementation in accordance with the Standard, monitors timelines and the quality of the Program's deliverables, reviews program's results, approves deliverables and changes in the scope of the program where appropriate, and regularly informs the Executive Board, the Board Risk Committee, the Audit Committee and the Board of Directors on the Program's implementation progress. The Technical Committee is composed of Subject Matter Experts responsible for evaluating key technical issues and analyzing proposed changes in accounting policies and risk management methodologies for the Steering Committee before they are submitted and approved by the competent bodies of the Bank including all key judgments and assumptions used in the ECL model.

Reflecting the scale and complexity of the implementation plan, the Program is structured with various project teams (Group Finance, Group Risk Management, Information Systems, Internal Audit, Lending Business Units, Troubled Assets Group, Operations, Global Markets & Treasury and International General Division) dedicated to the various elements associated with the implementation of the Standard. These teams are supported by two external consultancy firms. Internal Audit is involved in the IFRS 9 implementation program, through attendance at Management meetings and Committees, training and performance of audit work.

The implementation for the Group's foreign subsidiaries is managed locally with the establishment of local PMOs and Steering Committees. Progress is monitored by the central PMO with Head Office providing support and guidance to ensure consistent implementation within the Group.

The Group has largely completed the IFRS 9 accounting policies, key processes and process flows and the ECL methodologies while further refinements will continue during 2018. Educational workshops to the involved stakeholders are conducted on an ongoing basis on the impact of IFRS 9 to the Group's lending practices and day-to-day operational activities in order to ensure that the new requirements are well understood and will be applied consistently across the Group. The implementation of an IT system for the calculation of ECL has progressed to productive runs for the last quarter of 2017.

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In addition, the Group is currently participating in the IFRS 9 thematic review conducted by the European Central Bank on the evaluation of the Group's preparedness, the impact of the new accounting principles on processes, infrastructure and regulatory capital.

Temporary exemption for insurance related activities

The Group's associate, Eurolife ERB Insurance Group Holdings S.A. is expected to elect to continue applying IAS 39 'Financial Instruments: Recognition and Measurement' while it will defer the application of IFRS 9 until 1 January 2021 at the latest, under amendments issued by IASB in September 2016, that provide the option of a temporary exemption from applying IFRS 9 for entities whose activities are predominantly connected to insurance within the scope of IFRS 4. As such, no IFRS9 impact is expected to arise to the Group from the investment in its associate Eurolife ERB Insurance Group Holdings S.A.

Comparative information on transition

The new requirements of IFRS 9 will be applied retrospectively by adjusting the Group's balance sheet on the date of transition on 1 January 2018. The Group intends to apply the exemption not to restate comparative figures for prior periods; therefore the Group's 2017 comparatives will be presented on an IAS 39 basis.

Impact assessment

The impact of transitioning to IFRS 9, before tax, is estimated to be € 1,090 million at 1 January 2018, as depicted in the table below per IFRS 9 area. The estimated impact is mainly attributed to the Greek lending portfolio which amounts to € 949 million. The decrease in shareholder's equity is estimated to be € 1,084 million, while no deferred tax asset is expected to be recognized by the Bank on IFRS 9 impact.

Impact attributed to :

Impairment

	IFRS 9 impact € million
- Loans and advances to customers	(1,022) (a)
- Other financial assets	(64) (b)
Total impairment	(1,086)
Classification & Measurement	(4) (c)
Hedging	-
Total IFRS 9 impact	(1,090)

Further analysis of the IFRS 9 impact is presented below.

(a) Impairment allowance for ECL – Loans & Advances to Customers

The following table presents the IFRS 9 impact analysis per stage and type of lending exposure according to EBA classification (note 7.2.1.2) as of 1 January 2018.

	Total gross loans € million	Performing Exposure € million	Of which : Non-performing exposure € million	IAS 39 Impairment allowance € million	IFRS 9 Allowance for ECL € million	IFRS 9 impact € million
Stage 1	19,534	19,534	-	183	160	23
Stage 2	7,603	7,603	-	344	813	(469)
Credit impaired	20,105	-	20,105	9,607	10,183	(576)
Total	47,242	27,137	20,105	10,134	11,156	(1,022)

In terms of impact per stage of lending exposures, the outcome of the exercise demonstrated a minor positive effect of € 23 million in Stage 1, a negative impact of € 469 million in Stage 2 and a negative impact of € 576 million in credit impaired loans.

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(b) Impairment allowance for ECL – Investment securities

The estimated impact of other financial assets is expected to be € 64 million. This is primarily attributed to ECL impairment of investment securities which amounts to € 57 million.

The following table presents the ECL allowance of debt securities i.e. investment securities carried at amortized cost and FVOCI, per IFRS 9 portfolio:

	Total gross amount ⁽¹⁾ € million	Allowance for ECL		Total € million	IFRS 9 Impact € million
		Investment securities at amortised cost € million	Investment securities at FVOCI € million		
Stage 1	6,648	(4)	(13)	(17)	(4)
Stage 2	769	(53)	(1)	(54)	(53)
Stage 3	-	-	-	-	-
Total	7,417	(57)	(14)	(71)	(57)

⁽¹⁾ Total gross amount is defined as the amortized cost of investment securities before any loss allowance and excluding fair value adjustments for FVOCI portfolio.

ECL allowance for investment securities at FVOCI that amounts to € 14 million is recognized within OCI therefore, it does not impact shareholders' equity.

Out of the total allowance for ECL of € 71 million, € 54 million is attributed to ECL for stage 2 instruments, while the rest is attributed to stage 1.

(c) Classification and Measurement

The estimated impact from the classification and measurement of IFRS 9 is expected to be € 4 million as of 1 January 2018. This amount includes an immaterial effect from:

- debt instruments that have failed the SPPI test and measured at FVTPL; and
- reclassification of debt securities due to business model changes, as described in the classification and measurement section above.

Regulatory capital

The Group's estimation of the capital impact from the initial application of IFRS 9 as shown in the table below:

Capital impact from the initial application of IFRS 9	As at		
	31 December 2017 IAS 39 € million	1 January 2018 IFRS 9 full impact € million	1 January 2018 IFRS 9 transitional arrangements € million
Common equity Tier 1 Capital	6,887	5,731	6,757
Risk weighted assets	38,387	37,864	38,097
	%	%	%
Common equity Tier 1 (CET 1) Ratio	17.9	15.1	17.7

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The Group's estimation of the capital impact on the pro-forma fully loaded CET1 ratio as at 1 January 2018, based on the full implementation of the Basel III rules in 2024, considering the completion of the disposal of the Romanian subsidiaries classified as held for sale, (refer to note 17) is shown in the table below:

Pro-forma with the completion of the disposal of the Romanian subsidiaries	1 January 2018		
	Post IFRS 9		IFRS 9 Impact € million
	Pro-forma fully loaded € million	pro-forma fully loaded € million	
Common equity Tier 1 Capital	5,691	4,536	(1,155)
Risk weighted assets	37,161	36,638	(523)
	%	%	%
Common equity Tier 1 (CET 1) Ratio	15.3	12.4	(2.9)

The Group has elected to apply the phase in approach as per EU legislation (Regulation EU 2017/2395) for mitigating the impact of IFRS 9 transition on the regulatory capital. The transition period is for five years, with the proportion of the impact to be included being 5% in 2018 and 15%, 30%, 50% and 75% in the subsequent four years. The full impact is expected to be depicted as of 1 January 2023. As a consequence, CET 1 ratio is expected to be reduced approximately by 20 basis points on the first year of IFRS 9 adoption, corresponding to a reduction of € 130 million in regulatory capital by applying regulatory transitional arrangements.

All the assumptions, accounting policies and calculation techniques used by the Group for the estimation of the IFRS 9 impact will continue to be subject to reviews and refinements and therefore the estimated impact may change until the Group finalizes its financial statements for the year ending 31 December 2018.

IFRS 9, Amendment—Prepayment Features with Negative Compensation (effective 1 January 2019)

The amendment changes IFRS 9 requirements in order to allow measurement of a financial asset at amortized cost or at FVOCI, depending on the business model, even in the case of prepayment options which could result in the party that triggers the early termination receiving compensation from the other party (negative compensation). Therefore, measurement of these financial assets will be regardless of the event or circumstance that caused the early termination of the contract and irrespective of which party pays or receives reasonable compensation for the early termination. Applying IFRS 9 before the amendment would probably result in the measurement of these financial assets at FVTPL.

The amendment also confirms the modification accounting of financial liabilities under IFRS 9. In specific, when a financial liability measured at amortized cost is modified without this resulting in derecognition, a gain or loss, calculated as the difference between the original contractual cash flows and the modified cash flows discounted at the original effective interest rate, should be recognized in profit or loss.

The adoption of the amendment is not expected to impact the Group's consolidated financial statements.

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2.2 Principal accounting policies

2.2.1 Consolidation

(i) Subsidiaries

Subsidiaries are all entities controlled by the Group. The Group controls an entity when it is exposed, or has rights to, variable returns from its involvement with the entity, and has the ability to affect those returns through its power over the entity. The Group consolidates an entity only when all the above three elements of control are present.

Power is considered to exist when the Group's existing rights give it the current ability to direct the relevant activities of the entity, i.e. the activities that significantly affect the entity's returns, and the Group has the practical ability to exercise those rights. Power over the entity may arise from voting rights granted by equity instruments such as shares or, in other cases, may result from contractual arrangements.

Where voting rights are relevant, the Group is deemed to have control where it holds, directly or indirectly, more than half of the voting rights over an entity, unless there is evidence that another investor has the practical ability to unilaterally direct the relevant activities.

The Group may have power, even when it holds less than a majority of the voting rights of the entity, through a contractual arrangement with other vote holders, rights arising from other contractual arrangements, substantive potential voting rights, ownership of the largest block of voting rights in a situation where the remaining rights are widely dispersed ('de facto power'), or a combination of the above. In assessing whether the Group has de facto power, it considers all relevant facts and circumstances including the relative size of the Group's holding of voting rights and dispersions of holdings of other vote holders to determine whether the Group has the practical ability to direct the relevant activities.

The Group is exposed or has rights to variable returns from its involvement with an entity when these returns have the potential to vary as a result of the entity's performance.

In assessing whether the Group has the ability to use its power to affect the amount of returns from its involvement with an entity, the Group determines whether in exercising its decision-making rights, it is acting as an agent or as a principal. The Group acts as an agent when it is engaged to act on behalf and for the benefit of another party, and as a result does not control an entity. Therefore, in such cases, the Group does not consolidate the entity. In making the above assessment, the Group considers the scope of its decision-making authority over the entity, the rights held by other parties, the remuneration to which the Group is entitled from its involvement, and its exposure to variability of returns from other interests in that entity.

The Group has interests in certain entities which are structured so that voting rights are not the dominant factor in deciding who controls the entity, such as when any voting rights relate to administrative tasks only and the relevant activities are directed by means of contractual rights. In determining whether the Group has control over such structured entities, it considers the following factors:

- The purpose and design of the entity;
- Whether the Group has certain rights that give it the ability to direct the relevant activities of the entity unilaterally;
- The existence of any special relationships with the entity; and
- The extent of the Group's exposure to variability of returns from its involvement with the entity and if the Group has the power to affect such variability.

Information about the Group's structured entities is set out in note 29.

The Group reassesses whether or not it controls an entity if facts and circumstances indicate that there are changes to one or more elements of control. This includes circumstances in which the rights held by the Group and intended to be protective in nature become substantive upon a breach of a covenant or default on payments in a borrowing arrangement, and lead to the Group having power over the investee.

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Subsidiaries are fully consolidated from the date on which control is transferred to the Group and are no longer consolidated from the date that control ceases. Total comprehensive income is attributed to the owners of the parent and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Changes in the Group's ownership interest in subsidiaries that do not result in a loss of control are recorded as equity transactions. Any difference between the consideration and the share of the new net assets acquired is recorded directly in equity. Gains or losses arising from disposals of ownership interests that do not result in a loss of control by the Group are also recorded directly in equity. For disposals of ownership interests that result in a loss of control, the Group derecognizes the assets and liabilities of the subsidiary and any related non-controlling interest and other components of equity, and recognizes gains and losses in the income statement. When the Group ceases to have control, any retained interest in the former subsidiary is remeasured to its fair value, with any changes in the carrying amount recognized in the income statement.

Intercompany transactions, balances and intragroup gains on transactions between Group entities are eliminated; intragroup losses are also eliminated unless the transaction provides evidence of impairment of the asset transferred.

(ii) Business combinations

The purchase method of accounting is used to account for the acquisition of subsidiaries by the Group. The consideration transferred for an acquisition is measured at the fair value of the assets given, equity instruments issued or exchanged and liabilities undertaken at the date of acquisition, including the fair value of assets or liabilities resulting from a contingent consideration arrangement. Acquisition related costs are expensed as incurred. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date irrespective of the extent of any non-controlling interest. Any previously held interest in the acquiree is remeasured to fair value at the acquisition date with any gain or loss recognized in the income statement. The Group recognizes on an acquisition-by-acquisition basis any non-controlling interest in the acquiree either at fair value or at the non-controlling interest's proportionate share of the acquiree's net assets.

The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets of the subsidiary acquired, is recorded as goodwill. If this is less than the fair value of the net assets of the acquiree, the difference is recognized directly in the income statement.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which it occurs, the Group reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted retrospectively during the measurement period to reflect the new information obtained about the facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognized at that date. The measurement period adjustments, as mentioned above, affect accordingly the amount of goodwill that was initially recognized, while the 'measurement period' cannot exceed one year from the acquisition date.

Commitments to purchase non-controlling interests through derivative financial instruments with the non-controlling interests, as part of a business combination are accounted for as a financial liability, with no non-controlling interest recognized for reporting purposes. The financial liability is measured at fair value, using valuation techniques based on best estimates available to management. Any difference between the fair value of the financial liability upon initial recognition and the nominal non-controlling interest's share of net assets is recognized as part of goodwill. Subsequent revisions to the valuation of the derivatives are recognized in the income statement.

For acquisitions of subsidiaries not meeting the definition of a business, the Group allocates the consideration to the individual identifiable assets and liabilities based on their relative fair values at the date of acquisition. Such transactions or events do not give rise to goodwill.

Where necessary, accounting policies of subsidiaries have been changed to ensure consistency with the policies of the Group.

A listing of the Bank's subsidiaries is set out in note 27.

(iii) Business combinations involving entities under common control

Pursuant to IAS 8 'Accounting Policies, Changes in Accounting Estimates and Errors', since business combinations between entities under common control are excluded from the scope of IFRS 3 'Business Combinations', such transactions are accounted for in the Group's financial statements by using the pooling of interests method (also known as merger accounting), with reference to the

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most recent pronouncements of other standard-setting bodies that use a similar conceptual framework and comply with the IFRS general principles, as well as accepted industry practices.

Under the pooling of interests method, the Group incorporates the assets and liabilities of the acquiree at their pre-combination carrying amounts from the highest level of common control, without any fair value adjustments. Any difference between the cost of the transaction and the carrying amount of the net assets acquired is recorded in Group's equity.

The Group accounts for the cost of such business combinations at the fair value of the consideration given, being the amount of cash or shares issued or if that cannot be reliably measured, the consideration received.

Formation of a new Group entity to effect a business combination

Common control transactions that involve the formation of a new Group entity to effect a business combination by bringing together two or more previously uncombined businesses under the new Group entity are also accounted for by using the pooling of interests method.

Other common control transactions that involve the acquisition of a single existing Group entity or a single group of businesses by a new entity formed for this purpose are accounted for as capital reorganizations, on the basis that there is no business combination and no substantive economic change in the Group. Under a capital reorganization, the acquiring entity incorporates the assets and liabilities of the acquired entity at their carrying amounts, as presented in the books of that acquired entity, rather than those from the highest level of common control. Any difference between the cost of the transaction and the carrying amount of the net assets acquired is recognized in the equity of the new entity. Capital reorganization transactions do not have any impact on the Group's consolidated financial statements.

(iv) Associates

Investments in associates are accounted for using the equity method of accounting in the consolidated financial statements. These are undertakings over which the Group exercises significant influence but which are not controlled.

Equity accounting involves recognizing in the income statement the Group's share of the associate's profit or loss for the year. The Group's interest in the associate is carried on the balance sheet at an amount that reflects its share of the net assets of the associate and any goodwill identified on acquisition net of any accumulated impairment losses. If the Group's share of losses of an associate equals or exceeds its interest in the associate, the Group discontinues recognizing its share of further losses, unless it has incurred obligations or made payments on behalf of the associate. Where necessary the accounting policies used by the associates have been changed to ensure consistency with the policies of the Group.

When the Group obtains or ceases to have significant influence, any previously held or retained interest in the entity is remeasured to its fair value, with any change in the carrying amount recognized in the income statement, except in cases where an investment in associate becomes an investment in a joint venture where no remeasurement of the interest retained is performed and use of the equity method continues to apply.

(v) Joint arrangements

A joint arrangement is an arrangement under which the Group has joint control with one or more parties. Joint control is the contractually agreed sharing of control and exists only when decisions about relevant activities require the unanimous consent of the parties sharing control. Investments in joint arrangements are classified as either joint ventures whereby the parties who share control have rights to the net assets of the arrangement or joint operations where two or more parties have rights to the assets and obligations for the liabilities of the arrangement.

The Group evaluates the contractual terms of joint arrangements to determine whether a joint arrangement is a joint operation or a joint venture. All joint arrangements in which the Group has an interest are joint ventures.

As investments in associates, the Group's interest in joint ventures is accounted for by using the equity method of accounting. Therefore, the accounting policy described in note 2.2.1 (iv) applies also for joint ventures. Where necessary the accounting policies used by the joint ventures have been changed to ensure consistency with the policies of the Group.

When the Group ceases to have joint control over an entity, it discontinues the use of the equity method. Any retained interest in the entity is remeasured to its fair value, with any change in the carrying amount recognized in the income statement, except in cases where an investment in a joint venture becomes an investment in an associate, where no remeasurement of the interest retained is performed and use of the equity method continues to apply.

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A listing of the Group's associates and joint ventures is set out in note 28.

2.2.2 Foreign currencies

(i) Translation of foreign subsidiaries

Assets and liabilities of foreign subsidiaries are translated into the Group's presentation currency at the exchange rates prevailing at each reporting date whereas income and expenses are translated at the average exchange rates for the period reported. Exchange differences arising from the translation of the net investment in a foreign subsidiary, including exchange differences of monetary items receivable or payable to the foreign subsidiary for which settlement is neither planned nor likely to occur that form part of the net investment in the foreign subsidiaries, are recognized in other comprehensive income.

Exchange differences from the Group's foreign subsidiaries are released to the income statement on the disposal of the foreign subsidiary while for monetary items that form part of the net investment in the foreign subsidiary, on repayment or when settlement is expected to occur.

(ii) Transactions in foreign currency

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions are recognized in the income statement.

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rates prevailing at each reporting date and exchange differences are recognized in the income statement, except when deferred in equity as qualifying cash flow or net investment hedges.

Non-monetary assets and liabilities are translated into the functional currency at the exchange rates prevailing at initial recognition, except for non-monetary items denominated in foreign currencies that are measured at fair value which are translated at the rate of exchange at the date the fair value is determined. The exchange differences relating to these items are treated as part of the change in fair value and are recognized in the income statement or recorded directly in equity depending on the classification of the non-monetary item.

2.2.3 Derivative financial instruments and hedging

Derivative financial instruments, including foreign exchange contracts, forward currency agreements and interest rate options (both written and purchased), currency and interest rate swaps, and other derivative financial instruments, are initially recognized in the balance sheet at fair value on the date on which a derivative contract is entered into and subsequently are re-measured at their fair value. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative. Certain derivatives, embedded in other financial instruments, are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contract and the host contract is not carried at fair value through profit or loss. These embedded derivatives are measured at fair value with changes in fair value recognized in the income statement.

Fair values of derivatives are determined based on quoted market prices, including recent market transactions, or by using other valuation techniques, as appropriate. The principles for the fair value measurement of financial instruments, including derivative financial instruments, are described in notes 2.2.11 and 7.3. The Group designates certain derivatives as: (a) hedges of the exposure to changes in fair value of recognized assets or liabilities or unrecognized firm commitments (fair value hedge), (b) hedges of the exposure to variability in cash flows of recognized assets or liabilities or highly probable forecasted transactions (cash flow hedge) or, (c) hedges of the exposure to variability in the value of a net investment in a foreign operation which is associated with the translation of the investment's net assets in the Group's functional currency.

The Group applies hedge accounting for transactions that meet specified criteria. Accordingly, at the inception of the hedge accounting relationship, the Group documents the relationship between hedging instruments and hedged items, as well as its risk management objective and strategy for undertaking various hedge transactions, together with the method that will be used to assess the effectiveness of the hedging relationship. The Group also documents its assessment, both at inception of the hedge and on an ongoing basis, of whether the derivatives that are used in hedging transactions are highly effective in offsetting changes in fair values or cash flows of hedged items and whether the actual results of each hedge are within a range of 80-125%. If a relationship does not meet the abovementioned hedge effectiveness criteria, the Group discontinues hedge accounting

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prospectively. Similarly, if the hedging derivative expires or is sold, terminated or exercised, or the hedge designation is revoked, then hedge accounting is discontinued prospectively.

In addition, the Group uses other derivatives, not designated in a qualifying hedge relationship, to manage its exposure primarily to interest rate and foreign currency risks. Non qualifying hedges are derivatives entered into as economic hedges of assets and liabilities for which hedge accounting was not applied. The said derivative instruments are classified along with those held for trading purposes.

The method of recognizing the resulting fair value gain or loss depends on whether the derivatives are designated and qualify as hedging instruments, and if so, the nature of the item being hedged.

(i) Fair value hedge

Changes in the fair value of derivatives that are designated and qualify as fair value hedges are recorded in the income statement, together with the changes in the fair value of the hedged assets or liabilities that are attributable to the hedged risk.

The Group discontinues hedge accounting in case the hedging instrument expires or is sold, terminated or exercised, the hedge no longer meets the qualifying criteria for hedge accounting, or designation is revoked. In such cases, any adjustment to the carrying amount of the hedged item, for which the effective interest method is applied, is amortized to profit or loss over the period to maturity.

(ii) Cash flow hedge

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges is recognized in other comprehensive income whereas the ineffective portion is recognized in the income statement.

Amounts accumulated in equity are recycled to the income statement in the periods in which the hedged item will affect profit or loss (for example, when the forecast sale that is hedged takes place).

When a hedging instrument expires or is sold, or when a hedge no longer meets the criteria for hedge accounting, the cumulative gain or loss existing in equity at that time remains in equity until the forecast transaction affects the income statement.

When a forecast transaction is no longer expected to occur, the cumulative gain or loss that was reported in equity is immediately transferred to the income statement.

(iii) Net investment hedge

Hedges of net investments in foreign operations, including hedges of monetary items that form part of the net investments, are accounted for similarly to cash flow hedges. Any gain or loss on the hedging instrument relating to the effective portion of the hedge is recognized in equity; the gain or loss relating to the ineffective portion is recognized in the income statement. Gains and losses accumulated in equity are included in the income statement when the foreign operation is disposed of as part of the gain or loss on the disposal.

(iv) Derivatives that are not designated as hedging instruments

Changes in the fair value of derivative financial instruments that are not designated as a hedging instrument or do not qualify for hedge accounting are recognized in the income statement.

The fair values of derivative instruments held for trading and hedging purposes are disclosed in note 23.

2.2.4 Offsetting financial instruments

Financial assets and liabilities are offset and the net amount is presented in the balance sheet when, and only when, the Group currently has a legally enforceable right to set off the recognized amounts and intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

2.2.5 Income statement

(i) Interest income and expense

Interest income and expense is recognized in the income statement for all interest bearing financial instruments on an accrual basis, using the effective interest rate method. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net

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carrying amount of the financial asset or financial liability. When calculating the effective interest rate, the Group estimates cash flows considering all contractual terms of the financial instrument but does not consider future credit losses. The calculation includes all fees and points paid or received that are an integral part of the effective interest rate, transaction costs, and all other premiums or discounts.

Once a financial asset has been written down as a result of an impairment loss, interest income is recognized using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

Change in accounting policy

The Group proceeded with retrospective change in its accounting policy for inflation-linked instruments and recognizes interest income and expense by adjusting the effective interest rate due to changes in expected future cash flows, incorporating changes in inflation expectations over the term of the instruments (note 52).

(ii) Fees and commissions

Fees and commissions are generally recognized on an accruals basis. Commissions and fees relating to foreign exchange transactions, imports-exports, remittances, bank charges and brokerage activities are recognized on the completion of the underlying transaction.

2.2.6 Property, plant and equipment and Investment property

(i) Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the asset. Subsequent expenditure is recognized in the asset's carrying amount only when it is probable that future economic benefits will flow to the Group and the cost of the asset can be measured reliably. All other repair and maintenance costs are recognized in the income statement as incurred.

Depreciation is calculated using the straight-line method to write down the cost of property, plant and equipment, to their residual values over their estimated useful life as follows:

- Land: no depreciation;
- Freehold buildings: 40-50 years;
- Leasehold improvements: over the lease term or the useful life of the asset if shorter;
- Computer hardware and software: 4-10 years;
- Other furniture and equipment: 4-20 years; and
- Motor vehicles: 5-7 years.

(ii) Investment property

Property held for rental yields and/or capital appreciation that is not occupied by the Group's entities is classified as investment property. Investment property is carried at cost less accumulated depreciation and accumulated impairment losses, therefore, the policy described above applies also to this category of assets.

Reclassifications between own used and investment properties may occur when there is a change in the use of such properties. Additionally, an investment property may be reclassified to 'non-current assets held for sale' category to the extent that the criteria described in note 2.2.24 are met.

2.2.7 Intangible assets

(i) Goodwill

Goodwill represents the excess of the aggregate of the fair value of the consideration transferred, the amount of any non-controlling interest and the acquisition date fair value of any previously held equity interest in the acquiree over the fair value of the Group's share of net identifiable assets and contingent liabilities acquired. Goodwill on acquisitions of subsidiaries is included in 'intangible assets' and is measured at cost less accumulated impairment losses.

Goodwill arising on acquisitions of associates and jointly controlled entities is neither disclosed nor tested separately impairment, but instead is included in 'investments in associates' and 'investments in jointly controlled entities'.

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(ii) Computer software

Costs associated with the maintenance of existing computer software programs are expensed as incurred. Development costs associated with the production of identifiable assets controlled by the Group are recognized as intangible assets when they are expected to generate economic benefits and can be measured reliably. Internally generated computer software assets are amortized using the straight-line method over 4 years, except for core systems whose useful life may extend up to 15 years.

(iii) Other intangible assets

Other intangible assets are assets that are separable or arise from contractual or other legal rights and are amortized over their estimated useful lives. These include intangible assets acquired in business combinations.

Intangible assets that have an indefinite useful life are not subject to amortization and are tested annually for impairment.

2.2.8 Impairment of non-financial assets

(i) Goodwill

Goodwill on the acquisition of subsidiaries is not amortized but tested for impairment annually or more frequently if there are any indications that impairment may have occurred. The Group's impairment test is performed each year end. The Group considers external information such as prevailing economic conditions, persistent slowdown in financial markets, volatility in markets and changes in levels of market and exchange risk, an unexpected decline in an asset's market value or market capitalization being below the book value of equity, together with a deterioration in internal performance indicators, in assessing whether there is any indication of impairment.

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each Cash Generating Unit (CGU) or groups of CGUs that are expected to benefit from the synergies of the combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the Group at which goodwill is monitored for internal management purposes. The Group monitors goodwill either at the separate legal entity level or group of legal entities consistent with the internal monitoring of operating segments.

The Group impairment model compares the carrying value of a CGU or group of CGUs with its recoverable amount. The carrying value of a CGU is based on the assets and liabilities of each CGU. The recoverable amount is determined on the basis of the value-in-use which is the present value of the future cash flows expected to be derived from the CGU or group of CGUs. The estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU and the countries where the CGUs operate.

An impairment loss arises if the carrying amount of an asset or CGU exceeds its recoverable amount, and is recognized in the income statement. Impairment losses are not subsequently reversed. Gains and losses on the disposal of an entity include the carrying amount of goodwill relating to the entity sold.

(ii) Other non-financial assets

Other non-financial assets, including property, plant and equipment, investment property and other intangible assets, are assessed for indications of impairment at each reporting date. When events or changes in circumstances indicate that the carrying amount may not be recoverable, an impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows, where applicable. Non-financial assets, other than goodwill, for which an impairment loss was recognized in prior reporting periods, are reviewed for possible reversal of such impairment at each reporting date.

Impairment losses arising from the Group's associates and joint ventures are determined in accordance with this accounting policy.

2.2.9 Financial assets

The Group classifies its financial assets in the following IAS 39 categories: financial assets at fair-value-through-profit-or-loss, loans and receivables, held-to-maturity investments, and available-for-sale financial assets. Management determines the classification of its financial instruments at initial recognition.

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(i) Financial assets at fair value through profit or loss

This category has two sub-categories: financial assets held for trading, and those designated at fair value through profit or loss upon initial recognition. A financial asset is classified as held for trading if acquired principally for the purpose of selling or repurchasing in the short term or if it is part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking. Derivatives are also categorized as held for trading unless they are designated and effective hedging instruments.

The Group designates certain financial assets upon initial recognition as at fair-value-through-profit-or-loss when any of the following apply:

- (a) it eliminates or significantly reduces measurement or recognition inconsistencies; or
- (b) financial assets share the same risks with financial liabilities and those risks are managed and evaluated on a fair value basis; or
- (c) structured products containing embedded derivatives that could significantly modify the cash flows of the host contract.

(ii) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than those that the Group upon initial recognition designates at fair-value-through-profit-or-loss or as available-for-sale. Securities classified in this category are presented in Investment Securities under Debt Securities Lending portfolio.

(iii) Held-to-maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group has the positive intention and ability to hold to maturity. If the Group were to sell other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and reclassified as available-for-sale.

(iv) Available-for-sale

Available-for-sale investments are those intended to be held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices.

Accounting treatment and calculation

Purchases and sales of financial assets are recognized on trade date, which is the date the Group commits to purchase or sell the assets. Loans originated by the Group are recognized when cash is advanced to the borrowers. Financial assets are initially recognized at fair value plus transaction costs for all financial assets not carried at fair-value-through-profit-or-loss.

Available-for-sale financial assets and financial assets at fair-value-through-profit-or-loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortized cost using the effective interest method. Gains and losses arising from changes in the fair value of the 'financial assets at fair-value-through-profit-or-loss' category are included in the income statement in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognized directly in equity, until the financial asset is derecognized or impaired at which time the cumulative gain or loss previously recognized in equity is recognized in profit or loss. However, interest calculated using the effective interest rate method is recognized in the income statement.

Dividends on equity instruments are recognized in the income statement when the entity's right to receive payment is established.

De-recognition of financial assets

The Group derecognizes a financial asset when its contractual cash flows expire, or the rights to receive those cash flows are transferred in an outright sale in which substantially all risks and rewards of ownership have been transferred. In addition, a financial asset is derecognized even if rights to receive cash flows are retained but at the same time the Group assumes an obligation to pay the received cash flows without a material delay (pass through agreement) or when substantially all the risks and rewards are neither transferred nor retained but the Group has transferred control of the asset. The control is considered to be transferred if, and only if, the transferee has the practical ability to sell the asset in its entirety to unrelated third party.

Notes to the Consolidated Financial Statements

2.2.10 Financial liabilities

The Group classifies its financial liabilities in the following categories: financial liabilities measured at amortized cost and financial liabilities at fair-value-through-profit-or-loss. Financial liabilities at fair-value-through-profit-or-loss comprise two sub categories: financial liabilities held for trading and financial liabilities designated at fair-value-through-profit-or-loss upon initial recognition.

The Group designates financial liabilities at fair-value-through-profit-or-loss when any of the following apply:

- (a) it eliminates or significantly reduces measurement or recognition inconsistencies; or
- (b) financial liabilities share the same risks with financial assets and those risks are managed and evaluated on a fair value basis; or
- (c) structured products containing embedded derivatives that could significantly modify the cash flows of the host contract.

De-recognition of financial liabilities

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or expires. When an existing financial liability of the Group is replaced by another from the same counterparty on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as an extinguishment of the original liability and the recognition of a new liability and any difference arising is recognized in the income statement.

The Group considers the terms to be substantially different, if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the discounted present value of the remaining cash flows of the original financial liability.

If an exchange of debt instruments or modification of terms is accounted for as an extinguishment, any costs or fees incurred are recognized as part of the gain or loss on the extinguishment. If the exchange or modification is not accounted for as an extinguishment, any costs or fees incurred adjust the carrying amount of the liability and are amortized over the remaining term of the modified liability.

Similarly, when the Group repurchases any debt instruments issued by the Group, it accounts for such transactions as an extinguishment of debt.

2.2.11 Fair value measurement of financial instruments

Fair value of financial instruments is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date under current market conditions in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

When available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. If there is no quoted price in an active market, then the Group uses other valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The Group has elected to use mid-market pricing as a practical expedient for fair value measurements within a bid-ask spread.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price, i.e. the fair value of the consideration given or received unless the Group determines that the fair value at initial recognition differs from the transaction price. In this case, if the fair value is evidenced by a quoted price in an active market for an identical asset or liability (i.e. Level 1 input) or based on a valuation technique that uses only data from observable markets, a day one gain or loss is recognized in the income statement. On the other hand, if the fair value is evidenced by a valuation technique that uses unobservable inputs, the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price (day one gain or loss). Subsequently the deferred gain or loss is amortized on an appropriate basis over the life of the instrument or released earlier if a quoted price in an active market or observable market data become available or the financial instrument is closed out.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy based on the lowest level input that is significant to the fair value measurement as a whole (note 7.3).

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For assets and liabilities that are measured at fair value on a recurring basis, the Group recognizes transfers into and out of the fair value hierarchy levels at the beginning of the quarter in which a financial instrument's transfer was effected.

2.2.12 Impairment of financial assets

The Group assesses at each reporting date whether there is objective evidence that a financial asset or group of financial assets, not carried at fair value through profit or loss, is impaired. A financial asset or a group of financial assets is impaired and an impairment loss is incurred if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the financial asset (a loss event) and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

Impairment indicators

For the Group's retail loan exposures, objective evidence that a loan or group of loans is impaired refers to observable data that comes to the attention of the Group about the following loss events:

- significant financial difficulty of the borrower, significant reduction of personal and/or family income or loss of job;
- a default or breach of contract;
- significant changes in the financial performance and behavior of the borrower (for example, a number of delayed contractual payments);
- measurable decrease in the estimated future cash flows of a group of loans through a negative payment pattern such as missed payments or a decrease in property prices;
- the Group granting to the borrower, for economic or legal reasons relating to the borrower's financial difficulty, a concession that the lender would not otherwise consider, such as a reduction of the borrower's monthly installment for a specific period of time, or a temporary or permanent reduction of interest rate;
- it is becoming probable that the borrower will enter into bankruptcy status or other financial reorganization; and
- loss events that could affect the ability of the borrower to repay contractual obligations within the agreed time, such as serious illness, disability or death of the obligor or a family member.

For all other financial assets including wholesale loan exposures, the Group assesses on a case-by-case basis whether there is any objective evidence of impairment using the following criteria:

- significant financial difficulty of the issuer or borrower;
- a default or breach of contract;
- significant changes in the financial performance of the borrower that affect the borrower's ability to meet its debt obligations, such as:
 - operating losses;
 - working capital deficiencies; and
 - the borrower having a negative equity.
- other facts indicating a deterioration of the financial performance of the borrower, such as a breach of loan covenants or other terms, or a partial write-off of the borrower's obligations due to economic or legal reasons relating to his financial status;
- significant changes in the value of the collateral supporting the obligation;
- the Group granting to the borrower, for economic or legal reasons relating to the borrower's financial difficulty, a concession that the lender would not otherwise consider, such as a reduction of the obligors monthly installment for a specific period of time, or a temporary or permanent reduction of interest rate;
- it is becoming probable that the borrower will enter into bankruptcy or other financial reorganization;
- significant adverse changes in the borrower's industry or geographical area that could affect his ability to meet its debt obligations;
- any material facility at the debtor level failing beyond 90 days past due;
- market related information including the status of the borrower's other debt obligations; and
- a significant downgrade in the internal or external credit rating of the borrower's financial instruments when considered with other information.

Notes to the Consolidated Financial Statements**(i) Assets carried at amortized cost***Impairment assessment*

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and collectively for financial assets that are not individually significant. If there is no objective evidence of impairment for a financial asset, the Group includes it in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Impairment losses recognized for financial assets for which no objective evidence of impairment exists (incurred but not reported loss-IBNR), represent an interim step pending to the identification of impairment losses of individual assets in the group. As soon as information is available that specifically identifies losses on individually impaired assets in the group, those assets are removed from it.

Financial assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognized are not included in a collective assessment of impairment.

In determining whether a loan is individually significant for the purposes of assessing impairment, the Group considers a number of factors, including the importance of the individual loan relationship and how it is managed, the size of the loan, and the product line. Consequently, loans to wholesale customers and financial institutions, as well as investment securities are generally considered as individually significant. Retail lending portfolios are generally assessed for impairment on a collective basis as they consist of large homogenous portfolios; exposures that are managed on an individual basis are assessed individually for impairment.

The Group assesses at each reporting date whether there is objective evidence of impairment.

Impairment measurement

If there is objective evidence that an impairment loss on a financial asset carried at amortized cost has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of its estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. If a financial asset has a variable interest rate, the discount rate for measuring the impairment loss is the current effective interest rate determined under the contract. The carrying amount of the asset is reduced through the use of an allowance account for loans and advances or directly for all other financial assets, and the amount of the loss is recognized in the income statement. As a practical expedient, the Group may measure impairment on the basis of an instrument's fair value using an observable market price.

The present value of the estimated future cash flows of a collateralized financial asset reflects the cash flows that may result from foreclosure less costs for obtaining and selling the collateral, whether or not foreclosure is probable.

For collective impairment purposes, the financial assets are grouped on the basis of similar credit risk characteristics (i.e., on the basis of the Group's grading process that considers asset type, industry, geographical location, collateral type, past-due status and other relevant factors). Those characteristics are relevant to the estimation of future cash flows for groups of such assets by being indicative of the borrowers' ability to pay all amounts due according to the contractual terms of the assets being evaluated.

Future cash flows of a group of financial assets that is collectively assessed for impairment are estimated on the basis of the contractual cash flows of the assets in the group and historical loss experience for assets with credit risk characteristics similar to those in the group.

Estimates of changes in the future cash flows for a group of financial assets should reflect and be directionally consistent with changes in related observable data from period to period (for example, changes in unemployment rates, property prices, payment status, or other factors indicative of changes in the probability of losses in the group and their magnitude). Historical loss experience is adjusted on the basis of current observable data to reflect the effects of conditions that did not affect the period on which the historical loss experience is based and to remove the effects of conditions in the historical period that do not exist currently. The methodology and assumptions used for estimating the future cash flows are reviewed regularly by the Group to reduce any differences between loss estimates and actual loss experience.

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Reversals of impairment

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognized (such as an improvement in the borrower's credit rating), the previously recognized impairment loss is reversed by adjusting the allowance account or the asset's carrying amount, as appropriate. The amount of the reversal is recognized in the income statement.

Write-off of loans and advances

A loan and the associated impairment allowance are written off when there is no realistic prospect of recovery. The Group considers all relevant information including the occurrence of a significant change in the borrower's financial position to such extent that the borrower can no longer pay his obligation.

The timing of write-off is mainly dependent on whether there are any underlying collaterals, their foreclosure processes, as well as the Group's estimates of the collectible amounts. Especially for collateralized exposures, the timing of write-off is mainly dependent on local jurisdictions and consequently maybe delayed due to various legal impediments. The number of days past due is considered by the Group as an indicator, however it is not regarded as a determining factor.

Unpaid debt continues to be subject to enforcement activity even after it is written-off, except for cases where it is clearly stipulated in debt forgiveness programs.

Subsequent recoveries of amounts previously written off decrease the amount of the impairment losses for loans and advances in the income statement.

Loan modifications

Modifications of loans' contractual terms may arise due to various factors, such as changes in market conditions, customer retention and other factors, as well as potential deterioration of the borrower's financial condition. Forbearance occurs in the cases where the contractual payment terms of a loan have been modified due to the deterioration of the borrower's financial position and the Group has granted a concession by providing more favorable terms and conditions that it would not otherwise consider had the borrower not been in financial difficulties. Other renegotiations, more of a business nature, are not considered as forbearance measures.

Forbearance measures usually do not lead to de-recognition of the loan, unless, in accordance with accounting policy 2.2.9 'Financial assets', the contractual terms of the new loan contract are assessed to be substantially different from those under the original loan, representing the expiry of the rights to the cash flows of the original loan. In this case the initial loan is derecognized and a new loan is recognized at fair value with any difference between the carrying amount of the derecognized asset and the fair value of the new loan recognized in the Group's income statement.

Modifications that may not result in de-recognition include:

- reduced or interest-only payments;
- payment holidays, grace period;
- extended payment periods under which the original term of the loan is extended;
- capitalization of arrears whereby arrears are added to the principal balance; and
- reduction in interest rates.

If the assessment of the forborne loan's modified terms do not result in de-recognition, the loan is assessed for impairment as the forbearance measures represent a concession that the Group would not otherwise consider. The impairment loss is measured in accordance with the Group's impairment policy for forborne loans (note 7.2.1.2 (d)).

Modifications that may result in de-recognition include:

- when an uncollateralized loan becomes fully collateralized;
- debt consolidations, whereby existing loan balances of the borrower are combined in a single loan;
- the removal or addition of conversion features to the loan agreement;
- a change in currency of principal and/or interest denomination; and
- any other changes that cause the terms under the new contract to be considered substantially different from the original loan's terms.

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In addition, the Group may occasionally enter, in the context of loans' modifications, into debt-for-equity transactions. Similarly, the modified loan is derecognized while the equity instruments received in exchange are recognized at their fair value, with any resulting gain or loss recognized in the Group's income statement.

(ii) Available-for-sale assets

The Group assesses at each reporting date whether there is objective evidence that an asset classified as available for sale is impaired. Particularly, in case of equity investments, a significant or prolonged decline in the fair value of the security below its cost is also considered in determining whether the assets are impaired.

If any such evidence exists for available-for-sale financial assets, the cumulative loss-measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognized in profit or loss-is removed from equity and recognized in the income statement. Impairment losses recognized in the income statement on equity investments are not reversed through the income statement. If, in a subsequent period, the fair value of a debt instrument classified as available-for-sale increases and the increase can be objectively related to an event occurring after the impairment loss was recognized in profit or loss, the impairment loss is reversed through the income statement.

2.2.13 Sale and repurchase agreements and securities lending

(i) Sale and repurchase agreements

Securities sold subject to repurchase agreements (repos) continue to be recorded in the Group's Balance Sheet as the Group retains substantially all risks and rewards of ownership, while the counterparty liability is included in amounts due to other banks or due to customers, as appropriate. Securities purchased under agreements to resell (reverse repos) are recorded as loans and advances to other banks or customers, as appropriate. The difference between the sale and repurchase price in case of repos and the purchase and resale price in case of reverse repos is recognized as interest and accrued over the period of the repo or reverse repo agreements using the effective interest method.

(ii) Securities lending

Securities lent to counterparties are retained in the financial statements. Securities borrowed are not recognized in the financial statements, unless these are sold to third parties, in which case the obligation to return them is recorded at fair value as a trading liability.

2.2.14 Leases

(i) Accounting for leases as lessee

Finance leases:

Leases of property, plant and equipment where the Group has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are recognized, at the inception of the lease term, at the lower of the fair value of the leased asset or the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charge so as to achieve a constant rate of interest on the liability outstanding. The property, plant and equipment acquired under finance leases is depreciated over the shorter of the useful life of the asset or the lease term.

Operating leases:

Leases, where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases under which the leased asset is not recognized on balance sheet. Payments made under operating leases (net of any incentives received from the lessor) are charged to the income statement on a straight-line basis over the period of the lease.

(ii) Accounting for leases as lessor

Finance leases:

When assets are leased out under finance leases, the present value of the lease payments is recognized under loans and receivables. The difference between the gross receivable (gross investment) and the present value of minimum lease payments (net investment) is recognized as unearned future finance income and is deducted from loans and advances. Lease income is recognized over the term of the lease using the net investment method, which reflects a constant periodic rate of return. Finance lease receivables are assessed for impairment losses in accordance with Group's impairment policy for financial assets as describe in note 2.2.12.

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Operating leases:

Assets leased out under operating leases are included in property, plant and equipment or investment property, as appropriate, in the balance sheet. They are depreciated over their expected useful lives on a basis consistent with similar owned property, plant and equipment. Rental income (net of any incentives given to lessees) is recognized on a straight-line basis over the lease term.

2.2.15 Income tax

Income tax consists of current and deferred tax.

(i) Current income tax

Income tax payable on profits, based on the applicable tax law in each jurisdiction, is recognized as an expense in the period in which profits arise.

(ii) Deferred income tax

Deferred income tax is provided in full, using the liability method, on temporary differences arising between the tax base of assets and liabilities and their carrying amounts in the consolidated financial statements. Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by the balance sheet date. The principal temporary differences arise from loans' impairment, Private Sector Initiative (PSI+) tax related losses, depreciation of fixed assets, pension and other retirement benefit obligations, and revaluation of certain financial assets and liabilities, including derivative financial instruments.

Deferred tax assets are recognized where it is probable that future taxable profit will be available against which the temporary differences can be utilized. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Any such reduction is reversed to the extent that it becomes probable that sufficient taxable profit will be available. The Group recognises a previously unrecognised deferred tax asset to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax related to changes in fair values of available-for-sale investments and cash flow hedges which are recognized to other comprehensive income is also recognized to other comprehensive income, and is subsequently recognized in the income statement together with the deferred gain or loss.

The deferred tax asset on income tax losses carried forward is recognized as an asset when it is probable that future taxable profits will be available against which these losses can be utilized.

(iii) Uncertain tax positions

The Group determines and assesses all material tax positions taken, including all, if any, significant uncertain positions, in all tax years that are still subject to assessment (or when the litigation is in progress) by relevant tax authorities. In evaluating tax positions in various states, local, and foreign jurisdictions, the Group examines all supporting evidence (Ministry of Finance circulars, individual rulings, case law, past administrative practices, ad hoc tax/legal opinions etc.) to the extent they are applicable to the facts and circumstances of the particular Group's case/ transaction.

In addition, judgments concerning the recognition of a provision against the possibility of losing some of the tax positions are highly dependent on advice received from internal/ external legal counselors. For uncertain tax positions with a high level of uncertainty, the Group recognizes, on a transaction by transaction basis, or together as a group, depending on which approach better predicts the resolution of the uncertainty using an expected value (probability-weighted average) approach: (a) a provision against tax receivable which has been booked for the amount of income tax already paid but further pursued in courts or (b) a liability for the amount which is expected to be paid to the tax authorities.

The Group as a general rule has opted to obtain for the Group's Greek companies an 'Annual Tax Certificate', which is issued after a tax audit is performed by the same statutory auditor or audit firm that audits the annual financial statements. Further information in respect of the Annual Tax Certificate and the related tax legislation, as well as the unaudited tax years for the Group's companies is provided in note 15.

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2.2.16 Employee benefits

(i) Short term benefits

Short term employee benefits are those expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related services and are expensed as these services are provided.

(ii) Pension obligations

The Group provides a number of defined contribution pension plans where annual contributions are invested and allocated to specific asset categories. Eligible employees are entitled to the overall performance of the investment. The Group's contributions are recognized as employee benefit expense in the year in which they are paid.

(iii) Standard legal staff retirement indemnity obligations (SLSRI) and termination benefits

The Group operates unfunded defined benefit plans in Greece, Bulgaria, Serbia, and Romania under broadly similar regulatory frameworks. In accordance with the local labor legislation, the Group provides for staff retirement indemnity obligation for employees which are entitled to a lump sum payment based on the number of years of service and the level of remuneration at the date of retirement, if they remain in the employment of the Group until normal retirement age. Provision has been made for the actuarial value of the lump sum payable on retirement (SLSRI) using the projected unit credit method. Under this method the cost of providing retirement indemnities is charged to the income statement so as to spread the cost over the period of service of the employees, in accordance with the actuarial valuations which are performed every year.

The SLSRI obligation is calculated as the present value of the estimated future cash outflows using interest rates of high quality corporate bonds. In countries where there is no deep market in such bonds, the yields on government bonds are used. The currency and term to maturity of the bonds used are consistent with the currency and estimated term of the retirement benefit obligations. Actuarial gains and losses that arise in calculating the Group's SLSRI obligations are recognized directly in other comprehensive income in the period in which they occur and are not reclassified to the income statement in subsequent periods.

Interest on the staff retirement indemnity obligations and service cost, consisting of current service cost, past service cost and gains or losses on settlement are recognized in the income statement. In calculating the SLSRI obligation, the Group also considers potential separations before normal retirement based on the terms of previous voluntary exit schemes.

Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits (including those in the context of the Voluntary Exit Schemes implemented by the Group). The Group recognizes termination benefits at the earlier of the following dates: (a) when the Group can no longer withdraw the offer of those benefits; and (b) when the Group recognizes costs for a restructuring that involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Termination benefits falling due more than 12 months after the end of the reporting period are discounted to their present value.

(iv) Performance-based cash payments

The Group's Management awards high performing employees with bonuses in cash, from time to time, on a discretionary basis. Cash payments requiring only Management approval are recognized as employee benefit expenses on an accrual basis. Cash payments requiring General Meeting approval as distribution of profits to staff are recognized as employee benefit expense in the accounting period that they are approved by the Group's shareholders.

(v) Performance-based share-based payments

The Group's Management awards employees with bonuses in the form of shares and share options on a discretionary basis. Non-performance related shares vest in the period granted. Share based payments that are contingent upon the achievement of a performance and service condition, vest only if both conditions are satisfied.

The fair value of the shares granted is recognized as an employee benefit expense with a corresponding increase in share capital (par value) and share premium.

The fair value of the options granted is recognized as an employee benefit expense with a corresponding increase in a non-distributable reserve over the vesting period. The proceeds received net of any directly attributable transaction costs are credited to share capital (par value) and share premium when the options are exercised, with a transfer of the non distributable reserve to share premium.

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2.2.17 Repossessed properties

Land and buildings repossessed through an auction process to recover impaired loans are, except where otherwise stated, included in 'Other Assets'. Assets acquired from an auction process are held temporarily for liquidation and are valued at the lower of cost and net realizable value, which is the estimated selling price, in the ordinary course of business, less costs necessary to make the sale.

In cases where the Group makes use of repossessed properties as part of its operations, they may be reclassified to own occupied or investment properties, as appropriate.

Any gains or losses on liquidation are included in the income statement.

2.2.18 Related party transactions

Related parties of the Group include:

- (a) an entity that has control over the Group and entities controlled, jointly controlled or significantly influenced by this entity, as well as members of its key management personnel and their close family members;
- (b) members of key management personnel of the Group, their close family members and entities controlled or jointly controlled by the abovementioned persons;
- (c) associates and joint ventures of the Group; and
- (d) fellow subsidiaries.

Transactions of similar nature are disclosed on an aggregate basis. All banking transactions entered into with related parties are in the normal course of business and are conducted on an arm's length basis.

2.2.19 Provisions

Provisions are recognized when the Group has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and reliable estimates of the amount of the obligation can be made.

The amount recognized as a provision is the best estimate of the expenditure required to settle the present obligation at each reporting date, taking into account the risks and uncertainties surrounding the amount of such expenditure.

Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. If, subsequently, it is no longer probable that an outflow of resources embodying economic benefits will be required to settle the obligation, the provision is reversed.

2.2.20 Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenue and incur expenses within a particular economic environment. Operating segments are identified on the basis of internal reports, regarding operating results, of components of the Group that are regularly reviewed by the chief operating decision maker in order to allocate resources to the segment and to assess its performance. The chief operating decision maker has been identified as the Strategic Planning Committee (which replaced the Executive Board during 2015) that is responsible for strategic decision making. Segment revenue, segment expenses and segment performance include transfers between business segments. Such transfers are accounted for at competitive prices in line with charges to unaffiliated customers for similar services.

2.2.21 Share capital

Ordinary shares and preference shares are classified as equity. Incremental costs directly attributable to the issue of new shares or options are shown in equity as a deduction from the proceeds, net of tax.

Dividend distribution on shares is recognized as a deduction in the Group's equity when approved by the General Meeting of shareholders. Interim dividends are recognized as a deduction in the Group's equity when approved by the Board of Directors.

Where any Group entity purchases the Bank's equity share capital (treasury shares), the consideration paid including any directly attributable incremental costs (net of income taxes), is deducted from shareholders' equity until the shares are cancelled, reissued or disposed of. Where such shares are subsequently sold or reissued, any consideration received is included in shareholders' equity.

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2.2.22 Preferred securities

Preferred securities issued by the Group are classified as equity when there is no contractual obligation to deliver to the holder cash or another financial asset.

Incremental costs directly attributable to the issue of new preferred securities are shown in equity as a deduction from the proceeds, net of tax.

Dividend distribution on preferred securities is recognized as a deduction in the Group's equity on the date it is due.

Where preferred securities, issued by the Group, are repurchased, the consideration paid including any directly attributable incremental costs (net of income taxes), is deducted from shareholders' equity. Where such securities are subsequently called or sold, any consideration received is included in shareholders' equity.

2.2.23 Financial guarantees

Financial guarantee contracts are contracts that require the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due, in accordance with the terms of a debt instrument. Such financial guarantees are granted to banks, financial institutions and other bodies on behalf of customers to secure loans, overdrafts and other banking facilities.

Financial guarantees are initially recognized in the financial statements at fair value. Subsequent to initial recognition, the Group's liabilities under such guarantees are measured at the higher of the initial measurement, less amortization calculated to recognize in the income statement the fee income earned on a straight line basis over the life of the guarantee, and the best estimate of the expenditure required to settle any financial obligation arising at the reporting date. These estimates are determined based on experience of similar transactions and history of losses, supplemented by management's judgment.

2.2.24 Non-current assets classified as held for sale and discontinued operations

Non-current assets are classified as held for sale if their carrying amount will be recovered through a sale transaction rather than through continuing use. For a non-current asset to be classified as held for sale, it is available for immediate sale in its present condition, subject to terms that are usual and customary for sales of such assets, and the sale is considered to be highly probable. In such cases, management is committed to the sale and actively markets the property for sale at a price that is reasonable in relation to the current fair value. The sale is also expected to qualify for recognition as a completed sale within one year from the date of classification. Before their classification as held for sale, assets are remeasured in accordance with the respective accounting standard.

Assets held for sale are subsequently remeasured at the lower of their carrying amount and fair value less cost to sell. Any loss arising from the above measurement is recorded in profit or loss and can be reversed in the future. When the loss relates to a disposal group, it is allocated to the assets within that disposal group.

The Group presents discontinued operations in a separate line in the consolidated income statement if a Group entity or a component of a Group entity has been disposed of or is classified as held for sale and:

- (a) Represents a separate major line of business or geographical area of operations;
- (b) Is part of a single coordinated plan to dispose of a separate major line of business or geographical area of operations; or
- (c) Is a subsidiary acquired exclusively with a view to resale.

Profit or loss from discontinued operations includes the profit or loss before tax from discontinued operations, the gain or loss on disposal before tax or measurement to fair value less costs to sell and discontinued operations tax expense. Intercompany transactions between continuing and discontinued operations are presented on a gross basis in the income statement. Upon classification of a Group entity as a discontinued operation, the Group restates prior periods in the consolidated income statement.

2.2.25 Reclassification of financial assets

The Group may choose to reclassify a non-derivative financial asset held for trading out of the held-for-trading category if the financial asset is no longer held for the purpose of selling it in the near-term. Financial assets other than those that meet the definition of loans and receivables may be reclassified out of the held for trading category only in rare circumstances arising from a single event that is unusual and highly unlikely to recur in the near-term. In addition, the Group may choose to reclassify financial assets that would meet the definition of loans and receivables, out of the held-for-trading or available-for-sale categories, if the

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Group has the intention and ability to hold these financial assets for the foreseeable future or until maturity at the date of reclassification.

Reclassifications are made at fair value as of the reclassification date. Fair value becomes the new cost or amortized cost as applicable, and no reversals of fair value gains or losses recorded before reclassification date are subsequently made. Effective interest rates for financial assets reclassified to loans and receivables and held-to-maturity categories are determined at the reclassification date. Further increases in estimates of cash flows adjust effective interest rates prospectively.

2.2.26 Cash and cash equivalents

Cash and cash equivalents include cash in hand, unrestricted deposits with central banks, due from credit institutions and other short-term highly liquid investments with original maturities of three months or less.

2.2.27 Fiduciary activities

The Group provides custody, trustee, corporate administration, investment management and advisory services to third parties. This involves the Group making allocation, purchase and sale decisions in relation to a wide range of financial instruments. The Group receives fee income for providing these services. Those assets that are held in a fiduciary capacity are not assets of the Group and are not recognized in the financial statements. In addition, the Group does not guarantee these investments and as a result it is not exposed to any credit risk in relation to them.

3. Critical accounting estimates and judgments in applying accounting policies

In the process of applying the Group's accounting policies, the Group's Management makes various judgments, estimates and assumptions that may affect the reported amounts of assets and liabilities, revenues and expenses recognized in the financial statements within the next financial year and the accompanying disclosures. Estimates and judgments are continually evaluated and are based on current conditions, historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The most significant areas in which the Group makes judgments, estimates and assumptions in applying its accounting policies are set out below:

3.1 Impairment losses on loans and advances

The Group reviews its loan portfolios to assess whether there is objective evidence of impairment on an ongoing basis. This assessment is performed individually for loans and advances that are individually significant and collectively (a) for loans and advances that are not individually significant and (b) for those that are individually significant but were found not to be impaired following the individual assessment. Management is required to exercise judgment in making assumptions and estimates when calculating the present value of the cash flows expected to be received on both individually and collectively assessed loans and advances.

Individual impairment assessment

For loans assessed on an individual basis, mainly the Group's wholesale lending portfolio, management uses its best estimate to determine the present value of the cash flows that are expected to be received. In estimating these cash flows, management makes judgments about the borrower's financial position and the net realizable value of any underlying collaterals. Expected recoveries from real estate collaterals may be affected from the downward trend in the properties' market value. A 5% decline in the estimated recovery values of all types of real estates' collaterals used for the measurement of the impairment allowance of the Group's wholesale lending portfolio, would give rise to an additional impairment loss in 2017 of approximately € 117 million (2016: € 116 million, including the Romanian subsidiaries classified as held for sale).

Each individually assessed loan for impairment is assessed on a case-by-case basis (in cooperation between Credit Risk Management function and the business units) and subsequently it is independently approved by the Credit Risk Management function.

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Collective impairment assessment

Collective impairment allowance is established for (a) groups of non-impaired or impaired retail homogenous loans that are not considered individually significant and (b) groups of corporate or retail loans that are individually significant but that were not found to be individually impaired.

In determining whether an impairment loss should be recorded in the income statement, management makes judgments as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows of a loan portfolio before the decrease can be identified on an individual loan basis in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a group, or national or local economic conditions that correlate with defaults on assets in the group.

In assessing the need for collective impairment, management considers factors such as credit quality, portfolio size, concentrations and economic factors. Management's estimates are based on historical loss experience for assets with similar credit risk characteristics to those in the loan portfolio under assessment when scheduling its future cash flows. Management also applies significant judgment to assess whether current economic and credit conditions are such that the actual level of impairment loss is likely to be greater or lower than that suggested by historical experience. In normal circumstances, historical loss experience provides objective and relevant information in order to assess the loss within each loan portfolio. In other circumstances, historical loss experience provides less relevant information, for example when recent trends in risk factors are not fully reflected in the historical information. Where changes in economic, regulatory and behavioral conditions result in most recent trends in portfolio risk factors not being fully reflected in the impairment calculation model used, the Group adjusts the impairment allowance derived from historical loss experience accordingly.

The uncertainty inherent in the estimation of impairment loss is increased in the current macroeconomic environment, and is sensitive to factors such as the level of economic activity, bankruptcy rates, geographical concentrations, changes in laws and regulations, property prices and level of interest rates.

For the Group's mortgage portfolios, the recovery rates, which are calculated based on statistical models, reflect the management's best estimate regarding the net realizable value of residential properties held as collateral as well as the timing foreclosure is expected to occur, which in turn is impacted by the local legal framework. Both the amount and timing of expected cash flows have been affected by the reduction in the level of activity in the real estate market and the changes in the local tax and legal environment in Greece. A 3% decline in the estimated recovery rates used for the measurement of the impairment allowance of the Group's mortgage portfolio, would give rise to an additional impairment loss in 2017 of approximately € 141 million (2016: € 125 million, including the Romanian subsidiaries classified as held for sale).

For the rest of retail portfolios, statistical analysis of historical loss experience is the primary tool used in order to determine future customer behavior and payment patterns. Due to the stressed macroeconomic environment during the last years, depending on the portfolio under examination, there is a level of uncertainty in terms of the level of future cash flows as well as the time that these cash flows will come. With regards to unsecured consumer and small business exposures, management exercises judgment to determine the assumptions underlying to the applicable recovery rates, which are calculated based on statistical models and affected by the existing economic conditions. A 5% decrease in the estimated recovery rates used for the measurement of the impairment allowance of the Group's unsecured consumer portfolio would give rise to an additional impairment loss in 2017 of approximately € 28 million (2016: € 36 million, including the Romanian subsidiaries classified as held for sale). The same decrease in the small business lending portfolio's recovery rates would give rise to an additional impairment loss of approximately € 45 million (2016: € 65 million, including the Romanian subsidiaries classified as held for sale).

3.2 Fair value of financial instruments

The fair value of financial instruments is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants in the principal (or most advantageous) market at the measurement date under current market conditions (i.e. an exit price) regardless of whether that price is directly observable or estimated using another valuation technique.

The fair value of financial instruments that are not quoted in an active market are determined by using other valuation techniques that include the use of valuation models. In addition, for financial instruments that trade infrequently and have little price transparency, fair value is less objective and requires varying degrees of judgment depending on liquidity, concentration,

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uncertainty of market factors, pricing assumptions and other risks affecting the specific instrument. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using other valuation techniques.

The valuation models used include present value methods and other models based mainly on observable inputs and to a lesser extent to non-observable inputs, in order to maintain the reliability of the fair value measurement.

Valuation models are used mainly to value over-the-counter derivatives and securities measured at fair value.

Where valuation techniques are used to determine the fair values of financial instruments that are not quoted in an active market, they are validated and periodically reviewed by qualified personnel independent of the personnel that created them. All models are certified before they are used, and are calibrated to ensure that outputs reflect actual data and comparative market prices. The main assumptions and estimates, considered by management when applying a valuation model include:

- the likelihood and expected timing of future cash flows;
- the selection of the appropriate discount rate, which is based on an assessment of what a market participant would regard as an appropriate spread of the rate over the risk-free rate; and
- judgment to determine what model to use in order to calculate fair value.

To the extent practicable, models use only observable data, however areas such as credit risk (both own and counterparty), volatilities and correlations require management to make estimates to reflect uncertainties in fair values resulting from the lack of market data inputs. Inputs into valuations based on unobservable data are inherently uncertain because there is little or no current market data available. However, in most cases there will be some historical data on which to base a fair value measurement and consequently even when unobservable inputs are used, fair values will use some market observable inputs.

Information in respect of the fair valuation of the Group's financial assets and liabilities is provided in note 7.3.

3.3 Impairment of available-for-sale equity investments

For available-for-sale equity investments, a significant or prolonged decline in the fair value below cost is an objective evidence of impairment. In order to determine what is significant or prolonged, the Group's management exercises judgment. In this respect, the Group regards a decline to be 'significant' when the fair value of quoted equities is below cost by more than 30% to 40% depending on the equity's index and 'prolonged' when the market price is below the cost price for a twelve-month period. The Group also evaluates among other factors, the historic volatility in the share price, the financial health of the investee, the industry and sector performance, changes in technology, and operational and financing cash-flows.

3.4 Assess control over investees

The management exercises judgment in order to assess if the Group has control over another entity based on the control elements set out in note 2.2.1 (i).

(a) Subsidiaries

The Group holds more than half of the voting rights in all subsidiaries, except from Hellenic Post Credit S.A. Further information in respect of the control assessment for the said subsidiary is provided in note 27.

(b) Structured entities

As part of its funding activity, the Group sponsors certain securitization vehicles, the relevant activities of which have been predetermined as part of their initial design by the Group. The Group is exposed to variability of returns from these vehicles through the holding of debt securities issued by them or by providing credit enhancements in accordance with the respective contractual terms. In assessing whether it has control, the Group considers whether it manages the substantive decisions that could affect these vehicles' returns. As a result, the Group has concluded that it controls these vehicles.

Furthermore, the Group is involved in the initial design of various mutual funds in order to provide customers with investment opportunities. The Group primarily acts as an agent in exercising its decision making authority as it is predefined by the applicable regulated framework. As a result, the Group has concluded that it does not control these funds.

Further information in respect of the structured entities the Group is involved, either consolidated or not, is provided in note 29.

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3.5 Income taxes

The Group is subject to income taxes in various jurisdictions and estimates are required in determining the provision for income taxes. The Group recognizes liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due or for anticipated tax disputes. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made. Further information in relation to the above is provided in note 15.

In addition, the Group recognizes deferred tax assets to the extent that it is probable that sufficient taxable profit will be available against which unused tax losses and deductible temporary differences can be utilized. Recognition therefore involves judgment regarding the future financial performance of the particular Group legal entity in which the deferred tax asset has been recognized. Particularly, in order to determine the amount of deferred tax assets that can be recognized, significant management judgments are required regarding the likely timing and level of future taxable profits. In making this evaluation, the Group has considered all available evidence, including management's projections of future taxable income and the tax legislation in each jurisdiction.

The most significant judgment exercised by management relates to the recognition of deferred tax assets in respect of losses realized in Greece. In the event that, the Group assesses that it would not be able to recover any portion of the recognized deferred tax assets in the future, the unrecoverable portion would impact the deferred tax balances in the period in which such judgment is made.

As at 31 December 2017, the Group revisited its estimates regarding the level of future taxable profits against which the unused tax losses and the deductible temporary differences can be utilized and evaluated accordingly the recoverability of the recognized deferred tax assets based on its three- year Business Plan, which was approved by the Board of Directors in January 2018 and has been submitted to the Hellenic Financial Stability Fund (HFSF) and to the Single Supervisory Mechanism (SSM), providing outlook of its profitability and capital position for the period up to the end of 2020. The implementation of the abovementioned Business Plan largely depends on the macroeconomic environment in Greece as well as in the countries that the Group operates.

As at 31 December 2017, an amount of € 22 million has been recognized in respect to unused tax losses using the Group's best estimation and judgment as described above. Further information in respect of the recognized deferred tax assets and the Group's assessment for their recoverability is provided in note 16.

3.6 Retirement benefit obligations

The present value of the retirement benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions, such as the discount rate and future salary increases. Any changes in these assumptions will impact the carrying amount of pension obligations.

The Group determines the appropriate discount rate used to calculate the present value of the estimated retirement obligations, at the end of each year based on interest rates of high quality corporate bonds. In countries where there is no deep market in such bonds, the yields on government bonds are used. The currency and term to maturity of the bonds used are consistent with the currency and estimated term to maturity of the retirement benefit obligations. The salary rate increase assumption is based on future inflation estimates reflecting also the Group's reward structure and expected market conditions.

Other assumptions for pension obligations, such as the inflation rate, are based in part on current market conditions.

For information in respect of the sensitivity analysis of the Group's retirement benefit obligations to reasonably possible, at the time of preparation of these financial statements, changes in the abovementioned key actuarial assumptions, refer to note 39.

3.7 Investment properties and repossessed collateral

The Group reviews its investment properties portfolio to assess whether there is an indication of impairment, such as a decline in the market prices and level of activity for properties of different nature and location, at each reporting date. If such an indication exists, management is required to exercise judgment in estimating the fair value less cost to sell of the investment properties. The fair values are determined by independent certified valuers, and the Bank's subsidiary Eurobank Property Services S.A., which is specialized in the area of real estate valuations, utilizes internal or external independent qualified appraisers and is regulated by the Royal Institute of Chartered Surveyors. The main factors underlying the determination of fair value are related with the receipt of contractual rentals, future vacancy rates and periods, discount rates or rates of return, the terminal values as well as the level of future maintenance and other operating costs. Additionally, where the fair value less cost to sell is determined based on market

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prices of comparable transactions those prices are subject to appropriate adjustments, in order to reflect current economic conditions and the management's best estimate regarding the future trend of properties market.

The processes and underlying assumptions applicable for the determination of repossessed properties net realizable value are similar to those described above for investment properties.

Further information in respect of the fair valuation of the Group's investment properties is provided in note 31.

3.8 Provisions and contingent liabilities

The Group recognizes provisions when it has a present legal or constructive obligation, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of its amount.

A provision is not recognized and a contingent liability is disclosed when it is not probable that an outflow of resources will be required to settle the obligation, when the amount of the obligation cannot be measured reliably or in case that the obligation is considered possible and is subject to the occurrence or non -occurrence of one or more uncertain future events.

Considering the subjectivity and uncertainty inherent in the determination of the probability and amount of the abovementioned outflows, the Group takes into account a number of factors such as legal advice, the stage of the matter and historical evidence from similar cases. In the case of an offer made within the context of the Group's voluntary exit scheme, the number of employees expected to accept the abovementioned offer along with their age cluster is a significant factor affecting the measurement of the outflow for the termination benefits.

Further information in relation to the Group's provisions and contingent liabilities is provided in note 38 and note 47.

3.9 Other significant accounting estimates and judgments

Information in respect of other estimates and judgments that are made by the Group is provided in notes 5 and 17.

4. Greek Economy Liquidity Support Program

The Bank participated in the Hellenic Republic's plan to support liquidity in the Greek economy under Law 3723/2008 as amended and supplemented, as follows:

(a) First stream-preference shares (until 17 January 2018)

345,500,000 registered non-voting, preference shares, with nominal value of € 950 million, were subscribed to by the Hellenic Republic on 21 May 2009. On 18 January 2018, the Bank announced the completion of the full redemption of the said preference shares, according to the provisions of par. 1a, article 1 of Law 3723/2008 and the decisions of its Extraordinary General Meeting of the Shareholders (ordinary and preference) as of 3 November 2017 (note 41); and

(b) Second stream-bonds issued by the Bank and guaranteed by the Hellenic Republic (until 30 October 2017)

Up to 30 October 2017, the Government guaranteed bonds of face value of € 2,500 million issued and held by the Bank as of 31 December 2016 have matured and as of that date the Bank does no longer participate in the second stream of the Greek economy liquidity support program. Accordingly, the relevant Bank's expenses for the year 2017 decreased by € 62 million compared to the respective expenses in the previous year.

Following the above, the Bank is no longer subject to the provisions of Law 3723/2008 and the Hellenic Republic's right to participate through its representative in the Bank's Board of Directors has ceased to exist. Accordingly, the Bank is also no longer subject to the provisions of article 28 of Law 3756/2009, pursuant to which banks participating in the Greek Economy Liquidity Support Program are not allowed to acquire treasury shares under article 16 of the Company Law.

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5. Credit exposure to Greek sovereign debt

As at 31 December 2017, the carrying value of Greek sovereign major exposures is as follows:

	2017 € million	2016 € million
Treasury bills	1,044	1,289
Greek government bonds (restated, note 52)	2,530	2,025
Derivatives with the Greek state	1,181	1,070
Exposure relating with Greek sovereign risk financial guarantee	196	194
Loans guaranteed by the Greek state	117	140
Loans to Greek local authorities and public organizations	54	75
Other receivables	4	19
Total	5,126	4,812

As at 31 December 2017, the credit risk valuation adjustment on derivatives with the Hellenic Republic has decreased by € 37 million, with a positive effect on the Group's net trading income, as a result of the improvement in the credit spreads of the Hellenic Republic credit default swaps.

In addition, the significant decrease in the yields of the Greek government bonds (GGBs) during 2017, resulted in € 292 million gains from change in fair value of Group's AFS GGBs, which have been recognized in the other comprehensive income.

The adequacy of the impairment allowance for loans and receivables either guaranteed by the Greek state or granted to public related entities was evaluated in the context of the Group's impairment policy. The Group monitors the developments for the Greek macroeconomic environment closely in order to adjust appropriately its estimates and judgments based on the latest available information (note 2.1).

Information on the fair values of the Group's financial instruments is provided in note 7.3.

6. Capital Management

The Group's capital adequacy position is presented in the following table:

	2017 € million	2016 ⁽²⁾ € million
Total equity attributable to shareholders of the Bank	7,104	6,672
Add: Regulatory non controlling interests	0	255
Less: Other regulatory adjustments	(217)	(156)
Common Equity Tier 1 Capital	6,887	6,771
Add: Preferred securities	21	26
Less: Other regulatory adjustments	(21)	(26)
Total Tier 1 Capital	6,887	6,771
Tier 2 capital-subordinated debt	-	4
Add: Other regulatory adjustments	28	119
Total Regulatory Capital	6,915	6,894
Risk Weighted Assets	38,387	38,511
Ratios:	%	%
Common Equity Tier 1 ⁽¹⁾	17.9	17.6
Tier 1 ⁽¹⁾	17.9	17.6
Total Capital Adequacy Ratio ⁽¹⁾	18.0	17.9

⁽¹⁾ The pro-forma Common Equity Tier 1, Tier 1 and Total Capital Adequacy ratios as at 31 December 2017, with the completion of (a) the disposal of the Romanian subsidiaries classified as held for sale (note 17) and (b) the full redemption by the Bank of the preference shares owned by the Greek State and the issuance by the Bank of subordinated notes constituting Tier 2 capital instruments (note 41) would be 15.8%, 15.8% and 18.4%, respectively.

⁽²⁾ The capital adequacy ratios for the year ended 31 December 2016 have not been adjusted following the change in accounting policy (note 52).

Note: The Group's CET1 as at 31 December 2017, based on the full implementation of the Basel III rules in 2024 (fully loaded CET1), would be 14.9% (31 December 2016: 13.8%). The Group's fully loaded CET1 as at 31 December 2017, pro-forma with the completion of the disposal of the Romanian subsidiaries classified as held for sale (note 17) would be 15.3%, while the Total Capital Adequacy Ratio pro-forma with the completion of the above disposal and the full redemption by the Bank of the preference shares owned by the Greek State/ the issuance by the Bank of subordinated notes constituting Tier 2 capital instruments (note 41) would be 17.9%. The fully loaded CET1 will not be affected with the aforementioned redemption of the preference shares/ the issuance of Tier 2 capital instruments.

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The Group has sought to maintain an actively managed capital base to cover risks inherent in the business. The adequacy of the Group's capital is monitored using, among other measures, the rules and ratios established by the Basel Committee on Banking Supervision (BIS rules/ratios) and adopted by the European Union and the Bank of Greece in supervising the Bank. The capital adequacy framework, as in force, was incorporated in the European Union (EU) legislation through the Directive 2013/36/EU (known as CRD IV), along with the Regulation No 575/2013/EU (known as CRR). Directive 2013/36/EU was transposed into Greek legislation by Law 4261/2014. Supplementary to that, in the context of Internal Capital Adequacy Assessment Process (ICAAP), the Group considers a broader range of risk types and the Group's risk management capabilities. ICAAP aims ultimately to ensure that the Group has sufficient capital to cover all material risks that it is exposed to, over a three-year horizon.

Based on Council Regulation No 1024/2013, the European Central Bank (ECB) conducts annually a Supervisory Review and Evaluation Process (SREP) in order to define the prudential requirements of the institutions under its supervision. The key purpose of the SREP is to ensure that institutions have adequate arrangements, strategies, processes and mechanisms as well as capital and liquidity to ensure a sound management and coverage of their risks, to which they are or might be exposed, including those revealed by stress testing and risks the institution may pose to the financial system. According to the 2016 SREP decision, starting from 1 January 2017 and until 31 December 2017, the Bank was required to meet on a consolidated basis a Common Equity Tier 1 ratio of at least 8.75% and a Total Capital Adequacy Ratio of at least 12.25% (Overall Capital Requirements including the Capital Conservation Buffer). According to the 2017 SREP decision, starting from 1 January 2018, the Bank is required to meet on a consolidated basis a Common Equity Tier 1 ratio of at least 9.375% and a Total Capital Adequacy Ratio of at least 12.875% (Overall Capital Requirements including the Capital Conservation Buffer).

The Group is focused on the organic strengthening of its capital position by the further expansion of pre-provision income while maintaining its robust risk management practices, the active management of non-performing exposures supported by the fully operational internal bad bank as well as by proceeding to additional initiatives associated with the restructuring, transformation or optimization of operations, in Greece and abroad, that will generate or release further capital and/or reduce risk weighted assets.

European Banking Authority 2018 Stress Test

On 31 January 2018, the European Banking Authority (EBA) launched its 2018 EU-wide stress test and released the macroeconomic scenarios. The EBA will coordinate the EU-wide stress test exercise in cooperation with the ECB and national authorities. The results of the stress test will provide stakeholders and the public with information about the resilience of banks, notably their ability to absorb shocks and meet capital requirements under adverse macroeconomic conditions.

The EU-wide stress test is conducted according to the EBA's methodology, which was published in November 2017, templates and scenarios. The exercise is carried out on the basis of year-end 2017 figures as restated with the impact of the IFRS 9 adoption and assesses the resilience of EU banks under a common macroeconomic baseline scenario and a common macroeconomic adverse scenario, covering the period 2018-2020. The baseline scenario is in line with the December 2017 forecast published by the ECB, while the adverse scenario, which has been developed by the European Systemic Risk Board (ESRB) and the ECB in close cooperation with the EBA and the competent authorities, is designed to ensure an adequate level of severity across all EU countries. No pass-fail threshold has been included as the results of the exercise are designed to serve as an input to the Supervisory Review and Evaluation Process (SREP).

Eurobank, along with the other three Greek systemic banks directly supervised by the ECB, undergoes the same stress test under the EBA scenarios and methodology. The timetable for the Greek systemic banks has been accelerated in order to complete the test before the end of the third European Stability Mechanism stability support program for Greece. The stress test process for the Greek systemic banks is currently in progress and the results are expected to be published in May 2018.

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Restructuring plan

On 29 April 2014, the European Commission (EC) approved the Bank's restructuring plan, as it was submitted through the Greek Ministry of Finance on 16 April 2014. In addition, on 26 November 2015, the EC approved the Bank's revised restructuring plan in the context of the recapitalization process in 2015. The principal commitments of the Hellenic Republic for the Bank's revised restructuring plan to be implemented by 31 December 2018 (or otherwise indicated below) as well as their status as at 31 December 2017 are disclosed below:

- (a) the reduction of the total costs (excluding any contribution to a deposit guarantee or resolution fund) to a maximum amount of € 750 million and the number of branches for the Group's Greek activities to a maximum of 510 on 31 December 2017 (note 12);
- (b) the decrease of the cost of deposits collected in Greece, according to the Bank's own projections incorporated into the plan;
- (c) the sale of a minimum 80% shareholding in the Group's insurance activities by 31 December 2016; the disposal of the 80% of the shareholding in its insurance subsidiaries was completed in August 2016 (note 17);
- (d) the deleveraging of the portfolio of equity investments exceeding € 5 million (subject to certain exceptions), subordinated and hybrid bonds to less than € 35 million by 30 June 2016;
- (e) for the Group's Greek activities, the reduction of the number of employees to a maximum of 9,800 by 31 December 2017; the number of employees for the Greek activities was reduced to 9,418 for the aforementioned period through the implementation of the Voluntary Exit Schemes (VES), which are still in progress (note 38);
- (f) the reduction of the net loans to deposits ratio for the Group's Greek banking activities to less than 115%; the further deleveraging of loans and the increase in deposits during 2017 have improved the loans to deposits ratio (notes 24 and 36);
- (g) the reduction of the portfolio of the Group's foreign assets (non-related to Greek clients) to a maximum amount of € 8.77 bn by 30 June 2018; in 2016 the Group completed the sale of Public J.S.C. Universal Bank, its banking subsidiary in Ukraine. Moreover, the Bank, following the divestment obligation under its restructuring plan, announced on 24 November 2017, that it has reached an agreement with Banca Transilvania with regards to the sale of Bancpost S.A., ERB Retail Services IFN S.A. and ERB Leasing IFN S.A. in Romania (Romanian disposal group). The transaction is expected to be finalized shortly after all required legal procedures are completed (note 17). As at 31 December 2017, the portfolio of the Group's foreign assets, which are not related with Greek clients, amounted to € 10.2 bn (of which € 2.2 bn refers to the assets of the Romanian disposal group classified as held for sale);
- (h) the sale of the 20% shareholding in its non-banking subsidiary Grivalia Properties R.E.I.C.; on 4 July 2017, the Bank announced the successful sale of its 20% shareholding in Grivalia Properties R.E.I.C. (note 17); and
- (i) restrictions on the capital injection to the Group's foreign subsidiaries unless the regulatory framework of each relevant jurisdiction requires otherwise, the purchase of non-investment grade securities (subject to certain exceptions), the staff remuneration, the payment of dividends, the credit policy to be adopted and other strategic decisions.

By 31 December 2017, the Group has already met/ respected the commitments referring to items 'a' to 'e' and 'h' to 'i', while the commitment referring to item 'g' is expected to be met shortly. In respect of the commitment referring to item 'f', which should be implemented within 2018, the Group proceeds to all actions and initiatives required to meet it within the prescribed deadlines. Such actions have been reflected in the three-year Business Plan approved by the Board of Directors in January 2018.

The implementation of the restructuring plan streamlines the Group's operations and reduces the Group's costs thereby sustaining its profitability. However, the implementation of the commitments may have an adverse effect on Group's business, operating results and financial position.

In addition in case the Bank is unable to comply with the restructuring plan's commitments, certain measures may be imposed against the Bank, including those provided in the case of misuse of state aid, limiting the Bank's ability to support its foreign subsidiaries or introducing additional limitations on its ability to hold and manage its securities portfolio.

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Monitoring Trustee

The Memorandum of Economic and Financial Policies (MEFP) of the Second Adjustment Program for Greece between the Hellenic Republic, the European Commission, the International Monetary Fund and the European Central Bank provides for the appointment of a monitoring trustee in all banks under State Aid.

Grant Thornton S.A. was appointed as the Bank's Monitoring Trustee (MT) on 22 February 2013, with the mandate of the MT been subsequently amended and extended on 29 May 2014. The MT monitors the compliance with the commitments on corporate governance and commercial operational practices and the implementation of the restructuring plan and reports to the European Commission.

7. Financial risk management and fair value

7.1 Use of financial instruments

By their nature the Group's activities are principally related to the use of financial instruments including derivatives. The Group accepts deposits from customers, at both fixed and floating rates, and for various periods and seeks to earn above average interest margins by investing these funds in high quality assets. The Group seeks to increase these margins by consolidating short-term funds and lending for longer periods at higher rates, while maintaining sufficient liquidity to meet all claims that might fall due.

The Group also seeks to raise its interest margins by obtaining above average margins, net of provisions, through lending to commercial and retail borrowers within a range of credit standing. Such exposures include both on-balance sheet loans and advances and off-balance sheet guarantees and other commitments such as letters of credit.

The Group also trades in financial instruments where it takes positions in traded and over the counter financial instruments, including derivatives, to take advantage of short-term market movements in the equity and bond markets and in currency and interest rates.

7.2 Financial risk factors

Due to its activities, the Group is exposed to a number of financial risks, such as credit risk, market risk (including currency and interest rate risk), liquidity and operational risks. The Group's overall risk management strategy seeks to minimize any potential adverse effects on its financial performance, financial position and cash flows.

Risk Management objectives and policies

The Group acknowledges that taking risks is an integral part of its operations in order to achieve its business objectives. Therefore, the Group's management sets adequate mechanisms to identify those risks at an early stage and assesses their potential impact on the achievement of these objectives.

Due to the fact that economic, industry, regulatory and operating conditions will continue to change, risk management mechanisms are set (and adjusted) in a manner that enables the Group to identify and deal with the risks associated with those changes. The Bank's structure, internal procedures and existing control mechanisms ensure both the independence principle and the exercise of sufficient supervision.

The Group's Management considers effective risk management as a top priority, as well as a major competitive advantage, for the organization. As such, the Group has allocated significant resources for upgrading its policies, methods and infrastructure, in order to ensure compliance with the requirements of the European Central Bank (ECB), the guidelines of the European Banking Authority (EBA) and of the Basel Committee for Banking Supervision and with the best international banking practices. The Group implements a well-structured credit approval process, independent credit reviews and effective risk management policies for credit, market, liquidity and operational risk, both in Greece and in each country of its international operations. The risk management policies implemented by the Bank and its subsidiaries are reviewed annually.

The Group Risk and Capital Strategy, which has been formally documented, outlines the Group's overall direction regarding risk and capital management issues, including the risk management mission and objectives, risk definitions, risk management principles, risk appetite framework, risk governance framework, strategic objectives and key management initiatives. In addition, the Risk and Capital Strategy is aiming to establish an operational link between the Group's business strategy and its risk appetite.

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The maximum amount of risk which the Group is willing to assume in the pursuit of its strategic objectives is articulated via a set of quantitative and qualitative statements for specific risk types, including specific tolerance levels as described in the Group's Risk Appetite Framework. The objectives are to support the Group's business growth, balance a strong capital position with higher returns on equity through greater leverage, and to ensure the Group's adherence to regulatory requirements.

Board Risk Committee (BRC)

The BRC assists the Board of Directors in risk management issues. It monitors the issues that relate to credit and operational risks, in terms of quality and quantity, as well as market and liquidity risks. The BRC ensures that:

- The risk management strategy and the risk appetite have been defined in line with the Group's business and restructuring plan.
- The risk management framework of the Group is appropriate and integrated in the Group's decision-making process. The Committee also defines the risk management principles.
- Suitable methods, tools, models and data sources are in place, as well as competent staff who is able to identify, assess, monitor and mitigate risks.

In addition, the BRC monitors and assesses:

- The risk profile of the Group and the efficiency of the risk management policies it implements.
- The stress tests implementation, for all major Group risks at least on an annual basis.
- The compliance with the approved risk tolerance levels, the appropriateness of risk limits and the adequacy of provisions, as well as capital adequacy, in relation to the risks undertaken by the Group.

The BRC updates the Board of Directors on risk management issues and recommends to the Board of Directors the future risk management strategy. It consists of five non-executive directors, meets at least on a monthly basis and reports to the BoD on a quarterly basis and on ad hoc instances.

Management Risk Committee

Management Risk Committee (MRC) is a management committee established by the CEO in 2016. It operates as a consulting committee to the BRC.

The main responsibility of the MRC is to oversee the risk management framework of the Group. As part of its responsibility, the MRC facilitates reporting to the Board Risk Committee on the range of risk-related topics under its purview. The MRC ensures that material risks are identified and promptly escalated to the BRC and that the necessary policies and procedures are in place to prudently manage risks and to comply with regulatory requirements. Additionally, the MRC determines appropriate management actions which are discussed and presented to the Executive Board ('EXBO') for information and submitted to BRC for approval.

Group Risk Management General Division

The Group's Risk Management General Division that is headed by the Group Chief Risk Officer (GCRO) operates independently from the business units and is responsible for the monitoring, measurement and management of credit risk, market risk, liquidity and operational risks. It comprises the Credit Sector, the International Credit Sector, the Group Market and Counterparty Risk Sector (GMCRS), the Group Credit Control Sector (GCCS), the Capital Adequacy Control (Credit Risk) and Regulatory Framework Sector, the Group Operational Risk Sector and the SSM office (dual reporting also to Group CFO).

Non-Performing Exposures (NPEs) management

Following the Bank of Greece (BoG) Executive Committee's Act No.42/30.05.2014 as amended by Act No.47/9.2.2015 and Act No. 102/30.08.2016 that details the supervisory directives for the administration of exposures in arrears and non-performing loans, the Bank has proceeded with a number of initiatives to adopt the regulatory requirements and empower the management of troubled assets. In particular, the Bank transformed its troubled assets operating model into a vertical organizational structure through the establishment of the Troubled Assets Committee (TAC) and Troubled Assets Group General Division (TAG).

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Troubled Assets Committee (TAC)

The TAC with a direct reporting line to the BRC oversees and monitors the Group's troubled assets' management. In particular, the main competencies that have been delegated to TAC relate to the monitoring of loans in arrears and the management of non-performing loans, the determination and implementation of the troubled assets' management strategy, as well as approving and assessing the sustainability of the forbearance and closure procedure measures.

Troubled Assets Group General Division (TAG)

The TAG, which has been established as an independent body, is headed by the Deputy Chief Executive Officer and Executive member of the BoD and is the overall responsible body for the management of the Group's troubled assets portfolio, including forborne loans, for the whole process, from the pre-delinquency status in case of high risk exposures up to legal workout. It ensures close monitoring, tight control and course adjustment taking into account the continuous developments in the macro environment, the regulatory and legal requirements, the international best practices and new or evolved internal requirements.

TAG comprises the Retail Remedial General Division, the Corporate Special Handling Sector, the Collaterals Recovery Sector, the TAG Business Planning Sector and the TAG Risk Management and Business Policies Sector. TAG structure is completely segregated from the Bank's business units both in terms of account management, as well as credit approval process, which ensures transparency, flexibility, better prioritization and management accountability and shifts the management from bad debt minimization to bad debt value management, in line with the Group's risk appetite.

The TAG cooperates with Group Risk Management to reach a mutual understanding of the implemented practices and to develop appropriate methodologies for the assessment of risks that may be inherent in any type of forbearance and, generally, troubled assets strategy deployment for all portfolios managed. The TAG's recommendations and reports to the Board of Directors and its Committees are also submitted to the GCRO who expresses an opinion.

The key governing principles of the TAG are to:

- Preserve the clear demarcation line between business units and troubled assets management;
- Ensure direct top management involvement in troubled assets management and close monitoring of the respective portfolio;
- Deploy a sound credit workout strategy through innovative propositions that will lead to viable solutions, ensuring a consistent approach for managing troubled assets across portfolios;
- Engineer improvements in monitoring and offering targeted solutions by segmenting delinquent borrowers and tailoring the remedial and workout approach to specific segment;
- Ensure a consistent approach for managing troubled assets across portfolios;
- Prevent non performing loans formation through early intervention and clear definition of primary financial objectives of troubled assets;
- Monitor the loan delinquency statistics, as well as define targeted risk mitigating actions to ensure portfolio risk reduction;
- Target maximization of borrowers who return to current status through modifications or collections;
- Monitor losses related to troubled assets; and
- Define criteria to assess the sustainability of proposed forbearance or resolution and closure measures and design decision trees.

Operational targets for Non-Performing Exposures (NPEs)

In line with the national strategy for the reduction of NPEs, the BoG, in cooperation with the supervisory arm of the ECB, has designed an operational targets framework for NPEs management, supported by several key performance indicators. Pursuant to the said framework, the Greek banks submitted at the end of September 2016 a set of NPEs operational targets together with a detailed NPE management strategy with a 3-year time horizon, which were formed on the basis of key macroeconomic assumptions. In September 2017, the Greek banks submitted an updated set of NPEs operational targets, together with an updated NPEs management strategy, for the years 2017-2019.

In accordance with the latest relevant BoG report issued in December 2017, Greek banks have set a revised target of a 37% reduction of NPEs for the period from June 2017 up to December 2019, corresponding to a decrease by € 37.2 bn of the total NPEs stock (excluding off-balance sheet items), i.e., from € 101.8 bn in June 2017 to € 64.6 bn in end 2019. The NPEs of the sector as a percentage of total loan exposure will gradually decelerate and reach 35.2% in 2019. Specifically the Bank, as at 31 December 2017,

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has reduced the stock of NPEs by € 2.4 bn since 31 December 2016 outperforming the respective initial target submitted to SSM by € 0.7 bn.

In the above context, the Bank has developed strategic objectives and targets, together with a set of corresponding actions across client segments, and a timetable for implementation. The actions have been cascaded to a segment level for retail portfolio and to a borrower level for corporate portfolio together with corresponding targets and monitoring indicators. The Bank has developed a detailed NPE forecasting model, the results of which have been used to calibrate both the targets and the monitoring indicators. The strategy and the objectives are based on a set of assumptions regarding the macro-economic outlook and the legal and tax framework in Greece. The planned actions and initiatives are not expected to require increases in currently planned provisioning levels and additional capital requirements. The key risks for potential deviation from the targets are primarily related with the delays in the macroeconomic recovery (note 2.1).

The Bank has fully embedded the NPEs strategy into its management processes and operational plan. The supervisory authority reviews the course to meeting the operational targets on a quarterly basis and might request additional corrective measures if deemed necessary.

Legal framework

In the first months of 2017, significant legislative changes towards the reduction of NPEs include the amendment of Law 4172/2013 for lifting tax-related impediments (note 16), the voting of Law 4469/2017 for the out-of-court workout mechanism for businesses, as well as a law (Law 4472/2017) on e-auctions and on the regulation of the Bank Executives' legal responsibilities for NPEs workouts.

7.2.1 Credit Risk

Credit risk is the risk that a counterparty will be unable to fulfill its payment obligations in full when due.

Country risk is the risk of losses arising from economic difficulties or political unrest in a country, including the risk of losses following nationalization, expropriation and debt restructuring.

Settlement risk is the risk arising when payments are settled, for example for trades in financial instruments, including derivatives and currency transactions. The risk arises when the Group remits payments before it can ascertain that the counterparties' payments have been received.

Credit risk arises principally from the corporate and retail lending activities of the Group, including from credit enhancement provided, such as financial guarantees and letters of credit. The Group is also exposed to credit risk arising from other activities such as investments in debt securities, trading activities, capital markets and settlement activities. Taking into account that credit risk is the principal risk the Group is exposed to, it is rigorously managed and is monitored by centralized dedicated risk units, reporting to the GCRO.

(a) Credit approval process

The credit approval and credit review processes are centralized both in Greece and in the International operations. The segregation of duties ensures independence among executives responsible for the customer relationship, the approval process and the loan disbursement, as well as monitoring of the loan during its lifecycle.

Credit Committees

The credit approval process in Corporate Banking is centralized through establishment of Credit Committees with escalating Credit Approval Levels, in order to manage the corporate credit risk. Main Committees of the Bank are considered to be the following:

- Credit Committees (Central and Local) authorized to approve new financing, renewals or amendments in the existing credit limits, in accordance with their approval authority level, depending on total limit amount and customer risk category (i.e. high, medium or low), as well as the value and type of security;
- Special Handling Credit Committees authorized to approve credit requests and take actions for distressed clients;
- International Credit Committees (Regional and Country) established for credit underwriting to wholesale borrowers for the Group's international Bank subsidiaries, authorized to approve new limits, renewals or amendments to existing limits, in accordance with their approval authority level, depending on total customer exposure and customer risk category (i.e. high, medium or low), as well as the value and type of security; and

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- International Special Handling Committees established for handling distressed wholesale borrowers of the Group's international bank subsidiaries.

The Credit Committees meet on a weekly basis or more frequently, if needed.

Credit Sector

The main responsibilities of the Credit Sector of the Risk Management General Division are:

- Review and evaluation of credit requests of:
 - (a) Domestic large and medium scale corporate entities of every risk category;
 - (b) Specialized units, such as Shipping and Structured Finance; and
 - (c) Retail sector's customers (small business and individual banking) above a predetermined threshold.
- Issuance of an independent risk opinion for each credit request, which includes:
 - (a) Assessment of the customer credit profile based on the risk factors identified (market, operations, structural and financial);
 - (b) A focused sector analysis; and
 - (c) Recommendations to structure a bankable, well-secured and well-controlled transaction.
- Confirmation of the ratings of each separate borrower, to reflect the risks acknowledged;
- Participation with voting rights in all credit committees, as per the credit approval procedures (except for Special Handling Committee I-no voting rights);
- Active participation in all external/regulatory audits of the Bank;
- Preparation of specialized reports to Management on a regular basis, with regards to Top 25 biggest Borrower groups and statistics on the new approved financings;
- Safeguarding compliance of the Lending Units with specialized policies (e.g. SPPI process for the corporate portfolio, environmental and social policy); and
- Provision of specialized knowledge, expertise and support to other divisions of the Bank, in relation to operational and credit procedures, security policies, new lending products and restructuring schemes.

Credit Sector through its specialized Early Warning Unit (EWU), is also responsible to assess the wholesale portfolio and detect distress signals for specific borrowers. EWS has developed a multi-criterion delinquency application that is operating in parallel to the Bank's rating systems and targets to identify those borrowers whose financial performance may deteriorate significantly in the future and for whom the Bank should take actions for close monitoring and effective management.

Retail Banking approval process

The approval process for loans to small businesses (turnover up to € 5 million) is centralized following specific guidelines for eligible collaterals as well as the 'four-eyes' principle. The assessment is based on an analysis of the borrower's financial position and statistical scorecards.

The credit approval process for Individual Banking (consumer and mortgage loans) is also centralized. It is based on specialized credit scoring models and credit criteria taking into account the payment behavior, personal wealth and financial position of the borrowers, including the existence of real estate property, the type and quality of securities and other factors as well. The ongoing monitoring of the portfolio quality and of any other deviations that may arise, leads to an immediate adjustment of the credit policy and procedures, when deemed necessary.

International Credit Sector

The International Credit Sector (ICS) is responsible to actively participate in the design, implementation and review of the credit underwriting function for the wholesale portfolio of the International Subsidiaries. Moreover, ICS advises and supports Risk Divisions of the International Subsidiaries.

In this context, ICS is responsible for the implementation, among others, of the below activities:

- Participation with voting right in all International Committees (Regional, Country and Special Handling) and Chairmanship in Country Risk Committees (CRCs);

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- Participation in the sessions of Monitoring Committees which monitor and decide on the strategy of problematic corporate relationships with loan outstanding exceeding a certain threshold, that is jointly set by ICS and Country TAG;
- Advice on best practices to the Credit Risk Units of international subsidiaries and implementation of Group's credit related special projects; and
- In cooperation with Group Credit Control Sector (GCCS), it conducts reviews of loan quality and specific loan segments (e.g. Real Estate portfolios and agribusiness).

(b) Credit risk monitoring

Group Credit Control Sector

The Group Credit Control Sector (GCCS) monitors and assesses the quality of all of the Group's loan portfolios and operates independently from the business units of the Bank. The GCCS reports directly to the GCRO.

The main responsibilities of the GCCS are to:

- monitor and review the performance of all of the Group's loan portfolios;
- conduct field reviews and prepare written reports to the Management on the quality of all of the Group's loan portfolios and adherence with EBA prevailing regulations;
- supervise and control the foreign subsidiaries' credit risk management units;
- supervise, support and maintain the Moody's Risk Advisor (MRA) used to assign ratings to wholesale lending customers;
- develop, supervise and support the Transactional Rating (TR) application used to measure the overall risk of wholesale credit relationships, taking into account both the creditworthiness of the borrower and required collaterals;
- monitor on a regular basis and report on a quarterly basis to the Board of Directors and the BRC of risk exposures, along with accompanying analyses;
- formulate the provisioning policy and regularly monitor the adequacy of provisions of all of the Group's loan portfolios;
- participate in the approval of new credit policies and new loan products;
- participate in the Troubled Asset Committee; and
- attend meetings of Credit Committees and Special Handling Committees, without voting right.

Capital Adequacy Control (Credit Risk) and Regulatory Framework Sector

The main responsibilities of the Capital Adequacy Control (Credit Risk) and Regulatory Framework Sector are to implement and maintain the Internal Ratings Based (IRB) approach in accordance with the Basel framework and the Capital Requirements Directive (CRD), for the loans portfolio of the Group, to measure and monitor the loan portfolios' capital requirements, and to manage credit risk regulatory related issues, such as Asset Quality Reviews (AQR) and stress tests. The Sector reports to the GCRO.

The main activities of the Capital Adequacy Control (Credit Risk) and Regulatory Framework Sector are to:

- manage the external Asset Quality Reviews (Bank of Greece, ECB);
- implement the IRB roll-out plan of the Group;
- manage the models implementation activities and validation of the IRB models of Probability of Default (PD), Loss Given Default (LGD) and Exposure at Default (EAD) for evaluating credit risk;
- measure, monitor and backtest the risk parameters (PD, LGD, EAD) for the purposes of capital adequacy calculations, as well as, for provisioning purposes;
- prepare monthly capital adequacy calculations (Pillar 1) and relevant management, as well as, regulatory reports (COREPs, SREP) on a quarterly basis;
- perform stress tests, both internal and external (EBA/SSM), and to maintain the credit risk stress testing infrastructure;
- manage the implementation/ validation of the forecasting models linking macroeconomic factors of credit quality (PD, LGD) for the loan portfolios of the Group;
- prepare the credit risk analyses for Internal Capital Adequacy Assessment (ICAAP)/ Pillar 2 purposes;
- prepare the Basel Pillar 3 disclosures for credit risk;

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- participate in the preparation of the business plan, the restructuring plan and the recovery plan of the Group in relation to asset quality and capital requirements for the loan book (projected impairments and RWAs), as well as participate in the relevant committees;
- support the business units in the use of IRB models in business decisions and the development and usage of risk related metrics such as Risk Adjusted Return on Capital (RAROC) etc.;
- monitor the regulatory framework in relation to the above, to perform impact assessment, to initiate and manage relevant projects;
- regularly report to the GCRO, to the Management Risk Committee and to the Board Risk Committee on the following topics: risk models performance, risk parameters (PD, LGD, EAD), updates on regulatory changes and impact assessment, stress testing and asset quality reviews;
- provide risk related parameters (forecast 12-m PD, forecast lifetime PD, forecast EAD) in the context of IFRS 9 implementation;
- provide risk data and use of IRB models to support the Funding strategy of the Group;
- support the Strategy Division of the Group to assess the capital impact of strategic projects relating to the loans portfolio of the Group;
- develop and maintain the IRB IT and Data management infrastructure (Basel data warehouse, Risk scoring engine, Capital adequacy Reporting Tool); and
- guide, monitor and supervise the Basel/Capital Adequacy (Credit Risk) divisions of Romania and Bulgaria on modeling, credit stress testing and other credit risk related regulatory issues.

The Group's international subsidiaries in Bulgaria, Romania, Serbia, Cyprus and Luxembourg apply the same credit risk management structure and control procedures as the Bank and report directly to the GCRO. Risk management policies and processes are approved and monitored by the credit risk divisions of the Bank ensuring that the Group guidelines are in place and credit risk strategy is uniformly applied across the Group.

Furthermore, information on credit risk monitoring of troubled assets is also provided in the section of Non-Performing Exposures (NPEs) management.

Group Market and Counterparty Risk Sector

The Group Market and Counterparty Risk Sector (GMCRS) is responsible for the measurement, monitoring and reporting of the Group's exposure to counterparty risk, which is the risk of loss due to the customer's failure to meet its contractual obligations in the context of treasury activities, such as securities, derivatives, repos, reverse repos, interbank placings, etc.

The Group sets limits on the level of counterparty risk (see also below 7.2.1 (f) credit risk mitigation) that may be undertaken based mainly on the counterparty's credit rating, as provided by international rating agencies, and the product type (e.g. control limits on net open derivative positions by both amount and term, sovereign bonds exposure, asset backed securities). The utilization of the abovementioned limits, any excess of them, as well as the aggregate exposure per Group's entity, counterparty and product type are monitored by GMCRS on a daily basis. Risk mitigation contracts are taken into account for the calculation of the final exposure.

In case of uncollateralized derivative transactions, the Group measures the current exposure along with the potential future exposure (PFE) using financial models. The combined exposure is used for the monitoring of limit utilization.

The GMCRS's exposure measurement and reporting tool is also available to the Group's subsidiaries treasury divisions, thus providing them with the ability to monitor each counterparty's exposure and the limit availability.

(c) Credit related commitments

The primary purpose of credit related commitments is to ensure that funds are available to a customer as agreed. Guarantees and standby letters of credit carry the same credit risk as loans since they represent irrevocable assurances that the Group will make payments in the event that a customer cannot meet its obligations to third parties. Documentary and commercial letters of credit, which are written undertakings by the Group on behalf of a customer authorizing a third party to draw drafts on the Group up to a stipulated amount under specific terms and conditions, are secured by the underlying shipment of goods to which they relate and therefore carry less risk than a loan. Commitments to extend credit represent contractual commitments to extend credit in the form of loans, guarantees or letters of credit for which the Group usually receives a commitment fee. Such commitments are irrevocable over the life of the facility or revocable only in response to a material adverse effect.

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(d) Concentration risk

The Group structures the levels of credit risk it undertakes by placing exposure limits by borrower, or groups of borrowers, and by industry segments. The exposure to each borrower is further restricted by sub-limits covering on and off-balance sheet exposures, and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts.

Such risks are monitored on a revolving basis and are subject to an annual or more frequent review. Risk concentrations are monitored regularly and reported to the BRC. Such reports include the 25 largest exposures, major watch list and problematic customers, industry analysis, analysis by rating/risk class, by delinquency bucket, and loan portfolios by country.

(e) Rating systems

Rating of wholesale lending exposures

The Bank has decided upon the differentiation of rating models for wholesale lending activities, in order to reflect appropriately the risks arising from customers with different characteristics. Hence, rating models are employed for a number of general as well as specific segments:

- traditional corporate lending: Moody's Risk Advisor (MRA); Internal Credit Rating (ICR) for those customers that cannot be rated by MRA; and
- specialized lending (shipping, real estate and project finance): slotting methodology.

The MRA aggregates quantitative and qualitative information of individual obligors in order to assess their creditworthiness and determine their credit rating. In particular, it takes into account the entity's financial performance and cash flows, the industry sector's trends, the peers' performance, a qualitative assessment of the entity's management, the entity's status, the market's and industry's structural factors. The MRA is used for the assessment of all legal entities with full accountancy tax books irrespective of their legal form, and is calibrated on the Greek corporate environment.

Certain types of entities cannot be analyzed with the MRA due to the special characteristics of their financial statements, such as insurance companies, state-owned organizations, brokerage firms, and start-ups. In such cases, the ICR is applied, which similarly to MRA, combines quantitative and qualitative assessment criteria, such as the entity's size, years in business, credit history, industry sector.

In addition, the Bank performs an overall assessment of corporate customers, based both on their rating (MRA or ICR) and the collaterals and guarantees referred to the respective approved credit relationship, using a 14-grade rating scale. Credit exposures are subject to detailed reviews by the appropriate Credit Committee based on the respective transactional rating (TR). Low risk corporate customers are reviewed at least once a year, whereas higher risk customers are reviewed either on a semi-annual or a quarterly basis. All high risk corporate customers with exposures over € 5 million are reviewed by the Special Watch List Committee periodically or upon occurrence of significant events.

For specialized lending portfolios, i.e. when the primary source of repayment of the obligation is the income generated by the asset(s), rather than the independent capacity of the commercial enterprise, the Bank utilizes the slotting method by adapting and refining the Capital Requirements Directive's criteria to the Bank's risk practices. Customers falling in the specialized lending category (shipping, real estate and project finance) are classified into five categories: strong, good, satisfactory, weak and default.

The rating systems described above are an integral part of the wholesale banking decision-making and risk management processes:

- the credit approval process, both at the origination and review process;
- the calculation of Economic Value Added (EVA) and risk-adjusted pricing; and
- the quality assessment of issuers of cheques prior to their pledge as collateral.

Rating of retail lending exposures

The Bank assigns credit scores to its retail customers using a number of statistically-based models both at the origination and on ongoing basis through behavioral scorecards. These models have been developed to predict, on the basis of available information, the probability of default, the loss given default and the exposure at default. They cover the entire spectrum of retail products (credit cards, consumer lending, unsecured revolving credits, car loans, personal loans, mortgages and small business loans).

The models were developed based on the Bank's historical data and credit bureau data. Behavioral scorecards are calculated automatically on a monthly basis, thus ensuring that the credit risk assessment is up to date.

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The models are applied in the credit approval process, the credit limits management, as well as the collection process for the prioritization of the accounts in terms of handling. Furthermore, the models are often used for the risk segmentation of the customers and the risk based pricing of particular segments or new products introduced as well as in the calculation of the Economic Value Added (EVA) and Risk Adjusted Return On Capital (RaRoC) measures.

The rating systems employed by the Bank meets the requirements of the Basel III-Internal Ratings Based (IRB) approach. The Bank is IRB certified since 2008 for the Greek portfolios, both wholesale and retail (as detailed in Basel III, Pillar 3 disclosures available at the Bank's website).

The Capital Adequacy Control (Credit Risk) and Regulatory Framework Sector monitors the capacity of rating models and scoring systems to classify customers according to risk, as well as to predict the probability of default and loss given default and exposure at default. The Bank's validation policy follows a procedure that complies with international best practices and regulatory requirements. The Bank verifies the validity of the rating models and scoring systems on an annual basis and the validation includes both quantitative and qualitative aspects. The validation procedures are documented, and regularly reviewed and reported to the BRC. The Group's Internal Audit Division also independently reviews the validation process annually.

(f) Credit risk mitigation

A key component of the Group's business strategy is to reduce risk by utilizing various risk mitigating techniques. The most important risk mitigating means are collaterals' pledges, guarantees and master netting arrangements.

Types of collateral commonly accepted by the Group

The Group has internal policies in place which set out the following types of collateral that are usually accepted in a credit relationship:

- residential real estate, commercial real estate (offices, shopping malls, etc.), industrial buildings and land;
- receivables (trade debtors) and post dated cheques;
- securities, including listed shares and bonds;
- deposits;
- guarantees and letters of support;
- insurance policies; and
- equipment, mainly, vehicles and vessels.

A specific coverage ratio is pre-requisite, upon the credit relationship's approval and on ongoing basis, for each collateral type, as specified in the Group's credit policy.

For exposures, other than loans to customers (i.e. reverse repos, derivatives), the Group accepts as collateral only cash or liquid bonds.

Valuation principles of collaterals

In defining the maximum collateral ratio for loans, the Group considers all relevant information available, including the collaterals' specific characteristics, if market participants would take those into account when pricing the relevant assets. The valuation and hence eligibility is based on the following factors:

- the collateral's fair value, i.e. the exit price that would be received to sell the asset in an orderly transaction under current market conditions;
- the fair value reflects market participants' ability to generate economic benefits by using the asset in its highest and best use or by selling it;
- a reduction in the collateral's value is considered if the type, location or condition (such as deterioration and obsolescence) of the asset indicate so; and
- no collateral value is assigned if a pledge is not legally enforceable.

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The Group follows the rules set according to the Collateral Valuation Policy, approved by the BRC. With the exception of special cases (e.g. syndicated loans), the real estate collaterals of all units are valued by Eurobank Property Services S.A. (EPS), a subsidiary of the Bank, which reports to the General Manager of Global Markets, Wealth Management and Group Real Estate Asset Management. Eurobank Property Services S.A. is regulated by the Royal Institute of Chartered Surveyors and employs internal or external qualified appraisers based on predefined criteria (qualifications and expertise). All appraisals take into account factors such as the region, age and marketability of the property, and are further reviewed and countersigned by experienced staff. The valuation methodology employed is based on International Valuation Standards (IVS), while quality controls are in place, such as reviewing mechanisms, independent sample reviews by independent well established valuation companies.

In 2006, the Bank initiated a project in collaboration with other major banks in Greece to develop a real estate property index for residential properties. The methodology, which was developed by an independent specialized statistical company, has been approved by the Bank of Greece, and its use enables a dynamic monitoring of residential properties' values and market trends, on an annual basis.

For commercial real estates, re-valuations are performed by qualified property valuers within a time horizon of two or three years. More frequent revaluations as appropriate, (on site/ desktop/ index based), are performed on an annual basis depending on the materiality level of the credit exposure and the classification of the borrower (risk category).

To ensure the quality of the post-dated cheques accepted as collateral, the Bank has developed a pre-screening system, which takes into account a number of criteria and risk parameters, so as to evaluate their eligibility. Furthermore, the post-dated cheques' valuation is monitored weekly through the use of advanced statistical reports and monthly through the review of detailed information regarding the recoverability of cheques, referrals and bounced cheques, per issuer broken down.

Collateral policy and documentation

Regarding collaterals, Group's policy emphasizes the need that collaterals and relevant processes are timely and prudently executed, in order to ensure that collaterals and relevant documentation are legally enforceable at any time. The Group holds the right to liquidate collateral in the event of the obligor's financial distress and can claim and control cash proceeds from the liquidation process.

Guarantees

The guarantees used as credit risk mitigation by the Group are largely issued by central and regional governments in the countries in which it operates. The National Fund for Entrepreneurship and Development (ETEAN SA) and similar funds, banks and insurance companies are also important guarantors of credit risk.

Management of repossessed properties

The objective of the repossessed assets' management is to minimize the time cycle of the asset's disposal and to maximize the recovery of the capital engaged.

To this end, the management of repossessed assets aims at improving rental and other income from the exploitation of such assets, and at the same time reducing the respective holding and maintenance costs. Additionally, the Group is actively engaged in identifying suitable potential buyers for its portfolio of repossessed assets (including specialized funds involved in acquiring specific portfolios of properties repossessed), both in Greece and abroad, in order to reduce its stock of properties with a time horizon of 3-5 years.

Repossessed assets are closely monitored based on technical and legal due diligence reports, so that their market value is accurately reported and updated in accordance with market trends.

Counterparty risk

The Group mitigates counterparty risk arising from treasury activities by entering into master netting arrangements and similar agreements, as well as collateral agreements with counterparties with which it undertakes a significant volume of transactions. Master netting arrangements do not generally result in the offset of balance sheet assets and liabilities, as the transactions are usually settled on a gross basis. However, the respective credit risk is reduced through a master netting agreement to the extent that if an event of default occurs, all amounts with the counterparty are terminated and settled on a net basis.

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In the case of derivatives, the Group makes use of International Swaps and Derivatives Association (ISDA) contracts, which limit the exposure via the application of netting, and Credit Support Annex (CSAs), which further reduce the total exposure with the counterparty. Under these agreements, the total exposure with the counterparty is calculated on a daily basis taking into account any netting arrangements and collaterals.

The same process is applied in the case of repo transactions where standard Global Master Repurchase Agreements (GMRAs) are used. The exposure (the net difference between repo cash and the market value of the securities) is calculated on a daily basis and collateral is transferred between the counterparties thus minimizing the exposure.

Following the European Market Infrastructure Regulation (EMIR), the Bank initiated centrally cleared transactions for eligible derivative contracts through an EU authorized European central counterparty (CCP), recorded in trade repositories. The use of CCP increases market transparency and reduces counterparty credit and operational risks inherent in derivatives markets.

The Bank uses a comprehensive collateral management system for the monitoring of ISDA, CSAs and GMRAs, i.e. the daily valuation of the derivatives and the market value of the securities are used for the calculation of each counterparty's exposure. The collateral which should be posted or requested by the relevant counterparty is calculated daily.

With this system, the Bank monitors and controls the collateral flow in case of derivatives and repos, independently of the counterparty. The effect of any market movement that increases the Bank's exposure is reported and the Bank proceeds to collateral call without delay.

7.2.1.1 Maximum exposure to credit risk before collateral held

	2017 € million	2016 € million
Credit risk exposures relating to on-balance sheet assets are as follows:		
Due from credit institutions	2,123	2,759
Financial instruments at fair value through profit or loss:		
- Debt securities	20	59
Derivative financial instruments	1,878	1,980
Loans and advances to customers:		
- Wholesale lending	18,351	19,335
- Mortgage lending	16,667	17,844
- Consumer lending	5,251	6,328
- Small business lending	6,973	7,149
Less: Impairment allowance	(10,134)	(11,598)
Investment securities:		
- Debt securities (restated, note 52)	7,519	12,375
Other assets	1,349	1,445
Credit risk exposures relating to off-balance sheet items (note 47)	1,494	1,478
Total	51,491	59,154

The above table represents the Group's maximum credit risk exposure as at 31 December 2017 and 31 December 2016 respectively, without taking account of any collateral held or other credit enhancements that do not qualify for offset in the Group's financial statements.

For on-balance sheet assets, the exposures set out above are based on the net carrying amounts as reported in the balance sheet. Off-balance sheet items mentioned above include letters of guarantee, standby letters of credit, commitments to extend credit and documentary credits.

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7.2.1.2 Loans and advances to customers

The section below provides a detailed overview of the Group's exposure to credit risk arising from its customer lending portfolios in line with the guidelines set by the Hellenic Capital Markets Commission and the Bank of Greece (BoG) released on 30 September 2013. In addition, the types of the Group's forbearance programs are in line with the BoG's Executive Committee Act 102/30.08.2016.

(a) Credit quality of loans and advances to customers

Loans and advances to customers are classified as 'neither past due nor impaired', 'past due but not impaired' and 'impaired'.

Loans reported as 'neither past due nor impaired' include loans with no contractual payments in arrears and no other indications of impairment.

'Past due but not impaired' category includes loans with contractual payments overdue by at least one day but which are not impaired unless specific information indicates to the contrary. For retail exposures, this is typically when loans are in arrears less than 90 days while for wholesale exposures both the delinquency status and the internal rating, which reflects the borrower's overall financial condition and outlook, are assessed.

For loans in the above categories, although not considered impaired, the Group recognizes a collective impairment loss (as set out in note 2.2.12 'Impairment of financial assets').

'Impaired' loans that are individually assessed include all wholesale exposures as well as small business and mortgage loans which carry an individual impairment allowance. The rest of retail exposures are considered impaired when they are in arrears for more than 90 days or earlier in case there is an objective evidence of impairment and carry a collective impairment allowance. Furthermore, impaired retail loans under forbearance measures may include loans in arrears less than 90 days.

The evidence considered by the Group in determining whether there is objective evidence of impairment is set out in note 2.2.12.

'Default exposures', in line with the regulatory definition of default as adopted by the Group, include material exposures that are past due more than 90 days, exposures that are assessed by Group as unlikely to pay as well as those that are assessed for impairment individually and carry an individual impairment allowance. As at 31 December 2017, the Group's default exposures amounted to € 18,516 million (2016: € 20,906 million).

'Non-performing exposures' as currently monitored and reported by the Group, in line with the guidelines set by the European Banking Authority (EBA Implementing Technical Standards), include material exposures that are in arrears for more than 90 days or assessed as unlikely to pay, impaired exposures under individual or collective impairment assessment, exposures categorized as defaulted for regulatory purposes, as well as forborne non performing exposures. As at 31 December 2017, the Group's non performing exposures relating to continuing operations amounted to € 20,105 million (31 December 2016: € 22,888 million, of which € 258 million relating to Romanian subsidiaries classified as held for sale, note 17). Correspondingly, 'Performing exposures' include exposures without arrears, those that are less than 90 days past due or are not assessed as unlikely to pay, non-impaired and non-defaulted exposures. As at 31 December 2017, the Group's performing exposures relating to continuing operations amounted to € 27,137 million (2016: € 27,768 million, of which € 1,203 million relating to Romanian subsidiaries classified as held for sale, note 17).

'Unlikely to pay' category refers to exposures where a borrower's ability to repay his credit obligations in full without realization of collateral is assessed as unlikely, regardless the existence of any past due amounts or the number of days past due.

The following tables present the total gross amount, representing the maximum exposure to credit risk gross of impairment allowance, of loans and advances that are classified as non-impaired (i.e. 'neither past due nor impaired' and 'past due but not impaired') and those classified as impaired. They also present the total impairment allowance recognized in respect of all loans and advances, analyzed into individually or collectively assessed, based on how the respective impairment allowance has been determined, the total net amount, as well as the value of collateral held to mitigate credit risk.

For credit risk management purposes, the Public Sector, which includes exposures to the central government, local authorities, state-linked companies and entities controlled and fully or partially owned by the state, is incorporated in wholesale lending.

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In addition, the value of collateral presented in the tables below is capped to the respective gross loan amount. Comparative information includes the balances of the Romanian disposal group (note 17).

	31 December 2017									
	Non impaired		Impaired		Impairment allowance				Total net amount € million	Value of collateral € million
	Neither past		Individually assessed € million	Collectively assessed € million	Total gross amount € million	Individually assessed € million	Collectively assessed € million			
	due nor impaired € million	Past due but not impaired € million								
Retail Lending	12,573	2,850	374	13,094	28,891	(171)	(6,292)	22,428	17,217	
- Mortgage	8,353	1,858	161	6,295	16,667	(87)	(2,231)	14,349	13,071	
- Consumer	1,447	316	2	2,048	3,813	(1)	(1,633)	2,179	184	
- Credit card	770	55	0	613	1,438	(0)	(442)	996	34	
- Small business	2,003	621	211	4,138	6,973	(83)	(1,986)	4,904	3,928	
Wholesale Lending	9,988	1,065	6,627	8	17,688	(3,461)	(200)	14,027	10,394	
- Large corporate	7,279	870	2,830	3	10,982	(1,576)	(101)	9,305	6,720	
- SMEs	2,709	195	3,797	5	6,706	(1,885)	(99)	4,722	3,674	
Public Sector	662	0	1	-	663	(1)	(9)	653	4	
- Greece	660	0	1	-	661	(1)	(9)	651	4	
- Other countries	2	0	-	-	2	-	-	2	-	
Total	23,223	3,915	7,002	13,102	47,242	(3,633)	(6,501)	37,108	27,615	

	31 December 2016									
	Non impaired		Impaired		Impairment allowance				Total net amount € million	Value of collateral € million
	Neither past		Individually assessed € million	Collectively assessed € million	Total gross amount € million	Individually assessed € million	Collectively assessed € million			
	due nor impaired € million	Past due but not impaired € million								
Retail Lending	13,545	2,801	521	14,454	31,321	(194)	(6,895)	24,232	18,399	
- Mortgage	9,172	1,913	330	6,429	17,844	(122)	(2,150)	15,572	14,029	
- Consumer	1,596	339	2	2,740	4,677	(1)	(2,195)	2,481	176	
- Credit card	847	63	0	741	1,651	(0)	(536)	1,115	32	
- Small business	1,930	486	189	4,544	7,149	(71)	(2,014)	5,064	4,162	
Wholesale Lending	9,758	1,010	7,908	1	18,677	(4,354)	(146)	14,177	10,555	
- Large corporate	7,095	681	3,258	-	11,034	(1,936)	(75)	9,023	6,330	
- SMEs	2,663	329	4,650	1	7,643	(2,418)	(71)	5,154	4,225	
Public Sector	655	2	1	-	658	(1)	(8)	649	4	
- Greece	634	0	1	-	635	(1)	(8)	626	4	
- Other countries	21	2	-	-	23	-	-	23	-	
Total	23,958	3,813	8,430	14,455	50,656	(4,549)	(7,049)	39,058	28,958	

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Loans and advances neither past due nor impaired

The Group's internal rating systems monitor individually significant exposures based on a variety of quantitative and qualitative factors. For exposures classified as neither past due nor impaired, loans to wholesale customers are segregated into strong, satisfactory and watch list categories, while small business and mortgage loans that are assessed individually are generally segregated into satisfactory and watch list. The rest of the retail exposures that are not assessed individually, the credit quality of which is not rated but is based on their delinquency status, are classified as satisfactory.

The following tables present the risk classification of loans and advances that are neither past due nor impaired:

31 December 2017					
	Strong € million	Satisfactory (risk) € million	Watch list (higher risk) € million	Total neither past due nor impaired € million	Value of collateral € million
Retail Lending	32	12,541	-	12,573	8,643
- Mortgage	-	8,353	-	8,353	7,211
- Consumer	-	1,447	-	1,447	52
- Credit card	-	770	-	770	0
- Small business	32	1,971	-	2,003	1,380
Wholesale Lending	6,652	2,966	370	9,988	6,543
- Large corporate	4,947	2,158	174	7,279	4,771
- SMEs	1,705	808	196	2,709	1,772
Public Sector	280	382	-	662	4
- Greece	280	380	-	660	4
- Other countries	-	2	-	2	-
Total	6,964	15,889	370	23,223	15,190

31 December 2016					
	Strong € million	Satisfactory (risk) € million	Watch list (higher risk) € million	Total neither past due nor impaired € million	Value of collateral € million
Retail Lending	40	13,505	-	13,545	9,420
- Mortgage	-	9,172	-	9,172	8,012
- Consumer	-	1,596	-	1,596	52
- Credit card	-	847	-	847	1
- Small business	40	1,890	-	1,930	1,355
Wholesale Lending	6,146	3,300	312	9,758	6,370
- Large corporate	4,602	2,299	194	7,095	4,546
- SMEs	1,544	1,001	118	2,663	1,824
Public Sector	511	144	-	655	4
- Greece	511	123	-	634	4
- Other countries	0	21	-	21	-
Total	6,697	16,949	312	23,958	15,794

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Loans and advances past due but not impaired

The following tables present the ageing analysis of past due but not impaired loans and advances by product line at their gross amounts before any impairment allowance:

31 December 2017									
Retail lending				Wholesale lending		Public sector		Total past due but not impaired € million	
Mortgage € million	Consumer € million	Credit card € million	Small business € million	Large corporate € million	SMEs € million	Greece € million	Other countries € million		
up to 29 days	1,479	270	40	502	705	134	0	-	3,130
30 to 59 days	269	32	10	74	60	29	-	-	474
60 to 89 days	110	14	5	45	105	32	-	0	311
Total	1,858	316	55	621	870	195	0	0	3,915
Value of collateral	1,517	2	-	395	593	155	-	-	2,662

31 December 2016									
Retail lending				Wholesale lending		Public sector		Total past due but not impaired € million	
Mortgage € million	Consumer € million	Credit card € million	Small business € million	Large corporate € million	SMEs € million	Greece € million	Other countries € million		
up to 29 days	1,520	277	45	351	472	152	0	2	2,819
30 to 59 days	288	46	12	77	57	111	-	-	591
60 to 89 days	105	16	6	58	152	66	-	0	403
Total	1,913	339	63	486	681	329	0	2	3,813
Value of collateral	1,533	3	0	308	332	230	-	-	2,406

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Impaired loans and advances

The following tables present the movement of impaired loans and advances by product line:

	31 December 2017							
	Retail lending				Wholesale lending		Public sector	
	Mortgage € million	Consumer € million	Credit card € million	Small business € million	Large corporate € million	SMEs € million	Greece € million	Other countries € million
Balance at 31 December 2016	6,759	2,742	741	4,733	3,258	4,651	1	-
Transfers among product lines	0	0	(0)	(0)	203	(203)	-	-
Balance at 1 January	6,759	2,742	741	4,733	3,461	4,448	1	-
Transferred to discontinued operations	(106)	(10)	(6)	(81)	(17)	(37)	-	-
Impaired exposures for the year	694	145	24	310	188	126	-	-
Transferred to non-impaired	(738)	(140)	(16)	(563)	(211)	(104)	-	-
Repayments	(114)	(64)	(15)	(63)	(142)	(134)	-	-
Amounts written off	(59)	(122)	(64)	(34)	(391)	(453)	-	-
Disposals	(0)	(546)	(62)	(0)	(6)	(16)	-	-
Foreign exchange differences and other movements	20	45	11	47	(49)	(28)	0	-
Balance at 31 December	6,456	2,050	613	4,349	2,833	3,802	1	-
Cumulative impairment allowance	(2,166)	(1,536)	(426)	(2,015)	(1,576)	(1,886)	(1)	-
Net balance at 31 December	4,290	514	187	2,334	1,257	1,916	0	-

	31 December 2016							
	Retail lending				Wholesale lending		Public sector	
	Mortgage € million	Consumer € million	Credit card € million	Small business € million	Large corporate € million	SMEs € million	Greece € million	Other countries € million
Balance at 31 December 2015	5,816	2,777	828	4,651	5,429	2,913	1	-
Transfers among product lines	-	(0)	-	0	(1,947)	1,947	(0)	-
Balance at 1 January	5,816	2,777	828	4,651	3,482	4,860	1	-
Impaired exposures for the year	1,333	306	26	477	298	167	0	-
Impaired exposures arising from acquisitions	23	4	0	3	7	4	-	-
Transferred to non-impaired	(394)	(154)	(38)	(316)	(184)	(75)	(0)	-
Repayments	(48)	(28)	(4)	(88)	(90)	(100)	(0)	-
Amounts written off	(29)	(5)	(1)	(27)	(118)	(219)	-	-
Disposals	-	(157)	(79)	(0)	(150)	(3)	-	-
Foreign exchange differences and other movements	58	(1)	9	33	13	17	0	-
Balance at 31 December	6,759	2,742	741	4,733	3,258	4,651	1	-
Cumulative impairment allowance	(2,105)	(2,097)	(515)	(2,041)	(1,926)	(2,418)	(1)	-
Net balance at 31 December	4,654	645	226	2,692	1,332	2,233	0	-

Note: For 2016, the disposals have been adjusted to include gross balances of loans and advances (before impairment). The amounts written off have equally decreased.

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The following tables present the ageing analysis of impaired loans and advances by product line at their amounts net of any impairment allowance, as well as the value of collaterals held to mitigate credit risk.

For legally denounced loans, the Group ceases to monitor the delinquency status and therefore the respective balances have been included in the 'over 360 days' time band, with the exception of consumer exposures which continue to be monitored up to 360 days past due.

	31 December 2017							
	Retail lending			Wholesale lending			Public sector	
	Mortgage	Consumer	Credit card	Small business	Large corporate	SMEs	Greece	Other countries
	€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million
up to 29 days	826	104	8	378	740	348	-	-
30 to 59 days	193	21	1	60	4	20	-	-
60 to 89 days	148	9	0	82	83	67	-	-
90 to 179 days	245	19	5	91	46	83	-	-
180 to 360 days	213	18	4	100	40	67	-	-
more than 360 days	2,665	343	169	1,623	344	1,331	0	-
Total	4,290	514	187	2,334	1,257	1,916	0	-
Value of collateral	4,343	130	34	2,153	1,356	1,747	0	-

	31 December 2016							
	Retail lending			Wholesale lending			Public sector	
	Mortgage	Consumer	Credit card	Small business	Large corporate	SMEs	Greece	Other countries
	€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million
up to 29 days	1,233	173	12	691	695	559	-	-
30 to 59 days	212	33	1	83	12	38	-	-
60 to 89 days	143	7	1	86	82	91	-	-
90 to 179 days	243	21	5	107	54	43	-	-
180 to 360 days	259	20	6	107	58	56	0	-
more than 360 days	2,564	391	201	1,618	431	1,446	0	-
Total	4,654	645	226	2,692	1,332	2,233	0	-
Value of collateral	4,484	121	31	2,499	1,452	2,171	0	-

(b) Collaterals and repossessed assets

Collaterals

The Loan-to-Value (LTV) ratio of the mortgage lending reflects the gross loan exposure at the balance sheet date over the market value of the property held as collateral.

The LTV ratio of the mortgage portfolio is presented below:

	2017 € million	2016 € million
Mortgages		
Less than 50%	3,451	3,510
50%-70%	2,302	2,453
71%-80%	1,202	1,310
81%-90%	1,075	1,168
91%-100%	965	1,128
101%-120%	1,802	1,913
121%-150%	2,180	2,404
Greater than 150%	3,690	3,958
Total exposure	16,667	17,844
Average LTV	98.25%	99.90%

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The breakdown of collateral and guarantees is presented below:

	31 December 2017				
	Value of collateral received				Guarantees
	Real Estate	Financial	Other	Total	received
	€ million	€ million	€ million	€ million	€ million
Retail Lending	16,625	286	306	17,217	176
Wholesale Lending ⁽¹⁾	5,240	897	4,257	10,394	194
Public sector	2	2	0	4	1
Total	21,867	1,185	4,563	27,615	371

	31 December 2016				
	Value of collateral received				Guarantees
	Real Estate	Financial	Other	Total	Received
	€ million	€ million	€ million	€ million	€ million
Retail Lending	17,868	236	295	18,399	186
Wholesale Lending ⁽¹⁾	5,359	1,068	4,128	10,555	199
Public sector	2	2	0	4	8
Total	23,229	1,306	4,423	28,958	393

⁽¹⁾ Other collaterals include assigned receivables, equipment, inventories, vessels, etc.

Note: For 2016, the receivables relating to the Group's factoring activity have been reclassified from financial to other collaterals.

Reposessed assets

The Group recognizes collateral assets on the balance sheet by taking possession usually through legal processes or by calling upon other credit enhancements. The main type of collateral that the Group repossesses against repayment or reduction of the outstanding loan is real estate, which is recognized within repossessed assets and carried at the lower of cost or net realizable value (see also notes 2.2.17 and 33). In cases where the Group makes use of repossessed properties as part of its operations, they are classified as own-used or investment properties, as appropriate (notes 2.2.6, 30 and 31).

The following tables present a summary of collaterals that the Group took possession, and were recognized as repossessed assets, as well as the net gains/ (losses) arising from the sale of such assets in the year:

	31 December 2017						
	Gross amount	Of which: added this year	Accumulated impairment	Of which: arising this year	Net amount	Net Sale Price	Net gain/(loss) on sale
	€ million	€ million	€ million	€ million	€ million	€ million	€ million
Real estate auction items	547	53	(185)	(18)	362	28	(5)
- Residential	249	13	(68)	(5)	181	22	(2)
- Commercial	298	40	(117)	(13)	181	6	(3)
Other collateral	1	1	(0)	1	1	1	0

	31 December 2016						
	Gross amount	Of which: added this year	Accumulated impairment	Of which: arising this year	Net amount	Net Sale Price	Net gain/(loss) on sale
	€ million	€ million	€ million	€ million	€ million	€ million	€ million
Real estate auction items	563	20	(169)	(12)	394	41	(4)
- Residential	268	4	(63)	(5)	205	23	(1)
- Commercial	295	16	(106)	(7)	189	18	(3)
Other collateral	8	0	(3)	0	5	7	0

Properties that have been classified as investment property or own used in 2017 as a result of repossession or transfer from repossessed properties category, amounted to € 6 million (2016: € 25 million). In addition, in 2017 the Group acquired repossessed securities amounting to € 20 million (2016: nil), which have been classified as available for sale investment securities.

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(c) Geographical and industry concentrations of loans and advances to customers

As described above in note 7.2.1, the Group holds diversified portfolios across markets and countries and implements limits on concentrations arising from the geographical location or the activity of groups of borrowers that could be similarly affected by changes in economic or other conditions, in order to mitigate credit risk.

The following tables break down the Group's exposure into loans and advances to customers at their gross amounts, impaired loans and advances and impairment allowance by product line, industry and geographical region:

	31 December 2017								
	Greece			Rest of Europe			Other Countries		
	Gross amount	Out	Impairment allowance	Gross amount	Out	Impairment allowance	Gross amount	Out	Impairment allowance
		of which:			of which:			of which:	
		impaired amount			impaired amount			impaired amount	
€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million	
Retail Lending	26,251	12,839	(6,159)	2,636	629	(304)	4	0	(0)
-Mortgage	15,295	6,153	(2,204)	1,368	303	(114)	4	-	(0)
-Consumer	3,225	2,003	(1,607)	588	47	(27)	0	0	-
-Credit card	1,320	609	(439)	118	4	(3)	0	-	-
-Small business	6,411	4,074	(1,909)	562	275	(160)	-	-	-
Wholesale Lending	12,610	5,625	(3,018)	3,231	846	(506)	1,847	164	(137)
-Commerce and services	5,764	2,730	(1,631)	1,317	353	(200)	638	103	(96)
-Manufacturing	2,802	1,033	(519)	438	74	(47)	10	-	(0)
-Shipping	94	31	(18)	160	68	(61)	973	60	(40)
-Construction	2,265	1,250	(658)	934	317	(178)	90	1	(1)
-Tourism	1,478	570	(181)	143	2	(1)	0	-	-
-Energy	196	9	(11)	51	17	(5)	11	-	-
-Other	11	2	(0)	188	15	(14)	125	-	(0)
Public Sector	661	1	(10)	2	-	-	-	-	-
Total	39,522	18,465	(9,187)	5,869	1,475	(810)	1,851	164	(137)

	31 December 2016								
	Greece			Rest of Europe			Other Countries		
	Gross amount	Out	Impairment allowance	Gross amount	Out	Impairment allowance	Gross amount	Out	Impairment allowance
		of which:			of which:			of which:	
		impaired amount			impaired amount			impaired amount	
€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million	
Retail Lending	27,796	14,163	(6,720)	3,510	812	(369)	15	0	(0)
-Mortgage	15,980	6,360	(2,132)	1,849	399	(140)	15	-	(0)
-Consumer	3,911	2,686	(2,156)	766	56	(40)	0	0	(0)
-Credit card	1,444	733	(528)	207	8	(8)	0	0	(0)
-Small business	6,461	4,384	(1,904)	688	349	(181)	-	-	-
Wholesale Lending	13,222	6,433	(3,535)	3,639	1,303	(832)	1,816	173	(133)
-Commerce and services	6,336	3,355	(2,143)	1,547	506	(345)	672	107	(100)
-Manufacturing	2,786	1,057	(497)	569	173	(128)	12	-	(0)
-Shipping	106	43	(18)	109	80	(63)	795	65	(32)
-Construction	2,071	1,270	(673)	1,068	499	(270)	89	1	(1)
-Tourism	1,429	686	(173)	115	15	(5)	-	-	-
-Energy	290	8	(10)	42	4	(5)	0	-	-
-Other	204	14	(21)	189	26	(16)	248	-	(0)
Public Sector	635	1	(9)	23	-	-	-	-	-
Total	41,653	20,597	(10,264)	7,172	2,115	(1,201)	1,831	173	(133)

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(d) Forbearance practices on lending activities

Modifications of the loans' contractual terms may arise due to various factors, such as changes in market conditions, customer retention and other factors as well as due to the potential deterioration in the borrowers' financial condition. As a consequence of the macroeconomic environment in Greece, the Group has employed a range of forbearance options in order to enhance the management of customer relationships and the effectiveness of collection efforts, as well as to improve the recoverability of cash flows and minimize credit losses for both retail and wholesale portfolios.

Forbearance practices' classification

Forbearance practices as monitored and reported by the Group, based on the European Banking Authority Implementing Technical Standards (EBA ITS) guidelines, occur only in the cases where the contractual payment terms of a loan have been modified, as the borrower is considered unable to comply with the existing loan's terms due to apparent financial difficulties, and the Group grants a concession by providing more favorable terms and conditions that it would not otherwise consider had the borrower not been in financial difficulties.

All other types of modifications granted by the Group, where there is no apparent financial difficulty of the borrower and may be driven by factors of a business nature are not classified as forbearance measures.

Forborne loans are classified either as impaired or non-impaired by assessing their delinquency and credit quality status at the date when forbearance measures were granted as well as at each reporting date.

Impaired loans enter initially a probation period of one year where the borrowers' payment performance is closely monitored. If, at the end of the abovementioned period, the borrowers have complied with the terms of the program and there are no past due amounts and concerns regarding the loans' full repayment, the loans are then reported as non-impaired. In addition, non-impaired loans, including those that were previously classified as impaired and complied with the terms of the program, are monitored over a period of two years. If, at the end of that period, the borrowers have made regular payments of a significant amount, there are no past due amounts over 30 days and the loans are not impaired, the loans exit forborne status.

Particularly, the category of impaired loans includes those that (a) at the date when forbearance measures were granted, were more than 90 dpd or assessed as unlikely to pay, (b) at the end of the one year probation period met the criteria of entering the non impaired status and during the two years monitoring period new forbearance measures were extended or became more than 30 days past due, and (c) were initially classified as non impaired and during the two years monitoring period met the criteria for entering the impaired status.

Additionally, the non-impaired retail loans are classified as either 'neither past due nor impaired' or 'past due but not impaired' based on their delinquency status at the reporting date while for wholesale exposures' classification both the borrowers' rating and delinquency status are assessed.

Furthermore, forborne loans that fail to perform under the new modified terms and are subsequently denounced cease to be monitored as part of the Group's forbearance activities and are reported as denounced impaired loans consistently with the Group's management and monitoring of all denounced loans.

Forbearance programs

Forbearance programs are granted following an assessment of the borrower's ability and willingness to repay and can be of a short or longer term nature. The objective is to assist financially stressed borrowers by rearranging their repayment cash outflows into a sustainable modification, and at the same time, protect the Group from suffering credit losses. The Group deploys targeted segmentation strategies with the objective to tailor different short or long term and sustainable management solutions to selected groups of borrowers for addressing their specific financial needs.

The nature and type of forbearance options may include but is not necessarily limited to, one or more of the following:

- debt consolidations, whereby existing loan balances of the borrower are combined in a single loan;
- interest-only payments;
- grace period;
- capitalization of arrears whereby arrears are added to the principal balance;
- reduced payment plans;
- arrears repayment plan;

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- loan term extensions;
- interest rate reduction;
- partial debt forgiveness;
- split balance (combination of forbearance options that mainly includes capitalization of arrears, loan term extensions and interest rate reduction); and
- debt to equity swaps.

Specifically for unsecured consumer loans (including credit cards), forbearance programs are applied mainly through debt consolidation whereby all existing consumer balances are pooled together. Debt consolidations are generally combined with other options (e.g. term extensions), to ensure a sufficient decrease on installment and a viable solution for the borrower. In selected cases, the debt consolidations may be combined with mortgage prenotations to convert unsecured lending exposures to secured ones.

In the case of mortgage loans, a decrease of installment may be achieved through forbearance measures such as extended payment periods, capitalization of arrears, split balance and reduced payment plans.

Wholesale exposures are subject to forbearance when there are indications of financial difficulties of the borrower, evidenced by a combination of factors including the deterioration of financials, credit rating downgrade, payment delays and other.

The Troubled Assets Group General Division (TAG) is the independent body, which has the overall responsibility for the management of the Group's troubled assets portfolio, including forborne loans, in alignment with the Bank of Greece Executive Committee Act 42/30.05.2014 as amended by Act No.47/9.2.2015 and Act No. 102/30.08.2016. TAG ensures tight control and close monitoring of the effectiveness of the forbearance schemes and the performance of the portfolios under management. TAG also warrants the continuous improvement and adjustment of policies and procedures, by performing quality assurance reviews and by assessing and taking into account the macroeconomic developments, the regulatory and legal requirements and changes, international best practices, and any existing or new internal requirements.

TAG cooperates with Risk Management to reach a mutual understanding and develop an appropriate methodology for the evaluation of the risks inherent in every type of modification and delinquency bucket, per portfolio. Further information regarding TAG's structure and main responsibilities are provided in notes 7.2 and 7.2.1.

Impairment assessment

Where forbearance measures are extended, the Group performs an assessment of the borrower's financial condition and its ability to repay, under the Group's impairment policies, as described in notes 2.2.12 and 7.2.1. Specifically, the retail loans are segregated from other loan portfolios and the collective impairment assessment reflects the risk of higher losses, resulting in higher provision charges/coverage relative to non-modified loans. The impairment assessment of the wholesale exposures is performed on an individual basis taking into consideration various risk aspects (such as borrower's rating, financial position, adherence to the forbearance program and level of collaterals) and the respective impairment charge is calculated.

Debt for equity swaps

In wholesale portfolios, the Group on occasion participates in debt for equity transactions as part of the businesses support process, as described in note 2.2.12. In 2017, as part of debt for equity forbearance measures, the Group acquired a shareholding of: (a) 100% of Standard Ktimatiki S.A. (note 27), (b) 41.67% of Alpha Investment Property Kefalariou S.A. (note 28), (c) 24.37% of Famar S.A (note 28), (d) 47.66% of the non-voting preferred shares of ELTER S.A. for € 0.3 million, (e) 0.86% of FRIGOGLASS S.A.I.C. for € 0.03 million and (f) 18.02% of UNISOFT S.A. for € 27. Similarly, in 2016, the Group acquired (a) a shareholding of 50% of Singidunum-Buildings d.o.o. Beograd, amounting to € 10 million related with the debt restructuring for a corporate customer of the Group's banking subsidiary in Serbia (note 28), Eurobank A.D. Serbia, and (b) a minority shareholding of 2.79% of Selonda Aquaculture S.A., amounting to € 0.1 million related with the debt restructuring for DIAS Aquaculture S.A.

Loan restructurings

An existing loan whose terms have been modified may be derecognized and the forborne loan may be recognized as a new loan, when changes to the original contractual terms result in the forborne loan, being considered, as a whole, a substantially different financial asset. Examples of circumstances that will likely lead to de-recognition are described in note 2.2.12. Upon de-recognition, any difference between the old loan and the fair value of the new loan is recognized in the income statement. Impaired loans that are de-recognized as a result of forbearance measures continue to be classified as impaired until there is a sufficient evidence to

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demonstrate a significant reduction in the risk of non-payment of future cash flows and there are no other indicators of impairment.

The following table presents a summary of the types of the Group's forborne activities:

	2017 € million	2016 € million
Forbearance measures:		
Split balance	3,120	2,747
Loan term extension	2,994	2,284
Arrears capitalisation	601	742
Reduced payment below interest owed	588	1,658
Interest rate reduction	514	549
Reduced payment above interest owed	308	880
Arrears repayment plan	217	259
Interest only	175	161
Grace period	132	139
Debt/equity swaps	53	55
Partial debt forgiveness/Write-down	33	34
Operational restructuring	5	6
Other	61	42
Total net amount	8,801	9,556

The following tables present a summary of the credit quality of forborne loans and advances to customers:

	31 December 2017		
	Total loans & advances € million	Forborne loans & advances € million	% of Forborne loans & advances
Neither past due nor impaired	23,223	3,533	15.2
Past due but not impaired	3,915	1,552	39.6
Impaired	20,104	6,069	30.2
Total Gross Amount	47,242	11,154	23.6
Individual impairment allowance	(3,633)	(667)	
Collective impairment allowance	(6,501)	(1,686)	
Total Net amount	37,108	8,801	23.7
Collateral received	27,615	7,214	

	31 December 2016		
	Total loans & advances € million	Forborne loans & advances € million	% of Forborne loans & advances
Neither past due nor impaired	23,958	3,536	14.8
Past due but not impaired	3,813	1,225	32.1
Impaired	22,885	7,184	31.4
Total Gross Amount	50,656	11,945	23.6
Individual impairment allowance	(4,549)	(789)	
Collective impairment allowance	(7,049)	(1,600)	
Total Net amount	39,058	9,556	24.5
Collateral received	28,958	8,244	

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The following table presents the movement of forborne loans and advances:

	2017	2016
	€ million	€ million
Balance at 1 January	9,556	7,954
Forbearance measures in the year	1,207	2,287
Forbearance measures arising from acquisitions	-	23
Interest income	207	217
Repayment of loans (partial or total)	(476)	(316)
Loans & advances that exited forbearance status ⁽¹⁾	(1,218)	(222)
Impairment loss	(184)	(424)
Transferred to discontinued operations	(104)	-
Other	(187)	37
Balance at 31 December	8,801	9,556

⁽¹⁾ For 2017, an amount of € 669 million loans and advances that exited forbearance status refers to loans that were denounced

The following table presents the Group's exposure to forborne loans and advances by product line:

	2017	2016
	€ million	€ million
Retail Lending	6,872	7,668
- Mortgage	4,862	5,428
- Consumer	368	447
- Credit card	25	32
- Small business	1,617	1,761
Wholesale Lending	1,929	1,888
- Large corporate	1,033	872
- SMEs	896	1,016
Total net amount	8,801	9,556

The following table presents the Group's exposure to forborne loans and advances by geographical region:

	2017	2016
	€ million	€ million
Greece	8,313	8,815
Rest of Europe	439	694
Other countries	49	47
Total net amount	8,801	9,556

7.2.1.3 Debt Securities

The following tables present an analysis of debt securities by rating agency designation at 31 December 2017 and 2016, based on Moody's ratings or their equivalent:

	31 December 2017			
	Trading securities	Available-for-sale securities	Debt securities lending portfolio	Held-to-maturity securities
	€ million	€ million	€ million	€ million
Aaa	-	272	-	115
Aa1 to Aa3	-	742	362	65
A1 to A3	-	238	109	34
Lower than A3	20	4,104	1,183	228
Unrated	0	67	-	0
Total	20	5,423	1,654	442
				7,539

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	31 December 2016				
	Trading securities € million	Available-for-sale securities € million	Debt securities lending portfolio € million	Held-to-maturity securities € million	Total € million
Aaa	-	116	-	117	233
Aa1 to Aa3	-	-	6,934	77	7,011
A1 to A3	-	34	113	36	183
Lower than A3 (restated, note 52)	59	3,316	1,235	336	4,946
Unrated	0	61	-	0	61
Total	59	3,527	8,282	566	12,434

Securities rated lower than A3 include: € 3,574 million related to Greek sovereign debt (2016: € 3,314 million), € 1,157 million related to Eurozone members sovereign debt (2016: € 425 million) and € 507 million related to sovereign debt issued mainly by European Union members and candidate members (2016: € 909 million).

The following tables present the Group's exposure in debt securities, as categorized by counterparty's geographical region and industry sector:

	31 December 2017			
	Greece € million	Other European countries € million	Other countries € million	Total € million
Sovereign	3,574	3,350	16	6,940
Banks	30	100	-	130
Corporate	227	182	60	469
Total	3,831	3,632	76	7,539

	31 December 2016			
	Greece € million	Other European countries € million	Other countries € million	Total € million
Sovereign (restated, note 52)	3,314	8,492	14	11,820
Banks	0	126	-	126
Corporate	198	265	25	488
Total	3,512	8,883	39	12,434

In addition, as at 31 December 2017, Romanian subsidiaries classified as held for sale (note 17) held € 331 million debt securities all rated as Lower than A3 (2016: € 350 million, of which € 340 million rated as Lower than A3, included in the above tables), € 326 million of which related to Romanian sovereign debt (2016: € 340 million, included in the above tables) and € 5 million to corporate bonds (2016: € 10 million unrated corporate bonds, included in the above tables).

7.2.1.4 Offsetting of financial assets and financial liabilities

The disclosures set out in the tables below include financial assets and financial liabilities that:

- (a) are offset in the Group's balance sheet according to IAS 32 'Financial Instruments: Presentation' criteria; or
- (b) are subject to enforceable master netting arrangements or similar agreements that cover similar financial instruments, irrespective of whether they are offset in balance sheet.

Regarding the former, financial assets and financial liabilities are offset and the net amount is reported in the balance sheet when, there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or realize the asset and settle the liability simultaneously (the offset criteria), as also set out in Group's accounting policy 2.2.4.

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Regarding the latter, the International Swaps and Derivatives Association (ISDA) and similar master netting arrangements do not meet the criteria for offsetting in the balance sheet, as they create a right of set-off that is enforceable only following an event of default, insolvency or bankruptcy of the Group or the counterparties or following other predetermined events. In addition, the Group and its counterparties may not intend to settle on a net basis or to realize the assets and settle the liabilities simultaneously.

Similar agreements to ISDA include derivative clearing agreements, global master repurchase agreements, and global master securities lending agreements. Similar financial instruments include derivatives, repos and reverse repos agreements and securities borrowing and lending agreements. Financial instruments such as loans and deposits are not subject to this disclosure unless they are offset in the balance sheet.

The following tables present financial assets and financial liabilities that meet the criteria for offsetting and thus are reported on a net basis in the balance sheet, as well as amounts that are subject to enforceable master netting arrangements and similar agreements for which the offset criteria mentioned above are not satisfied. The latter amounts, which mainly relate to derivatives, repos and reverse repos, are not set off in the balance sheet. In respect of these transactions, the Group receives and provides collateral in the form of marketable securities and cash that are included in the tables below under columns 'financial instruments' and 'cash collateral' at their fair value.

	31 December 2017					
			Related amounts not offset in the BS			
	Gross amounts of recognised financial assets	Gross amounts of recognised financial liabilities offset in the balance sheet	Net amounts of financial assets presented in the balance sheet	Financial instruments (incl. non-cash collateral)	Cash collateral received	Net amount
	€ million	€ million	€ million	€ million	€ million	€ million
Financial Assets						
Reverse repos with central banks	38	-	38	(38)	-	-
Reverse repos with banks	281	(235)	46	(46)	-	-
Derivative financial instruments	1,869	-	1,869	(1,747)	(2)	120
Other financial assets	40	(40)	-	-	-	-
Total	2,228	(275)	1,953	(1,831)	(2)	120

	31 December 2017					
				Related amounts not offset in the BS		
	Gross amounts of recognised financial liabilities	Gross amounts of recognised financial assets offset in the balance sheet	Net amounts of financial liabilities presented in the balance sheet	Financial instruments (incl. non-cash collateral)	Cash collateral pledged	Net amount
	€ million	€ million	€ million	€ million	€ million	€ million
Financial Liabilities						
Derivative financial instruments	1,849	-	1,849	(566)	(1,274)	9
Repurchase agreements with banks	3,368	(235)	3,133	(3,133)	-	-
Repurchase agreements with customers	53	-	53	(53)	-	-
Other financial liabilities	40	(40)	-	-	-	-
Total	5,310	(275)	5,035	(3,752)	(1,274)	9

	31 December 2016					
				Related amounts not offset in the BS		
	Gross amounts of recognised financial assets	Gross amounts of recognised financial liabilities offset in the balance sheet	Net amounts of financial assets presented in the balance sheet	Financial instruments (incl. non-cash collateral)	Cash collateral received	Net amount
	€ million	€ million	€ million	€ million	€ million	€ million
Financial Assets						
Derivative financial instruments	1,953	-	1,953	(1,871)	(8)	74
Other financial assets	82	(82)	-	-	-	-
Total	2,035	(82)	1,953	(1,871)	(8)	74

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31 December 2016						
	Gross amounts of recognised financial liabilities € million	Gross amounts of recognised financial assets offset in the balance sheet € million	Net amounts of financial liabilities presented in the balance sheet € million	Related amounts not offset in the BS		
				Financial instruments (incl. non-cash collateral) € million	Cash collateral pledged € million	Net amount € million
Financial Liabilities						
Derivative financial instruments	2,433	-	2,433	(804)	(1,621)	8
Repurchase agreements with banks	7,228	-	7,228	(7,228)	-	-
Repurchase agreements with customers	53	-	53	(53)	-	-
Other financial liabilities	82	(82)	-	-	-	-
Total	9,796	(82)	9,714	(8,085)	(1,621)	8

Financial assets and financial liabilities are disclosed in the above tables at their recognized amounts, either at fair value (derivative assets and liabilities) or amortized cost (all other financial instruments), depending on the type of financial instrument.

7.2.2 Market risk

The Group takes on exposure to market risk, which is the risk of potential financial loss due to an adverse change in market variables. Changes in interest rates, foreign exchange rates, credit spreads, equity prices and other relevant factors, such as the implied volatilities of the above, can affect the Group's income or the fair value of its financial instruments. Specifically, the market risks the Group is exposed to are the following:

(a) Interest rate risk

The Group takes on exposure to the effects of fluctuations in the prevailing levels of market interest rates on its cash flows and the fair value of its financial positions. Cash flow interest rate risk is the risk that the future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Fair value interest rate risk is the risk that the value of a financial instrument will fluctuate because of changes in market interest rates. Fair value interest rate risk is further split into 'General' and 'Specific'. The former refers to changes in the fair valuation of positions due to the movements of benchmark interest rates, while the latter refers to changes in the fair valuation of positions due to the movements of specific issuer yields and credit spreads.

(b) Currency risk

The Group takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows.

(c) Equity risk

Equity price risk is the risk of the decrease of fair values as a result of changes in the levels of equity indices and the value of individual stocks. The equity risk that the Group undertakes arises mainly from the investment portfolio.

(d) Implied volatilities

The Group carries limited implied volatility (vega) risk, mainly as a result of proprietary swaption positions.

The Board's Risk Committee sets limits on the level of exposure to market risks, which are monitored on a regular basis.

Market risk in Greece and Cyprus is managed and monitored using Value at Risk (VaR) methodology. Market risk in International operations is managed and monitored using mainly sensitivity analyses. Information from International operations is presented separately as it originates from significantly different economic environments with different risk characteristics. Comparative information includes the balances of the Romanian disposal group (note 17).

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(i) VaR summary for 2017 and 2016

VaR is a methodology used in measuring financial risk by estimating the potential negative change in the market value of a portfolio at a given confidence level and over a specified time horizon. The VaR that the Group measures is an estimate based upon a 99% confidence level and a holding period of 1 day and the methodology used for the calculation is Monte Carlo simulation (full re-pricing).

The VaR models are designed to measure market risk in a normal market environment. It is assumed that any changes occurring in the risk factors affecting the normal market environment will follow a normal distribution.

Although VaR is an important tool for measuring market risk, the assumptions on which the model is based do give rise to certain limitations. Given this, actual outcomes are monitored regularly, via back testing process, to test the validity of the assumptions and the parameters used in the VaR calculation.

Since VaR constitutes an integral part of the Group's market risk control regime, VaR limits have been established for all (trading and investment portfolios) operations and actual exposure is reviewed daily by management. However, the use of this approach does not prevent losses outside of these limits in the event of extraordinary market movements.

Average VaR by risk type (Trading and Investment portfolios ⁽¹⁾)-Greece and Cyprus

	2017	2016
	€ million	€ million
Interest Rate Risk	17	17
Foreign Exchange Risk	1	1
Equities Risk	1	2
Total VaR	18	18

⁽¹⁾ Interest rate volatility applied to all portfolios. Credit spread volatility applied to Trading and Available-for-sale positions.

The aggregate VaR of the interest rate, foreign exchange and equities VaR benefits from diversification effects.

Interest Rate VaR takes into account the changes to the fair valuation of all the Group's items that are attributable to movements in the interest rates. This includes loans and deposits (customers and interbank), Eurosystem funding and debt issued, as well as securities and derivatives held by the Group. Despite the large relative size of the loan and deposit portfolio, Eurosystem funding and debt issued, its timing and amount matching, combined with the current level of interest rates, mean that the incremental contribution of these items to the Interest Rate VaR is not material. The largest portion of the Group's Interest Rate VaR figures is attributable to the risk associated with interest rate sensitive securities and derivatives.

Interest rate exposure for the Group's securities, derivatives portfolio and covered bonds can be analyzed into time bands as shown in the following tables:

	31 December 2017				
	less than 1 month	1-3 months	3-12 months	1-5 years	More than 5 years
	€ million	€ million	€ million	€ million	€ million
Financial instruments at fair value through profit or loss	18	3	1	12	11
Fixed coupon bonds	18	3	1	12	11
Investment securities	677	631	494	2,846	2,383
Fixed coupon bonds	410	432	473	2,846	2,383
Variable coupon bonds	267	199	21	-	-
Covered bonds	-	-	-	(500)	-
Fixed coupon covered bonds	-	-	-	(500)	-
Derivatives⁽¹⁾	300	(645)	1,227	81	(984)

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	31 December 2016				
	less than 1	1-3 months	3-12 months	1-5	More than
	month			years	5 years
	€ million	€ million	€ million	€ million	€ million
Financial instruments at fair value through profit or loss	-	1	25	25	8
Fixed coupon bonds	-	1	25	25	8
Investment securities	450	1,285	7,223	1,319	1,907
Fixed coupon bonds	270	862	391	1,319	1,907
Variable coupon bonds	180	423	6,832	-	-
Derivatives ⁽¹⁾	416	(562)	906	(332)	(632)

⁽¹⁾ For linear interest rate derivatives, notional amounts are shown in the appropriate time band, aggregated across all currencies. For non-linear interest rate derivatives, delta equivalent notional amounts are shown in the appropriate time band, aggregated across all currencies.

(ii) Sensitivity analysis for 2017 and 2016

Sensitivity analysis used for monitoring market risk stemming from International operations, excluding Cyprus, do not represent worst case scenarios.

	31 December 2017		
	Sensitivity of	Sensitivity	Total
	income	of	sensitivity
	statement	equity	
	€ million	€ million	€ million
Interest Rate: +100 bps parallel shift	4	(12)	(8)
Equities / Equity Indices / Mutual Funds: -10% decrease on prices	(0)	-	(0)
Foreign exchange: -10% depreciation of functional currency over foreign currencies	3	(60)	(57)

	31 December 2016		
	Sensitivity of	Sensitivity	Total
	income	of	sensitivity
	statement	equity	
	€ million	€ million	€ million
Interest Rate: +100 bps parallel shift	5	(19)	(14)
Equities / Equity Indices / Mutual Funds: -10% decrease on prices	(0)	(0)	(0)
Foreign exchange: -10% depreciation of functional currency over foreign currencies	10	(55)	(45)

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(iii) Foreign exchange risk concentration

The following table presents the Group's exposure to foreign currency exchange risk as at 31 December 2017 and 2016:

	31 December 2017							
	USD	CHF	RON	RSD	BGN	OTHER	EUR	Total
	€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million
ASSETS								
Cash and balances with central banks	9	2	0	104	189	5	1,215	1,524
Due from credit institutions	385	11	0	1	0	81	1,645	2,123
Financial instruments at fair value through profit or loss	1	-	-	3	7	-	38	49
Derivative financial instruments	9	2	-	1	0	0	1,866	1,878
Loans and advances to customers	1,459	3,729	25	355	1,746	250	29,544	37,108
Investment securities	219	-	0	101	3	2	7,280	7,605
Other assets ⁽¹⁾	9	3	3	51	53	3	7,436	7,558
Assets of disposal groups classified as held for sale	53	102	1,477	-	-	8	544	2,184
Total Assets	2,144	3,849	1,505	616	1,998	349	49,568	60,029
LIABILITIES								
Due to central banks and credit institutions	77	0	0	0	14	3	13,897	13,991
Derivative financial instruments	11	0	0	0	-	1	1,841	1,853
Due to customers	3,362	92	1	185	1,898	351	27,954	33,843
Debt securities in issue	0	-	-	-	-	-	549	549
Other liabilities	22	1	1	5	25	6	624	684
Liabilities of disposal groups classified as held for sale	53	4	1,255	-	-	6	641	1,959
Total Liabilities	3,525	97	1,257	190	1,937	367	45,506	52,879
Net on balance sheet position	(1,381)	3,752	248	426	61	(18)	4,062	7,150
Derivative forward foreign exchange position								
	1,419	(3,762)	(274)	(3)	(0)	13	1,007	(1,600)
Total Foreign Exchange Position	38	(10)	(26)	423	61	(5)	5,069	5,550
31 December 2016								
	USD	CHF	RON	RSD	BGN	OTHER	EUR	Total
	€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million
ASSETS								
Cash and balances with central banks	13	5	235	76	276	8	864	1,477
Due from credit institutions	673	18	1	6	0	109	1,952	2,759
Financial instruments at fair value through profit or loss	1	-	54	0	1	(0)	15	71
Derivative financial instruments	13	2	0	-	0	0	1,965	1,980
Loans and advances to customers	1,333	4,453	745	288	1,401	234	30,604	39,058
Investment securities (restated, note 52)	316	0	225	98	3	2	11,874	12,518
Other assets ⁽¹⁾ (restated, note 52)	19	1	164	66	54	2	8,263	8,569
Total Assets	2,368	4,479	1,424	534	1,735	355	55,537	66,432
LIABILITIES								
Due to central banks and credit institutions	136	2	41	3	25	33	21,446	21,686
Derivative financial instruments	20	(0)	2	0	0	0	2,419	2,441
Due to customers	3,508	70	1,266	120	1,673	333	27,061	34,031
Debt securities in issue	0	-	-	-	-	-	102	102
Other liabilities	26	1	35	5	18	4	689	778
Total Liabilities	3,690	73	1,344	128	1,716	370	51,717	59,038
Net on balance sheet position	(1,322)	4,406	80	406	19	(15)	3,820	7,394
Derivative forward foreign exchange position								
	1,332	(4,404)	3	5	0	18	1,510	(1,536)
Total Foreign Exchange Position	10	2	83	411	19	3	5,330	5,858

⁽¹⁾ Other assets include Investments in associates and joint ventures, Property, plant and equipment, Investment property, Intangible assets, Deferred tax assets and Other assets.

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7.2.3 Liquidity risk

The Group is exposed to daily calls on its available cash resources due to deposits withdrawals, maturity of medium or long term notes, maturity of secured or unsecured funding (interbank repos and money market takings), loan draw-downs and forfeiture of guarantees. Furthermore, margin calls on secured funding transactions (with ECB and the market), on risk mitigation contracts (CSAs, GMRAs) and on centrally cleared transactions (CCPs) result in liquidity exposure. The Group maintains cash resources to meet all of these needs. The Board Risk Committee sets liquidity limits to ensure that sufficient funds are available to meet such contingencies.

Past experience shows that liquidity requirements to support calls under guarantees and standby letters of credit are considerably less than the amount of the commitment. This is also the case with credit commitments where the outstanding contractual amount to extend credit does not necessarily represent future cash requirements, as many of these commitments will expire or terminate without being funded.

The matching and controlled mismatching of the maturities and interest rates of assets and liabilities is fundamental to the management of the Group. It is unusual for banks to be completely matched, as transacted business is often of uncertain term and of different types. An unmatched position potentially enhances profitability, but also increases the risk of losses.

The maturities of assets and liabilities and the ability to replace, at an acceptable cost, interest bearing liabilities as they mature, are important factors in assessing the liquidity of the Group.

Liquidity Risk Management Framework

The Group's Liquidity Risk Management Policy defines the following supervisory and control structure:

- Board Risk Committee's role is to approve all strategic liquidity risk management decisions and monitor the quantitative and qualitative aspects of liquidity risk;
- Group Assets and Liabilities Committee has the mandate to form and implement the liquidity policies and guidelines in conformity with Group's risk appetite, and to review at least monthly the overall liquidity position of the Group;
- Group Treasury is responsible for the implementation of the Group's liquidity strategy, the daily management of the Group's liquidity and for the preparation and monitoring of the Group's liquidity budget; and
- Global Market and Counterparty Risk Sector is responsible for measuring, monitoring and reporting the liquidity of the Group.

Additionally, as per BoG directive 50/08.09.2015, the Bank applies risk management policies, processes and controls regarding Asset Encumbrance. These policies, which are applicable in the specific Greek macro-economic environment, the Bank's business model and market conditions on wholesale funding, integrate the Bank's Asset Encumbrance strategies in its respective contingency funding plans.

The following list summarizes the main reports which are produced on a periodic basis:

- (a) The regulatory liquidity gap report along with the regulatory liquidity ratios;
- (b) Stress test scenarios. These scenarios evaluate the impact of a number of systemic stress events on the Group's liquidity position;
- (c) Report on market sensitivities affecting liquidity;
- (d) Liquidity coverage ratios (LCR) estimation (Basel III new regulatory ratio); and
- (e) Reporting on the Bank's Asset Encumbrance.

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Maturity analysis of assets and assets held for managing liquidity risk

The following tables present maturity analysis of Group assets as at 31 December 2017 and 2016, based on their carrying values. Loans without contractual maturities are presented in the 'less than 1 month' time bucket. The Group has established credit risk mitigation contracts with its interbank counterparties (ISDA/CSA). Under these contracts the Group has posted or received collateral, which covers the corresponding net liabilities or net assets from derivative transactions. The collateral posted is not presented in the below tables. For derivative assets not covered by ISDA/CSA agreements the positive valuation is presented at fair value in the 'over 1 year' time bucket.

	31 December 2017				
	Less than 1 month	1 - 3 months	3 months to 1 year	Over 1 year	Total
	€ million	€ million	€ million	€ million	€ million
- Cash and balances with central banks	1,524	-	-	-	1,524
- Due from credit institutions	647	51	2	36	736
- Loans and advances to customers	4,081	825	2,376	29,826	37,108
- Debt Securities	437	528	448	6,126	7,539
- Equity securities	-	-	-	115	115
- Derivative financial instruments	-	-	-	78	78
- Other assets ⁽¹⁾	54	14	7	7,483	7,558
- Assets of disposal groups classified as held for sale	775	27	106	1,276	2,184
Total	7,518	1,445	2,939	44,940	56,842

	31 December 2016				
	Less than 1 month	1 - 3 months	3 months to 1 year	Over 1 year	Total
	€ million	€ million	€ million	€ million	€ million
- Cash and balances with central banks	1,477	-	-	-	1,477
- Due from credit institutions	744	23	-	168	935
- Loans and advances to customers	5,407	721	2,766	30,164	39,058
- Debt Securities (restated, note 52)	84	618	910	10,822	12,434
- Equity securities	-	-	-	155	155
- Derivative financial instruments	-	-	-	104	104
- Other assets ⁽¹⁾ (restated, note 52)	43	2	8	8,516	8,569
Total	7,755	1,364	3,684	49,929	62,732

⁽¹⁾ Other assets include Investments in associates and joint ventures, Property, plant and equipment, Investment property, Intangible assets, Deferred tax assets and Other assets.

The Group holds a diversified portfolio of cash and high liquid assets to support payment obligations and contingent deposit withdrawals in a stressed market environment. The Group's assets held for managing liquidity risk comprise:

- (a) Cash and balances with central banks;
- (b) Eligible bonds and other financial assets for collateral purposes; and
- (c) Current accounts with banks and interbank placings maturing within one month.

The unutilized assets, containing highly liquid and central banks eligible assets, provide a contingent liquidity reserve of € 7.7 bn as at 31 December 2017 (2016: € 6.8 bn). In addition, the Group holds other types of highly liquid assets, as defined by the regulator, amounting to € 2.2 bn (cash value) (2016: € 2.1 bn). It should be noted that the major part of ECB's available collateral of € 2.8 bn (cash value) (2016: € 3 bn) is held by Group's subsidiaries for which temporary local regulatory restrictions are applied and currently limit the level of its transferability between group entities.

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Maturity analysis of liabilities

The amounts disclosed in the tables below are the contractual undiscounted cash flows for the years 2017 and 2016. Liabilities without contractual maturities (sight and saving deposits) are presented in the 'less than 1 month' time bucket. The Group has established credit risk mitigation contracts with its interbank counterparties (ISDA/CSA). Due to these contracts the Group has already posted collateral which covers the valuation of its net liabilities from interbank derivatives. For derivative liabilities not covered by ISDA/CSA agreements the negative valuation is presented at fair value in the 'less than 1 month' time bucket.

It should be noted that this table represents the worst case scenario since it is based on the assumption that all liabilities will be paid earlier than expected (all term deposits are withdrawn at their contractual maturity). The recent experience shows that even in a period of a systemic financial crisis the likelihood of such an event is remote.

	31 December 2017				
	Less than 1 month € million	1 - 3 months € million	3 months to 1 year € million	Over 1 year € million	Gross nominal (inflow)/ outflow € million
Non-derivative liabilities:					
- Due to credit institutions	11,435	880	17	1,668	14,000
- Due to customers	24,742	3,775	5,215	130	33,862
- Debt securities in issue	50	-	14	531	595
- Other liabilities	234	104	327	18	683
- Liabilities of disposal groups classified as held for sale	1,315	233	376	37	1,961
	37,776	4,992	5,949	2,384	51,101
Derivative financial instruments:	9	-	-	-	9

Off-balance sheet items

	Less than 1 year € million	Over 1 year € million
Credit related commitments	559	935
Capital expenditure	31	-
Operating lease commitments	37	96
Total	627	1,031

	31 December 2016				
	Less than 1 month € million	1 - 3 months € million	3 months to 1 year € million	Over 1 year € million	Gross nominal (inflow)/ outflow € million
Non-derivative liabilities:					
- Due to credit institutions	21,117	155	71	376	21,719
- Due to customers	24,188	4,425	4,940	510	34,063
- EMTNs	-	22	3	82	107
- Other liabilities	267	118	373	20	778
- Liabilities of disposal groups classified as held for sale	-	-	-	-	-
	45,572	4,720	5,387	988	56,667
Derivative financial instruments:	15	-	-	-	15

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Off-balance sheet items

	Less than 1 year € million	Over 1 year € million
Credit related commitments	724	754
Capital expenditure	25	-
Operating lease commitments	23	15
Total	<u>772</u>	<u>769</u>

The credibility of the Greek banking system was strengthened by the positive developments in the macroeconomic environment during 2017, as mentioned in note 2.1, improving the liquidity conditions of the Greek banks accordingly. In this context, deposits inflows along with the increased market repos on covered bonds and Greek Treasury bills, a € 500 million covered bond issue to international and domestic investors and the assets deleveraging, constituted the key factors for the significant decrease of the Bank's dependency from the Eurosystem by € 3.9 bn to € 10 bn at the end of December 2017, of which € 7.9 bn funding from ELA, (31 December 2016: € 13.9 bn, of which € 11.9 bn from ELA) and the elimination of its participation in the second stream of the Hellenic Republic liquidity support program (31 December 2016: € 2.5 bn) (note 4). Furthermore, the Bank replaced € 1.3 bn funding from ECB's main refinancing operations (MROs) with ECB's targeted longer-term refinancing operations (TLTROs). The Eurosystem funding further declined to € 7.1 bn on 28 February 2018, of which € 5.7 bn from ELA.

7.3 Fair value of financial assets and liabilities

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants in the principal (or most advantageous) market at the measurement date under current market conditions (i.e. an exit price). When a quoted price for an identical asset or liability is not observable, fair value is measured using another valuation technique that is appropriate in the circumstances, and maximizes the use of relevant observable inputs and minimizes the use of unobservable inputs. Observable inputs are developed using market data, such as publicly available information about actual events or transactions, and reflect assumptions that market participants would use when pricing financial instruments, such as quoted prices in active markets for similar instruments, interest rates and yield curves, implied volatilities and credit spreads.

The Group's financial instruments carried at fair value or at amortized cost for which fair value is disclosed are categorized into the three levels of the fair value hierarchy based on whether the inputs to the fair values are observable or unobservable, as follows:

- Level 1-Financial instruments measured based on quoted prices (unadjusted) in active markets for identical financial instruments that the Group can access at the measurement date. A market is considered active when quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency and represent actually and regularly occurring transactions. Level 1 financial instruments include actively quoted debt instruments held or issued by the Group, equity and derivative instruments traded on exchanges, as well as mutual funds that have regularly and frequently published quotes.
- Level 2-Financial instruments measured using valuation techniques with inputs, other than level 1 quoted prices, that are observable either directly or indirectly, such as: i) quoted prices for similar financial instruments in active markets, ii) quoted prices for identical or similar financial instruments in markets that are not active, iii) inputs other than quoted prices that are directly or indirectly observable, mainly interest rates and yield curves observable at commonly quoted intervals, forward exchange rates, equity prices, credit spreads and implied volatilities obtained from internationally recognized market data providers and iv) other unobservable inputs which are insignificant to the entire fair value measurement. Level 2 financial instruments include over-the-counter (OTC) derivatives and less liquid debt instruments held or issued by the Group.
- Level 3-Financial instruments measured using valuation techniques with significant unobservable inputs. When developing unobservable inputs, best information available is used, including own data, while at the same time market participants' assumptions are reflected (e.g. assumptions about risk). Level 3 financial instruments include unquoted equities or equities traded in markets that are not considered active, certain OTC derivatives and loans and advances to customers.

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Financial instruments carried at fair value

The fair value hierarchy categorization of the Group's financial assets and liabilities carried at fair value is presented in the following tables:

	31 December 2017			
	Level 1	Level 2	Level 3	Total
	€ million	€ million	€ million	€ million
Financial instruments held for trading	48	0	1	49
Derivative financial instruments	0	1,877	1	1,878
Available-for-sale investment securities	5,464	4	41	5,509
Financial assets measured at fair value	5,512	1,881	43	7,436
Derivative financial instruments	0	1,853	-	1,853
Due to customers:				
- Structured deposits	-	2	-	2
Debt securities in issue:				
- Structured notes	-	3	-	3
Financial liabilities measured at fair value	-	1,858	-	1,858
	31 December 2016			
	Level 1	Level 2	Level 3	Total
	€ million	€ million	€ million	€ million
Financial instruments held for trading	70	0	1	71
Derivative financial instruments	0	1,978	2	1,980
Available-for-sale investment securities	3,586	30	54	3,670
Financial assets measured at fair value	3,656	2,008	57	5,721
Derivative financial instruments	0	2,441	-	2,441
Due to customers:				
- Structured deposits	-	3	-	3
Debt securities in issue:				
- Structured notes	-	3	-	3
Trading liabilities	4	-	-	4
Financial liabilities measured at fair value	4	2,447	-	2,451

The Group recognizes transfers into and out of the fair value hierarchy levels at the beginning of the quarter in which a financial instrument's transfer was effected. During the year ended 31 December 2017, debt securities in issue of € 52 million were transferred from level 1 to level 2, as their market was not considered active.

In addition, as at 31 December 2017, Romanian subsidiaries classified as held for sale, held € 354 million of financial assets carried at fair value relating to financial instruments at fair value through profit or loss and available-for-sale investment securities (31 December 2016: € 373 million of which € 1 million related to derivative financial instruments, included in the above table). Of the aforementioned financial assets, € 344 million were categorized under Level 1 of the fair value hierarchy (31 December 2016: € 358 million), € 5 million were categorized under Level 2 of the fair value hierarchy (31 December 2016: € 11 million) and 5 million were categorized under Level 3 of the fair value hierarchy (31 December 2016: € 4 million). The respective financial liabilities carried at fair value of the abovementioned Romanian subsidiaries classified as held for sale, relate to derivative financial instruments of € 0.1 million, which were categorized under Level 2 of the fair value hierarchy (31 December 2016: € 1.6 million, included in the above table).

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Reconciliation of Level 3 fair value measurements

	2017 € million	2016 € million
Balance at 1 January	57	62
Transfers into Level 3	0	14
Transfers out of Level 3	(0)	(19)
Additions, net of disposals and redemptions	(1)	16
Total gain/(loss) for the year included in profit or loss	(1)	(9)
Total gain/(loss) for the year included in other comprehensive income	(6)	(9)
Foreign exchange differences and other	(2)	2
Discontinued operations	(4)	-
Balance at 31 December	43	57

Group's valuation processes and techniques

The Group's processes and procedures governing the fair valuations are established by the Group Market Counterparty Risk Sector in line with the Group's accounting policies. The Group uses widely recognized valuation models for determining the fair value of common financial instruments that are not quoted in an active market, such as interest and cross currency swaps, that use only observable market data and require little management estimation and judgment. Specifically, observable prices or model inputs are usually available in the market for listed debt and equity securities, exchange-traded and simple over-the-counter derivatives. Availability of observable market prices and model inputs reduces the need for management judgment and estimation and also reduces the uncertainty associated with determining fair values.

Where valuation techniques are used to determine the fair values of financial instruments that are not quoted in an active market, they are validated against historical data and, where possible, against current or recent observed transactions in different instruments, and periodically reviewed by qualified personnel independent of the personnel that created them. All models are certified before they are used and models are calibrated to ensure that outputs reflect actual data and comparative market prices. Fair values estimates obtained from models are adjusted for any other factors, such as liquidity risk or model uncertainties, to the extent that market participants would take them into account in pricing the instrument. Fair values also reflect the credit risk of the instrument and include adjustments to take account of the credit risk of the Group entity and the counterparty, where appropriate.

Valuation controls applied by the Group may include verification of observable pricing, re-performance of model valuations, review and approval process for new models and/or changes to models, calibration and back-testing against observable market transactions, where available, analysis of significant valuation movements, etc. Where third parties' valuations are used for fair value measurement, these are reviewed in order to ensure compliance with the requirements of IFRS 13.

OTC derivative financial instruments are fair valued by discounting expected cash flows using market interest rates at the measurement date. Counterparty credit risk adjustments and own credit risk adjustments are applied to OTC derivatives, where appropriate. Bilateral credit risk adjustments consider the expected cash flows between the Group and its counterparties under the relevant terms of the derivative instruments and the effect of the credit risk on the valuation of these cash flows. As appropriate in circumstances, the Group considers also the effect of any credit risk mitigating arrangements, including collateral agreements and master netting agreements on the calculation of credit risk valuation adjustments (CVAs). CVA calculation uses probabilities of default (PDs) based on observable market data as credit default swaps (CDS) spreads, where appropriate, or based on internal rating models. The Group applies similar methodology for the calculation of debit-value-adjustments (DVAs), when applicable. Where valuation techniques are based on internal rating models and the relevant CVA is significant to the entire fair value measurement, such derivative instruments are categorized as Level 3 in the fair value hierarchy. A reasonably possible change in the main unobservable input (i.e. the recovery rate), used in their valuation, would not have a significant effect on their fair value measurement.

The Group determines fair values for debt securities held using quoted market prices in active markets for securities with similar credit risk, maturity and yield, quoted market prices in non active markets for identical or similar financial instruments, or using discounted cash flows method.

For debt securities issued by the Group and designated at FVTPL, fair values are determined by discounting the expected cash flows at a risk-adjusted rate, where the Group's own credit risk is determined using inputs indirectly observable, i.e. quoted prices of similar securities issued by the Group or other Greek issuers.

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Unquoted available-for-sale equity instruments are estimated mainly (i) using third parties' valuation reports based on investees' net assets, where management does not perform any further significant adjustments, and (ii) net assets' valuations, adjusted where considered necessary.

Financial instruments not carried at fair value

The fair value hierarchy categorization of the Group's financial assets and liabilities not carried at fair value on the balance sheet is presented in the following tables:

31 December 2017					
	Level 1 € million	Level 2 € million	Level 3 € million	Fair value € million	Carrying amount € million
Loans and advances to customers	-	-	36,767	36,767	37,108
Investment securities					
- Debt securities lending portfolio	232	894	-	1,126	1,654
- Held-to-maturity securities	314	149	-	463	442
Financial assets not carried at fair value	546	1,043	36,767	38,356	39,204
Debt securities in issue	501	49	-	550	546
Financial liabilities not carried at fair value	501	49	-	550	546

31 December 2016					
	Level 1 € million	Level 2 € million	Level 3 € million	Fair value € million	Carrying amount € million
Loans and advances to customers	-	-	38,872	38,872	39,058
Investment securities					
- Debt securities lending portfolio (restated, note 52)	266	7,487	-	7,753	8,282
- Held-to-maturity securities	339	228	-	567	566
Financial assets not carried at fair value	605	7,715	38,872	47,192	47,906
Debt securities in issue	52	37	-	89	99
Financial liabilities not carried at fair value	52	37	-	89	99

The assumptions and methodologies underlying the calculation of fair values of financial instruments not carried at fair value are in line with those used to calculate the fair values for financial instruments carried at fair value. Particularly:

- Loans and advances to customers: for loans and advances to customers quoted market prices are not available as there are no active markets where these instruments are traded. The fair values are estimated by discounting future expected cash flows over the time period they are expected to be recovered, using appropriate risk-adjusted rates. Loans are grouped into homogenous assets with similar characteristics, as monitored by Management, such as product, borrower type and delinquency status, in order to improve the accuracy of the estimated valuation outputs. In estimating future cash flows, the Group makes assumptions on expected prepayments, product spreads and timing of collateral realization. The discount rates incorporate inputs for expected credit losses and interest rates, as appropriate;
- Investment securities carried at amortized cost: the fair values of financial investments are determined using prices quoted in an active market when these are available. In other cases, fair values are determined using quoted market prices for securities with similar credit risk, maturity and yield, quoted market prices in non active markets for identical or similar financial instruments, or by using the discounted cash flows method; and
- Debt securities in issue: the fair values of the debt securities in issue are determined using quoted market prices, if available. If quoted prices are not available, fair values are determined based on quotes for similar debt securities or by discounting the expected cash flows at a risk-adjusted rate, where the Group's own credit risk is determined using inputs indirectly observable, i.e. quoted prices of similar securities issued by the Group or other Greek issuers.

For other financial instruments which are short term or re-price at frequent intervals (cash and balances with central banks, due from credit institutions, due to central banks, due to credit institutions and due to customers), the carrying amounts represent reasonable approximations of fair values.

Notes to the Consolidated Financial Statements

8. Net interest income

	2017 € million	2016 € million
Interest income		
Customers	1,616	1,753
Banks	6	15
Securities ⁽¹⁾ (restated, note 52)	195	193
Derivatives	347	313
	2,164	2,274
Interest expense		
Customers	(165)	(181)
Banks	(212)	(320)
Debt securities in issue	(6)	(6)
Derivatives	(317)	(304)
	(700)	(811)
Total from continuing operations	1,464	1,463

⁽¹⁾ The interest income from trading securities included is immaterial for the year ended 31 December 2017 and 2016.

Interest income from continuing operations recognized by quality of Loans and Advances and Product Line is further analyzed below:

	31 December 2017		
	Interest income on non- impaired loans and advances € million	Interest income on impaired loans and advances € million	Total € million
Retail lending	658	292	950
Wholesale lending ⁽¹⁾	494	172	666
Total interest income from customers	1,152	464	1,616

	31 December 2016		
	Interest income on non-impaired loans and advances € million	Interest income on impaired loans and advances € million	Total € million
Retail lending	718	343	1,061
Wholesale lending ⁽¹⁾	485	207	692
Total interest income from customers	1,203	550	1,753

⁽¹⁾ Including interest income on loans and advances to Public Sector.

The unwinding of the discount of the impairment allowance (note 25) amounting to € 286 million (retail lending € 189 million and wholesale lending € 97 million) is included in interest income on impaired loans and advances to customers (2016: retail lending € 210 million and wholesale lending € 96 million, excluding the Romanian subsidiaries classified as held for sale).

Notes to the Consolidated Financial Statements

9. Net banking fee and commission income

	2017 € million	2016 € million
Lending related fees and commissions	104	123
Mutual funds and assets under management related fees	37	33
Capital markets related fees	33	20
Other fees ⁽¹⁾	84	47
Total from continuing operations	258	223

⁽¹⁾ For the year ended 31 December 2017, the increase of other fees is mainly attributed to the reduction of the Pillar 2 issues and the related fees.

10. Income from non banking services

Income from non banking services includes rental income from investment properties and other recurring income from services provided by the Group (e.g. IT services, e-commerce).

11. Net trading income and gains less losses from investment securities

	2017 € million	2016 € million
Debt securities and other financial instruments (note 26)	45	84
Equity securities (note 26)	29	45
Gains/(losses) on derivative financial instruments	53	(9)
Revaluation on foreign exchange positions	13	18
Total from continuing operations	140	138

12. Operating expenses

	2017 € million	2016 € million
Staff costs (note 13)	(506)	(502)
Administrative expenses	(206)	(211)
Contributions to resolution and deposit guarantee funds	(67)	(71)
Depreciation of property, plant and equipment	(36)	(39)
Amortisation of intangible assets	(24)	(23)
Operating lease rentals	(56)	(57)
Total from continuing operations	(895)	(903)

For the year ended 31 December 2017, the amount of operating expenses (excluding any contribution to a deposit guarantee or resolution fund) for the Group's Greek activities was € 664 million (2016: € 671 million, excluding Grivalia subgroup).

Contributions to resolution and deposit guarantee funds

In 2016, the Single Resolution Mechanism (SRM), which is one of the pillars of the Banking Union in the euro area alongside the Single Supervisory Mechanism (SSM), became fully operational. The Single Resolution Fund (SRF) was established by the SRM Regulation (EU) No 806/2014 in order to ensure uniform practice in the financing of resolutions within the SRM and it is owned by the Single Resolution Board (SRB). The SRM provides that the SRF will be built up over a period of eight years with 'ex-ante' contributions from the banking industry, which may include irrevocable payment commitments up to 30% of the total amount of contributions (note 47).

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13. Staff costs

	2017 € million	2016 € million
Wages, salaries and performance remuneration	(367)	(365)
Social security costs	(78)	(78)
Additional pension and other post employment costs	(15)	(14)
Other	(46)	(45)
Total from continuing operations	(506)	(502)

The average number of employees of the Group's continuing operations during the year was 13,738 (31 December 2016: 14,144). As at 31 December 2017, the number of branches and business/private banking centers of the Group's continuing operations amounted to 700.

Furthermore, the average number of employees of the Romanian disposal group during the year was 2,078 (31 December 2016: 2,141 employees for the Romanian disposal group and Grivalia subgroup). As at 31 December 2017, the number of branches and business centers of the Romanian disposal group amounted to 155 (note 17).

14. Other impairments, restructuring costs and provisions

	2017 € million	2016 € million
Impairment losses and valuation losses on investment and repossessed properties	(34)	(34)
Other impairment losses and provisions ⁽¹⁾	(16)	(21)
Other impairment losses and provisions	(50)	(55)
Provision for the Voluntary Exit Schemes (note 38)	(8)	(49)
Other restructuring costs	(5)	(16)
Other expenses	-	(1)
Restructuring costs	(13)	(66)
Total from continuing operations	(63)	(121)

⁽¹⁾ Includes impairment losses on bonds, equity securities, other assets and provisions on litigations and other operational risk events.

For the year ended 31 December 2017, the Group recognized € 34 million impairment and valuation losses on investment and repossessed properties mainly in Greece, after considering the macroeconomic conditions and the persistent decline in real estate market prices.

As at 31 December 2017, the Group has recognized restructuring expenses amounting to € 5 million, mainly relating to the rationalization of its branch network in Greece. As at 31 December 2016, the Group has recognized restructuring expenses amounting to € 16 million, of which € 8 million related with the acquisition of Alpha Bank's Branch in Bulgaria by Eurobank Bulgaria A.D. (note 27). The remaining costs were associated with the Bank's Non-Performing Exposures management operations, the further rationalization of its branch network in Greece and the restructuring of its international activities.

As at 31 December 2017, restructuring costs included depreciation/write-offs of € 1 million (2016: € 2 million).

Notes to the Consolidated Financial Statements

15. Income tax and tax adjustments

	2017 € million	2016 € million
Current tax	(34)	(39)
Deferred tax (note 16)	29	93
Income tax	(5)	54
Tax adjustments	-	31
Total tax (charge)/income from continuing operations	(5)	85

According to Law 4172/2013 currently in force, the nominal Greek corporate tax rate is 29%. In addition, dividends distributed, other than intragroup dividends which under certain preconditions are relieved from both income and withholding tax, are subject to 15% withholding tax, according to Law 4387/2016 and Law 4389/2016 which increased the respective tax rate from 10% to 15% for dividend distributions as of 1 January 2017 and onwards. According to article 14 of Law 4472/2017, which amended Law 4172/2013, the Greek corporate tax rate for entities other than credit institutions, will decrease from 29% to 26% for the tax years starting from 1 January 2019 and onwards, subject to certain preconditions in the context of the Third Economic Adjustment Program of Greece.

During the year ended 31 December 2016, following a favorable court decision, the Group has recognized a tax income of € 30.5 million for tax claims against the Greek State in relation to the one - off taxation of the Bank's non-taxed reserves which had been imposed by the Law 3513/2006.

The tax on the Group's profit before tax differs from the theoretical amount that would arise using the applicable tax rates as follows:

	2017 € million	2016 € million
Profit before tax from continuing operations (restated, note 52)	181	137
Tax at the applicable tax rates	(52)	(40)
Tax effect of:		
- income not subject to tax and non deductible expenses	(6)	(4)
- effect of different tax rates in different countries	23	23
- tax adjustments	-	31
- other ⁽¹⁾	30	75
Total tax (charge)/income from continuing operations	(5)	85

⁽¹⁾ It includes an amount of € 32 million (2016: € 87 million) deferred tax effect related to the impairment charge against the Bank's loans and other receivables and investment cost in certain subsidiaries.

Tax certificate and open tax years

For the year ended 31 December 2011 and onwards as the Law 4174/2013 (article 65A) currently stands (and as Law 2238/1994 previously provided in article 82), up to and including fiscal years starting before 1 January 2016, the Greek sociétés anonymes and limited liability companies whose annual financial statements are audited compulsorily, were required to obtain an 'Annual Tax Certificate', which is issued after a tax audit is performed by the same statutory auditor or audit firm that audits the annual financial statements. For fiscal years starting from 1 January 2016 and onwards, the 'Annual Tax Certificate' is optional, however, as a general rule the Group's Greek companies will continue to obtain such certificate.

The Bank has been audited by tax authorities up to 2010 (included). Furthermore, the Bank has obtained by external auditors unqualified tax certificates for years 2011-2016. For the year ended 31 December 2017, the tax audit from external auditors is in progress. In addition, New TT Hellenic Postbank and New Proton Bank, which were merged with the Bank in 2013, have obtained by external auditors unqualified tax certificates with a matter of emphasis for their unaudited by tax authorities periods/tax years 18/1-30/6/2013 and 9/10/2011- 31/12/2012, respectively, with regards to potential tax obligations resulting from their carve out. For both cases the Bank has formed adequate provisions.

Notes to the Consolidated Financial Statements

The Group's subsidiaries, associates and joint ventures which operate in Greece (notes 27 and 28) have in principle 3 to 6 open tax years. For these entities that are subject to statutory audit by external auditors and obtain the 'Annual Tax Certificate', the said certificate is unqualified for years 2011-2016. For the year ended 31 December 2017, the tax audit from external auditors is in progress.

In accordance with the Greek tax legislation and the respective Ministerial Decisions issued, additional taxes and penalties may be imposed by the Greek tax authorities following a tax audit within the applicable statute of limitations (i.e. in principle five years as from the end of the fiscal year within which the relevant tax return should have been submitted), irrespective of whether an unqualified tax certificate has been obtained from the tax paying company. In light of the above, as a general rule, the right of the Greek State to impose taxes up to tax year 2011 (included) has been time-barred for the Bank and the Group Greek subsidiaries.

The open tax years of foreign Group's bank subsidiaries are as follows: (a) Bancpost S.A. (Romania), 2011-2017, (b) Eurobank Cyprus Ltd, 2014-2017, (c) Eurobank Bulgaria A.D., 2013-2017, (d) Eurobank A.D. Beograd (Serbia), 2012-2017, and (e) Eurobank Private Bank Luxembourg S.A., 2013-2017. The remaining of the Group's foreign entities (notes 27 and 28), which operate in countries where a statutory tax audit is explicitly stipulated by law, have 1 to 6 open tax years in principle, subject to certain preconditions of the applicable tax legislation of each jurisdiction.

16. Deferred income taxes

Deferred income taxes are calculated on all deductible temporary differences under the liability method as well as for unused tax losses at the rate in effect at the time the reversal is expected to take place.

The movement on deferred income tax is as follows:

	2017 € million	2016 € million
Balance at 1 January	4,926	4,854
Restatement (note 52)	-	(14)
Balance at 1 January, as restated	4,926	4,840
Income statement credit/(charge) from continuing operations (restated, note 52)	29	93
Available for sale investment securities	(85)	(11)
Cash flow hedges	(8)	(4)
Discontinued operations ⁽¹⁾	(7)	5
Other	-	3
Balance at 31 December	4,855	4,926

⁽¹⁾ The movement of € 7 million of discontinued operations relates to the Romanian subsidiaries classified as held for sale and the disposal of Grivalia subgroup (note 17).

Deferred income tax assets/ (liabilities) are attributable to the following items:

	2017 € million	2016 € million
PSI+ tax related losses	1,201	1,251
Loan impairment and accounting write-offs	3,011	3,121
Losses from disposals and crystallized write-offs of loans	239	8
Valuations through the income statement (restated, note 52)	311	325
Costs directly attributable to equity transactions	31	38
Unused tax losses	22	54
Cash flow hedges	17	25
Defined benefit obligations	14	13
Own used, investment and repossessed properties	(16)	(6)
Valuations directly to available-for-sale revaluation reserve	(84)	(1)
Other	109	98
Net deferred income tax	4,855	4,926

Notes to the Consolidated Financial Statements

The net deferred income tax is analyzed as follows:

	2017 € million	2016 € million
Deferred income tax assets (restated, note 52)	4,859	4,929
Deferred income tax liabilities (note 38)	(4)	(3)
Net deferred income tax	4,855	4,926

Deferred income tax (charge)/credit from continuing operations is attributable to the following items:

	2017 € million	2016 € million
Loan impairment, disposals and write-offs	104	314
Unused tax losses	(8)	(266)
Tax deductible PSI+ losses	(50)	(50)
Change in fair value and other temporary differences	(17)	95
Deferred income tax (charge)/credit from continuing operations	29	93

As at 31 December 2017, the Group recognized net deferred tax assets amounting to € 4.9 bn as follows:

- (a) € 1,201 million refer to losses resulted from the Group's participation in PSI+ and the Greek's state debt buyback program which are subject to amortization (i.e. 1/30 of losses per year starting from year 2012 and onwards) for tax purposes;
- (b) € 3,011 million refer to deductible temporary differences arising from loan impairment that can be utilized in future periods with no specified time limit and according to current tax legislation of each jurisdiction and to accounting debt write-offs according to Law 4172/2013 as amended by Law 4465/2017 in March 2017;
- (c) € 239 million refer to the unamortized part of the crystallized tax loss arising from NPLs write-offs and disposals, which are subject to amortization (i.e. 1/20 of losses per year starting from year 2016 and onwards), according to Law 4172/2013 as amended by Law 4465/2017 in March 2017;
- (d) € 22 million refer to unused tax losses. The ability to utilize tax losses carried forward mainly expires in 2020;
- (e) € 31 million mainly refer to deductible temporary differences related to the (unamortized for tax purposes) costs directly attributable to Bank's share capital increases, subject to 10 years' amortization according to tax legislation in force at the year they have been incurred; and
- (f) € 351 million refer to other deductible temporary differences (i.e. valuation losses, provisions for pensions and other post-retirement benefits, etc.) the majority of which can be utilized in future periods with no specified time limit and according to the applicable tax legislation of each jurisdiction.

Assessment of the recoverability of deferred tax assets

The recognition of the above presented deferred tax assets is based on management's assessment, as at 31 December 2017, that the Group's legal entities will have sufficient future taxable profits, against which the unused tax losses, the deductible temporary differences, as well as the losses from PSI+ and the Greek state's debt buyback program can be utilized. The deferred tax assets are determined on the basis of the tax treatment of each deferred tax asset category, as provided by the applicable tax legislation of each jurisdiction, the eligibility of carried forward losses for offsetting with future taxable profits and the actual tax results for the year ended 31 December 2017. Additionally, the Group's assessment on the recoverability of recognized deferred tax assets is based on (a) the future performance expectations (projections of operating results) and growth opportunities relevant for determining the expected future taxable profits, (b) the expected timing of reversal of the deductible and taxable temporary differences, (c) the probability that the Group entities will have sufficient taxable profits in the future, in the same period as the reversal of the deductible and taxable temporary differences (i.e. profits/ losses on sale of investments or other assets, etc.) or in the years into which the tax losses can be carried forward, and (d) the historical levels of Group entities' performance in combination with the previous years' tax losses caused by one off or non-recurring events.

For the year ended 31 December 2017 the Group has conducted a deferred tax asset (DTA) recoverability assessment based on its three-year Business Plan that was approved by the Board of Directors in January 2018 and provides outlook of its profitability and capital position for the period up to the end of 2020. The said Business Plan has also been submitted to the Hellenic Financial Stability Fund (HFSF) and to the Single Supervisory Mechanism (SSM).

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For the years beyond 2020, the forecast of operating results was based on the management projections considering the growth opportunities of the Greek economy, the banking sector and the Group itself.

The level of the abovementioned projections adopted in the Group's Business Plan is mainly based on assumptions and estimates regarding (a) the further reduction of its funding cost driven by the gradual elimination of the Emergency Liquidity Assistance (ELA), the gradual repatriation of customer deposits replacing more expensive funding sources, and the further decrease of the respective interest rates, (b) the lower loan impairment losses as a result of the macroeconomic conditions in Greece that are expected to improve gradually and the strategic initiatives in line with the Non-Performing Exposures (NPEs) strategy that the Group has committed to the SSM, regarding the effective management of its troubled assets' portfolio, (c) the effectiveness of the continuous cost containment initiatives, and (d) the gradual restoration of traditional commission income, such as asset management and network fees and commissions relating with capital markets and investment banking activities.

The implementation of the abovementioned Business Plan largely depends on the risks and uncertainties that stem from the macroeconomic environment in Greece as well as in the countries that the Group operates (note 2.1).

Legal framework for tax credit against the Greek State and tax regime for loan losses

According to article 27A of Law 4172/2013, which is applicable to Greek financial institutions, including leasing and factoring companies, deferred tax assets that have been recognized by the Bank due to (a) losses from the Private Sector Involvement (PSI) and the Greek State Debt Buyback Program, and (b) accumulated provisions and other losses in general due to credit risk (provisions and credit losses) which were accounted as at 30 June 2015, will be converted into directly enforceable claims (tax credit) against the Greek State, in accordance with the law provisions, provided that the Bank's after tax accounting result for the period, is a loss. For the year ended 31 December 2017, the Bank's after tax result amounted to a gain of € 11 million, while deferred tax assets eligible for conversion to tax credits amounted to € 3,952 million.

According to article 43 of Law 4465/2017 (voted by the Greek Parliament in March 2017), which amended Law 4172/2013 with effect from 2016 onwards, the existing legislative framework regarding eligible DTAs/ deferred tax credits (DTCs) accounted for on the accumulated provisions and other losses in general due to credit risk (case (b) above) was revised and tax regime for loan losses was reformed. More specifically, the cumulative DTC will be calculated by applying the current corporate tax rate (on condition that this will not exceed the tax rate that was applicable for tax year 2015, i.e. 29%) on the sum of (i) the unamortized part of the crystallized loan losses from write-offs and disposals, (ii) the accounting debt write-offs and (iii) the remaining accumulated provisions recorded up to 30 June 2015.

The above tax reform provides for a gradual amortization over a twenty-year period of the crystallized tax loss arising from NPLs write-offs and disposals, maintaining the DTC status during all this period, while it disconnects the accounting write-offs from crystallized debt write-offs.

This aforementioned treatment (i.e. extension of the loan loss utilization for a longer period instead of an immediate one-off deduction subject to a five-year carry forward limitation period) safeguards the recovery of the deferred tax asset recorded on NPLs.

The new rules related to the method of calculating the DTC safeguard the Bank's regulatory capital structure, while they contribute substantially to the achievement of the NPEs reduction targets, through the acceleration of write-offs and disposals.

In May 2017, according to article 82 of Law 4472/2017, which further amended article 27A of Law 4172/2013, an annual fee of 1.5% is imposed on the excess amount of deferred tax assets guaranteed by the Greek State, stemming from the difference between the current tax rate (i.e. 29%) and the tax rate applicable on 30 June 2015 (i.e. 26%). For the year ended 31 December 2017, an amount of € 14 million has been recognized in "Other income/(expenses)" of which an amount of € 7 million refers to the respective fee for the year 2016.

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17. Discontinued operations

Romanian subsidiaries classified as held for sale

On 15 September 2017, the Bank announced that it has entered into negotiations with Banca Transilvania with regards to the potential sale of Bancpost S.A., ERB Retail Services IFN S.A. and ERB Leasing IFN S.A. in Romania (Romanian disposal group). The sale was considered highly probable, therefore, as of 30 September 2017 Romanian disposal group was classified as held for sale. The Romanian disposal group is part of the Group's operations in Romania, which are presented in the International segment.

On 24 November 2017, the Bank announced that it has reached an agreement with Banca Transilvania with regards to the above sale. The transaction is expected to be finalized shortly after all required legal procedures are completed.

For the year ended 31 December 2017, in accordance with IFRS 5, impairment losses of € 90 million were recognized from measuring the Romanian disposal group at the lower of its carrying amount and fair value less estimated costs to sell. The fair value less estimated costs to sell of the Romanian disposal group has been determined based on the terms of the aforementioned agreement with Banca Transilvania. This is a non-recurring fair value measurement, categorized as Level 3 in the fair value hierarchy due to the significance of the unobservable inputs. The impairment losses were allocated to the non-current assets (€ 7 million), intangible assets (€ 25 million), loans and advances to customers (€ 30 million) and other assets (€ 28 million) of the disposal group.

The results of the Romanian disposal group are set out below:

	Year ended 31 December	
	2017	2016
	€ million	€ million
Net interest income	98	94
Net banking fee and commission income	22	22
Gains less losses from investment securities	5	15
Other income/(expenses)	2	(7)
Operating expenses	(89)	(89)
Profit before impairments, remeasurement losses and provisions from discontinued operations	38	35
Impairment and remeasurement losses on loans and advances	(35)	(34)
Remeasurement losses on non current and other assets	(60)	-
Other impairment losses and provisions	(10)	(4)
Loss before tax from discontinued operations	(67)	(3)
Income tax ⁽¹⁾	(4)	3
Profit/ (loss) after tax from discontinued operations	(71)	0
Net profit from discontinued operations attributable to non controlling interests	0	0
Net profit/ (loss) from discontinued operations attributable to shareholders	(71)	0

⁽¹⁾ Following the classification of Romanian disposal group as held for sale, the Bank recognised a DTA of € 9 million for the year ended 31 December 2017 on the tax deductible temporary differences associated with its investment in Bancpost S.A. and the estimated costs to sell (note 16).

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The major classes of assets and liabilities of Romanian subgroup classified as held for sale are as follows:

	31 December 2017 € million
Loans and advances to customers	1,254
Available-for-sale investment securities	328
Cash and balances with central banks	333
Due from credit institutions	243
Financial instruments at fair value through profit or loss	26
Total assets of disposal group classified as held for sale	2,184
Due to customers	1,831
Due to credit institutions	93
Other liabilities	35
Total liabilities of disposal group classified as held for sale	1,959
Net Intragroup assets associated with the Romanian disposal group	30
Net assets of disposal group classified as held for sale	255
Net assets of disposal group classified as held for sale attributable to non controlling interests	2
Net assets of disposal group classified as held for sale attributable to shareholders	253

As at 31 December 2017, cumulative losses (mainly currency translation differences) attributable to shareholders recognised in other comprehensive income amounted to € 42 million (31 December 2016: € 30 million).

Disposal of Grivalia subgroup

In June 2017, Grivalia subgroup (Grivalia Properties R.E.I.C. and its subsidiaries) was classified as a disposal group held for sale, as the sale of the Bank's entire holding of 20% in the share capital of Grivalia Properties R.E.I.C. was considered highly probable.

The held for sale operations of Grivalia subgroup included: a) Grivalia Properties R.E.I.C. and its subsidiaries in Greece and Luxembourg, which were presented in other operations segment, and b) Grivalia's subsidiaries in Romania and Serbia, which were presented in International segment.

The results of Grivalia subgroup including the gain/(loss) on disposal are set out below:

	For the period ended	
	30 June 2017 € million	31 December 2016 € million
Net interest income	(1)	(2)
Income from non banking services	32	62
Operating expenses	(11)	(21)
Profit before impairments from discontinued operations	20	39
Other impairment losses	0	(7)
Share of results of associates and joint ventures	(0)	1
Profit before tax from discontinued operations	20	33
Income tax	(5)	(9)
Profit after tax from discontinued operations before gain/(loss) on disposal	15	24
Gain/(loss) on disposal before tax (see below)	(0)	-
Income tax on gain/ (loss) on disposal (see below)	(5)	-
Profit after tax from discontinued operations	10	24
Net profit from discontinued operations attributable to non controlling interests	11	19
Net profit/(loss) from discontinued operations attributable to shareholders	(1)	5

Notes to the Consolidated Financial Statements

The major classes of assets and liabilities of Grivalia subgroup were as follows:

	30 June 2017 € million
Investment property	574
Property, plant and equipment	241
Due from credit institutions	49
Investments in associates and joint ventures	33
Other assets	38
Total assets of disposal group classified as held for sale ⁽¹⁾	935
Due to credit institutions	50
Other liabilities	26
Total liabilities of disposal group classified as held for sale	76
Net intragroup liabilities associated with Grivalia subgroup	53
Net assets of disposal group classified as held for sale	806
Net assets of disposal group classified as held for sale attributable to non controlling interests	634
Net assets of disposal group classified as held for sale attributable to shareholders	172

⁽¹⁾ Includes cash and cash equivalents of € 51 million.

Up to the date of disposal, cumulative losses (mainly currency translation differences) attributable to shareholders recognized in other comprehensive income that related to Grivalia subgroup, amounted to € 4 million.

On 4 July 2017, the Bank announced the successful sale of its shareholding in Grivalia Properties R.E.I.C., via an institutional private placement by way of an accelerated bookbuild offering to institutional investors at a price of € 8.80 per share, for a total cash consideration of € 178 million. The effect of the disposal resulted to € 5 million loss after tax, including selling costs of € 2.5 million, recylement to the income statement of the aforementioned € 4 million cumulative losses, previously recognized in other comprehensive income and tax expense € 4.6 million. The transaction, which was in line with the Bank's restructuring plan, was capital accretive for the Group, as it increased its common equity Tier 1 ratio (based on the full implementation of the Basel III rules) by 30 bps, mainly due to deconsolidation of risk weighted assets of approximately € 875 million.

Disposal of Insurance operations

On 22 December 2015, the Group announced that it has reached an agreement with Fairfax Financial Holdings Limited (Fairfax) to sell 80% of Eurolife ERB Insurance Group Holdings S.A. (Eurolife) (the Transaction). Accordingly, as of that date the Group's insurance operations were classified as held for sale.

On 4 August 2016, the Transaction which was in line with the Bank's restructuring plan (note 6), was completed and the retained 20% interest in Eurolife was recognized as an associate. The Transaction included: (a) Eurolife's Greek life and non-life insurance activities and Eurolife's brokerage subsidiary in Greece, which were presented in Wealth management segment, (b) Eurolife's Romanian life and non-life insurance activities, which were presented in International segment and (c) the bancassurance agreements between Eurolife subsidiaries and Eurobank, for the exclusive distribution of insurance products in Greece and Romania through Eurobank's sales network.

For the year ended 31 December 2016, the net profit attributable to the Group's insurance operations amounted to € 77 million, including the recylement to the income statement of € 81 million cumulative gains, previously recognised in other comprehensive income.

Disposal of operations in Ukraine

In December 2016, the disposal of the held for sale Group's operations in Ukraine (including Public J.S.C. Universal Bank) was completed. In particular, on 23 December 2016, in line with the Bank's restructuring plan, Eurobank and TAS group concluded on the acquisition of Public J.S.C. Universal Bank by the latter. For the year ended 31 December 2016, the net loss attributable to the

Notes to the Consolidated Financial Statements

Group's operations in Ukraine amounted to € 68 million, including the recyclement to the income statement of € 68 million cumulative losses, previously recognized in other comprehensive income.

Further information in relation to the disposal of the Group's Insurance and Ukrainian operations is provided in note 17 of the consolidated financial statements for the year ended 31 December 2016.

18. Earnings per share

Basic earnings per share is calculated by dividing the net profit attributable to ordinary shareholders by the weighted average number of ordinary shares in issue during the period, excluding the average number of ordinary shares purchased by the Group and held as treasury shares.

The diluted earnings per share is calculated by adjusting the weighted average number of ordinary shares outstanding to assume conversion of all potentially dilutive ordinary shares. The Group has issued convertible, subject to certain conditions preferred securities (Series D, note 42). Until 31 December 2017, the potential ordinary shares which could result from the conversion of the aforementioned preferred securities were not deemed to be issuable on the basis of the restrictions in force relevant to the restructuring plan (note 6). Accordingly, the Series D of preferred securities was not included in the calculation of diluted earnings per share.

		Year ended 31 December	
		2017	2016
Net profit for the year attributable to shareholders	€ million	104	235
Net profit for the year from continuing operations attributable to shareholders	€ million	176	222
Weighted average number of ordinary shares in issue for basic and diluted earnings per share	Number of shares	2,183,903,315	2,185,306,836
Earnings per share			
- Basic and diluted earnings per share	€	<u>0.05</u>	<u>0.11</u>
Earnings per share from continuing operations			
- Basic and diluted earnings per share	€	<u>0.08</u>	<u>0.10</u>

Basic and diluted losses per share from discontinued operations for the year ended 31 December 2017 amounted to € 0.03 (31 December 2016: € 0.006 basic earnings per share).

Post balance sheet event

Following the lift of the above restrictions as of 1 January 2018, the diluted earnings per share, taking into account the potential ordinary shares which could result from the conversion of Series D preferred securities, does not differ from the basic earnings per share as presented above.

19. Cash and balances with central banks

	2017	2016
	€ million	€ million
Cash in hand	421	520
Balances with central banks	1,103	957
Total	<u>1,524</u>	<u>1,477</u>
of which:		
Mandatory and collateral deposits with central banks	<u>421</u>	<u>580</u>

Mandatory deposits with central banks include deposits of € 421 million (2016: € 580 million) with the Bank of Greece and other central banks which represent the minimum level of average monthly deposits which the banks are required to maintain; the majority can be withdrawn at any time provided the average monthly minimum deposits are maintained.

Notes to the Consolidated Financial Statements

20. Cash and cash equivalents and other information on cash flow statement

For the purpose of the cash flow statement, cash and cash equivalents comprise the following balances with original maturities of three months or less:

	2017 € million	2016 € million
Cash and balances with central banks (excluding mandatory and collateral deposits with central banks)	1,103	736
Due from credit institutions	598	692
Financial instruments at fair value through profit or loss	3	-
Cash and cash equivalents presented within assets of disposal groups classified as held for sale	439	269
Total	2,143	1,697

Other (income)/losses on investment securities presented in continuing operating activities are analyzed as follows:

	2017 € million	2016 € million
Amortisation of premiums/discounts and accrued interest	(59)	(61)
(Gains)/losses from investment securities	(73)	(120)
Dividends	(3)	(1)
Total	(135)	(182)

For the year ended 31 December 2016, other adjustments on profit before income tax from continuing operations included the gain on the acquisition of the Alpha Bank's Branch in Bulgaria, amounting to € 55 million (note 27).

Changes in liabilities arising from financing activities

During the year ended 31 December 2017, changes in the Group's liabilities arising from financing activities, i.e., debt securities in issue (note 37), are attributable to debt issued and repaid amounting to € 496 million and € 51 million, respectively. Non cash changes during the year included mainly accrued interest of € 2 million.

21. Due from credit institutions

	2017 € million	2016 € million
Pledged deposits with banks	1,513	1,945
Placements and other receivables from banks	312	618
Current accounts and settlement balances with banks	298	196
Total	2,123	2,759

As at 31 December 2017, the Group's pledged deposits with banks mainly included collaterals on risk mitigation contracts for derivative transactions and repurchase agreements (CSAs, GMRAs). In addition, an amount of € 13 million is included related with the disposal of the Group's Turkish operations (2016: € 15 million).

The Group's exposure arising from credit institutions, as categorized by counterparty's geographical region, is presented in the following table:

	2017 € million	2016 € million
Greece	8	32
Other European countries	1,910	2,540
Other countries	205	187
Total	2,123	2,759

Notes to the Consolidated Financial Statements

22. Financial instruments at fair value through profit or loss

	2017 € million	2016 € million
Debt securities		
- Greek government bonds	9	2
- Greek government treasury bills	0	0
- Other government bonds	9	54
- Other issuers	2	3
	<u>20</u>	<u>59</u>
Equity securities	<u>29</u>	<u>12</u>
Total	<u>49</u>	<u>71</u>

23. Derivative financial instruments and hedge accounting

The Group uses derivative financial instruments both for hedging and non-hedging purposes.

The table below presents the fair values of the Group's derivative financial instruments by product type and hedge relationship along with their notional amounts. The notional amounts of derivative instruments provide a basis for comparison with instruments recognized on the balance sheet but do not necessarily indicate the amounts of future cash flows involved or the current fair value of the instruments and, therefore, are not indicative of the Group's exposure at the reporting date.

	31 December 2017			31 December 2016		
	Contract/ notional amount € million	Fair values		Contract/ notional amount € million	Fair values	
		Assets € million	Liabilities € million		Assets € million	Liabilities € million
Derivatives that do not qualify for hedge accounting and held for trading						
- Interest rate swaps	16,404	1,734	1,278	16,716	1,760	1,517
- Interest rate options	3,490	32	87	3,225	52	112
- Cross currency interest rate swaps	780	17	30	1,312	50	130
- Currency forwards/currency swaps	1,585	11	13	1,038	17	11
- Currency options	1,209	13	9	449	2	3
- Commodity derivatives	88	4	4	126	7	7
- Warrants	3	0	-	1,381	3	-
- Credit default swaps	458	-	5	-	-	-
- Other (see below)	157	0	0	29	0	0
		<u>1,811</u>	<u>1,426</u>		<u>1,891</u>	<u>1,780</u>
Derivatives designated as fair value hedges						
Interest rate swaps	1,684	10	313	971	2	380
		<u>10</u>	<u>313</u>		<u>2</u>	<u>380</u>
Derivatives designated as cash flow hedges						
- Interest rate swaps	134	0	50	234	0	62
- Cross currency interest rate swaps	3,032	56	64	3,291	87	219
		<u>56</u>	<u>114</u>		<u>87</u>	<u>281</u>
Derivatives designated as net investment hedges						
- Currency forwards/currency swaps	210	1	0	-	-	-
		<u>1</u>	<u>0</u>		<u>-</u>	<u>-</u>
Total derivatives assets/liabilities		<u>1,878</u>	<u>1,853</u>		<u>1,980</u>	<u>2,441</u>

Notes to the Consolidated Financial Statements

Other derivative contracts include exchange traded equity, currency and interest futures and exchange traded equity options.

Information on the fair value measurement and offsetting of derivatives is provided in notes 7.3 and 7.2.1.4, respectively.

The Group uses certain derivatives and other financial instruments, designated in a qualifying hedge relationship, to reduce its exposure to market risks. The hedging practices applied by the Group, as well as the relevant accounting treatment are disclosed in note 2.2.3. In particular:

(a) Fair value hedges

The Group hedges a proportion of its existing interest rate risk resulting from any potential change in the fair value of fixed rate debt securities held or fixed rate loans, denominated both in local and foreign currencies, using interest rate swaps. In 2017, the Group recognized a gain of € 71 million (2016: € 30 million loss) from changes in the fair value of the hedging instruments and € 73 million loss (2016: € 31 million gain) from changes in the fair value of the hedged items attributable to the hedged risk.

(b) Cash flow hedges

The Group hedges a proportion of its existing interest rate and foreign currency risk resulting from any cash flow variability on floating rate performing customer loans or deposits, denominated both in local and foreign currency, or unrecognized highly probable forecast transactions, using interest rate and cross currency interest rate swaps. In 2017, the ineffectiveness recognized in the income statement that arose from cash flow hedges was nil (2016: nil).

(c) Net investment hedges

The Group hedges part of the currency translation risk of net investments in foreign operations, including any monetary items that form part of the net investment, using derivative financial instruments and/or borrowings designated as hedging instruments, the results of which are recognized in the currency translation reserve of other comprehensive income. In 2017, borrowings of € 296 million denominated in RON 1.4 bn (2016: € 329 million denominated in RON 1.5 bn), gave rise to currency gains of € 8 million (2016: € 1 million gains).

In addition, the Group uses other derivatives, not designated in a qualifying hedge relationship, to manage its exposure primarily to interest rate and foreign currency risks. Non qualifying hedges are derivatives entered into as economic hedges of assets and liabilities for which hedge accounting was not applied. The said derivative instruments are monitored and have been classified for accounting purposes along with those held for trading.

The Group's exposure in derivative financial instruments, as categorized by counterparty's geographical region and industry sector, is presented in the following table:

	31 December 2017			
	Greece € million	Other European countries € million	Other countries € million	Total € million
Sovereign	1,197	-	-	1,197
Banks	0	528	79	607
Corporate	72	1	1	74
Total	1,269	529	80	1,878

	31 December 2016			
	Greece € million	Other European countries € million	Other countries € million	Total € million
Sovereign	1,119	-	-	1,119
Banks	0	354	429	783
Corporate	78	0	0	78
Total	1,197	354	429	1,980

Notes to the Consolidated Financial Statements

24. Loans and advances to customers

	2017 € million	2016 ⁽¹⁾ € million
Wholesale lending	18,351	19,335
Mortgage lending	16,667	17,844
Consumer lending	5,251	6,328
Small business lending	6,973	7,149
	47,242	50,656
Less: Impairment allowance (note 25)	(10,134)	(11,598)
Total	37,108	39,058

⁽¹⁾ As at 31 December 2016, gross loans and advances to customers and impairment allowance relating to Romanian subsidiaries classified as held for sale (note 17) amounted to € 1,461 million and € 143 million, respectively.

For the year ended 31 December 2017, gross loans have decreased by approximately € 0.6 bn, due to the depreciation of CHF and USD against Euro.

As of 30 September 2014, in accordance with IAS 39 'Financial Instruments: Recognition and Measurement', the Group has elected to reclassify certain impaired corporate bond loans from the 'Available-for-sale' portfolio to 'Loans and advances to customers' portfolio that met the definition of loans and receivables and the Group has the intention and ability to hold them for the foreseeable future or until maturity. The reclassifications were made with effect from 30 September 2014 at the loans' fair value of € 150 million (gross amount of € 592 million less fair value adjustment of € 442 million), which became their amortized cost at the reclassification date.

As at 31 December 2017, the carrying amount of these loans is € 85 million which approximates their fair value. No amounts would have been recognized in the OCI had these financial assets not been reclassified.

Non-performing loans sale transactions

In November 2017 the Bank, in line with its NPE reduction plan, completed the sale of a non-performing unsecured consumer loan portfolio of total principal amount of € 1.5 bn to Intrum Hellas DAC (Intrum), a company controlled by Intrum Group for a cash consideration of € 35 million. The on balance sheet exposure amounted to € 608 million and carried an impairment allowance of € 584 million. Accordingly, the Group recorded a gain of € 8.5 million, net of selling costs of € 2 million, in 'Other income/(expenses)' and its NPE ratio was reduced by ca 70 bps. The servicing of the portfolio has been assigned to Financial Planning Services S.A. (FPS).

In the first quarter of 2016, Eurobank's Bulgarian subsidiary Eurobank Bulgaria A.D. completed the profitable assignment of a portfolio of non-performing consumer unsecured gross loans of € 72 million (€ 9 million, net of impairment allowance), which resulted in a gain of € 5 million, that has been recognized in 'Other income/(expenses)'.

In the second quarter of 2016, Eurobank's Romanian subsidiaries Bancpost S.A. and ERB Retail Services IFN S.A., and its Dutch subsidiary ERB New Europe Funding II B.V. completed the assignment of a portfolio of non-performing gross loans of € 162 million (€ 55 million, net of provision for impairment), which resulted in a gain of € 16 million, that has been recognized in 'Other income/(expenses)' and in a loss of € 10 million in the results from discontinued operations (note 17).

In the fourth quarter of 2016, following an international competitive process, the Bank reduced its exposure to Marfin Investment Group (MIG) through the sale of a corporate bond loan issued by MIG of € 150 million (€ 125 million, net of impairment allowance) to funds managed by Fortress Investment Group LLC. The disposal was P&L and capital neutral for the Group.

The aforementioned transactions are in line with the Group's strategy for the reduction of the NPLs, the risk weighted assets and the operating costs associated with the activities of servicing the said portfolios.

Notes to the Consolidated Financial Statements

Loans and advances to customers include finance lease receivables, as detailed below:

	2017 € million	2016 € million
Gross investment in finance leases receivable:		
Not later than 1 year	526	522
Later than 1 year and not later than 5 years	282	354
Later than 5 years	631	714
	1,439	1,590
Unearned future finance income on finance leases	(119)	(153)
Net investment in finance leases	1,320	1,437
Less: Impairment allowance	(490)	(520)
Total	830	917
The net investment in finance leases is analysed as follows:		
Not later than 1 year	504	495
Later than 1 year and not later than 5 years	226	271
Later than 5 years	590	671
	1,320	1,437
Less: Impairment allowance	(490)	(520)
Total	830	917

25. Impairment allowance for loans and advances to customers

The movement of the impairment allowance for loans and advances to customers by product line is as follows:

	31 December 2017				
	Wholesale € million	Mortgage € million	Consumer € million	Small business € million	Total € million
Balance at 1 January	4,509	2,272	2,732	2,085	11,598
Impairment loss for the year	185	248	196	121	750
Recoveries of amounts previously written off	5	1	7	2	15
Amounts written off/ sales ⁽²⁾	(840)	(59)	(770)	(35)	(1,704)
NPV unwinding	(97)	(68)	(37)	(84)	(286)
Allowance for discontinued operations	(32)	(46)	(16)	(49)	(143)
Foreign exchange differences and other movements ⁽¹⁾	(59)	(30)	(36)	29	(96)
Balance at 31 December	3,671	2,318	2,076	2,069	10,134

	31 December 2016				
	Wholesale € million	Mortgage € million	Consumer € million	Small business € million	Total € million
Balance at 1 January	4,693	2,172	2,765	2,160	11,790
Impairment loss for the year ⁽³⁾	262	218	228	67	775
Recoveries of amounts previously written off	-	-	7	1	8
Amounts written off/ sales ⁽²⁾	(350)	(29)	(176)	(27)	(582)
NPV unwinding	(96)	(68)	(53)	(95)	(312)
Foreign exchange differences and other movements	-	(21)	(39)	(21)	(81)
Balance at 31 December	4,509	2,272	2,732	2,085	11,598

⁽¹⁾ It includes € 70 million impairment allowance (€ 31 million mortgage and € 39 million small business loans) relating to the sale of gross loans of € 150 million from Bancpost S.A., which has been classified as held for sale (note 17), to the Bank's subsidiary ERB New Europe Funding II B.V.

⁽²⁾ For the year ended 31 December 2017, an amount of € 584 million (2016: € 195 million) included relates to the non performing loans sale transactions (note 24).

⁽³⁾ It includes € 34 million impairment loss on loans and advances relating to discontinued operations (note 17).

The critical accounting estimates and judgments that are made by the Group's Management in assessing the impairment losses on loans and advances to customers are evaluated constantly, particularly in circumstances of economic uncertainty, based on the latest available information and expectations of future events that are considered reasonable, as described in note 3.1.

Notes to the Consolidated Financial Statements

26. Investment securities

	2017 € million	2016 ⁽¹⁾ € million
Available-for-sale investment securities	5,509	3,670
Debt securities lending portfolio (restated, note 52)	1,654	8,282
Held-to-maturity investment securities	442	566
Total	7,605	12,518

⁽¹⁾ As at 31 December 2016, investment securities relating to Romanian subsidiaries classified as held for sale (note 17) amounted to € 319 million.

In 2008 and 2010, in accordance with the amendments to IAS 39 'Financial Instruments: Recognition and Measurement', the Group reclassified eligible debt securities from the 'Available-for-sale' portfolio to 'Debt securities lending' portfolio carried at amortized cost. Interest on the reclassified securities continued to be recognized in interest income using the effective interest rate method. As at 31 December 2017, the carrying amount of the reclassified securities was € 919 million. Had the financial assets not been reclassified, changes in the fair value for the period from the reclassification date until 31 December 2017 would have resulted in € 327 million losses net of tax, which would have been recognized in the available-for-sale revaluation reserve.

During the year ended 31 December 2017, the Group recognized € 73 million gains presented in line 'Gains less losses from investment securities', € 30 million of which resulted from the deleveraging of its equity investments portfolio and € 43 million from bonds' transactions.

In the comparative period, a total gain of € 53 million was recognized following the completion of the acquisition of Visa Europe Ltd by Visa Inc., € 10 million of which are related to the Romanian subsidiaries classified as held for sale (note 17). In addition, € 73 million gain was recorded due to the sale of EFSF bonds in accordance with the conditions applicable to the Public Sector Asset Purchase Program (PSPP).

Sale of European Financial Stability Facility (EFSF) notes

In the context of the European Stability Mechanism (ESM)/EFSF decision for the implementation of the short-term Greek debt relief measures and following the relevant Board of Directors (BoD) decision on 20 January 2017, the Bank, along with the other three systemic Greek banks, has entered into an agreement with the EFSF, the Hellenic Republic, the HFSF and the Bank of Greece on 16 March 2017 for the exchange of the EFSF floating rate notes, which had been used for the recapitalization of the Greek banking system. This agreement aims to reduce Greece's interest rate risk and smoothen its debt repayment profile. Particularly, the said EFSF notes will be exchanged at their book value with either cash or fixed rate ones with a longer maturity, which will be sold back, after a short holding period, to EFSF.

The implementation of the aforementioned agreement has been initiated in March 2017 through a series of separate monthly transactions, which will ultimately result in the sale of the Bank's EFSF floating rate notes at their book value.

In this context, during the year ended 31 December 2017, the Bank exchanged the entire position in floating rate EFSF notes of face value of € 6.6 bn, with fixed rate EFSF notes of equivalent face value. Up to 31 December 2017 and in January 2018, the exchanged fixed rate EFSF notes of face value of € 6.3 bn and € 0.3 bn respectively, were sold back to the EFSF with no effect in the Bank's income statement.

In January 2017, prior to the aforementioned BoD decision and in line with the relevant EFSF decision in April 2016 that allowed Greek banks to sell the said notes to the members of the Eurosystem in accordance with the conditions applicable to the Public Sector Asset Purchase Program (PSPP), the Bank proceeded with the sale of EFSF notes of face value of € 187 million, recognizing a gain of € 5 million in 'Gains less losses from investment securities'.

Greek Government bonds (GGBs) swap

On 15 November 2017, the Hellenic Republic, in the context of Liability Management, made an invitation to all holders of the GGBs issued under the PSI in 2012 with maturities ranging from 2023 to 2042 ("Designated Securities") to offer to exchange such securities for five new GGBs due in 2023, 2028, 2033, 2037 and 2042 ("Benchmark Notes"). The purpose of the invitation was to align the terms of the Hellenic Republic's outstanding debt with market standards for sovereign issuers in order to normalise its yield curve and provide the market with a limited series of benchmark notes, which are expected to have significantly greater liquidity than the designated ones.

Notes to the Consolidated Financial Statements

Pursuant to the above invitation, in December 2017, the Bank offered for exchange GGBs of face value € 1.1 bn. The exchange was accounted for as a modification of the Designated Securities, as the terms of the Benchmark Notes were not considered to be substantially different than those of the Designated Securities.

26.1 Classification of investment securities by type

31 December 2017				
	Available- -for-sale securities € million	Debt securities lending portfolio € million	Held-to- -maturity securities € million	Total € million
Debt securities				
- EFSF bonds	203	362	-	565
- Greek government bonds	1,557	964	-	2,521
- Greek government treasury bills	1,044	-	-	1,044
- Other government bonds	2,200	298	294	2,792
- Other issuers	419	30	148	597
	5,423	1,654	442	7,519
Equity securities	86	-	-	86
Total	5,509	1,654	442	7,605

31 December 2016				
	Available- -for-sale securities € million	Debt securities lending portfolio € million	Held-to- -maturity securities € million	Total € million
Debt securities				
- EFSF bonds	-	6,843	-	6,843
- Greek government bonds (restated, note 52)	1,039	984	-	2,023
- Greek government treasury bills	1,289	-	-	1,289
- Other government bonds	909	306	393	1,608
- Other issuers	290	149	173	612
	3,527	8,282	566	12,375
Equity securities	143	-	-	143
Total	3,670	8,282	566	12,518

26.2 Movement of investment securities

31 December 2017				
	Available- -for-sale securities € million	Debt securities lending portfolio € million	Held-to- -maturity securities € million	Total € million
Balance at 1 January	3,670	8,282	566	12,518
Additions, net of disposals and redemptions	1,779	(6,596)	(121)	(4,938)
Net gains/(losses) from changes in fair value for the year	348	-	-	348
Amortisation of premiums/discounts and interest	58	4	(3)	59
Changes in fair value due to hedging	-	(36)	-	(36)
Impairment losses/reversal	(2)	-	-	(2)
Exchange adjustments and other	(20)	0	-	(20)
Discontinued operations	(324)	-	-	(324)
Balance at 31 December	5,509	1,654	442	7,605

Notes to the Consolidated Financial Statements

	31 December 2016			
	Available- for-sale securities € million	Debt securities lending portfolio € million	Held-to- maturity securities € million	Total € million
Balance at 1 January (restated, note 52)	4,282	11,439	618	16,339
Additions, net of disposals and redemptions	(737)	(3,194)	(52)	(3,983)
Net gains/(losses) from changes in fair value for the year	51	-	-	51
Amortisation of premiums/discounts and interest (restated, note 52)	66	(13)	(1)	52
Changes in fair value due to hedging	-	45	-	45
Impairment losses/reversal	(9)	-	-	(9)
Exchange adjustments and other ⁽¹⁾	17	5	1	23
Balance at 31 December	<u>3,670</u>	<u>8,282</u>	<u>566</u>	<u>12,518</u>

⁽¹⁾ It includes € 12 million of Visa Inc. preferred shares.

26.3 Equity reserve: revaluation of the available-for-sale investments

Gains and losses arising from the changes in the fair value of available-for-sale investments are recognized in a revaluation reserve for available for sale financial assets in equity. The movement of the reserve is as follows:

	2017 € million	2016 € million
Balance at 1 January	17	51
Net gains/(losses) from changes in fair value	340	109
Tax (expense)/benefit	(96)	(33)
Revaluation reserve from associated undertakings, net of tax	52	2
	296	78
Net (gains)/losses transferred to net profit on disposal	(66)	(66)
Impairment losses transferred to net profit	1	3
Recyclement of reserve relating to discontinued operations net of tax	-	(82)
Tax (expense)/benefit on net (gains)/losses transferred to net profit on disposal	16	22
Tax (expense)/benefit on impairment losses transferred to net profit	(0)	(1)
	(49)	(124)
Net (gains)/losses transferred to net profit from fair value hedges/amortisation of mark-to-market	21	14
Tax (expense)/benefit	(3)	(2)
	18	12
Balance at 31 December	282	17

Notes to the Consolidated Financial Statements

27. Shares in subsidiary undertakings

The following is a listing of the Bank's subsidiaries at 31 December 2017, included in the consolidated financial statements for the year ended 31 December 2017:

<u>Name</u>	<u>Note</u>	<u>Percentage holding</u>	<u>Country of incorporation</u>	<u>Line of business</u>
Be Business Exchanges S.A. of Business Exchanges Networks and Accounting and Tax Services		98.01	Greece	Business-to-business e-commerce, accounting and tax services
Eurobank Asset Management Mutual Fund Mngt Company S.A.		100.00	Greece	Mutual fund and asset management
Eurobank Equities S.A.		100.00	Greece	Capital markets and advisory services
Eurobank Ergasias Leasing S.A.		100.00	Greece	Leasing
Eurobank Factors S.A.		100.00	Greece	Factoring
Eurobank FPS Loans and Credits Claim Management S.A.	a	100.00	Greece	Loans and Credits Claim Management
Eurobank Household Lending Services S.A.	h	100.00	Greece	Promotion/management of household products
Eurobank Property Services S.A.		100.00	Greece	Real estate services
Hellenic Post Credit S.A.		50.00	Greece	Credit card management and other services
Herald Greece Real Estate development and services company 1		100.00	Greece	Real estate
Herald Greece Real Estate development and services company 2		100.00	Greece	Real estate
Standard Ktimatiki S.A.	j	100.00	Greece	Real estate
Eurobank Bulgaria A.D.		99.99	Bulgaria	Banking
Bulgarian Retail Services A.D.		100.00	Bulgaria	Rendering of financial services and credit card management
ERB Property Services Sofia A.D.		100.00	Bulgaria	Real estate services
ERB Leasing E.A.D.		100.00	Bulgaria	Leasing
IMO 03 E.A.D.		100.00	Bulgaria	Real estate services
IMO Central Office E.A.D.		100.00	Bulgaria	Real estate services
IMO Property Investments Sofia E.A.D.		100.00	Bulgaria	Real estate services
ERB Hellas (Cayman Islands) Ltd		100.00	Cayman Islands	Special purpose financing vehicle
Berberis Investments Ltd		100.00	Channel Islands	Holding company
ERB Hellas Funding Ltd		100.00	Channel Islands	Special purpose financing vehicle
Eurobank Cyprus Ltd		100.00	Cyprus	Banking
CEH Balkan Holdings Ltd		100.00	Cyprus	Holding company
Chamia Enterprises Company Ltd		100.00	Cyprus	Special purpose investment vehicle
ERB New Europe Funding III Ltd		100.00	Cyprus	Finance company
Foramónio Ltd		100.00	Cyprus	Real estate
NEU 03 Property Holdings Ltd		100.00	Cyprus	Holding company
NEU II Property Holdings Ltd		100.00	Cyprus	Holding company
NEU BG Central Office Ltd		100.00	Cyprus	Holding company
NEU Property Holdings Ltd		100.00	Cyprus	Holding company
Densho Investments Ltd	k	100.00	Cyprus	Real estate
Lenevino Holdings Ltd	k	100.00	Cyprus	Real estate
Mesal Holdings Ltd	k	100.00	Cyprus	Real estate
Eurobank Private Bank Luxembourg S.A.		100.00	Luxembourg	Banking
Eurobank Fund Management Company (Luxembourg) S.A.		100.00	Luxembourg	Fund management
Eurobank Holding (Luxembourg) S.A.		100.00	Luxembourg	Holding company
ERB New Europe Funding B.V.		100.00	Netherlands	Finance company
ERB New Europe Funding II B.V.		100.00	Netherlands	Finance company
ERB New Europe Holding B.V.		100.00	Netherlands	Holding company
Bancpost S.A.	g	99.15	Romania	Banking
ERB IT Shared Services S.A.		100.00	Romania	Informatics data processing
ERB Leasing IFN S.A.	g	100.00	Romania	Leasing
ERB Retail Services IFN S.A.	g	100.00	Romania	Credit card management

Notes to the Consolidated Financial Statements

<u>Name</u>	<u>Note</u>	<u>Percentage holding</u>	<u>Country of incorporation</u>	<u>Line of business</u>
Eurobank Finance S.A. ⁽¹⁾	i	100.00	Romania	Investment banking
Eurobank Property Services S.A.		100.00	Romania	Real estate services
IMO Property Investments Bucuresti S.A.		100.00	Romania	Real estate services
IMO-II Property Investments S.A.		100.00	Romania	Real estate services
Eurobank A.D. Beograd		99.99	Serbia	Banking
ERB Leasing A.D. Beograd ⁽¹⁾	e	99.99	Serbia	Leasing
ERB Property Services d.o.o. Beograd		100.00	Serbia	Real estate services
IMO Property Investments A.D. Beograd		100.00	Serbia	Real estate services
ERB Istanbul Holding A.S.		100.00	Turkey	Holding company
ERB Hellas Plc		100.00	United Kingdom	Special purpose financing vehicle
Anaptyxi SME I Plc		-	United Kingdom	Special purpose financing vehicle
Karta II Plc		-	United Kingdom	Special purpose financing vehicle
Themeleion II Mortgage Finance Plc ⁽¹⁾		-	United Kingdom	Special purpose financing vehicle
Themeleion III Mortgage Finance Plc ⁽¹⁾		-	United Kingdom	Special purpose financing vehicle
Themeleion IV Mortgage Finance Plc ⁽¹⁾		-	United Kingdom	Special purpose financing vehicle
Themeleion Mortgage Finance Plc ⁽¹⁾		-	United Kingdom	Special purpose financing vehicle
Tegea Plc		-	United Kingdom	Special purpose financing vehicle

⁽¹⁾ Entities under liquidation at 31 December 2017.

The Group holds half of the voting rights of Hellenic Post Credit S.A. which is fully consolidated. The Bank with the consent of the other shareholder who holds the remaining 50% of the share capital, has appointed the majority of the Board's directors and directs the current operations that significantly affect the returns of the company.

The following entities are not included in the consolidated financial statements mainly due to immateriality:

(i) Holding and other entities of the Group's special purpose financing vehicles: (a) Themeleion III Holdings Ltd and Themeleion IV Holdings Ltd, which are under liquidation, (b) Anaptyxi SME I Holdings Ltd, Karta II Holdings Ltd and Tegea Holdings Ltd and (c) Themeleion V Mortgage Finance Plc, Themeleion VI Mortgage Finance Plc, Anaptyxi APC Ltd and Byzantium II Finance Plc, which are revived and under liquidation.

(ii) Dormant/under liquidation entities: Enalios Real Estate Development S.A., Hotels of Greece S.A.

(iii) Entities controlled by the Group pursuant to the terms of the relevant share pledge agreements: Finas S.A., Rovinvest S.A., Provet S.A. and Promivet S.A.

(a) Eurobank FPS Loans and Credits Claim Management S.A., Greece

In the first quarter of 2017, the company's purpose as defined in its articles of association was amended and its name was changed from Eurobank Financial Planning Services S.A. to Eurobank FPS Loans and Credits Claim Management S.A. Following the above, the company obtained a license from the Bank of Greece that allows it to operate as an independent servicer of loans granted by credit or financial institutions pursuant to the Law 4354/2015. In August 2017, Eurobank FPS Loans and Credits Claim Management S.A. merged with Eurobank Remedial Services S.A.

(b) Anaptyxi II Holdings Ltd and Anaptyxi II Plc, United Kingdom

In March 2017, the liquidation of the companies was completed.

(c) Daneion Holdings Ltd, Daneion 2007-1 Plc and Daneion APC Ltd, United Kingdom

In March 2017, the liquidation of the companies was completed.

(d) ERB Asset Fin d.o.o. Beograd, Serbia

In April 2017, the liquidation of the company was completed.

(e) ERB Leasing A.D. Beograd, Serbia

In June 2017, the liquidation of the company was decided.

(f) Eurobank ERB Mutual Funds Mngt Company S.A., Greece

In July 2017, the liquidation of the company was completed.

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(g) Bancpost S.A., ERB Retail Services IFN S.A. and ERB Leasing IFN S.A., Romania

On 24 November 2017, the Bank announced that it has reached an agreement with Banca Transilvania with regards to the sale of Bancpost S.A., ERB Retail Services IFN S.A. and ERB Leasing IFN S.A. in Romania (Romanian disposal group). The transaction is expected to be finalized shortly after all required legal procedures are completed. Further information in relation to the Romanian disposal group which has been classified as held for sale as of 30 September 2017 is provided in note 17.

(h) Eurobank Household Lending Services S.A., Greece

In December 2017, the Board of Directors of the Bank and its subsidiary Eurobank Household Lending Services S.A. decided the merger of the two companies, by absorption of the latter by the former.

(i) Eurobank Finance S.A., Romania

In December 2017, the liquidation of the company was decided.

Changes in ownership interest in subsidiaries which did not result in loss of control

(j) Standard Ktimatiki S.A., Greece

In January 2017, the Bank acquired 100% of the shares and voting rights of the real estate company Standard Ktimatiki S.A. The acquisition took place following an enforcement of collateral on the company's shares under a Group's finance lease arrangement of an outstanding amount of € 20 million (net of an impairment allowance of € 23 million), which was effectively settled at acquisition date and resulted in the recognition of € 0.75 million as the Bank's investment cost in the company.

The acquisition was accounted for as a business combination using the purchase method of accounting. At the date of acquisition, the fair value of the total assets amounted to € 22 million, while for total liabilities (mainly referring to the intragroup finance lease) amounted to € 44 million. The resulting goodwill asset of € 23 million was immediately written off against the impairment allowance of the intragroup finance lease arrangement, as it was not supported by the cash flows analysis of the specific business.

(k) Densho Investments Ltd, Lenevino Holdings Ltd and Mesal Holdings Ltd, Cyprus

In 2017, the Bank's subsidiary Eurobank Cyprus Ltd acquired 100% of the shares and voting rights of Densho Investments Ltd, Lenevino Holdings Ltd and Mesal Holdings Ltd for an immaterial cash consideration. The said transactions have taken place, in order for the entities to acquire specific properties, which were held by Eurobank Cyprus Ltd as mortgage collaterals for non performing borrowers, in the context of the reduction of the Group's non performing exposures.

In 2016, the changes in ownership in the Group's subsidiaries without loss of control, including the acquisition of Alpha Bank's Branch in Bulgaria, are as follows:

(i) Acquisition of Alpha Bank's Branch in Bulgaria by Eurobank Bulgaria A.D.

On 1 March 2016, the acquisition of the entirety of the operations of Alpha Bank's Bulgarian Branch ('Branch') by Eurobank's subsidiary in Bulgaria, Eurobank Bulgaria A.D. ('Postbank') was completed. In addition, in the context of the business combination, on 2 March 2016 the Bank acquired € 55 million of Postbank's liabilities to Alpha Bank Group. The total gain on the acquisition of the Branch, amounting to € 55 million net of acquisition-related costs of € 3 million, was attributed to the particular circumstances of the acquisition in line with the restructuring plans for Alpha Bank and Eurobank and was recognized in 'Other income/(expenses)' in the first quarter of 2016.

The results of the Branch were incorporated in the Group's financial statements prospectively, as of 1 March 2016. If the acquisition had occurred on 1 January 2016, the Branch would have contributed revenue of € 2.71 million and net loss of € 0.26 million to the Group for the period from 1 January 2016 up to the date of acquisition.

(ii) GRIVALIA subgroup (Grivalia Properties R.E.I.C. and its subsidiaries)

During the first half of 2016 the Group acquired, through Eurolife ERB Life Insurance S.A. and Eurolife ERB General Insurance S.A. 0.45% of Grivalia Properties R.E.I.C. In August 2016, following the disposal of the Group's Insurance operations (note 17), the total Group participation to GRIVALIA subgroup decreased from 20.93% to 20.00%.

Changes in ownership interest in subsidiaries which resulted in loss of control

(l) Grivalia Properties R.E.I.C., Greece and its subsidiaries

In February 2017, the participation of the Bank's subsidiary Grivalia Properties R.E.I.C in its subsidiary Grivalia Hospitality S.A. decreased from 100% to 50% following a share capital increase of € 58 million, in favor of the new shareholder of the company Eurolife ERB Life Insurance S.A. As of then and until 4 July 2017, based on the contractual terms of the shareholders' agreements,

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Grivalia Hospitality S.A. was accounted as a joint venture of the Group under the equity method. On 4 July 2017, the Group announced the completion of the sale of 20% of Grivalia Properties R.E.I.C. Hence, as of that date, Grivalia Properties R.E.I.C. and the remaining of its subsidiaries (Reco Real Property A.D., Cloud Hellas S.A., Eliade Tower S.A., Retail Development S.A., Seferco Development S.A. and Grivalia New Europe S.A.) are not consolidated (note 17).

(m) Eurobank Business Services S.A., Greece

In April 2017, the disposal of the company was completed for a total cash consideration of € 2.1 million. The resulting gain from the transaction recognized in the Group's income statement amounts to € 0.5 million.

(n) Kamlo Investments Ltd, Cyprus

In May 2017, the Bank's subsidiary Eurobank Cyprus Ltd acquired 100% of the shares and voting rights of Kamlo Investments Ltd for an immaterial cash consideration. The said transaction has taken place, in order for the entity to acquire a specific property amounting to € 1.4 million, which was held by Eurobank Cyprus Ltd as mortgage collateral for a non performing borrower, in the context of the reduction of the Group's non performing exposures. In December 2017, Eurobank Cyprus Ltd disposed of the 100% of the shares and voting rights of Kamlo Investments Ltd with a resulting gain of € 0.05 million recognized in the Group's income statement.

During 2016, the changes in ownership in the Group's subsidiaries which resulted in loss of control are as follows:

(i) Eurolife ERB Insurance Group Holdings S.A., Greece

On 4 August 2016, the Group announced the completion of the sale of 80% of Eurolife ERB Insurance Group Holdings S.A. Hence, as of that date, the company and its subsidiaries (ERB Insurance Services S.A., Eurolife ERB General Insurance S.A., Eurolife ERB Life Insurance S.A., Diethnis Ktimatiki S.A., Eurolife ERB Asigurari De Viata S.A. and Eurolife ERB Asigurari Generale S.A.) are not consolidated (notes 17 and 28).

(ii) IMO Rila E.A.D., Bulgaria

In September 2016, the Group announced the completion of the sale of 100% of IMO Rila E.A.D for a cash consideration of € 10.2 million. The resulting loss on the disposal was immaterial.

(iii) ERB Property Services Ukraine LLC, Ukraine

In September 2016, the Group disposed of ERB Property Services Ukraine LLC. The cash consideration and the resulting loss on the disposal were immaterial.

(iv) Public J.S.C. Universal Bank, Ukraine

In December 2016, the Group announced the completion of the sale of 99.99% of Public J.S.C. Universal Bank (note 17).

Post balance sheet events

Modern Hoteling S.A., Greece

In January 2018, the Bank established the wholly owned subsidiary, Modern Hoteling S.A., a real estate company operating in Greece.

ERB Lux Immo S.A., Luxembourg

In January 2018, the Bank's subsidiary Eurobank Private Bank Luxembourg S.A. acquired 100% of BHF Lux Immo S.A. At the acquisition date, according to decision of the General Meeting of the shareholders of the acquired company its name changed to ERB Lux Immo S.A.

ERB Leasing Bulgaria EAD, Bulgaria

In February 2018, the Bank established the wholly owned subsidiary ERB Leasing Bulgaria EAD, as a result of the transformation of ERB Leasing EAD through a spin-off, whereby part of the assets and liabilities of the latter were passed to the new established company.

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Group subsidiaries with material non-controlling interests

In 2016, Grivalia Properties R.E.I.C and its subsidiaries were the only of the Group's entities with material non-controlling interests amounting to 79.17%⁽¹⁾ in 2016. Financial information regarding GRIVALIA subgroup, which is before inter-company eliminations with other companies in the Group, is provided in the table below:

	31 December 2016 € million
Total income	63
Total expenses	(40)
Net profit/(loss)	23
Other comprehensive income	(0)
Total comprehensive income	23
Total comprehensive income attributable to non controlling interests	19
Total assets	881
Total liabilities	76
Net assets	805
Net assets attributable to non controlling interests	637
Net cash from/(used in) operating activities	42
Net cash from/(used in) investing activities	(39)
Net cash from/(used in) financing activities	(53)
Net increase/(decrease) in cash and cash equivalents	(50)
Cash and cash equivalents at beginning of year	112
Cash and cash equivalents at end of year	62
Dividends paid to non controlling interests	24

⁽¹⁾ After excluding Grivalia's own shares.

The GRIVALIA subgroup entities' principal country of operation was the same as the country of their incorporation, other than Grivalia Hospitality S.A., whose activity was the acquisition, development and management of hospitality real estate in Greece and abroad.

The proportion of voting rights held by non-controlling interests did not differ from the proportion of ownership interests held by them.

Significant restrictions on the Group's ability to access or use the assets and settle the liabilities of the Group

The Group does not have any significant restrictions on its ability to access or use its assets and settle its liabilities other than those resulting from regulatory, statutory and contractual requirements, as well as from the protective rights of non-controlling interests, set out below:

- Banking and other financial institution subsidiaries are subject to regulatory restrictions and central bank requirements in the countries in which the subsidiaries operate. Such supervisory framework requires the subsidiaries to maintain minimum capital buffers and certain capital adequacy and liquidity ratios, including restrictions to limit exposures and/or the transfer of funds to the Bank and other subsidiaries within the Group. Accordingly, even if the subsidiaries' financial assets are not pledged at an individual entity level, their transfer within the Group may be restricted under the existing supervisory framework. In this situation, it is not feasible to identify individual balance sheet items that cannot be transferred other than the major part of ECB's available collateral held by Group's subsidiaries (note 7.2.3).

As at 31 December 2017, the carrying amount of the Group financial institution subsidiaries' assets and liabilities, before intercompany eliminations, amounted to € 16.9 bn and € 14.7 bn, respectively (2016: € 16.8 bn and € 14.6 bn).

- Subsidiaries are subject to statutory requirements mainly relating with the level of capital and total equity that they should maintain, restrictions on the distribution of capital and special reserves, as well as dividend payments to their ordinary shareholders. Information relating to the Group's non-distributable reserves is provided in note 43.
- The Group uses its financial assets as collateral for repo and derivative transactions, secured borrowing from central and other banks, issuances of covered bonds, as well as securitizations. As a result of financial assets' pledge, their transfer within the group is not permitted. Information relating to the Group's pledged financial assets is provided in notes 21, 33 and 45.
- The Group is required to maintain balances with central banks and also posts cash collaterals for obtaining funding from Eurosystem. Information relating to mandatory and collateral deposits with central banks is provided in note 19.

Notes to the Consolidated Financial Statements

28. Investments in associates and joint ventures

As at 31 December 2017, the Group's investments in associates and joint ventures amounted to € 156 million (31 December 2016: € 101 million). The following is the listing of the Group's associates and joint ventures as at 31 December 2017:

<u>Name</u>	<u>Note</u>	<u>Country of incorporation</u>	<u>Line of business</u>	<u>Group's share</u>
Femion Ltd		Cyprus	Special purpose investment vehicle	66.45
Tefin S.A. ⁽¹⁾		Greece	Dealership of vehicles and machinery	50.00
Sinda Enterprises Company Ltd		Cyprus	Special purpose investment vehicle	48.00
Singidunum - Buildings d.o.o. Beograd	c	Serbia	Development of building projects	32.84
Alpha Investment Property Kefalariou S.A.	a	Greece	Real estate	41.67
Global Finance S.A. ⁽²⁾		Greece	Investment financing	33.82
Rosequeens Properties Ltd		Cyprus	Special purpose investment vehicle	33.33
Rosequeens Properties SRL		Romania	Real estate	33.33
Famar S.A. ⁽²⁾	b	Luxembourg	Holding company	23.55
Odyssey GP S.a.r.l.		Luxembourg	Special purpose investment vehicle	20.00
Eurolife ERB Insurance Group Holdings S.A. ⁽²⁾		Greece	Holding company	20.00

⁽¹⁾ In December 2013, the Extraordinary General Meeting of shareholders of the company decided its liquidation.

⁽²⁾ Eurolife Insurance group (Eurolife ERB Insurance Group Holdings S.A. and its subsidiaries), Global Finance group (Global Finance S.A. and its subsidiaries) and Famar group (Famar S.A. and its subsidiaries) are considered as Group's associates.

The following entities are not accounted under the equity method in the consolidated financial statements:

(i) Filoxenia S.A. which is a dormant and under liquidation associated undertaking, is not accounted under the equity method due to immateriality.

(ii) Omega Insurance and Reinsurance Brokers S.A. in which the Group holds 26.05%. The Group is not represented in the Board of Directors of the company, therefore does not exercise significant influence over it.

In addition, Femion Ltd. is accounted for as a joint venture of the Group based on the substance and the purpose of the arrangement and the terms of the shareholder's agreement which require the unanimous consent of the shareholders for significant decisions and establish shared control through the equal representation of the shareholders in the management bodies of the company.

(a) Alpha Investment Property Kefalariou S.A., Greece

In January 2017, in the context of the debt restructuring of NIKAS S.A. and its subsidiaries, the Bank acquired 41.67% of the shares and voting rights of Alpha Investment Property Kefalariou S.A. for € 0.01 million. The Bank subsequently participated, along with the other banks holding a collateralized bond loan to NIKAS S.A. (Alpha Bank and Attica Bank), in the share capital increase of Alpha Investment Property Kefalariou S.A. on a pro rata basis with € 7.5 million, out of a total amount of € 18 million.

Following the execution of the Nikas' Debt Restructuring Agreement, that includes among others the debt to asset swap of a certain real estate property, Alpha Investment Property Kefalariou S.A. acquired from NIKAS S.A. the property which served at the time as collateral to the related bond loan for a total consideration of € 17 million. The proceeds from the disposal of the property were used by NIKAS S.A. to partially settle its debt obligations against the banks.

Alpha Investment Property Kefalariou S.A. is accounted for as an associate of the Group.

(b) Famar S.A., Luxembourg

On 7 March 2017, the Bank acquired 24.37% of the shares and voting rights of Famar S.A. for a cash consideration of € 2. The acquisition took place following the execution of a Restructuring Protocol, according to which Marinopoulos Holding S.à r.l. had agreed to sell the company's shares to Eurobank, Alpha Bank, National Bank of Greece and Piraeus Bank (the Greek banks). The Bank's participation in the company's share capital was subsequently decreased to 23.55%. In accordance with the terms of the shareholders' agreement signed on 7 March 2017, the management of Famar S.A. was assumed by Pillarstone and the Greek banks. Furthermore, new funds equal to € 40 million were made available to Famar S.A. by the Greek Banks (Eurobank participated at a proportion of 24.37%) and the outstanding senior debt facility of Famar Holding was restructured. The purpose of the acquisition of Famar S.A. by the Greek banks was to maximize the potential recovery of the loans granted to Famar Group and the loans to Marinopoulos Group, which were secured by a pledge over Famar's shares.

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Based on the terms of the shareholders' agreement, the Bank has significant influence over Famar S.A. and at the same time remains the beneficiary of the share pledge agreement in relation to the aforementioned loans. As a result, the Group's proportionate share in any change in Famar S.A.'s net assets is reflected through the respective pledge securing the existing loan facilities.

(c) Singidunum - Buildings d.o.o. Beograd, Serbia

In the year ended 31 December 2017, the Group's participation in Singidunum decreased from 43.19% to 32.84%, following the share capital increases in favor of the other shareholder, Lamda Development B.V., in accordance with the relevant shareholders agreement.

(d) Grivalia Hospitality S.A., Luxembourg and Piraeus Port Plaza 1 Development S.A., Greece

On 4 July 2017, the Group announced the completion of the sale of 20% of Grivalia Properties R.E.I.C. Hence, as of that date, Grivalia Hospitality S.A. and Piraeus Port Plaza 1 Development S.A., joint ventures of Grivalia Properties R.E.I.C., were derecognized (note 17).

Post balance sheet event

Singidunum - Buildings d.o.o. Beograd, Serbia

In February 2018, the Group's participation in Singidunum decreased from 32.84% to 31.74%, following the additional share capital increase in favor of the other shareholder, Lamda Development B.V., in accordance with the relevant shareholders agreement.

Associates material to the Group

With regards to the Group's associates and joint ventures, Eurolife ERB Insurance Group Holdings S.A. is considered individually material for the Group. Financial information regarding Eurolife ERB Insurance Group Holdings S.A. is provided in the table below:

	2017 € million	2016 € million
Current assets	2,761	2,261
Non-current assets	102	83
Total assets	2,863	2,344
Current liabilities	293	346
Non-current liabilities	1,907	1,594
Total liabilities	2,200	1,940
Operating income	90	(16)
Net profit/(loss)	38	(20)
Other comprehensive income	259	11
Total comprehensive income	297	(9)
Dividends paid to the Group	8	-

The carrying amount, in aggregate, of the Group's joint ventures as at 31 December 2017 amounted to € 14 million (2016: € 17 million). The Group's share of profit and loss and total comprehensive income of the above entities was immaterial.

The carrying amount, in aggregate, of the Group's associates excluding Eurolife ERB Insurance Group Holdings S.A. which is presented above (i.e. Global Finance S.A., Alpha Investment Property Kefalariou S.A. and Odyssey GP S.a.r.l.) as at 31 December 2017 amounted to € 9 million (2016: € 3 million). The Group's share of profit and loss and total comprehensive income of the above entities was immaterial.

The Group has not recognized losses in relation to its interest in its joint ventures, as its share of losses exceeded its interest in them and no incurred obligations exist or any payments were performed on behalf of them. For the year ended 31 December 2017, the unrecognized share of losses for the Group's joint ventures amounted to € 5 million (2016: € 1.5 million). The cumulative amount of unrecognized share of losses for the joint ventures amounted to € 14 million.

The Group has no contingent liabilities regarding its participation in associates or joint ventures nor any unrecognized commitments in relation to its participation in joint ventures which could result to a future outflow of cash or other resources.

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Other than in relation to Eurolife ERB Insurance Group Holdings S.A, which is subject to regulatory and statutory restrictions and holds financial assets in order to satisfy its obligations to policy holders, no significant restrictions exist (e.g. resulting from loan agreements, regulatory requirements or other contractual arrangements) on the ability of associates or joint ventures to transfer funds to the Group either as dividends or to repay loans that have been financed by the Group.

29. Structured Entities

The Group is involved in various types of structured entities, such as securitization vehicles, mutual funds and private equity funds.

A structured entity is an entity that has been designed so that voting or similar rights are not the dominant factor in deciding who controls the entity, such as when any voting rights relate to administrative tasks only and the relevant activities are directed by means of contractual arrangements. A structured entity often has restricted activities, a narrow well-defined objective, insufficient equity to permit it to finance its activities without subordinated financial support and financing in the form of multiple contractually linked instruments to investors that create concentrations of credit or other risks.

An interest in a structured entity refers to contractual and non-contractual involvement that exposes the Group to variability of returns from the performance of the structured entity. Examples of interest in structured entities include the holding of debt and equity instruments, contractual arrangements, liquidity support, credit enhancement, residual value.

Structured entities may be established by the Group or by a third party and are consolidated when the substance of the relationship is such that the structured entities are controlled by the Group, as set out in note 2.2.1(i). As a result of the consolidation assessment performed, the Group has involvement with both consolidated and unconsolidated structured entities, as described below.

Consolidated structured entities

The Group, as part of its funding activity, enters into securitization transactions of various classes of loans (mortgage, consumer loans, credit card and bond loans), which generally result in the transfer of the above assets to structured entities (securitization vehicles), which, in turn issue debt securities held by investors and the Group's entities. A listing of the Group's consolidated structured entities is set out in note 27.

The Group monitors the credit quality of the securitizations' underlying loans, as well as the credit ratings of the debt instruments issued, when applicable, and provides either credit enhancements to the securitization vehicles and/or transfers new loans to the pool of their underlying assets, whenever necessary, in accordance with the terms of the relevant contractual arrangements in force. As at 31 December 2017, the face value of debt securities issued by the securitizations sponsored by the Group amounted to € 1,538 million, all of which were held by the Group's entities, in order to obtain collateralized funding (2016: € 3,278 million, all of which were held by the Group's entities).

The Group did not provide any non contractual financial or other support to these structured entities, and currently has no intention to do so in the foreseeable future.

Unconsolidated structured entities

The Group enters into transactions with unconsolidated structured entities, which are those not controlled by the Group, in the normal course of business, to provide fund management services and in order to take advantage of specific investment opportunities.

Group managed funds

The Group establishes and manages structured entities in order to provide customers, either retail or institutional, with investment opportunities. Accordingly, through its subsidiaries Eurobank Asset Management Mutual Fund Mngt Company S.A. and Eurobank Fund Management Company (Luxembourg) S.A., it is engaged with the management of different types of mutual funds, including fixed income, equities, funds of funds and money market.

Additionally, the Group is entitled to receive management and other fees and may hold investments in such mutual funds for own investment purposes as well as for the benefit of its customers.

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The Group is involved in the initial design of the mutual funds and, in its capacity as fund manager, takes investment decisions on the selection of their investments, nevertheless within a predefined, by relevant laws and regulations, decision making framework. Therefore, the Group has determined that it has no power over these funds.

Furthermore, in its capacity as fund manager, the Group primary acts as an agent in exercising its decision making authority over them. Based on the above, the Group has assessed that it has no control over these mutual funds and as a result does not consolidate them. The Group does not have any contractual obligation to provide financial support to the managed funds and does not guarantee their rate of return.

Non-Group managed funds

The Group purchases and holds units of third party managed funds including mutual funds, private equity and other investment funds.

Securitizations

The Group has interests in unconsolidated securitization vehicles by investing in residential mortgage backed and other asset-backed securities issued by these entities.

The table below sets out the carrying amount of the Group's interests in unconsolidated structured entities, recognized in the consolidated balance sheet as at 31 December 2017, representing its maximum exposure to loss in relation to these interests. Information relating to the total income derived from interests in unconsolidated structured entities, recognized either in profit or loss or other comprehensive income during 2017 is also provided (i.e. fees, interest income, net gains or losses on revaluation and derecognition):

31 December 2017				
Unconsolidated structured entity type				
Securitizations	Group managed funds	Non- Group managed funds	Total	
€ million	€ million	€ million	€ million	
Group's interest- assets				
Investment securities	148	19	21	188
Financial instruments held for trading	-	-	1	1
Other Assets	-	1	-	1
Total	148	20	22	190
Total income from Group interests	0	38	2	40

31 December 2016				
Unconsolidated structured entity type				
Securitizations	Group managed funds	Non- Group managed funds	Total	
€ million	€ million	€ million	€ million	
Group's interest- assets				
Investment securities	188	56	27	271
Financial instruments held for trading	-	-	1	1
Other Assets	-	1	-	1
Total	188	57	28	273
Total income from Group interests	1	32	(1)	32

In addition, as at 31 December 2017, Romanian subsidiaries classified as held for sale, held interests in Group managed funds amounting to € 18.4 million (31 December 2016: 19 million, included in above table). The related income from the abovementioned interests for the year ended 31 December 2017 amounted to € 0.2 million (31 December 2016: 0.02 million, included in above table).

Total income from Group interests in relation to Group managed funds of continued operations, amounting to € 38 million in 2017 as presented in the table above, consists mainly of income relating to management fees and other commissions for the management of funds of € 30 million, as well as gains from the sale of the Group's holdings in funds. In addition, from total income

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in relation to non-Group managed funds, amounting to € 2 million gains in 2017 as set out above, derived from gains or losses on revaluation and derecognition of interests, € 0.2 million gain have been recognized in other comprehensive income, whereas € 1.8 million relate to gains recognized in profit or loss. Income in relation to securitizations has been recognized in profit or loss.

As at 31 December 2017, the total assets of funds under the Group's management as well as those of unconsolidated securitization vehicles amounted to € 2,141 million (2016: € 2,502 million) and € 7,348 million (2016: € 8,749 million), respectively.

30. Property, plant and equipment

31 December 2017				
	Land, buildings, leasehold improvements € million	Furniture, equipment, motor vehicles € million	Computer hardware, software € million	Total € million
Cost:				
Balance at 1 January	826	220	418	1,464
Transfers from/to repossessed assets	(3)	-	-	(3)
Other transfers	(10)	-	(1)	(11)
Additions	11	12	17	40
Disposals and write-offs	(8)	(9)	(7)	(24)
Impairment	(1)	-	-	(1)
Exchange adjustments	1	0	(1)	0
Discontinued operations ⁽¹⁾	(289)	(33)	(6)	(328)
Balance at 31 December	527	190	420	1,137
Accumulated depreciation:				
Balance at 1 January	(257)	(188)	(381)	(826)
Transfers	2	-	1	3
Disposals and write-offs	6	9	7	22
Charge for the year	(14)	(7)	(13)	(34)
Exchange adjustments	(0)	(0)	1	1
Discontinued operations ⁽¹⁾	55	27	5	87
Balance at 31 December	(208)	(159)	(380)	(747)
Net book value at 31 December	319	31	40	390

31 December 2016				
	Land, buildings, leasehold improvements € million	Furniture, equipment, motor vehicles € million	Computer hardware, software € million	Total € million
Cost:				
Balance at 1 January	829	237	421	1,487
Arising from acquisitions	1	2	0	3
Transfers from/to repossessed assets	(3)	-	-	(3)
Other transfers	(2)	0	0	(2)
Additions	8	7	8	23
Disposals and write-offs	(6)	(26)	(11)	(43)
Exchange adjustments	(1)	(0)	(0)	(1)
Balance at 31 December	826	220	418	1,464
Accumulated depreciation:				
Balance at 1 January	(239)	(203)	(379)	(821)
Transfers	1	(0)	(1)	(0)
Disposals and write-offs	3	24	12	39
Charge for the year	(22)	(9)	(13)	(44)
Balance at 31 December	(257)	(188)	(381)	(826)
Net book value at 31 December	569	32	37	638

⁽¹⁾ Mainly refers to Grivalia subgroup, which was disposed on 4 July 2017 (note 17).

Leasehold improvements relate to premises occupied by the Group for its own activities.

As at 31 December 2017, assets under construction included above amount to € 1 million (2016: € 0.8 million).

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31. Investment property

The movement of investment property (net book value) is as follows:

	2017 € million	2016 € million
Cost:		
Balance at 1 January	986	997
Arising from acquisition ⁽¹⁾	21	-
Transfers from/to repossessed assets	5	22
Other transfers	10	2
Additions	2	33
Disposals and write-offs	(90)	(50)
Impairments	(7)	(18)
Discontinued operations ⁽²⁾	(626)	-
Balance at 31 December	301	986
Accumulated depreciation:		
Balance at 1 January	(81)	(72)
Disposals and write-offs	7	3
Charge for the year	(5)	(12)
Discontinued operations ⁽²⁾	55	-
Balance at 31 December	(24)	(81)
Net book value at 31 December	277	905

⁽¹⁾ Relates to the acquisition of Standard Ktimatiki S.A. (note 27).

⁽²⁾ Refers to Grivalia subgroup, which was disposed on 4 July 2017 (note 17).

In December 2017, the Bank proceeded with the sale of the real estate property on which “King George Hotel” operates, of the mobile equipment of the latter and of the relevant trademarks to Lampsa Hellenic Hotels S.A. for a total consideration of € 43 million. The resulting gain of € 6 million has been recognized in ‘Other income/(expenses)’.

During the year ended 31 December 2017, an amount of € 8 million (2016: € 52 million, including Grivalia subgroup) was recognized as rental income from investment property in income from non banking services. As at 31 December 2017 and 2016, there were no capital commitments in relation to investment property.

The fair value measurements as at 31 December 2017 for each class of investment property are presented in the below table. The main classes of investment property have been determined based on the nature, the characteristics and the risks of the Group’s properties. The fair value measurements of the Group’s investment property are categorized within level 3 of the fair value hierarchy.

	31 December 2017		31 December 2016	
	Fair Value € million	Book Value € million	Fair Value € million	Book Value € million
Residential				
International countries	35	34	47	45
Total	35	34	47	45
Commercial				
Greece	91	81	654	605
International countries	85	83	135	129
Total	176	164	789	734
Land Plots				
Greece	3	3	5	3
International countries	35	35	42	42
Total	38	38	47	45
Industrial				
Greece	7	7	50	40
International countries	35	34	44	41
Total	42	41	94	81
Total	291	277	977	905

Notes to the Consolidated Financial Statements

The basic methods used for estimating the fair value of the Group's investment property are the income approach (income capitalization/discounted cash flow method), the comparative method and the cost approach, which are also used in combination depending on the class of property being valued.

The discounted cash flow method is used for estimating the fair value of the Group's commercial investment property. Fair value is calculated through the projection of a series of cash flows using explicit assumptions regarding the benefits and liabilities of ownership (income and operating costs, vacancy rates, income growth), including the residual value anticipated at the end of the projection period. To this projected cash flows series, an appropriate, market-derived discount rate is applied to establish its present value.

Under the income capitalization method, also used for the commercial class of investment property, a property's fair value is estimated based on the normalized net operating income generated by the property, which is divided by the capitalization rate (the investor's rate of return).

The comparative method is used for the residential, commercial and land plot classes of investment property. Fair value is estimated based on data for comparable transactions, by analyzing either real transaction prices of similar properties, or by asking prices after performing the necessary adjustments.

The cost approach is used for estimating the fair value of the residential and the industrial classes of the Group's investment property. This approach refers to the calculation of the fair value based on the cost of reproduction/replacement (estimated construction costs), which is then reduced by an appropriate rate to reflect depreciation.

The Group's investment property valuations are performed taking into consideration the highest and best use of each asset that is physically possible, legally permissible and financially feasible.

32. Intangible assets

The movement of computer software and other intangibles is as follows:

	2017 € million	2016 € million
Cost:		
Balance at 1 January	403	361
Transfers	1	(0)
Additions	54	43
Disposals and write-offs ⁽¹⁾	(34)	(1)
Exchange adjustments and other	1	0
Discontinued operations	(52)	-
Balance at 31 December	373	403
Accumulated amortisation:		
Balance at 1 January	(258)	(234)
Transfers	(1)	1
Amortisation charge for the year	(24)	(26)
Disposals and write-offs ⁽¹⁾	34	1
Exchange adjustments	(1)	0
Discontinued operations	29	-
Balance at 31 December	(221)	(258)
Net book value at 31 December	152	145

⁽¹⁾ For the year ended 31 December 2017, an amount of € 29 million refers to write-offs of intangible assets, which were fully amortised in previous years.

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33. Other assets

	2017 € million	2016 € million
Receivable from Deposit Guarantee and Investment Fund	704	695
Repossessioned properties and relative prepayments	375	406
Pledged amount for a Greek sovereign risk financial guarantee	241	242
Income tax receivable	147	192
Other guarantees	62	74
Prepaid expenses and accrued income	82	57
Other assets	113	185
Total ⁽¹⁾	1,724	1,851

⁽¹⁾ As at 31 December 2017, Investments in associates and joint ventures have been presented as a separate line on the face of balance sheet. Comparative information has been adjusted accordingly.

As at 31 December 2017, other assets amounting to € 113 million include, among others, receivables related to (a) settlement balances with customers, (b) public entities, (c) legal cases, net of provisions and (d) brokerage activity.

34. Due to central banks

	2017 € million	2016 € million
Secured borrowing from ECB and BoG	9,994	13,906

As at 31 December 2017, the Bank's dependency on Eurosystem financing facilities decreased to € 10 bn (of which € 7.9 bn funding from ELA), mainly due to asset deleveraging, deposit inflows, increased market repos on covered bonds and Greek Treasury bills and a € 500 million covered bond issue to international and domestic investors (note 37) (31 December 2016: € 13.9 bn, of which € 11.9 bn from ELA). Furthermore, the Bank replaced € 1.3 bn funding from ECB's main refinancing operations (MROs) with ECB's targeted longer-term refinancing operations (TLTROs). The Eurosystem funding further declined to € 7.1 bn on 28 February 2018, of which € 5.7 bn from ELA.

35. Due to credit institutions

	2017 € million	2016 ⁽¹⁾ € million
Secured borrowing from credit institutions	3,368	7,275
Borrowings from international financial and similar institutions	491	362
Interbank takings	6	50
Current accounts and settlement balances with banks	132	74
Other borrowings	-	19
Total	3,997	7,780

⁽¹⁾ As at 31 December 2016, due to credit institutions relating to Romanian subsidiaries classified as held for sale (note 17) amounted to € 130 million.

As at 31 December 2017, the majority of secured borrowing transactions with other banks were conducted with foreign financial institutions with collaterals Greek treasury bills and covered bonds issued by the Bank (notes 26 and 37). As at 31 December 2017, borrowings from international financial and similar institutions include borrowings from European Investment Bank, European Bank for Reconstruction and Development and other similar institutions, of which secured borrowing amounted to € 19 million (2016: € 58 million).

Notes to the Consolidated Financial Statements

36. Due to customers

	2017 € million	2016 ⁽¹⁾ € million
Savings and current accounts	19,412	19,124
Term deposits	14,370	14,806
Repurchase agreements	53	53
Other term products (note 37)	8	48
Total	33,843	34,031

⁽¹⁾ As at 31 December 2016, Due to customers relating to Romanian subsidiaries classified as held for sale (note 17) amounted to € 1,939 million.

As at 31 December 2017, the carrying amount of structured deposits designated at fair-value-through-profit-or-loss was € 2 million (2016: € 3 million) and their cumulative fair value change was € 0.1 million gain (2016: € 1 million gain), which is attributable to changes in market conditions.

The fair value change of structured deposits is offset in the income statement against changes in the fair value of structured derivatives.

The difference between the carrying amount and the contractual undiscounted amount that will be required to be paid at the maturity of the structured deposits was € 0.1 million (2016: € 1 million).

The other term products relate to senior medium-term notes held by Group's customers, amounting to € 8 million (31 December 2016: € 16 million). The subordinated notes held by Group's customers, matured in June 2017 (31 December 2016: € 32 million).

37. Debt securities in issue

	2017 € million	2016 € million
Covered bonds	497	-
Medium-term notes (EMTN) (note 36)	52	59
Subordinated - Lower Tier 2 (note 36)	-	43
Total	549	102

As at 31 December 2017, the carrying amount of structured notes designated at fair-value-through-profit-or-loss amounted to € 3 million (2016: € 3 million) and their cumulative fair value change to € 0.6 million gain (2016: € 0.5 million gain). The fair value of the structured notes takes into account the credit risk of the Group. As at 31 December 2017, the cumulative change in fair value of these instruments attributable to changes in credit risk amounted to € 0.4 million gain (2016: € 0.4 million gain). The fair value change of the structured notes due to market risk, other than the Group's credit risk, is offset in the income statement against changes in the fair value of structured derivatives.

The difference between the carrying amount and the contractual undiscounted amount that will be required to be paid at the maturity of the structured notes was € 0.4 million (2016: € 0.3 million).

The Group's funding consists of notes under Euro Medium Term Note (EMTN) program, securitizations of various classes of loans, covered bonds and government guaranteed bonds (note 45):

Medium-term notes (EMTN)

During the year ended 31 December 2017, the Group proceeded with the repurchase of medium term notes of face value of € 8 million, recognizing a gain of € 0.2 million presented in line 'Net trading income' of Group's income statement. In addition, during the year, notes of face value of € 2 million matured, € 8 million were partially redeemed, while the Group proceeded with the issue of EMTN notes of face value of € 1 million. As at 31 December 2017, the carrying amount of the liability amounted to € 60 million, € 8 million of which were held by Group's customers (note 36).

Notes to the Consolidated Financial Statements

Subordinated (Lower TIER 2)

In June 2017, the subordinated notes issued by the Group of face value of € 75 million, € 32 million of which were held by Group's customers (note 36), matured.

Asset backed securities

In December 2017, the Bank proceeded with the early termination of bond loan asset backed securities of face value of € 800 million issued by a special purpose entity, Anaptyxi SME I PLC and held by the Bank.

Government guaranteed and covered bonds

During the year, the government guaranteed bonds issued under the second stream of the Greek Economy Liquidity Support Program matured (note 4).

As at 31 December 2017, the covered bonds issued by the Bank amounted to € 3,600 million face value, € 500 million of which were held by international and domestic investors following a successful covered bond transaction with a 2.98% yield, concluded at the end of October 2017.

Financial disclosures required by the Act 2620/28.08.2009 of the Bank of Greece in relation to the covered bonds issued, are available at the Bank's website (Investor Report for Covered Bonds Programs).

38. Other liabilities

	2017 € million	2016 € million
Balances under settlement ⁽¹⁾	252	249
Other provisions	80	121
Deferred income and accrued expenses	81	82
Sovereign risk financial guarantee	45	48
Standard legal staff retirement indemnity obligations (note 39)	50	48
Income taxes payable	7	18
Deferred tax liabilities (note 16)	4	3
Other liabilities	165	209
Total	684	778

⁽¹⁾ Includes settlement balances relating to bank cheques and remittances, credit card transactions, other banking and brokerage activities.

As at 31 December 2017, other liabilities amounting to € 165 million mainly consist of payables relating with (a) suppliers and creditors, (b) contributions to insurance organizations and (c) duties and other taxes.

As at 31 December 2017, other provisions amounting to € 80 million mainly include € 63 million for outstanding litigations and claims in dispute (note 47), € 4 million for restructuring costs (mainly related to the Voluntary Exit Scheme (VES)) and € 8 million for other operational risk events.

The movement of the Group's other provisions, is presented in the following table:

	31 December 2017		
	Litigations and claims in dispute € million	Other € million	Total € million
Balance at 1 January	67	54	121
Amounts charged during the year	7	11	18
Amounts used during the year	(2)	(7)	(9)
Amounts reversed during the year	(2)	(3)	(5)
Foreign exchange and other movements ⁽¹⁾	(1)	(37)	(38)
Discontinued operations	(6)	(1)	(7)
Balance at 31 December	63	17	80

Notes to the Consolidated Financial Statements

	31 December 2016		
	Litigations and claims in dispute	Other	Total
	€ million	€ million	€ million
Balance at 1 January	66	77	143
Arising from acquisitions	-	2	2
Amounts charged during the year	6	61	67
Amounts used during the year	(0)	(10)	(10)
Amounts reversed during the year	(4)	(0)	(4)
Foreign exchange and other movements ⁽¹⁾	(1)	(76)	(77)
Balance at 31 December	67	54	121

⁽¹⁾ Other movements include an amount of € 38 million (31 December 2016: € 76 million) for benefits paid under the VES program which is presented in the movement of the liability for standard legal staff retirement indemnity obligations (note 39).

The implementation of the VES was designed for the Group's employees in Greece in line with the principal commitments of the Bank's restructuring plan and is described in note 6.

Up to 31 December 2017, the cost for the VES amounted to € 119 million, net of provision for retirement benefits, out of which € 8 million has been recognized in the Group's profit or loss for 2017 (2016: € 49 million) (note 14).

Post balance sheet event

In the context of the Voluntary Exit Schemes (VES) already in force during 2017, an additional scheme with the same terms was announced on 19 January 2018 and implemented for the employees of specific eligible units in Greece. The total cost, which will be recognized in 2018, is approximately € 35.7 million, net of provisions for retirement benefits, while the estimated annual saving as a result of the scheme amounts to € 12 million.

39. Standard legal staff retirement indemnity obligations

The Group provides for staff retirement indemnity obligation for its employees in Greece and abroad, who are entitled to a lump sum payment based on the number of years of service and the level of remuneration at the date of retirement, if they remain in the employment of the Group until normal retirement age, in accordance with the local labor legislation. The above retirement indemnity obligations typically expose the Group to actuarial risks such as interest rate risk and salary risk. Therefore, a decrease in the discount rate used to calculate the present value of the estimated future cash outflows or an increase in future salaries will increase the staff retirement indemnity obligations of the Group.

The movement of the liability for standard legal staff retirement indemnity obligations is as follows:

	2017 € million	2016 € million
Balance at 1 January	48	42
Current service cost	3	3
Interest cost	1	1
Past service cost and (gains)/losses on settlements	36	77
Remeasurements:		
Actuarial (gains)/losses arising from changes in financial assumptions	1	5
Actuarial (gains)/losses arising from changes in demographic assumptions	-	2
Actuarial (gains)/losses arising from experience adjustments	2	(1)
Benefits paid	(39)	(81)
Exchange adjustments	0	(0)
Discontinued operations	(2)	-
Balance at 31 December	50	48

The benefits paid by the Group during 2017, in the context of the Voluntary Exit Scheme (VES) (note 38), amounted to € 39 million. The provision for staff retirement obligations of the staff that participated in the above scheme, amounted to € 3 million.

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The significant actuarial assumptions (expressed as weighted averages) were as follows:

	2017 %	2016 %
Discount rate	1.8	1.9
Future salary increases	2.6	2.4

As at 31 December 2017, the average duration of the standard legal staff retirement indemnity obligation was 18 years (2016: 18 years).

A quantitative sensitivity analysis based on reasonable changes to significant actuarial assumptions as at 31 December 2017 is as follows:

An increase/(decrease) of the discount rate assumed, by 50 bps/(50 bps), would result in a (decrease)/increase of the standard legal staff retirement obligations by (€ 3.7 million)/ € 4.1 million.

An increase/(decrease) of the future salary growth assumed, by 0.5%/(0.5%) would result in an increase/(decrease) of the standard legal staff retirement obligations by € 4.0 million/(€ 3.6 million).

The above sensitivity analysis is based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated.

The methods and assumptions used in preparing the above sensitivity analysis were consistent with those used to estimate the retirement benefit obligation and did not change compared to the previous year.

40. Ordinary share capital, share premium and treasury shares

The par value of the Bank's shares is € 0.30 per share (2016: € 0.30). All shares are fully paid. The movement of ordinary share capital, share premium and treasury shares is as follows:

	Ordinary share capital € million	Treasury shares € million	Net € million	Share premium € million	Treasury shares € million	Net € million
Balance at 1 January 2016	656	(0)	656	8,056	(1)	8,055
Purchase of treasury shares	-	(1)	(1)	-	(1)	(1)
Sale of treasury shares	-	0	0	-	1	1
Balance at 31 December 2016	656	(1)	655	8,056	(1)	8,055
Balance at 1 January 2017	656	(1)	655	8,056	(1)	8,055
Purchase of treasury shares	-	(1)	(1)	-	(2)	(2)
Sale of treasury shares	-	1	1	-	2	2
Balance at 31 December 2017	656	(1)	655	8,056	(1)	8,055

The following is an analysis of the movement in the number of shares issued by the Bank:

	Number of shares		
	Issued ordinary shares	Treasury shares	Net
Balance at 1 January 2016	2,185,998,765	(780,893)	2,185,217,872
Purchase of treasury shares	-	(3,006,180)	(3,006,180)
Sale of treasury shares	-	2,299,502	2,299,502
Balance at 31 December 2016	2,185,998,765	(1,487,571)	2,184,511,194
Balance at 1 January 2017	2,185,998,765	(1,487,571)	2,184,511,194
Purchase of treasury shares	-	(5,111,233)	(5,111,233)
Sale of treasury shares	-	4,796,094	4,796,094
Balance at 31 December 2017	2,185,998,765	(1,802,710)	2,184,196,055

Treasury shares

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In the ordinary course of business, the Bank's subsidiaries may acquire and dispose of treasury shares. According to paragraph 1 of Article 16C of Law 3864/2010, during the period of the participation of the HFSF in the share capital of the Bank it is not permitted to the Bank to purchase treasury shares without the approval of the HFSF.

41. Preference shares

Preference Shares		
Number of shares	2017 € million	2016 € million
345,500,000	950	950

On 12 January 2009, the Extraordinary General Meeting of the Bank approved the issue of 345,500,000 non-voting, non-listed, non-transferable, tax deductible, non-cumulative 10% preference shares, with nominal value € 2.75 each, under Law 3723/2008 'Greek Economy Liquidity Support Program', to be fully subscribed to and paid by the Greek State with bonds of equivalent value. The proceeds of the issue amounted to € 940 million, net of expenses, and the transaction was completed on 21 May 2009. In accordance with the legal and regulatory framework in force, the issued shares were included in the Group's Common Equity Tier 1 until 31 December 2017.

Pursuant to the provisions of article 80 of the new Law 4484/2017 (Government Gazette A' 110, 1 August 2017), five years after their issue, the redemption of the preference shares in whole or in part is allowed, in consideration for cash or Tier 2 capital instruments as defined in Regulation 575/2013, or a combination thereof, having received the supervisory authority's consent. In case the issuance of Tier 2 capital instruments is opted for the redemption (exchange), they should satisfy the following conditions:

- (a) their nominal value should be calculated on the basis of the initial offer price of the preference shares;
- (b) their features should satisfy the conditions of Regulation 575/2013 applicable to Tier 2 instruments, and especially article 63 thereof;
- (c) they have a maturity of ten years and the issuer has an option, exercisable at the issuer's sole discretion, to call or redeem or repurchase or early repay the instruments after five years from their issuance with the approval of the regulatory authority;
- (d) they may be early repaid prior to five years from their issue date subject to approval by the regulatory authority and provided a tax event or a regulatory event, as defined in article 78 par. 4 of Regulation 575/2013, has occurred;
- (e) their repayment after five years from their issue date and until maturity, as well as in the circumstances contemplated in (d) above, shall be made at their nominal value;
- (f) upon redemption or early repayment of the instruments, accrued interest thereon in respect of the relevant interest period shall always be payable;
- (g) their nominal interest rate (coupon) shall be fixed and interest shall be payable semi-annually at the last day of the sixth and twelfth month each year. In relation to the first payment, the interest rate is calculated by reference to the time period remaining until the end of the earlier of any of the above dates, if it is less than six (6) months;
- (h) the interest rate is calculated on the basis of the average yield of the ten-year reference bond of the Hellenic Republic at the first fifteen (15) days of June 2017 plus fifty (50) basis points and cannot be lower than 6%; and
- (i) they will be freely transferable and may be listed on a regulated market.

The request to redeem the preference shares in accordance with the above mentioned conditions is submitted to the Minister of Finance, who issues a relevant decision in compliance with the state-aid rules of the E.U. If the redemption is made through an exchange with Tier 2 capital instruments, an agreement signed between the Minister of Finance and the Bank is entered into to provide for, among others, the specific terms of such instruments, and any other detail relevant to the above transaction.

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On 3 November 2017, the Extraordinary General Meeting of the Shareholders of the Bank, pursuant to the submission on 27 September 2017 of a written request to the Minister of Finance by the Bank along with the positive opinion of the ECB/SSM received on 12 October 2017, approved the following:

- (a) The full redemption by the Bank of the 345,500,000 preference registered shares, which have been issued by the Bank in accordance with Article 1 of Law 3723/2008 and are owned by the Greek State, having an aggregate nominal value of €950,125,000 (Preference Shares) in consideration for (i) €125,000 in cash, and (ii) the delivery to the Greek State of €950,000,000 principal amount of subordinated notes issuable by the Bank, as provided for in (b) below, which constitute Tier 2 capital instruments, in accordance with the provisions of par. 1a of article 1 of Law 3723/2008 (the “Redemption”).
- (b) The issuance of a subordinated bond loan by the Bank in accordance with Law 2190/1920 and Law 3156/2003, having an aggregate principal amount of €950,000,000, divided into 9,500 notes each having a nominal value of €100,000 (the “Notes”), which satisfy the conditions set out in par. 1a of article 1 of Law 3723/2008, and the offering of the Notes through a private placement to the Greek State for subscription by it, as provided for in the Redemption and Subscription Agreement referred to in (c) below. The Notes will be issued under the Bank’s existing medium term notes programme (the “EMTN Programme”).
- (c) The entering into the agreement provided for in par. 1a of article 1 of Law 3723/2008 between the Bank and the Greek State represented by the Minister of Finance, containing the specific terms and any necessary detail relating to the Redemption, including the issuance and delivery of the Notes to the Greek State by the Bank (the “Redemption and Subscription Agreement”).
- (d) That authority is given to the Board, with power of sub-delegation, to determine the specific terms of the Notes and of their issuance and to proceed with any legal acts, procedural or other actions which are required, necessary or appropriate to implement and complete the resolutions and corporate actions included in (a) to (c) above.
- (e) The reduction of the share capital of the Bank by an amount equal to the nominal value of the Preference Shares, that is €950,125,000, the cancellation of the 345,500,000 Preference Shares in total and the corresponding amendment of articles 5 and 6 of the Articles of Association of the Bank resulting from the above reduction and that authority is given to the Board, with power of sub-delegation, to proceed with each act and action to implement and complete the corporate actions included herein (under (e)).

The above resolutions have also been approved by the Special Meeting of the Greek State being the preference shareholder of the Bank, in accordance with the applicable provisions of Law 2190/1920 and Law 3723/2008.

Post balance sheet event

On 18 January 2018, the Bank announced the completion of the full redemption of its preferences shares without voting rights held by the Hellenic Republic of total nominal value € 950,125,000, according to the provisions of par. 1a, article 1, of Law 3723/2008 and the decisions of its Extraordinary General Meeting of its common shareholders as at 3 November 2017.

The redemption has been completed partially with cash and partially with the issuance of Tier 2 capital instrument of total amount € 950,000,000 according to the EU Regulation 575/2013 and does not have any impact on the Group’s CET1 based on the full implementation of Basel III rules.

Pursuant to the terms of Redemption and Subscription Agreement between the Bank and the Greek State, the Tier 2 instruments have a maturity of ten years (until 17 January 2028) and pay fixed nominal interest rate of 6.41% (recognized in the income statement), which shall be payable semi-annually at the last day of the sixth and twelfth month each year.

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42. Preferred securities

On 18 March 2005, the Group, through its Special Purpose Entity, ERB Hellas Funding Limited, issued € 200 million preferred securities which represent Lower Tier 1 capital for the Group (Tier 1 Series A). As at 31 December 2017 the outstanding amount of Series A was € 2 million (including allocated issue costs). The preferred securities have no fixed redemption date and give the issuer the right to call the issue at par on 18 March 2010 and annually thereafter and are listed on the Luxembourg and Frankfurt Stock Exchanges.

On 2 November 2005, the Group, through its Special Purpose Entity, ERB Hellas Funding Limited, issued € 400 million preferred securities which represent Lower Tier 1 capital for the Group (Tier 1 Series B). As at 31 December 2017 the outstanding amount of Series B was € 4 million (including allocated issue costs). The preferred securities have no fixed redemption date and give the issuer the right to call the issue at par on 2 November 2015 and quarterly thereafter and are listed on the London Stock Exchange.

On 9 November and on 21 December 2005 the Group, through its Special Purpose Entity, ERB Hellas Funding Limited, issued € 150 million and € 50 million preferred securities respectively, which represent Lower Tier 1 capital for the Group (Tier 1, form a single Series C). As at 31 December 2017 the outstanding amount of Series C was € 18 million (including allocated issue costs). The preferred securities have no fixed redemption date and give the issuer the right to call the issue at par on 9 January 2011 and quarterly thereafter. The preferred securities are listed on the London, Frankfurt and Euronext Amsterdam Stock Exchanges.

On 29 July 2009, the Group, through its Special Purpose Entity, ERB Hellas Funding Limited, issued € 300 million preferred securities which represent Tier 1 capital for the Group (Tier 1 Series D). As at 31 December 2017 the outstanding amount of Series D was € 19 million (including allocated issue costs). The preferred securities have no fixed redemption date and give the issuer the right to call the issue after five years from the issue date and annually thereafter. In addition the securities, subject to certain conditions, are convertible at the option of the bondholder and the issuer after October 2014 into Eurobank ordinary shares at the lower of an exchange ratio based on (a) a 12% discount to the share market price during the period preceding the exchange or (b) the nominal value of Bank's ordinary share. The preferred securities are listed on the London Stock Exchange.

All obligations of the issuer, in respect of the aforementioned issues of preferred securities, are guaranteed on a subordinated basis by the Bank. The analytical terms of each issue along with the rates and/or the basis of calculation of preferred dividends are available at the Bank's website. Pursuant to the said terms of the preferred securities, ERB Hellas Funding Ltd has announced the non-payment of the non-cumulative preferred dividend of the above series of preferred securities for 2016, 2017 and on 9 January 2018.

The outstanding amount of preferred securities issued by the Group through its Special Purpose Entity, ERB Hellas Funding Limited, as at 31 December 2017 (same balance as at 31 December 2016) is analyzed as follows:

	Series A € million	Series B € million	Series C € million	Series D € million	Total € million
Balance at 31 December 2017	2	4	18	19	43

Post balance sheet event

Following the redemption of the Greek State – owned preference shares, (note 41) on 17 January 2018, and in accordance with the terms of the preferred securities, ERB Hellas Funding Ltd declared and paid the non-cumulative dividends of € 0.4 million in total on the Series D, B and A that were payable on 29 January, 2 February and 18 March 2018, respectively.

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43. Special reserves

	Statutory reserves € million	Non-taxed reserves € million	IAS 39 reserves € million	Other reserves € million	Total € million
Balance at 1 January 2016	456	964	(16)	6,382	7,786
Transfers between reserves	(48)	(7)	(2)	(36)	(93)
Available-for-sale securities					
- changes in fair value, net of tax	-	-	76	-	76
- transfer to net profit, net of tax	-	-	(112)	-	(112)
Cash flow hedges					
- changes in fair value, net of tax	-	-	11	-	11
- transfer to net profit, net of tax	-	-	(1)	-	(1)
Currency translation differences, net of hedging	-	-	-	50	50
Associates and joint ventures					
-changes in the share of other comprehensive income, net of tax	-	-	2	-	2
Actuarial gains/(losses) on post employment benefit obligations, net of tax	-	-	-	(4)	(4)
Value of employee services	-	-	-	0	0
Balance at 31 December 2016	408	957	(42)	6,392	7,715
Balance at 1 January 2017	408	957	(42)	6,392	7,715
Transfers between reserves	(9)	17	-	(6)	2
Available-for-sale securities					
- changes in fair value, net of tax	-	-	244	-	244
- transfer to net profit, net of tax	-	-	(31)	-	(31)
Cash flow hedges					
- changes in fair value, net of tax	-	-	27	-	27
- transfer to net profit, net of tax	-	-	(8)	-	(8)
Currency translation differences, net of hedging	-	-	-	6	6
Associates and joint ventures					
-changes in the share of other comprehensive income, net of tax	-	-	52	-	52
Actuarial gains/(losses) on post employment benefit obligations, net of tax	-	-	-	(2)	(2)
Value of employee services	-	-	-	0	0
Balance at 31 December 2017	399	974	242	6,390	8,005

As at 31 December 2017, included in other reserves: (a) a Bank's special reserve amounted to € 5,579 million (2016: € 5,579 million), which can be only either capitalized or offset against losses carried forward pursuant to article 4, par. 4a of Law 2190/1920, and (b) currency translation reserve, net of hedging amounted to € 228 million loss (2016: € 234 million loss). Included in IAS 39 reserves as at 31 December 2017 is € 40 million loss (2016: € 59 million loss) relating to cash flow hedging reserve.

Statutory reserves and IAS 39 reserves are not distributable while non-taxed reserves are taxed when distributed.

44. Dividends

Based on the 2017 results in combination with the article 44a of Company Law 2190/1920, the distribution of dividends is not permitted. Under article 10 par. 3 of Law 3864/2010 for the "establishment of a Hellenic Financial Stability Fund", for as long the HFSF participates in the share capital of the Bank, the amount of dividends that may be distributed to ordinary shareholders of the Bank cannot exceed 35% of the profits as provided in article 3 par. 1 of Law 148/1967. The dividend ban arising from the Restructuring Plan, which prescribes that neither the Bank nor any member of the Group may pay any dividend until the earlier of 31 December 2017 or the date of the full repayment of the Bank's non-voting preference shares held by the Greek State, other than where there is a legal obligation to do so, and unless the European Commission agrees to an exemption, has ceased to apply effective 1 January 2018.

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45. Transfers of financial assets

The Group enters into transactions by which it transfers recognized financial assets directly to third parties or to Special Purpose Entities (SPEs).

(a) The Group sells, in exchange for cash, securities under an agreement to repurchase them (repos) and assumes a liability to repay to the counterparty the cash received. In addition, the Group pledges, in exchange for cash, securities and loans and receivables and assumes a liability to repay to the counterparty the cash received. The Group has determined that it retains substantially all the risks, including associated credit and interest rate risks, and rewards of these financial assets and therefore has not derecognized them. As a result of the above transactions, the Group is unable to use, sell or pledge the transferred assets for the duration of the transaction. The related liability is recognized in Due to central banks and credit institutions (notes 34 and 35) and Due to customers (note 36), as appropriate.

The Group enters into securitizations of various classes of loans (bond loans and credit cards), under which it assumes an obligation to pass on the cash flows from the loans to the holders of the notes. The Group has determined that it retains substantially all risks, including associated credit and interest rate risks, and rewards of these loans and therefore has not derecognized them. As a result of the above transactions, the Group is unable to use, sell or pledge the transferred assets for the duration of their retention by the SPE. Moreover, the note holders' recourse is limited to the transferred loans. As at 31 December 2017, the securitizations' issues were fully retained by the Group (2016: liability nil) (note 37).

The table below sets out the details of Group's financial assets that have been sold or otherwise transferred, but which do not qualify for derecognition:

	Carrying amount	
	2017	2016
	€ million	€ million
Financial instruments at fair value through profit or loss	5	0
Loans and advances to customers	24,718	24,786
-securitized loans	436	400
-pledged loans under covered bond program	4,658	2,646
-pledged loans with central banks	19,552	21,629
-other pledged loans	72	111
Investment securities ⁽¹⁾ (restated, note 52)	3,830	8,234
Total	28,553	33,020

⁽¹⁾ Comparative figures include EFSF bonds of face value € 4,076 million (note 26).

(b) As of 30 October 2017, the Government guaranteed bonds issued by the Bank matured (note 4). In the comparative period, the bonds issued, under the second stream of Greek Economy Liquidity Support Program fully retained by the Bank of face and cash value of € 2,500 million and € 1,895 million, respectively, were pledged to ELA (face value € 1,160 million and cash value € 875 million), or sold under repurchase agreements (face value € 1,340 million and cash value € 1,020 million).

(c) In addition, the Group may sell or re-pledge any securities borrowed or obtained through reverse repos and has an obligation to return the securities. The counterparty retains substantially all the risks and rewards of ownership and therefore the securities are not recognized by the Group. As at 31 December 2017, the Group had obtained through reverse repos securities of face value of € 180 million, sold under repurchase agreements with cash value of € 255 million (2016: nil). Furthermore, as at 31 December 2017, the Group had obtained Greek treasury bills as collaterals for derivatives transactions with the Hellenic Republic of face value of € 970 million, sold under repurchase agreements with € 623 million cash value.

As at 31 December 2017, the cash value of the assets transferred or borrowed by the Group through securities lending, reverse repo and other agreements (points a, b and c) amounted to € 18,134 million, while the associated liability from the above transactions amounted to € 13,669 million, of which € 235 million repo agreements offset in the balance sheet against reverse repo deals (notes 34, 35, 36, 37 and 7.2.1.4) (2016: cash value € 24,816 million and liability € 21,292 million). In addition, the Group's financial assets pledged as collaterals for repos, derivatives, securitizations and other transactions other than the financial assets presented in the table above are provided in notes 21 and 33.

Notes to the Consolidated Financial Statements

46. Operating leases

The Group has entered into commercial leases for premises, equipment and motor vehicles. The majority of the Group's leases are under long-term agreements, according to the usual terms and conditions of commercial leases of each jurisdiction, including renewal options. In particular, as provided by the Greek Commercial Leases Law currently in force, the minimum lease period for commercial real estate leases starting after the end of February 2014 is three years. The Group's lease agreements, do not include any clauses that impose any restriction on the Group's ability to pay dividends, engage in debt financing transactions or enter into further lease agreements.

Leases as lessee-Non-cancellable operating lease rentals are payable as follows:

	2017 € million	2016 € million
Not later than one year	37	23
Later than one year and no later than five years	61	14
Later than five years	35	1
Total	133	38

There are no material future minimum sublease payments to be received under non cancellable subleases.

Leases as lessor-Non-cancellable operating lease rentals are receivable as follows:

	2017 € million	2016 € million
Not later than one year	6	45
Later than one year and no later than five years	17	138
Later than five years	7	240
Total	30	423

47. Contingent liabilities and other commitments

Credit related commitments are analyzed as follows:

	2017 € million	2016 € million
Guarantees ⁽¹⁾ and standby letters of credit	579	591
Other guarantees (medium risk) and documentary credits	437	436
Commitments to extend credit	478	451
Total	1,494	1,478

⁽¹⁾ Guarantees that carry the same credit risk as loans.

As at 31 December 2017, the credit related commitments presented above include € 88 million relating to the Romanian subsidiaries classified as held for sale (31 December 2016: € 59 million).

Other commitments

(a) The Bank has signed irrevocable payment commitment and collateral arrangement agreements with the Single Resolution Board (SRB) amounting in total to € 7 million as at 31 December 2017 (2016: € 3.7 million), representing 15% of its resolution contribution payment obligation to the Single Resolution Fund (SRF) for the years 2016-2017.

According to the agreements, which are backed by cash collateral of an equal amount, the Bank undertook to pay to the SRB an amount up to the above irrevocable payment commitment, in case of a call and demand for payment made by it, in relation to a resolution action. The said cash collateral has been recognized as a financial asset in the Group's balance sheet (note 33).

(b) As at 31 December 2017, the commitments related to capital expenditure amounted to € 31 million (2016: € 25 million).

Notes to the Consolidated Financial Statements

Legal Proceedings

As at 31 December 2017, a provision of € 70 million (€ 7 million of which relates to the Romanian subsidiaries classified as held for sale, note 17) has been recorded for a number of legal proceedings outstanding against the Group (31 December 2016: € 67 million), as set out in note 38. The said amount includes € 40 million for the outstanding litigations with DEMCO S.A., which is related to the acquisition of New TT Hellenic Postbank S.A. in 2013.

Furthermore, the Group is involved in a number of legal proceedings, in the normal course of business, which may be in early stages, their settlement may take years before they are resolved or their final outcome may be considered uncertain. For such cases, after considering the opinion of Legal Services General Division, Management does not expect that there will be an outflow of resources and therefore no provision is recognized.

Against the Bank various remedies have been filed in the form of lawsuits, applications for injunction measures and motions to vacate payment orders in relation to the contractual clauses of mortgage loans granted by the Bank in Swiss Francs (CHF) and the conditions under which the loans were granted. A class action has also been filed. From a Courts view point it may be sustained that the issue is still at a premature stage, considering that a substantial number of first instance Courts judgments has been issued, the majority of which are in favor of the Bank. Furthermore, there are eleven appellate Courts judgments in cases concerning the Bank in favor of the validity of the loans and one against. To date no judgment of the Areios Pagos, being the supreme civil Court, has been passed. On the class action a judgment was issued which accepted it, the Bank, though, has filed an appeal against the first instance judgment the decision of which was issued in February 2018, in favour of the Bank. This decision is subject to a cassation before the Supreme Court. In relation to the individual lawsuits the majority of the judgments issued are in favor of the Bank.

The Management of the Bank is closely monitoring any developments to the relevant cases to determine potential accounting implications in accordance with the Group's accounting policies.

48. Segment information

Management has determined the operating segments based on the internal reports reviewed by the Strategic Planning Committee that are used to allocate resources and to assess their performance in order to make strategic decisions. The Strategic Planning Committee considers the business both from a business unit and geographic perspective. Geographically, management considers the performance of its business in Greece and other countries in Europe (International). Greece is further segregated into retail, corporate, wealth management, global and capital markets. International is monitored and reviewed on a country basis. The Group aggregates segments when they exhibit similar economic characteristics and profile and are expected to have similar long-term economic development.

The Group is organized in the following reportable segments:

- Retail: incorporating customer current accounts, savings, deposits and investment savings products, credit and debit cards, consumer loans, small business banking and mortgages.
- Corporate: incorporating current accounts, deposits, overdrafts, loan and other credit facilities, foreign currency and derivative products to corporate entities, custody, equity brokerage, cash management and trade services.
- Wealth Management: incorporating private banking services to medium and high net worth individuals, insurance services until early August 2016 (note 17), mutual fund and investment savings products, and institutional asset management.
- Global and Capital Markets: incorporating investment banking services including corporate finance, merger and acquisitions advice, financial instruments trading and institutional finance to corporate and institutional entities, as well as, specialized financial advice and intermediation to private and large retail individuals as well as small and large corporate entities.
- International: incorporating operations in Romania, Bulgaria, Serbia, Cyprus, Ukraine (until its disposal in December 2016) and Luxembourg.

Other operations of the Group comprise mainly investing activities, including property management and investment (Grivalia's operations are included until 30 June 2017, note 17).

The Group's management reporting is based on International Financial Reporting Standards (IFRS). The accounting policies of the Group's operating segments are the same with those described in the principal accounting policies.

Revenues from transactions between business segments are allocated on a mutually agreed basis at rates that approximate market prices.

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48.1 Operating segments

	31 December 2017						
	Retail	Corporate	Wealth	Global &	International	Other and	Total
	€ million	€ million	Management	Capital		Elimination	€ million
			€ million	Markets	€ million	center	
				€ million		€ million	
Net interest income	551	352	8	221	334	(2)	1,464
Net commission income	47	81	28	14	85	3	258
Other net revenue	9	10	0	83	17	41	160
Total external revenue	607	443	36	318	436	42	1,882
Inter-segment revenue	6	23	8	(27)	(2)	(8)	-
Total revenue	613	466	44	291	434	34	1,882
Operating expenses	(490)	(114)	(28)	(72)	(184)	(7)	(895)
Impairment losses on loans and advances	(503)	(154)	(3)	-	(90)	-	(750)
Other impairment losses and provisions (note 14)	(4)	(6)	(0)	-	(16)	(24)	(50)
Share of results of associates and joint ventures	1	(0)	7	-	(1)	(0)	7
Profit/(loss) before tax from continuing operations before restructuring costs	(383)	192	20	219	143	3	194
Restructuring costs (note 14)	(23)	(0)	(0)	(0)	(0)	10	(13)
Profit/(loss) before tax from continuing operations	(406)	192	20	219	143	13	181
Profit/(loss) before tax from discontinued operations	-	-	-	-	(66)	19	(47)
Non controlling interests	-	-	-	-	(1)	(15)	(16)
Profit/(loss) before tax attributable to shareholders	(406)	192	20	219	76	17	118

	31 December 2017						
	Retail	Corporate	Wealth	Global &	International	Other and	Total
	€ million	€ million	Management	Capital		Elimination	€ million
			€ million	Markets	€ million	center ⁽¹⁾	
				€ million		€ million	
Segment assets	22,716	12,686	259	9,598	13,591	1,179	60,029
Segment liabilities	25,789	6,614	1,563	5,943	12,058	912	52,879

The International segment is further analyzed as follows:

	31 December 2017						
	Romania	Bulgaria	Serbia	Cyprus	Luxembourg		Total
	€ million	€ million	€ million	€ million	€ million		€ million
Net interest income	11	157	59	84	23		334
Net commission income	(4)	41	16	24	8		85
Other net revenue	6	2	1	8	0		17
Total external revenue	13	200	76	116	31		436
Inter-segment revenue	(0)	1	0	0	(3)		(2)
Total revenue	13	201	76	116	28		434
Operating expenses	(6)	(85)	(46)	(31)	(16)		(184)
Impairment losses on loans and advances	(5)	(58)	(11)	(16)	(0)		(90)
Other impairment losses and provisions	(6)	(6)	(1)	(0)	(3)		(16)
Share of results of associates and joint ventures	0	-	(1)	-	-		(1)
Profit/(loss) before tax from continuing operations before restructuring costs	(4)	52	17	69	9		143
Restructuring costs	-	-	-	-	(0)		(0)
Profit/(loss) before tax from continuing operations	(4)	52	17	69	9		143
Profit/(loss) before tax from discontinued operations	(66)	-	0	-	-		(66)
Non controlling interests	(1)	(0)	(0)	-	-		(1)
Profit/(loss) before tax attributable to shareholders	(71)	52	17	69	9		76

	31 December 2017						
	Romania	Bulgaria	Serbia	Cyprus	Luxembourg	International	
	€ million	€ million	€ million	€ million	€ million	€ million	
Segment assets ⁽²⁾	2,705	3,649	1,353	4,890	1,301		13,591
Segment liabilities ⁽²⁾	2,699	3,162	954	4,459	1,092		12,058

As at 31 December 2017, an amount of € 2,184 million relating to the assets of the Romanian subsidiaries Bancpost S.A., ERB Retail Services IFN S.A. and ERB Leasing IFN S.A. has been classified as held for sale (note 17).

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	31 December 2016						
	Retail	Corporate	Wealth	Global & Capital	International	Other and Elimination center	Total
	€ million	€ million	€ million	€ million	€ million	€ million	€ million
Net interest income	578	351	7	197	328	2	1,463
Net commission income	52	70	28	(12)	80	5	223
Other net revenue	39	2	0	22	33	125	221
Total external revenue	669	423	35	207	441	132	1,907
Inter-segment revenue	28	34	(23)	(37)	(1)	(1)	-
Total revenue	697	457	12	170	440	131	1,907
Operating expenses	(493)	(118)	(28)	(77)	(179)	(8)	(903)
Impairment losses on loans and advances	(407)	(216)	(5)	-	(113)	(0)	(741)
Other impairment losses and provisions (note 14)	(0)	(14)	(2)	(1)	(10)	(28)	(55)
Share of results of associates and joint ventures	(1)	(0)	(3)	-	(1)	(0)	(5)
Profit/(loss) before tax from continuing operations before restructuring costs	(204)	109	(26)	92	137	95	203
Restructuring costs (note 14)	(53)	(8)	(2)	(1)	(9)	7	(66)
Profit/(loss) before tax from continuing operations	(257)	101	(28)	91	128	102	137
Profit/(loss) before tax from discontinued operations	-	-	31	-	(69)	90	52
Non controlling interests	-	-	-	-	(2)	(26)	(28)
Profit/(loss) before tax attributable to shareholders (restated, note 52)	(257)	101	3	91	57	166	161

	31 December 2016						
	Retail	Corporate	Wealth	Global & Capital	International	Other and Elimination center ⁽¹⁾	Total
	€ million	€ million	€ million	€ million	€ million	€ million	€ million
Segment assets (restated, note 52)	21,755	11,591	227	13,390	13,201	6,268	66,432
Segment liabilities	18,662	2,642	1,519	24,640	11,540	35	59,038

	31 December 2016						
	Romania	Bulgaria	Serbia	Cyprus	Ukraine	Luxembourg	Total
	€ million	€ million	€ million	€ million	€ million	€ million	€ million
Net interest income	15	157	58	76	-	22	328
Net commission income	(3)	36	14	25	-	8	80
Other net revenue	19	12	1	1	-	0	33
Total external revenue	31	205	73	102	-	30	441
Inter-segment revenue	0	(0)	(0)	0	-	(1)	(1)
Total revenue	31	205	73	102	-	29	440
Operating expenses	(11)	(81)	(44)	(27)	-	(16)	(179)
Impairment losses on loans and advances	(21)	(61)	(17)	(14)	-	(0)	(113)
Other impairment losses and provisions	(2)	(8)	(0)	(0)	-	(0)	(10)
Share of results of associates and joint ventures	(1)	-	(0)	-	-	-	(1)
Profit/(loss) before tax from continuing operations before restructuring costs	(4)	55	12	61	-	13	137
Restructuring costs	(1)	(8)	(0)	-	-	(0)	(9)
Profit/(loss) before tax from continuing operations	(5)	47	12	61	-	13	128
Profit/(loss) before tax from discontinued operations	(2)	-	0	-	(67)	-	(69)
Non controlling interests	(2)	(0)	(0)	-	-	-	(2)
Profit/(loss) before tax attributable to shareholders	(9)	47	12	61	(67)	13	57

	31 December 2016					
	Romania	Bulgaria	Serbia	Cyprus	Luxembourg	International
	€ million	€ million	€ million	€ million	€ million	€ million
Segment assets ⁽²⁾	2,901	3,366	1,306	4,461	1,458	13,201
Segment liabilities ⁽²⁾	2,724	2,900	928	4,048	1,230	11,540

⁽¹⁾ Interbank eliminations between International and the other Group's segments are included.

⁽²⁾ Intercompany balances among the Countries have been excluded from the reported assets and liabilities of International segment.

Notes to the Consolidated Financial Statements

48.2 Entity wide disclosures

Breakdown of the Group's revenue from continuing operations for each group of similar products and services is as follows:

	2017 € million	2016 € million
Lending related activities	1,802	1,948
Deposits, network and asset management activities	(68)	(120)
Capital markets	131	(3)
Non banking and other services	17	82
Total	1,882	1,907

Information on the Country by Country Reporting based on Law 4261/2014 is provided in the Appendix.

49. Post balance sheet events

Details of post balance sheet events are provided in the following notes:

Note 2.1 - Basis of preparation
 Note 4 - Greek Economy Liquidity Support Program
 Note 6 – Capital Management
 Note 7.2.3 - Liquidity risk
 Note 18 – Earnings per share
 Note 27 - Shares in subsidiary undertakings
 Note 28 - Investments in associates and joint ventures
 Note 34 - Due to central banks
 Note 38 – Other liabilities
 Note 41 – Preference shares
 Note 42 – Preferred securities
 Note 44 – Dividends
 Note 47 - Contingent liabilities and other commitments
 Note 53 - Board of Directors

50. Related parties

In November 2015, following the completion of the Bank's share capital increase, fully covered by investors, institutional and others the percentage of the Bank's ordinary shares with voting rights held by the HFSF decreased from 35.41% to 2.38%.

Despite the aforementioned significant decrease of its percentage, the HFSF is still considered to have significant influence over the Bank. In particular, in the context of the Law 3864/2010, as in force, HFSF exercises its voting rights in the Bank's General Assembly only for decisions concerning the amendment of the Bank's Articles of Association, including the increase or decrease of the Bank's capital or the granting of a corresponding authorization to the Bank's Board, decisions concerning the mergers, divisions, conversions, revivals, extension of duration or dissolution of the Bank, the transfer of assets (including the sale of subsidiaries), or any other issue requiring approval by an increased majority as provided for in Company Law 2190/1920. In addition, the Bank has entered into a new Relationship Framework Agreement (RFA) with the HFSF on 4 December 2015 replacing the previous one, signed on 26 August 2014, which regulates, among others, (a) the Bank's corporate governance, (b) the restructuring plan and its monitoring, (c) the monitoring of the implementation of the Bank's Non-Performing Loans (NPLs) management framework and of the Bank's performance on NPLs resolution, (d) the Material Obligations and the switch to full voting rights, (e) the monitoring of the Bank's actual risk profile against the approved Risk and Capital Strategy, (f) the HFSF's prior written consent for the Bank's Group Risk and Capital Strategy and for the Bank's Group Strategy, Policy and Governance regarding the management of its arrears and non-performing loans and any amendment, extension, revision or deviation thereof, and (g) the duties, rights and obligations of HFSF's Representative in the Bank's Board.

A number of banking transactions are entered into with related parties in the normal course of business and are conducted on an arm's length basis. These include loans, deposits and guarantees. In addition, as part of its normal course of business in investment banking activities, the Group at times may hold positions in debt and equity instruments of related parties.

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The outstanding balances of the transactions with (a) the key management personnel (KMP) and the entities controlled or jointly controlled by KMP as well as (b) the associates and joint ventures, and the relating income and expenses are as follows:

	31 December 2017		31 December 2016	
	KMP ⁽¹⁾ and Entities controlled or jointly controlled by KMP	Associates and joint ventures	KMP ⁽¹⁾ and Entities controlled or jointly controlled by KMP	Associates and joint ventures ⁽²⁾
	€ million	€ million	€ million	€ million
Loans and advances to customers net of provision	6.84	53.38	7.16	23.20
Derivative financial instruments	-	0.01	-	-
Other assets	-	4.43	-	6.14
Due to customers	5.68	48.02	5.68	102.74
Debt securities in issue	-	10.21	-	12.07
Other liabilities	0.02	3.74	0.02	4.03
Net interest income	0.03	(7.68)	0.03	(3.86)
Net banking fee and commission income	0.01	6.64	0.01	4.95
Net trading income	-	0.16	-	(1.29)
Gains less losses from investment securities	-	0.02	-	0.16
Impairment losses on loans and advances including related fees	-	(3.02)	-	(2.15)
Other operating income/(expenses)	-	(22.94)	-	(10.04)
Guarantees issued	-	4.60	-	-
Guarantees received	0.04	-	0.05	-

⁽¹⁾ Includes the key management personnel of the Group and their close family members.

⁽²⁾ As of 4 August 2016, Eurolife insurance group has been accounted for as an associate. The Group's income and expenses from transactions with Eurolife Insurance group including loan insurance premiums, fees from bancassurance and employee benefits (pension and medical insurance) are presented in the above table. Comparative information has been adjusted accordingly.

For the year ended 31 December 2017, there were no material transactions with the HFSF. In addition, as at 31 December 2017 the loans, net of provisions, granted to non consolidated entities controlled by the Bank pursuant to the terms of the relevant share pledge agreements (note 27) amounted to € 4.7 million (31 December 2016: € 5.3 million).

For the year ended 31 December 2017, a reversal of impairment loss of € 2.09 million (31 December 2016: impairment € 0.08 million) has been recorded against loan balances with Group's associates and joint ventures, while the respective impairment allowance amounts to € 21.05 million, including impairment allowance for associates acquired in the year ended 31 December 2017 (note 28) (31 December 2016: € 16.92 million).

Key management compensation (directors and other key management personnel of the Group)

Key management personnel are entitled to compensation in the form of short-term employee benefits of € 6 million (31 December 2016: € 5.66 million) and long-term employee benefits (excluding share-based payments) of € 0.86 million (31 December 2016: € 0.72 million). Furthermore, the Group has recognized € 0.38 million expense relating with Grivalia Properties R.E.I.C. equity settled share based payments (31 December 2016: € 0.76 million expense). In addition, the Group has formed a defined benefit obligation for the KMP amounting to € 0.88 million as at 31 December 2017 (31 December 2016: € 0.81 million), while the respective cost for the year amounts to € 0.07 million (31 December 2016: € 0.05 million).

51. External Auditors

The Bank has adopted a Policy on External Auditors' Independence which provides amongst others, for the definition of the permitted and non-permitted services the Group auditors may provide further to the statutory audit. For any such services to be assigned to the Group's auditors there are specific controlling mechanisms in order for the Bank's Audit Committee to ensure there is proper balance between audit and non-audit work.

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The total fees of the Group's principal independent auditor 'PricewaterhouseCoopers Certified Auditors' for audit and other services provided are analyzed as follows:

	2017 € million	2016 € million
Statutory audit	(2.7)	(2.7)
Tax certificate	(0.3)	(0.3)
Other audit related assignments	(0.3)	(0.3)
Non audit assignments	(1.3)	(1.0)
Total	(4.6)	(4.3)

It is noted that the non-audit assignments fees of "PricewaterhouseCoopers Auditing Company S.A." Greece, statutory auditor of the Bank, amounted to € 1.2 million.

According to the provisions of Law 4449/2017 and following relevant proposal of the Audit Committee, the Board of Directors (BoD) at its meeting on 24 February 2017 approved KPMG Certified Auditors A.E. (KPMG) being the successful audit firm of the tendering process for conducting the statutory audit of the Bank's financial statements (standalone and consolidated) for the period 2018-2022, subject to obtaining every year both the BoD's proposal addressed to the Bank's Shareholders' General Meeting and the decision of the General Meeting for the appointment of KPMG as statutory auditor for the period 2018-2022, as well as receiving any other necessary approvals each time in force.

52. Restatements due to change in accounting policy

In the fourth quarter of 2017, the Group adjusted the effective interest rate methodology applied on its inflation linked financial instruments. In accordance with IAS 8 "Accounting policies, changes in accounting estimates and errors", the above change in the Group's accounting policy on interest income recognition was applied retrospectively as of 1 January 2016 (note 2.2.5). As a result, the retained earnings as of 1 January 2016 have been restated with a positive impact of € 34 million in the Group's total equity increasing respectively the Group's total assets. In addition, the consolidated income statement for the year ended 31 December 2016 has also been restated with € 5 million profit (€ 7 million net interest income less € 2 million tax expense).

The above changes are presented in the below table:

	31 December 2016			2016 Opening balance sheet		
	as published € million	Restatements	as restated € million	31 Dec 2015 as published € million	Restatements	1 Jan 2016 as restated € million
Investment securities	12,463	55	12,518	16,291	48	16,339
Deferred tax assets	4,945	(16)	4,929	4,859	(14)	4,845
Total assets	66,393	39	66,432	73,553	34	73,587
Total equity attributable to shareholders of the Bank	6,672	39	6,711	6,420	34	6,454
<i>of which net profit attributable to shareholders</i>	<i>230</i>	<i>5</i>	<i>235</i>			
Total equity	7,355	39	7,394	7,132	34	7,166
Total equity and liabilities	66,393	39	66,432	73,553	34	73,587

53. Board of Directors

The Board of Directors (BoD) was elected by the Annual General Meeting held on 27 June 2013 for a three years term of office. Its term of office, following the resolution of the Bank's Annual General Meeting held on 26 June 2015, expires on 27 June 2018, and in any case until the date the Bank's Annual General Meeting for the year 2018 will take place.

The appointments of Mr. George E. Myhal on 26 October 2016 and of Mr. Richard P. Boucher on 12 January 2017 as new independent non-executive members of the BoD, in replacement of resigned members in 2016 were announced to the General Meeting of the Shareholders of the Bank which took place on 16 June 2017.

In addition, the Bank announced on 7 April 2017 that Mr. Wade Sebastian Burton non-executive member of the BoD of the Bank, submitted his resignation from the BoD effective as of 5 April 2017, while the BoD during its meeting on 28 April 2017 decided to

Notes to the Consolidated Financial Statements

retain a size of 13 members, according to the HFSF corporate governance review criteria developed as per the relevant provisions of Law 3864/2010.

Moreover, the Bank announced on 14 July 2017 that Ms. Androniki Boumi has been appointed as new representative of the Greek State to the Bank's Board according to the provisions of Law 3723/2008, in replacement of Ms. Christina Andreou who informed the Bank on her resignation on 26 May 2017, while with the BoD decision on 20 July 2017, Ms. Androniki Boumi has been integrated to the Bank's BoD.

Furthermore, on 12 October 2017, the Bank announced the appointment of Mr. Christoforos Koufalias as the new representative of the HFSF to Eurobank's BoD in replacement of Mr. Kenneth Howard Prince-Wright, according to the provisions of Law 3864/2010 and the Relationship Framework Agreement signed between Eurobank and HFSF.

The appointment of both BoD members was announced at the Extraordinary General Meeting of the Shareholders of the Bank, which took place on 3 November 2017.

Additionally, the Bank announced on 14 December 2017 the appointment of Ms. Aikaterini Beritsi as the new representative of the HFSF to Eurobank's BoD in replacement of Mr. Christoforos Koufalias, according to the provisions of Law 3864/2010 and the Relationship Framework Agreement signed between Eurobank and HFSF. The appointment of the new member of the BoD will be announced to the next General Meeting of the Shareholders of the Bank.

Finally, the Bank's Board at its meeting on 9 March 2018, acknowledged that the Bank ceased to be subject to the provisions of the Greek Economy Liquidity Support Program under Law 3723/2008 and that the Greek State's right to participate, through its representative, to the Bank's BoD has ceased to exist as of 17 January 2018 (note 4). Moreover, the BoD decided that Ms. Androniki Boumi is appointed to the Banks' BoD as non-executive Director, her tenure being equal to the tenure of the other BoD members. The appointment of Ms. A. Boumi in the BoD under her new capacity will be announced at the next General Meeting of the Shareholders of the Bank.

Following the above, the BoD is as follows:

N. Karamouzis	Chairman, Non-Executive
F. Karavias	Chief Executive Officer
S. Ioannou	Deputy Chief Executive Officer
T. Kalantonis	Deputy Chief Executive Officer
A. Boumi	Non-Executive
G. Chryssikos	Non-Executive
R. Boucher	Non-Executive Independent
S. Johnson	Non-Executive Independent
B. P. Martin	Non-Executive Independent
J. Mirza	Non-Executive Independent
G. Myhal	Non-Executive Independent
L. Reichlin	Non-Executive Independent
A. Beritsi	Non-Executive (HFSF representative under Law 3864/2010)

Athens, 28 March 2018

Nikolaos V. Karamouzis
I.D. No AB - 336562
CHAIRMAN
OF THE BOARD OF DIRECTORS

Fokion C. Karavias
I.D. No AI - 677962
CHIEF EXECUTIVE OFFICER

Harris V. Kokologiannis
I.D. No AK - 021124
GENERAL MANAGER OF GROUP FINANCE
GROUP CHIEF FINANCIAL OFFICER

Notes to the Consolidated Financial Statements

APPENDIX – Disclosures under Law 4261/2014

Country by Country Reporting

Pursuant to article 81 of Law 4261/2014, which incorporated article 89 of Directive 2013/36/EC into the Greek legislation, the Group provides the following information for each country in which it has an establishment:

- (i) Names, nature of activities and geographical location.
- (ii) The operating income (turnover), the profit/(loss) before tax, the tax on profit/ (loss) and the current tax on a consolidated basis for each country; intercompany transactions among countries are eliminated through the line 'Intra-Group amounts'. The amounts disclosed are prepared on the same basis as the Group's financial statements for the year ended 31 December 2017.
- (iii) The number of employees on a full time equivalent basis.
- (iv) The public subsidies received.

For the listing of the Bank's subsidiaries at 31 December 2017, the country of their incorporation and the line of their business refer to note 27.

The information per country is set out below:

	Year ended 31 December 2017				Number of employees at 31 December
	Operating income € million	Profit/(loss) before tax € million	Tax on profit/(loss) € million	Current tax € million	
Greece	1,452.1	17.6	21.3	(8.2)	9,415
Bulgaria	203.8	58.6	(7.7)	(7.8)	2,372
Romania	(2.4)	(8.4)	(0.0)	(0.0)	24
Cyprus	96.3	49.7	(10.4)	(10.4)	348
Serbia	74.5	19.6	(3.2)	(0.8)	1,255
Luxembourg ⁽¹⁾	36.5	14.3	(1.9)	(3.1)	91
Turkey	15.0	15.0	(3.0)	(3.0)	-
Netherlands	6.2	7.4	(0.1)	(0.1)	-
Other countries ⁽²⁾	(0.0)	(0.3)	(0.2)	(0.2)	7
Intra-Group amounts	(0.4)	-	-	-	-
Total from continuing operations	1,881.6	173.5	(5.2)	(33.6)	13,512
Grivalia subgroup ⁽³⁾		20.3	(10.4)	(5.8)	
Romanian disposal group ⁽³⁾		(66.9)	(4.0)	(0.2)	
Total from discontinued operations		(46.6)	(14.4)	(6.0)	
Total	1,881.6	126.9	(19.6)	(39.6)	13,512

(1) The operations of Eurobank Private Bank Luxembourg S.A.'s branch in London are included within Luxembourg.

(2) Amounts reported under 'Other countries' refer to (a) the Group's SPVs issuing EMTNs and preferred securities i.e. ERB Hellas Plc in the United Kingdom, ERB Hellas (Cayman Islands) Ltd in Cayman Islands and ERB Hellas funding Ltd in Channel Islands and (b) a holding company, Berberis investments Ltd in Channel Islands.

(3) For further details regarding the Grivalia subgroup and Romanian disposal group refer to note 17 'Discontinued operations'.

For the year ended 31 December 2017, none of the Bank's subsidiaries has received any public subsidy.

The Bank participated in the Hellenic Republic's plan to support liquidity in the Greek economy under Law 3723/2008, as in force. For further details, refer to note 4.

Article 82 of Law 4261/2014

For 2017, the Group's return on assets (RoA) was 0.18%. RoA is calculated by dividing the net profit for the year ended 31 December 2017 by the Group's average total assets for the year.

v. Financial Statements of the Bank for the year ended 31 December 2017



EUROBANK ERGASIAS S.A.

FINANCIAL STATEMENTS

FOR THE YEAR ENDED
31 DECEMBER 2017

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Balance Sheet

		31 December	
		2017	2016
		Restated ⁽¹⁾	
Note		€ million	€ million
ASSETS			
Cash and balances with central banks	17	372	371
Due from credit institutions	19	2,867	3,490
Derivative financial instruments	20	1,884	1,985
Loans and advances to customers	21	30,866	31,908
Investment securities	23	6,616	11,066
Shares in subsidiary undertakings	24	1,814	2,224
Property, plant and equipment	25	237	238
Investment property	26	22	59
Intangible assets	27	105	80
Deferred tax assets	16	4,846	4,902
Other assets	28	1,621	1,598
Assets classified as held for sale	29	198	-
Total assets		51,448	57,921
LIABILITIES			
Due to central banks	30	9,994	13,906
Due to credit institutions	31	7,168	11,089
Derivative financial instruments	20	1,850	2,448
Due to customers	32	25,015	23,678
Debt securities in issue	33	503	60
Other liabilities	34	476	528
Total liabilities		45,006	51,709
EQUITY			
Ordinary share capital	36	656	656
Share premium	36	8,056	8,056
Reserves and retained earnings		(3,263)	(3,493)
Preference shares	37	950	950
Total equity attributable to shareholders of the Bank		6,399	6,169
Hybrid capital	38	43	43
Total equity		6,442	6,212
Total equity and liabilities		51,448	57,921

⁽¹⁾ The comparative information has been restated due to change in accounting policy (note 47).

Notes on pages 6 to 111 form an integral part of these financial statements

Income Statement

	Note	Year ended 31 December	
		2017	2016
		€ million	Restated ⁽¹⁾ € million
Interest income		1,782	1,862
Interest expense		(682)	(770)
Net interest income	8	1,100	1,092
Banking fee and commission income		212	212
Banking fee and commission expense		(85)	(104)
Net banking fee and commission income	9	127	108
Income from non banking services		6	6
Dividend income	10	132	62
Net trading income	11	58	5
Gains less losses from investment securities	11	65	113
Other income/(expenses)	16,21,24	19	260
Operating income		1,507	1,646
Operating expenses	12	(672)	(687)
Profit from operations before impairments, provisions and restructuring costs		835	959
Impairment losses on loans and advances	22	(716)	(836)
Impairments on shares in subsidiary undertakings and joint ventures	24	(105)	(85)
Other impairment losses and provisions	14	(27)	(33)
Restructuring costs	14	(11)	(47)
Profit/(Loss) before tax		(24)	(42)
Income tax	15	35	21
Tax adjustments	15	-	31
Net profit		11	10

⁽¹⁾ The comparative information has been restated due to change in accounting policy (note 47).

Notes on pages 6 to 111 form an integral part of these financial statements

Statement of Comprehensive Income

	Year ended 31 December			
	2017		2016	
			Restated ⁽¹⁾	
	€ million		€ million	
Net profit	11		10	
Other comprehensive income:				
Items that are or may be reclassified subsequently to profit or loss:				
Cash flow hedges				
- changes in fair value, net of tax	30		16	
- transfer to net profit, net of tax	(11)	19	(5)	11
Available for sale securities				
- changes in fair value, net of tax (note 5)	238		29	
- transfer to net profit, net of tax (note 23)	(36)	202	1	30
	221		41	
Items that will not be reclassified to profit or loss:				
-Actuarial losses on post employment benefit obligations, net of tax	(2)		(4)	
Other comprehensive income	219		37	
Total comprehensive income	230		47	

⁽¹⁾ The comparative information has been restated due to change in accounting policy (note 47).

Notes on pages 6 to 111 form an integral part of these financial statements

Statement of Changes in Equity

	Total equity attributable to shareholders of the Bank						Total € million
	Ordinary share capital € million	Share premium € million	Special reserves € million	Retained earnings € million	Preference shares € million	Hybrid capital € million	
Balance at 1 January 2016	656	8,056	7,544	(11,118)	950	43	6,131
Restatement due to charge in accounting policy (note 47)	-	-	-	34	-	-	34
Balance at 1 January 2016, as restated	656	8,056	7,544	(11,084)	950	43	6,165
Net profit (restated, note 47)	-	-	-	10	-	-	10
Other comprehensive income	-	-	37	-	-	-	37
Total comprehensive income for the year ended 31 December 2016	-	-	37	10	-	-	47
Transfers between reserves	-	-	(41)	41	-	-	-
Balance at 31 December 2016	656	8,056	7,540	(11,033)	950	43	6,212
Balance at 1 January 2017	656	8,056	7,540	(11,033)	950	43	6,212
Net profit	-	-	-	11	-	-	11
Other comprehensive income	-	-	219	-	-	-	219
Total comprehensive income for the year ended 31 December 2017	-	-	219	11	-	-	230
Transfers between reserves	-	-	(4)	4	-	-	-
Balance at 31 December 2017	656	8,056	7,755	(11,018)	950	43	6,442
	Note 36	Note 36	Note 39		Note 37	Note 38	

Notes on pages 6 to 111 form an integral part of these financial statements

Cash Flow Statement

		Year ended 31 December	
		2017	2016
			Restated ⁽¹⁾
Note		€ million	€ million
Cash flows from operating activities			
Profit/(loss) before income tax		(24)	(42)
Adjustments for :			
Impairment losses on loans and advances	22	716	836
Other impairment losses, provisions and restructuring costs	14	143	159
Depreciation and amortisation	12	38	38
Other (income)/losses on investment securities	18	(123)	(179)
(Gain)/ loss on sale of subsidiary undertakings, associates and joint ventures	24	(19)	(208)
Dividends from subsidiaries, associates and joint ventures	10	(131)	(60)
Other adjustments	18	(1)	(49)
		599	495
Changes in operating assets and liabilities			
Net (increase)/decrease in cash and balances with central banks		13	(7)
Net (increase)/decrease in due from credit institutions		592	1,375
Net (increase)/decrease in loans and advances to customers		156	349
Net (increase)/decrease in derivative financial instruments		(183)	(35)
Net (increase)/decrease in other assets		6	212
Net increase/(decrease) in due to central banks and credit institutions		(7,833)	(6,526)
Net increase/(decrease) in due to customers		1,337	877
Net increase/(decrease) in other liabilities		(63)	(22)
		(5,975)	(3,777)
Net cash from/(used in) operating activities		(5,376)	(3,282)
Cash flows from investing activities			
Acquisition of fixed and intangible assets		(70)	(42)
Proceeds from sale of fixed and intangible assets		52	2
(Purchases)/sales and redemptions of investment securities		4,796	3,821
Acquisition of subsidiaries, associates, joint ventures and participations in capital increases	24,28	(62)	(99)
Disposal/liquidation/capital decrease of holdings in subsidiaries, associates and joint ventures	24	177	332
Dividends from investment securities, subsidiaries, associates and joint ventures		94	62
Net cash from/(used in) investing activities		4,987	4,076
Cash flows from financing activities			
(Repayments)/proceeds from debt securities in issue	18	441	(839)
Expenses paid for share capital increase		-	(6)
Net cash from/(used in) financing activities		441	(845)
Net increase/(decrease) in cash and cash equivalents		52	(51)
Cash and cash equivalents at beginning of year	18	454	505
Cash and cash equivalents at end of year	18	506	454

⁽¹⁾ The comparative information has been restated due to change in accounting policy (note 47).

Notes on pages 6 to 111 form an integral part of these financial statements

Notes to the Financial Statements

1. General information

Eurobank Ergasias S.A. (the Bank) is active in retail, corporate and private banking, asset management, treasury, capital markets and other services. The Bank is incorporated in Greece and its shares are listed on the Athens Stock Exchange. The Bank operates mainly in Greece and through its subsidiaries in Central and Southeastern Europe.

These financial statements were approved by the Board of Directors on 28 March 2018. The Independent Auditor's Report of the Financial Statements is included in the section III of the Annual Financial Report for the year ended 31 December 2017.

2. Basis of preparation and principal accounting policies

The principal accounting policies applied in the preparation of the financial statements are set out below:

2.1 Basis of preparation

The financial statements of the Bank have been prepared in accordance with International Financial Reporting Standards (IFRS) issued by the IASB, as endorsed by the European Union (EU), and in particular with those IFRSs and IFRS Interpretation Committee's (IC) interpretations, issued and effective or issued and early adopted as at the time of preparing these statements.

The financial statements are prepared under the historical cost convention as modified by the revaluation of available-for-sale financial assets and of financial assets and financial liabilities (including derivative instruments) at fair-value-through-profit-or-loss.

The preparation of financial statements in conformity with IFRS requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities at the date of the financial statements, as well as the reported amounts of revenues and expenses during the reporting period. Although these estimates are based on management's best knowledge of current events and actions, actual results ultimately may differ from those estimates.

The Bank's presentation currency is the Euro (€). Except as indicated, financial information presented in Euro has been rounded to the nearest million.

Going concern considerations

The annual financial statements have been prepared on a going concern basis, as the Board of the Directors considered as appropriate, taking into consideration the following:

Macroeconomic environment

Greece's real GDP grew by 1.4% in 2017, according to the Hellenic Statistical Authority's (ELSTAT) first estimate from -0.02% in 2016, while the real GDP growth consensus forecast for 2018 is at 2.1% (compared to an official target of 2.5%). The unemployment rate in December 2017 was 20.8%, based on ELSTAT data (31 December 2016: 23.5%). On the fiscal front, Greece's primary surplus for 2017 is expected at 2.44% of GDP, according to the 2018 Budget data, outperforming the respective Third Economic Adjustment Program (TEAP) primary balance target of 1.75%. According to Bank of Greece and ELSTAT data the current account deficit decreased at -0.8% of GDP in 2017 (2016: -1.1%).

Greece, following the conclusion of the TEAP second review in June 2017 and the consequent release of the € 8.5 bn loan tranche, reached a staff level agreement with the European institutions on the policy package of the third review on 4 December 2017 and implemented all prior actions by early 2018, which paved the way for the disbursement of the first sub-tranche of € 5.7 bn in the second half of March 2018. The second sub-tranche of € 1 bn will be disbursed in the second quarter of 2018 subject to positive reporting by the European institutions on the clearance of net arrears and the unimpeded flow of e-auctions. On the back of the aforementioned positive developments, Greece returned to the financial markets through the issue of a € 3 bn five-year bond at a yield of 4.625% on 24 July 2017 (for the first time since July 2014) and a € 3 bn seven-year bond at a yield of 3.5% on 8 February 2018. The proceeds of the bond issues are used for further liability/debt management and for the build-up of a state cash buffer that would facilitate the country's market access after the end of the program in August 2018.

The completion of the fourth and final review of the TEAP, which will be carried out by June 2018 according to the implementation plan, an expected significant rise in investments (2018 Budget estimate at 11.4% compared to 9.6% increase in 2017), and a forecasted strong tourism season support expectations for a further improvement in domestic economic activity in 2018. The decisive implementation of the reforms agreed in the context of the TEAP, the implementation of further debt relief measures in accordance with 24 May 2016 Eurogroup decisions, the mobilization of European Union (EU) funding to support

Notes to the Financial Statements

domestic investment and job creation, the attraction of foreign and domestic capital and the adoption of an extrovert economic development model will facilitate the restoration of confidence in the prospects of the Greek economy and the further stabilization of the domestic economic environment, which are necessary conditions for the return of the country to a strong and sustainable growth path.

The main risks and uncertainties are associated with (a) the possible delays in the implementation of the reforms' agenda in order to meet the next targets and milestones of the TEAP, (b) the possible delays in the agreement of the post-program relation between Greece and the Institutions, (c) the impact on the level of economic activity and on the attraction of direct investments from the fiscal and social security-related measures agreed under the reviews of the TEAP, (d) the ability to attract new investments in the country, (e) the timing of a full lift of restrictions in the free movement of capital and the respective impact on the level of economic activity, (f) the possible slow pace of deposits inflows and/ or possible delays in the effective management of non-performing exposures (NPEs) as a result of the challenging macroeconomic conditions in Greece and (g) the geopolitical conditions in the broader region and the external shocks from a slowdown in the global economy.

Liquidity risk

In accordance with the agreement with the European partners the authorities are committed to preserving sufficient liquidity in the banking system, as long as Greece meets its obligations under the European Stability Mechanism (ESM) program. The gradual stabilisation of the macroeconomic environment, following the completion of the second and the third review of the TEAP, has enhanced Greece's credibility towards the international markets, improved the domestic economic sentiment and facilitated the return of deposits as well as the further relaxation of capital controls. The successful completion of the fourth review of the TEAP and an agreement on the post-program relation of Greece with its official creditors will help further reinstating depositors' confidence and thus accelerate the return of deposits, and it will positively influence the financing of the economy.

In 2017, the Group's deposits inflows of € 1.8 bn (of which € 1.2 bn in Greece), along with the increased market repos on covered bonds and Greek Treasury bills, a € 500 million covered bond issue to international and domestic investors and the assets deleveraging resulted in the significant decrease of the Bank's dependency from the Eurosystem to € 10 bn at the end of December 2017, of which € 7.9 bn funding from ELA, (31 December 2016: € 13.9 bn, of which € 11.9 bn from ELA) and the elimination of the Bank's participation in the second stream of the Hellenic Republic liquidity support program at the end of October 2017 (31 December 2016: bonds guaranteed by the Greek Government of € 2.5 bn). On 28 February 2018, the Eurosystem funding further declined to € 7.1 bn, of which € 5.7 bn from ELA (notes 4 and 30).

Solvency risk

The Group monitors closely the developments in the Greek macroeconomic environment taking into account its direct and indirect exposure to sovereign risk (note 5). A key priority is the active management of NPEs, with the aim to substantially reduce their stock in accordance with the Bank's operational targets and taking advantage of the Group's internal infrastructure, the important legislative changes and the external partnerships that have taken or are expected to take place. As at 31 December 2017, the Bank has reduced its NPEs stock by € 2.4 bn to € 18.1 bn, outperforming the respective initial SSM target of € 18.8 bn (note 7.2).

In parallel, the Group recorded a net profit attributable to shareholders of € 104 million for 2017 (Bank net profit of 11 million) on the back of higher net interest and commission income from both Greek and international activities. In the context of its strategic plan, the Bank has undertaken significant initiatives towards the fulfillment of the remaining commitments of the restructuring plan (note 6) and it proceeded with the redemption of the preference shares by issuing Tier 2 bonds at early 2018, which count in its total capital adequacy ratio (note 37). The Group's Common Equity Tier 1 (CET1) ratio stood at 17.9 % (Bank 18.9%) at 31 December 2017, while the respective pro-forma ratio with the redemption of preference shares/issue of Tier 2 bonds and the completion of the sale transaction in Romania would be 15.8% (note 6). The impact of the adoption of IFRS 9 on Group's CET1 as at the end of 2018, according to the transitional arrangements for the 5-year phase in period, is estimated to be approximately 20 bps.

Eurobank, along with the other three Greek systemic banks directly supervised by the European Central Bank (ECB), undergoes the 2018 EU-wide stress test launched by the European Banking Authority (EBA) on 31 January 2018. The results for the Greek systemic banks are expected to be published in May 2018 (note 6).

Within an environment of positive growth, the Group is well on track to achieve the 2018 NPE reduction targets, maintain profitability, continue the creation of organic capital and strengthen its position in the Greek market and abroad.

Notes to the Financial Statements

Going concern assessment

The Board of Directors, taking into consideration the above factors relating to the adequacy of the Bank's capital position, the outperformance of NPEs reduction targets and its anticipated continued access to Eurosystem funding over the foreseeable future, has been satisfied that the financial statements of the Bank can be prepared on a going concern basis.

2.1.1 New and amended standards and interpretations

The policies set out below have been consistently applied to the years 2017 and 2016, except as described below as well as in note 2.2.5. Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

Amendments to standards adopted by the Bank

The following amendments to standards, as issued by the International Accounting Standards Board (IASB) and endorsed by the European Union (EU), apply from 1 January 2017:

IAS 7, Amendment-Disclosure Initiative

The amendment requires disclosure of information enabling users of financial statements to evaluate changes in liabilities arising from financing activities, including both changes from cash flows and non-cash changes. The disclosure requirements also apply to changes in financial assets, such as assets that hedge liabilities arising from financing activities, if cash flows from those financial assets were or future cash flows will be, included in cash flows from financing activities. The Bank has implemented the disclosure requirement in note 18.

IAS 12, Amendment-Recognition of Deferred Tax Assets for Unrealized Losses

The amendment clarifies that (a) unrealized losses on debt instruments measured at fair value in the financial statements and at cost for tax purposes may give rise to a deductible temporary difference irrespective of whether the entity expects to recover the carrying amount of the debt instrument by sale or use, (b) estimates for future taxable profits exclude tax deductions resulting from the reversal of deductible temporary differences, (c) the estimate of probable future taxable profits may include the recovery of an asset for more than its carrying amount, if there is sufficient evidence that it is probable that this will be realized by the entity, and (d) a deferred tax asset is assessed in combination with all of the other deferred tax assets where the tax law does not restrict the sources of taxable profits against which the entity may make deductions on the reversal of that deductible temporary difference. Where restrictions apply, deferred tax assets are assessed in combination only with other deferred tax assets of the same type.

The adoption of the amendment had no impact on the Bank's financial statements.

Annual Improvements to IFRSs 2014-2016 Cycle

IFRS 12 'Disclosure of Interests in Other Entities': It is clarified that the disclosure requirements in IFRS 12 apply to an entity's interest in a subsidiary, a joint venture or an associate classified as held for sale except for the requirement for summarized financial information.

The adoption of the amendment had no impact on the Bank's financial statements.

New standards, amendments to standards and interpretations not yet adopted by the Bank

A number of new standards, amendments to existing standards and interpretations are effective after 2017, as they have not yet been endorsed by the European Union or have not been early applied by the Bank. Those that may be relevant to the Bank are set out below (except for IFRS 9, which is presented in section 2.1.2):

IAS 19, Amendment –Plan Amendment, Curtailment or Settlement (effective 1 January 2019, not yet endorsed by EU)

The amendment clarifies that when a change to a defined benefit plan i.e an amendment, curtailment or settlement takes place and a remeasurement of the net defined benefit liability or asset is required, the updated actuarial assumptions from the remeasurement should be used to determine current service cost and net interest for the remainder of the reporting period after the change to the plan. Additionally, the amendment includes clarifications about the effect of a plan amendment, curtailment or settlement on the requirements regarding the asset ceiling.

The adoption of the amendment is not expected to impact the Bank's financial statements.

Notes to the Financial Statements

IAS 28, Amendment – Long Term Interests in Associates and Joint Ventures (effective 1 January 2019, not yet endorsed by EU)

The amendment clarifies that IFRS 9 ‘Financial Instruments’ including its impairment requirements, applies to long term interests in associates or joint ventures that form part of the entity’s net investment in the associate or joint venture but are not accounted for using equity accounting.

According to the amendment, any adjustments to the carrying amount of long term interests resulting from the application of IAS 28 should not be considered when applying the IFRS 9 requirements which apply to long term interests before applying the loss allocation and impairment requirements of IAS 28.

The adoption of the amendment is not expected to impact the Bank’s financial statements.

IAS 40, Amendment-Transfers of Investment Property (effective 1 January 2018)

The amendment clarifies that a transfer of property, including property under construction or development, into or out of investment property should be made only when there has been a change in use of the property. Such a change in use occurs when the property meets, or ceases to meet, the definition of investment property and should be supported by evidence.

The adoption of the amendment is not expected to impact the Bank’s financial statements.

IFRS 2, Amendment-Classification and Measurement of Share-based Payment Transactions (effective 1 January 2018)

The amendment addresses (a) the measurement of cash-settled share-based payments, (b) the accounting for modifications of a share-based payment from cash-settled to equity-settled and (c) the classification of share-based payments settled net of tax withholdings.

Specifically, the amendment clarifies that a cash-settled share-based payment is measured using the same approach as for equity-settled share-based payments. It also clarifies that the liability of cash-settled share-based payment modified to equity-settled one is derecognized and the equity-settled share-based payment is recognized at the modification date fair value of the equity instrument granted and any difference is recognized in profit or loss immediately.

Furthermore, a share-based payment net by withholding tax on the employee’s behalf (a net settlement feature) is classified as equity settled in its entirety, provided it would have been classified as equity-settled had it not included the net settlement feature.

The adoption of the amendment is not expected to impact the Bank’s financial statements.

IFRS 4, Amendment-Applying IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts (effective 1 January 2018)

The amendment addresses the accounting consequences of the different effective dates of IFRS 9 ‘Financial Instruments’ and the forthcoming new insurance contracts Standard. It introduces two options for entities that issue insurance contracts: a temporary exemption from applying IFRS 9 and an overlay approach.

The optional temporary exemption from IFRS 9 is available to entities whose activities are predominantly connected with insurance, allowing them to continue to apply IAS 39 ‘Financial Instruments: Recognition and Measurement’ while they defer the application of IFRS 9 until 1 January 2021 at the latest.

The overlay approach is an option for entities that adopt IFRS 9 and issue insurance contracts, to adjust profit or loss for eligible financial assets, effectively resulting in IAS 39 accounting for those designated financial assets. This approach can be used provided that the entity applies IFRS 9 in conjunction with IFRS 4 and classifies financial assets as fair value through profit or loss in accordance with IFRS 9, when those assets were previously classified at amortized cost or as available-for-sale in accordance with IAS 39.

The amendment is not relevant to the Bank’s activities, other than through its associate Eurolife ERB Insurance Group Holdings S.A., which has elected the optional temporary exemption from IFRS 9.

Notes to the Financial Statements

IFRS 15, Revenue from Contracts with Customers and IFRS 15 Amendments (effective 1 January 2018)

IFRS 15 establishes a single, comprehensive revenue recognition model for determining when and how much revenue to recognize and replaces existing revenue recognition guidance, including IAS 18 'Revenue', IAS 11 'Construction Contracts' and IFRIC 13 'Customer Loyalty Programs'.

IFRS 15 applies to all contracts with customers, except those in the scope of other standards such as:

- Financial instruments and other contractual rights or obligations within the scope of IFRS 9 'Financial Instruments', IFRS 10 'Consolidated Financial Statements', IFRS 11 'Joint Arrangements', IAS 27 'Separate Financial Statements' and IAS 28 'Investments in Associates and Joint Ventures';
- Lease contracts within the scope of IAS 17 'Leases' (or IFRS 16 'Leases'); and
- Insurance contracts within the scope of IFRS 4 'Insurance Contracts'.

Therefore, interest and fee income integral to financial instruments will continue to fall outside the scope of IFRS 15.

IFRS 15 specifies that revenue should be recognized at an amount that reflects the consideration to which the entity expects to be entitled in exchange for transferring goods or services. It introduces the concept of recognizing revenue for performance obligations as they are satisfied and the control of a good or service (i.e. the ability to direct the use of and obtain the benefits from them), is obtained by the customer. For services provided over time, such as management fee income earned for asset management services provided and variable performance fee income based on the return of the underlying asset at a particular date, consideration is recognized as the service is provided to the customer provided that it is probable that a significant reversal of consideration will not occur.

Extensive disclosures will be required in relation to revenue recognized and expected from existing contracts.

IFRS 15 was amended in April 2016 to provide several clarifications, including that in relation to the identification of the performance obligations within a contract.

The Bank, is currently in the process of finalizing the impact assessment of IFRS 15, however the adoption of the standard is not expected to have a significant impact on the Bank's financial statements as net interest income, which is a primary revenue stream of the Bank, is not impacted by the adoption of IFRS 15 and the existing Bank accounting treatment for revenue from contracts with customers is generally in line with IFRS 15.

IFRS 16, Leases (effective 1 January 2019)

IFRS 16, which supersedes IAS 17 'Leases' and related interpretations, introduces a single, on-balance sheet lease accounting model for lessees, under which the classification of leases for a lessee, as either operating leases or finance leases, is eliminated and all leases are treated similarly to finance leases under IAS 17. The new standard provides for the recognition of a 'right-of-use-asset' and a 'lease liability' upon lease commencement in case that there is a contract, or part of a contract, that conveys to the lessee the right to use an asset for a period of time in exchange for a consideration.

The right-of-use-asset is, initially, measured at cost, consisting of the amount of the lease liability, plus any lease payments made to the lessor at or before the commencement date less any lease incentives received, the initial estimate of restoration costs and any initial direct costs incurred by the lessee and, subsequently, at cost less accumulated depreciation and impairment. The lease liability is initially recognized at an amount equal to the present value of the lease payments during the lease term that are not yet paid.

Accordingly, the typical straight line operating lease expense of operating leases under IAS 17 is replaced by the depreciation charge of the 'right-of-use-asset' and the interest expense on the 'lease liability'. The recognition of assets and liabilities by lessees, as described above, is not required for certain short term leases and leases of low value assets. Additionally, the accounting treatment for lessors is not substantially affected by the requirements of IFRS 16.

The Bank is currently assessing the impact of IFRS 16 on its financial statements, which is impracticable to quantify as at the date of the publication of these financial statements. Operating lease commitments currently in place are set out in note 42.

Notes to the Financial Statements

IFRS 17, Insurance Contracts (effective 1 January 2021, not yet endorsed by EU)

IFRS 17, which supersedes IFRS 4 'Insurance Contracts' provides a comprehensive and consistent accounting model for insurance contracts. It applies to insurance contracts issued, all reinsurance contracts and to investment contracts with discretionary participating features that an entity issues provided it also issues insurance contracts. Financial guarantee contracts are allowed to be within the scope of IFRS 17 if the entity has previously asserted that it regarded them as insurance contracts.

According to IFRS 17 general model, groups of insurance contracts which are managed together and are subject to similar risks, are measured based on building blocks of discounted, probability-weighted future cash flows, a risk adjustment and a contractual service margin ('CSM') representing the unearned profit of the contracts. Under the model, estimates are remeasured in each reporting period. A simplified measurement approach may be used if it is expected that doing so a reasonable approximation of the general model is produced or if the contracts are of short duration.

Revenue is allocated to periods in proportion to the value of expected coverage and other services that the insurer provides during the period, claims are presented when incurred and any investment components i.e amounts repaid to policyholders even if the insured event does not occur, are not included in revenue and claims. Insurance services results are presented separately from the insurance finance income or expense.

IFRS 17 is not relevant to the Bank's activities, other than through its associate Eurolife ERB Insurance Group Holdings S.A.

Annual Improvements to IFRSs 2014-2016 Cycle (effective 1 January 2018)

IAS 28 'Investments in Associates and Joint Ventures': It is clarified that venture capital organizations, mutual funds, unit trusts and similar entities are allowed to elect measuring their investments in associates or joint ventures at fair value through profit or loss.

The adoption of the amendment is not expected to impact the Bank's financial statements.

Annual Improvements to IFRSs 2015-2017 Cycle (effective 1 January 2019, not yet endorsed by EU)

The amendments introduce key changes to four IFRSs following the publication of the results of the IASB's 2015-17 cycle of the annual improvements project. The topics addressed by these amendments are set out below:

- IFRS 3 'Business Combinations' and IFRS 11 'Joint Arrangements': It is clarified how an entity accounts for increasing its interest in a joint operation that meets the definition of a business.
 - If a party obtains control of a business that is a joint operation, then the transaction constitutes a business combination achieved in stages and the acquiring party remeasures the entire previously held interest in the assets and liabilities of the joint operation at fair value.
 - If a party obtains joint control, then the previously held interest is not remeasured.
- IAS 12 'Income Taxes': It is clarified that all income tax consequences of dividends, including payments on financial instruments classified as equity, should be recognized in profit or loss, other comprehensive income or equity, depending on where the originating transaction or event that generated distributable profits giving rise to the dividend, was recognized.
- IAS 23 'Borrowing costs': It is clarified that any borrowing originally made to develop a qualifying asset should be treated as part of general borrowings when substantially all of the activities necessary to prepare that asset for its intended use or sale are complete.

The adoption of the amendments is not expected to impact the Bank's financial statements.

IFRIC 22, Foreign Currency Transactions and Advance Consideration (effective 1 January 2018, not yet endorsed by EU)

IFRIC 22 provides requirements about which exchange rate to use in reporting foreign currency transactions that involve an advance payment or receipt. The interpretation clarifies that in this case, the date of the transaction for the purpose of determining the exchange rate to use on initial recognition of the related asset, expense or income is the date of the advance consideration, i.e. when the entity initially recognized the non-monetary asset (prepayment asset) or non-monetary liability (deferred income liability) arising from the advance consideration. If there are multiple payments or receipts in advance, the entity must determine a date of transaction for each payment or receipt.

The adoption of the interpretation is not expected to impact the Bank's financial statements.

Notes to the Financial Statements

IFRIC 23, Uncertainty over Income Tax Treatments (effective 1 January 2019, not yet endorsed by EU)

The interpretation clarifies the application of the recognition and measurement requirements in IAS 12 'Income Taxes' when there is uncertainty over income tax treatments. In such a circumstance, recognition and measurement of current or deferred tax asset or liability according to IAS 12 is based on taxable profit (tax loss), tax bases, unused tax losses and tax credits and tax rates determined applying IFRIC 23.

According to the interpretation, each uncertain tax treatment is considered separately or together as a group, depending on which approach better predicts the resolution of the uncertainty and the entity should assume that a tax authority with the right to examine tax treatments will examine them and will have full knowledge of all relevant information.

If an entity concludes it is probable that the taxation authority will accept an uncertain tax treatment, it should determine its accounting for income taxes consistently with that tax treatment. If it concludes that it is not probable that the treatment will be accepted, the effect of the uncertainty in its income tax accounting should be reflected in the period in which that determination is made, using the method that best predicts the resolution of the uncertainty (ie the most likely amount or the expected value method).

Judgments and estimates made for the recognition and measurement of the effect of uncertain tax treatments should be reassessed whenever circumstances change or new information that affects those judgments arise (eg actions by the tax authority, evidence that it has taken a particular position in connection with a similar item or the expiry of its right to examine a particular tax treatment).

The adoption of the interpretation is not expected to impact the Bank's financial statements.

2.1.2 Transition to IFRS 9 'Financial Instruments' and impact assessment

In July 2014, the IASB published the final version of IFRS 9 '*Financial Instruments*' effective 1 January 2018, which replaces IAS 39 '*Financial Instruments: Recognition and Measurement*'. IFRS 9 includes revised requirements on the classification and measurement of financial assets and liabilities, impairment of financial assets and hedge accounting.

Classification and measurement

IFRS 9 establishes a new classification and measurement approach for all types of financial assets that reflects the entity's business model for managing the assets and their contractual cash flow characteristics. IFRS 9 requires financial assets to be classified into one of the following measurement categories: amortized cost, fair value through other comprehensive income (FVOCI) or fair value through profit or loss (FVTPL). The standard eliminates the existing IAS 39 categories of held-to-maturity, loans and receivables and available for sale.

Financial assets will be measured at amortized cost if they are held within a business model whose objective is to hold financial assets in order to collect contractual cash flows, and their contractual cash flows represent solely payments of principal and interest (SPPI). Financial assets will be measured at FVOCI if they are held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and their contractual cash flows represent solely payments of principal and interest. All other financial assets will be classified at FVTPL.

An entity may at initial recognition, designate a financial asset at FVTPL if doing so eliminates or significantly reduces an accounting mismatch. Furthermore, on initial recognition of an equity instrument that is not held for trading, an entity may irrevocably elect to present subsequent changes in fair value through OCI. This election is made on an investment-by-investment basis.

Under IFRS 9, embedded derivatives in contracts where the host is a financial asset in the scope of the standard, are no longer bifurcated. Instead, the hybrid financial instrument is assessed for classification as a whole.

IFRS 9 retains most of the existing requirements for financial liabilities. However, for financial liabilities designated at FVTPL, gains or losses attributable to changes in own credit risk shall be presented in OCI and shall not be subsequently transferred to profit or loss, unless such a presentation would create or enlarge an accounting mismatch. Under IAS 39, all fair value changes of liabilities designated at FVTPL are recognized in profit or loss, unless this would create or enlarge an accounting mismatch.

Notes to the Financial Statements

Business model assessment

The business model reflects how the Bank manages the assets in order to generate cash flows. That is, whether the Bank's objective is solely to collect contractual cash flows from the asset, to realize cash flows from the sale of assets, or both to collect contractual cash flows and cash flows from the sale of assets. Financial assets that are held for trading or managed on a fair value basis will be measured at FVTPL.

The Bank's approach is to perform the business model assessment consistently with its operating model and the information provided to key management personnel. In making the above assessment, the Bank will consider a number of factors including:

- the stated policies and objectives for each portfolio;
- how the performance of each portfolio is evaluated and reported;
- the risks associated with the performance of the business model and how those risks are managed;
- how managers are compensated;
- past experience on how the cash flows from those portfolios were collected and how the Bank's stated objective for managing the financial assets is achieved; and
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and expectations about future sales activity. Irrespective of their frequency and value, sales due to an increase in the financial assets' credit risk and sales made due to liquidity needs in case of an unexpected stress case scenario, are consistent with a hold-to-collect business model.

SPPI assessment

In assessing whether the contractual cash flows are solely payments of principal and interest, the Bank will consider whether the contractual terms of the instrument are consistent with a basic lending arrangement i.e. interest includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin. This will include an assessment of whether a financial asset contains a contractual term that could change the amount or timing of contractual cash flows in a way that it would not be consistent with the above condition. Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset will be measured at FVTPL.

Assessment of changes to the classification and measurement on transition

For the purpose of the transition to IFRS 9, the Bank is carrying out a business model assessment across various portfolios and a detailed review of the contractual terms (SPPI review) for its debt instruments portfolios to determine any potential changes to the classification and measurement. The assessment is being performed based on the facts and circumstances that exist at the date of initial application i.e. 1 January 2018. Furthermore, it is performed on a sample basis for the retail and part of the wholesale portfolio where contracts are of standardized form, whereas for the remaining wholesale portfolio is being performed on an individual basis. The business model assessment and the SPPI review are not expected to result in any significant changes compared to how financial assets are measured under IAS 39, except where noted below. In particular:

- loans and advances to banks and customers that are measured at amortized cost under IAS 39, are also expected to be measured at amortized cost under IFRS 9;
- the majority of debt securities classified as available-for-sale under IAS 39, are expected to be measured at FVOCI ;
- held-to-maturity investment securities and assets in the debt securities lending portfolio that are measured at amortized cost under IAS 39, are expected to be measured at amortized cost or FVOCI depending on the business model within which they are held;
- limited cases of debt instruments that are expected to fail the SPPI test which are measured at FVTPL;
- trading and derivative assets that are measured at FVTPL under IAS 39 are also expected to be measured at FVTPL under IFRS 9;
- equity securities classified as available-for-sale under IAS 39 are expected to be measured at FVTPL under IFRS 9; and
- financial liabilities that are designated at FVTPL under IAS 39 (structured notes, structured deposits) are expected to be measured at amortized cost, while any embedded derivatives will be separated from the host contracts where appropriate.

Notes to the Financial Statements

Impairment of financial assets

IFRS 9 introduces an expected credit loss (ECL) model that replaces the incurred loss model in IAS 39. The new requirements eliminate the threshold in IAS 39 that required a credit event to have occurred before credit losses were recognized and will apply to a broader population of financial instruments compared to IAS 39. The measurement of ECL will require the use of complex models and significant judgment about future economic conditions and credit behavior.

The new impairment model, which introduces a “three stage approach” that will reflect changes in credit quality since initial recognition, will apply to financial assets that are not measured at FVTPL, including loans, lease receivables, debt securities, financial guarantee contracts and loan commitments issued. Accordingly, no impairment loss will be recognized on equity investments.

Upon initial recognition of instruments in scope of the new impairment principles, the Bank will record a loss allowance equal to 12-month ECL, being the ECL that result from default events that are possible within the next twelve months. Subsequently, for those financial instruments that have experienced a significant increase in credit risk since initial recognition, a loss allowance equal to lifetime ECL will be recognized, arising from default events that are possible over the expected life of the instrument. Financial assets for which 12-month ECL are recognized will be considered to be in ‘stage1’; financial assets which are considered to have experienced a significant increase in credit risk will be allocated in ‘stage2’, while financial assets that are considered to be credit impaired will be in ‘stage3’. The loss allowance for purchased or originated credit impaired (POCI) financial assets will always be measured at an amount equal to lifetime ECL, as explained below.

Allocation of Exposures to Stages

The Bank will distinguish financial assets between those which are measured based on 12-month ECLs (stage 1) and those that carry lifetime ECLs (stage 2 and 3), depending on whether there has been a significant increase in credit risk as evidenced by the change in the risk of default occurring on these financial assets since initial recognition.

To determine the risk of default, the Bank applies a default definition for accounting purposes, which is consistent with the EBA definitions. In particular, the Bank will determine that financial instruments are in stage 3 by applying as consistent measures of default across all of its portfolios:

- the objective criterion of 90 days past due and;
- the existence of unlikeliness to pay (UTP) criteria.

Accordingly, upon transition, the Bank considers all non-performing exposures in accordance with EBA definitions as credit-impaired and classifies those exposures at stage 3 for financial reporting purposes.

Purchased or originated credit impaired (POCI) financial assets, which include assets purchased at a deep discount and substantially modified assets arising from derecognition of the original asset and are considered originated credit impaired, are not subject to stage allocation and are always measured on the basis of lifetime ECL. The Bank will recognize interest income of financial assets at stage 3 as well as POCI by applying the effective interest rate (EIR) or the credit-adjusted EIR respectively on their net carrying amount.

Financial assets that experience a significant increase in credit risk since initial recognition will be in stage 2. In assessing whether a financial asset has experienced a significant increase in credit risk since initial recognition, the Bank intends to use a combination of quantitative, qualitative and backstop criteria including:

- relative changes on the residual lifetime probability of default;
- absolute thresholds on the residual lifetime probability of default;
- relative changes on credit risk ratings;
- watch list status;
- forbearance; and
- 30 days past due as backstop indicator.

Management may apply temporary individual or collective overlays on exposures sharing the same credit risk characteristics to take into account specific situations which otherwise would not be fully reflected in the impairment models.

Notes to the Financial Statements

Hence, upon transition, the Bank, considers all performing forbore loans as stage 2, along with any performing exposures that have been assessed to have experienced a significant increase in credit risk since initial recognition.

The Bank will classify all remaining financial assets which are not classified at stage 2, 3 or POCI in stage 1, measured based on 12-month ECL. The Bank will recognize interest income of financial assets at stage 2 and at stage 1, by applying the EIR on their gross carrying amount.

When the criteria for stage 2 classification are no longer met, and the financial asset is not credit impaired, it will be reclassified to stage 1. In addition, subsequent transfers from stage 3 to stage 2 will take place when the financial asset ceases to be credit impaired based on the assessment as described above.

Measurement of expected credit losses

As described above, if the credit risk of a financial instrument that is not classified as POCI has not increased significantly at the reporting date compared to its origination date, the loss allowance will be measured at an amount equal to 12 – month ECLs. The 12 – month ECLs represent a portion of lifetime losses, that result from default events that are possible within the next 12 months after the reporting date and is equal to the expected cash shortfalls over the life of the instrument or group of instruments, due to loss events probable within the next 12 months.

In cases where a significant increase in credit risk on a financial instrument has been identified at the reporting date since initial recognition date, the measurement of ECLs will be conducted on a lifetime basis. Lifetime ECLs represent the expected credit losses that result from all possible default events over the expected life of the financial instrument.

The measurement of ECLs will be a probability-weighted average estimate of credit losses that will reflect the time value of money. A credit loss is the difference between the cash flows that are due to the Bank in accordance with the contractual terms of the instrument and the cash flows that the Bank expects to receive (i.e. cash shortfalls) discounted at the original effective interest rate (EIR) of the same instrument, or the credit-adjusted EIR in case of purchased or originated credit impaired assets (POCI). In measuring ECL, information about past events, current conditions and reasonable and supportable forecasts of future conditions should be considered.

For the purposes of measuring ECL, the Bank will estimate expected cash shortfalls, which reflect the cash flows expected from all possible sources including collateral and other credit enhancements that are part of the contractual terms and are not recognized separately. In the case of a collateralized financial instrument, the estimated expected cashflows related to the collateral reflects the amount and timing of cash flows that are expected from foreclosure on the collateral less the discounted costs of obtaining and selling the collateral, irrespective of whether foreclosure is probable.

ECLs will be calculated over the maximum contractual period over which the Bank is exposed to credit risk. The maximum contractual period is defined based on the substantive terms of the instrument, including the Bank's ability to demand repayment or cancellation and the customer's ability to require extension. However, for revolving credit facilities (i.e. those that include both a loan and an undrawn commitment component) the period of exposure is determined in accordance with the Bank's expected credit risk management actions to mitigate credit risk, including terminating or limiting credit exposure. In doing so, the Bank will consider its normal credit risk mitigation process, its past practice, future intentions and expected credit risk mitigation actions, the period over which the Bank was exposed to credit risk on similar instruments, and the length of time for defaults to occur on similar instruments following a significant increase in credit risk.

ECLs on individually large credit impaired loans, above pre-defined materiality thresholds set in accordance with the Bank's risk management policy are measured individually. For the remaining retail exposures and some exposures to small and medium-sized enterprises, ECLs will be measured on a collective basis. This incorporates borrower specific information, collective historical experience of losses and forward-looking macroeconomic information.

ECL Key inputs

The ECL calculations are based on the term structures of the probability of default (PD), the loss given default (LGD), the exposure at default (EAD) and other input parameters such as the credit conversion factor (CCF) and the prepayment rate. Generally, the Bank intends to derive these parameters from internally developed statistical models and observed point-in-time and historical data, leveraging the existing infrastructure development for the regulatory framework and risk management practices.

Notes to the Financial Statements

The PD represents the likelihood of a borrower defaulting on its financial obligations either on the next twelve months or over the remaining lifetime. In accordance with IFRS 9, the Bank will use point-in-time unbiased PDs that will incorporate forward looking information and macroeconomic scenarios.

EAD represents the exposure that the Bank expects to be owed at the event of default. The EAD of a financial asset will be the gross carrying amount at default. In estimating the EAD, the Bank will use historical observations and forward looking forecasts to reflect payments of principal and interest and any potential drawdowns on lending commitments.

LGD represents the Bank's expectation of the extent of loss on a defaulted exposure and is the difference between the contractual cash flows due and those that the Bank expects to receive including any amounts from collateral liquidation. LGD varies by type of counterparty, type and seniority of claim, availability of collateral or other credit support, and is usually expressed as a percentage of EAD.

The PD, LGD and EAD used for accounting purposes may differ from those used for regulatory purposes. PD under IFRS 9 is a point-in-time estimate whereas for regulatory purposes PD is a 'through-the-cycle' estimate. In addition, LGD and EAD for regulatory purposes are based on loss severity experienced during economic downturn conditions, while under IFRS 9, LGD and EAD reflect an unbiased and probability-weighted amount.

The CCF factor is used to convert the amount of a credit line and other off-balance sheet amounts to an EAD amount. It is a modelled assumption which represents a proportion of any undrawn exposure that is expected to be drawn prior to a default event occurring. The prepayment rate is an estimate of early prepayments on loan exposure in excess of the contractual repayment according to the repayment schedule and is expressed as a percentage applied to the EAD at each period, reducing the latter amount accordingly.

Forward looking information

In assessing whether credit risk has increased significantly since initial recognition and measuring ECL the Bank will incorporate forward looking information. The Bank will evaluate a range of forward looking economic scenarios in order to achieve an unbiased and probability weighted estimate of ECL. In particular, the Bank intends to use as a minimum three macroeconomic scenarios (i.e. base, adverse and optimistic) and consider the relative probabilities of each scenario. The base scenario will represent the most likely scenario and will be aligned with the information used by the Bank for strategic planning and budgeting purposes.

Hedge accounting

IFRS 9 includes a new general hedge accounting model which aligns hedge accounting more closely with risk management. Under the new model, more hedging strategies may qualify for hedge accounting, new hedge effectiveness requirements apply and discontinuation of hedge accounting will be allowed only under specific circumstances. The IASB currently has a separate project for the accounting of macro hedging activities. Until the above project is completed, entities have an accounting policy choice to continue applying the hedge accounting requirements in IAS 39.

The Bank intends to elect to continue applying IAS 39. However, the Bank will provide the expanded disclosures required by the related amendments to IFRS 7 'Financial Instruments: Disclosures'.

IFRS 9 Implementation Program

A Group-wide IFRS 9 Program, led jointly by Group Risk and Group Finance, was initiated in 2015 to ensure a robust and high quality implementation in compliance with the requirements of the Standard and respective regulatory guidance.

Overall governance is provided through a central Program Management Office (PMO) that coordinates the implementation of the Program among the various stakeholders and is responsible for the day-to-day management tasks, as well as two Management Committees, namely the Steering Committee and the Technical Committee.

The Steering Committee, which is jointly led by the Chief Risk Officer (CRO) and Chief Financial Officer (CFO) and comprises senior staff from all the main functions of the Bank, is mandated to oversee the implementation in accordance with the Standard, monitors timelines and the quality of the Program's deliverables, reviews program's results, approves deliverables and changes in the scope of the program where appropriate, and regularly informs the Executive Board, the Board Risk Committee, the Audit Committee and the Board of Directors on the Program's implementation progress.

Notes to the Financial Statements

The Technical Committee is composed of Subject Matter Experts responsible for evaluating key technical issues and analyzing proposed changes in accounting policies and risk management methodologies for the Steering Committee before they are submitted and approved by the competent bodies of the Bank including all key judgments and assumptions used in the ECL model.

Reflecting the scale and complexity of the implementation plan, the Program is structured with various project teams (Group Finance, Group Risk Management, Information Systems, Internal Audit, Lending Business Units, Troubled Assets Group, Operations, Global Markets & Treasury and International General Division) dedicated to the various elements associated with the implementation of the Standard. These teams are supported by two external consultancy firms. Internal Audit is involved in the IFRS 9 implementation program, through attendance at Management meetings and Committees, training and performance of audit work.

The implementation for the Group's foreign subsidiaries is managed locally with the establishment of local PMOs and Steering Committees. Progress is monitored by the central PMO with Head Office providing support and guidance to ensure consistent implementation within the Group.

The Bank has largely completed the IFRS 9 accounting policies, key processes and process flows and the ECL methodologies while further refinements will continue during 2018. Educational workshops to the involved stakeholders are conducted on an ongoing basis on the impact of IFRS 9 to the Bank's lending practices and day-to-day operational activities in order to ensure that the new requirements are well understood and will be applied consistently across the Bank. The implementation of an IT system for the calculation of ECL has progressed to productive runs for the last quarter of 2017.

In addition, the Bank is currently participating in the IFRS 9 thematic review conducted by the European Central Bank on the evaluation of the Bank's preparedness, the impact of the new accounting principles on processes, infrastructure and regulatory capital.

Comparative information on transition

The new requirements of IFRS 9 will be applied retrospectively by adjusting the Bank's balance sheet on the date of transition on 1 January 2018. The Bank intends to apply the exemption not to restate comparative figures for prior periods; therefore the Bank's 2017 comparatives will be presented on an IAS 39 basis.

Impact assessment

The impact of transitioning to IFRS 9, before tax, is estimated to be € 981 million at 1 January 2018, as depicted in the table below per IFRS 9 area. The estimated impact is mainly attributed to the Bank's lending portfolio which amounts to € 917 million. The above impact is expected to decrease shareholder's equity by the same amount as no deferred tax asset is expected to be recognized by the Bank on IFRS 9 impact.

	IFRS 9 impact € million
<i>Impact attributed to :</i>	
Impairment	
- Loans and advances to customers	(917) (a)
- Other financial assets	(62) (b)
Total impairment	(979)
Classification & Measurement	(2) (c)
Hedging	-
Total IFRS 9 impact	(981)

Notes to the Financial Statements

Further analysis of the IFRS 9 impact is presented below.

(a) Impairment allowance for ECL – Loans & Advances to Customers

The following table presents the IFRS 9 impact analysis per stage and type of lending exposure according to EBA classification (note 7.2.1.2) as of 1 January 2018.

	Total gross loans € million	Of which :		IAS 39 Impairment allowance € million	IFRS 9 Allowance for ECL € million	IFRS 9 impact € million
		Performing Exposure € million	Non-performing exposure € million			
Stage 1	14,963	14,963	-	159	138	21
Stage 2	6,821	6,821	-	319	770	(451)
Credit Impaired	18,099	-	18,099	8,539	9,026	(487)
Total	39,883	21,784	18,099	9,017	9,934	(917)

In terms of impact per stage of lending exposures, the outcome of the exercise demonstrated a minor positive effect of € 21 million in Stage 1, a negative impact of € 451 million in Stage 2 and a negative impact of € 487 million in credit impaired loans.

(b) Impairment allowance for ECL – Investment securities

The estimated impact of other financial assets is expected to be € 62 million. This is primarily attributed to ECL impairment of investment securities which amounts to € 55 million.

The following table presents the ECL allowance of debt securities i.e. investment securities carried at amortized cost and FVOCI, per IFRS 9 portfolio:

	Allowance for ECL				IFRS 9 impact € million
	Total gross amount ⁽¹⁾ € million	Investment securities at amortized cost € million	Investment securities at FVOCI € million	Total € million	
Stage 1	5,402	(2)	(11)	(13)	(2)
Stage 2	769	(53)	(1)	(54)	(53)
Stage 3	-	-	-	-	-
Total	6,171	(55)	(12)	(67)	(55)

⁽¹⁾ Total gross amount is defined as the amortized cost of investment securities before any loss allowance and excluding fair value adjustments for FVOCI portfolio.

ECL allowance for investment securities at FVOCI that amounts to € 12 million is recognized within OCI therefore, it does not impact shareholders' equity.

Out of the total allowance for ECL of € 67 million, € 54 million is attributed to ECL for stage 2 instruments, while the rest is attributed to stage 1.

(c) Classification and Measurement

The estimated impact from the classification and measurement of IFRS 9 is expected to be € 2 million as of 1 January 2018. This amount includes an immaterial effect from:

- debt instruments that have failed the SPPI test and measured at FVTPL; and
- reclassification of debt securities due to business model changes, as described in the classification and measurement section above.

Notes to the Financial Statements

Regulatory capital

The Bank's estimation of the capital impact from the initial application of IFRS 9 as shown in the table below:

Capital impact from the initial application of IFRS 9	As at		
	31 December 2017 IAS 39 € million	1 January 2018 IFRS 9 full impact € million	1 January 2018 IFRS 9 transitional arrangements € million
Common equity Tier 1 Capital	6,173	5,189	6,049
Risk weighted assets	32,689	32,293	32,445
	%	%	%
Common equity Tier 1 (CET 1) Ratio	18.9	16.1	18.6

The Bank's estimation of the capital impact on the fully loaded CET 1 ratio as at 1 January 2018, based on the full implementation of the Basel III rules in 2024 is shown in the table below:

Capital impact from the initial application of IFRS 9	01 January 2018		
	Fully loaded € million	Post IFRS 9 fully loaded € million	IFRS 9 impact € million
Common equity tier 1 Capital	4,934	3,950	(984)
Risk weighted assets	32,441	32,045	(396)
	%	%	%
Common equity Tier 1 (CET 1) Ratio	15.2	12.3	(2.9)

The Bank has elected to apply the phase in approach as per EU legislation (Regulation EU 2017/2395) for mitigating the impact of IFRS 9 transition on the regulatory capital. The transition period is for five years, with the proportion of the impact to be included being 5% in 2018 and 15%, 30%, 50% and 75% in the subsequent four years. The full impact is expected to be depicted as of 1 January 2023. As a consequence, CET 1 ratio is expected to be reduced approximately by 25 basis points on the first year of IFRS 9 adoption, corresponding to a reduction of approximately € 120 million in regulatory capital by applying regulatory transitional arrangements.

All the assumptions, accounting policies and calculation techniques used by the Bank for the estimation of the IFRS 9 impact will continue to be subject to reviews and refinements and therefore the estimated impact may change until the Bank finalizes its financial statements for the year ending 31 December 2018.

IFRS 9, Amendment—Prepayment Features with Negative Compensation (effective 1 January 2019)

The amendment changes IFRS 9 requirements in order to allow measurement of a financial asset at amortized cost or at FVOCI, depending on the business model, even in the case of prepayment options which could result in the party that triggers the early termination receiving compensation from the other party (negative compensation). Therefore, measurement of these financial assets will be regardless of the event or circumstance that caused the early termination of the contract and irrespective of which party pays or receives reasonable compensation for the early termination. Applying IFRS 9 before the amendment would probably result in the measurement of these financial assets at FVTPL.

The amendment also confirms the modification accounting of financial liabilities under IFRS 9. In specific, when a financial liability measured at amortized cost is modified without this resulting in derecognition, a gain or loss, calculated as the difference between the original contractual cash flows and the modified cash flows discounted at the original effective interest rate, should be recognized in profit or loss.

The adoption of the amendment is not expected to impact the Bank's financial statements.

Notes to the Financial Statements

2.2 Principal accounting policies

2.2.1 Investments in subsidiaries, associates and joint ventures

Investments in subsidiaries, associates and joint ventures, including investments acquired through common control transactions, are accounted at cost less any impairment losses. Cost is the fair value of the consideration given being the amount of cash or shares issued, or if that cannot be determined reliably, the consideration received together with any directly attributable costs.

As an exception to the above measurement basis, when the Bank transfers an existing Group entity to a newly formed subsidiary in a share for share exchange that does not have commercial substance, the Bank's investment in that newly formed subsidiary is recognized at the carrying amount of the transferred entity.

Legal mergers that involve the combination of the Bank with one or more of its subsidiaries are accounted in accordance with IAS 8 "Accounting Policies, Changes in Accounting Estimates and Errors" with reference to the most recent pronouncements of other standard-setting bodies that use a similar conceptual framework and comply with the IFRS general principles.

In such transactions, the Bank incorporates the acquired assets and liabilities of the merged subsidiary at their carrying amounts in the consolidated financial statements as of the date of the legal merger without any fair value adjustments. Any difference between the carrying amount of the investment in the merged subsidiary before the legal merger, and the carrying amount of net assets acquired is recognized in the Bank's equity.

A listing of Bank's associates and joint ventures is set out in note 28.

2.2.2 Foreign currencies

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions are recognized in the income statement.

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rates prevailing at each reporting date and exchange differences are recognized in the income statement, except when deferred in equity as qualifying cash flow hedges.

Non-monetary assets and liabilities are translated into the functional currency at the exchange rates prevailing at initial recognition, except for non-monetary items denominated in foreign currencies that are measured at fair value which are translated at the rate of exchange at the date the fair value is determined. The exchange differences relating to these items are treated as part of the change in fair value and are recognized in the income statement or recorded directly in equity depending on the classification of the non-monetary item.

2.2.3 Derivative financial instruments and hedging

Derivative financial instruments, including foreign exchange contracts, forward currency agreements and interest rate options (both written and purchased), currency and interest rate swaps, and other derivative financial instruments, are initially recognized in the balance sheet at fair value on the date on which a derivative contract is entered into and subsequently are re-measured at their fair value. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative. Certain derivatives, embedded in other financial instruments, are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contract and the host contract is not carried at fair value through profit or loss. These embedded derivatives are measured at fair value with changes in fair value recognized in the income statement.

Fair values of derivatives are determined based on quoted market prices, including recent market transactions, or by using other valuation techniques, as appropriate. The principles for the fair value measurement of financial instruments, including derivative financial instruments, are described in notes 2.2.11 and 7.3. The Bank designates certain derivatives as: (a) hedges of the exposure to changes in fair value of recognized assets or liabilities or unrecognized firm commitments (fair value hedge) or (b) hedges of the exposure to variability in cash flows of recognized assets or liabilities or highly probable forecasted transactions (cash flow hedge).

The Bank applies hedge accounting for transactions that meet specified criteria. Accordingly, at the inception of the hedge accounting relationship, the Bank documents the relationship between hedging instruments and hedged items, as well as its risk management objective and strategy for undertaking various hedge transactions, together with the method that will be used to assess the effectiveness of the hedging relationship.

Notes to the Financial Statements

The Bank also documents its assessment, both at inception of the hedge and on an ongoing basis, of whether the derivatives that are used in hedging transactions are highly effective in offsetting changes in fair values or cash flows of hedged items and whether the actual results of each hedge are within a range of 80-125%. If a relationship does not meet the abovementioned hedge effectiveness criteria, the Bank discontinues hedge accounting prospectively. Similarly, if the hedging derivative expires or is sold, terminated or exercised, or the hedge designation is revoked, then hedge accounting is discontinued prospectively.

In addition, the Bank uses other derivatives, not designated in a qualifying hedge relationship, to manage its exposure primarily to interest rate and foreign currency risks. Non qualifying hedges are derivatives entered into as economic hedges of assets and liabilities for which hedge accounting was not applied. The said derivative instruments are classified along with those held for trading purposes.

The method of recognizing the resulting fair value gain or loss depends on whether the derivatives are designated and qualify as hedging instruments, and if so, the nature of the item being hedged.

(i) Fair value hedge

Changes in the fair value of derivatives that are designated and qualify as fair value hedges are recorded in the income statement, together with the changes in the fair value of the hedged assets or liabilities that are attributable to the hedged risk.

The Bank discontinues hedge accounting in case the hedging instrument expires or is sold, terminated or exercised, the hedge no longer meets the qualifying criteria for hedge accounting, or designation is revoked. In such cases, any adjustment to the carrying amount of the hedged item, for which the effective interest method is applied, is amortized to profit or loss over the period to maturity.

(ii) Cash flow hedge

The effective portion of changes in the fair value of derivatives that are designated and qualify as cash flow hedges is recognized in other comprehensive income whereas the ineffective portion is recognized in the income statement.

Amounts accumulated in equity are recycled to the income statement in the periods in which the hedged item will affect profit or loss (for example, when the forecast sale that is hedged takes place).

When a hedging instrument expires or is sold, or when a hedge no longer meets the criteria for hedge accounting, the cumulative gain or loss existing in equity at that time remains in equity until the forecast transaction affects the income statement.

When a forecast transaction is no longer expected to occur, the cumulative gain or loss that was reported in equity is immediately transferred to the income statement.

(iii) Derivatives that are not designated as hedging instruments

Changes in the fair value of derivative financial instruments that are not designated as a hedging instrument or do not qualify for hedge accounting are recognized in the income statement.

The fair values of derivative instruments held for trading and hedging purposes are disclosed in note 20.

2.2.4 Offsetting financial instruments

Financial assets and liabilities are offset and the net amount is presented in the balance sheet when, and only when, the Bank currently has a legally enforceable right to set off the recognized amounts and intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

2.2.5 Income statement

(i) Interest income and expense

Interest income and expense is recognized in the income statement for all interest bearing financial instruments on an accrual basis, using the effective interest rate method. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability. When calculating the effective interest rate, the Bank estimates cash flows considering all contractual terms of the financial instrument but does not consider future credit losses. The calculation includes all fees and points paid or received that are an integral part of the effective interest rate, transaction costs, and all other premiums or discounts.

Notes to the Financial Statements

Once a financial asset has been written down as a result of an impairment loss, interest income is recognized using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss

Change in accounting policy

The Bank proceeded with retrospective change in its accounting policy for inflation-linked instruments and recognizes interest income and expense by adjusting the effective interest rate due to changes in expected future cash flows, incorporating changes in inflation expectations over the term of the instruments (note 47).

(ii) Fees and commissions

Fees and commissions are generally recognized on an accruals basis. Commissions and fees relating to foreign exchange transactions, imports-exports, remittances, bank charges and brokerage activities are recognized on the completion of the underlying transaction.

2.2.6 Property, plant and equipment and Investment property

(i) Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the asset. Subsequent expenditure is recognized in the asset's carrying amount only when it is probable that future economic benefits will flow to the Bank and the cost of the asset can be measured reliably. All other repair and maintenance costs are recognized in the income statement as incurred.

Depreciation is calculated using the straight-line method to write down the cost of property, plant and equipment, to their residual values over their estimated useful life as follows:

- Land: no depreciation;
- Freehold buildings: 40-50 years;
- Leasehold improvements: over the lease term or the useful life of the asset if shorter;
- Computer hardware and software: 4-10 years;
- Other furniture and equipment: 4-20 years; and
- Motor vehicles: 5-7 years.

(ii) Investment property

Property held for rental yields and/or capital appreciation that is not occupied by the Bank is classified as investment property. Investment property is carried at cost less accumulated depreciation and accumulated impairment losses, therefore, the policy described above applies also to this category of assets.

Reclassifications between own used and investment properties may occur when there is a change in the use of such properties. Additionally, an investment property may be reclassified to 'non-current assets held for sale' category to the extent that the criteria described in note 2.2.24 are met.

2.2.7 Intangible assets

(i) Computer software

Costs associated with the maintenance of existing computer software programs are expensed as incurred. Development costs associated with the production of identifiable assets controlled by the Bank are recognized as intangible assets when they are expected to generate economic benefits and can be measured reliably. Internally generated computer software assets are amortized using the straight-line method over 4 years, except for core systems whose useful life may extend up to 15 years.

(ii) Other intangible assets

Other intangible assets are assets that are separable or arise from contractual or other legal rights and are amortized over their estimated useful lives. These include intangible assets acquired in business combinations.

Intangible assets that have an indefinite useful life are not subject to amortization and are tested annually for impairment.

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2.2.8 Impairment of non-financial assets

Non-financial assets, including property, plant and equipment, investment property and other intangible assets, are assessed for indications of impairment at each reporting date. When events or changes in circumstances indicate that the carrying amount may not be recoverable, an impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows, where applicable. Non-financial assets, for which an impairment loss was recognized in prior reporting periods, are reviewed for possible reversal of such impairment at each reporting date.

Impairment losses arising from the Bank's subsidiaries, associates and joint ventures are determined in accordance with this accounting policy.

2.2.9 Financial assets

The Bank classifies its financial assets in the following IAS 39 categories: financial assets at fair-value-through-profit-or-loss, loans and receivables, held-to-maturity investments, and available-for-sale financial assets. Management determines the classification of its financial instruments at initial recognition.

(i) Financial assets at fair value through profit or loss

This category has two sub-categories: financial assets held for trading, and those designated at fair value through profit or loss upon initial recognition. A financial asset is classified as held for trading if acquired principally for the purpose of selling or repurchasing in the short term or if it is part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking. Derivatives are also categorized as held for trading unless they are designated and effective hedging instruments.

The Bank designates certain financial assets upon initial recognition as at fair-value-through-profit-or-loss when any of the following apply:

- (a) it eliminates or significantly reduces measurement or recognition inconsistencies; or
- (b) financial assets share the same risks with financial liabilities and those risks are managed and evaluated on a fair value basis; or
- (c) structured products containing embedded derivatives that could significantly modify the cash flows of the host contract.

(ii) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than those that the Bank upon initial recognition designates at fair-value-through-profit-or-loss or as available-for-sale. Securities classified in this category are presented in Investment Securities under Debt Securities Lending portfolio.

(iii) Held-to-maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Bank has the positive intention and ability to hold to maturity. If the Bank were to sell other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and reclassified as available-for-sale.

(iv) Available-for-sale

Available-for-sale investments are those intended to be held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices.

Accounting treatment and calculation

Purchases and sales of financial assets are recognized on trade date, which is the date the Bank commits to purchase or sell the assets. Loans originated by the Bank are recognized when cash is advanced to the borrowers. Financial assets are initially recognized at fair value plus transaction costs for all financial assets not carried at fair-value-through-profit-or-loss.

Available-for-sale financial assets and financial assets at fair-value-through-profit-or-loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortized cost using the effective interest method. Gains and losses arising from changes in the fair value of the 'financial assets at fair-value-through-profit-or-loss' category are included

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in the income statement in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognized directly in equity, until the financial asset is derecognized or impaired at which time the cumulative gain or loss previously recognized in equity is recognized in profit or loss. However, interest calculated using the effective interest rate method is recognized in the income statement.

Dividends on equity instruments are recognized in the income statement when the entity's right to receive payment is established.

De-recognition of financial assets

The Bank derecognizes a financial asset when its contractual cash flows expire, or the rights to receive those cash flows are transferred in an outright sale in which substantially all risks and rewards of ownership have been transferred. In addition, a financial asset is derecognized even if rights to receive cash flows are retained but at the same time the Bank assumes an obligation to pay the received cash flows without a material delay (pass through agreement) or when substantially all the risks and rewards are neither transferred nor retained but the Bank has transferred control of the asset. The control is considered to be transferred if, and only if, the transferee has the practical ability to sell the asset in its entirety to unrelated third party.

2.2.10 Financial liabilities

The Bank classifies its financial liabilities in the following categories: financial liabilities measured at amortized cost and financial liabilities at fair-value-through-profit-or-loss. Financial liabilities at fair-value-through-profit-or-loss comprise two sub categories: financial liabilities held for trading and financial liabilities designated at fair-value-through-profit-or-loss upon initial recognition.

The Bank designates financial liabilities at fair-value-through-profit-or-loss when any of the following apply:

- (a) it eliminates or significantly reduces measurement or recognition inconsistencies; or
- (b) financial liabilities share the same risks with financial assets and those risks are managed and evaluated on a fair value basis; or
- (c) structured products containing embedded derivatives that could significantly modify the cash flows of the host contract.

De-recognition of financial liabilities

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or expires. When an existing financial liability of the Bank is replaced by another from the same counterparty on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as an extinguishment of the original liability and the recognition of a new liability and any difference arising is recognized in the income statement.

The Bank considers the terms to be substantially different, if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the discounted present value of the remaining cash flows of the original financial liability.

If an exchange of debt instruments or modification of terms is accounted for as an extinguishment, any costs or fees incurred are recognized as part of the gain or loss on the extinguishment. If the exchange or modification is not accounted for as an extinguishment, any costs or fees incurred adjust the carrying amount of the liability and are amortized over the remaining term of the modified liability.

Similarly, when the Bank repurchases its own debt instruments, it accounts for such transactions as an extinguishment of debt.

2.2.11 Fair value measurement of financial instruments

Fair value of financial instruments is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date under current market conditions in the principal or, in its absence, the most advantageous market to which the Bank has access at that date. The fair value of a liability reflects its non-performance risk.

When available, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. If there is no quoted price in an active market, then the Bank uses other valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

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The Bank has elected to use mid-market pricing as a practical expedient for fair value measurements within a bid-ask spread.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price, i.e. the fair value of the consideration given or received unless the Bank determines that the fair value at initial recognition differs from the transaction price. In this case, if the fair value is evidenced by a quoted price in an active market for an identical asset or liability (i.e. Level 1 input) or based on a valuation technique that uses only data from observable markets, a day one gain or loss is recognized in the income statement. On the other hand, if the fair value is evidenced by a valuation technique that uses unobservable inputs, the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price (day one gain or loss). Subsequently the deferred gain or loss is amortized on an appropriate basis over the life of the instrument or released earlier if a quoted price in an active market or observable market data become available or the financial instrument is closed out.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy based on the lowest level input that is significant to the fair value measurement as a whole (note 7.3).

For assets and liabilities that are measured at fair value on a recurring basis, the Bank recognizes transfers into and out of the fair value hierarchy levels at the beginning of the quarter in which a financial instrument's transfer was effected.

2.2.12 Impairment of financial assets

The Bank assesses at each reporting date whether there is objective evidence that a financial asset or group of financial assets, not carried at fair value through profit or loss, is impaired. A financial asset or a group of financial assets is impaired and an impairment loss is incurred if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the financial asset (a loss event) and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

Impairment indicators

For the Bank's retail loan exposures, objective evidence that a loan or group of loans is impaired refers to observable data that comes to the attention of the Bank about the following loss events:

- significant financial difficulty of the borrower, significant reduction of personal and/or family income or loss of job;
- a default or breach of contract;
- significant changes in the financial performance and behavior of the borrower (for example, a number of delayed contractual payments);
- measurable decrease in the estimated future cash flows of a group of loans through a negative payment pattern such as missed payments or a decrease in property prices;
- the Bank granting to the borrower, for economic or legal reasons relating to the borrower's financial difficulty, a concession that the lender would not otherwise consider, such as a reduction of the borrower's monthly installment for a specific period of time, or a temporary or permanent reduction of interest rate;
- it is becoming probable that the borrower will enter into bankruptcy status or other financial reorganization; and
- loss events that could affect the ability of the borrower to repay contractual obligations within the agreed time, such as serious illness, disability or death of the obligor or a family member.

For all other financial assets including wholesale loan exposures, the Bank assesses on a case-by-case basis whether there is any objective evidence of impairment using the following criteria:

- significant financial difficulty of the issuer or borrower;
- a default or breach of contract;
- significant changes in the financial performance of the borrower that affect the borrower's ability to meet its debt obligations, such as:
 - operating losses;
 - working capital deficiencies; and
 - the borrower having a negative equity.

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- other facts indicating a deterioration of the financial performance of the borrower, such as a breach of loan covenants or other terms, or a partial write-off of the borrower's obligations due to economic or legal reasons relating to his financial status;
- significant changes in the value of the collateral supporting the obligation;
- the Bank granting to the borrower, for economic or legal reasons relating to the borrower's financial difficulty, a concession that the lender would not otherwise consider, such as a reduction of the obligors monthly installment for a specific period of time, or a temporary or permanent reduction of interest rate;
- it is becoming probable that the borrower will enter into bankruptcy or other financial reorganization;
- significant adverse changes in the borrower's industry or geographical area that could affect his ability to meet its debt obligations;
- any material facility at the debtor level failing beyond 90 days past due;
- market related information including the status of the borrower's other debt obligations; and
- a significant downgrade in the internal or external credit rating of the borrower's financial instruments when considered with other information.

(i) Assets carried at amortized cost

Impairment assessment

The Bank first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and collectively for financial assets that are not individually significant. If there is no objective evidence of impairment for a financial asset, the Bank includes it in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Impairment losses recognized for financial assets for which no objective evidence of impairment exists (incurred but not reported loss-IBNR), represent an interim step pending to the identification of impairment losses of individual assets in the group. As soon as information is available that specifically identifies losses on individually impaired assets in the group, those assets are removed from it.

Financial assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognized are not included in a collective assessment of impairment.

In determining whether a loan is individually significant for the purposes of assessing impairment, the Bank considers a number of factors, including the importance of the individual loan relationship and how it is managed, the size of the loan, and the product line. Consequently, loans to wholesale customers and financial institutions, as well as investment securities are generally considered as individually significant. Retail lending portfolios are generally assessed for impairment on a collective basis as they consist of large homogenous portfolios; exposures that are managed on an individual basis are assessed individually for impairment.

The Bank assesses at each reporting date whether there is objective evidence of impairment.

Impairment measurement

If there is objective evidence that an impairment loss on a financial asset carried at amortized cost has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of its estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. If a financial asset has a variable interest rate, the discount rate for measuring the impairment loss is the current effective interest rate determined under the contract. The carrying amount of the asset is reduced through the use of an allowance account for loans and advances or directly for all other financial assets, and the amount of the loss is recognized in the income statement. As a practical expedient, the Bank may measure impairment on the basis of an instrument's fair value using an observable market price.

The present value of the estimated future cash flows of a collateralized financial asset reflects the cash flows that may result from foreclosure less costs for obtaining and selling the collateral, whether or not foreclosure is probable.

For collective impairment purposes, the financial assets are grouped on the basis of similar credit risk characteristics (i.e., on the basis of the Bank's grading process that considers asset type, industry, geographical location, collateral type, past-due status and other relevant factors). Those characteristics are relevant to the estimation of future cash flows for groups of such assets by being indicative of the borrowers' ability to pay all amounts due according to the contractual terms of the assets being evaluated.

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Future cash flows of a group of financial assets that is collectively assessed for impairment are estimated on the basis of the contractual cash flows of the assets in the group and historical loss experience for assets with credit risk characteristics similar to those in the group.

Estimates of changes in the future cash flows for a group of financial assets should reflect and be directionally consistent with changes in related observable data from period to period (for example, changes in unemployment rates, property prices, payment status, or other factors indicative of changes in the probability of losses in the group and their magnitude). Historical loss experience is adjusted on the basis of current observable data to reflect the effects of conditions that did not affect the period on which the historical loss experience is based and to remove the effects of conditions in the historical period that do not exist currently. The methodology and assumptions used for estimating the future cash flows are reviewed regularly by the Bank to reduce any differences between loss estimates and actual loss experience.

Reversals of impairment

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognized (such as an improvement in the borrower's credit rating), the previously recognized impairment loss is reversed by adjusting the allowance account or the asset's carrying amount, as appropriate. The amount of the reversal is recognized in the income statement.

Write-off of loans and advances

A loan and the associated impairment allowance are written off when there is no realistic prospect of recovery. The Bank considers all relevant information including the occurrence of a significant change in the borrower's financial position to such extent that the borrower can no longer pay his obligation.

The timing of write-off is mainly dependent on whether there are any underlying collaterals, their foreclosure processes, as well as the Bank's estimates of the collectible amounts. Especially for collateralized exposures, the timing of write-off maybe delayed due to various legal impediments. The number of days past due is considered by the Bank as an indicator, however it is not regarded as a determining factor.

Unpaid debt continues to be subject to enforcement activity even after it is written-off, except for cases where it is clearly stipulated in debt forgiveness programs.

Subsequent recoveries of amounts previously written off decrease the amount of the impairment losses for loans and advances in the income statement.

Loan modifications

Modifications of loans' contractual terms may arise due to various factors, such as changes in market conditions, customer retention and other factors, as well as potential deterioration of the borrower's financial condition. Forbearance occurs in the cases where the contractual payment terms of a loan have been modified due to the deterioration of the borrower's financial position and the Bank has granted a concession by providing more favorable terms and conditions that it would not otherwise consider had the borrower not been in financial difficulties. Other renegotiations, more of a business nature, are not considered as forbearance measures.

Forbearance measures usually do not lead to de-recognition of the loan, unless, in accordance with accounting policy 2.10 'Financial assets', the contractual terms of the new loan contract are assessed to be substantially different from those under the original loan, representing the expiry of the rights to the cash flows of the original loan. In this case the initial loan is derecognized and a new loan is recognized at fair value with any difference between the carrying amount of the derecognized asset and the fair value of the new loan recognized in the Bank's income statement.

Modifications that may not result in de-recognition include:

- reduced or interest-only payments;
- payment holidays, grace period;
- extended payment periods under which the original term of the loan is extended;
- capitalization of arrears whereby arrears are added to the principal balance; and
- reduction in interest rates.

Notes to the Financial Statements

If the assessment of the forbore loan's modified terms do not result in de-recognition, the loan is assessed for impairment as the forbearance measures represent a concession that the Bank would not otherwise consider. The impairment loss is measured in accordance with the Bank's impairment policy for forbore loans (note 7.2.1.2 (d)).

Modifications that may result in de-recognition include:

- when an uncollateralized loan becomes fully collateralized;
- debt consolidations, whereby existing loan balances of the borrower are combined in a single loan;
- the removal or addition of conversion features to the loan agreement;
- a change in currency of principal and/or interest denomination; and
- any other changes that cause the terms under the new contract to be considered substantially different from the original loan's terms.

In addition, the Bank may occasionally enter, in the context of loans' modifications, into debt-for-equity transactions. Similarly, the modified loan is derecognized while the equity instruments received in exchange are recognized at their fair value, with any resulting gain or loss recognized in the Bank's income statement.

(ii) Available-for-sale assets

The Bank assesses at each reporting date whether there is objective evidence that an asset classified as available for sale is impaired. Particularly, in case of equity investments, a significant or prolonged decline in the fair value of the security below its cost is also considered in determining whether the assets are impaired.

If any such evidence exists for available-for-sale financial assets, the cumulative loss-measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognized in profit or loss-is removed from equity and recognized in the income statement. Impairment losses recognized in the income statement on equity investments are not reversed through the income statement. If, in a subsequent period, the fair value of a debt instrument classified as available-for-sale increases and the increase can be objectively related to an event occurring after the impairment loss was recognized in profit or loss, the impairment loss is reversed through the income statement.

2.2.13 Sale and repurchase agreements and securities lending

(i) Sale and repurchase agreements

Securities sold subject to repurchase agreements (repos) continue to be recorded in the Bank's Balance Sheet as the Bank retains substantially all risks and rewards of ownership, while the counterparty liability is included in amounts due to other banks or due to customers, as appropriate. Securities purchased under agreements to resell (reverse repos) are recorded as loans and advances to other banks or customers, as appropriate. The difference between the sale and repurchase price in case of repos and the purchase and resale price in case of reverse repos is recognized as interest and accrued over the period of the repo or reverse repo agreements using the effective interest method.

(ii) Securities lending

Securities lent to counterparties are retained in the financial statements. Securities borrowed are not recognized in the financial statements, unless these are sold to third parties, in which case the obligation to return them is recorded at fair value as a trading liability.

2.2.14 Leases

(i) Accounting for leases as lessee

Finance leases:

Leases of property, plant and equipment where the Bank has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are recognized, at the inception of the lease term, at the lower of the fair value of the leased asset or the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charge so as to achieve a constant rate of interest on the liability outstanding. The property, plant and equipment acquired under finance leases is depreciated over the shorter of the useful life of the asset or the lease term.

Notes to the Financial Statements

Operating leases:

Leases, where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases under which the leased asset is not recognized on balance sheet. Payments made under operating leases (net of any incentives received from the lessor) are charged to the income statement on a straight-line basis over the period of the lease.

(ii) Accounting for leases as lessor

Finance leases:

When assets are leased out under finance leases, the present value of the lease payments is recognized under loans and receivables. The difference between the gross receivable (gross investment) and the present value of minimum lease payments (net investment) is recognized as unearned future finance income and is deducted from loans and advances. Lease income is recognized over the term of the lease using the net investment method, which reflects a constant periodic rate of return. Finance lease receivables are assessed for impairment losses in accordance with Bank's impairment policy for financial assets as describe in note 2.2.12.

Operating leases:

Assets leased out under operating leases are included in property, plant and equipment or investment property, as appropriate, in the balance sheet. They are depreciated over their expected useful lives on a basis consistent with similar owned property, plant and equipment. Rental income (net of any incentives given to lessees) is recognized on a straight-line basis over the lease term.

2.2.15 Income tax

Income tax consists of current and deferred tax.

(i) Current income tax

Income tax payable on profits, based on the applicable tax law, is recognized as an expense in the period in which profits arise.

(ii) Deferred income tax

Deferred income tax is provided in full, using the liability method, on temporary differences arising between the tax base of assets and liabilities and their carrying amounts in the financial statements. Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by the balance sheet date. The principal temporary differences arise from loans' impairment, Private Sector Initiative (PSI+) tax related losses, depreciation of fixed assets, pension and other retirement benefit obligations, and revaluation of certain financial assets and liabilities, including derivative financial instruments.

Deferred tax assets are recognized where it is probable that future taxable profit will be available against which the temporary differences can be utilized. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Any such reduction is reversed to the extent that it becomes probable that sufficient taxable profit will be available. The Bank recognizes a previously unrecognized deferred tax asset to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax related to changes in fair values of available-for-sale investments and cash flow hedges which are recognized to other comprehensive income is also recognized to other comprehensive income, and is subsequently recognized in the income statement together with the deferred gain or loss.

The deferred tax asset on income tax losses carried forward is recognized as an asset when it is probable that future taxable profits will be available against which these losses can be utilized.

(iii) Uncertain tax positions

The Bank determines and assesses all material tax positions taken, including all, if any, significant uncertain positions, in all tax years that are still subject to assessment (or when the litigation is in progress) by relevant tax authorities. In evaluating tax positions, the Bank examines all supporting evidence (Ministry of Finance circulars, individual rulings, case law, past administrative practices, ad hoc tax/legal opinions etc.) to the extent they are applicable to the facts and circumstances of the particular Bank's case/ transaction.

Notes to the Financial Statements

In addition, judgments concerning the recognition of a provision against the possibility of losing some of the tax positions are highly dependent on advice received from internal/ external legal counselors. For uncertain tax positions with a high level of uncertainty, the Bank recognizes, on a transaction by transaction basis or together as a group, depending on which approach better predicts the resolution of the uncertainty using an expected value (probability-weighted average) approach: (a) a provision against tax receivable which has been booked for the amount of income tax already paid but further pursued in courts or (b) a liability for the amount which is expected to be paid to the tax authorities.

The Bank has opted to obtain an 'Annual Tax Certificate', which is issued after a tax audit is performed by the same statutory auditor or audit firm that audits the annual financial statements. Further information in respect of the Annual Tax Certificate and the related tax legislation, as well as the unaudited tax years for the Bank is provided in note 15.

2.2.16 Employee benefits

(i) Short term benefits

Short term employee benefits are those expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related services and are expensed as these services are provided.

(ii) Pension obligations

The Bank provides a number of defined contribution pension plans where annual contributions are invested and allocated to specific asset categories. Eligible employees are entitled to the overall performance of the investment. The Bank's contributions are recognized as employee benefit expense in the year in which they are paid.

(iii) Standard legal staff retirement indemnity obligations (SLSRI) and termination benefits

The Bank operates unfunded defined benefit plans in Greece under the regulatory frameworks. In accordance with the local labor legislation, the Bank provides for staff retirement indemnity obligation for employees which are entitled to a lump sum payment based on the number of years of service and the level of remuneration at the date of retirement, if they remain in the employment of the Bank until normal retirement age. Provision has been made for the actuarial value of the lump sum payable on retirement (SLSRI) using the projected unit credit method. Under this method the cost of providing retirement indemnities is charged to the income statement so as to spread the cost over the period of service of the employees, in accordance with the actuarial valuations which are performed every year.

The SLSRI obligation is calculated as the present value of the estimated future cash outflows using interest rates of high quality corporate bonds. The currency and term to maturity of the bonds used are consistent with the currency and estimated term of the retirement benefit obligations. Actuarial gains and losses that arise in calculating the Bank's SLSRI obligations are recognized directly in other comprehensive income in the period in which they occur and are not reclassified to the income statement in subsequent periods.

Interest on the staff retirement indemnity obligations and service cost, consisting of current service cost, past service cost and gains or losses on settlement, are recognized in the income statement. In calculating the SLSRI obligation, the Bank also considers potential separations before normal retirement based on the terms of previous voluntary exit schemes.

Termination benefits are payable when employment is terminated by the Bank before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits (including those in the context of the Voluntary Exit Schemes implemented by the Bank). The Bank recognizes termination benefits at the earlier of the following dates: (a) when the Bank can no longer withdraw the offer of those benefits; and (b) when the Bank recognizes costs for a restructuring that involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Termination benefits falling due more than 12 months after the end of the reporting period are discounted to their present value.

(iv) Performance-based cash payments

The Bank's Management awards high performing employees with bonuses in cash, from time to time, on a discretionary basis. Cash payments requiring only Management approval are recognized as employee benefit expenses on an accrual basis. Cash payments requiring General Meeting approval as distribution of profits to staff are recognized as employee benefit expense in the accounting period that they are approved by the Bank's shareholders.

Notes to the Financial Statements

(v) Performance-based share-based payments

The Bank's Management awards employees with bonuses in the form of shares and share options on a discretionary basis. Non-performance related shares vest in the period granted. Share based payments that are contingent upon the achievement of a performance and service condition, vest only if both conditions are satisfied.

The fair value of the shares granted is recognized as an employee benefit expense with a corresponding increase in share capital (par value) and share premium.

The fair value of the options granted is recognized as an employee benefit expense with a corresponding increase in a non-distributable reserve over the vesting period. The proceeds received net of any directly attributable transaction costs are credited to share capital (par value) and share premium when the options are exercised, with a transfer of the non-distributable reserve to share premium.

2.2.17 Repossessed properties

Land and buildings repossessed through an auction process to recover impaired loans are, except where otherwise stated, included in 'Other Assets'. Assets acquired from an auction process are held temporarily for liquidation and are valued at the lower of cost and net realizable value, which is the estimated selling price, in the ordinary course of business, less costs necessary to make the sale.

In cases where the Bank makes use of repossessed properties as part of its operations, they may be reclassified to own occupied or investment properties, as appropriate.

Any gains or losses on liquidation are included in the income statement.

2.2.18 Related party transactions

Related parties of the Bank include:

- (a) an entity that has control over the Bank and entities controlled, jointly controlled or significantly influenced by this entity, as well as members of its key management personnel and their close family members;
- (b) members of key management personnel of the Bank, their close family members and entities controlled or jointly controlled by the abovementioned persons;
- (c) associates and joint ventures of the Bank; and
- (d) subsidiaries.

Transactions of similar nature are disclosed on an aggregate basis. All banking transactions entered into with related parties are in the normal course of business and are conducted on an arm's length basis.

2.2.19 Provisions

Provisions are recognized when the Bank has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and reliable estimates of the amount of the obligation can be made.

The amount recognized as a provision is the best estimate of the expenditure required to settle the present obligation at each reporting date, taking into account the risks and uncertainties surrounding the amount of such expenditure.

Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate. If, subsequently, it is no longer probable that an outflow of resources embodying economic benefits will be required to settle the obligation, the provision is reversed.

2.2.20 Share capital

Ordinary shares and preference shares are classified as equity. Incremental costs directly attributable to the issue of new shares or options are shown in equity as a deduction from the proceeds, net of tax.

Dividend distribution on shares is recognized as a deduction in the Bank's equity when approved by the General Meeting of shareholders. Interim dividends are recognized as a deduction in the Bank's equity when approved by the Board of Directors.

Notes to the Financial Statements

Where the Bank purchases own shares (treasury shares), the consideration paid including any directly attributable incremental costs (net of income taxes), is deducted from shareholders' equity until the shares are cancelled, reissued or disposed of. Where such shares are subsequently sold or reissued, any consideration received is included in shareholders' equity.

2.2.21 Hybrid Capital

Hybrid capital issued by the Bank, through its special purpose entity, is classified as equity when there is no contractual obligation to deliver to the holder cash or another financial asset.

Incremental costs directly attributable to the issue of new hybrid capital are shown in equity as a deduction from the proceeds, net of tax.

Dividend distribution on hybrid capital is recognized as a deduction in the Bank's equity on the date it is due.

Where hybrid capital, issued by the Bank, is repurchased, the consideration paid including any directly attributable incremental costs (net of income taxes), is deducted from shareholders' equity. Where such securities are subsequently called or sold, any consideration received is included in shareholders' equity.

2.2.22 Financial guarantees

Financial guarantee contracts are contracts that require the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due, in accordance with the terms of a debt instrument. Such financial guarantees are granted to banks, financial institutions and other bodies on behalf of customers to secure loans, overdrafts and other banking facilities.

Financial guarantees are initially recognized in the financial statements at fair value. Subsequent to initial recognition, the Bank's liabilities under such guarantees are measured at the higher of the initial measurement, less amortization calculated to recognize in the income statement the fee income earned on a straight line basis over the life of the guarantee, and the best estimate of the expenditure required to settle any financial obligation arising at the reporting date. These estimates are determined based on experience of similar transactions and history of losses, supplemented by management's judgment.

2.2.23 Securitizations

The Bank securitizes financial assets, which generally results in the sale of the assets to special purpose entities, which, in turn issue debt securities to investors and in some instances to Bank's subsidiaries. These securitizations are all consolidated by the Bank as it is exposed to the majority of risks and rewards of ownership in the special purpose entities.

2.2.24 Non-current assets classified as held for sale and discontinued operations

Non-current assets are classified as held for sale if their carrying amount will be recovered through a sale transaction rather than through continuing use. For a non-current asset to be classified as held for sale, it is available for immediate sale in its present condition, subject to terms that are usual and customary for sales of such assets, and the sale is considered to be highly probable. In such cases, management is committed to the sale and actively markets the property for sale at a price that is reasonable in relation to the current fair value. The sale is also expected to qualify for recognition as a completed sale within one year from the date of classification.

Before their classification as held for sale, assets are remeasured in accordance with the respective accounting standard. Assets held for sale are subsequently remeasured at the lower of their carrying amount and fair value less cost to sell. Any loss arising from the above measurement is recorded in profit or loss and can be reversed in the future. When the loss relates to a disposal group, it is allocated to the assets within that disposal group.

The Bank presents discontinued operations in a separate line in the income statement if a component of the Bank's operations has been disposed of or is classified as held for sale and:

- (a) Represents a separate major line of business or geographical area of operations; or
- (b) Is part of a single coordinated plan to dispose of a separate major line of business or geographical area of operations.

Profit or loss from discontinued operations includes the profit or loss before tax from discontinued operations, the gain or loss on disposal before tax or measurement to fair value less costs to sell and discontinued operations tax expense. Upon classification of a component of the Bank's operations as a discontinued operation, the Bank restates prior periods in the income statement.

Notes to the Financial Statements

2.2.25 Reclassification of financial assets

The Bank may choose to reclassify a non-derivative financial asset held for trading out of the held-for-trading category if the financial asset is no longer held for the purpose of selling it in the near-term. Financial assets other than those that meet the definition of loans and receivables may be reclassified out of the held for trading category only in rare circumstances arising from a single event that is unusual and highly unlikely to recur in the near-term. In addition, the Bank may choose to reclassify financial assets that would meet the definition of loans and receivables, out of the held-for-trading or available-for-sale categories, if the Bank has the intention and ability to hold these financial assets for the foreseeable future or until maturity at the date of reclassification.

Reclassifications are made at fair value as of the reclassification date. Fair value becomes the new cost or amortized cost as applicable, and no reversals of fair value gains or losses recorded before reclassification date are subsequently made. Effective interest rates for financial assets reclassified to loans and receivables and held-to-maturity categories are determined at the reclassification date. Further increases in estimates of cash flows adjust effective interest rates prospectively.

2.2.26 Cash and cash equivalents

Cash and cash equivalents include cash in hand, unrestricted deposits with central banks, due from credit institutions and other short-term highly liquid investments with original maturities of three months or less.

2.2.27 Fiduciary activities

The Bank provides custody, trustee, corporate administration, investment management and advisory services to third parties. This involves the Bank making allocation, purchase and sale decisions in relation to a wide range of financial instruments. The Bank receives fee income for providing these services. Those assets that are held in a fiduciary capacity are not assets of the Bank and are not recognized in the financial statements. In addition, the Bank does not guarantee these investments and as a result it is not exposed to any credit risk in relation to them.

3. Critical accounting estimates and judgments in applying accounting policies

In the process of applying the Bank's accounting policies, the Bank's Management makes various judgments, estimates and assumptions that may affect the reported amounts of assets and liabilities, revenues and expenses recognized in the financial statements within the next financial year and the accompanying disclosures. Estimates and judgments are continually evaluated and are based on current conditions, historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The most significant areas in which the Bank makes judgments, estimates and assumptions in applying its accounting policies are set out below:

3.1 Impairment losses on loans and advances

The Bank reviews its loan portfolios to assess whether there is objective evidence of impairment on an ongoing basis. This assessment is performed individually for loans and advances that are individually significant and collectively (a) for loans and advances that are not individually significant and (b) for those that are individually significant but were found not to be impaired following the individual assessment. Management is required to exercise judgment in making assumptions and estimates when calculating the present value of the cash flows expected to be received on both individually and collectively assessed loans and advances.

Individual impairment assessment

For loans assessed on an individual basis, mainly the Bank's wholesale lending portfolio, management uses its best estimate to determine the present value of the cash flows that are expected to be received. In estimating these cash flows, management makes judgments about the borrower's financial position and the net realizable value of any underlying collaterals. Expected recoveries from real estate collaterals may be affected from the downward trend in the properties' market value. A 5% decline in the estimated recovery values of all types of real estates' collaterals used for the measurement of the impairment allowance of the Bank's wholesale lending portfolio, would give rise to an additional impairment loss in 2017 of approximately € 93 million (2016: € 88 million).

Each individually assessed loan for impairment is assessed on a case-by-case basis (in cooperation between Credit Risk Management function and the business units) and subsequently it is independently approved by the Credit Risk Management function.

Notes to the Financial Statements

Collective impairment assessment

Collective impairment allowance is established for (a) groups of non-impaired or impaired retail homogenous loans that are not considered individually significant and (b) groups of corporate or retail loans that are individually significant but that were not found to be individually impaired.

In determining whether an impairment loss should be recorded in the income statement, management makes judgments as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows of a loan portfolio before the decrease can be identified on an individual loan basis in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a group, or national or local economic conditions that correlate with defaults on assets in the group.

In assessing the need for collective impairment, management considers factors such as credit quality, portfolio size, concentrations and economic factors. Management's estimates are based on historical loss experience for assets with similar credit risk characteristics to those in the loan portfolio under assessment when scheduling its future cash flows. Management also applies significant judgment to assess whether current economic and credit conditions are such that the actual level of impairment loss is likely to be greater or lower than that suggested by historical experience. In normal circumstances, historical loss experience provides objective and relevant information in order to assess the loss within each loan portfolio. In other circumstances, historical loss experience provides less relevant information, for example when recent trends in risk factors are not fully reflected in the historical information. Where changes in economic, regulatory and behavioral conditions result in most recent trends in portfolio risk factors not being fully reflected in the impairment calculation model used, the Bank adjusts the impairment allowance derived from historical loss experience accordingly.

The uncertainty inherent in the estimation of impairment loss is increased in the current macroeconomic environment, and is sensitive to factors such as the, level of economic activity, bankruptcy rates, geographical concentrations, changes in laws and regulations, property prices and level of interest rates.

For the Bank's mortgage portfolios, the recovery rates, which are calculated based on statistical models, reflect the management's best estimate regarding the net realizable value of residential properties held as collateral as well as the timing foreclosure is expected to occur, which in turn is impacted by the local legal framework. Both the amount and timing of expected cash flows have been affected by the reduction in the level of activity in the real estate market and the changes in the local tax and legal environment in Greece. A 3% decline in the estimated recovery rates used for the measurement of the impairment allowance of the Bank's mortgage portfolio, would give rise to an additional impairment loss in 2017 of approximately € 138 million (2016: € 124 million).

For the rest of retail portfolios, statistical analysis of historical loss experience is the primary tool used in order to determine future customer behavior and payment patterns. Due to the stressed macroeconomic environment during the last years, depending on the portfolio under examination, there is a level of uncertainty in terms of the level of future cash flows as well as the time that these cash flows will come. With regards to unsecured consumer and small business exposures, management exercises judgment to determine the assumptions underlying to the applicable recovery rates, which are calculated based on statistical models and affected by the existing economic conditions. A 5% decrease in the estimated recovery rates used for the measurement of the impairment allowance of the Bank's unsecured consumer portfolio would give rise to an additional impairment loss in 2017 of approximately € 27 million (2016: € 36 million). The same decrease in the small business lending portfolio's recovery rates would give rise to an additional impairment loss of approximately € 44 million (2016: € 65 million).

3.2 Fair value of financial instruments

The fair value of financial instruments is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants in the principal (or most advantageous) market at the measurement date under current market conditions (i.e. an exit price) regardless of whether that price is directly observable or estimated using another valuation technique.

The fair value of financial instruments that are not quoted in an active market are determined by using other valuation techniques that include the use of valuation models. In addition, for financial instruments that trade infrequently and have little price transparency, fair value is less objective and requires varying degrees of judgment depending on liquidity, concentration, uncertainty of market factors, pricing assumptions and other risks affecting the specific instrument. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using other valuation techniques.

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The valuation models used include present value methods and other models based mainly on observable inputs and to a lesser extent to non-observable inputs, in order to maintain the reliability of the fair value measurement.

Valuation models are used mainly to value over-the-counter derivatives and securities measured at fair value.

Where valuation techniques are used to determine the fair values of financial instruments that are not quoted in an active market, they are validated and periodically reviewed by qualified personnel independent of the personnel that created them. All models are certified before they are used, and are calibrated to ensure that outputs reflect actual data and comparative market prices. The main assumptions and estimates, considered by management when applying a valuation model include:

- the likelihood and expected timing of future cash flows;
- the selection of the appropriate discount rate, which is based on an assessment of what a market participant would regard as an appropriate spread of the rate over the risk-free rate; and
- judgment to determine what model to use in order to calculate fair value.

To the extent practicable, models use only observable data, however areas such as credit risk (both own and counterparty), volatilities and correlations require management to make estimates to reflect uncertainties in fair values resulting from the lack of market data inputs. Inputs into valuations based on unobservable data are inherently uncertain because there is little or no current market data available. However, in most cases there will be some historical data on which to base a fair value measurement and consequently even when unobservable inputs are used, fair values will use some market observable inputs.

Information in respect of the fair valuation of the Bank's financial assets and liabilities is provided in note 7.3.

3.3 Impairment of available-for-sale equity investments

For available-for-sale equity investments, a significant or prolonged decline in the fair value below cost is an objective evidence of impairment. In order to determine what is significant or prolonged, the Bank's management exercises judgment. In this respect, the Bank regards a decline to be 'significant' when the fair value of quoted equities is below cost by more than 30% to 40% depending on the equity's index and 'prolonged' when the market price is below the cost price for a twelve-month period. The Bank also evaluates among other factors, the historic volatility in the share price, the financial health of the investee, the industry and sector performance, changes in technology, and operational and financing cash-flows.

3.4 Income taxes

The Bank is subject to income taxes and estimates are required in determining the provision for income taxes. The Bank recognizes liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due or for anticipated tax disputes. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made. Further information in relation to the above is provided in note 15.

In addition, the Bank recognizes deferred tax assets to the extent that it is probable that sufficient taxable profit will be available against which unused tax losses and deductible temporary differences can be utilized. Recognition therefore involves judgment regarding the Bank's future financial performance in which the deferred tax asset has been recognized. Particularly, in order to determine the amount of deferred tax assets that can be recognized, significant management judgments are required regarding the likely timing and level of future taxable profits. In making this evaluation, the Bank has considered all available evidence, including management's projections of future taxable income and the tax legislation.

The most significant judgment exercised by management relates to the recognition of deferred tax assets in respect of realized losses. In the event that, the Bank assesses that it would not be able to recover any portion of the recognized deferred tax assets in the future, the unrecoverable portion would impact the deferred tax balances in the period in which such judgment is made.

As at 31 December 2017, the Bank revisited its estimates regarding the level of future taxable profits against which the unused tax losses and the deductible temporary differences can be utilized and evaluated accordingly the recoverability of the recognized deferred tax assets based on its three-year Business Plan, which was approved by the Board of Directors in January 2018 and has been submitted to the Hellenic Financial Stability Fund (HFSF) and to the Single Supervisory Mechanism (SSM), providing outlook of its profitability and capital position for the period up to the end of 2020. The implementation of the abovementioned Business Plan largely depends on the macroeconomic environment in Greece.

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As at 31 December 2017, an amount of € 21 million has been recognized in respect to unused tax losses using the Bank's best estimation and judgment as described above. Further information in respect of the recognized deferred tax assets and the Bank's assessment for their recoverability is provided in note 16.

3.5 Retirement benefit obligations

The present value of the retirement benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions, such as the discount rate and future salary increases. Any changes in these assumptions will impact the carrying amount of pension obligations.

The Bank determines the appropriate discount rate used to calculate the present value of the estimated retirement obligations, at the end of each year based on interest rates of high quality corporate bonds. The currency and term to maturity of the bonds used are consistent with the currency and estimated term to maturity of the retirement benefit obligations. The salary rate increase assumption is based on future inflation estimates reflecting also Bank's reward structure and expected market conditions.

Other assumptions for pension obligations, such as the inflation rate, are based in part on current market conditions.

For information in respect of the sensitivity analysis of the Bank's retirement benefit obligations to reasonably possible, at the time of preparation of these financial statements, changes in the abovementioned key actuarial assumptions, refer to note 35.

3.6 Investment properties and repossessed collateral

The Bank reviews its investment properties portfolio to assess whether there is an indication of impairment, such as a decline in the market prices and level of activity for properties of different nature and location, at each reporting date. If such an indication exists, management is required to exercise judgment in estimating the fair value less cost to sell of the investment properties. The fair values are determined by independent certified valuers, and the Bank's subsidiary Eurobank Property Services S.A. which is specialized in the area of real estate valuations, utilizes internal or external independent qualified appraisers and is regulated by the Royal Institute of Chartered Surveyors. The main factors underlying the determination of fair value are related with the receipt of contractual rentals, future vacancy rates and periods, discount rates or rates of return, the terminal values as well as the level of future maintenance and other operating costs. Additionally, where the fair value less cost to sell is determined based on market prices of comparable transactions those prices are subject to appropriate adjustments, in order to reflect current economic conditions and the management's best estimate regarding the future trend of properties market.

The processes and underlying assumptions applicable for the determination of repossessed properties net realizable value are similar to those described above for investment properties.

Further information in respect of the fair valuation of the Bank's investment properties is provided in note 26.

3.7 Provisions and contingent liabilities

The Bank recognizes provisions when it has a present legal or constructive obligation, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of its amount.

A provision is not recognized and a contingent liability is disclosed when it is not probable that an outflow of resources will be required to settle the obligation, when the amount of the obligation cannot be measured reliably or in case that the obligation is considered possible and is subject to the occurrence or non-occurrence of one or more uncertain future events.

Considering the subjectivity and uncertainty inherent in the determination of the probability and amount of the abovementioned outflows, the Bank takes into account a number of factors such as legal advice, the stage of the matter and historical evidence from similar cases. In the case of an offer made within the context of the Bank's voluntary exit scheme, the number of employees expected to accept the abovementioned offer along with their age cluster is a significant factor affecting the measurement of the outflow for the termination benefits.

Further information in relation to the Bank's provisions and contingent liabilities is provided in note 34 and note 43.

3.8 Other significant accounting estimates and judgments

Information in respect of other estimates and judgments that are made by the Bank is provided in notes 5 and 29.

Notes to the Financial Statements

4. Greek Economy Liquidity Support Program

The Bank participated in the Hellenic Republic's plan to support liquidity in the Greek economy under Law 3723/2008 as amended and supplemented, as follows:

(a) First stream-preference shares (until 17 January 2018)

345,500,000 registered non-voting, preference shares, with nominal value of € 950 million, were subscribed to by the Hellenic Republic on 21 May 2009. On 18 January 2018, the Bank announced the completion of the full redemption of the said preference shares, according to the provisions of par.1a, article 1 of Law 3723/2008 and the decisions of its Extraordinary General Meeting of the Shareholders (ordinary and preference) as of 3 November 2017 (note 37); and

(b) Second stream-bonds issued by the Bank and guaranteed by the Hellenic Republic (until 30 October 2017)

Up to 30 October 2017, the Government guaranteed bonds of face value of € 2,500 million issued and held by the Bank as of 31 December 2016 have matured and as of that date the Bank does no longer participate in the second stream of the Greek economy liquidity support program. Accordingly, the relevant Bank's expenses for the year 2017 decreased by € 62 million compared to the respective expenses in the previous year.

Following the above, the Bank is no longer subject to the provisions of Law 3723/2008 and the Hellenic Republic's right to participate through its representative in the Bank's Board of Directors has ceased to exist. Accordingly, the Bank is also no longer subject to the provisions of article 28 of Law 3756/2009, pursuant to which banks participating in the Greek Economy Liquidity Support Program are not allowed to acquire treasury shares under article 16 of the Company Law.

5. Credit exposure to Greek sovereign debt

As at 31 December 2017, the carrying value of Greek sovereign major exposures is as follows:

	2017	2016
	€ million	€ million
Treasury bills	1,044	1,285
Greek government bonds (restated, note 47)	2,530	2,025
Derivatives with the Greek state	1,181	1,070
Exposure relating with Greek sovereign risk financial guarantee	196	194
Loans guaranteed by the Greek state	117	140
Loans to Greek local authorities and public organizations	53	75
Other receivables	4	19
Total	5,125	4,808

As at 31 December 2017, the credit risk valuation adjustment on derivatives with the Hellenic Republic has decreased by € 37 million, with a positive effect on the Bank's net trading income, as a result of the improvement in the credit spreads of the Hellenic Republic credit default swaps.

In addition, the significant decrease in the yields of the Greek government bonds (GGBs) during 2017, resulted in € 292 million gains from change in fair value of Bank's AFS GGBs, which have been recognized in the other comprehensive income.

The adequacy of the impairment allowance for loans and receivables either guaranteed by the Greek state or granted to public related entities was evaluated in the context of the Bank's impairment policy. The Bank monitors the developments for the Greek macroeconomic environment closely in order to adjust appropriately its estimates and judgments based on the latest available information (note 2.1).

Information on the fair values of the Bank's financial instruments is provided in note 7.3.

Notes to the Financial Statements

6. Capital Management

The Bank's capital adequacy position is presented in the following table:

	2017 € million	2016 ⁽²⁾ € million
Total equity attributable to shareholders of the Bank	6,399	6,130
Less: Other regulatory adjustments	(226)	(97)
Common Equity Tier 1 capital	6,173	6,033
Add: Preferred securities	21	26
Less: Other regulatory adjustments	(21)	(26)
Total Tier 1 capital	6,173	6,033
Tier 2 capital-subordinated debt	-	4
Add: Other regulatory adjustments	5	117
Total Regulatory Capital	6,178	6,154
 Risk Weighted Assets	 32,689	 32,113
 Ratios:	 %	 %
Common Equity Tier 1 ⁽¹⁾	18.9	18.8
Tier 1 ⁽¹⁾	18.9	18.8
Total Capital Adequacy Ratio ⁽¹⁾	18.9	19.2

⁽¹⁾ The pro-forma Common Equity Tier 1, Tier 1 and Total Capital Adequacy ratios as at 31 December 2017, with the completion of the full redemption by the Bank of the preference shares owned by the Greek State and the issuance by the Bank of subordinated notes constituting Tier 2 capital instruments (note 37) would be 15.9%, 15.9% and 18.8%, respectively.

⁽²⁾ The capital adequacy ratios for 31 December 2016 have not been adjusted following the change in accounting policy (note 47).

Note: The Bank's CET1 and Total Capital Adequacy Ratio as at 31 December 2017, based on the full implementation of the Basel III rules in 2024, (fully loaded CET1) would be 15.2% (31 December 2016: 15%). The fully loaded CET1 will not be affected with the completion of the full redemption by the Bank of the preference shares owned by the Greek State/the issuance by the Bank of subordinated notes constituting Tier 2 capital instruments (note 37).

The Bank has sought to maintain an actively managed capital base to cover risks inherent in the business. The adequacy of the Bank's capital is monitored using, among other measures, the rules and ratios established by the Basel Committee on Banking Supervision (BIS rules/ratios) and adopted by the European Union and the Bank of Greece in supervising the Bank. The capital adequacy framework, as in force, was incorporated in the European Union (EU) legislation through the Directive 2013/36/EU (known as CRD IV), along with the Regulation No 575/2013/EU (known as CRR). Directive 2013/36/EU was transposed into Greek legislation by Law 4261/2014. Supplementary to that, in the context of Internal Capital Adequacy Assessment Process (ICAAP), the Bank considers a broader range of risk types and the Bank's risk management capabilities. ICAAP aims ultimately to ensure that the Bank has sufficient capital to cover all material risks that it is exposed to, over a three-year horizon.

Based on Council Regulation No 1024/2013, the European Central Bank (ECB) conducts annually a Supervisory Review and Evaluation Process (SREP) in order to define the prudential requirements of the institutions under its supervision. The key purpose of the SREP is to ensure that institutions have adequate arrangements, strategies, processes and mechanisms as well as capital and liquidity to ensure a sound management and coverage of their risks, to which they are or might be exposed, including those revealed by stress testing and risks the institution may pose to the financial system. According to the 2017 SREP decision, starting from 1 January 2018, the Bank is required to meet on an individual basis a Common Equity Tier 1 ratio of at least 9.375% and a Total Capital Adequacy Ratio of at least 12.875% (Overall Capital Requirements including the Capital Conservation Buffer).

The Bank is focused on the organic strengthening of its capital position by the further expansion of pre-provision income while maintaining its robust risk management practices, the active management of non-performing exposures supported by the fully operational internal bad bank as well as by proceeding to additional initiatives associated with the restructuring, transformation or optimization of its operations, that will generate or release further capital and/or reduce risk weighted assets.

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European Banking Authority 2018 Stress Test

On 31 January 2018, the European Banking Authority (EBA) launched its 2018 EU-wide stress test and released the macroeconomic scenarios. The EBA will coordinate the EU-wide stress test exercise in cooperation with the ECB and national authorities. The results of the stress test will provide stakeholders and the public with information about the resilience of banks, notably their ability to absorb shocks and meet capital requirements under adverse macroeconomic conditions.

The EU-wide stress test is conducted according to the EBA's methodology, which was published in November 2017, templates and scenarios. The exercise is carried out on the basis of year-end 2017 figures as restated with the impact of the IFRS 9 adoption and assesses the resilience of EU banks under a common macroeconomic baseline scenario and a common macroeconomic adverse scenario, covering the period 2018-2020. The baseline scenario is in line with the December 2017 forecast published by the ECB, while the adverse scenario, which has been developed by the European Systemic Risk Board (ESRB) and the ECB in close cooperation with the EBA and the competent authorities, is designed to ensure an adequate level of severity across all EU countries. No pass-fail threshold has been included as the results of the exercise are designed to serve as an input to the Supervisory Review and Evaluation Process (SREP).

Eurobank, along with the other three Greek systemic banks directly supervised by the ECB, undergoes the same stress test under the EBA scenarios and methodology. The timetable for the Greek systemic banks has been accelerated in order to complete the test before the end of the third European Stability Mechanism stability support program for Greece. The stress test process for the Greek systemic banks is currently in progress and the results are expected to be published in May 2018.

Restructuring plan

On 29 April 2014, the European Commission (EC) approved the Bank's restructuring plan, as it was submitted through the Greek Ministry of Finance on 16 April 2014. In addition, on 26 November 2015, the EC approved the Bank's revised restructuring plan in the context of the recapitalization process in 2015. The principal commitments of the Hellenic Republic for the Bank's revised restructuring plan to be implemented by 31 December 2018 (or otherwise indicated below) as well as their status as at 31 December 2017 are disclosed below:

- (a) the reduction of the total costs (excluding any contribution to a deposit guarantee or resolution fund) to a maximum amount of € 750 million and the number of branches for the Group's Greek activities to a maximum of 510 on 31 December 2017 (note 12).
- (b) the decrease of the cost of deposits collected in Greece, according to the Bank's own projections incorporated into the plan;
- (c) the sale of a minimum 80% shareholding in the Group's insurance activities by 31 December 2016; the disposal of the 80% of the shareholding in its insurance subsidiaries was completed in August 2016 (note 24);
- (d) the deleveraging of the portfolio of equity investments exceeding € 5 million, (subject to certain exceptions), subordinated and hybrid bonds to less than € 35 million by 30 June 2016;
- (e) for the Group's Greek activities, the reduction of the number of employees to a maximum of 9,800 by 31 December 2017; the number of employees for the Greek activities was reduced to 9,418 for the aforementioned period through the implementation of the Voluntary Exit Schemes (VES), which are still in progress (note 34);
- (f) the reduction of the net loans to deposits ratio for the Group's Greek banking activities to less than 115%; the further deleveraging of loans and the increase in deposits during 2017 have improved the loans to deposits ratio (notes 21 and 32);
- (g) the reduction of the portfolio of the Group's foreign assets (non-related to Greek clients) to a maximum amount of € 8.77 bn by 30 June 2018; in 2016 the Group completed the sale of Public J.S.C. Universal Bank, its banking subsidiary in Ukraine. Moreover, the Bank, following the divestment obligation under its restructuring plan, announced on 24 November 2017, that it has reached an agreement with Banca Transilvania with regards to the sale of Bancpost S.A., ERB Retail Services IFN S.A. and ERB Leasing IFN S.A. in Romania (Romanian disposal group). The transaction is expected to be finalized shortly after all required legal procedures are completed (note 29). As at 31 December 2017, the portfolio of the Group's foreign assets, which are not related with Greek clients, amounted to € 10.2 bn (of which € 2.2 bn refers to the assets of the Romanian disposal group classified as held for sale);
- (h) the sale of the 20% shareholding in its non-banking subsidiary Grivalia Properties R.E.I.C.; on 4 July 2017, the Bank announced the successful sale of its 20% shareholding in Grivalia Properties R.E.I.C. (note 24); and
- (i) restrictions on the capital injection to the Group's foreign subsidiaries unless the regulatory framework of each relevant jurisdiction requires otherwise, the purchase of non-investment grade securities (subject to certain exceptions), the staff remuneration, the payment of dividends, the credit policy to be adopted and other strategic decisions.

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By 31 December 2017, the Bank has already met/ respected the commitments referring to items 'a' to 'e' and 'h' to 'i', while the commitment referring to item 'g', is expected to be met shortly. In respect of the commitment referring to item 'f', which should be implemented within 2018, the Bank proceeds to all actions and initiatives required to meet it within the prescribed deadlines. Such actions have been reflected in the three-year Business Plan approved by the Board of Directors in January 2018.

The implementation of the restructuring plan streamlines the Bank's operations and reduces the Bank's costs thereby sustaining its profitability. However, the implementation of the commitments may have an adverse effect on Bank's business, operating results and financial position.

In addition, in case the Bank is unable to comply with the restructuring plan's commitments, certain measures may be imposed against the Bank, including those provided in the case of misuse of state aid, limiting the Bank's ability to support its foreign subsidiaries or introducing additional limitations on its ability to hold and manage its securities portfolio.

Monitoring Trustee

The Memorandum of Economic and Financial Policies (MEFP) of the Second Adjustment Program for Greece between the Hellenic Republic, the European Commission, the International Monetary Fund and the European Central Bank provides for the appointment of a monitoring trustee in all banks under State Aid.

Grant Thornton S.A. was appointed as the Bank's Monitoring Trustee (MT) on 22 February 2013, with the mandate of the MT been subsequently amended and extended on 29 May 2014. The MT monitors the compliance with the commitments on corporate governance and commercial operational practices and the implementation of the restructuring plan, and reports to the European Commission.

7. Financial risk management and fair value

7.1 Use of financial instruments

By their nature the Bank's activities are principally related to the use of financial instruments including derivatives. The Bank accepts deposits from customers, at both fixed and floating rates, and for various periods and seeks to earn above average interest margins by investing these funds in high quality assets. The Bank seeks to increase these margins by consolidating short-term funds and lending for longer periods at higher rates, while maintaining sufficient liquidity to meet all claims that might fall due.

The Bank also seeks to raise its interest margins by obtaining above average margins, net of provisions, through lending to commercial and retail borrowers within a range of credit standing. Such exposures include both on-balance sheet loans and advances and off-balance sheet guarantees and other commitments such as letters of credit.

The Bank also trades in financial instruments where it takes positions in traded and over the counter financial instruments, including derivatives, to take advantage of short-term market movements in the equity and bond markets and in currency and interest rates.

7.2 Financial risk factors

Due to its activities, the Bank is exposed to a number of financial risks, such as credit risk, market risk (including currency and interest rate risk), liquidity and operational risks. The Bank's overall risk management strategy seeks to minimize any potential adverse effects on its financial performance, financial position and cash flows.

Risk Management objectives and policies

The Group acknowledges that taking risks is an integral part of its operations in order to achieve its business objectives. Therefore, the Group's management sets adequate mechanisms to identify those risks at an early stage and assesses their potential impact on the achievement of these objectives.

Due to the fact that economic, industry, regulatory and operating conditions will continue to change, risk management mechanisms are set (and adjusted) in a manner that enables the Group to identify and deal with the risks associated with those changes. The Bank's structure, internal procedures and existing control mechanisms ensure both the independence principle and the exercise of sufficient supervision.

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The Group's Management considers effective risk management as a top priority, as well as a major competitive advantage, for the organization. As such, the Group has allocated significant resources for upgrading its policies, methods and infrastructure, in order to ensure compliance with the requirements of the European Central Bank (ECB), the guidelines of the European Banking Authority (EBA) and of the Basel Committee for Banking Supervision and with the best international banking practices. The Group implements a well-structured credit approval process, independent credit reviews and effective risk management policies for credit, market, liquidity and operational risk, both in Greece and in each country of its international operations. The risk management policies implemented by the Bank and its subsidiaries are reviewed annually.

The Group Risk and Capital Strategy, which has been formally documented, outlines the Group's overall direction regarding risk and capital management issues, including the risk management mission and objectives, risk definitions, risk management principles, risk appetite framework, risk governance framework, strategic objectives and key management initiatives. In addition, the Risk and Capital Strategy is aiming to establish an operational link between the Group's business strategy and its risk appetite.

The maximum amount of risk which the Group is willing to assume in the pursuit of its strategic objectives is articulated via a set of quantitative and qualitative statements for specific risk types, including specific tolerance levels as described in the Group's Risk Appetite Framework. The objectives are to support the Group's business growth, balance a strong capital position with higher returns on equity through greater leverage, and to ensure the Group's adherence to regulatory requirements.

Board Risk Committee (BRC)

The BRC assists the Board of Directors in risk management issues. It monitors, the issues that relate to credit and operational risks, in terms of quality and quantity, as well as market and liquidity risks. The BRC ensures that:

- The risk management strategy and the risk appetite have been defined in line with the Group's business and restructuring plan.
- The risk management framework of the Group is appropriate and integrated in the Group's decision-making process. The Committee also defines the risk management principles.
- Suitable methods, tools, models and data sources are in place, as well as competent staff who is able to identify, assess, monitor and mitigate risks.

In addition, the BRC monitors and assesses:

- The risk profile of the Group and the efficiency of the risk management policies it implements.
- The stress tests implementation, for all major Group risks at least annual basis.
- The compliance with the approved risk tolerance levels, the appropriateness of risk limits and the adequacy of provisions, as well as capital adequacy, in relation to the risks undertaken by the Group.

The BRC updates the Board of Directors on risk management issues and recommends to the Board of Directors the future risk management strategy. It consists of five non-executive directors, meets at least on a monthly basis and reports to the BoD on a quarterly basis and on ad hoc instances.

Management Risk Committee

Management Risk Committee (MRC) is a management committee established by the CEO in 2016. It operates as a consulting committee to the BRC.

The main responsibility of the MRC is to oversee the risk management framework of the Group. As a part of its responsibility, the MRC facilitates reporting to the Board Risk Committee on the range of risk-related topics under its purview. The MRC ensures that material risks are identified and promptly escalated to the BRC and that the necessary policies and procedures are in place to prudently manage risks and to comply with regulatory requirements. Additionally, the MRC determines appropriate management actions which are discussed and presented to the Executive Board ('EXBO') for information and submitted to BRC for approval.

Group Risk Management General Division

The Group's Risk Management General Division that is headed by the Group Chief Risk Officer (GCRO) operates independently from the business units and is responsible for the monitoring, measurement and management of credit risk, market risk, liquidity and operational risks. It comprises the Credit Sector, the International Credit Sector, the Group Market and Counterparty Risk

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Sector (GMCRS), the Group Credit Control Sector (GCCS), the Capital Adequacy Control (Credit Risk) and Regulatory Framework Sector the Group Operational Risk Sector and the SSM office (dual reporting also to Group CFO).

Non-Performing Exposures (NPEs) management

Following the Bank of Greece (BoG) Executive Committee's Act No.42/30.05.2014 as amended by Act No.47/9.2.2015 and Act No. 102/30.08.2016 that details the supervisory directives for the administration of exposures in arrears and non-performing loans, the Bank has proceeded with a number of initiatives to adopt the regulatory requirements and empower the management of troubled assets. In particular, the Bank transformed its troubled assets operating model into a vertical organizational structure through the establishment of the Troubled Assets Committee (TAC) and Troubled Assets Group General Division (TAG).

Troubled Assets Committee (TAC)

The TAC with a direct reporting line to the BRC oversees and monitors the Group's troubled assets' management. In particular, the main competencies that have been delegated to TAC relate to the monitoring of loans in arrears and the management of non-performing loans, the determination and implementation of the troubled assets' management strategy, as well as approving and assessing the sustainability of the forbearance and closure procedure measures.

Troubled Assets Group General Division (TAG)

The TAG, which has been established as an independent body, is headed by the Deputy Chief Executive Officer and Executive member of the BoD, and is the overall responsible body for the management of the Group's troubled assets portfolio, including forborne loans, for the whole process, from the pre-delinquency status in case of high risk exposures up to legal workout. It ensures close monitoring, tight control and course adjustment taking into account the continuous developments in the macro environment, the regulatory and legal requirements, the international best practices and new or evolved internal requirements.

TAG comprises the Retail Remedial General Division, the Corporate Special Handling Sector, the Collaterals Recovery Sector, the TAG Business Planning Sector and the TAG Risk Management and Business Policies Sector. TAG structure is completely segregated from the Bank's business units both in terms of account management, as well as credit approval process, which ensures transparency, flexibility, better prioritization and management accountability, and shifts the management from bad debt minimization to bad debt value management, in line with the Group's risk appetite.

The TAG cooperates with Group Risk Management to reach a mutual understanding of the implemented practices and to develop appropriate methodologies for the assessment of risks that may be inherent in any type of forbearance and, generally, troubled assets strategy deployment for all portfolios managed. The TAG's recommendations and reports to the Board of Directors and its Committees are also submitted to the GCRO who expresses an opinion.

The key governing principles of the TAG are to:

- Preserve the clear demarcation line between business units and troubled assets management;
- Ensure direct top management involvement in troubled assets management and close monitoring of the respective portfolio;
- Deploy a sound credit workout strategy through innovative propositions that will lead to viable solutions, ensuring a consistent approach for managing troubled assets across portfolios;
- Engineer improvements in monitoring and offering targeted solutions by segmenting delinquent borrowers and tailoring the remedial and workout approach to specific segment;
- Ensure a consistent approach for managing troubled assets across portfolios;
- Prevent non performing loans formation through early intervention and clear definition of primary financial objectives of troubled assets;
- Monitor the loan delinquency statistics, as well as define targeted risk mitigating actions to ensure portfolio risk reduction;
- Target maximization of borrowers who return to current status through modifications or collections;
- Monitor losses related to troubled assets; and
- Define criteria to assess the sustainability of proposed forbearance or resolution and closure measures and design decision trees.

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Operational targets for Non-Performing Exposures (NPEs)

In line with the national strategy for the reduction of NPEs, the BoG, in cooperation with the supervisory arm of the ECB, has designed an operational targets framework for NPEs management, supported by several key performance indicators. Pursuant to the said framework, the Greek banks submitted at the end of September 2016 a set of NPEs operational targets together with a detailed NPE management strategy with a 3-year time horizon, which were formed on the basis of key macroeconomic assumptions. In September 2017, the Greek banks submitted an updated set of NPEs operational targets, together with an updated NPEs management strategy, for the years 2017-2019.

In accordance with the latest relevant BoG report issued in December 2017, Greek banks have set a revised target of a 37% reduction of NPEs for the period from June 2017 up to December 2019, corresponding to a decrease by € 37.2 bn of the total NPEs stock (excluding off-balance sheet items), i.e., from € 101.8 bn in June 2017 to € 64.6 bn in end 2019. The NPEs of the sector as a percentage of total loan exposure will gradually decelerate and reach 35.2% in 2019. Specifically the Bank, as at 31 December 2017, has reduced the stock of NPEs by € 2.4 bn since 31 December 2016 outperforming the respective initial target submitted to SSM by € 0.7 bn.

In the above context, the Bank has developed strategic objectives and targets, together with a set of corresponding actions across client segments, and a timetable for implementation. The actions have been cascaded to a segment level for retail portfolio and to a borrower level for corporate portfolio together with corresponding targets and monitoring indicators. The Bank has developed a detailed NPE forecasting model, the results of which have been used to calibrate both the targets and the monitoring indicators. The strategy and the objectives are based on a set of assumptions regarding the macro-economic outlook and the legal and tax framework in Greece. The planned actions and initiatives are not expected to require increases in currently planned provisioning levels and additional capital requirements. The key risks for potential deviation from the targets are primarily related with the delays in the macroeconomic recovery (note 2.1).

The Bank has fully embedded the NPEs strategy into its management processes and operational plan. The supervisory authority reviews the course to meeting the operational targets on a quarterly basis and might request additional corrective measures if deemed necessary.

Legal framework

In the first months of 2017, significant legislative changes towards the reduction of NPEs include the amendment of Law 4172/2013 for lifting tax-related impediments (note 16), the voting of Law 4469/2017 for the out-of-court workout mechanism for businesses, as well as a law (Law 4472/2017) on e-auctions and on the regulation of the Bank Executives' legal responsibilities for NPEs workouts.

7.2.1 Credit Risk

Credit risk is the risk that a counterparty will be unable to fulfill its payment obligations in full, when due.

Country risk is the risk of losses arising from economic difficulties or political unrest in a country, including the risk of losses following nationalization, expropriation and debt restructuring.

Settlement risk is the risk arising when payments are settled, for example for trades in financial instruments, including derivatives and currency transactions. The risk arises when the Bank remits payments before it can ascertain that the counterparties' payments have been received.

Credit risk arises principally from the corporate and retail lending activities of the Bank, including from credit enhancement provided, such as financial guarantees and letters of credit. The Bank is also exposed to credit risk arising from other activities such as investments in debt securities, trading activities, capital markets and settlement activities. Taking into account that credit risk is the principal risk the Bank is exposed to, it is rigorously managed and is monitored by centralized dedicated risk units, reporting to the GCRO.

(a) Credit approval process

The credit approval and credit review processes are centralized both in Greece and in the International operations. The segregation of duties ensures independence among executives responsible for the customer relationship, the approval process and the loan disbursement, as well as monitoring of the loan during its lifecycle.

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Credit Committees

The credit approval process in Corporate Banking is centralized through establishment of Credit Committees with escalating Credit Approval Levels, in order to manage the corporate credit risk. Main Committees of the Bank are considered to be the following:

- Credit Committees (Central and Local), authorized to approve new financing, renewals or amendments in the existing credit limits in accordance with their approval authority level, depending on total limit amount, and customer risk category (i.e. high, medium or low), as well as the value and type of security;
- Special Handling Credit Committees, authorized to approve credit requests and take actions for distressed clients;
- International Credit Committees (Regional and Country) established for credit underwriting to wholesale borrowers for the Group's international Bank subsidiaries, authorized to approve new limits, renewals or amendments to existing limits, in accordance with their approval authority level, depending on total customer exposure and customer risk category (i.e. high, medium or low), as well as the value and type of security; and
- International Special Handling Committees established for handling distressed wholesale borrowers of the Group's international Bank subsidiaries.

The Credit Committees meet on a weekly basis or more frequently, if needed.

Credit Sector

The main responsibilities of the Credit Sector of the Risk Management General Division are:

- Review and evaluation of credit requests of:
 - (a) Domestic large and medium scale corporate entities of every risk category;
 - (b) Specialized units, such as Shipping and Structured Finance; and
 - (c) Retail sector's customers (small business and individual banking) above a predetermined threshold.
- Issuance of an independent risk opinion for each credit request, which includes:
 - (a) Assessment of the customer credit profile based on the risk factors identified (market, operations, structural and financial);
 - (b) A focused sector analysis; and
 - (c) Recommendations to structure a bankable, well-secured and well-controlled transaction.
- Confirmation of the ratings of each separate borrower, to reflect the risks acknowledged;
- Participation with voting rights in all credit committees, as per the credit approval procedures (except for Special Handling Committee I- no voting rights);
- Active participation in all external/regulatory audits of the Bank;
- Preparation of specialized reports to Management on a regular basis, with regards to Top 25 biggest Borrower groups and statistics on the new approved financings;
- Safeguarding compliance of the Lending Units with specialized policies (e.g. SPPI process for the corporate portfolio, environmental and social policy); and
- Provision of specialized knowledge, expertise and support to other divisions of the Bank, in relation to operational and credit procedures, security policies, new lending products and restructuring schemes.

Credit Sector through its specialized Early Warning Unit (EWU), is also responsible to assess the wholesale portfolio and detect distress signals for specific borrowers. EWS has developed a multi-criterion delinquency application that is operating in parallel to the Bank's rating systems and targets to identify those borrowers whose financial performance may deteriorate significantly in the future and for whom the Bank should take actions for close monitoring and effective management.

Retail Banking approval process

The approval process for loans to small businesses (turnover up to € 5 million) is centralized following specific guidelines for eligible collaterals as well as the 'four-eyes' principle. The assessment is based on an analysis of the borrower's financial position and statistical scorecards.

The credit approval process for Individual Banking (consumer and mortgage loans) is also centralized. It is based on specialized credit scoring models and credit criteria taking into account the payment behavior, personal wealth and financial position of the

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borrowers, including the existence of real estate property, the type and quality of securities and other factors as well. The ongoing monitoring of the portfolio quality and of any other deviations that may arise, leads to an immediate adjustment of the credit policy and procedures, when deemed necessary.

International Credit Sector

The International Credit Sector (ICS) is responsible to actively participate in the design, implementation and review of the credit underwriting function for the wholesale portfolio of the International Subsidiaries. Moreover, ICS advises and supports Risk Divisions of the International Subsidiaries.

In this context, ICS is responsible for the implementation among others of the below activities:

- Participation with voting right in all International Committees (Regional, Country and Special Handling) and Chairmanship in Country Risk Committees (CRCs);
- Participation in the sessions of Monitoring Committees which monitor and decide on the strategy of problematic corporate relationships with loan outstanding exceeding a certain threshold, that is jointly set by ICS and Country TAG;
- Advice on best practices to the Credit Risk Units of international subsidiaries
- and implementation of Group's credit related special projects ; and
- In cooperation with Group Credit Control Sector (GCCS), it conducts reviews of loan quality and specific loan segments (e.g. Real Estate portfolios and agribusiness).

(b) Credit risk monitoring

Group Credit Control Sector

The Group Credit Control Sector (GCCS) monitors and assesses the quality of all of the Group's loan portfolios and operates independently from the business units of the Bank. The GCCS reports directly to the GCRO.

The main responsibilities of the GCCS are to:

- monitor and review the performance of all of the Group's loan portfolios;
- conduct field reviews and prepare written reports to the Management on the quality of all of the Group's loan portfolios and adherence with EBA prevailing regulations;
- supervise and control the foreign subsidiaries' credit risk management units;
- supervise, support and maintain the Moody's Risk Advisor (MRA) used to assign ratings to wholesale lending customers;
- develop, supervise and support the Transactional Rating (TR) application used to measure the overall risk of wholesale credit relationships, taking into account both the creditworthiness of the borrower and required collaterals;
- monitor on a regular basis and report on a quarterly basis to the Board of Directors and the BRC of risk exposures, along with accompanying analyses;
- formulate the provisioning policy and regularly monitor the adequacy of provisions of all of the Group's loan portfolios;
- participate in the approval of new credit policies and new loan products;
- participate in the Troubled Asset Committee; and
- attend meetings of Credit Committees and Special Handling Committees, without voting right.

Capital Adequacy Control (Credit Risk) and Regulatory Framework Sector

The main responsibilities of the Capital Adequacy Control (Credit Risk) and Regulatory Framework Sector are to implement and maintain the Internal Ratings Based (IRB) approach in accordance with the Basel framework and the Capital Requirements Directive (CRD), for the loans portfolio of the Group, to measure and monitor the loan portfolios' capital requirements, and to manage credit risk regulatory related issues, such as Asset Quality Reviews (AQR) and stress tests. The Sector reports to the GCRO.

The main activities of the Capital Adequacy Control (Credit Risk) and Regulatory Framework Sector are to:

- manage the external Asset Quality Reviews (Bank of Greece, ECB);
- implement the IRB roll-out plan of the Group;
- manage the models implementation activities and validation of the IRB models of Probability of Default (PD), Loss Given Default (LGD) and Exposure at Default (EAD) for evaluating credit risk;

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- measure, monitor and backtest the risk parameters (PD, LGD, EAD) for the purposes of capital adequacy calculations, as well as, for provisioning purposes;
- prepare monthly capital adequacy calculations (Pillar 1) and relevant management, as well as, regulatory reports (COREPs, SREP) on a quarterly basis;
- perform stress tests, both internal and external (EBA/SSM), and to maintain the credit risk stress testing infrastructure;
- manage the implementation / validation of the forecasting models linking macroeconomic factors of credit quality (PD, LGD) for the loan portfolios of the Group;
- prepare the credit risk analyses for Internal Capital Adequacy Assessment (ICAAP)/ Pillar 2 purposes;
- prepare the Basel Pillar 3 disclosures for credit risk;
- participate in the preparation of the business plan, the restructuring plan and the recovery plan of the Group in relation to asset quality and capital requirements for the loan book (projected impairments and RWAs), as well as participate in the relevant committees;
- support the business units in the use of IRB models in business decisions and the development and usage of risk related metrics such as Risk Adjusted Return On Capital (RAROC) etc.;
- monitor the regulatory framework in relation to the above, to perform impact assessment, to initiate and manage relevant projects;
- regularly report to the GCRO, to the Management Risk Committee and to the Board Risk Committee on the following topics: risk models performance, risk parameters (PD, LGD, EAD), updates on regulatory changes and impact assessment, stress testing and asset quality reviews.
- provide risk related parameters (forecast 12-m PD, forecast lifetime PD, forecast EAD) in the context of IFRS 9 implementation;
- provide risk data and use of IRB models to support the Funding strategy of the Group;
- support the Strategy Division of the Group to assess the capital impact of strategic projects relating to the loans portfolio of the Group;
- develop and maintain the IRB IT and Data management infrastructure (Basel data warehouse, Risk scoring engine, Capital adequacy Reporting Tool); and
- guide, monitor and supervise the Basel/Capital Adequacy (Credit Risk) divisions of Romania and Bulgaria on modeling, credit stress testing and other credit risk related regulatory issues.

The Group's international subsidiaries in Bulgaria, Romania, Serbia, Cyprus and Luxembourg apply the same credit risk management structure and control procedures as the Bank and report directly to the GCRO. Risk management policies and processes are approved and monitored by the credit risk divisions of the Bank ensuring that the Group guidelines are in place and credit risk strategy is uniformly applied across the Group.

Furthermore, information on credit risk monitoring of troubled assets is also provided in the section of Non-Performing Exposures (NPEs) management.

Group Market and Counterparty Risk Sector

The Group Market and Counterparty Risk Sector (GMCRS) is responsible for the measurement, monitoring and reporting of the Group's exposure to counterparty risk, which is the risk of loss due to the customer's failure to meet its contractual obligations in the context of treasury activities, such as securities, derivatives, repos, reverse repos, interbank placings, etc.

The Group sets limits on the level of counterparty risk (see also below 7.2.1 (f) credit risk mitigation) that may be undertaken based mainly on the counterparty's credit rating, as provided by international rating agencies, and the product type (e.g. control limits on net open derivative positions by both amount and term, sovereign bonds exposure, asset backed securities). The utilization of the abovementioned limits, any excess of them, as well as the aggregate exposure per Group's entity, counterparty and product type are monitored by GMCRS on a daily basis. Risk mitigation contracts are taken into account for the calculation of the final exposure.

In case of uncollateralized derivative transactions, the Bank measures the current exposure along with the potential future exposure (PFE) using financial models. The combined exposure is used for the monitoring of limit utilization.

The GMCRS's exposure measurement and reporting tool is also available to the Group's subsidiaries treasury divisions, thus providing them with the ability to monitor each counterparty's exposure and the limit availability.

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(c) Credit related commitments

The primary purpose of credit related commitments is to ensure that funds are available to a customer as agreed. Guarantees and standby letters of credit carry the same credit risk as loans since they represent irrevocable assurances that the Bank will make payments in the event that a customer cannot meet its obligations to third parties. Documentary and commercial letters of credit, which are written undertakings by the Bank on behalf of a customer authorizing a third party to draw drafts on the Bank up to a stipulated amount under specific terms and conditions, are secured by the underlying shipment of goods to which they relate and therefore carry less risk than a loan. Commitments to extend credit represent contractual commitments to extend credit in the form of loans, guarantees or letters of credit for which the Bank usually receives a commitment fee. Such commitments are irrevocable over the life of the facility or revocable only in response to a material adverse effect.

(d) Concentration risk

The Bank structures the levels of credit risk it undertakes by placing exposure limits by borrower, or groups of borrowers, and by industry segments. The exposure to each borrower is further restricted by sub-limits covering on and off-balance sheet exposures, and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts.

Such risks are monitored on a revolving basis and are subject to an annual or more frequent review. Risk concentrations are monitored regularly and reported to the BRC. Such reports include the 25 largest exposures, major watch list and problematic customers, industry analysis, analysis by rating/risk class, by delinquency bucket, and loan portfolios by country.

(e) Rating systems

Rating of wholesale lending exposures

The Bank has decided upon the differentiation of rating models for wholesale lending activities, in order to reflect appropriately the risks arising from customers with different characteristics. Hence, rating models are employed for a number of general as well as specific segments:

- traditional corporate lending: Moody's Risk Advisor (MRA); Internal Credit Rating (ICR) for those customers that cannot be rated by MRA; and
- specialized lending (shipping, real estate and project finance): slotting methodology.

The MRA aggregates quantitative and qualitative information of individual obligors in order to assess their creditworthiness and determine their credit rating. In particular, it takes into account the entity's financial performance and cash flows, the industry sector's trends, the peers' performance, a qualitative assessment of the entity's management, the entity's status, the market's and industry's structural factors. The MRA is used for the assessment of all legal entities with full accountancy tax books irrespective of their legal form, and is calibrated on the Greek corporate environment.

Certain types of entities cannot be analyzed with the MRA due to the special characteristics of their financial statements, such as insurance companies, state-owned organizations, brokerage firms, and start-ups. In such cases, the ICR is applied, which similarly to MRA, combines quantitative and qualitative assessment criteria, such as the entity's size, years in business, credit history, industry sector.

In addition, the Bank performs an overall assessment of corporate customers, based both on their rating (MRA or ICR) and the collaterals and guarantees referred to the respective approved credit relationship, using a 14-grade rating scale. Credit exposures are subject to detailed reviews by the appropriate Credit Committee based on the respective transactional rating (TR). Low risk corporate customers are reviewed at least once a year, whereas higher risk customers are reviewed either on a semi-annual or a quarterly basis. All high risk corporate customers with exposures over € 5 million are reviewed by the Special Watch List Committee periodically or upon occurrence of significant events.

For specialized lending portfolios, i.e. when the primary source of repayment of the obligation is the income generated by the asset(s), rather than the independent capacity of the commercial enterprise, the Bank utilizes the slotting method by adapting and refining the Capital Requirements Directive's criteria to the Bank's risk practices. Customers falling in the specialized lending category (shipping, real estate and project finance) are classified into five categories: strong, good, satisfactory, weak and default.

Notes to the Financial Statements

The rating systems described above are an integral part of the wholesale banking decision-making and risk management processes:

- the credit approval process, both at the origination and review process;
- the calculation of Economic Value Added (EVA) and risk-adjusted pricing; and
- the quality assessment of issuers of cheques prior to their pledge as collateral.

Rating of retail lending exposures

The Bank assigns credit scores to its retail customers using a number of statistically-based models both at the origination and on ongoing basis through behavioral scorecards. These models have been developed to predict, on the basis of available information, the probability of default, the loss given default and the exposure at default. They cover the entire spectrum of retail products (credit cards, consumer lending, unsecured revolving credits, car loans, personal loans, mortgages and small business loans).

The models were developed based on the Bank's historical data and credit bureau data. Behavioral scorecards are calculated automatically on a monthly basis, thus ensuring that the credit risk assessment is up to date.

The models are applied in the credit approval process, the credit limits management, as well as the collection process for the prioritization of the accounts in terms of handling. Furthermore, the models are often used for the risk segmentation of the customers and the risk based pricing of particular segments or new products introduced as well as in the calculation of the Economic Value Added (EVA) and Risk Adjusted Return on Capital (RaRoC) measures

The rating systems employed by the Bank meets the requirements of the Basel III-Internal Ratings Based (IRB) approach. The Bank is IRB certified since 2008 for the Greek portfolios, both wholesale and retail (as detailed in Basel III, Pillar 3 disclosures available at the Bank's website).

The Capital Adequacy Control (Credit Risk) and Regulatory Framework Sector monitors the capacity of rating models and scoring systems to classify customers according to risk, as well as to predict the probability of default and loss given default and exposure at default. The Bank's validation policy follows a procedure that complies with international best practices and regulatory requirements. The Bank verifies the validity of the rating models and scoring systems on an annual basis and the validation includes both quantitative and qualitative aspects. The validation procedures are documented, and regularly reviewed and reported to the BRC. The Group's Internal Audit Division also independently reviews the validation process annually.

(f) Credit risk mitigation

A key component of the Bank's business strategy is to reduce risk by utilizing various risk mitigating techniques. The most important risk mitigating means are collaterals' pledges, guarantees and master netting arrangements.

Types of collateral commonly accepted by the Bank

The Bank has internal policies in place which set out the following types of collateral that are usually accepted in a credit relationship:

- residential real estate, commercial real estate (offices, shopping malls, etc.), industrial buildings and land;
- receivables (trade debtors) and post dated cheques;
- securities, including listed shares and bonds;
- deposits;
- guarantees and letters of support;
- insurance policies; and
- equipment, mainly, vehicles and vessels.

A specific coverage ratio is pre-requisite, upon the credit relationship's approval and on ongoing basis, for each collateral type, as specified in the Bank's credit policy.

For exposures, other than loans to customers (i.e. reverse repos, derivatives), the Bank accepts as collateral only cash or liquid bonds.

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Valuation principles of collaterals

In defining the maximum collateral ratio for loans, the Bank considers all relevant information available, including the collaterals' specific characteristics, if market participants would take those into account when pricing the relevant assets. The valuation and hence eligibility is based on the following factors:

- the collateral's fair value, i.e. the exit price that would be received to sell the asset in an orderly transaction under current market conditions;
- the fair value reflects market participants' ability to generate economic benefits by using the asset in its highest and best use or by selling it;
- a reduction in the collateral's value is considered if the type, location or condition (such as deterioration and obsolescence) of the asset indicate so; and
- no collateral value is assigned if a pledge is not legally enforceable.

The Bank follows the rules set according to the Collateral Valuation Policy, approved by the BRC. With the exception of special cases (e.g. syndicated loans), the real estate collaterals of all units are valued by Eurobank Property Services S.A. (EPS), a subsidiary of the Bank, which reports to the General Manager of Global Markets, Wealth Management and Group Real Estate Asset Management. Eurobank Property Services S.A. is regulated by the Royal Institute of Chartered Surveyors and employs internal or external qualified appraisers based on predefined criteria (qualifications and expertise). All appraisals take into account factors such as the region, age and marketability of the property, and are further reviewed and countersigned by experienced staff. The valuation methodology employed is based on International Valuation Standards (IVS), while quality controls are in place, such as reviewing mechanisms, independent sample reviews by independent well established valuation companies.

In 2006, the Bank initiated a project in collaboration with other major banks in Greece to develop a real estate property index for residential properties. The methodology, which was developed by an independent specialized statistical company, has been approved by the Bank of Greece, and its use enables a dynamic monitoring of residential properties' values and market trends, on an annual basis.

For commercial real estates, re-valuations are performed by qualified property valuers within a time horizon of two or three years. More frequent revaluations as appropriate, (on site/desktop/index based), are performed on an annual basis depending on the materiality level of the credit exposure and the classification of the borrower (risk category).

To ensure the quality of the post-dated cheques accepted as collateral, the Bank has developed a pre-screening system, which takes into account a number of criteria and risk parameters, so as to evaluate their eligibility. Furthermore, the post-dated cheques' valuation is monitored weekly through the use of advanced statistical reports and monthly through the review of detailed information regarding the recoverability of cheques, referrals and bounced cheques, per issuer broken down.

Collateral policy and documentation

Regarding collaterals, Bank's policy emphasizes the need that collaterals and relevant processes are timely and prudently executed, in order to ensure that collaterals and relevant documentation are legally enforceable at any time. The Bank holds the right to liquidate collateral in the event of the obligor's financial distress and can claim and control cash proceeds from the liquidation process.

Guarantees

The guarantees used as credit risk mitigation by the Bank are largely issued by the government. The National Fund for Entrepreneurship and Development (ETEAN SA) and similar funds, banks and insurance companies are also important guarantors of credit risk.

Management of repossessed properties

The objective of the repossessed assets' management is to minimize the time cycle of the asset's disposal and to maximize the recovery of the capital engaged.

To this end, the management of repossessed assets aims at improving rental and other income from the exploitation of such assets, and at the same time reducing the respective holding and maintenance costs. Additionally, the Bank is actively engaged in identifying suitable potential buyers for its portfolio of repossessed assets (including specialized funds involved in acquiring

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specific portfolios of properties repossessed), both in Greece and abroad, in order to reduce its stock of properties with a time horizon of 3-5 years.

Reposessed assets are closely monitored based on technical and legal due diligence reports, so that their market value is accurately reported and updated in accordance with market trends.

Counterparty risk

The Bank mitigates counterparty risk arising from treasury activities by entering into master netting arrangements and similar agreements, as well as collateral agreements with counterparties with which it undertakes a significant volume of transactions. Master netting arrangements do not generally result in the offset of balance sheet assets and liabilities, as the transactions are usually settled on a gross basis. However, the respective credit risk is reduced through a master netting agreement to the extent that if an event of default occurs, all amounts with the counterparty are terminated and settled on a net basis.

In the case of derivatives, the Bank makes use of International Swaps and Derivatives Association (ISDA) contracts, which limit the exposure via the application of netting, and Credit Support Annex (CSAs), which further reduce the total exposure with the counterparty. Under these agreements, the total exposure with the counterparty is calculated on a daily basis taking into account any netting arrangements and collaterals.

The same process is applied in the case of repo transactions where standard Global Master Repurchase Agreements (GMRAs) are used. The exposure (the net difference between repo cash and the market value of the securities) is calculated on a daily basis and collateral is transferred between the counterparties thus minimizing the exposure.

Following the European Market Infrastructure Regulation (EMIR), the Bank initiated centrally cleared transactions for eligible derivative contracts through an EU authorized European central counterparty (CCP), recorded in trade repositories. The use of CCP increases market transparency and reduces counterparty credit and operational risks inherent in derivatives markets.

The Bank uses a comprehensive collateral management system for the monitoring of ISDA, CSAs and GMRAs, i.e. the daily valuation of the derivatives and the market value of the securities are used for the calculation of each counterparty's exposure. The collateral which should be posted or requested by the relevant counterparty is calculated daily.

With this system, the Bank monitors and controls the collateral flow in case of derivatives and repos, independently of the counterparty. The effect of any market movement that increases the Bank's exposure is reported and the Bank proceeds to collateral call without delay.

7.2.1.1 Maximum exposure to credit risk before collateral held

	2017 € million	2016 € million
Credit risk exposures relating to on-balance sheet assets are as follows:		
Due from credit institutions	2,867	3,490
Derivative financial instruments	1,884	1,985
Loans and advances to customers:		
- Wholesale lending	14,053	14,692
- Mortgage lending	15,298	16,098
- Consumer lending	4,212	5,059
- Small business lending	6,320	6,363
Less: Impairment allowance	(9,017)	(10,304)
Investment securities:		
- Debt securities (restated, note 47)	6,554	10,969
Other assets	1,314	1,292
Credit risk exposures relating to off-balance sheet items (note 43)	1,485	1,438
Total	44,970	51,082

The above table represents the Bank's maximum credit risk exposure as at 31 December 2017 and 31 December 2016 respectively, without taking account of any collateral held or other credit enhancements that do not qualify for offset in the Bank's financial statements.

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For on-balance sheet assets, the exposures set out above are based on the net carrying amounts as reported in the balance sheet. Off-balance sheet items mentioned above include letters of guarantee, standby letters of credit, commitments to extend credit and documentary credits.

7.2.1.2 Loans and advances to customers

The section below provides a detailed overview of the Bank's exposure to credit risk arising from its customer lending portfolios in line with the guidelines set by the Hellenic Capital Markets Commission and the Bank of Greece (BoG) released on 30 September 2013. In addition, the types of the Bank's forbearance programs are in line with the BoG's Executive Committee Act 102/30.08.2016.

(a) Credit quality of loans and advances to customers

Loans and advances to customers are classified as 'neither past due nor impaired', 'past due but not impaired' and 'impaired'.

Loans reported as 'neither past due nor impaired' include loans with no contractual payments in arrears and no other indications of impairment.

'Past due but not impaired' category includes loans with contractual payments overdue by at least one day but which are not impaired unless specific information indicates to the contrary. For retail exposures, this is typically when loans are in arrears less than 90 days while for wholesale exposures both the delinquency status and the internal rating, which reflects the borrower's overall financial condition and outlook, are assessed.

For loans in the above categories, although not considered impaired, the Bank recognizes a collective impairment loss (as set out in note 2.2.12 'Impairment of financial assets').

'Impaired' loans that are individually assessed include all wholesale exposures as well as small business and mortgage loans which carry an individual impairment allowance. The rest of retail exposures are considered impaired when they are in arrears for more than 90 days or earlier in case there is an objective evidence of impairment and carry a collective impairment allowance. Furthermore, impaired retail loans under forbearance measures may include loans in arrears less than 90 days.

The evidence considered by the Bank in determining whether there is objective evidence of impairment is set out in note 2.2.12.

'Default exposures', in line with the regulatory definition of default as adopted by the Bank, include material exposures that are past due more than 90 days, exposures that are assessed by Bank as unlikely to pay as well as those that are assessed for impairment individually and carry an individual impairment allowance. As at 31 December 2017, the Bank's default exposures amounted to € 16,682 million (2016: € 18,326 million).

'Non-performing exposures' as currently monitored and reported by the Bank, in line with the guidelines set by the European Banking Authority (EBA Implementing Technical Standards), include material exposures that are in arrears for more than 90 days or assessed as unlikely to pay, impaired exposures under individual or collective impairment assessment exposures categorized as defaulted for regulatory purposes, as well as forborne non performing exposures. As at 31 December 2017, the Bank's non-performing exposures amounted to € 18,099 million (2016: € 20,510 million). Correspondingly, 'Performing exposures' include exposures without arrears, those that are less than 90 days past due or are not assessed as unlikely to pay, non-impaired and non-defaulted exposures. As at 31 December 2017, the Bank's performing exposures amounted to € 21,784 million (31 December 2016: € 21,702 million).

'Unlikely to pay' category refers to exposures where a borrower's ability to repay his credit obligations in full without realization of collateral is assessed as unlikely, regardless the existence of any past due amounts or the number of days past due.

The following tables present the total gross amount, representing the maximum exposure to credit risk gross of impairment allowance, of loans and advances that are classified as non-impaired (i.e. 'neither past due nor impaired' and 'past due but not impaired') and those classified as impaired. They also present the total impairment allowance recognized in respect of all loans and advances, analyzed into individually or collectively assessed, based on how the respective impairment allowance has been determined, the total net amount, as well as the value of collateral held to mitigate credit risk.

For credit risk management purposes, the Public Sector, which includes exposures to the central government, local authorities, state-linked companies and entities controlled and fully or partially owned by the state, is incorporated in wholesale lending.

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In addition, the value of collateral presented in the tables below is capped to the respective gross loan amount.

	31 December 2017								
	Non impaired		Impaired		Impairment allowance				
	Neither past								
	due nor	Past due but	Individually	Collectively	Total gross	Individually	Collectively	Total net	Value of
	impaired	not impaired	assessed	assessed	amount	assessed	assessed	amount	collateral
	€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million
Retail Lending	10,587	2,646	198	12,399	25,830	(98)	(5,909)	19,823	15,523
- Mortgage	7,391	1,756	145	6,006	15,298	(78)	(2,133)	13,087	11,847
- Consumer	916	270	-	2,003	3,189	-	(1,607)	1,582	128
- Credit card	547	41	-	435	1,023	-	(313)	710	34
- Small business	1,733	579	53	3,955	6,320	(20)	(1,856)	4,444	3,514
Wholesale Lending	7,205	761	5,502	-	13,468	(2,792)	(209)	10,467	6,098
- Large corporate	5,667	676	2,456	-	8,799	(1,323)	(133)	7,343	3,816
- SMEs	1,538	85	3,046	-	4,669	(1,469)	(76)	3,124	2,282
Public Sector	585	-	0	-	585	(0)	(9)	576	4
- Greece	585	-	0	-	585	(0)	(9)	572	4
Total	18,377	3,407	5,700	12,399	39,883	(2,890)	(6,127)	30,866	21,625

	31 December 2016								
	Non impaired		Impaired		Impairment allowance				Value of collateral
	Neither past		Individually assessed	Collectively assessed	Total gross amount	Individually assessed	Collectively assessed	Total net amount	
	due nor impaired	Past due but not impaired							
	€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million	
Retail Lending	11,107	2,484	227	13,702	27,520	(88)	(6,506)	20,926	16,218
- Mortgage	8,014	1,726	187	6,171	16,098	(72)	(2,080)	13,946	12,430
- Consumer	948	276	-	2,687	3,911	-	(2,164)	1,747	120
- Credit card	538	43	-	567	1,148	-	(408)	740	32
- Small business	1,607	439	40	4,277	6,363	(16)	(1,854)	4,493	3,636
Wholesale Lending	6,839	714	6,581	-	14,134	(3,577)	(125)	10,432	6,195
- Large corporate	5,369	575	2,811	-	8,755	(1,636)	(74)	7,045	3,570
- SMEs	1,470	139	3,770	-	5,379	(1,941)	(51)	3,387	2,625
Public Sector	558	-	0	-	558	(0)	(8)	550	4
- Greece	558	-	0	-	558	(0)	(8)	550	4
Total	18,504	3,198	6,808	13,702	42,212	(3,665)	(6,639)	31,908	22,417

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Loans and advances neither past due nor impaired

The Bank's internal rating systems monitor individually significant exposures based on a variety of quantitative and qualitative factors. For exposures classified as neither past due nor impaired, loans to wholesale customers are segregated into strong, satisfactory and watch list categories, while small business and mortgage loans that are assessed individually are generally segregated into satisfactory and watch list. The rest of the retail exposures that are not assessed individually, the credit quality of which is not rated but is based on their delinquency status, are classified as satisfactory.

The following tables present the risk classification of loans and advances that are neither past due nor impaired:

31 December 2017					
	Strong	Satisfactory	Watch list	Total neither	Value
	€ million	(risk)	(higher risk)	past due nor	of
	€ million	€ million	€ million	impaired	collateral
	€ million	€ million	€ million	€ million	€ million
Retail Lending	-	10,587	-	10,587	7,425
- Mortgage	-	7,391	-	7,391	6,280
- Consumer	-	916	-	916	-
- Credit card	-	547	-	547	-
- Small business	-	1,733	-	1,733	1,145
Wholesale Lending	5,489	1,500	216	7,205	3,157
- Large corporate	4,426	1,104	137	5,667	2,320
- SMEs	1,063	396	79	1,538	837
Public Sector	205	380	-	585	4
- Greece	205	380	-	585	4
Total	5,694	12,467	216	18,377	10,586

31 December 2016					
	Strong	Satisfactory	Watch list	Total neither	Value
	€ million	(risk)	(higher risk)	past due nor	of
	€ million	€ million	€ million	impaired	collateral
	€ million	€ million	€ million	€ million	€ million
Retail Lending	-	11,107	-	11,107	7,899
- Mortgage	-	8,014	-	8,014	6,835
- Consumer	-	948	-	948	-
- Credit card	-	538	-	538	-
- Small business	-	1,607	-	1,607	1,064
Wholesale Lending	5,304	1,406	129	6,839	3,046
- Large corporate	4,403	872	94	5,369	2,220
- SMEs	901	534	35	1,470	826
Public Sector	436	122	-	558	4
- Greece	436	122	-	558	4
Total	5,740	12,635	129	18,504	10,949

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Loans and advances past due but not impaired

The following tables present the ageing analysis of past due but not impaired loans and advances by product line at their gross amounts before any impairment allowance:

31 December 2017							
Retail lending				Wholesale lending		Public sector	Total
Mortgage	Consumer	Credit card	Small business	Large corporate	SMEs	Greece	past due but not impaired
€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million
up to 29 days	1,411	235	31	475	564	39	2,755
30 to 59 days	247	24	7	65	47	17	407
60 to 89 days	98	11	3	39	65	29	245
Total	1,756	270	41	579	676	85	3,407
Value of collateral	1,427	-	-	353	448	63	2,291

31 December 2016							
Retail lending				Wholesale lending		Public sector	Total
Mortgage	Consumer	Credit card	Small business	Large corporate	SMEs	Greece	past due but not impaired
€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million
up to 29 days	1,391	229	32	322	397	55	2,426
30 to 59 days	252	36	8	65	50	34	445
60 to 89 days	83	11	3	52	128	50	327
Total	1,726	276	43	439	575	139	3,198
Value of collateral	1,375	-	-	268	241	92	1,976

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Impaired loans and advances

The following tables present the movement of impaired loans and advances by product line:

	31 December 2017							
	Retail lending				Wholesale lending		Public sector	Total impaired
	Mortgage € million	Consumer € million	Credit card € million	Small business € million	Large corporate € million	SMEs € million	Greece € million	
Balance at 31 December 2016	6,358	2,687	567	4,317	2,811	3,770	0	20,510
Transfers among product lines	-	-	-	-	245	(245)	-	-
Balance at 1 January	6,358	2,687	567	4,317	3,056	3,525	0	20,510
Impaired exposures for the year	656	126	14	299	136	96	0	1,327
Transferred to non-impaired	(716)	(133)	(15)	(555)	(221)	(94)	-	(1,734)
Repayments	(83)	(61)	(15)	(44)	(104)	(97)	-	(404)
Amounts written off	(41)	(113)	(64)	(3)	(291)	(355)	-	(867)
Disposals	-	(546)	(62)	-	(68)	(24)	-	(700)
Foreign exchange differences and other movements	(23)	43	10	(6)	(52)	(5)	-	(33)
Balance at 31 December	6,151	2,003	435	4,008	2,456	3,046	0	18,099
Cumulative impairment allowance	(2,057)	(1,510)	(303)	(1,824)	(1,376)	(1,469)	(0)	(8,539)
Net balance at 31 December	4,094	493	132	2,184	1,080	1,577	0	9,560

	31 December 2016							
	Retail lending				Wholesale lending		Public sector	Total impaired
	Mortgage € million	Consumer € million	Credit card € million	Small business € million	Large corporate € million	SMEs € million	Greece € million	
Balance at 31 December 2015	5,468	2,576	589	4,212	4,803	2,155	-	19,803
Transfers among product lines	-	-	-	0	(1,774)	1,775	(0)	1
Balance at 1 January	5,468	2,576	589	4,212	3,029	3,930	(0)	19,804
Impaired exposures for the year	1,248	279	18	448	322	138	0	2,453
Transferred to non-impaired	(370)	(146)	(37)	(310)	(183)	(56)	-	(1,102)
Repayments	(26)	(22)	(3)	(50)	(54)	(57)	-	(212)
Amounts written off	(14)	(2)	(0)	(11)	(164)	(187)	-	(378)
Disposals	-	-	-	-	(150)	-	-	(150)
Foreign exchange differences and other movements	52	2	0	28	11	2	-	95
Balance at 31 December	6,358	2,687	567	4,317	2,811	3,770	0	20,510
Cumulative impairment allowance	(1,973)	(2,066)	(391)	(1,830)	(1,635)	(1,941)	(0)	(9,836)
Net balance at 31 December	4,385	621	176	2,487	1,176	1,829	0	10,674

Note: For 2016, the disposals have been adjusted to include gross balances of loans and advances (before impairment). The amounts written off have equally decreased.

The following tables present the ageing analysis of impaired loans and advances by product line at their amounts net of any impairment allowance, as well as the value of collaterals held to mitigate credit risk.

For legally denounced loans, the Bank ceases to monitor the delinquency status and therefore the respective balances have been included in the 'over 360 days' time band, with the exception of consumer exposures which continue to be monitored up to 360 days past due.

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	31 December 2017							Total impaired € million
	Retail lending				Wholesale lending		Public sector	
	Mortgage	Consumer	Credit card	Small business	Large corporate	SMEs	Greece	
	€ million	€ million	€ million	€ million	€ million	€ million	€ million	
up to 29 days	785	96	1	368	767	256	-	2,273
30 to 59 days	182	18	0	55	1	7	-	263
60 to 89 days	138	7	0	79	53	42	-	319
90 to 179 days	225	16	3	85	44	54	-	427
180 to 360 days	200	16	2	94	35	44	-	391
more than 360 days	2,564	340	126	1,503	180	1,174	-	5,887
Total	4,094	493	132	2,184	1,080	1,577	-	9,560
Value of collateral	4,140	128	34	2,016	1,048	1,382	-	8,748

	31 December 2016							
	Retail lending				Wholesale lending		Public sector	
	Mortgage	Consumer	Credit card	Small	Large	SMEs	Greece	Total
	€ million	€ million	€ million	business	corporate	€ million	€ million	impaired
				€ million	€ million			€ million
up to 29 days	1,186	163	3	675	714	460	-	3,201
30 to 59 days	194	30	0	76	3	5	-	308
60 to 89 days	127	6	0	82	68	58	-	341
90 to 179 days	215	18	2	98	44	35	-	412
180 to 360 days	238	16	3	98	54	45	-	454
more than 360 days	2,425	388	168	1,458	293	1,226	-	5,958
Total	4,385	621	176	2,487	1,176	1,829	-	10,674
Value of collateral	4,220	120	32	2,304	1,109	1,707	-	9,492

(b) Collaterals and repossessed assetsCollaterals

The Loan-to-Value (LTV) ratio of the mortgage lending reflects the gross loan exposure at the balance sheet date over the market value of the property held as collateral.

The LTV ratio of the mortgage portfolio is presented below:

	2017 € million	2016 € million
Mortgages		
Less than 50%	3,248	3,250
50%-70%	2,021	2,119
71%-80%	1,012	1,084
81%-90%	921	985
91%-100%	900	961
101%-120%	1,676	1,765
121%-150%	2,071	2,214
Greater than 150%	3,449	3,720
Total exposure	15,298	16,098
 Average LTV	 101.39%	 103.38%

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The breakdown of collateral and guarantees is presented below:

	31 December 2017				
	Value of collateral received				Guarantees received € million
	Real Estate	Financial	Other	Total	
	€ million	€ million	€ million	€ million	
Retail Lending	15,054	245	224	15,523	162
Wholesale Lending ⁽¹⁾	2,937	101	3,060	6,098	179
Public sector	2	2	-	4	1
Total	17,993	348	3,284	21,625	342

	31 December 2016				
	Value of collateral received				Guarantees received € million
	Real Estate	Financial	Other	Total	
	€ million	€ million	€ million	€ million	
Retail Lending	15,822	188	208	16,218	138
Wholesale Lending ⁽¹⁾	3,019	129	3,047	6,195	170
Public sector	2	2	0	4	8
Total	18,843	319	3,255	22,417	316

⁽¹⁾ Other collaterals include assigned receivables, equipment, inventories, vessels, etc.

Reposessed assets

The Bank recognizes collateral assets on the balance sheet by taking possession usually through legal processes or by calling upon other credit enhancements. The main type of collateral that the Bank repossesses against repayment or reduction of the outstanding loan is real estate, which is recognized within reposessed assets and carried at the lower of cost or net realizable value (see also notes 2.2.17 and 28). In cases where the Bank makes use of reposessed properties as part of its operations, they are classified as own-used or investment properties, as appropriate (notes 2.2.6, 25 and 26).

The following tables present a summary of collaterals that the Bank took possession, and were recognized as reposessed assets, as well as the net gains/ (losses) arising from the sale of such assets in the year:

	31 December 2017						
	Of which:			Of which:			Net gain/ (loss) on sale € million
	Gross amount	added this year	Accumulated impairment	arising this year	Net amount	Net Sale Price	
	€ million	€ million	€ million	€ million	€ million	€ million	
Real estate auction items	359	30	(97)	(10)	262	20	(2)
- Residential	237	12	(65)	(5)	172	17	(2)
- Commercial	122	18	(32)	(5)	90	3	(0)

	31 December 2016						
	Of which:			Of which:			Net gain/ (loss) on sale € million
	Gross amount	added this year	Accumulated impairment	arising this year	Net amount	Net Sale Price	
	€ million	€ million	€ million	€ million	€ million	€ million	
Real estate auction items	360	3	(88)	(4)	272	19	(3)
- Residential	252	1	(61)	(4)	191	14	(2)
- Commercial	108	2	(27)	(0)	81	5	(1)

There are no properties classified as investment property or own used, as a result of repossession or transfer from reposessed properties categories in 2017 and 2016. In addition, in 2017 the Bank acquired reposessed securities amounting to € 20 million (2016: nil), which have been classified as available for sale investment securities.

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(c) Geographical and industry concentrations of loans and advances to customers

As described above in note 7.2.1, the Bank holds diversified portfolios across markets and countries and implements limits on concentrations arising from the geographical location or the activity of groups of borrowers that could be similarly affected by changes in economic or other conditions, in order to mitigate credit risk.

The following tables break down the Bank's exposure into loans and advances to customers at their gross amounts, impaired loans and advances and impairment allowance by product line, industry and geographical region:

31 December 2017									
	Greece			Rest of Europe			Other Countries		
	Gross amount	Out of which: impaired amount	Impairment allowance	Gross amount	Out of which: impaired amount	Impairment allowance	Gross amount	Out of which: impaired amount	Impairment allowance
	€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million
Retail Lending	25,830	12,597	(6,007)	-	-	-	-	-	-
-Mortgage	15,298	6,151	(2,211)	-	-	-	-	-	-
-Consumer	3,189	2,003	(1,607)	-	-	-	-	-	-
-Credit card	1,023	435	(313)	-	-	-	-	-	-
-Small business	6,320	4,008	(1,876)	-	-	-	-	-	-
Wholesale Lending	12,154	5,092	(2,690)	331	247	(177)	983	163	(134)
-Commerce and services	6,363	2,598	(1,511)	159	132	(90)	160	102	(95)
-Manufacturing	2,287	906	(452)	2	1	(0)	-	-	-
-Shipping	91	31	(18)	120	68	(61)	822	60	(39)
-Construction	1,912	1,036	(553)	41	37	(19)	1	1	(0)
-Tourism	1,305	510	(144)	-	-	-	-	-	-
-Energy	191	9	(11)	4	4	(4)	-	-	-
-Other	5	2	(1)	5	5	(3)	-	-	-
Public Sector	585	0	(9)	-	-	-	-	-	-
Total	38,569	17,689	(8,706)	331	247	(177)	983	163	(134)

31 December 2016									
	Greece			Rest of Europe			Other Countries		
	Gross amount	Out of which: impaired amount	Impairment allowance	Gross amount	Out of which: impaired amount	Impairment allowance	Gross amount	Out of which: impaired amount	Impairment allowance
	€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million
Retail Lending	27,520	13,929	(6,594)	-	-	-	-	-	-
-Mortgage	16,098	6,358	(2,152)	-	-	-	-	-	-
-Consumer	3,911	2,687	(2,164)	-	-	-	-	-	-
-Credit card	1,148	567	(408)	-	-	-	-	-	-
-Small business	6,363	4,317	(1,870)	-	-	-	-	-	-
Wholesale Lending	12,564	5,893	(3,171)	639	517	(402)	931	171	(129)
-Commerce and services	6,689	3,074	(1,941)	314	219	(177)	185	105	(98)
-Manufacturing	2,401	1,006	(485)	49	48	(47)	-	-	-
-Shipping	103	43	(18)	97	80	(63)	745	65	(31)
-Construction	1,780	1,117	(571)	164	155	(105)	1	1	(0)
-Tourism	1,306	643	(145)	-	-	-	-	-	-
-Energy	283	8	(10)	4	4	(4)	-	-	-
-Other	2	2	(1)	11	11	(6)	-	-	-
Public Sector	558	0	(8)	-	-	-	-	-	-
Total	40,642	19,822	(9,773)	639	517	(402)	931	171	(129)

(d) Forbearance practices on lending activities

Modifications of the loans' contractual terms may arise due to various factors, such as changes in market conditions, customer retention and other factors as well as due to the potential deterioration in the borrowers' financial condition. As a consequence of the macroeconomic environment in Greece, the Bank has employed a range of forbearance options in order to enhance the management of customer relationships and the effectiveness of collection efforts, as well as to improve the recoverability of cash flows and minimize credit losses for both retail and wholesale portfolios.

Forbearance practices' classification

Forbearance practices as monitored and reported by the Bank, based on the European Banking Authority Implementing Technical Standards (EBA ITS) guidelines, occur only in the cases where the contractual payment terms of a loan have been modified, as the borrower is considered unable to comply with the existing loan's terms due to apparent financial difficulties, and the Bank grants

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a concession by providing more favorable terms and conditions that it would not otherwise consider had the borrower not been in financial difficulties.

All other types of modifications granted by the Bank, where there is no apparent financial difficulty of the borrower and may be driven by factors of a business nature are not classified as forbearance measures.

Forborne loans are classified either as impaired or non-impaired by assessing their delinquency and credit quality status at the date when forbearance measures were granted as well as at each reporting date.

Impaired loans enter initially a probation period of one year where the borrowers' payment performance is closely monitored. If, at the end of the abovementioned period, the borrowers have complied with the terms of the program and there are no past due amounts and concerns regarding the loans' full repayment, the loans are then reported as non-impaired. In addition, non-impaired loans, including those that were previously classified as impaired and complied with the terms of the program, are monitored over a period of two years. If, at the end of that period, the borrowers have made regular payments of a significant amount, there are no past due amounts over 30 days and the loans are not impaired, the loans exit forborne status.

Particularly, the category of impaired loans includes those that (a) at the date when forbearance measures were granted, were more than 90 dpd or assessed as unlikely to pay, (b) at the end of the one year probation period met the criteria of entering the non impaired status and during the two years monitoring period new forbearance measures were extended or became more than 30 days past due, and (c) were initially classified as non impaired and during the two years monitoring period met the criteria for entering the impaired status.

Additionally, the non-impaired retail loans are classified as either 'neither past due nor impaired' or 'past due but not impaired' based on their delinquency status at the reporting date while for wholesale exposures' classification both the borrowers' rating and delinquency status are assessed.

Furthermore, forborne loans that fail to perform under the new modified terms and are subsequently denounced cease to be monitored as part of the Bank's forbearance activities and are reported as denounced impaired loans consistently with the Bank's management and monitoring of all denounced loans.

Forbearance programs

Forbearance programs are granted following an assessment of the borrower's ability and willingness to repay and can be of a short or longer term nature. The objective is to assist financially stressed borrowers by rearranging their repayment cash outflows into a sustainable modification, and at the same time, protect the Bank from suffering credit losses. The Bank deploys targeted segmentation strategies with the objective to tailor different short or long term and sustainable management solutions to selected groups of borrowers for addressing their specific financial needs.

The nature and type of forbearance options may include but is not necessarily limited to, one or more of the following:

- debt consolidations, whereby existing loan balances of the borrower are combined in a single loan;
- interest-only payments;
- grace period;
- capitalization of arrears whereby arrears are added to the principal balance;
- reduced payment plans;
- arrears repayment plan;
- loan term extensions;
- interest rate reduction;
- partial debt forgiveness;
- split balance (combination of forbearance options that mainly includes capitalization of arrears, loan term extensions and interest rate reduction); and
- debt to equity swaps.

Specifically for unsecured consumer loans (including credit cards), forbearance programs are applied mainly through debt consolidation whereby all existing consumer balances are pooled together. Debt consolidations are generally combined with other options (e.g. term extensions), to ensure a sufficient decrease on installment and a viable solution for the borrower. In selected cases, the debt consolidations may be combined with mortgage prenotations to convert unsecured lending exposures to secured ones.

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In the case of mortgage loans, a decrease of installment may be achieved through forbearance measures such as extended payment periods, capitalization of arrears, split balance and reduced payment plans.

Wholesale exposures are subject to forbearance when there are indications of financial difficulties of the borrower, evidenced by a combination of factors including the deterioration of financials, credit rating downgrade, payment delays and other.

The Troubled Assets Group General Division (TAG) is the independent body, which has the overall responsibility for the management of the Group's troubled assets portfolio, including forborne loans, in alignment with the Bank of Greece Executive Committee Act 42/30.05.2014 as amended by Act No. 47/9.2.2015 and Act No. 102/ 30.08.2016. TAG ensures tight control and close monitoring of the effectiveness of the forbearance schemes and the performance of the portfolios under management. TAG also warrants the continuous improvement and adjustment of policies and procedures, by performing quality assurance reviews and by assessing and taking into account the macroeconomic developments, the regulatory and legal requirements and changes, international best practices, and any existing or new internal requirements.

TAG cooperates with Risk Management to reach a mutual understanding and develop an appropriate methodology for the evaluation of the risks inherent in every type of modification and delinquency bucket, per portfolio. Further information regarding TAG's structure and main responsibilities are provided in notes 7.2 and 7.2.1.

Impairment assessment

Where forbearance measures are extended, the Bank performs an assessment of the borrower's financial condition and its ability to repay, under the Bank's impairment policies, as described in notes 2.2.12 and 7.2.1. Specifically, the retail loans are segregated from other loan portfolios and the collective impairment assessment reflects the risk of higher losses, resulting in higher provision charges/coverage relative to non-modified loans. The impairment assessment of the wholesale exposures is performed on an individual basis taking into consideration various risk aspects (such as borrower's rating, financial position, adherence to the forbearance program and level of collaterals) and the respective impairment charge is calculated.

Debt for equity swaps

In wholesale portfolios, the Bank on occasion participates in debt for equity transactions as part of the businesses support process, as described in note 2.2.12. In 2017, as part of debt for equity forbearance measures, the Bank acquired a shareholding of: (a) 100% of Standard Ktimatiki S.A. (note 24), (b) 41.67% of Alpha Investment Property Kefalariou S.A. (note 28), (c) 24.37% of Famar S.A (note 28), (d) 47.66% of the non voting preferred shares of ELTER S.A. for € 0.3 million, (e) 0.86% of FRIGOGLASS S.A.I.C. for € 0.03 million and (f) 18.02% of UNISOFT S.A. for € 27. Similarly, in 2016, the Bank acquired a minority shareholding of 2.79% of Selonda Aquaculture S.A., amounting to € 0.1 million related with the debt restructuring for DIAS Aquaculture S.A.

Loan restructurings

An existing loan whose terms have been modified may be derecognized and the forborne loan may be recognized as a new loan, when changes to the original contractual terms result in the forborne loan, being considered, as a whole, a substantially different financial asset. Examples of circumstances that will likely lead to de-recognition are described in note 2.2.12. Upon de-recognition, any difference between the old loan and the fair value of the new loan is recognized in the income statement. Impaired loans that are de-recognized as a result of forbearance measures continue to be classified as impaired until there is a sufficient evidence to demonstrate a significant reduction in the risk of non-payment of future cash flows and there are no other indicators of impairment.

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The following table presents a summary of the types of the Bank's forbore activities:

	2017 € million	2016 € million
Forbearance measures:		
Split balance	3,119	2,744
Loan term extension	2,645	1,831
Arrears capitalisation	581	732
Reduced payment below interest owed	585	1,657
Interest rate reduction	451	381
Reduced payment above interest owed	267	803
Arrears repayment plan	69	105
Interest only	50	111
Grace period	106	96
Debt/equity swaps	53	55
Partial debt forgiveness/write-down	33	34
Operational restructuring	5	5
Other	55	32
Total net amount	8,019	8,586

The following tables present a summary of the credit quality of forbore loans and advances to customers:

31 December 2017			
	Total loans & advances € million	Forborne loans & advances € million	% of Forborne loans and advances
Neither past due nor impaired	18,377	3,271	17.8
Past due but not impaired	3,407	1,439	42.2
Impaired	18,099	5,354	29.6
Total Gross Amount	39,883	10,064	25.2
Individual impairment allowance	(2,890)	(438)	15.2
Collective impairment allowance	(6,127)	(1,607)	26.2
Total Net amount	30,866	8,019	26.0
Collateral received	21,625	6,527	

31 December 2016			
	Total loans & advances € million	Forborne loans & advances € million	% of Forborne loans and advances
Neither past due nor impaired	18,504	3,164	17.1
Past due but not impaired	3,198	1,163	36.4
Impaired	20,510	6,304	30.7
Total Gross Amount	42,212	10,631	25.2
Individual impairment allowance	(3,665)	(500)	13.6
Collective impairment allowance	(6,639)	(1,545)	23.3
Total Net amount	31,908	8,586	26.9
Collateral received	22,417	6,355	

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The following table presents the movement of forborne loans and advances:

	2017 € million	2016 € million
Balance at 1 January	8,586	6,900
Forbearance measures in the year	1,027	2,127
Interest income	181	196
Repayment of loans (partial or total)	(344)	(188)
Loans & advances that exited forbearance status ⁽¹⁾	(1,054)	(106)
Impairment loss	(191)	(371)
Other	(186)	28
Net Balance at 31 December	8,019	8,586

⁽¹⁾ For 2017, an amount of € 561 million loans and advances that exited forbearance status refers to loans that were denounced

The following table presents the Bank's exposure to forborne loans and advances by product line:

	2017 € million	2016 € million
Retail Lending	6,664	7,368
- Mortgage	4,750	5,268
- Consumer	337	399
- Credit card	0	0
- Small business	1,577	1,701
Wholesale Lending	1,355	1,218
- Large corporate	813	460
- SMEs	542	758
Total net amount	8,019	8,586

The following table presents the Bank's exposure to forborne loans and advances by geographical region:

	2017 € million	2016 € million
Greece	7,944	8,488
Rest of Europe	28	52
Other countries	47	46
Total net amount	8,019	8,586

7.2.1.3 Debt Securities

The following tables present an analysis of debt securities by rating agency designation at 31 December 2017 and 2016, based on Moody's ratings or their equivalent:

	31 December 2017				Total € million
	Trading securities € million	Available- for-sale securities € million	Debt securities lending portfolio € million	Held-to- maturity securities € million	
Aaa	-	230	-	0	230
Aa1 to Aa3	-	742	362	45	1,149
A1 to A3	-	238	109	30	377
Lower than A3	11	3,556	1,153	33	4,753
Unrated	1	56	0	0	57
Total	12	4,822	1,624	108	6,566

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	31 December 2016				
	Trading securities € million	Available-for-sale securities € million	Debt securities lending portfolio € million	Held-to-maturity securities € million	Total € million
Aaa	-	68	-	0	68
Aa1 to Aa3	-	-	6,843	53	6,896
A1 to A3	-	34	113	32	179
Lower than A3 (restated, note 47)	5	2,557	1,192	41	3,795
Unrated	1	35	1	0	37
Total	6	2,694	8,149	126	10,975

Securities rated lower than A3 include: € 3,574 million related to Greek sovereign debt (2016: € 3,310 million), € 843 million related to Eurozone members sovereign debt (2016: € 123 million) and € 134 million related to sovereign debt issued mainly by European Union members and candidate members (2016: € 187 million).

The following tables present the Bank's exposure in debt securities, as categorized by counterparty's geographical region and industry sector:

	31 December 2017			
	Greece € million	Other European countries € million	Other countries € million	Total € million
Sovereign	3,574	2,541	16	6,131
Banks	30	79	-	109
Corporate	130	136	60	326
Total	3,734	2,756	76	6,566

	31 December 2016			
	Greece € million	Other European countries € million	Other countries € million	Total € million
Sovereign (restated, note 47)	3,310	7,343	14	10,667
Corporate	100	183	25	308
Total	3,410	7,526	39	10,975

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7.2.1.4 Offsetting of financial assets and financial liabilities

The disclosures set out in the tables below include financial assets and financial liabilities that:

- (a) are offset in the Bank's balance sheet according to IAS 32 'Financial Instruments: Presentation' criteria; or
- (b) are subject to enforceable master netting arrangements or similar agreements that cover similar financial instruments, irrespective of whether they are offset in balance sheet.

Regarding the former, financial assets and financial liabilities are offset and the net amount is reported in the balance sheet when, there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or realize the asset and settle the liability simultaneously (the offset criteria), as also set out in Bank's accounting policy 2.2.4.

Regarding the latter, the International Swaps and Derivatives Association (ISDA) and similar master netting arrangements do not meet the criteria for offsetting in the balance sheet, as they create a right of set-off that is enforceable only following an event of default, insolvency or bankruptcy of the Bank or the counterparties or following other predetermined events. In addition, the Bank and its counterparties may not intend to settle on a net basis or to realize the assets and settle the liabilities simultaneously.

Similar agreements to ISDA include derivative clearing agreements, global master repurchase agreements, and global master securities lending agreements. Similar financial instruments include derivatives, repos and reverse repos agreements and securities borrowing and lending agreements. Financial instruments such as loans and deposits are not subject to this disclosure unless they are offset in the balance sheet.

The following tables present financial assets and financial liabilities that meet the criteria for offsetting and thus are reported on a net basis in the balance sheet, as well as amounts that are subject to enforceable master netting arrangements and similar agreements for which the offset criteria mentioned above are not satisfied. The latter amounts, which mainly relate to derivatives, repos and reverse repos, are not set off in the balance sheet. In respect of these transactions, the Bank receives and provides collateral in the form of marketable securities and cash that are included in the tables below under columns 'financial instruments' and 'cash collateral' at their fair value.

31 December 2017						
	Gross amounts of recognised financial liabilities offset in the balance sheet		Net amounts of financial assets presented in the balance sheet	Related amounts not offset in the BS		
				Financial instruments (incl. non-cash collateral)	Cash collateral received	Net amount
	€ million	€ million	€ million	€ million	€ million	€ million
Financial Assets						
Reverse repos with banks	281	(235)	46	(46)	-	-
Derivative financial instruments	1,878	-	1,878	(1,747)	(7)	124
Total	2,159	(235)	1,924	(1,793)	(7)	124

31 December 2017						
	Gross amounts of recognised financial assets offset in the balance sheet		Net amounts of financial liabilities presented in the balance sheet	Related amounts not offset in the BS		
				Financial instruments (incl. non-cash collateral)	Cash collateral pledged	Net amount
	€ million	€ million	€ million	€ million	€ million	€ million
Financial Liabilities						
Derivative financial instruments	1,849	-	1,849	(566)	(1,274)	9
Repurchase agreements with banks	5,903	(235)	5,668	(5,668)	-	-
Repurchase agreements with customers	53	-	53	(53)	-	-
Total	7,805	(235)	7,570	(6,287)	(1,274)	9

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31 December 2016					
Related amounts not offset in the BS					
Gross amounts of recognised financial assets € million	Gross amounts of recognised financial liabilities offset in the balance sheet € million	Net amounts of financial assets presented in the balance sheet € million	Financial instruments (incl. non-cash collateral) € million	Cash collateral received € million	Net amount € million
Financial Assets					
Derivative financial instruments	1,960	-	1,960	(1,873)	75
Total	1,960	-	1,960	(1,873)	75

31 December 2016					
Related amounts not offset in the BS					
Gross amounts of recognised financial liabilities € million	Gross amounts of recognised financial assets offset in the balance sheet € million	Net amounts of financial liabilities presented in the balance sheet € million	Financial instruments (incl. non-cash collateral) € million	Cash collateral pledged € million	Net amount € million
Financial Liabilities					
Derivative financial instruments	2,443	-	2,443	(806)	8
Repurchase agreements with banks	10,007	-	10,007	(10,007)	-
Repurchase agreements with customers	53	-	53	(53)	-
Total	12,503	-	12,503	(10,866)	8

Financial assets and financial liabilities are disclosed in the above tables at their recognized amounts, either at fair value (derivative assets and liabilities) or amortized cost (all other financial instruments), depending on the type of financial instrument.

7.2.2 Market risk

The Bank takes on exposure to market risk, which is the risk of potential financial loss due to an adverse change in market variables. Changes in interest rates, foreign exchange rates, credit spreads, equity prices and other relevant factors, such as the implied volatilities of the above, can affect the Bank's income or the fair value of its financial instruments. Specifically, the market risks the Bank is exposed to are the following:

(a) Interest rate risk

The Bank takes on exposure to the effects of fluctuations in the prevailing levels of market interest rates on its cash flows and the fair value of its financial positions. Cash flow interest rate risk is the risk that the future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Fair value interest rate risk is the risk that the value of a financial instrument will fluctuate because of changes in market interest rates. Fair value interest rate risk is further split into 'General' and 'Specific'. The former refers to changes in the fair valuation of positions due to the movements of benchmark interest rates, while the latter refers to changes in the fair valuation of positions due to the movements of specific issuer yields and credit spreads.

(b) Currency risk

The Bank takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows.

(c) Equity risk

Equity price risk is the risk of the decrease of fair values as a result of changes in the levels of equity indices and the value of individual stocks. The equity risk that the Bank undertakes arises mainly from the investment portfolio.

(d) Implied volatilities

The Bank carries limited implied volatility (vega) risk, mainly as a result of proprietary swaption positions.

The Board's Risk Committee sets limits on the level of exposure to market risks, which are monitored on a regular basis.

Market risk is managed and monitored using Value at Risk (VaR) methodology.

Notes to the Financial Statements

(i) VaR summary for 2017 and 2016

VaR is a methodology used in measuring financial risk by estimating the potential negative change in the market value of a portfolio at a given confidence level and over a specified time horizon. The VaR that the Bank measures is an estimate based upon a 99% confidence level and a holding period of 1 day and the methodology used for the calculation is Monte Carlo simulation (full re-pricing).

The VaR models are designed to measure market risk in a normal market environment. It is assumed that any changes occurring in the risk factors affecting the normal market environment will follow a normal distribution.

Although VaR is an important tool for measuring market risk, the assumptions on which the model is based do give rise to certain limitations. Given this, actual outcomes are monitored regularly, via back testing process, to test the validity of the assumptions and the parameters used in the VaR calculation.

Since VaR constitutes an integral part of the Bank's market risk control regime, VaR limits have been established for all (trading and investment portfolios) operations and actual exposure is reviewed daily by management. However, the use of this approach does not prevent losses outside of these limits in the event of extraordinary market movements.

Average VaR by risk type (Trading and Investment portfolios ⁽¹⁾)-Greece

	2017 € million	2016 € million
Interest rate risk	17	18
Foreign Exchange Risk	0	0
Equities Risk	0	2
Total VaR	17	18

⁽¹⁾ Interest rate volatility applied to all portfolios. Credit spread volatility applied to Trading and Available-for-sale positions.

The aggregate VaR of the interest rate, foreign exchange and equities VaR benefits from diversification effects.

Interest Rate VaR takes into account the changes to the fair valuation of all the Bank's items that are attributable to movements in the interest rates. This includes loans and deposits (customers and interbank), Eurosystem funding and debt issued, as well as securities and derivatives held by the Bank. Despite the large relative size of the loan and deposit portfolio, Eurosystem funding and debt issued, its timing and amount matching, combined with the current level of interest rates, mean that the incremental contribution of these items to the Interest Rate VaR is not material. The largest portion of the Bank's Interest Rate VaR figures is attributable to the risk associated with interest rate sensitive securities and derivatives.

Interest rate exposure for the Bank's securities, derivatives portfolio and covered bonds can be analyzed into time bands as shown in the following tables:

	31 December 2017				
	Less than 1 month € million	1-3 months € million	3-12 months € million	1-5 years € million	More than 5 years € million
Financial instruments at fair value through profit or loss	-	-	-	4	6
Fixed coupon bonds	-	-	-	4	6
Investment securities	625	454	443	2,311	1,990
Fixed coupon bonds	389	380	428	2,311	1,990
Variable coupon bonds	236	74	15	-	-
Covered bonds	-	-	-	(500)	-
Fixed coupon covered bonds	-	-	-	(500)	-
Derivatives ⁽¹⁾	362	(639)	1,227	13	(990)

Notes to the Financial Statements

	31 December 2016				
	Less than 1	1-3	3-12	1-5 years	More than
	month	months	months	5 years	5 years
	€ million	€ million	€ million	€ million	€ million
Financial instruments at fair value through profit or loss	-	-	-	3	3
Fixed coupon bonds	-	-	-	3	3
Investment securities	413	971	7,132	806	1,514
Fixed coupon bonds	261	802	302	806	1,514
Variable coupon bonds	152	169	6,830	-	-
Derivatives ⁽¹⁾	512	(562)	879	(400)	(632)

⁽¹⁾ For linear interest rate derivatives, notional amounts are shown in the appropriate time band, aggregated across all currencies. For non-linear interest rate derivatives, delta equivalent notional amounts are shown in the appropriate time band, aggregated across all currencies.

(ii) Foreign exchange risk concentration

The following table presents the Bank's exposure to foreign currency exchange risk as at 31 December 2017 and 2016:

	31 December 2017						
	USD	CHF	RON	RSD	BGN	OTHER	EUR
	€ million	€ million	€ million	€ million	€ million	€ million	€ million
ASSETS							
Cash and balances with central banks	5	0	-	-	-	3	364
Due from credit institutions	178	171	12	0	1	37	2,468
Derivative financial instruments	9	2	-	-	0	0	1,873
Loans and advances to customers	991	3,386	-	-	-	23	26,466
Investment securities	138	-	-	0	-	2	6,476
Other assets ⁽¹⁾	59	1	-	221	192	37	8,135
Assets classified as held for sale	-	-	209	-	-	-	(11)
Total Assets	1,380	3,560	221	221	193	102	45,771
LIABILITIES							
Due to central banks and credit institutions	840	1	0	0	0	18	16,303
Derivative financial instruments	10	0	0	-	-	1	1,839
Due to Customers	1,248	31	1	0	0	106	23,629
Debt securities in issue	0	-	-	-	-	-	503
Other Liabilities	6	0	-	-	-	2	468
Total Liabilities	2,104	32	1	0	0	127	45,006
Net on balance sheet position	(724)	3,528	220	221	193	(25)	6,442
Derivative forward foreign exchange position	807	(3,520)	(305)	-	(432)	67	3,350
Total Foreign Exchange Position	83	8	(85)	221	(239)	42	6,409

Notes to the Financial Statements

	31 December 2016							
	USD	CHF	RON	RSD	BGN	OTHER	EUR	Total
	€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million
ASSETS								
Cash and balances with central banks	6	1	-	-	-	3	361	371
Due from credit institutions	233	147	21	0	1	41	3,047	3,490
Derivative financial instruments	13	2	0	-	-	0	1,970	1,985
Loans and advances to customers	914	3,864	0	-	0	29	27,101	31,908
Investment securities (restated, note 47)	129	0	1	0	-	2	10,934	11,066
Other assets ⁽¹⁾ (restated, note 47)	2	1	227	221	138	37	8,475	9,101
Total Assets	1,297	4,015	249	221	139	112	51,888	57,921
LIABILITIES								
Due to central banks and credit institutions	990	2	0	0	0	8	23,995	24,995
Derivative financial instruments	21	0	(0)	-	0	0	2,427	2,448
Due to Customers	1,233	17	2	0	0	112	22,314	23,678
Debt securities in issue	0	-	-	-	-	-	60	60
Other Liabilities	12	0	-	-	-	0	516	528
Total Liabilities	2,256	19	2	0	0	120	49,312	51,709
Net on balance sheet position	(959)	3,996	247	221	139	(8)	2,576	6,212
Derivative forward foreign exchange position	962	(3,968)	(343)	-	(432)	44	3,727	(10)
Total Foreign Exchange Position	3	28	(96)	221	(293)	36	6,303	6,202

⁽¹⁾ Other assets include Shares in subsidiary undertakings, Property, plant and equipment, Investment property, Intangible assets, Deferred tax assets and Other assets.

7.2.3 Liquidity risk

The Bank is exposed to daily calls on its available cash resources due to deposits withdrawals, maturity of medium or long term notes, maturity of secured or unsecured funding (interbank repos and money market takings), loan draw-downs and forfeiture of guarantees. Furthermore, margin calls on secured funding transactions (with ECB and the market), on risk mitigation contracts (CSAs, GMRAs) and on centrally cleared transactions (CCPs) result in liquidity exposure. The Bank maintains cash resources to meet all of these needs. The Board Risk Committee sets liquidity limits to ensure that sufficient funds are available to meet such contingencies.

Past experience shows that liquidity requirements to support calls under guarantees and standby letters of credit are considerably less than the amount of the commitment. This is also the case with credit commitments where the outstanding contractual amount to extend credit does not necessarily represent future cash requirements, as many of these commitments will expire or terminate without being funded.

The matching and controlled mismatching of the maturities and interest rates of assets and liabilities is fundamental to the management of the Bank. It is unusual for banks to be completely matched, as transacted business is often of uncertain term and of different types. An unmatched position potentially enhances profitability, but also increases the risk of losses.

The maturities of assets and liabilities and the ability to replace, at an acceptable cost, interest bearing liabilities as they mature, are important factors in assessing the liquidity of the Bank.

Liquidity Risk Management Framework

The Bank's Liquidity Risk Management Policy defines the following supervisory and control structure:

- Board Risk Committee's role is to approve all strategic liquidity risk management decisions and monitor the quantitative and qualitative aspects of liquidity risk;
- Group Assets and Liabilities Committee has the mandate to form and implement the liquidity policies and guidelines in conformity with Bank's risk appetite, and to review at least monthly the overall liquidity position of the Bank;

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- Group Treasury is responsible for the implementation of the Bank's liquidity strategy, the daily management of the Bank's liquidity and for the preparation and monitoring of the Bank's liquidity budget; and
- Global Market and Counterparty Risk Sector is responsible for measuring, monitoring and reporting the liquidity of the Bank.

Additionally, as per BoG directive 50/08.09.2015, the Bank applies risk management policies, processes and controls regarding Asset Encumbrance. These policies, which are applicable in the specific Greek macro-economic environment, the Bank's business model and market conditions on wholesale funding, integrate the Bank's Asset Encumbrance strategies in its respective contingency funding plans.

The following list summarizes the main reports which are produced on a periodic basis:

- The regulatory liquidity gap report along with the regulatory liquidity ratios;
- Stress test scenarios. These scenarios evaluate the impact of a number of systemic stress events on the Bank's liquidity position;
- Report on market sensitivities affecting liquidity;
- Liquidity coverage ratios (LCR) estimation (Basel III new regulatory ratio); and
- Reporting on the Bank's Asset Encumbrance.

Maturity analysis of assets and assets held for managing liquidity risk

The following tables present maturity analysis of Bank assets as at 31 December 2017 and 2016, based on their carrying values. Loans without contractual maturities are presented in the 'less than 1 month' time bucket. The Bank has established credit risk mitigation contracts with its interbank counterparties (ISDA/CSA). Under these contracts the Bank has posted or received collateral, which covers the corresponding net liabilities or net assets from derivative transactions. The collateral posted is not presented in the below tables. For derivative assets not covered by ISDA/CSA agreements the positive valuation is presented at fair value in the 'over 1 year' time bucket.

	31 December 2017				
	Less than 1 month € million	1 - 3 months € million	3 months to 1 year € million	Over 1 year € million	Total € million
- Cash and balances with central banks	372	-	-	-	372
- Due from credit institutions	454	315	388	322	1,479
- Loans and advances to customers	2,659	308	1,718	26,181	30,866
- Debt Securities	389	479	405	5,293	6,566
- Equity Securities	-	-	-	63	63
- Derivative financial instruments	-	-	-	78	78
- Other assets ⁽¹⁾	72	10	9	8,541	8,632
- Assets classified as held for sale	-	-	-	198	198
Total	3,946	1,112	2,520	40,676	48,254

	31 December 2016				
	Less than 1 month € million	1 - 3 months € million	3 months to 1 year € million	Over 1 year € million	Total € million
- Cash and balances with central banks	371	-	-	-	371
- Due from credit institutions	586	170	187	710	1,653
- Loans and advances to customers	3,451	344	1,927	26,186	31,908
- Debt Securities (restated, note 47)	77	519	768	9,611	10,975
- Equity Securities	-	-	-	99	99
- Derivative financial instruments	-	-	-	103	103
- Other assets ⁽¹⁾ (restated, note 47)	3	5	21	9,064	9,093
Total	4,488	1,038	2,903	45,773	54,202

⁽¹⁾ Other assets include Shares in subsidiary undertakings, Property, plant and equipment, Investment property, Intangible assets, Deferred tax assets and Other assets.

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The Bank holds a diversified portfolio of cash and high liquid assets to support payment obligations and contingent deposit withdrawals in a stressed market environment. The Bank's assets held for managing liquidity risk comprise:

- (a) Cash and balances with central banks;
- (b) Eligible bonds and other financial assets for collateral purposes; and
- (c) Current accounts with banks and interbank placings maturing within one month.

Maturity analysis of liabilities

The amounts disclosed in the tables below are the contractual undiscounted cash flows for the years 2017 and 2016. Liabilities without contractual maturities (sight and saving deposits) are presented in the 'less than 1 month' time bucket. The Bank has established credit risk mitigation contracts with its interbank counterparties (ISDA/CSA). Due to these contracts the Bank has already posted collateral which covers the valuation of its net liabilities from interbank derivatives. For derivative liabilities not covered by ISDA/CSA agreements the negative valuation is presented at fair value in the 'less than 1 month' time bucket.

It should be noted that this table represents the worst case scenario since it is based on the assumption that all liabilities will be paid earlier than expected (all term deposits are withdrawn at their contractual maturity). The recent experience shows that even in a period of a systemic financial crisis the likelihood of such an event is remote.

31 December 2017					
	Less than 1 month € million	1 - 3 months € million	3 months to 1 year € million	Over 1 year € million	Gross nominal (inflow)/ outflow € million
Non-derivative liabilities:					
- Due to credit institutions	13,335	2,224	-	1,610	17,169
- Due to customers	18,401	2,920	3,688	21	25,030
- Debt securities in issue	-	-	14	536	550
- Other liabilities	56	92	327	-	475
	31,792	5,236	4,029	2,167	43,224
Derivative financial instruments:	9	-	-	-	9

Off-balance sheet items

	Less than 1 year € million	Over 1 year € million
Credit related commitments	537	948
Capital expenditure	26	-
Operating lease commitments	29	86
Total	592	1,034

31 December 2016					
	Less than 1 month € million	1 - 3 months € million	3 months to 1 year € million	Over 1 year € million	Gross nominal (inflow)/ outflow € million
Non-derivative liabilities:					
- Due to credit institutions	23,552	1,131	131	211	25,025
- Due to customers	17,369	3,190	3,144	7	23,710
- EMTNs	-	11	4	49	64
- Other liabilities	62	102	363	-	527
	40,983	4,434	3,642	267	49,326
Derivative financial instruments:	14	-	-	-	14

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Off-balance sheet items

	Less than 1 year € million	Over 1 year € million
Credit related commitments	597	841
Capital expenditure	21	-
Operating lease commitments	28	95
Total	646	936

The credibility of the Greek banking system was strengthened by the positive developments in the macroeconomic environment during 2017, as mentioned in note 2.1, improving the liquidity conditions of the Greek banks accordingly. In this context, deposits inflows along with the increased market repos on covered bonds and Greek Treasury bills, a € 500 million covered bond issue to international and domestic investors and the assets deleveraging, constituted the key factors for the significant decrease of the Bank's dependency from the Eurosystem by € 3.9 bn to € 10 bn at the end of December 2017, of which € 7.9 bn funding from ELA, (31 December 2016: € 13.9 bn, of which € 11.9 bn from ELA) and the elimination of its participation in the second stream of the Hellenic Republic liquidity support program (31 December 2016: € 2.5 bn) (note 4). Furthermore, the Bank replaced € 1.3 bn funding from ECB's main refinancing operations (MROs) with ECB's targeted longer-term refinancing operations (TLTROs). The Eurosystem funding further declined to € 7.1 bn on 28 February 2018, of which € 5.7 bn from ELA.

7.3 Fair value of financial assets and liabilities

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants in the principal (or most advantageous) market at the measurement date under current market conditions (i.e. an exit price). When a quoted price for an identical asset or liability is not observable, fair value is measured using another valuation technique that is appropriate in the circumstances, and maximizes the use of relevant observable inputs and minimizes the use of unobservable inputs. Observable inputs are developed using market data, such as publicly available information about actual events or transactions, and reflect assumptions that market participants would use when pricing financial instruments, such as quoted prices in active markets for similar instruments, interest rates and yield curves, implied volatilities and credit spreads.

The Bank's financial instruments carried at fair value or at amortized cost for which fair value is disclosed are categorized into the three levels of the fair value hierarchy based on whether the inputs to the fair values are observable or unobservable, as follows:

- Level 1-Financial instruments measured based on quoted prices (unadjusted) in active markets for identical financial instruments that the Bank can access at the measurement date. A market is considered active when quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency and represent actually and regularly occurring transactions. Level 1 financial instruments include actively quoted debt instruments, held or issued by the Bank, equity and derivative instruments traded on exchanges, as well as mutual funds that have regularly and frequently published quotes.
- Level 2-Financial instruments measured using valuation techniques with inputs, other than level 1 quoted prices, that are observable either directly or indirectly, such as: i) quoted prices for similar financial instruments in active markets, ii) quoted prices for identical or similar financial instruments in markets that are not active, iii) inputs other than quoted prices that are directly or indirectly observable, mainly interest rates and yield curves observable at commonly quoted intervals, forward exchange rates, equity prices, credit spreads and implied volatilities obtained from internationally recognized market data providers and iv) other unobservable inputs which are insignificant to the entire fair value measurement. Level 2 financial instruments include over-the-counter (OTC) derivatives and less liquid debt instruments held or issued by the Bank.
- Level 3-Financial instruments measured using valuation techniques with significant unobservable inputs. When developing unobservable inputs, best information available is used, including own data, while at the same time market participants' assumptions are reflected (e.g. assumptions about risk). Level 3 financial instruments include unquoted equities or equities traded in markets that are not considered active, certain OTC derivatives and loans and advances to customers.

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Financial instruments carried at fair value

The fair value hierarchy categorization of the Bank's financial assets and liabilities carried at fair value is presented in the following tables:

	31 December 2017			
	Level 1	Level 2	Level 3	Total
	€ million	€ million	€ million	€ million
Financial instruments held for trading	11	1	1	13
Derivative financial instruments	0	1,883	1	1,884
Available-for-sale investment securities	4,847	0	37	4,884
Financial assets measured at fair value	4,858	1,884	39	6,781

Derivative financial instruments	0	1,850	-	1,850
Due to customers:				
- Structured deposits	-	4	-	4
Financial liabilities measured at fair value	-	1,854	-	1,854

	31 December 2016			
	Level 1	Level 2	Level 3	Total
	€ million	€ million	€ million	€ million
Financial instruments held for trading	6	1	1	8
Derivative financial instruments	0	1,983	2	1,985
Available-for-sale investment securities	2,746	0	45	2,791
Financial assets measured at fair value	2,752	1,984	48	4,784

Derivative financial instruments	0	2,448	-	2,448
Due to customers:				
- Structured deposits	-	4	-	4
Trading liabilities	3	-	-	3
Financial liabilities measured at fair value	3	2,452	-	2,455

The Bank recognizes transfers into and out of the fair value hierarchy levels at the beginning of the quarter in which a financial instrument's transfer was effected. There were no transfers between Level 1 and 2 and vice versa, as well as, no changes in valuation techniques used, during the year ended 31 December 2017.

Reconciliation of Level 3 fair value measurements

	2017	2016
	€ million	€ million
Balance at 1 January	48	63
Transfers into Level 3	0	14
Transfers out of Level 3	(0)	(19)
Additions, net of disposals and redemptions	(1)	7
Total gain/(loss) for the year included in profit or loss	(1)	(9)
Total gain/(loss) for the year included in other comprehensive income	(6)	(9)
Foreign exchange differences and other	(1)	1
Balance at 31 December	39	48

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Bank's valuation processes and techniques

The Bank's processes and procedures governing the fair valuations are established by the Group Market Counterparty Risk Sector in line with the Bank's accounting policies. The Bank uses widely recognized valuation models for determining the fair value of common financial instruments that are not quoted in an active market, such as interest and cross currency swaps, that use only observable market data and require little management estimation and judgment. Specifically, observable prices or model inputs are usually available in the market for listed debt and equity securities, exchange-traded and simple over-the-counter derivatives. Availability of observable market prices and model inputs reduces the need for management judgment and estimation and also reduces the uncertainty associated with determining fair values.

Where valuation techniques are used to determine the fair values of financial instruments that are not quoted in an active market, they are validated against historical data and, where possible, against current or recent observed transactions in different instruments, and periodically reviewed by qualified personnel independent of the personnel that created them. All models are certified before they are used and models are calibrated to ensure that outputs reflect actual data and comparative market prices. Fair values estimates obtained from models are adjusted for any other factors, such as liquidity risk or model uncertainties, to the extent that market participants would take them into account in pricing the instrument. Fair values also reflect the credit risk of the instrument and include adjustments to take account of the credit risk of the Bank and the counterparty, where appropriate.

Valuation controls applied by the Bank may include verification of observable pricing, re-performance of model valuations, review and approval process for new models and/or changes to models, calibration and back-testing against observable market transactions, where available, analysis of significant valuation movements, etc. Where third parties' valuations are used for fair value measurement, these are reviewed in order to ensure compliance with the requirements of IFRS 13.

OTC derivative financial instruments are fair valued by discounting expected cash flows using market interest rates at the measurement date. Counterparty credit risk adjustments and own credit risk adjustments are applied to OTC derivatives, where appropriate. Bilateral credit risk adjustments consider the expected cash flows between the Bank and its counterparties under the relevant terms of the derivative instruments and the effect of the credit risk on the valuation of these cash flows. As appropriate in circumstances, the Bank considers also the effect of any credit risk mitigating arrangements, including collateral agreements and master netting agreements on the calculation of credit risk valuation adjustments (CVAs). CVA calculation uses probabilities of default (PDs) based on observable market data as credit default swaps (CDS) spreads, where appropriate, or based on internal rating models. The Bank applies similar methodology for the calculation of debit-value-adjustments (DVAs), when applicable. Where valuation techniques are based on internal rating models and the relevant CVA is significant to the entire fair value measurement, such derivative instruments are categorized as Level 3 in the fair value hierarchy. A reasonably possible change in the main unobservable input (i.e. the recovery rate), used in their valuation, would not have a significant effect on their fair value measurement.

The Bank determines fair values for debt securities held using quoted market prices in active markets for securities with similar credit risk, maturity and yield, quoted market prices in non active markets for identical or similar financial instruments, or using discounted cash flows method.

For debt securities issued by the Bank and designated at FVTPL, fair values are determined by discounting the expected cash flows at a risk-adjusted rate, where the Bank's own credit risk is determined using inputs indirectly observable, i.e. quoted prices of similar securities issued by the Bank or other Greek issuers.

Unquoted available-for-sale equity instruments are estimated mainly (i) using third parties' valuation reports based on investees' net assets, where management does not perform any further significant adjustments, and (ii) net assets' valuations, adjusted where considered necessary.

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Financial instruments not carried at fair value

The fair value hierarchy categorization of the Bank's financial assets and liabilities not carried at fair value on the balance sheet is presented in the following tables:

31 December 2017					
	Level 1	Level 2	Level 3	Fair value	Carrying amount
	€ million	€ million	€ million	€ million	€ million
Loans and advances to customers	-	-	30,720	30,720	30,866
Investment securities					
- Debt securities lending portfolio	200	894	-	1,094	1,624
- Held to maturity securities	-	103	-	103	108
Financial assets not carried at fair value	200	997	30,720	31,917	32,598
Debt securities in issue held by third party investors	501	-	-	501	497
Financial liabilities not carried at fair value	501	-	-	501	497

31 December 2016					
	Level 1	Level 2	Level 3	Fair value	Carrying amount
	€ million	€ million	€ million	€ million	€ million
Loans and advances to customers	-	-	31,970	31,970	31,908
Investment securities					
- Debt securities lending portfolio (restated, note 47)	221	7,402	-	7,623	8,149
- Held to maturity securities	-	117	-	117	126
Financial assets not carried at fair value	221	7,519	31,970	39,710	40,183
Debt securities in issue held by third party investors	-	36	-	36	43
Financial liabilities not carried at fair value	-	36	-	36	43

The assumptions and methodologies underlying the calculation of fair values of financial instruments not carried at fair value are in line with those used to calculate the fair values for financial instruments carried at fair value. Particularly:

- Loans and advances to customers: for loans and advances to customers quoted market prices are not available as there are no active markets where these instruments are traded. The fair values are estimated by discounting future expected cash flows over the time period they are expected to be recovered, using appropriate risk-adjusted rates. Loans are grouped into homogenous assets with similar characteristics, as monitored by Management, such as product, borrower type and delinquency status, in order to improve the accuracy of the estimated valuation outputs. In estimating future cash flows, the Bank makes assumptions on expected prepayments, product spreads and timing of collateral realization. The discount rates incorporate inputs for expected credit losses and interest rates, as appropriate;
- Investment securities carried at amortized cost: the fair values of financial investments are determined using prices quoted in an active market when these are available. In other cases, fair values are determined using quoted market prices for securities with similar credit risk, maturity and yield, quoted market prices in non active markets for identical or similar financial instruments, or by using the discounted cash flows method; and
- Debt securities in issue: the fair values of the debt securities in issue are determined using quoted market prices, if available. If quoted prices are not available, fair values are determined based on quotes for similar debt securities or by discounting the expected cash flows at a risk-adjusted rate, where the Bank's own credit risk is determined using inputs indirectly observable, i.e. quoted prices of similar securities issued by the Bank or other Greek issuers.

For other financial instruments which are short term or re-price at frequent intervals (cash and balances with central banks, due from credit institutions, due to central banks, due to credit institutions and due to customers), the carrying amounts represent reasonable approximations of fair values.

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8. Net interest income

	2017 € million	2016 € million
Interest income		
Customers	1,247	1,362
Banks	25	40
Securities ⁽¹⁾ (restated, note 47)	163	153
Derivatives	347	307
	1,782	1,862
Interest expense		
Customers	(120)	(129)
Banks	(238)	(340)
Debt securities in issue	(3)	(5)
Derivatives	(321)	(296)
	(682)	(770)
Total	1,100	1,092

⁽¹⁾ The interest income from trading securities included is immaterial for the year ended 31 December 2017 and 2016.

Interest Income recognized by quality of Loans and Advances and Product Line is further analyzed below:

	31 December 2017		
	Interest income on non-impaired loans and advances € million	Interest income on impaired loans and advances € million	Total € million
Retail lending	485	263	748
Wholesale lending ⁽¹⁾	359	140	499
Total interest income from customers	844	403	1,247

	31 December 2016		
	Interest income on non-impaired loans and advances € million	Interest income on impaired loans and advances € million	Total € million
Retail lending	538	306	844
Wholesale lending ⁽¹⁾	362	156	518
Total interest income from customers	900	462	1,362

⁽¹⁾ Including interest income on loans and advances to Public Sector

The unwinding of the discount of the impairment allowance (note 22) amounting to € 250 million (retail lending € 167 million and wholesale lending € 83 million) is included in interest income on impaired loans and advances to customers (2016: retail lending € 187 million and wholesale lending € 80 million).

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9. Net banking fee and commission income

	2017 € million	2016 € million
Lending related fees and commissions	72	88
Mutual funds and assets under management related fees	21	19
Capital markets related fees	8	8
Other fees ⁽¹⁾	26	(7)
Total	127	108

⁽¹⁾ For the year ended 31 December 2017, the increase of other fees is mainly attributed to the reduction of the Pillar 2 issues and the related fees

10. Dividend income

During the year, the Bank recognized dividend income mainly resulting from shares in subsidiaries amounting to € 132 million (2016: € 62 million).

The analysis of the aforementioned dividends per entity is as follows:

	2017 € million	2016 € million
ERB New Europe Holding B.V.	38	-
Eurobank Factors S.A.	30	-
Eurobank Private Bank Luxembourg S.A.	30	20
Eurobank Bulgaria A.D.	14	-
Eurolife ERB Insurance Group Holdings S.A.	8	34
Eurobank Fund Management Company (Luxembourg) S.A.	7	-
Grivalia Properties R.E.I.C.	4	6
Other (including AFS and trading portfolio)	1	2
Total	132	62

11. Net trading income and gains less losses from investment securities

	2017 € million	2016 € million
Debt securities and other financial instruments (note 23)	36	83
Equity securities (note 23)	30	38
Gains/(losses) on derivative financial instruments	54	(11)
Revaluation on foreign exchange positions	3	8
Total	123	118

12. Operating expenses

	2017 € million	2016 € million
Staff costs (note 13)	(399)	(386)
Administrative expenses	(143)	(164)
Contributions to resolution and deposit guarantee funds	(51)	(58)
Depreciation of property, plant and equipment	(22)	(24)
Amortisation of intangible assets	(16)	(14)
Operating lease rentals	(41)	(41)
Total	(672)	(687)

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Contributions to resolution and deposit guarantee funds

In 2016, the Single Resolution Mechanism (SRM), which is one of the pillars of the Banking Union in the euro area alongside the Single Supervisory Mechanism (SSM), became fully operational. The Single Resolution Fund (SRF) was established by the SRM Regulation (EU) No 806/2014 in order to ensure uniform practice in the financing of resolutions within the SRM and it is owned by the Single Resolution Board (SRB). The SRM provides that the SRF will be built up over a period of eight years with 'ex-ante' contributions from the banking industry, which may include irrevocable payment commitments up to 30% of the total amount of contributions (note 43).

13. Staff costs

	2017 € million	2016 € million
Wages, salaries and performance remuneration	(282)	(271)
Social security costs	(69)	(68)
Additional pension and other post employment costs	(11)	(11)
Other	(37)	(36)
Total	(399)	(386)

The average number of employees of the Bank during the year was 8,617 (2016: 8,882). As at 31 December 2017, the number of branches and business/private banking centers of the Bank amounted to 420.

14. Other impairments, restructuring costs and provisions

	2017 € million	2016 € million
Impairment losses and valuation losses on investment and repossessed properties	(19)	(16)
Other impairment losses and provisions ⁽¹⁾	(8)	(17)
Other impairment losses and provisions	(27)	(33)
Provision for the Voluntary Exit Scheme (note 34)	(5)	(39)
Other restructuring costs	(6)	(8)
Restructuring costs	(11)	(47)
Total	(38)	(80)

⁽¹⁾ Includes impairment losses on bonds, equity securities, other assets and provisions on litigations and other operational risk events.

For the year ended 31 December 2017, the Bank recognized € 19 million impairment and valuation losses on investment and repossessed properties, after considering the macroeconomic conditions and the persistent decline in real estate market prices in Greece.

As at 31 December 2017, the Bank has recognized restructuring expenses amounting to € 6 million, mainly relating to the rationalization of its branch network. As at 31 December 2016, the Bank has recognized restructuring expenses amounting to € 8 million associated with its Non-Performing Exposures management operations, the further rationalization of its branch network and the restructuring of its international activities.

As at 31 December 2017, restructuring costs included depreciation/write-offs of € 1 million (2016: € 2 million).

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15. Income tax and tax adjustments

	2017 € million	2016 € million
Current tax	(1)	(7)
Deferred tax (note 16)	36	28
Income tax	35	21
Tax adjustments	-	31
Total tax (charge)/income	35	52

According to Law 4172/2013 currently in force, the nominal Greek corporate tax rate is 29%. In addition, dividends distributed, other than intragroup dividends which under certain preconditions are relieved from both income and withholding tax, are subject to 15% withholding tax, according to Law 4387/2016 and Law 4389/2016 which increased the respective tax rate from 10% to 15% for dividend distributions as of 1 January 2017 and onwards. According to article 14 of Law 4472/2017, which amended Law 4172/2013, the Greek corporate tax rate for entities other than credit institutions, will decrease from 29% to 26% for the tax years starting from 1 January 2019 and onwards, subject to certain preconditions in the context of the Third Economic Adjustment Program of Greece.

During the year ended 31 December 2016, following a favorable court decision, the Bank has recognized a tax income of € 30.5 million for tax claims against the Greek State in relation to the one - off taxation of the Bank's non-taxed reserves which had been imposed by the Law 3513/2006.

The tax on the Bank's profit before tax differs from the theoretical amount that would arise using the applicable tax rates as follows:

	2017 € million	2016 € million
Profit/(loss) before tax (restated, note 47)	(24)	(42)
Tax at the applicable tax rate	7	12
Tax effect of:		
- income not subject to tax and non deductible expenses	38	16
- tax adjustments	-	31
- other	(10)	(7)
Total tax (charge)/income	35	52

Tax certificate and open tax years

For the year ended 31 December 2011 and onwards as the Law 4174/2013 (article 65A) currently stands (and as Law 2238/1994 previously provided in article 82), up to and including fiscal years starting before 1 January 2016, the Greek sociétés anonymes and limited liability companies whose annual financial statements are audited compulsorily, were required to obtain an 'Annual Tax Certificate', which is issued after a tax audit is performed by the same statutory auditor or audit firm that audits the annual financial statements. For fiscal years starting from 1 January 2016 and onwards, the 'Annual Tax Certificate' is optional, however the Bank will continue to obtain such certificate.

The Bank has been audited by tax authorities up to 2010 (included). Furthermore, the Bank has obtained by external auditors unqualified tax certificates for years 2011-2016. For the year ended 31 December 2017, the tax audit from external auditors is in progress. In addition, New TT Hellenic Postbank and New Proton Bank, which were merged with the Bank in 2013, have obtained by external auditors unqualified tax certificates with a matter of emphasis for their unaudited by tax authorities periods/tax years 18/1-30/6/2013 and 9/10/2011-31/12/2012, respectively, with regards to potential tax obligations resulting from their carve out. For both cases the Bank has formed adequate provisions.

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In accordance with the Greek tax legislation and the respective Ministerial Decisions issued, additional taxes and penalties may be imposed by the Greek tax authorities following a tax audit within the applicable statute of limitations (i.e. in principle five years as from the end of the fiscal year within which the relevant tax return should have been submitted), irrespective of whether an unqualified tax certificate has been obtained from the tax paying company. In light of the above, as a general rule, the right of the Greek State to impose taxes up to tax year 2011 (included) has been time-barred for the Bank.

16. Deferred income taxes

Deferred income taxes are calculated on all deductible temporary differences under the liability method as well as for unused tax losses at the rate in effect at the time the reversal is expected to take place.

The movement on deferred income tax is as follows:

	2017 € million	2016 € million
Balance at 1 January	4,902	4,902
Restatement (note 47)	-	(14)
Balance at 1 January , as restated	4,902	4,888
Income statement credit/(charge) (restated, note 47)	36	28
Available for sale investment securities	(85)	(11)
Cash flow hedges	(8)	(4)
Other	1	1
Balance at 31 December	4,846	4,902

Deferred income tax assets/ (liabilities) are attributable to the following items:

	2017 € million	2016 € million
PSI+ tax related losses	1,201	1,251
Loan impairment and accounting write-offs	3,005	3,134
Losses from disposals and crystallized write-offs of loans	239	8
Valuations through the income statement (restated, note 47)	312	325
Costs directly attributable to equity transactions	31	38
Unused tax losses	21	30
Cash flow hedges	17	25
Defined benefit obligations	13	12
Own used, investment and repossessed properties	(13)	(3)
Valuations directly to available-for-sale revaluation reserve	(84)	1
Other	104	81
Net deferred income tax	4,846	4,902

Deferred income tax (charge)/credit in the income statement is attributable to the following items:

Loan impairment, disposals and write-offs	102	313
Unused tax losses	(9)	(267)
Tax deductible PSI+ losses	(50)	(50)
Change in fair value and other temporary differences	(7)	32
Deferred income tax (charge)/credit	36	28

As at 31 December 2017, the Bank recognized net deferred tax assets amounting to € 4.8 bn as follows:

- € 1,201 million refer to losses resulted from the Bank's participation in PSI+ and the Greek's state debt buyback program which are subject to amortization (i.e. 1/30 of losses per year starting from year 2012 and onwards) for tax purposes;
- € 3,005 million refer to deductible temporary differences arising from loan impairment that can be utilized in future periods with no specified time limit and according to current tax legislation and to accounting debt write-offs according to the Law 4172/2013 as amended by Law 4465/2017 in March 2017;

Notes to the Financial Statements

- (c) € 239 million refer to the unamortized part of the crystallized tax loss arising from NPLs write-offs and disposals, which are subject to amortization (i.e. 1/20 of losses per year starting from year 2016 and onwards), according to Law 4172/2013 as amended by Law 4465/2017 in March 2017;
- (d) € 21 million refer to unused tax losses. The ability to utilize tax losses carried forward mainly expires in 2020;
- (e) € 31 million mainly refer to deductible temporary differences related to the (unamortized for tax purposes) costs directly attributable to Bank's share capital increases, subject to 10 years' amortization according to tax legislation in force at the year they have been incurred; and
- (f) € 349 million refer to other deductible temporary differences (i.e. valuation losses, provisions for pensions and other post-retirement benefits, etc.) the majority of which can be utilized in future periods with no specified time limit and according to the applicable tax legislation.

Assessment of the recoverability of deferred tax assets

The recognition of the above presented deferred tax assets is based on management's assessment, as at 31 December 2017, that the Bank will have sufficient future taxable profits, against which the unused tax losses, the deductible temporary differences, as well as the losses from PSI+ and the Greek state's debt buyback program can be utilized. The deferred tax assets are determined on the basis of the tax treatment of each deferred tax asset category, as provided by the applicable tax legislation, the eligibility of carried forward losses for offsetting with future taxable profits and the actual tax results for the year ended 31 December 2017. Additionally, the Bank's assessment on the recoverability of recognized deferred tax assets is based on (a) the future performance expectations (projections of operating results) and growth opportunities relevant for determining the expected future taxable profits, (b) the expected timing of reversal of the deductible and taxable temporary differences, (c) the probability that the Bank will have sufficient taxable profits in the future, in the same period as the reversal of the deductible and taxable temporary differences (i.e. profits/ losses on sale of investments or other assets, etc.) or in the years into which the tax losses can be carried forward, and (d) the historical levels of Bank's performance in combination with the previous years' tax losses caused by one off or non-recurring events.

For the year ended 31 December 2017 the Bank, has conducted a deferred tax asset (DTA) recoverability assessment based on its three-year Business Plan that was approved by the Board of Directors in January 2018 and provides outlook of its profitability and capital position for the period up to the end of 2020. The said Business Plan has also been submitted to the Hellenic Financial Stability Fund (HFSF) and to the Single Supervisory Mechanism (SSM).

For the years beyond 2020, the forecast of operating results was based on the management projections considering the growth opportunities of the Greek economy, the banking sector and the Bank itself.

The level of the abovementioned projections adopted in the Bank's Business Plan is mainly based on assumptions and estimates regarding (a) the further reduction of its funding cost driven by the gradual elimination of the Emergency Liquidity Assistance (ELA), the gradual repatriation of customer deposits replacing more expensive funding sources, and, the further decrease of the respective interest rates (b) the lower loan impairment losses as a result of the macroeconomic conditions in Greece that are expected to improve gradually and the strategic initiatives in line with the Non Performing Exposures (NPEs) strategy that the Bank has committed to the SSM regarding the effective management of its troubled assets' portfolio, (c) the effectiveness of the continuous cost containment initiatives, and (d) the gradual restoration of traditional commission income such as asset management and network fees and commissions relating with capital markets and investment banking activities.

The implementation of the abovementioned Business Plan largely depends on the risks and uncertainties that stem from the macroeconomic environment in Greece (note 2.1).

Legal framework for tax credit against the Greek State and tax regime for loan losses

According to article 27A of Law 4172/2013, which is applicable to Greek financial institutions, including leasing and factoring companies, deferred tax assets that have been recognized by the Bank due to (a) losses from the Private Sector Involvement (PSI) and the Greek State Debt Buyback Program, and (b) accumulated provisions and other losses in general due to credit risk (provisions and credit losses) which were accounted as at 30 June 2015, will be converted into directly enforceable claims (tax credit) against the Greek State, in accordance with the law provisions, provided that the Bank's after tax accounting result for the period, is a loss. For the year ended 31 December 2017, the Bank's after tax result amounted to a gain of € 11 million, while deferred tax assets eligible for conversion to tax credits amounted to € 3,952 million.

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According to article 43 of Law 4465/2017 (voted by the Greek Parliament in March 2017), which amended Law 4172/2013 with effect from 2016 onwards, the existing legislative framework regarding eligible DTAs/ deferred tax credits (DTCs) accounted for on the accumulated provisions and other losses in general due to credit risk (case (b) above) was revised and tax regime for loan losses was reformed. More specifically, the cumulative DTC will be calculated by applying the current corporate tax rate (on condition that this will not exceed the tax rate that was applicable for tax year 2015, i.e. 29%) on the sum of (i) the unamortized part of the crystallized loan losses from write-offs and disposals, (ii) the accounting debt write-offs and (iii) the remaining accumulated provisions recorded up to 30 June 2015.

The above tax reform provides for a gradual amortization over a twenty-year period of the crystallized tax loss arising from NPLs write-offs and disposals, maintaining the DTC status during all this period, while it disconnects the accounting write-offs from crystallized debt write-offs.

This aforementioned treatment (i.e. extension of the loan loss utilization for a longer period instead of an immediate one-off deduction subject to a five-year carry forward limitation period) safeguards the recovery of the deferred tax asset recorded on NPLs.

The new rules related to the method of calculating the DTC safeguard the Bank's regulatory capital structure, while they contribute substantially to the achievement of the NPEs reduction targets, through the acceleration of write-offs and disposals.

In May 2017, according to article 82 of Law 4472/2017, which further amended article 27A of Law 4172/2013, an annual fee of 1.5% is imposed on the excess amount of deferred tax assets guaranteed by the Greek State, stemming from the difference between the current tax rate (i.e. 29%) and the tax rate applicable on 30 June 2015 (i.e. 26%). For the year ended 31 December 2017, an amount of € 14 million has been recognized in "Other income/(expenses)" of which an amount of € 7 million refers to the respective fee for the year 2016.

17. Cash and balances with central banks

	2017 € million	2016 € million
Cash in hand	337	332
Balances with central banks	35	39
Total	372	371
of which:		
Mandatory and collateral deposits with central banks	13	26

Mandatory deposits with central banks include deposits of € 13 million (2016: € 26 million) with the Bank of Greece which represent the minimum level of average monthly deposits which the Bank is required to maintain; they can be withdrawn at any time provided the average monthly minimum deposits are maintained.

18. Cash and cash equivalents and other information on cash flow statement

For the purpose of the cash flow statement, cash and cash equivalents comprise the following balances with original maturities of three months or less:

	2017 € million	2016 € million
Cash and balances with central banks (excluding mandatory and collateral deposits with central banks)	359	345
Due from credit institutions	147	109
Total	506	454

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Other (income)/losses on investment securities presented in operating activities are analyzed as follows:

	2017 € million	2016 € million
Amortisation of premiums/discounts and accrued interest	(57)	(64)
(Gains)/losses from investment securities	(65)	(113)
Dividends	(1)	(2)
Total	(123)	(179)

For the year ended 31 December 2016, other adjustments on profit before income tax included the gain on the acquisition of the Alpha Bank's Branch in Bulgaria, amounting to € 55 million (note 24).

Changes in liabilities arising from financing activities

During the year ended 31 December 2017, changes in the Bank's liabilities arising from financing activities, ie debt securities in issue (note 33), are attributable to debt issued and repaid amounting to € 494 million and € 53 million, respectively. Non cash changes during the year included mainly accrued interest of € 2 million.

19. Due from credit institutions

	2017 € million	2016 € million
Pledged deposits with banks	2,757	3,202
Placements and other receivables from banks	9	234
Current accounts and settlement balances with banks	101	54
Total	2,867	3,490

Included in due from credit institutions were unsubordinated amounts due from:
-subsidiary undertakings

2017 € million	2016 € million
1,200	1,362

Included in due from credit institutions were subordinated amounts due from:
-subsidiary undertakings

2017 € million	2016 € million
-	160

The Bank's exposure arising from credit institutions, as categorized by counterparty's geographical region, is presented in the following table:

	2017 € million	2016 € million
Greece	9	23
Other European countries	2,806	3,420
Other countries	52	47
Total	2,867	3,490

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20. Derivative financial instruments and hedge accounting

The Bank uses derivative financial instruments both for hedging and non-hedging purposes.

The table below presents the fair values of the Bank's derivative financial instruments by product type and hedge relationship along with their notional amounts. The notional amounts of derivative instruments provide a basis for comparison with instruments recognized on the balance sheet but do not necessarily indicate the amounts of future cash flows involved or the current fair value of the instruments and, therefore, are not indicative of the Bank's exposure at the reporting date.

	31 December 2017			31 December 2016		
	Contract/ notional amount € million	Fair values		Contract/ notional amount € million	Fair values	
		Assets	Liabilities		Assets	Liabilities
		€ million	€ million		€ million	€ million
Derivatives that do not qualify for hedge accounting and held for trading						
- Interest rate swaps	16,475	1,736	1,279	16,801	1,763	1,519
- Interest rate options	3,502	32	87	3,225	52	113
- Cross currency interest rate swaps	686	16	30	1,043	50	128
- Currency forwards/currency swaps	2,735	17	11	2,327	19	20
- Currency options	1,211	13	9	465	2	3
- Commodity derivatives	88	4	4	126	7	7
- Warrants	3	0	-	1,381	3	-
- Credit default swaps	458	-	5	-	-	-
- Other (see below)	113	0	0	11	0	0
		1,818	1,425		1,896	1,790
Derivatives designated as fair value hedges						
Interest rate swaps	1,570	10	307	761	2	364
		10	307		2	364
Derivatives designated as cash flow hedges						
- Interest rate swaps	192	0	54	359	0	75
- Cross currency interest rate swaps	3,032	56	64	3,291	87	219
		56	118		87	294
Total derivatives assets/liabilities		1,884	1,850		1,985	2,448

Other derivative contracts include exchange traded interest and currency futures.

Information on the fair value measurement and offsetting of derivatives is provided in notes 7.3 and 7.2.1.4, respectively.

The Bank uses certain derivatives and other financial instruments, designated in a qualifying hedge relationship, to reduce its exposure to market risks. The hedging practices applied by the Bank, as well as the relevant accounting treatment are disclosed in note 2.2.3. In particular:

(a) Fair value hedges

The Bank hedges a proportion of its existing interest rate risk resulting from any potential change in the fair value of fixed rate debt securities held or fixed rate loans, denominated both in local and foreign currencies, using interest rate swaps. In 2017, the Bank recognized a gain of € 65 million (2016: € 37 million loss) from changes in the fair value of the hedging instruments and € 66 million loss (2016: € 37 million gain) from changes in the fair value of the hedged items attributable to the hedged risk.

(b) Cash flow hedges

The Bank hedges a proportion of its existing interest rate and foreign currency risk resulting from any cash flow variability on floating rate performing customer loans or deposits, denominated both in local and foreign currency, or unrecognized highly

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probable forecast transactions, using interest rate and cross currency interest rate swaps. In 2017, the ineffectiveness recognized in the income statement that arose from cash flow hedges was nil (2016: nil).

In addition, the Bank uses other derivatives, not designated in a qualifying hedge relationship, to manage its exposure primarily to interest rate and foreign currency risks. Non qualifying hedges are derivatives entered into as economic hedges of assets and liabilities for which hedge accounting was not applied. The said derivative instruments are monitored and have been classified for accounting purposes along with those held for trading.

The Bank's exposure in derivative financial instruments, as categorized by counterparty's geographical region and industry sector, is presented in the following table:

	31 December 2017			
	Greece	Other European countries	Other countries	Total
	€ million	€ million	€ million	€ million
Sovereign	1,197	-	-	1,197
Banks	0	535	79	614
Corporate	72	0	1	73
Total	1,269	535	80	1,884

	31 December 2016			
	Greece	Other European countries	Other countries	Total
	€ million	€ million	€ million	€ million
Sovereign	1,119	-	-	1,119
Banks	0	359	429	788
Corporate	78	0	0	78
Total	1,197	359	429	1,985

21. Loans and advances to customers

	2017 € million	2016 € million
Wholesale lending	14,053	14,692
Mortgage lending	15,298	16,098
Consumer lending	4,212	5,059
Small business lending	6,320	6,363
	39,883	42,212
Less: Impairment allowance (note 22)	(9,017)	(10,304)
Total	30,866	31,908

For the year ended 31 December 2017, gross loans have decreased by approximately € 0.5 bn, due to the depreciation of CHF and USD against Euro.

As of 30 September 2014, in accordance with IAS 39 'Financial Instruments: Recognition and Measurement', the Bank has elected to reclassify certain impaired corporate bond loans from the 'Available-for-sale' portfolio to 'Loans and advances to customers' portfolio that met the definition of loans and receivables and the Bank has the intention and ability to hold them for the foreseeable future or until maturity. The reclassifications were made with effect from 30 September 2014 at the loans' fair value of € 150 million (gross amount of € 550 million less fair value adjustment of € 400 million), which became their amortized cost at the reclassification date.

In addition, in December 2014 the Bank acquired a fully impaired bond loan of € 42 million, previously held by a subsidiary and guaranteed by the Bank itself. The said loan was presented within 'Loans and advances to customers' on a gross basis and

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therefore the gross balance of Loans and advances to customers and the impairment allowance have increased by the fair value adjustment of € 42 million.

As at 31 December 2017, the carrying amount of these loans is € 85 million which approximates their fair value. No amounts would have been recognized in the OCI had these financial assets not been reclassified.

Non-performing loans sale transactions

In November 2017 the Bank, in line with its NPE reduction plan, completed the sale of a non-performing unsecured consumer loan portfolio of total principal amount of € 1.5 bn to Intrum Hellas DAC (Intrum), a company controlled by Intrum Group for a cash consideration of € 35 million. The on balance sheet exposure amounted to € 608 million and carried an impairment allowance of € 584 million. Accordingly, the Bank recorded a gain of € 8.5 million, net of selling costs of € 2 million, in 'Other income/(expenses)' and its NPE ratio was reduced by ca 70 bps. The servicing of the portfolio has been assigned to Financial Planning Services S.A. (FPS).

In the second quarter of 2017, the Bank proceeded with the sale of wholesale Non Performing loan portfolios of € 75 million (€ 28 million, net of impairment allowance) to its subsidiary ERB New Europe Funding II B.V. The transaction had no effect in the Bank's income statement.

In the fourth quarter of 2016, following an international competitive process, the Bank reduced its exposure to Marfin Investment Group (MIG) through the sale of a corporate bond loan issued by MIG of € 150 million (€ 125 million, net of impairment allowance) to funds managed by Fortress Investment Group LLC. The disposal was P&L and capital neutral for the Bank.

Loans and advances to customers include finance lease receivables, as detailed below:

	2017 € million	2016 € million
Gross investment in finance leases receivable:		
Not later than 1 year	28	30
Later than 1 year and not later than 5 years	4	8
Later than 5 years	18	10
	50	48
Unearned future finance income on finance leases	(2)	(1)
Net investment in finance leases	48	47
Less: impairment allowance	(27)	(25)
Total	21	22
The net investment in finance leases is analysed as follows:		
Not later than 1 year	27	29
Later than 1 year and not later than 5 years	3	8
Later than 5 years	18	10
	48	47
Less: impairment allowance	(27)	(25)
Total	21	22

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22. Impairment allowance for loans and advances to customers

The movement of the impairment allowance for loans and advances to customers by product line is as follows:

	31 December 2017				
	Wholesale € million	Mortgage € million	Consumer € million	Small business € million	Total € million
Balance at 1 January	3,710	2,152	2,572	1,870	10,304
Impairment loss for the year ⁽¹⁾	140	221	189	97	647
Recoveries of amounts previously written off	0	-	4	0	4
Amounts written off/ sales ⁽²⁾	(722)	(45)	(761)	(10)	(1,538)
NPV unwinding	(83)	(59)	(37)	(71)	(250)
Foreign exchange differences and other movements	(35)	(58)	(47)	(10)	(150)
Balance at 31 December	3,010	2,211	1,920	1,876	9,017

	31 December 2016				
	Wholesale € million	Mortgage € million	Consumer € million	Small business € million	Total € million
Balance at 1 January	3,875	2,077	2,455	1,956	10,363
Impairment loss for the year ⁽¹⁾	285	175	202	34	696
Recoveries of amounts previously written off	0	0	2	0	2
Amounts written off/ sales ⁽²⁾	(373)	(21)	(4)	(26)	(424)
NPV unwinding	(80)	(58)	(52)	(77)	(267)
Foreign exchange differences and other movements	3	(21)	(31)	(17)	(66)
Balance at 31 December	3,710	2,152	2,572	1,870	10,304

⁽¹⁾ Impairment losses on loans and advances as presented in the income statement for the year ended 31 December 2017 include an amount of € 69 million, which has been provided against the Bank's placements to its banking subsidiaries 'Eurobank Private Bank Luxembourg S.A.' & 'Eurobank Cyprus Ltd.' that are pledged as collateral for the funding of other Bank's subsidiaries (2016: € 140 million which had been provided against the Bank's placements with its subsidiary "Eurobank Private Bank Luxembourg S.A.").

⁽²⁾ For the year ended 31 December 2017, an amount of € 584 million (2016: € 25 million) included relates to the non performing loans sale transactions (note 21).

The critical accounting estimates and judgments that are made by the Bank's Management in assessing the impairment losses on loans and advances to customers are evaluated constantly, particularly in circumstances of economic uncertainty, based on the latest available information and expectations of future events that are considered reasonable, as described in note 3.1.

23. Investment securities

	2017 € million	2016 € million
Available-for-sale investment securities	4,884	2,791
Debt securities lending portfolio (restated, note 47)	1,624	8,149
Held-to-maturity investment securities	108	126
Total	6,616	11,066

In 2008 and 2010, in accordance with the amendments to IAS 39 'Financial Instruments: Recognition and Measurement', the Bank reclassified eligible debt securities from the 'Available-for-sale' portfolio to 'Debt securities lending' portfolio carried at amortized cost. Interest on the reclassified securities continued to be recognized in interest income using the effective interest rate method. As at 31 December 2017, the carrying amount of the reclassified securities was € 884 million. Had the financial assets not been reclassified, changes in the fair value for the period from the reclassification date until 31 December 2017 would have resulted in € 327 million losses net of tax, which would have been recognized in the available-for-sale revaluation reserve.

During the year ended 31 December 2017, the Bank recognized € 65 million gains presented in line 'Gains less losses from investment securities', € 30 million of which resulted from the deleveraging of its equity investments portfolio and € 35 million from bonds' transactions.

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In the comparative period, a total gain of € 37 million was recognized following the completion of the acquisition of Visa Europe Ltd by Visa Inc. In addition, € 73 million gain was recorded due to the sale of EFSF bonds in accordance with the conditions applicable to the Public Sector Asset Purchase Program (PSPP).

Sale of European Financial Stability Facility (EFSF) notes

In the context of the European Stability Mechanism (ESM)/EFSF decision for the implementation of the short-term Greek debt relief measures and following the relevant Board of Directors (BoD) decision on 20 January 2017, the Bank, along with the other three systemic Greek banks, has entered into an agreement with the EFSF, the Hellenic Republic, the HFSF and the Bank of Greece on 16 March 2017 for the exchange of the EFSF floating rate notes, which had been used for the recapitalization of the Greek banking system. This agreement aims to reduce Greece's interest rate risk and smoothen its debt repayment profile. Particularly, the said EFSF notes will be exchanged at their book value with either cash or fixed rate ones with a longer maturity, which will be sold back, after a short holding period, to EFSF.

The implementation of the aforementioned agreement has been initiated in March 2017 through a series of separate monthly transactions, which will ultimately result in the sale of the Bank's EFSF floating rate notes at their book value.

In this context, during the year ended 31 December 2017, the Bank exchanged the entire position in floating rate EFSF notes of face value of € 6.6 bn, with fixed rate EFSF notes of equivalent face value. Up to 31 December 2017 and in January 2018, the exchanged fixed rate EFSF notes of face value of € 6.3 bn and € 0.3 bn respectively, were sold back to the EFSF with no effect in the Bank's income statement.

In January 2017, prior to the aforementioned BoD decision and in line with the relevant EFSF decision in April 2016 that allowed Greek banks to sell the said notes to the members of the Eurosystem in accordance with the conditions applicable to the Public Sector Asset Purchase Program (PSPP), the Bank proceeded with the sale of EFSF notes of face value of € 187 million, recognizing a gain of € 5 million in 'Gains less losses from investment securities'.

Greek Government bonds (GGBs) swap

On 15 November 2017, the Hellenic Republic, in the context of Liability Management, made an invitation to all holders of the GGBs issued under the PSI in 2012 with maturities ranging from 2023 to 2042 ("Designated Securities") to offer to exchange such securities for five new GGBs due in 2023, 2028, 2033, 2037 and 2042 ("Benchmark Notes"). The purpose of the invitation was to align the terms of the Hellenic Republic's outstanding debt with market standards for sovereign issuers in order to normalise its yield curve and provide the market with a limited series of benchmark notes, which are expected to have significantly greater liquidity than the designated ones.

Pursuant to the above invitation, in December 2017, the Bank offered for exchange GGBs of face value € 1.1 bn. The exchange was accounted for as a modification of the Designated Securities, as the terms of the Benchmark Notes were not considered to be substantially different than those of the Designated Securities.

23.1 Classification of investment securities by type

	31 December 2017			
	Available- for-sale securities € million	Debt securities lending portfolio € million	Held-to- maturity securities € million	Total € million
Debt securities				
- EFSF bonds	-	362	-	362
- Greek government bonds	1,557	964	-	2,521
- Greek government treasury bills	1,044	-	-	1,044
- Other government bonds	1,897	298	-	2,195
- Other issuers	324	0	108	432
	4,822	1,624	108	6,554
Equity securities	62	-	-	62
Total	4,884	1,624	108	6,616

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	31 December 2016			
	Available- -for-sale securities € million	Debt securities lending portfolio € million	Held-to- -maturity securities € million	Total € million
Debt securities				
- EFSF bonds	-	6,843	-	6,843
- Greek government bonds (restated, note 47)	1,039	984	-	2,023
- Greek government treasury bills	1,285	-	-	1,285
- Other government bonds	207	307	-	514
- Other issuers	163	15	126	304
	<u>2,694</u>	<u>8,149</u>	<u>126</u>	<u>10,969</u>
Equity securities	97	-	-	97
Total	<u>2,791</u>	<u>8,149</u>	<u>126</u>	<u>11,066</u>

23.2 Movement of investment securities

	31 December 2017			
	Available- -for-sale securities € million	Debt securities lending portfolio € million	Held-to- -maturity securities € million	Total € million
Balance at 1 January	2,791	8,149	126	11,066
Additions, net off disposals and redemptions	1,722	(6,493)	(18)	(4,789)
Net gains/(losses) from changes in fair value for the year	335	-	-	335
Amortisation of premiums/discounts and interest	53	4	0	57
Changes in fair value due to hedging	-	(36)	-	(36)
Impairment losses/reversal	(1)	-	-	(1)
Exchange adjustments and other	(16)	-	-	(16)
Balance at 31 December	4,884	1,624	108	6,616

	31 December 2016			
	Available- -for-sale securities € million	Debt securities lending portfolio € million	Held-to- -maturity securities € million	Total € million
Balance at 1 January (restated, note 47)	3,189	11,295	149	14,633
Additions net off disposals and redemptions	(515)	(3,183)	(24)	(3,722)
Net gains/(losses) from changes in fair value for the year	40	-	-	40
Amortisation of premiums/discounts and interest (restated, note 47)	74	(10)	0	64
Changes in fair value due to hedging	-	45	-	45
Impairment losses/reversal	(9)	-	-	(9)
Exchange adjustments and other ⁽¹⁾	12	2	1	15
Balance at 31 December	<u>2,791</u>	<u>8,149</u>	<u>126</u>	<u>11,066</u>

⁽¹⁾ It includes € 9 million of Visa Inc. preferred shares.

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23.3 Equity reserve: revaluation of the available-for-sale investments

Gains and losses arising from the changes in the fair value of available-for-sale investments are recognized in a revaluation reserve for available for sale financial assets in equity. The movement of the reserve is as follows:

	2017 € million	2016 € million
Balance at 1 January	4	(26)
Net gains/(losses) from changes in fair value	335	40
Tax (expense)/benefit	(97)	(11)
	238	29
Net (gains)/losses transferred to net profit on disposal	(59)	(7)
Impairment losses transferred to net profit	0	1
Tax (expense)/benefit on net (gains)/losses transferred to net profit on disposal	15	2
Tax (expense)/benefit on impairment losses transferred to net profit	(0)	(0)
	(44)	(4)
Net (gains)/losses transferred to net profit from fair value hedges/amortisation of mark-to-market	11	8
Tax (expense)/benefit	(3)	(3)
	8	5
Balance at 31 December	206	4

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24. Shares in subsidiary undertakings

The following is a listing of the Bank's subsidiaries at 31 December 2017:

<u>Name</u>	<u>Note</u>	<u>Percentage holding</u>	<u>Country of incorporation</u>	<u>Line of business</u>
Be Business Exchanges S.A. of Business Exchanges Networks and Accounting and Tax Services		98.01	Greece	Business-to-business e-commerce, accounting and tax services
Eurobank Asset Management Mutual Fund Mngt Company S.A.		100.00	Greece	Mutual fund and asset management
Eurobank Equities S.A.		100.00	Greece	Capital markets and advisory services
Eurobank Ergasias Leasing S.A.		100.00	Greece	Leasing
Eurobank Factors S.A.		100.00	Greece	Factoring
Eurobank FPS Loans and Credits Claim Management S.A.	b	100.00	Greece	Loans and Credits Claim Management
Eurobank Household Lending Services S.A.	l	100.00	Greece	Promotion/management of household products
Eurobank Property Services S.A.		100.00	Greece	Real estate services
Hellenic Post Credit S.A.		50.00	Greece	Credit card management and other services
Herald Greece Real Estate development and services company 1		100.00	Greece	Real estate
Herald Greece Real Estate development and services company 2		100.00	Greece	Real estate
Standard Ktimatiki S.A.	a	100.00	Greece	Real Estate
Eurobank Bulgaria A.D.	g	56.14	Bulgaria	Banking
ERB Property Services Sofia A.D.		80.00	Bulgaria	Real estate services
ERB Leasing E.A.D.		100.00	Bulgaria	Leasing
ERB Hellas (Cayman Islands) Ltd	j	100.00	Cayman Islands	Special purpose financing vehicle
Berberis Investments Ltd		100.00	Channel Islands	Holding company
ERB Hellas Funding Ltd		100.00	Channel Islands	Special purpose financing vehicle
CEH Balkan Holdings Ltd		100.00	Cyprus	Holding company
Chamia Enterprises Company Ltd		100.00	Cyprus	Special purpose investment vehicle
NEU Property Holdings Ltd		100.00	Cyprus	Holding company
Eurobank Private Bank Luxembourg S.A.		100.00	Luxembourg	Banking
Eurobank Fund Management Company (Luxembourg) S.A.		99.99	Luxembourg	Fund management
Eurobank Holding (Luxembourg) S.A.		100.00	Luxembourg	Holding company
ERB New Europe Funding B.V.		100.00	Netherlands	Finance company
ERB New Europe Holding B.V.		100.00	Netherlands	Holding company
Bancpost S.A.	k	93.78	Romania	Banking
ERB IT Shared Services S.A. ⁽¹⁾		1.10	Romania	Informatics data processing
ERB Leasing IFN S.A. ⁽¹⁾	k	2.36	Romania	Leasing
Eurobank Finance S.A. ^{(1) (2)}	m	19.65	Romania	Investment banking
Eurobank Property Services S.A.		80.00	Romania	Real estate services
Eurobank A.D. Beograd		55.80	Serbia	Banking
ERB Leasing A.D. Beograd ⁽¹⁾⁽²⁾	f	17.51	Serbia	Leasing
ERB Property Services d.o.o. Beograd		80.00	Serbia	Real estate services
ERB Istanbul Holding A.S.		100.00	Turkey	Holding company
ERB Hellas Plc		99.99	United Kingdom	Special purpose financing vehicle
Anaptyxi SME I Plc		-	United Kingdom	Special purpose financing vehicle
Karta II Plc		-	United Kingdom	Special purpose financing vehicle
Themeleion II Mortgage Finance Plc ⁽²⁾		-	United Kingdom	Special purpose financing vehicle
Themeleion III Mortgage Finance Plc ⁽²⁾		-	United Kingdom	Special purpose financing vehicle
Themeleion IV Mortgage Finance Plc ⁽²⁾		-	United Kingdom	Special purpose financing vehicle
Themeleion Mortgage Finance Plc ⁽²⁾		-	United Kingdom	Special purpose financing vehicle
Tegea Plc		-	United Kingdom	Special purpose financing vehicle

⁽¹⁾ Not direct control by the Bank.

⁽²⁾ Entities under liquidation.

In addition, the following entities are controlled by the Bank:

(i) Holding and other entities of the Bank's special purpose financing vehicles: (a) Themeleion III Holdings Ltd, and Themeleion IV Holdings Ltd, which are under liquidation (b) Anaptyxi SME I Holdings Ltd, Karta II Holdings Ltd and Tegea Holdings Ltd, and (c) Themeleion V Mortgage Finance Plc, Themeleion VI Mortgage Finance Plc Anaptyxi APC Ltd and Byzantium II Finance Plc, which are revived and under liquidation.

(ii) Dormant/under liquidation entities: Enalios Real Estate Development S.A., Hotels of Greece S.A.

(iii) Entities controlled by the Bank pursuant to the terms of the relevant share pledge agreements: Finas S.A., Rovinvest S.A., Provet S.A. and Promivet S.A.

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(a) Standard Ktimatiki S.A., Greece

In January 2017, the Bank acquired 100% of the shares and voting rights of the real estate company Standard Ktimatiki S.A. for a cash consideration of € 0.75 million. The acquisition took place following an enforcement of collateral on the company's shares under a Bank's subsidiary finance lease arrangement.

(b) Eurobank FPS Loans and Credits Claim Management S.A., Greece

In the first quarter of 2017, the company's purpose as defined in its articles of association was amended and its name was changed from Eurobank Financial Planning Services S.A. to Eurobank FPS Loans and Credits Claim Management S.A. Following the above, the company obtained a license from the Bank of Greece that allows it to operate as an independent servicer of loans granted by credit or financial institutions pursuant to the Law 4354/2015. In August 2017, Eurobank FPS Loans and Credits Claim Management S.A. merged with Eurobank Remedial Services S.A.

(c) Anaptyxi II Holdings Ltd and Anaptyxi II Plc, United Kingdom

In March 2017, the liquidation of the companies was completed.

(d) Daneion Holdings Ltd, Daneion 2007-1 Plc and Daneion APC Ltd, United Kingdom

In March 2017, the liquidation of the companies was completed.

(e) Eurobank Business Services S.A., Greece

In April 2017, the disposal of the company was completed for a total cash consideration of € 2.1 million.

(f) ERB Leasing A.D. Beograd, Serbia

In May 2017, the Bank's participation in the company decreased from 25.81% to 17.51%, following a share capital increase of the company in favor of the other shareholder, Eurobank A.D. Beograd for a cash consideration of € 0.3 million. In June 2017, the liquidation of the company was decided.

(g) Eurobank Bulgaria A.D., Bulgaria

In the context of the acquisition of Alpha Bank's Branch in Bulgaria by Eurobank Bulgaria A.D. (Postbank), on 2 March 2016 the Bank acquired € 55 million of Postbank's liabilities to Alpha Bank Group for a consideration of € 1. The resulting gain of € 55 million, which was attributed to the particular circumstances of the acquisition in line with the restructuring plans for Alpha Bank and the Bank, has been recognized in 'Other income/ (expenses)'. In addition, in the fourth quarter of 2017, the Bank acquired from its subsidiary CEH Balkan Holdings Ltd, the total number of shares held by the latter to Eurobank Bulgaria A.D. for a cash consideration of € 54 million. Accordingly, the Bank's direct participation to the company increased from 47.12% to 56.14%.

(h) Grivalia Properties R.E.I.C., Greece

On 4 July 2017, the Bank announced the successful sale of its shareholding in Grivalia Properties R.E.I.C., via an institutional private placement by way of an accelerated bookbuild offering to institutional investors at a price of € 8.80 per share, for a total cash consideration of € 178 million. The disposal of the Bank's holding in Grivalia Properties R.E.I.C., which was in line with the Bank's restructuring plan, resulted to € 11 million gain after tax, including selling costs of € 2.9 million, out of which € 0.4 million refer to intragroup selling costs.

(i) Eurobank ERB Mutual Funds Mngt Company S.A., Greece

In July 2017, the liquidation of the company was completed.

(j) ERB Hellas (Cayman Islands) Ltd, Cayman Islands

In July 2017, the Bank acquired from its subsidiary ERB New Europe Funding III Ltd 100% of the shares and voting rights of ERB Hellas (Cayman Islands) Ltd for a cash consideration of € 0.5 million.

(k) Bancpost S.A. and ERB Leasing IFN S.A., Romania

On 24 November 2017, the Bank announced that it has reached an agreement with Banca Transilvania with regards to the sale of Bancpost S.A., ERB Retail Services IFN S.A. and ERB Leasing IFN S.A. in Romania. The transaction is expected to be finalized shortly.

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after all required legal procedures are completed. Further information in relation to the Bank's direct holdings in Bancpost S.A. and ERB Leasing IFN S.A. which has been classified as held for sale as of 30 September 2017 is provided in note 29.

(l) Eurobank Household Lending Services S.A., Greece

In December 2017, the Board of Directors of the Bank and its subsidiary Eurobank Household Lending Services S.A. decided the merger of the two companies, by absorption of the latter by the former.

(m) Eurobank Finance S.A., Romania

In December 2017, the liquidation of the company was decided.

(n) Eurolife ERB Insurance Group Holdings S.A.

On 22 December 2015, the Bank announced that it has reached an agreement with Fairfax Financial Holdings Limited (Fairfax) to sell 80% of its subsidiary Eurolife ERB Insurance Group Holdings S.A. (Eurolife) (the Transaction).

The Transaction, which was in line with the Bank's restructuring plan (note 6) included: (a) Eurolife's Greek life and non-life insurance activities and Eurolife's brokerage subsidiary in Greece, (b) Eurolife's Romanian life and non-life insurance activities and (c) the bancassurance agreements between Eurolife subsidiaries and Eurobank, for the exclusive distribution of insurance products in Greece and Romania through EuroBank's sales network.

The Transaction, was completed on 4 August 2016 for a cash consideration of € 321 million (after the distribution of € 34 million dividend to Eurobank by Eurolife). Upon the completion of the Transaction, the Bank derecognized the cost of investment in Eurolife and recognized its retained 20% interest as an associate at its cost of € 23 million. The resulting gain on the disposal of the Bank's holding in Eurolife amounted to € 156 million, after tax.

Post balance sheet events

Modern Hoteling S.A., Greece

In January 2018, the Bank established the wholly owned subsidiary, Modern Hoteling S.A., a real estate company operating in Greece.

ERB Property Services Sofia A.D.

In January 2018, the Bank disposed its participation in ERB Property Services Sofia A.D. to Eurobank Bulgaria A.D. for a total cash consideration of € 2 million resulting to the recognition of gain of a corresponding amount.

ERB Leasing Bulgaria EAD, Bulgaria

In February 2018, the Bank established the wholly owned subsidiary ERB Leasing Bulgaria EAD, as a result of the transformation of ERB Leasing EAD through a spin-off, whereby part of the assets and liabilities of the latter were passed to the new established company.

Impairment in Subsidiaries undertakings

In the context of the impairment review of its investment in subsidiary undertakings, as well as following the classification of its holding in Bancpost S.A. and ERB Leasing IFN S.A. as held for sale (note 29), the Bank reassessed the recoverable amounts of its subsidiaries. Accordingly, the following impairment charge was recorded:

	2017 € million	2016 € million
Eurobank Ergasias Leasing S.A.	33	29
Eurobank Asset Management Mutual Fund Mngt Company S.A.	32	-
Bancpost S.A. ⁽¹⁾	31	55
NEU Property Holdings Ltd	3	-
CEH Balkan Holdings Ltd	3	-
Eurobank Household Lending Services S.A.	2	-
Standard Ktimatiki S.A.	1	-
Total	105	84

⁽¹⁾ It includes costs to sell € 13.8 million of which an amount of € 2.3 million has been paid until 31 December 2017.

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25. Property, plant and equipment

31 December 2017				
Land, buildings, leasehold improvements € million	Furniture, equipment, motor vehicles € million	Computer hardware, software € million	Total € million	
Cost:				
Balance at 1 January	361	117	317	795
Transfers	(8)	(0)	0	(8)
Additions	9	6	14	29
Disposals and write-offs	(6)	(2)	(1)	(9)
Balance at 31 December	356	121	330	807
Accumulated depreciation:				
Balance at 1 January	(161)	(105)	(291)	(557)
Transfers	1	0	(0)	1
Disposals and write-offs	5	2	2	9
Charge for the year	(10)	(4)	(9)	(23)
Balance at 31 December	(165)	(107)	(298)	(570)
Net book value at 31 December	191	14	32	237

31 December 2016				
Land, buildings, leasehold improvements € million	Furniture, equipment, motor vehicles € million	Computer hardware, software € million	Total € million	
Cost:				
Balance at 1 January	361	116	314	791
Transfers	(1)	-	(1)	(2)
Additions	4	3	5	12
Disposals and write-offs	(3)	(2)	(1)	(6)
Balance at 31 December	361	117	317	795
Accumulated depreciation:				
Balance at 1 January	(150)	(102)	(283)	(535)
Transfers	0	-	0	0
Disposals and write-offs	1	1	1	3
Charge for the year	(12)	(4)	(9)	(25)
Balance at 31 December	(161)	(105)	(291)	(557)
Net book value at 31 December	200	12	26	238

Leasehold improvements relate to premises occupied by the Bank for its own activities.

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26. Investment property

The movement of investment property (net book value) is as follows:

	2017 € million	2016 € million
Cost:		
Balance at 1 January	67	68
Transfers from/ to property plant and equipment	8	1
Additions	0	1
Disposals and write-offs	(46)	(2)
Impairments	(1)	(1)
Balance at 31 December	28	67
Accumulated depreciation:		
Balance at 1 January	(8)	(7)
Transfers from/ to property plant and equipment	(1)	(0)
Disposals and write-offs	4	0
Charge for the year	(1)	(1)
Balance at 31 December	(6)	(8)
Net book value at 31 December	22	59

In December 2017, the Bank proceeded with the sale of the real estate property on which “King George Hotel” operates, of the mobile equipment of the latter and of the relevant trademarks to Lampsa Hellenic Hotels S.A. for a total consideration of € 43 million. The resulting gain of € 6 million has been recognized in ‘Other income/(expenses)’.

During the year ended 31 December 2017, an amount of € 3 million (2016: € 3 million) was recognized as rental income from investment property in income from non banking services. As at 31 December 2017 and 2016, there were no capital commitments in relation to investment property.

The fair value measurements as at 31 December 2017 for each class of investment property are presented in the below table. The main classes of investment property have been determined based on the nature, the characteristics and the risks of the Bank’s properties. The fair value measurements of the Bank’s investment property are categorized within level 3 of the fair value hierarchy.

Class of Property	31 December 2017		31 December 2016	
	Fair Value	Book Value	Fair Value	Book Value
	€ million	€ million	€ million	€ million
-Commercial	25	19	65	57
-Land Plots	3	3	2	2
Total	28	22	67	59

The basic methods used for estimating the fair value of the Bank’s investment property are the income approach (income capitalization/discounted cash flow method) and the comparative method, which are also used in combination depending on the class of property being valued.

The discounted cash flow method is used for estimating the fair value of the Bank’s commercial investment property. Fair value is calculated through the projection of a series of cash flows using explicit assumptions regarding the benefits and liabilities of ownership (income and operating costs, vacancy rates, income growth), including the residual value anticipated at the end of the projection period. To this projected cash flows series, an appropriate, market-derived discount rate is applied to establish its present value.

Under the income capitalization method, also used for the commercial class of investment property, a property’s fair value is estimated based on the normalized net operating income generated by the property, which is divided by the capitalization rate (the investor’s rate of return).

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The comparative method is used for the commercial and land plot classes of investment property. Fair value is estimated based on data for comparable transactions, by analyzing either real transaction prices of similar properties, or by asking prices after performing the necessary adjustments.

The Bank's investment property valuations are performed taking into consideration the highest and best use of each asset that is physically possible, legally permissible and financially feasible.

27. Intangible assets

	2017 € million	2016 € million
Cost:		
Balance at 1 January	211	181
Additions and transfers	41	30
Balance at 31 December	252	211
Accumulated amortisation:		
Balance at 1 January	(131)	(117)
Transfers	-	(0)
Amortisation charge for the year	(16)	(14)
Balance at 31 December	(147)	(131)
Net book value at 31 December	105	80

28. Other assets

	2017 € million	2016 € million
Receivable from Deposit Guarantee and Investment Fund	704	695
Repossessioned properties and relative prepayments	272	277
Pledged amount for a Greek sovereign risk financial guarantee	241	242
Other guarantees	35	38
Income tax receivable	140	163
Prepaid expenses and accrued income	70	40
Investments in associates and joint ventures (see below)	34	27
Financial instruments at fair value through profit or loss	13	8
Other assets	112	108
Total	1,621	1,598

As at 31 December 2017, other assets amounting to € 112 million (2016: € 108 million) include, among others, receivables related to (a) public entities and (b) legal cases, net of provisions.

The Financial instruments at fair value through profit or loss, is presented in the following table:

	2017 € million	2016 € million
Debt securities		
- Greek government bonds	9	2
- Greek government treasury bills	0	0
- Other issuers	3	4
	12	6
Equity securities	1	2
Total	13	8

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The following is the listing of the Bank's associates and joint ventures as at 31 December 2017:

<u>Name</u>	<u>Note</u>	<u>Country of incorporation</u>	<u>Line of business</u>	<u>Percentage Holding</u>
Femion Ltd		Cyprus	Special purpose investment vehicle	66.45
Tefin S.A. ⁽¹⁾		Greece	Dealership of vehicles and machinery	50.00
Sinda Enterprises Company Ltd		Cyprus	Special purpose investment vehicle	48.00
Alpha Investment Property Kefalariou S.A.	a	Greece	Real estate	41.67
Global Finance S.A. ⁽²⁾		Greece	Investment financing	9.91
Famar S.A. ⁽²⁾	b	Luxembourg	Holding company	23.55
Odyssey GP S.a.r.l.		Luxembourg	Special purpose investment vehicle	20.00
Eurolife ERB Insurance Group Holdings S.A. ⁽²⁾		Greece	Holding company	20.00

⁽¹⁾ In December 2013, the Extraordinary General Meeting of shareholders of the company decided its liquidation.

⁽²⁾ Eurolife Insurance group (Eurolife ERB Insurance Group Holdings S.A. and its subsidiaries), Global Finance group (Global Finance S.A. and its subsidiaries) and Famar group (Famar S.A. and its subsidiaries) are considered as Bank's associates.

(a) Alpha Investment Property Kefalariou S.A., Greece

In January 2017, in the context of the debt restructuring of NIKAS S.A. and its subsidiaries, the Bank acquired 41.67% of the shares and voting rights of Alpha Investment Property Kefalariou S.A. for € 0.01 million. The Bank subsequently participated, along with the other banks holding a collateralized bond loan to NIKAS S.A. (Alpha Bank and Attica Bank), in the share capital increase of Alpha Investment Property Kefalariou S.A. on a pro rata basis with € 7.5 million, out of a total amount of € 18 million.

Following the execution of the Nikas' Debt Restructuring Agreement, that includes among others the debt to asset swap of a certain real estate property, Alpha Investment Property Kefalariou S.A. acquired from NIKAS S.A. the property which served at the time as collateral to the related bond loan for a total consideration of € 17 million. The proceeds from the disposal of the property were used by NIKAS S.A. to partially settle its debt obligations against the banks.

(b) Famar S.A., Luxembourg

On 7 March 2017, the Bank acquired 24.37% of the shares and voting rights of Famar S.A. for a cash consideration of € 2. The acquisition took place following the execution of a Restructuring Protocol, according to which Marinopoulos Holding S.à r.l. had agreed to sell the company's shares to Eurobank, Alpha Bank, National Bank of Greece and Piraeus Bank (the Greek banks). The Bank's participation in the company's share capital was subsequently decreased to 23.55%. In accordance with the terms of the shareholders' agreement signed on 7 March 2017, the management of Famar S.A. was assumed by Pillarstone and the Greek banks. Furthermore, new funds equal to € 40 million were made available to Famar S.A. by the Greek Banks (Eurobank participated at a proportion of 24.37%) and the outstanding senior debt facility of Famar Holding was restructured. The purpose of the acquisition of Famar S.A. by the Greek banks was to maximize the potential recovery of the loans granted to Famar Group and the loans to Marinopoulos Group, which were secured by a pledge over Famar's shares.

Based on the terms of the shareholders' agreement, the Bank has significant influence over Famar S.A. and at the same time remains the beneficiary of the share pledge agreement in relation to the aforementioned loans.

29. Assets classified as Held for Sale

Investments in Romanian subsidiaries classified as held for sale

On 15 September 2017, the Bank announced that it has entered into negotiations with Banca Transilvania with regards to the potential sale of Bancpost S.A., ERB Retail Services IFN S.A. and ERB Leasing IFN S.A. in Romania. The sale was considered highly probable, therefore, as of 30 September 2017 the Bank's direct holdings in Bancpost S.A. and ERB Leasing IFN S.A. were classified as held for sale.

On 24 November 2017, the Bank announced that it has reached an agreement with Banca Transilvania with regards to the above sale. The transaction is expected to be finalized shortly after all required legal procedures are completed.

For the year ended 31 December 2017, in accordance with IFRS 5, impairment losses of € 31 million in total (including costs to sell already paid in 2017, note 24) were recognized from measuring the Bank's holdings in the above Romanian subsidiaries at the lower of their carrying amount of € 226.4 million and fair values less estimated costs to sell. The fair values less estimated costs to

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sell of the holdings in the above Romanian subsidiaries amounting to € 197.5 million have been determined based on the terms of the aforementioned agreement with Banca Transilvania. These are non-recurring fair value measurements, categorized as Level 3 in the fair value hierarchy due to the significance of the unobservable inputs.

Post balance sheet event

In January 2018, the reduction of Bancpost S.A. share capital by decreasing the nominal value per share was completed and resulted in the decrease of Eurobank's holding to the company by € 48 million.

30. Due to central banks

	2017 € million	2016 € million
Secured borrowing from ECB and BoG	<u>9,994</u>	<u>13,906</u>

As at 31 December 2017, the Bank's dependency on Eurosystem financing facilities decreased to € 10 bn (of which € 7.9 bn funding from ELA), mainly due to asset deleveraging, deposit inflows, increased market repos on covered bonds and Greek Treasury bills and a € 500 million covered bond issue to international and domestic investors (note 33) (31 December 2016: € 13.9 bn, of which € 11.9 bn from ELA). Furthermore, the Bank replaced € 1.3 bn funding from ECB's main refinancing operations (MROs) with ECB's targeted longer-term refinancing operations (TLTROs). The Eurosystem funding further declined to € 7.1 bn on 28 February 2018, of which € 5.7 bn from ELA.

31. Due to credit institutions

	2017 € million	2016 € million
Secured borrowing from credit institutions	5,903	10,007
Borrowings from international financial and similar institutions	353	190
Interbank takings	825	863
Current accounts and settlement balances with banks	87	29
Total	<u>7,168</u>	<u>11,089</u>

As at 31 December 2017, the majority of secured borrowing transactions with other banks were conducted with foreign financial institutions. As at 31 December 2017, borrowings from international financial and similar institutions include borrowings from European Investment Bank, European Bank for Reconstruction and Development and other similar institutions, of which secured borrowing amounted to € 5 million (2016: € 29 million).

32. Due to customers

	2017 € million	2016 € million
Savings and current accounts	14,250	13,424
Term deposits	10,712	10,169
Repurchase agreements	53	53
Other term products (note 33)	-	32
Total	<u>25,015</u>	<u>23,678</u>

As at 31 December 2017, the carrying amount of structured deposits designated at fair-value-through-profit-or-loss was € 4 million (2016: € 4 million) and their cumulative fair value change was € 0.2 million gain (2016: € 1 million gain), which is attributable to changes in market conditions.

The fair value change of structured deposits is offset in the income statement against changes in the fair value of structured derivatives.

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Under the Law 4151/2013, the dormant deposits accounts balances are statute barred for the benefit of the Greek State after the 20-year lapse of the last transaction. Accordingly, in 2017 the amount that the Bank transferred to the Greek State was almost null (2016: € 0.5 million).

The subordinated notes held by the Bank's customers, amounting to € 32 million in the comparative period and presented in other term products, matured in June 2017.

33. Debt securities in issue

	2017 € million	2016 € million
Covered bonds	497	-
Medium-term notes (EMTN)	6	17
Subordinated-Lower Tier 2 (note 32)	-	43
Total	503	60

The Bank's funding consists of notes under Euro Medium Term Note (EMTN) program, securitizations of various classes of loans, covered bonds and government guaranteed bonds:

Medium-term notes (EMTN)

As at 31 December 2017, the notes issued by the Bank under the EMTN program, totaling to € 7 million (2016: € 17 million), were fully retained by the Bank's subsidiaries.

During the year, the Bank proceeded with the early redemption of notes of face value of € 10 million.

Subordinated (Lower TIER 2)

In June 2017, the subordinated notes issued by the Bank of face value of € 75 million, € 32 million of which were held by Bank's customers (note 32), matured.

Asset backed securities

In December 2017, the Bank proceeded with the early termination of bond loan asset backed securities of face value of € 800 million, issued by a special purpose entity Anaptyxi SME I PLC and held by the Bank.

Government guaranteed and covered bonds

During the year, the government guaranteed bonds issued under the second stream of the Greek Economy Liquidity Support Program matured (note 4).

As at 31 December 2017 the covered bonds issued by the Bank amounted to € 3,600 million face value, € 500 million of which were held by international and domestic investors following a successful covered bond transaction with a 2.98% yield, concluded at the end of October 2017.

Financial disclosures required by the Act 2620/28.08.2009 of the Bank of Greece in relation to the covered bonds issued, are available at the Bank's website (Investor Report for Covered Bonds Programs).

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34. Other liabilities

	2017 € million	2016 € million
Balances under settlement ⁽¹⁾	138	162
Other provisions	69	99
Deferred income and accrued expenses	56	45
Standard legal staff retirement indemnity obligations (note 35)	44	40
Sovereign risk financial guarantee	45	48
Other liabilities	124	134
Total	476	528

⁽¹⁾ Includes settlement balances relating to bank cheques and remittances, credit card transactions and other banking activities.

As at 31 December 2017, other liabilities amounting to € 124 million mainly consist of payables relating with (a) suppliers and creditors, (b) contributions to insurance organizations and (c) duties and other taxes.

As at 31 December 2017, other provisions amounting to € 69 million mainly include € 58 million for outstanding litigations and claims in dispute (note 43), € 3 million for restructuring costs (mainly related to the Voluntary Exit Scheme (VES) and € 8 million for other operational risk events.

The movement of the Bank's other provisions, is presented in the following table:

	31 December 2017		
	Litigations and claims in dispute € million	Other € million	Total € million
Balance at 1 January	55	44	99
Amounts charged during the year	5	7	12
Amounts used during the year	(1)	(5)	(6)
Amounts reversed during the year	(1)	(2)	(3)
Other movements ⁽¹⁾	(0)	(33)	(33)
Balance at 31 December	58	11	69

	31 December 2016		
	Litigations and claims in dispute € million	Other € million	Total € million
Balance at 1 January	56	71	127
Amounts charged during the year	3	44	47
Amounts used during the year	-	(2)	(2)
Amounts reversed during the year	(4)	-	(4)
Other movements ⁽¹⁾	(0)	(69)	(69)
Balance at 31 December	55	44	99

⁽¹⁾ Other movements include an amount of € 33 million (31 December 2016: € 69 million) for benefits paid under the VES program, which is presented in the movement of the liability for standard legal staff retirement indemnity obligations (note 35).

The implementation of the VES was designed for the Group's employees in Greece in line with the principal commitments of the Bank's restructuring plan and is described in note 6.

Up to 31 December 2017, the cost for the VES amounted to € 106 million, net of provision for retirement benefits, out of which € 5 million has been recognized in the Bank's profit or loss for 2017 (2016: € 39 million) (note 14).

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Post balance sheet event

In the context of the Voluntary Exit Schemes (VES) already in force during 2017, an additional scheme with the same terms was announced on 19 January 2018 and implemented for the employees of specific eligible units in Greece. The total cost, which will be recognized in 2018 is approximately 31 million for the Bank net of provisions for retirement benefits while the estimated annual saving as a result of the scheme amounts to € 10 million.

35. Standard legal staff retirement indemnity obligations

The Bank provides for staff retirement indemnity obligation for its employees in Greece and abroad, who are entitled to a lump sum payment based on the number of years of service and the level of remuneration at the date of retirement, if they remain in the employment of the Bank until normal retirement age, in accordance with the local labor legislation. The above retirement indemnity obligations typically expose the Bank to actuarial risks such as interest rate risk and salary risk. Therefore, a decrease in the discount rate used to calculate the present value of the estimated future cash outflows or an increase in future salaries will increase the staff retirement indemnity obligations of the Bank.

The movement of the liability for standard legal staff retirement indemnity obligations is as follows:

	2017 € million	2016 € million
Balance at 1 January	40	36
Current service cost	3	3
Interest cost	1	1
Past service cost and (gains)/losses on settlements	29	68
Remeasurements:		
Actuarial (gains)/losses arising from changes in financial assumptions	1	5
Actuarial (gains)/losses arising from changes in demographic assumptions	-	2
Actuarial (gains)/losses arising from experience adjustments	3	(1)
Benefits paid	(33)	(74)
Balance at 31 December	44	40

The benefits paid by the Bank during 2017, in the context of the Voluntary Exit Scheme (VES) (note 34), amounted to € 33 million. The provision for staff retirement obligations of the staff that participated in the above scheme, amounted to € 3 million.

The significant actuarial assumptions (expressed as weighted averages) were as follows:

	2017 %	2016 %
Discount rate	1.8	1.8
Future salary increases	2.6	2.3

As at 31 December 2017, the average duration of the standard legal staff retirement indemnity obligation was 18 years (2016: 18 years).

A quantitative sensitivity analysis based on reasonable changes to significant actuarial assumptions as at 31 December 2017 is as follows:

An increase /(decrease) of the discount rate assumed, by 50 bps/(50 bps), would result in a (decrease)/ increase of the standard legal staff retirement obligations by (€ 3.1 million)/ € 3.4 million.

An increase /(decrease) of the future salary growth assumed, by 0.5%/(0.5%), would result in an increase /(decrease) of the standard legal staff retirement obligations by € 3.4 million/ (€ 3.1 million).

The above sensitivity analysis is based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated.

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The methods and assumptions used in preparing the above sensitivity analysis were consistent with those used to estimate the retirement benefit obligation and did not change compared to the previous year.

36. Ordinary share capital and share premium

The par value of the Bank's shares is € 0.30 per share (2016: € 0.30). All shares are fully paid. The balance of ordinary share capital, share premium and the number of ordinary shares issued by the Bank, are as follows:

	Ordinary share capital € million	Share premium € million	Number of issued ordinary shares
Balance at 31 December 2017	656	8,056	2,185,998,765

Treasury shares

According to paragraph 1 of Article 16C of Law 3864/2010, during the period of the participation of the HFSF in the share capital of the Bank it is not permitted to the Bank to purchase treasury shares without the approval of the HFSF.

37. Preference shares

Preference Shares		
Number of shares	2017 € million	2016 € million
345,500,000	950	950

On 12 January 2009, the Extraordinary General Meeting of the Bank approved the issue of 345,500,000 non-voting, non-listed, non-transferable, tax deductible, non-cumulative 10% preference shares, with nominal value € 2.75 each, under Law 3723/2008 'Greek Economy Liquidity Support Program', to be fully subscribed to and paid by the Greek State with bonds of equivalent value. The proceeds of the issue amounted to € 940 million, net of expenses, and the transaction was completed on 21 May 2009. In accordance with the legal and regulatory framework in force, the issued shares were included in the Bank's Common Equity Tier 1 until 31 December 2017.

Pursuant to the provisions of article 80 of the new Law 4484/2017 (Government Gazette A' 110, 1 August 2017), five years after their issue, the redemption of the preference shares in whole or in part is allowed, in consideration for cash or Tier 2 capital instruments as defined in Regulation 575/2013, or a combination thereof, having received the supervisory authority's consent. In case the issuance of Tier 2 capital instruments is opted for the redemption (exchange), they should satisfy the following conditions:

- their nominal value should be calculated on the basis of the initial offer price of the preference shares;
- their features should satisfy the conditions of Regulation 575/2013 applicable to Tier 2 instruments, and especially article 63 thereof;
- they have a maturity of ten years and the issuer has an option, exercisable at the issuer's sole discretion, to call or redeem or repurchase or early repay the instruments after five years from their issuance with the approval of the regulatory authority;
- they may be early repaid prior to five years from their issue date subject to approval by the regulatory authority and provided a tax event or a regulatory event, as defined in article 78 par. 4 of Regulation 575/2013, has occurred;
- their repayment after five years from their issue date and until maturity, as well as in the circumstances contemplated in (d) above, shall be made at their nominal value;
- upon redemption or early repayment of the instruments, accrued interest thereon in respect of the relevant interest period shall always be payable;
- their nominal interest rate (coupon) shall be fixed and interest shall be payable semi-annually at the last day of the sixth and twelfth month each year. In relation to the first payment, the interest rate is calculated by reference to the time period remaining until the end of the earlier of any of the above dates, if it is less than six (6) months;

Notes to the Financial Statements

- (h) the interest rate is calculated on the basis of the average yield of the ten-year reference bond of the Hellenic Republic at the first fifteen (15) days of June 2017 plus fifty (50) basis points and cannot be lower than 6%; and
- (i) they will be freely transferable and may be listed on a regulated market.

The request to redeem the preference shares in accordance with the above mentioned conditions is submitted to the Minister of Finance, who issues a relevant decision in compliance with the state-aid rules of the E.U. If the redemption is made through an exchange with Tier 2 capital instruments, an agreement signed between the Minister of Finance and the Bank is entered into to provide for, among others, the specific terms of such instruments, and any other detail relevant to the above transaction.

On 3 November 2017, the Extraordinary General Meeting of the Shareholders of the Bank, pursuant to the submission on 27 September 2017 of a written request to the Minister of Finance by the Bank along with the positive opinion of the ECB/SSM received on 12 October 2017, approved the following:

- (a) The full redemption by the Bank of the 345,500,000 preference registered shares, which have been issued by the Bank in accordance with Article 1 of Law 3723/2008 and are owned by the Greek State, having an aggregate nominal value of € 950,125,000 (Preference Shares) in consideration for (i) € 125,000 in cash, and (ii) the delivery to the Greek State of € 950,000,000 principal amount of subordinated notes issuable by the Bank, as provided for in (b) below, which constitute Tier 2 capital instruments, in accordance with the provisions of par. 1a of article 1 of Law 3723/2008 (the “Redemption”).
- (b) The issuance of a subordinated bond loan by the Bank in accordance with Law 2190/1920 and Law 3156/2003, having an aggregate principal amount of € 950,000,000, divided into 9,500 notes each having a nominal value of € 100,000 (the “Notes”), which satisfy the conditions set out in par. 1a of article 1 of Law 3723/2008, and the offering of the Notes through a private placement to the Greek State for subscription by it, as provided for in the Redemption and Subscription Agreement referred to in (c) below. The Notes will be issued under the Bank’s existing medium term notes programme (the “EMTN Programme”).
- (c) The entering into the agreement provided for in par. 1a of article 1 of Law 3723/2008 between the Bank and the Greek State represented by the Minister of Finance, containing the specific terms and any necessary detail relating to the Redemption, including the issuance and delivery of the Notes to the Greek State by the Bank (the “Redemption and Subscription Agreement”).
- (d) That authority is given to the Board, with power of sub-delegation, to determine the specific terms of the Notes and of their issuance and to proceed with any legal acts, procedural or other actions which are required, necessary or appropriate to implement and complete the resolutions and corporate actions included in (a) to (c) above.
- (e) The reduction of the share capital of the Bank by an amount equal to the nominal value of the Preference Shares, that is € 950,125,000, the cancellation of the 345,500,000 Preference Shares in total and the corresponding amendment of articles 5 and 6 of the Articles of Association of the Bank resulting from the above reduction and that authority is given to the Board, with power of sub-delegation, to proceed with each act and action to implement and complete the corporate actions included herein (under (e)).

The above resolutions have also been approved by the Special Meeting of the Greek State being the preference shareholder of the Bank, in accordance with the applicable provisions of Law 2190/1920 and Law 3723/2008.

Post balance sheet event

On 18 January 2018, the Bank announced the completion of the full redemption of its preference shares without voting rights held by the Hellenic Republic of total nominal value € 950,125,000, according to the provisions of par. 1a, article 1, of Law 3723/2008 and the decisions of its Extraordinary General Meeting of its common shareholders as at 3 November 2017.

The redemption has been completed partially with cash and partially with the issuance of Tier 2 capital instrument of total amount € 950,000,000 according to the EU Regulation 575/2013 and does not have any impact on the Bank’s CET1 based on the full implementation of Basel III rules.

Pursuant to the terms of Redemption and Subscription Agreement between the Bank and the Greek State, the Tier 2 instruments have a maturity of ten years (until 17 January 2028) and pay fixed nominal interest rate of 6.41% (recognized in the income statement), which shall be payable semi-annually at the last day of the sixth and twelfth month each year.

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38. Hybrid capital

On 18 March 2005, the Bank, through its Special Purpose Entity, ERB Hellas Funding Limited, issued € 200 million preferred securities which represent Lower Tier 1 capital for the Bank (Tier 1 Series A). As at 31 December 2017, the outstanding amount of Series A was € 2 million (including allocated issue costs). The preferred securities have no fixed redemption date and give the issuer the right to call the issue at par on 18 March 2010 and annually thereafter and are listed on the Luxembourg and Frankfurt Stock Exchanges.

On 2 November 2005, the Bank, through its Special Purpose Entity, ERB Hellas Funding Limited, issued € 400 million preferred securities which represent Lower Tier 1 capital for the Bank (Tier 1 Series B). As at 31 December 2017, the outstanding amount of Series B was € 4 million (including allocated issue costs). The preferred securities have no fixed redemption date and give the issuer the right to call the issue at par on 2 November 2015 and quarterly thereafter and are listed on the London Stock Exchange.

On 9 November and on 21 December 2005 the Bank, through its Special Purpose Entity, ERB Hellas Funding Limited, issued € 150 million and € 50 million preferred securities respectively, which represent Lower Tier 1 capital for the Bank (Tier 1, form a single Series C). As at 31 December 2017, the outstanding amount of Series C was € 18 million (including allocated issue costs). The preferred securities have no fixed redemption date and give the issuer the right to call the issue at par on 9 January 2011 and quarterly thereafter. The preferred securities are listed on the London, Frankfurt and Euronext Amsterdam Stock Exchanges.

On 29 July 2009, the Bank, through its Special Purpose Entity, ERB Hellas Funding Limited, issued € 300 million preferred securities which represent Tier 1 capital for the Bank (Tier 1 Series D). As at 31 December 2017, the outstanding amount of Series D was € 19 million (including allocated issue costs). The preferred securities have no fixed redemption date and give the issuer the right to call the issue after five years from the issue date and annually thereafter. In addition the securities, subject to certain conditions, are convertible at the option of the bondholder and the issuer after October 2014 into Eurobank ordinary shares at the lower of an exchange ratio based on (a) a 12% discount to the share market price during the period preceding the exchange or (b) the nominal value of Bank's ordinary share. The preferred securities are listed on the London Stock Exchange.

All obligations of the issuer, in respect of the aforementioned issues of preferred securities, are guaranteed on a subordinated basis by the Bank. The analytical terms of each issue along with the rates and/or the basis of calculation of preferred dividends are available at the Bank's website. Pursuant to the said terms of the preferred securities, ERB Hellas Funding Ltd has announced the non-payment of the non-cumulative preferred dividend of the above series of preferred securities for 2016, 2017 and on 9 January 2018.

The outstanding amount of preferred securities issued by the Bank through its Special Purpose Entity, ERB Hellas Funding Limited, as at 31 December 2017 (same balance as at 31 December 2016) is analyzed as follows:

	Series A € million	Series B € million	Series C € million	Series D € million	Total € million
Balance at 31 December 2017	2	4	18	19	43

Post balance sheet event

Following the redemption of the Greek State – owned preference shares, (note 37) on 17 January 2018, and in accordance with the terms of the preferred securities, ERB Hellas Funding Ltd declared and paid the non-cumulative dividends of € 0.4 million in total on the Series D, B and A that were payable on 29 January, 2 February and 18 March 2018, respectively.

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39. Special reserves

	Statutory reserves € million	Non-taxed reserves € million	IAS 39 reserves € million	Other reserves € million	Total € million
Balance at 1 January 2016	204	889	(98)	6,549	7,544
Transfers between reserves	-	2	-	(43)	(41)
Available-for-sale securities					
- changes in fair value, net of tax	-	-	29	-	29
- transfer to net profit, net of tax	-	-	1	-	1
Cash flow hedges					
- changes in fair value, net of tax	-	-	16	-	16
- transfer to net profit, net of tax	-	-	(5)	-	(5)
Actuarial gains/(losses) on post employment benefit obligations, net of tax	-	-	-	(4)	(4)
Balance at 31 December 2016	204	891	(57)	6,502	7,540
Balance at 1 January 2017	204	891	(57)	6,502	7,540
Transfers between reserves	-	(4)	-	-	(4)
Available-for-sale securities					
- changes in fair value, net of tax	-	-	238	-	238
- transfer to net profit, net of tax	-	-	(36)	-	(36)
Cash flow hedges					
- changes in fair value, net of tax	-	-	30	-	30
- transfer to net profit, net of tax	-	-	(11)	-	(11)
Actuarial gains/(losses) on post employment benefit obligations, net of tax	-	-	-	(2)	(2)
Balance at 31 December 2017	204	887	164	6,500	7,755

As at 31 December 2017, the Bank has included in other reserves an amount of € 5,579 million (2016: € 5,579 million) which can be only either capitalized or offset against losses carried forward pursuant to article 4, par. 4a of Law 2190/1920.

Included in IAS 39 reserves as at 31 December 2017 is € 42 million loss (2016: € 61 million loss) relating to cash flow hedging reserve.

Statutory reserves and IAS 39 reserves are not distributable while non-taxed reserves are taxed when distributed.

40. Dividends

Based on the 2017 results and in combination with the article 44a of Company Law 2190/1920, the distribution of dividends is not permitted Under article 10 par. 3 of Law 3864/2010 for the “establishment of a Hellenic Financial Stability Fund”, for as long the HFSF participates in the share capital of the Bank, the amount of dividends that may be distributed to ordinary shareholders of the Bank cannot exceed 35% of the profits as provided in article 3 par. 1 of Law 148/1967 The dividend ban arising from the Restructuring Plan, which prescribes that neither the Bank nor any member of the Group may pay any dividend until the earlier of 31 December 2017 or the date of the full repayment of the Bank’s non-voting preference shares held by the Greek State, other than where there is a legal obligation to do so, and unless the European Commission agrees to an exemption, has ceased to apply effective 1 January 2018.

41. Transfers of financial assets

The Bank enters into transactions by which it transfers recognized financial assets directly to third parties or to Special Purpose Entities (SPEs).

(a) The Bank sells, in exchange for cash, securities under an agreement to repurchase them (repos) and assumes a liability to repay to the counterparty the cash received. In addition, the Bank pledges, in exchange for cash, securities and loans and receivables and assumes a liability to repay to the counterparty the cash received. The Bank has determined that it retains substantially all the risks, including associated credit and interest rate risks, and rewards of these financial assets and therefore has not derecognized them. As a result of the above transactions, the Bank is unable to use, sell or pledge the transferred assets

Notes to the Financial Statements

for the duration of the transaction. The related liability is recognized in Due to central banks and credit institutions (notes 30 and 31) and Due to customers (note 32), as appropriate.

The Bank enters into securitizations of various classes of loans (bond loans and credit cards), under which it assumes an obligation to pass on the cash flows from the loans to the holders of the notes. The Bank has determined that it retains substantially all risks, including associated credit and interest rate risks, and rewards of these loans and therefore has not derecognized them. As a result of the above transactions, the Bank is unable to use, sell or pledge the transferred assets for the duration of their retention by the SPE. Moreover, the note holders' recourse is limited to the transferred loans. As at 31 December 2017, the securitizations' issues were fully retained by the Bank (note 33).

The table below sets out the details of Bank's financial assets that have been sold or otherwise transferred, but which do not qualify for derecognition:

	Carrying amount	
	2017	2016
	€ million	€ million
Financial instruments at fair value through profit or loss	5	2
Loans and advances to customers	24,704	24,757
-securitized loans	436	400
-pledged loans under covered bond program	4,658	2,646
-pledged loans with central banks	19,552	21,629
-other pledged loans	58	82
Investment securities ⁽¹⁾ (restated, note 47)	6,513	10,940
Total	31,222	35,699

⁽¹⁾ Comparative figures include EFSF bonds of face value of € 6,809 million.

(b) As of 30 October 2017, the Government guaranteed bonds issued by the Bank matured (note 4). In the comparative period, the bonds issued under the second stream of Greek Economy Liquidity Support Program fully retained by the Bank of face and cash value of € 2,500 million and € 1,895 million, respectively, were pledged to ELA (face value € 1,160 million and cash value € 875 million), or sold under repurchase agreements (face value € 1,340 million and cash value € 1,020 million).

(c) In addition, the Bank may sell or re-pledge any securities borrowed or obtained through reverse repos and has an obligation to return the securities. The counterparty retains substantially all the risks and rewards of ownership and therefore the securities are not recognized by the Bank. As at 31 December 2017, the Bank had obtained through reverse repos securities of face value of € 180 million, sold under repurchase agreements with cash value of € 255 million (2016: nil). Furthermore, as at 31 December 2017, the Bank had obtained Greek treasury bills as collaterals for derivatives transactions with the Hellenic Republic of face value of € 970 million, sold under repurchase agreements with € 623 million cash value.

As at 31 December 2017, the cash value of the assets transferred or borrowed by the Bank through securities lending, reverse repo and other agreements (points a, b and c) amounted to € 20,655 million, while the associated liability from the above transactions amounted to € 16,190 million of which € 235 million repo agreements offset in the balance sheet against reverse repo deals (notes 30, 31, 32 and 33 and note 7.2.1.4) (2016: cash value € 27,519 million and liability € 23,995 million). In addition, the Bank's financial assets pledged as collaterals for repos, derivatives, securitizations and other transactions other than the financial assets presented in the table above are provided in notes 19 and 28.

42. Operating leases

The Bank has entered into commercial leases for premises, equipment and motor vehicles. The majority of the Bank's leases are under long-term agreements, according to the usual terms and conditions of commercial leases, including renewal options. In particular, as provided by the Greek Commercial Leases Law currently in force, the minimum lease period for commercial real estate leases starting after the end of February 2014 is three years. The Bank's lease agreements, do not include any clauses that impose any restriction on the Bank's ability to pay dividends, engage in debt financing transactions or enter into further lease agreements.

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Leases as lessee-Non-cancellable operating lease rentals are payable as follows:

	2017 € million	2016 € million
Not later than one year	29	28
Later than one year and no later than five years	52	50
Later than five years	34	45
Total	115	123

There are no material future minimum sublease payments to be received under non-cancellable subleases (2016: € 0.5 million).

Leases as lessor-Non-cancellable operating lease rentals are receivable as follows:

	2017 € million	2016 € million
Not later than one year	1	2
Later than one year and no later than five years	2	2
Later than five years	2	1
Total	5	5

43. Contingent liabilities and other commitments

Credit related commitments are analyzed as follows:

	2017 € million	2016 € million
Guarantees ⁽¹⁾ and standby letters of credit	884	832
Guarantees to Bank's SPV's issuing EMTNs	115	121
Other guarantees (medium risk) and documentary credits	368	383
Commitments to extend credit	118	102
Total	1,485	1,438

⁽¹⁾ Guarantees that carry the same credit risk as loans

Other commitments

(a) The Bank has signed irrevocable payment commitment and collateral arrangement agreements with the Single Resolution Board (SRB) amounting in total to € 7 million as at 31 December 2017 (2016: € 3.7 million), representing 15% of its resolution contribution payment obligation to the Single Resolution Fund (SRF) for the years 2016-2017.

According to the agreements, which are backed by cash collateral of an equal amount, the Bank undertook to pay to the SRB an amount up to the above irrevocable payment commitment, in case of a call and demand for payment made by it, in relation to a resolution action. The said cash collateral has been recognized as a financial asset in the Bank's balance sheet (note 28).

(b) As at 31 December 2017, the commitments related to capital expenditure amounted to € 26 million (2016: € 21 million).

Legal Proceedings

As at 31 December 2017 there were a number of legal proceedings outstanding against the Bank for which a provision of € 58 million was recorded (31 December 2016: € 55 million), as set out in note 34. The said amount includes € 40 million for the outstanding litigations with DEMCO S.A., which is related to the acquisition of New TT Hellenic Postbank S.A. in 2013.

Furthermore, the Bank is involved in a number of legal proceedings, in the normal course of business, which may be in early stages, their settlement may take years before they are resolved or their final outcome may be considered uncertain. For such cases, after considering the opinion of Legal Services General Division, Management does not expect that there will be an outflow of resources and therefore no provision is recognized.

Notes to the Financial Statements

Against the Bank various remedies have been filed in the form of lawsuits, applications for injunction measures and motions to vacate payment orders in relation to the contractual clauses of mortgage loans granted by the Bank in Swiss Francs (CHF) and the conditions under which the loans were granted. A class action has also been filed. From a Courts view point it may be sustained that the issue is still at a premature stage, considering that a substantial number of first instance Courts judgments has been issued, the majority of which are in favor of the Bank. Furthermore, there are eleven appellate Courts judgments in cases concerning the Bank in favor of the validity of the loans and one against. To date no judgment of the Areios Pagos, being the supreme civil Court, has been passed. On the class action a judgment was issued which accepted it, the Bank, though, has filed an appeal against the first instance judgment the decision of which was issued in February 2018, in favour of the Bank. This decision is subject to a cassation before the Supreme Court. In relation to the individual lawsuits the majority of the judgments issued are in favor of the Bank.

The Management of the Bank is closely monitoring any developments to the relevant cases to determine potential accounting implications in accordance with the Bank's accounting policies.

44. Post balance sheet events

Details of post balance sheet events are provided in the following notes:

Note 2.1– Basis of preparation
 Note 4 – Greek Economy Liquidity Support Program
 Note 6 – Capital Management
 Note 7.2.3 – Liquidity risk
 Note 24 – Shares in subsidiary undertakings
 Note 29 – Assets classified as Held for Sale
 Note 30 – Due to central banks
 Note 34 – Other liabilities
 Note 37 – Preference shares
 Note 38 – Hybrid Capital
 Note 40 – Dividends
 Note 43 – Contingent liabilities and other commitments
 Note 48 – Board of Directors

45. Related parties

In November 2015, following the completion of the Bank's share capital increase, fully covered by investors, institutional and others the percentage of the Bank's ordinary shares with voting rights held by the HFSF decreased from 35.41% to 2.38%.

Despite the aforementioned significant decrease of its percentage, the HFSF is still considered to have significant influence over the Bank. In particular, in the context of the Law 3864/2010, as in force, HFSF exercises its voting rights in the Bank's General Assembly only for decisions concerning the amendment of the Bank's Articles of Association, including the increase or decrease of the Bank's capital or the granting of a corresponding authorization to the Bank's Board, decisions concerning the mergers, divisions, conversions, revivals, extension of duration or dissolution of the Bank, the transfer of assets (including the sale of subsidiaries), or any other issue requiring approval by an increased majority as provided for in Company Law 2190/1920. In addition, the Bank has entered into a new Relationship Framework Agreement (RFA) with the HFSF on 4 December 2015 replacing the previous one, signed on 26 August 2014, which regulates, among others, (a) the Bank's corporate governance, (b) the restructuring plan and its monitoring, (c) the monitoring of the implementation of the Bank's Non-Performing Loans (NPLs) management framework and of the Bank's performance on NPLs resolution, (d) the Material Obligations and the switch to full voting rights, (e) the monitoring of the Bank's actual risk profile against the approved Risk and Capital Strategy, (f) the HFSF's prior written consent for the Bank's Group Risk and Capital Strategy and for the Bank's Group Strategy, Policy and Governance regarding the management of its arrears and non-performing loans and any amendment, extension, revision or deviation thereof and (g) the duties, rights and obligations of HFSF's Representative in the Bank's Board.

A number of banking transactions are entered into with related parties in the normal course of business and are conducted on an arm's length basis. These include loans, deposits and guarantees. In addition, as part of its normal course of business in investment banking activities, the Bank at times may hold positions in debt and equity instruments of related parties.

Notes to the Financial Statements

The outstanding balances of the transactions with: (a) the subsidiaries, (b) the key management personnel (KMP) and the entities controlled or jointly controlled by KMP and (c) the associates and joint ventures, as well as the relating income and expenses are as follows:

	31 December 2017			31 December 2016		
	Subsidiaries ⁽²⁾	KMP ⁽¹⁾ and entities controlled or jointly controlled by KMP	Associates and joint ventures	Subsidiaries	KMP ⁽¹⁾ and entities controlled or jointly controlled by KMP	Associates ⁽³⁾ and joint ventures
	€ million	€ million	€ million	€ million	€ million	€ million
Due from credit institutions	1,200.06	-	-	1,521.76	-	-
Financial Instruments at fair value through profit or loss	1.53	-	-	1.03	-	-
Derivative financial instruments assets	9.07	-	0.01	7.00	-	-
Investment Securities	0.12	-	-	1.70	-	-
Loans and advances to customers, net of provision	1,486.35	6.74	9.38	1,501.24	7.12	5.67
Other assets	45.16	-	4.37	8.12	-	6.08
Due to credit institutions	3,388.37	-	-	3,658.26	-	-
Derivative financial instruments liabilities	0.88	-	-	10.09	-	-
Due to customers	479.34	2.09	45.08	336.01	2.29	99.73
Debt securities in issue	6.64	-	-	16.29	-	-
Other liabilities	15.94	-	2.98	14.89	-	2.97
Net interest income	1.28	0.04	(8.28)	11.21	0.03	(4.46)
Net banking fee and commission income	3.95	-	6.87	6.39	-	4.77
Dividend income	122.87	-	7.83	60.00	-	0.31
Net trading income	(1.34)	-	0.16	0.53	-	(1.29)
Gains less losses from investment securities	-	-	0.02	-	-	0.16
Other operating income/(expense)	(15.39)	-	(22.20)	(36.38)	-	(9.56)
Impairment losses on loans and advances and collectors fees	(86.54)	-	(2.93)	(235.33)	-	(2.15)
Guarantees issued ⁽⁴⁾	660.78	-	4.60	710.39	-	-
Guarantees received	-	0.04	-	-	0.05	-

⁽¹⁾ Includes the key management personnel of the Bank and their close family members.

⁽²⁾ Equity contributions and other transactions with subsidiaries are presented in notes 21, 24.

⁽³⁾ As of 4 August 2016, Eurolife insurance Group has been accounted for as an associate. The Bank's income and expenses from transactions with Eurolife Insurance Group including loan insurance premiums, fees from bancassurance and employee benefits (pension and medical insurance) are presented in the above table. Comparative information has been adjusted accordingly.

⁽⁴⁾ Comparative information for the guarantees issued by the Bank to its subsidiaries has been adjusted.

For the year ended 31 December 2017, there were no material transactions with the HFSF. In addition, as at 31 December 2017, the loans, net of provisions, granted to entities controlled by the Bank pursuant to the terms of the relevant share pledge agreements (note 24) amounted to € 4.7 million (2016: € 5.3 million).

Following the assessment of the recoverable amount of the Bank's funding to its subsidiaries, associates and joint ventures, an impairment loss of € 65 million has been recorded in 2017, (2016: € 215 million) mainly to reflect the carrying values of their loans' and properties' portfolios (note 22). As at 31 December 2017, the impairment allowance for loans and receivables with the Bank's consolidated subsidiaries, associates and joint ventures amounted to € 263 million (2016: € 209 million).

Notes to the Financial Statements

In relation to the guarantees issued, the Bank has received cash collateral of € 64 million as at 31 December 2017 (2016: € 60 million) which is included in Due to Customers.

Key management compensation (directors and other key management personnel of the Bank)

Key management personnel are entitled to compensation in the form of short-term employee benefits of € 5.34 million (2016: € 4.79 million) and long-term employee benefits of € 0.75 million (2016: € 0.53million). In addition, the Bank has formed a defined benefit obligation for the KMP amounting to € 0.88 million as at 31 December 2017 (2016: € 0.81 million), while the respective cost for the year amounts to € 0.07 million (2016: € 0.05 million).

46. External Auditors

The Bank has adopted a Policy on External Auditors' Independence which provides amongst others, for the definition of the permitted and non-permitted services the Bank auditors may provide further to the statutory audit. For any such services to be assigned to the Bank's auditors there are specific controlling mechanisms in order for the Bank's Audit Committee to ensure there is proper balance between audit and non-audit work.

The total fees of the Bank's independent auditor 'PricewaterhouseCoopers Certified Auditors' for audit and other services provided are analyzed as follows:

	2017 € million	2016 € million
Statutory audit	(1.2)	(1.1)
Tax Certificate	(0.2)	(0.2)
Other audit related assignments	(0.2)	(0.2)
Non audit assignments	(1.2)	(0.6)
Total	(2.8)	(2.1)

It is noted that the non-audit assignments fees of "PricewaterhouseCoopers Auditing Company S.A." Greece, statutory auditor of the Bank, amounted to € 1.2 million.

According to the provisions of Law 4449/2017 and following relevant proposal of the Audit Committee, the Board of Directors (BoD) at its meeting on 24 February 2017 approved KPMG Certified Auditors A.E. (KPMG) being the successful audit firm of the tendering process for conducting the statutory audit of the Bank's financial statements (standalone and consolidated) for the period 2018-2022, subject to obtaining every year both the BoD's proposal addressed to the Bank's Shareholders' General Meeting and the decision of the General Meeting for the appointment of KPMG as statutory auditor for the period 2018-2022, as well as receiving any other necessary approvals each time in force.

47. Restatements due to change in accounting policy

In the fourth quarter of 2017, the Bank adjusted the effective interest rate methodology applied on its inflation linked financial instruments. In accordance with IAS 8 "Accounting policies, changes in accounting estimates and errors", the above change in the Bank's accounting policy on interest income recognition was applied retrospectively as of 1 January 2016 (note 2.2.5). As a result, the retained earnings as of 1 January 2016 have been restated with a positive impact of € 34 million in the Banks's total equity increasing respectively the Bank's total assets. In addition, the income statement for the year ended 31 December 2016 has also been restated with € 5 million profit (€ 7 million net interest income less € 2 million tax expense).

Notes to the Financial Statements

The above changes are presented in the below table:

	31 December 2016			2016 Opening balance sheet		
	as published € million	Restatements	as restated € million	31 Dec 2015 as published € million	Restatements	1 Jan 2016 as restated € million
Investment securities	11,011	55	11,066	14,585	48	14,633
Deferred tax assets	4,918	(16)	4,902	4,902	(14)	4,888
Total assets	57,882	39	57,921	64,195	34	64,229
Total equity attributable to shareholders of the Bank	6,130	39	6,169	6,088	34	6,122
of which net profit attributable to shareholders	5	5	10			
Total equity	6,173	39	6,212	6,131	34	6,165
Total equity and liabilities	57,882	39	57,921	64,195	34	64,229

48. Board of Directors

The Board of Directors (BoD) was elected by the Annual General Meeting held on 27 June 2013 for a three years term of office. Its term of office, following the resolution of the Bank's Annual General Meeting held on 26 June 2015, expires on 27 June 2018, and in any case until the date the Bank's Annual General Meeting for the year 2018 will take place.

The appointments of Mr. George E. Myhal on 26 October 2016 and of Mr. Richard P. Boucher on 12 January 2017 as new independent non-executive members of the BoD, in replacement of resigned members in 2016, were announced to the General Meeting of the Shareholders of the Bank which took place on 16 June 2017.

In addition, the Bank announced on 7 April 2017 that Mr. Wade Sebastian Burton non-executive member of the BoD of the Bank, submitted his resignation from the BoD effective as of 5 April 2017, while the BoD during its meeting on 28 April 2017 decided to retain a size of 13 members, according to the HFSF corporate governance review criteria developed as per the relevant provisions of Law 3864/2010.

Moreover the Bank announced on 14 July 2017 that Ms. Androniki Boumi has been appointed as new representative of the Greek State to the Bank's Board according to the provisions of Law 3723/2008, in replacement of Ms. Christina Andreou who informed the Bank on her resignation on 26 May 2017, while with the BoD decision on 20 July 2017, Ms. Androniki Boumi has been integrated to the Bank's BoD. Furthermore, on 12 October 2017, the Bank announced the appointment of Mr. Christoforos Koufalias as the new representative of the HFSF to Eurobank's BoD in replacement of Mr. Kenneth Howard Prince-Wright, according to the provisions of Law 3864/2010 and the Relationship Framework Agreement signed between Eurobank and HFSF.

The appointment of both BoD members was announced at the Extraordinary General Meeting of the Shareholders of the Bank, which took place on 3 November 2017.

Additionally, the Bank announced on 14 December 2017 the appointment of Ms. Aikaterini Beritsi as the new representative of the HFSF to Eurobank's BoD in replacement of Mr. Christoforos Koufalias, according to the provisions of Law 3864/2010 and the Relationship Framework Agreement signed between Eurobank and HFSF. The appointment of the new member of the BoD will be announced to the next General Meeting of the Shareholders of the Bank.

Finally, the Bank's Board at its meeting on 9 March 2018, acknowledged that the Bank ceased to be subject to the provisions of the Greek Economy Liquidity Support Program under Law 3723/2008 and that the Greek State's right to participate, through its representative, to the Bank's BoD has ceased to exist as of 17 January 2018, (note 4). Moreover the BoD decided that Ms. Androniki Boumi is appointed to the Banks' BoD as non-executive Director, her tenure being equal to the tenure of the other BoD members. The appointment of Ms. A. Boumi in the BoD under her new capacity will be announced at the next General Meeting of the Shareholders of the Bank.

Notes to the Financial Statements

Following the above, the BoD is as follows:

N. Karamouzis	Chairman, Non-Executive
F. Karavias	Chief Executive Officer
S. Ioannou	Deputy Chief Executive Officer
T. Kalantonis	Deputy Chief Executive Officer
A. Boumi	Non-Executive
G. Chrysikos	Non-Executive
R. Boucher	Non-Executive Independent
S. Johnson	Non-Executive Independent
B. P. Martin	Non-Executive Independent
J. Mirza	Non-Executive Independent
G. Myhal	Non-Executive Independent
L. Reichlin	Non-Executive Independent
A. Beritsi	Non-Executive (HFSF representative under Law 3864/2010)

Athens, 28 March 2018

Nikolaos V. Karamouzis
I.D. No AB - 336562
CHAIRMAN
OF THE BOARD OF DIRECTORS

Fokion C. Karavias
I.D. No AI - 677962
CHIEF EXECUTIVE OFFICER

Harris V. Kokologiannis
I.D. No AK - 021124
GENERAL MANAGER OF GROUP FINANCE
GROUP CHIEF FINANCIAL OFFICER

VI. Website Address for Information on Subsidiaries of the Bank

The website address, where the annual financial statements for the year ended 31.12.2017 are uploaded, as well as the independent Auditors' reports and the Board of Directors' Reports of the entities, which are consolidated and not listed and which represent accumulatively more than 5% of the consolidated turnover or of the assets of the consolidated balance sheet or of the consolidated results after subtracting the proportion of minority shares, is: www.eurobank.gr

VII. Information of Eurobank Ergasias S.A. group for the period 1.1-31.12.2017 pursuant to article 6 of l. 4374/2016

INFORMATION OF EUROBANK ERGASIAS GROUP FOR THE PERIOD 01/01 - 31/12/2017 PURSUANT TO ARTICLE 6 OF L. 4374/2016

PAYMENTS ON CONSOLIDATED BASIS PURSUANT TO PARAGRAPH 1 OF ARTICLE 6 OF L.4374 / 2016

LEGAL ENTITY / NAME OF INDIVIDUAL	AMOUNTS (pre taxes and charges)
1984 PRODUCTIONS S.A.	15,900.00
24 MEDIA SOLE PROPRIETOR L.T.D. COMPANY	22,661.60
A. AVGOULI - G.GIAOURDIMOS & CO LIMITED PARTNERSHIP	1,188.00
A. GKATZIOS - M.K.DANOS - M.PETROPOULOS L.T.D. - ANAGNOSTIS PELOPONISSOU	1,536.00
A. MIKONIATIS PUBLICATIONS S.A.	8,130.00
A. S. M. PUBLICATIONS PRIVATE COMPANY	10,837.39
A. VLACHOS & CO GENERAL PARTNERSHIP - RADIO ARGOSTOLI	309.60
ADWEB L.T.D.	10,400.00
AFOI APOSTOLOU GENERAL PARTNERSHIP - LOUTRAKI FM	1,843.60
AGRO BROKERS L.T.D.	1,500.00
AGROTYPOS S.A.	3,900.00
AKRITES TELEVISION COMPANY S.A.	805.00
AKROASSIS NISON IONIOU SINGLE MEMBERD PRIVATE COMPANY	180.00
ALEVritis TRIFON SINGLE ENTITY PRIVATE COMPANY	3,600.00
ALEXANDROUPOLI FREE RADIO TELEVISION S.A.	931.00
ALITHIA PUBLICATIONS L.T.D.	1,600.00
ALLIANCE FOR GREECE	3,000.00
ALPHA NEWS DRAMAS SINGLE MEMBERED PRIVATE COMPANY	330.00
ALPHA RADIO S.A.	51,450.10
ALPHA SATELLITE TELEVISION S.A.	446,945.88
ALTER EGO MEDIA ENTERPRISES S.A.	82,929.04
AMVROSIΟΥ G. SINGLE MEMBERD LIMITED LIABILITY COMPANY - I ALITHIA	1,956.00
ANASTASIOS D. SKARAMAGKAS	520.00
ANASTASIOS K. GAVRILIADIS	522.00
ANEZAKIS EMMANOUIL	1,131.62
ANEZAKIS EPAMINONDAS	522.18
ANGELAKI KIRIAKI	1,200.00
ANNA MARIA TZOLEKA	464.00
ANNA NIKOLOPOULOU & CO LIMITED LIABILITY PARTNERSHIP	2,500.00
ANTENNA TV S.A.	333,763.72
ANTONIOS MOUNTAKIS KONSTANTINOS	4,752.00
ARABATZIS ALEX DIMITRIOS	975.00
ARABATZIS GEORGIOS	638.00
ARETI - ANNA E. TZALA & CO L.T.D. PARTNERSHIP - EPIROTIKOS AGON	1,800.00
ARGIROPOULOU POLIXENI	1,015.00
ASLANIDIS ANASTASIOS GEORGIOS THESTIVAL MEDIA	3,000.00
ATHANASIOS L. REPAKIS	540.00
ATHANASIOU DAMIANOS	1,680.00
ATHANASIOU EVANGELOS & CO GENERAL PARTNERSHIP	2,000.00
ATHENS MUNICIPAL RADIO - ATHINA 984	14,000.00
ATHENS NEWS AGENCY - MACEDONIAN PRESS AGENCY S.A.	21,100.00
ATHENS VOICE PUBLISHING & ADVERTISING S.A.	17,400.00
ATTIKES EKDOSEIS PUBLISHING S.A.	4,050.00
AXAOPOULOS IAKOVOS	520.00
BAKI DIM. DIMITRA	516.00
BANKINGNEWS S.A.	31,700.00
BAVELAS E. THEODOROS	980.00
BECHLIVANOS I. CHRISTOS	3,000.00
BIOGROUP SINGLE MEMBERD L.T.D.	7,514.88
BOULEVARD FREE PRESS PRIVATE COMPANY	3,030.00
BOUSIAS COMMUNICATIONS L.T.D.	44,050.22
BOUTHAS PETR. KONSTANTINOS	1,800.00
BROADCASTING PROMOTION S.A. SPORT TV	13,838.85
CAPITAL.GR SERVICES PRINTED AND ELECTRONIC INFORMATION S.A.	133,999.98
CHAMBERS' OF COMMERCE CLUB FOR GREEK ISLANDS DEVELOPMENT	750.00
CHANIOTIKA NEA PUBLISHING PRINTING S.A.	5,600.00
CHATZIS NIKOLAOS & CO GP	13,200.00
CHRISI EFKERIA EDITIONS S.A.	30,649.00
CHRISSOULA CHRISTINA CHONDROGIANNI	1,098.00
CHRISTOS ATHANASSIADIS	1,026.00
CHRISTOS DIMITRIADIS & CO GENERAL PARTNESHIP - TIPOEKDOTIKI OF EDESSA	2,500.00
COSMOS BROADCASTING TELECOMMUNICATIONS PUBLISHING COMMERSIAL S.A.	5,961.48
COSMOS L.T.D.	2,400.00
CREATIVE INTERNET SERVICES SINGLE MEMBER L.T.D.	10,800.00
CRETALIVE SINGLE MEMBERD LIMITED LIABILITY COMPANY	2,000.00
CRETAPOST PRIVATE COMPANY	1,000.00
CYCLADES RADIO & ADVERTISING LIMITED PARTNERSHIP - MESOGEIOS STO KOKKINO 105,4 FM	516.00
D A SOCIETE ANONYME COMMERCIAL PUBLISHING COMPANY	65,000.00
D.G. NEWSAGENCY S.A.	29,999.98
DAFNOPOTAMOS SINGLE MEMBER L.T.D.	1,800.00
DANILOUDIS N. DIMITRIOS	444.01
DELTA TELEVISION S.A.	796.50
DEMOCRATIC PRESS NEWS PUBLISHING TRADE S.A.	64,000.00
DENAXAS IOANNIS - EMPNEUSI 107 FM	412.80
DESMI PUBLISHING S.A.	50,850.00
DIAFONIDOU ELENI	1,275.00

DIFONO RADIOPHONIC OPERATIONS S.A. - PEPPER 96.6	3,354.40
DIMITRIOS TOLIS SINGLE MEMBERED PRIVATE COMPANY - LOCAL NEWS	2,900.00
DIMITROMANOLAKIS GEORGIOS	8,000.00
DIO DEKA EKDOTIKI S.A.	15,000.00
DIONATOS AND CO. L.P. DELTA PRESS	10,800.00
DIONISIOS VAROUXIS & CO GENERAL PARTNERSHIP - MULTI PRODUCTIONS	600.00
DITIONE L.T.D. INTERNET ENTERPRISES	5,500.00
DOCUMENTO MEDIA SINGLE MEMBER PRIVATE COMPANY	36,000.00
DOT COM NEWS S.A.	808,451.18
DOUSIS ANASTASIOS & CO L.P.	28,500.00
DPG DIGITAL MEDIA S.A.	28,753.65
E. LASKARAKIS & CO - GNOMI	999.00
ELEFTERIA PUBLISHING S.A.	8,370.00
ELEFTERIADIS EVANGELOS	300.00
ELEFThERIA MAKENATZI NOMIDI & CO LIMITED LIABILITY PARTNERSHIP	702.00
ELEFThERIA TOU TIPOU PUBLISHING S.A.	35,000.00
ELEThERIA LARISSA NEWS ORGANISATION S.A.	4,536.00
EMMANOUIL G. KALLIGERIS	463.97
ENERGY MEDIA GROUP PRIVATE COMPANY	182.00
ENIKOS S.A.	32,500.00
ENTYPOEKDOTIKI INDUSTRIAL AND COMMERCIAL S.A.	7,500.00
EPENDISI PUBLICATIONS S.A.	2,320.00
EPIKOINONIA AIGAIΟΥ S.A.	3,168.00
EPIRUS RADIOBROADCASTING ENTERPRISES S.A. - EPIRUS TV1	1,615.00
ERMIS RADIOTELEVISION & PUBLISHING S.A.	1,700.00
ESTIA NEWSPAPER C.S.A.	51,000.00
ETHNOS - DIMERA PUBLISHING S.A.	4,800.00
ETHNOS PUBLISHING S.A.	114,700.00
ETHOS MEDIA S.A.	1,556.60
EUROPE ONE TELEVISION S.A.	1,411.60
EXPLORER S.A.	64,067.80
FAIDON GEORGIOS I. IOANNIDIS	1,170.00
FAKIS D. IOANNIS	653.00
FANOYRAKIS ELEFThERIOS	554.40
FAROSNET EXPLOITATION OF INTERNET MEDIA AND COMMUNICATION S.A.	13,661.60
FELNIKOS ELECTRONIC MEDIA S.M. L.T.D.	17,100.00
FILIKI COMMUNICATIONS L.T.D.	645.00
FINANCIAL MARKETS VOICE PUBLISHING COMPANY LIMITED	1,000.00
FINANCIAL PRESS PRIVATE COMPANY	2,400.00
FLY RADIOTELEVISION ENTERPRISES CIVIL COMPANY	580.00
FORTHNET MEDIA S.A.	71,765.28
FOX NETWORKS GROUP S.A.	7,356.80
FRANCOHELLENIC CHAMBER OF COMMERCE AND INDUSTRY	1,000.00
FREE SUNDAY PUBLISHING SA.	29,000.00
FREENET S.A.	17,100.00
FRONTSTAGE ENTERTAINMENT S.A.	11,442.70
G. ALEXIOUS & CO S.A.	3,456.00
GALANOMATIS GAVR. GEORGIOS	1,596.00
GARANTONAKIS EMMANOUIL	240.00
GENERAL RADIOTELEVISION ENTERPRISES S.A. - BLUE SKY	11,849.52
GEORGIOS SKOUFOS SUCCESSORS - O DIMOKRATIS	1,110.00
GNOMI M. L.T.D.	3,300.00
GRAFOTECHNIKI KRITIS S.A.	6,529.44
GREEN BOX PUBLISHING S.A.	4,900.00
HELLENIC TELECOMMUNICATION ORGANIZATION S.A.	74,212.98
HERODOTUS RADIO PRIVATE COMPANY	1,000.00
I AVGI - PUBLISHING AND JOURNALISTIC ORGANIZATION S.A.	60,529.04
I NAFTEMPORIKI - PANOS ATHANASIADIS & CO S.A.	34,800.00
ICAP GROUP S.A.	3,520.00
ICHOS & RITHMOS S.A.	6,168.50
IDENTITY MEDIA S.A.	5,400.00
IKAROS RADIOTELEVISION COMPANY S.A.	51,572.40
ILIAS P. KOTSALIS	464.40
IMERISIA COMMERCIAL S.A.	10,000.00
INDEPENDENT MEDIA S.A.	68,320.00
INSTITUTE OF RESEARCH AND STUDIES OF THE CENTRAL UNION OF CHAMBERS OF GREECE I.E.M.E. K.E.E.E.	2,800.00
INTERNATIONAL EXHIBITION OF THESSALONIKI S.A.	187.20
INTERNATIONAL SERVICES ENTERPRISES S.A. - ALFA TELEVISION	14,779.34
INTERNET SOLUTIONS LIMITED PARTNERSHIP	520.00
IOANNINA TV S.A.	836.00
IOANNIS KYRIAKOPOULOS & CO L.P.	6,000.00
IOANNIS MALAMADAKIS SUCCESSORS - DIMOKRATIS	3,540.00
K.RAKINTZIS & CO GENERAL PARTNERSHIP	844.74
K.STEFANOY - G.STEFANOY GENERAL PARTNERSHIP	442.00
KALAITZAKIS PUBLISHING COMPANY S.A.	5,164.90
KALATZIS CHRISTOS	2,898.00
KALLIOPI KOZIRIS & MICHALIS KOZIRIS GENERAL PARTNERSHIP	4,162.50
KAMBIOTIS SPIROS & CO GENERAL PARTNERSHIP	1,800.00
KAMMI MARIA EMMANOYIL	260.00
KANDARTZOGLOU STILIANI	3,982.50
KANELLOS DIMITRIOS	1,676.00
KARAIVAZ DIM. GEORGIOS	3,000.00
KARDIA KRITIS SINGLE MEMBERED PRIVATE COMPANY	2,210.50

KARDITSA INFORMATION S.A.	1,055.00
KASMIRLIS DIMITRIOS	400.00
KASTORINI IOSIF IOANNIS	850.00
KATHIMERINES PUBLICATIONS S.A.	347,608.36
KATOPODI ARGIRI	260.00
KATSANTOULAS DIMITRIOS	232.00
KEFIS PANTELIS	280.00
KIKLOS COMMERCIAL & PUBLISHING S.A.	5,875.00
KIMPOUROPOULOS IOANNIS	980.00
KIPRIOTIS STYL. KONSTANTINOS	464.40
KISS MEDIA S.A.	608.38
KOKKINOUELENI & CO LIMITED PARTNERSHIP - I FONI TIS KORINTHIAS	859.56
KOLOKA DIM. & CO GP	652.50
KONDILI MEDIA ORGANISATION S.A. - ELEFThERI THRAKI	1,316.00
KONTIZA SERAFIMOULA	387.00
KONTRA MEDIA S.A.	19,555.92
KOSTAS I. MALAPETSAS	1,700.00
KOTROTSOS SERAPHIM PAUL	4,250.00
KOULA SANDY LADIKOU	516.00
KOUTSOLIONDOU I. & E. GENERAL PARTNERSHIP - O PROINOS LOGOS TIS DEFTERAS	2,430.00
KTENAS EVANGELOS	309.60
LABRAKI JOURNALISTIC ORGANIZATION S.A.	100,298.00
LADAS DIMITRIOS	516.00
LAMIAKOS TYPOS S.A.	1,230.00
LAOUTARIS KLON SINGLE MEMBERD LIMITED LIABILITY COMPANY	1,000.00
LEAD GENERATION S.A.	1,050.00
LEFAS ALEXIOS	516.00
LEFT MEDIA RADIO - TELEVISION S.A.	21,950.75
LEMAS EVANGELOS	850.00
LEMNOS CULTURAL EDUCATIONAL ATHLETIC ASSOCIATION	309.60
LEOTSAKOS P.& CO GP	31,700.00
LEOUSI AIKATERINI	3,000.00
LINKWISE PRIVATE COMPANY	1,000.00
LIQUID MEDIA S.A.	16,400.00
LOIZOS KL. LOIZOS	516.00
LOVE RADIO BROADCASTING S.A.	695.78
M.TSAROUCHAS & CO S.A. - PROINOS LOGOS	2,500.00
MAKEDONIKI PUBLISHING PRINTING S.A.	4,000.00
MANESIOTIS NIKOLAOS - PSOMIADIS KONSTANTINOS GP	12,750.00
MANIOS ATHANASIOS	516.00
MARIA VASILAKI PUBLISHING BUSINESS SINGLE MEMBER L.T.D.	2,000.00
MARKOU S. STEFANOS	500.00
MATHIOUDAKIS MEDIA S.A.	2,100.00
MAZOKOPAKIS SPIRIDON	387.00
MEDIA2DAY PUBLISHING S.A.	144,059.03
MEDIHOLD PUBLISHING ADVERTISING S.A.	550.00
MELODIA S.A.	11,567.87
MESOGEOS S.A.	627.00
MESSINIAKI RADIO TELEVISION S.A.	835.85
METAMEDIA SINGLE MEMBERED PRIVATE COMPANY	3,000.00
METHIMAKIS EMMANOUIL	1,105.00
METRODEAL SINGLE MEMBER PRIVATE COMPANY	1,123.20
METROMEDIA S.A.	241.94
METRON ARISTON SINGLE MEMBERD LIMITED LIABILITY COMPANY - FLASHNEWS.GR	1,400.00
MICHAIL MAROULIS GENERAL PARTNERSHIP	645.00
MICHALAKIS A PANAGIOTIS	25,500.00
MICHALIS SVARNIAS SINGLE MEMBERED PRIVATE COMPANY	260.00
MINISTRY OF CITIZEN PROTECTION	5,828.00
MONOCLE MEDIA LAB MONONEWS SINGLE MEMBERD PRIVATE COMPANY	4,000.00
MOUSIKES SYCHNOTITES SINGLE MEMBERD LIMITED LIABILITY COMPANY - ENERGY 88,3 FM	1,450.00
MUNICIPAL TV CORPORATION OF MUNICIPALITY OF ASPROPIRGOS	264.00
N K HOLDING PRIVATE COMPANY PUBLISHING HOLDING COMPANY	9,799.98
N K MEDIA GROUP EK. L.T.D.	46,999.95
N. KATSARAKIAS & CO L.T.D. PARTNERSHIP - O POLITIS	1,100.00
N.S.K. PUBLISHING L.L.C.	6,864.00
NAOUSSA VOICE GENERAL PARTNERSHIP	1,938.00
NEA TELEORASI S.A.	357,515.66
NEO CHRIMA PUBLISHING S.A.	60,000.00
NETWORK AND COMMUNICATION INSTRUMENTS OF PELOPONNESE SINGLE MEMBERED PRIVATE COMPANY	516.00
NEW MEDIA NETWORK SYNAPSIS S.A.	84,000.00
NEW RADIO OF THE REPORTERS L.T.D. - THEMA 104,6	12,000.00
NEWPOST PRIVATE COMPANY	28,000.00
NEWSIT L.T.D.	76,650.00
NEWSMEDIA LIMITED LIABILITY PARTNERSHIP	3,500.00
NEWSMEDIA SINGLE MEMBERED PRIVATE COMPANY	1,400.00
NIKOLAOS A. VRELLIS	645.00
ODEON ENTERTAINMENT MANAGEMENT ADMINISTRATION AND EXPLOITATION OF CINEMATOGRAPHIC HALLS	1,650.00
SOCIETE ANONYME	
OLIVE MEDIA S.A.	20,200.00
OLYMPIC RADIO TELEVISION S.A. - O.R.T.	665.00
P D PUBLICATIONS L.T.D.	9,912.00
P. BOUSBOURELIS LIMITED PARTNERSHIP	1,500.00
P. KOUTSOUKOS - A.MPOUSTRAS SOCIETE ANONYME	10,100.00

PAGRITIA RADIOTELEVISION S.A. - TV CRETA	10,318.43
PALO DIGITAL TECHNOLOGIES L.T.D.	22,430.06
PANAGIOTOPOULOS CHRISTOS AND CO GP	6,000.00
PANIPIROTIKI TELEVISION S.A. - VIMA TV	874.00
PAPANTONIS - TSANTILIS	522.00
PAPPIS VASILEIOS	516.00
PARAENA PUBLISHING L.T.D. - INTERNET SERVICES	70,000.00
PARAPOLITIKA EDITIONS S.A.	72,468.00
PATSIKAS PUBLICATIONS LIMITED PARTNERSHIP-DIMOSIOGRAFIKI VEROIA L.P.	2,072.00
PELOPONNESE PATRON EDITIONS S.A.	4,900.00
PHILELEFTHEROS PUBLISHING S.A.	64,516.13
PLAISIO S.A.	1,125.00
POLITI - SIAFAKA MARIELIZE - VASILIKI INTERNET SERVICES CODEX NETWORK SERVICES	4,700.00
PREMIUM S.A.	44,000.00
PRIME APPLICATIONS S.A.	36,000.00
PRINTING MEDIA PUBLICATION OF THESSALY - EREVNA S.A.	2,250.00
PROTAGON S.A.	30,000.00
PROTI PUBLISHING S.A. - I PROTI TIS ILIAS	2,508.00
PROTO THEMA PUBLISHING S.A.	316,750.40
PROVOLI SALES PROMOTION S.A.	1,600.00
PUBLICATIONS ALEXANDROS L.T.D.	1,500.00
PUBLISHING ADVERTISING S.A. - JOURNAL - PLANET	1,300.00
RADIO BROADCASTING COMPANIES MITILINIS S.A.	915.00
RADIO BROADCASTING S.A. - E RADIO TV	48,407.07
RADIO BUSINESS REAL FM	123,244.06
RADIO COMMUNICATION S.A.	4,032.00
RADIO SAMOS LIMITED PARTNERSHIP	300.00
RADIO TELEVISION ENTERPRISES - ANTENNA S.A.	3,354.40
RADIO TELEVISION ENTERPRISES S.A. - SYROS TV	770.00
RADIO TELEVISION S.A. ART STUDIOS - KANALI 6	760.00
RADIO TELEVISION SINGLE MEMBERED COMPANY LIMITED	1,160.00
RADIO TELEVISION TOURIST ENTERPRISES - IRIDA S.A.	1,134.20
RADIO THESSALONIKI S.A.	1,310.40
RADIO ZIGOS LIMITED PARTNERSHIP	1,450.26
RADIOTELECOMMUNICATION ENTERPISES - ASTRA S.A.	607.00
REAL MEDIA S.A.	62,196.90
REPORT PRIVATE COMPANY PRIVATE COMPANY	8,500.00
RETHIMNO TELEVISION S.A.	4,894.45
REVMATA PUBLICATIONS S.A.	10,000.00
RIGA BROS SA - PROINI S.A.	2,400.00
ROCK 96.9 FM - AIRLINK S.A.	9,285.80
S PAVLOPOULOS SOCIAL DIGITAL INFORMATION ADVERTISING OTHER ELECTRONIC SERVICES	5,000.00
S. GAVRIILIDIS - TH.CHRISTAKIS GENERAL PARTNERSHIP - RADIO TOXOTIS 96,3	696.00
S. PATINIOTIS & CO GENERAL PARTNERSHIP	150.00
S. RIZOPOULOS & CO L.P.	25,000.00
S. TSOPANAKI SONS - I. KOTIADIS GENERAL PARTNERSHIP - I RODIAKI	3,195.00
SABD PUBLISHING S.A.	97,000.00
SARISA L.T.D.	14,400.00
SBC SINGLE MEMBER PRIVATE COMPANY COMMUNICATION SERVICES	15,759.00
SBC TV TELEVISION ENTERPRISES S.A.	517.00
SELANA PUBLICATIONS AND MEDIA S.A.	9,500.00
SERRAIKA MEDIA CULTURE S.A.	2,660.00
SERRAIKES EKDOSEIS LIMITED PARTNERSHIP	937.50
SFERA RADIO S.A.	684.00
SIDIROPOULOS ARGIRIS	900.00
SIRGANI PARASKEVI	1,500.00
SITIA TV RADIOBROADCASTING SERVICES S.A.	72.00
SKLAVOUNAKIS EMMANOUIL	462.00
SOCIAL COOPERATIVE ENTERPRISE	1,600.00
SOFIA OUZOUNIDOU	520.00
SOLARIS GEORGIOS	468.00
SPANOU ANGELIKI PRIVATE COMPANY	2,500.00
SPORTNEWS INTERNET SERVICES S.A.	10,200.00
SPYRIDON MASOYRIS KONSTANTINOS	792.00
STAMOULIS PUBLICATIONS S.A.	3,500.00
STAR CHANNEL S.A.	560.00
STAVRIDOU STILIANI	1,080.00
STAVROS MATSIS	1,500.00
STELIOS THEODORIDIS	417.60
STOIKOS ST. & CO GENERAL PARTNERSHIP - LESVOS NEWS	1,500.00
SYROS - ERMROUPOLI MUNICIPALITY RADIOTELECOMMUNICATION ENTERPRISE	464.40
SYSTEM MEDIA ART S.A.	850.00
T LIFE L.T.D. WEB APPLICATIONS	5,000.00
TAKE IT COMMUNICATION PRIVATE COMPANY	4,000.00
TEKMIRIOSI SINGLE MEMBERED LIMITED COMPANY	2,900.00
THARROS PUBLISHING L.T.D.	5,000.00
THE NATIONAL HERALD OF NEW YORK MEME	5,648.00
THE TOC DIGITAL MEDIA NEWS SERVICES S.A.	28,000.00
THEOFILOS MICHALATOS	468.00
THESSALIA TV S.A.	1,330.00
THESSALIKI RADIOTELEVISION S.A.	18,486.40
THESSALY MEDIA SINGLE MEMBERED PRIVATE COMPANY	600.00
THETA COMMUNICATION L.L.C.	2,978.40

THOMA ANTONIA "PRESS THESSALONIKI"	4,880.40
THOMA THEODORA	2,898.00
THRAKIKI - RADIODILEOPTIKI S.A. - XANTHI CHANNEL	760.00
THRAKIKI SINGLE MEMBERED PRIVATE COMPANY	999.00
TNC GROUP PRIVATE COMPANY	2,500.00
TO KOUTI TIS PANDORAS MEDIA L.P.	14,800.00
TODAYS WORLD PUBLICATION PUBLISHING BUSINESS S.A.	1,000.00
TRAPEZIKO VIMA NON PROFIT COMPANY	2,700.00
TRANTAFILLOPOULOS GRIGORIOS ANDREAS	1,000.00
TSAGKARAKI NIK. MARIA	1,024.20
TSATSARONIS GEORG. CHRISTOS	7,680.00
TSIAKPINIS A. & CO GENERAL PARTNERSHIP	250.00
TSIGKELIS KONSTANTINOS	567.60
TSINIARAKIS MANOUSOS LIMITED PARTNERSHIP - RADIO POLIS FM	2,320.00
TSOUVALAKI AIKATERINI	2,250.00
TYPOKYKLADIKI PRINTING WORKS S.A.	790.00
TZEKAS P. CHARALAMBOS	2,050.20
V. SKOUTARAS S.A.	7,079.88
VAROUXIS K. ELETERIOS AND SONS GENERAL PARTNERSHIP - PATRIS MEDIA ORGANISATION	3,400.00
VASSILIKI SKOULIKA	780.00
VIMA FM RADIO ENTERPRISES S.A.	436.04
VLACHOPOULOS K. STAVROS	2,000.00
WAVE MEDIA OPERATIONS L.T.D.	3,000.00
WSF PRIVATE COMPANY	6,000.00
XATZAKIS A. PANAGIOTIS	464.40
ZACHARIOUDAKIS A. STILIANOS	2,400.00
ZISIMOU N. ASIMENIA	69.00
ZOGRAFOU S. PANTELIS	638.00
ZOUGLA.GR S.A.	55,000.00
	6,406,178.27

NOTES:

1. Not including charges in favor of Greek government (V.A.T, Special TV tax.) and in favor of third parties (advertisement tax), total amount € **1.919.495,20**.
2. The above figures include the payments of the subsidiary Grivalia Properties R.E.I.C. until 4.7.2017, date on which the sale of the remaining 20% of its share capital was completed.

INFORMATION OF EUROBANK ERGASIAS GROUP FOR THE PERIOD 01/01 - 31/12/2017 PURSUANT TO ARTICLE 6 OF L. 4374/2016

PAYMENTS ON CONSOLIDATED BASIS PURSUANT TO PARAGRAPH 2 OF ARTICLE 6 OF L.4374 / 2016

LEGAL NAME ENTITY	AMOUNTS (pre taxes and charges)
13 th JUNIOR HIGH SCHOOL OF PIRAEUS*	355.65
2 nd EXPERIMENTAL HIGH SCHOOL OF THESSALONIKI	300.00
2 nd PRIMARY SCHOOL OF MOSCHATO*	3,673.92
38 th PRIMARY SCHOOL OF PERISTERI - 3 rd ATHENS PRIMARY SCHOOLS DISTRICT	352.13
3 rd GENERAL HIGH SCHOOL OF PIRAEUS*	3,444.80
ACTOR'S HOME FOUNDATION	2,000.00
AEGINA GENERAL HOSPITAL	200.00
ALBA GRADUATE BUSINESS SCHOOL	3,000.00
ALIVERI SPORTS UNION - "TAMYNAIKOS"	500.00
AMALEION ALL GIRLS BOARDING SCHOOL	2,000.00
AMERICAN - HELLENIC CHAMBER OF COMMERCE	11,000.00
AMERICAN COLLEGE OF GREECE	4,000.00
ANAGENNISI SPORTS CLUB OF ASFENDI 2012	500.00
ANDROS SPORTS CLUB	400.00
ARGITHEANS' ASSOCIATION OF TRIKALA	150.00
ARGO PUBLISHING AND ADVERTISING SINGLE MEMBER LIMITED LIABILITY COMPANY	2,160.00
ARK OF THE WORLD	8,000.00
ARK OF THE WORLD*	3,280.00
ASSOCIATION OF ASTROPHYSICS ASTRONOMY AND MECHANICS - "ASEA"	1,500.00
ASSOCIATION OF CHIEF EXECUTIVE OFFICERS	9,500.00
ASSOCIATION OF ESTIA FRIENDS - "LOVE MESSAGE"	500.00
ASSOCIATION OF PARENTS AND GUARDIANS OF CHILDREN WITH NEOPLASMATIC DISEASES CHILDREN'S DISEASES	
AGHIA SOFIA - "I PISTI"	80.00
ASSOCIATION OF PARENTS AND GUARDIANS OF SPASTIC CHILDREN "THE GOOD SAMARITAN"	500.00
ASSOCIATION OF THESSALIAN ENTERPRISES AND INDUSTRIES	500.00
ATHENIAN RUNNERS	500.00
ATHENS CLUB	5,000.00
ATHENS STARTUP WEEKEND UNIVERSITY*	2,000.00
ATHLETIC CLUB - "P.A.S. TINOS"	150.00
ATHLETIC GROUP OF CORINTH RUNNERS - "EFYRAIOI OKIPODES"	500.00
AUERBACH GRAYSON & COMPANY L.L.C.	3,431.71
BINIKOU VASSILIKI	2,000.00
BOUSIAS COMMUNICATIONS L.T.D.	1,010.00

CAPITAL LINK FORUM INC	4,989.03
CENTRE FOR INDIVIDUALS WITH SPECIAL NEEDS - "CHARA"	9,205.48
CHAMBER OF ARGOLIDA	2,000.00
CHILDREN'S HOSPITAL*	12,123.16
CHILDREN'S ROOF OF LARISSA	300.00
CHRISTIAN HOME FOR GIRLS - "ST. ANNA"	150.00
CITIZENS MOVEMENT FOR AN OPEN SOCIETY	3,225.80
CIVIL ASSOCIATION FOR COMMUNICATION ETHICS	3,000.00
CIVIL NON PROFIT COMPANY - "PLEGMA"	1,209.68
CLUB - "OI FILOI TIS PARALIAS"	1,300.00
CLUB "I OMONOIA" OF ST. PARASKEVI IN LESVOS	2,500.00
COEURS POUR TOUS HELLAS	23,720.00
COMMERCIAL ASSOCIATION OF THESSALONIKI	700.00
CONFEDERATION OF TOURIST ACCOMMODATION ENTERPREURS' OF GREECE*	2,468.84
CORFU GYMNASTICS CLUB	967.74
CORINTH MEDICAL ASSOCIATION PUBLIC LAW LEGAL ENTITY	400.00
CRETANS' ASSOCIATION OF GALATSI	500.00
CULTURAL AND EDUCATIONAL CLUB OF ARVIS	500.00
CULTURAL ASSOCIATION OF SIFNOS	3,600.00
CULTURAL ASSOCIATION OF VRISAGOTON IN ATHENS	1,000.00
CULTURAL CLUB OF ALIKARNASSOS "ARTEMISIA"	300.00
CULTURAL GYMNASTIC AND FOOTBALL ASSOCIATION OF LESVOS	1,612.90
CULTURAL ORGANISATION OF THE NEA SMIRNI MUNICIPALITY	20,000.00
CULTURAL ORGANISATION OF THE NEA SMIRNI MUNICIPALITY*	8,064.52
DIOMIDIS ARGOS SPORTS CLUB	2,000.00
DOCTORS WITHOUT BORDERS	5,000.00
DOWN SYNDROME ASSOCIATION OF GREECE	12,500.00
EN HORDES & ORGANIS	5,000.00
ERGO CIVIL NON - PROFIT COMPANY	1,500.00
ETHOS MEDIA CONFERENCE AND PUBLISHING S.A.	10,000.00
EUGENIDEION HOSPITAL "THE HOLY TRINITY" S.A.	15,000.00
EUROBANK CYPRUS L.T.D.	2,380.00
EUROBANK EFG FOUNDATION FOR THE FIRE STRICKEN	4,334.00
FAROS BASKETBALL CLUB OF KERATSINI	600.00
FEDERATION OF INDUSTRIES ASSOCIATION OF PELOPONNESE & WESTERN GREECE	1,000.00
FIREFIGHTERS UNION OF CENTRAL GREECE	300.00
FLOGA PARENTS ASSOCIATION OF OF CHILDREN WITH NEOPLASTIC DISEASES	2,375.02
FOOD TRADE WORKERS PROFESSIONAL INSURANCE FUND*	11,000.00
FOUNDATION FOR THE CARE OF THE CHRONICALLY ILL - "ST. PANTELEIMON"	700.00
FOUNDATION OF CULTURE & EDUCATION "ANDREAS LENTAKIS"	500.00
FRAUD LINE - REGULATORY COMPLIANCE SERVICES & CORPORATE RISK MANAGEMENT	3,400.00
FRIENDS' ASSOCIATION OF ASTROS REGIONAL MEDICAL CENTRE	1,000.00
GENESIS SCHOOLS S.A.	500.00
GKIOKAS PANAGIOTIS AND CO LIMITED PARTNERSHIP	2,200.00
GLOBAL EVENTS L.T.D.	2,000.00
GLOBAL FUND FOR NATURE - WWF HELLAS	1,200.00
GLOBAL SUSTAIN S.A.	2,000.00
GLYFADA GOLF CLUB	10,000.00
GRAMMATIKOPOULIO BALLIO TRIGKEIO SANATORIUM FOR CHRONIC DISEASES OF ITEA	100.00
GREEK - GERMAN CHAMBER OF COMMERCE AND INDUSTRY	4,500.00
GREEK ADVERTISERS ASSOCIATION	5,000.00
GREEK EXPORTERS ASSOCIATION	18,500.00
GREEK NATIONAL OPERA	122,356.25
GREEK SOCIETY FOR THE PROMOTION OF SAFETY OF SPORTS AND RECREATIONAL MEANS THE SEA AND WATER - "SAFE WATER SPORTS"	4,450.00
GREEKING ME TOURIST SERVICES	2,600.00
GSS INTERNATIONAL CONFERENCE TOURISM & COMMERCIAL L.T.D.	500.00
GYMNASTICS CLUB OF KIMI B.C.	5,000.00
HAZLIS & RIVAS L.T.D.	5,000.00
HEALTH REGULATED ESTABLISHMENTS MANAGERS ASSOCIATON OF TINOS	500.00
HEALTH TOURISM GREECE TOURIST L.T.D. - MAMALAKIS TRAVEL L.T.D.	10,000.00
HELLENIC - AMERICAN EDUCATIONAL FOUNDATION	21,026.00
HELLENIC ALPINE & SKI CLUB ACHARNAE CHAPTER	2,400.00
HELLENIC AMERICAN EDUCATIONAL INSTITUTE	3,500.00
HELLENIC ASSOCIATION OF MOBILE APPLICATION COMPANIES*	15,000.00
HELLENIC ATHLETICS FEDERATION - DODECANESE CHAPTER	2,000.00
HELLENIC BASKETBALL FEDERATION	1,106,451.61
HELLENIC BASKETBALL FEDERATION*	16,560.00
HELLENIC COAST GUARD*	1,281.56
HELLENIC COMPANY FOR THE PROTECTION AND RECOVERY OF DISABLED PEOPLE	2,000.00
HELLENIC EXCHANGES S.A.	30,000.00
HELLENIC FEDERATION OF ANTIQUE CARS & MOTORCYCLES	3,000.00
HELLENIC GYMNASTICS FEDERATION*	12,003.84
HELLENIC INSTITUTE FOR CUSTOMER SERVICE	5,000.00
HELLENIC- ITALIAN CHAMBER OF COMMERCE	4,000.00
HELLENIC MANAGEMENT ASSOCIATION	14,000.00
HELLENIC NATIONAL COMMITTEE ON UNESCO	1,000.00
HELLENIC OPERATIONAL RESEARCH COMPANY	300.00
HELLENIC SOCIETY FOR THE PROTECTION OF AUTISTIC PEOPLE	1,000.00
HOLY METROPOLIS N.KRINI & KALAMARIA	500.00
HOLY METROPOLIS OF MESOGAIA AND LAVREOTIKI*	288.54
HOLY METROPOLIS OF NEA SMYRNI*	300.00
HOLY METROPOLIS OF PERISTERI	2,500.00

HOLY METROPOLIS OF PIRAEUS	3,000.00
HOLY TEMPLE OF AGIOS VASSILIOS OF PIRAEUS	400.00
HOLY TEMPLE OF THE PRESENTATION OF THE VIRGIN IN TSOUKALADES	1,000.00
HOTELIERS ASSOCIATION OF IMATHIA	400.00
ICAP GROUP S.A.	4,000.00
IKA PENSIONERS' ASSOCIATION OF PERISTERI KOLONOS AND NEIGHBOURING AREAS	200.00
INFORMA UK LIMITED	20,000.00
JUNIOR HIGH SCHOOL OF KASTELORIZO*	7,465.31
JUNIOR HIGH SCHOOL OF LIPSOI*	1,758.48
KARLOS KOUN ART THEATER	4,032.26
KASTORIA GENERAL HOSPITAL*	781.42
KIDNEY DISEASED PEOPLE ASSOCIATION OF LESVOS*	8,064.52
LAMBROPOULOS FOUNDATION	3,000.00
LAWYERS AND LAWYER TRAINEES' UNION - "E-THEMIS"	4,000.00
LEAGUE OF THESSALONIKI ENTREPRENEURS - "NEW HORIZONS"	1,000.00
MARCOM TZELEPOGLOU SINGLE ENTITY LIMITED LIABILITY COMPANY	400.00
MESSINEIA GENERAL HOSPITAL*	4,032.26
MICROSOFT HELLAS S.A.	10,000.00
MUNICIPAL ENTERPRICE OF PUBLIC BENEFIT OF KAVALA - "DIMOFELEIA"	1,000.00
MUNICIPALITTY OF CORFU*	1,327.56
MUNICIPALITY OF AEGALEO	4,000.00
MUNICIPALITY OF AGIOS NIKOLAOS	1,000.00
MUNICIPALITY OF ALMYROS	1,500.00
MUNICIPALITY OF CHALKI*	1,000.00
MUNICIPALITY OF DELTA SOCIAL CULTURAL ORGANIZATION*	500.00
MUNICIPALITY OF DELTA*	1,256.81
MUNICIPALITY OF KALAMATA*	300.00
MUNICIPALITY OF KIFISSIA	3,000.00
MUNICIPALITY OF LEMNOS - MUNICIPAL DISTRICT OF MYRINA	200.00
MUNICIPALITY OF LESVOS*	500.00
MUNICIPALITY OF MARATHON*	481.50
MUNICIPALITY OF MEGALOPOLIS	10,000.00
MUNICIPALITY OF MYKONOS*	2,016.13
MUNICIPALITY OF PALLINI *	481.50
MUNICIPALITY OF PAPAGOS - HOLARGOS	3,000.00
MUNICIPALITY OF SPARTA	500.00
MUNICIPALITY OF THERMAIKOS	2,000.00
MUNICIPALITY OF VOLOS	40,000.00
MUNICIPALITY OF HALANDRION*	481.50
MUSIC SCHOOL OF KAVALA	700.00
NATIONAL AND KAPODISTRIAN UNIVERSITY OF ATHENS	5,000.00
NATIONAL HELLENIC PROPERTY - INTERNATIONAL COMMERCIAL CHAMBER	2,500.00
NATURAL HISTORY MUSEUM OF METEORA & MUSHROOM MUSEUM	1,000.00
NAUTICAL CLUB OF CHIOS	300.00
NETWORK FOR REFORM IN GREECE & EUROPE - "TO DIKTIO"	1,500.00
NOMIKI BIBLIOTHIKI S.A.	2,000.00
NON-PROFIT CIVIL ORGANISATION WITH HUMANITARIAN, DEVELOPMENTAL AND EDUCATIONAL ACTIVITIES - "I APOSTOLI"	401,350.00
NORTHERN GREECE EXPORTERS ASSOCIATION	19,000.00
NURSERY SCHOOL OF LIPSOI*	801.62
ONASSIS CARDIAC SURGERY CENTER LABOR UNION	5,000.00
ORMYLIA FOUNDATION	2,500.00
ORTHODOX CHURCH FOUNDATION - "O EVANGELISTIS MARKOS"	300.00
OZEL ZOGRIFYON LYCEUM OF CONSTANTINOPE	500.00
PACHIAKOS ASSOCIATION OF DISABLED PERSONS	200.00
PALLADIAN COMMUNICATIONS SPECIALISTS S.A.	2,000.00
PANASPROPYRGIAKOS UNITED ATHLETIC CLUBS - ATHLETIC CLUB DOXA	3,000.00
PANHELLENIC CANCER PREVENTION SOCIETY	7,000.00
PANHELLENIC FEDERATION OF DENTAL LAB OWNERS AND DENTAL TECHNICIANS	500.00
PANHELLENIC SPORTS UNION "THE KALLIPATIRA "	250.00
PANOS AND CRESSIDA 4 LIFE	3,000.00
PANOS ATHANASIADIS & CO S.A. -"I NAFTEPORIKI"	21,000.00
PAPAPETROU PATROKLOS & CO LIMITED PARTNERSHIP	3,200.00
PETAGMA ASSOCIATION*	11,960.00
PNOE – FRIENDS OF CHILDREN IN INTENSIVE CARE	24,657.43
PONTIANS UNION OF PERISTERI	700.00
PREVEZA JAZZ FESTIVAL	20,161.29
PRIMARY EDUCATION SCHOOL COMMITTEE - MUNICIPALITY OF CHANIA*	1,080.20
PRIMARY EDUCATION SCHOOL COMMITTEE - MUNICIPALITY OF HERACLION	500.00
PRIMARY EDUCATION SCHOOL COMMITTEE - MUNICIPALITY OF NIKAIA*	766.13
PRIMARY EDUCATION SCHOOL COMMITTEE - MUNICIPALITY OF PALLINI	3,900.00
PRIMARY SCHOOL OF LIPSOI*	2,493.31
PUBLIC LAW LEGAL ENTITY FOR SOCIAL PROTECTION, SOLIDARITY & SPORTS - "NIKIFOROS VRETTAKOS"	14,000.00
QUALITY NETWORK	2,500.00
RELOAD GREECE FOUNDATION	6,000.00
RESEARCH BUDGET COMMITTEE OF NATIONAL TECHNICAL UNIVERSITY OF ATHENS	5,000.00
RESEARCH BUDGET COMMITTEE OF NATIONAL TECHNICAL UNIVERSITY OF ATHENS*	3,225.81
RESEARCH BUDGET COMMITTEE OF UNIVERSITY OF PATRAS	1,000.00
RESEARCH CENTER FOR STRATEGIC MANAGEMENT AND BUSINESS ADMINISTRATION PRIVATE LAW LEGAL ENTITY	6,000.00
RESEARCH CENTRE UNIVERSITY OF PIRAEUS	5,000.00
RESEARCH CENTRE UNIVERSITY OF PIRAEUS*	2,340.00
RESEARCH UNIVERSITY INSTITUTE OF COMMUNICATION AND COMPUTER SYSTEMS N.T.U.A.	10,000.00

RETHYMNIA SPORTS ASSOCIATION	1,000.00
RISK RESPONSE UNIT OF IPPOCRATEIOS POLITEIA	1,000.00
RUNNERS' OF VEROIA CULTURAL AND ATHLETIC ASSOCIATION	500.00
S.W.I.F.T S.C.R.L.	5,000.00
SAINOPOULEIO FOUNDATION	300.00
SANI S.A.	20,000.00
SCHOOL FOR DEAF PEOPLE OF PEFKI*	23,034.60
SECONDARY EDUCATION SCHOOL COMMITTEE - MUNICIPALITY OF PALLINI	3,100.00
SECONDARY EDUCATION SCHOOL COMMITTEE - MUNICIPALITY OF PYLAIA-CHORTIATI*	403.23
SEV - HELLENIC FEDERETION OF ENTERPISES	70,000.00
SFITTOS PUBLIC LAW LEGAL ENTITY - MUNICIPALITY OF KROPIA	1,000.00
SKOPELOS ATHLETIC CLUB	1,000.00
SOCIAL COOPERATIVE COMPANY FOR THE SOCIALLY VULNERABLE AND PEOPLE WITH DISABILITIES AND CHRONIC DISEASES	5,500.00
SOCIAL COOPERATIVE ENTERPRISE FOR COLLECTIVE AND PUBLIC BENEFIT - "CORFU ACTIONS"	806.45
SOCIETY AGAINST CHILD ABUSE -"ELISA"	8,000.00
SOS CHILDREN'S VILLAGE OF GREECE	9,480.00
SPECIAL NEEDS VOCATIONAL TRAINING CENTRE - "ESTIA"	3,000.00
ST. ANTONY'S COLLEGE	28,571.43
STARTUP WEEKEND EUROPE	500.00
TEDX CHALKIDA EVENT ORGANIZATION	1,000.00
THE ALUMNI OF AMERICAN COLLEGE ANATOLIA	7,000.00
THE ATHENS CONCERT HALL ORGANIZATION	943.40
THE EUROPEAN LAW STUDENT'S ASSOCIATION - ATHENS CHAPTER	1,000.00
THE FEDERATION OF INDUSTRIES OF NORTHERN GREECE	6,000.00
THE GREEK TOURISM CONFEDERATION S.E.T.E.	70,000.00
THE GREEK TOURISM CONFEDERATION S.E.T.E.*	318.00
THE INSTITUTE OF INTERNAL AUDITORS GREECE	1,500.00
THE SMILE OF THE CHILD	1,600.00
THE SMILE OF THE CHILD*	1,809.24
THESSALONIKI CHAMBER OF TRADESMEN	8,000.00
TOGETHER FOR CHILDREN ASSOCIATION	1,200.00
TRADE ASSOCIATION OF LIVADIA	600.00
TRADE PROFESSIONAL AND INDUSTRIAL ASSOCIATION OF TINOS	100.00
TSOMOKOS SIMEON PUBLIC RELATIONS S.A.	3,000.00
UNION OF GREEK PROCEDURAL LAWYERS	2,000.00
UNION OF TOURISM TRANSPORT AND TRAVEL AGENTS OF LESVOS	1,000.00
UNIVERSITY OF CRETE*	2,559.32
VEIKIO FOUNDATION OF NEI EPIVATES THESSALONIKI	1,000.00
VOLLEYBALL SPORTS CLUB OF KIFISSIA	7,000.00
WAVE MEDIA OPERATIONS L.T.D.	11,500.00
XANTHI CHAMBER OF COMMERCE*	564.00
XANTHI GENERAL HOSPITAL*	12,900.00
XENEPEL SINGLE MEMBER LIMITED LIABILITY COMPANY	3,000.00
	2,775,186.87

NOTES:

1. Not including charges for greek government and in favor of third parties (VAT, etc), total amount **€ 366.007,14**.
2. The above figures include the payments of the subsidiary Grivalia Properties R.E.I.C. until 4.7.2017, date on which the sale of the remaining 20% of its share capital was completed.
3. Where (*) relates to grants / donations in kind

INFORMATION UNDER PARAGRAPH 2 OF ARTICLE 6 OF L.4374/2016 CONCERNING INDIVIDUALS	
	AMOUNTS WITHOUT TAX
920 VALEDICTORIANS OF THE PROGRAMME 'THE GREAT MOMENT FOR EDUCATION'	736,000.00
81 INDIVIDUALS	107,034.00
TOTAL	843,034.00

FIXED ASSETS DONATIONS	
NAME	ITEM
A.U. ALFEOS	ELECTRONIC EQUIPMENT
A.U. ARION AMALIADAS	ELECTRONIC EQUIPMENT
A.U. DIANA AGIAS MARINAS ILIOUPOLIS	ELECTRONIC EQUIPMENT
A.U. DOXA PAHANION	TELECOMMUNICATION EQUIPMENT
APO MARATHON BATTLE	ELECTRONIC EQUIPMENT
AIGINA PORT AUTHORITIES	OFFICE EQUIPMENT
APOSTOLIC DIVISION OF THE CHURCH OF GREECE	ELECTRONIC EQUIPMENT
ASSOCIATION FOR THE SUPPORT OF CANCER PATIENTS RHODES "WITH LIFE FOR LIFE"	ELECTRONIC EQUIPMENT
ASSOCIATION OF AGIOS DIMITRIOS MONEMVASIA FLOKAS	ELECTRONIC EQUIPMENT
ASSOCIATION OF KIDNEY ILLNESS S. PELLAS "AGIOI ANARGYROI"	OFFICE EQUIPMENT
ASSOCIATION OF LARGE FAMILIES OF LARISA & SUBURBS	ELECTRONIC EQUIPMENT
ASSOCIATION OF LARGE FAMILIES PERISTERI	OTHER EQUIPMENT
ASSOCIATION OF PARENTS & GUARDIANS 15 th PRIMARY SCHOOL OF THESSALONIKI	ELECTRONIC EQUIPMENT
ASSOCIATION OF PARENTS & GUARDIANS 15 th PRIMARY SCHOOL OF XYLOKASTRO	ELECTRONIC EQUIPMENT
ASSOCIATION OF PARENTS & GUARDIANS 1 st PRIMARY SCHOOL OF KALABAKI DRAMA	ELECTRONIC EQUIPMENT
ASSOCIATION OF PARENTS & GUARDIANS 2 nd NURSERY SCHOOL OF VOULA	ELECTRONIC EQUIPMENT
ASSOCIATION OF PARENTS & GUARDIANS 2 nd & 4 th NURSERY SCHOOL LAVRIO	OFFICE EQUIPMENT

ASSOCIATION OF PARENTS & GUARDIANS 7 th PRIMARY SCHOOL OF GLYFADA	ELECTRONIC EQUIPMENT
ASSOCIATION OF PARENTS & GUARDIANS 4 th PRIMARY SCHOOL OF PYLAIA	ELECTRONIC EQUIPMENT
ASSOCIATION OF PARENTS & GUARDIANS MUSIC JUNIOR HIGH SCHOOL OF ALIMOS	ELECTRONIC EQUIPMENT, OFFICE EQUIPMENT
ASSOCIATION OF PARENTS & PEOPLE WITH SPECIAL NEEDS	ELECTRONIC EQUIPMENT
ASSOCIATION OF PONTIES EDESSA "SAINT THEODOROS GAVRAS"	ELECTRONIC EQUIPMENT
ASSOCIATION OF VOLUNTEERS "VOLUNTEERS IN EAGLE'S NEST" MUNICIPALITY OF ASPROPYRGOS	ELECTRONIC EQUIPMENT
CHAMBER OF VISUAL ARTS OF GREECE	ELECTRONIC EQUIPMENT
CHILDREN & TEENAGER DIAGNOSIS ADVISORY REHABILITATION CENTRE	OFFICE FURNITURE
CHURCH OF SAINT THEODOROS OF SAMOS	ELECTRONIC EQUIPMENT
COMMERCIAL AND IMPORT ASSOCIATION OF AIGIALEIA	ELECTRONIC EQUIPMENT
COMMERCIAL ASSOCIATION OF ELASSONA	ELECTRONIC EQUIPMENT
CONVENTIONAL UNION OF WORKERS OF EFG EUROBANK - ERGASIAS	ELECTRONIC EQUIPMENT
CULTURAL ASSOCIATION OF VRISAGOTON ATHENS LESVOS	ELECTRONIC EQUIPMENT
EFKA- 8 th LOCAL BRANCH OF WAGE EARNERS ATTICA ATHENS	ELECTRONIC EQUIPMENT
EN HORDAIS AND ORGANIS "THE GREAT OF MARKOU SCHOOL"	ELECTRONIC EQUIPMENT
FENCING CLUB FLORINA	ELECTRONIC EQUIPMENT
GENERAL HOSPITAL OF KASTORIA	ELECTRONIC EQUIPMENT, OFFICE FURNITURE, OTHER EQUIPMENT
HEALTH 5 th REGION OF THESSALY & CENTRAL GREECE	ELECTRONIC EQUIPMENT
HELLENIC CANCER FEDERATION - H.C.F.	ELECTRONIC EQUIPMENT
HELLENIC TOURISM CLUB OF DRAMA	ELECTRONIC EQUIPMENT
HOLY METROPOLIS NEW KRINI AND KALAMARIA	ELECTRONIC EQUIPMENT
LABORATORY OF CULTURE OF NEW ARTAKI "PANAGIA FANEROMENI"	ELECTRONIC EQUIPMENT
LOCAL GROUP OF UNESCO MUNICIPALITY OF LARISA	ELECTRONIC EQUIPMENT
MEDICAL ASSOCIATION OF LESVOS	ELECTRONIC EQUIPMENT
MINISTRY OF DEFENCE (SPECIAL DEFENSE COMPANY, EVELPIDON MILITARY ACADEMY, MILITARY CAMP)	ELECTRONIC & TELECOMMUNICATION EQUIPMENT, OFFICE EQUIPMENT
MINISTRY OF NATIONAL EDUCATION AND RELIGIOUS AFFAIRS	ELECTRONIC EQUIPMENT
MINISTRY OF PUBLIC ORDER AND CIVIL PROTECTION (FIRE SERVICE MEGARA, FINANCIAL POLICE, OPKE, DIRECTORATE FOR DOMESTIC AFFAIRS, TRAFFIC POLICE OF KERATEA)	OFFICE FURNITURE & TELECOMMUNICATION EQUIPMENT
MUNICIPAL CHILDREN STATIONS OF PAL. FALIRO	OFFICE EQUIPMENT
MUNICIPALITY OF ALMIROS	ELECTRONIC EQUIPMENT
MUNICIPALITY OF KESSARIANI	OFFICE FURNITURE
MUNICIPALITY OF VIRONAS	ELECTRONIC EQUIPMENT
MUNICIPALITY OF ACHARNES	OFFICE FURNITURE
MUNICIPALITY OF AGIOS VASILEIOS LOCAL COMMUNITY OF AGIA GALINI	ELECTRONIC EQUIPMENT
MUNICIPALITY OF CHALKIDA	ELECTRONIC EQUIPMENT
MUNICIPALITY OF KALAMATA	ELECTRONIC EQUIPMENT
MUNICIPALITY OF KILELER	ELECTRONIC EQUIPMENT
MUNICIPALITY OF PETROUPOLI	OFFICE FURNITURE & ELECTRONIC EQUIPMENT
NATIONAL FOUNDATION FOR THE DEAF	ELECTRONIC EQUIPMENT
NIKOLOPOULOS FOUNDATION	ELECTRONIC EQUIPMENT
NON GOVERNMENTAL ORGANISATION - THE ARK OF THE WORLD	ELECTRONIC EQUIPMENT
O.S.Y.E - FEDERATION OF PENITENTIARY EMPLOYEES OF KORYDALOS	OFFICE FURNITURE & ELECTRONIC EQUIPMENT
OPANDA - ORGANIZATION OF CULTURAL ATHLETICS AND YOUTH OF MUNICIPALITY OF ATHENS	ELECTRONIC EQUIPMENT
ORTHODOX CHURCH INSTITUTION OF KIDS AND SOCIAL APPLICATIONS "EYAGGELISTIS MARKOS"	ELECTRONIC EQUIPMENT
PRIMARY EDUCATION MANAGEMENT OF WESTERN EPIRUS/ NURSERY SCHOOL OF PRAMANTA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF ACHARNES	OTHER EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF AG. NIKOLAOS	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF AG. PARASKEVI	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF AIGALEO	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF ALAXANDROUPOLI	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF ALAXANDREIA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF AMALIADA	ELECTRONIC EQUIPMENT, OFFICE FURNITURE, OTHER EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF ARIDAIAS APSALOU	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF ARISTOTELIS CHALKIDIKI	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF ATHENS	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF CHANIA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF DIONYSOS	ELECTRONIC EQUIPMENT, OFFICE FURNITURE, OTHER EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF EDESSA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF EORDAIA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF GALATSI	ELECTRONIC EQUIPMENT, OFFICE FURNITURE
SCH. COM. PRIM. EDUC. MUNICIPALITY OF ISTAIA - EDIPSOS	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF KIMI - ALIVERI	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF KORDELIO - EVOSMOS	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF KORINTHOS	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF KOZANI	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF LAMIA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF LARISA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF PATRA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF PYLOS - NESTOR	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF RAFINA - PIKERM I	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF TINOS	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. MUNICIPALITY OF ZIROS THESPROTIKOS OF PREVEZA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC. HOLY MUNICIPALITY OF MESOLOGION	ELECTRONIC EQUIPMENT

SCH. COM. PRIM. EDUC.MUNICIPALITY OF CHALKIDA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF DAFNI - YMITTOS	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF ILION	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF ILIOUPOLI	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF HERAKLION CRETE	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF KALAMATA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF KALLITHEA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF KASTORIA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF KATERINI	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF KERATSINI	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF MEGALOPOLI	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF MEGARA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF N.SMIRNI	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF NIKEA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF PERISTERI	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF PETROUPOLI	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF PIRAEUS	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF PYRGOS	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF SALAMINA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF SERVIA - VELVENDOS	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF SIKIONION	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF THESSALONIKI	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF TRIKALA	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF VIRONAS	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF VOLOS	ELECTRONIC EQUIPMENT
SCH. COM. PRIM. EDUC.MUNICIPALITY OF ZOGRAFOS	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF ACHARNES	OFFICE FURNITURE,OTHER EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF AG. PARASKEVI	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF ALIMOS	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF ARGOS - MYCENAE	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF ATHENS	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF CHIOS	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF DELTA - SINDOS	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF DIONYSOS	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF DODEKANISA	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF EDESSA	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF ELLINIKO - ARGYROUPOLI	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF EORDAIA	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF EPIDAUROS - LYGOURIO	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF GALATSI	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF ILION	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF IOANNINA	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF KIMI ALIVERI	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF KORINTHOS	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF KORYDALOS	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF KROPIA	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF LARISA	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF LOUTRAKI - AG. THEODOROI	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF NIKAIA - AG. I. RENTIS	ELECTRONIC EQUIPMENT,OFFICE FURNITURE,OTHER EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF PALAIO FALIRO	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF PALLINI	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF PATRA	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF PAVLOS MELAS	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF PERISTERI	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF PETROUPOLI	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF PIRAEUS	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF PREVEZA	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF PYLAIA - CHORTIATI	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF PYRGOS	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF RETHIMNO	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF SARONIKOS	ELECTRONIC EQUIPMENT, OFFICE FURNITURE
SCH. COM. SEC. EDUC. MUNICIPALITY OF THESSALONIKI	ELECTRONIC EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF TINOS	ELECTRONIC EQUIPMENT, OTHER EQUIPMENT
SCH. COM. SEC. EDUC. MUNICIPALITY OF TRIKALA	ELECTRONIC EQUIPMENT
SELECTED GROUP OF SPECIAL MISSIONS MUNICIPALITY OF AIGALEO	ELECTRONIC EQUIPMENT
SINGLE SCHOOL COMMITTEE MUNICIPALITY OF KALYMNOS	ELECTRONIC EQUIPMENT
SINGLE SCHOOL COMMITTEE OF PRIMARY EDUCATION MUNICIPALITY OF PERISTERI	ELECTRONIC EQUIPMENT
SINGLE SCHOOL COMMITTEE OF REGIONAL EDUCATION OF MUNICIPALITY OF PALAIO FALIRO	ELECTRONIC EQUIPMENT
SOCIETY OF FREE EVANGELIST CHURCHES OF GREECE	ELECTRONIC EQUIPMENT,OFFICE FURNITURE
TECHNODROMO / NON PROFIT ORGANISATION	ELECTRONIC EQUIPMENT
UNION OF PENITENTIAR EMPLOYEES OF PATRA	OFFICE FURNITURE
UNION OF RETIRED O.A.E.E OF EDESSA & SUBURBS "AGIOS GEORGIOS"	ELECTRONIC EQUIPMENT
URBAN COMPANY NON PROFIT NURSING HOME OF EDESSA "EVAGGELOS & AMALIA DIZA"	ELECTRONIC EQUIPMENT
YOUTH AND LIFELONG LEARNING FOUNDATION	ELECTRONIC EQUIPMENT
ZEUS SHOOTING CLUB	ELECTRONIC EQUIPMENT, OFFICE EQUIPMENT

THE ABOVE TABLE RELATES TO BANK'S FIXED ASSETS DONATIONS WITH RESIDUAL VALUE € 47,07